

23 Folders Suitability

Adversarial Hypotheticals

200 scenarios | Designed to expose edge-case reasoning failures

Adversarial Hypothetical 1

Topic: structured_products_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2020, financial advisor Derek Halloran at Meridian Wealth Partners recommended a \$175,000 investment in a reverse convertible note linked to a basket of three airline stocks (Delta, United, and American Airlines) to his client, Patricia Engel, age 58, a recently retired school librarian with a \$620,000 portfolio. The note offered a 14.5% annual coupon paid monthly, with a 35% downside barrier and a 14-month maturity. Patricia's account documents listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' her annual income as \$42,000 from a pension, and her liquid net worth as \$620,000. Derek conducted substantial research before making the recommendation: he reviewed the issuing bank's credit rating (A+), he analyzed historical volatility of each underlying airline stock over the prior five years, he ran Monte Carlo simulations showing a 78% probability the barrier would not be breached based on pre-COVID data, and he prepared a written memo explaining why the coupon was attractive relative to bond yields. He also disclosed the product's risks verbally during a 45-minute meeting and confirmed Patricia understood she could lose principal. Patricia signed an acknowledgment form. However, Derek ran his Monte Carlo simulations using volatility data only through December 2019. By the time he made the recommendation in mid-March 2020, airline stocks had already fallen 40-55% from their February highs due to the pandemic, and implied volatility for airline stocks had spiked to over 120% annualized. The reverse convertible was priced using these new elevated volatility levels (which is what generated the high 14.5% coupon), but Derek's suitability analysis relied entirely on pre-pandemic historical patterns. The note's barrier was breached within three weeks. At maturity in May 2021, Patricia received shares of American Airlines worth \$94,500, representing a loss of \$80,500 on her \$175,000 investment, partially offset by approximately \$21,200 in coupon payments received, for a net loss of roughly \$59,300.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation on multiple levels. Under FINRA Rule 2111 (Suitability), the advisor failed at both the reasonable-basis and customer-specific suitability levels. First, regarding reasonable-basis suitability (Rule 2111.05(a)): while Derek performed research, his analysis was fundamentally flawed because he used stale pre-pandemic volatility data to assess a product being priced with current (March 2020) extreme volatility. The very fact that the coupon was 14.5% - far above normal for investment-grade reverse convertibles - should have signaled that the market was pricing in a very high probability of barrier breach.

A reasonable advisor exercising due diligence would have recognized that the Monte Carlo simulation inputs were obsolete and that the product's risk profile had changed dramatically. Performing research that ignores readily available, material market conditions does not satisfy reasonable-basis suitability. Second, regarding customer-specific suitability (Rule 2111.05(b)): allocating \$175,000 (28% of liquid net worth) to a single structured product linked to three highly correlated, severely distressed airline stocks is unsuitable for a 58-year-old retired client with moderate risk tolerance, income objectives, a \$42,000 pension, and no other earned income. The concentration risk alone is problematic. Additionally, under FINRA Regulatory Notice 12-03, which provides specific guidance on complex products including structured notes, firms and advisors must ensure they understand the product's risks under current market conditions, not just historical conditions, and must perform a heightened suitability analysis. The notice specifically warns that the complexity of structured products demands that advisors go beyond surface-level analysis. Under Reg BI (effective June 30, 2020), for any portion of the recommendation evaluated under the new standard, the Care Obligation under Rule 17a-1 and Exchange Act Section 15(l) would similarly require that the advisor exercise reasonable diligence, care, and skill, including understanding the product's risks as they exist at the time of the recommendation. Derek's disclosure of risks does not cure the underlying unsuitability of the recommendation. FINRA has consistently held that disclosure alone cannot transform an unsuitable recommendation into a suitable one (see Regulatory Notice 12-03 and numerous FINRA disciplinary proceedings).

Common Wrong Answer

No violation - the advisor performed extensive due diligence including Monte Carlo simulations and credit analysis, disclosed all risks, and obtained the client's signed acknowledgment. The client accepted the risks of the investment, and the subsequent loss was due to unprecedented market conditions (COVID-19 pandemic) that could not have been predicted.

Why Adversarial

This scenario is adversarial because the advisor appears to have done extensive, documented due diligence - Monte Carlo simulations, credit analysis, written memos, risk disclosure, and signed acknowledgments. A general LLM might conclude that the thoroughness of the research and the client's signed acknowledgment make this compliant. The trap is that the research itself was fundamentally flawed (stale inputs), and the key legal nuance is that performing research does not satisfy reasonable-basis suitability if the research methodology is defective or ignores material current conditions. Most LLMs would over-weight the process and under-weight the substance of the analysis.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision); Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation, for conduct after June 30, 2020; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 2

Topic: *unsuitable_income_investor* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Between January 2019 and September 2020, financial advisor Corinne Bassett at Lakeshore Financial Group managed the accounts of Harold Tremaine, a 74-year-old widower living on Social Security (\$2,100/month) and a small corporate pension (\$1,400/month). Harold's total liquid investable assets were \$385,000 in an IRA, which represented his entire retirement savings. His account opening documents from January 2019 listed his investment objective as 'current income,' his risk tolerance as 'conservative,' his time horizon as '5-10 years,' and his tax bracket as 12%. In February 2019, Corinne recommended Harold allocate his portfolio as follows: 60% (\$231,000) into a diversified portfolio of investment-grade corporate bond funds with an average yield of 3.8%, 25% (\$96,250) into a high-quality intermediate-term municipal bond fund, and 15% (\$57,750) into a blue-chip dividend equity fund yielding approximately 3.2%. Harold agreed. In July 2020, Corinne contacted Harold and recommended repositioning the portfolio. She moved the 25% municipal bond allocation entirely into taxable investment-grade corporate bond funds, explaining that since Harold's account was an IRA, municipal bonds provided no tax advantage and he was sacrificing approximately 1.2% in yield compared to equivalent-quality taxable bonds. She also shifted 5% from equities into short-term Treasury bills as a liquidity reserve. The resulting portfolio was 85% investment-grade corporate bonds (average yield 3.4% after the rebalancing, reflecting lower 2020 rates), 10% dividend equities, and 5% Treasury bills. Harold's portfolio generated approximately \$13,100 in annual income in 2019 and approximately \$12,800 after the July 2020 rebalancing. Corinne charged a 1.0% annual advisory fee on assets under management throughout. Harold filed a complaint in 2021 alleging the July 2020 rebalancing was unsuitable because it over-concentrated him in corporate bonds and eliminated the diversification benefit of municipal bonds, and that the original February 2019 recommendation was also unsuitable because a 74-year-old conservative income investor should not have had 15% in equities.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, there is no violation with respect to either the original recommendation or the July 2020 rebalancing, though the analysis requires careful application of two different standards across the relevant time period. For the February 2019 recommendation: This is evaluated under FINRA Rule 2111 (Suitability), as Regulation Best Interest had not yet taken effect. The original allocation - 60% investment-grade corporate bonds, 25% municipal bonds, and 15% blue-chip dividend equities - is well within the range of suitable portfolios for a 74-year-old conservative income investor. A 15% equity allocation in dividend-paying blue chips is not inherently unsuitable for a conservative income investor; in fact, FINRA has recognized that some equity exposure can be appropriate even for conservative elderly clients to provide inflation protection and income growth over a 5-10 year time horizon. The portfolio generates meaningful income and maintains high credit quality throughout. For the July 2020 rebalancing: This must be evaluated under Regulation Best Interest (17 CFR § 240.15l-1), which became effective June 30, 2020. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making the recommendation. Corinne's observation that municipal bonds in an IRA provide no tax advantage is factually and financially correct - municipal bond interest is already tax-deferred in an IRA, so the lower yield of munis provides no offsetting tax benefit. Replacing munis with equivalent-credit-quality taxable bonds to capture additional yield is a sound recommendation for this client. The resulting 85% allocation to investment-grade corporate bonds, while concentrated in one asset class, consists of diversified funds across many issuers and is consistent with a conservative income objective. The addition of a 5% Treasury

bill liquidity reserve further demonstrates prudent planning. The slight reduction in total income (\$13,100 to \$12,800) was attributable to the overall decline in interest rates in 2020, not to the rebalancing itself - indeed, the rebalancing partially offset what would have been a larger income decline had the muni allocation been retained. The 1.0% advisory fee is within industry norms and does not render the recommendations unsuitable. Harold's complaint essentially second-guesses reasonable professional judgment with hindsight.

Common Wrong Answer

Yes, violation - concentrating 85% of a 74-year-old's retirement savings in corporate bonds is excessive and eliminates meaningful diversification. The advisor should have maintained the municipal bond allocation for diversification purposes and should not have recommended any equity exposure for such a conservative elderly client.

Why Adversarial

This is adversarial for several reasons. First, the temporal trap: the two recommendations straddle the June 30, 2020 effective date of Regulation Best Interest, meaning a general LLM must recognize that different standards apply to the 2019 and 2020 recommendations. Many LLMs will either apply only the old suitability standard to both or only Reg BI to both, potentially reaching incorrect conclusions. Second, the scenario involves a sympathetic complainant (74-year-old widower, conservative, living on fixed income) which biases LLMs toward finding a violation. Third, the '85% corporate bonds' figure sounds like dangerous over-concentration, but for a conservative income investor in an IRA, investment-grade corporate bond funds are arguably the most suitable core holding. Fourth, the muni-bond-in-an-IRA issue is a specific financial planning nuance that many LLMs will miss - they may incorrectly view the removal of munis as reducing diversification without recognizing the tax-inefficiency argument.

Applicable Standard

FINRA Rule 2111 (Suitability) for the February 2019 recommendation, including reasonable-basis suitability (Rule 2111.05(a)) and customer-specific suitability (Rule 2111.05(b)); Regulation Best Interest (17 CFR § 240.15l-1), effective June 30, 2020, specifically the Care Obligation (§ 240.15l-1(a)(2)(ii)(B)), for the July 2020 recommendation; FINRA Regulatory Notice 12-25 (Additional Guidance on Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 3

Topic: alternative_investments_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

Margaret Huang, age 52, is a pediatrician earning \$340,000 annually with a net worth of \$2.1 million, approximately \$900,000 of which is in liquid investment accounts. She has moderate risk tolerance documented on her new account form and a stated investment objective of growth with income. She has 22 years of investing experience, primarily in diversified mutual funds and individual equities. In March 2023, her financial advisor, Derek Paulson at Ridgemont Securities, recommended she invest \$135,000 (15% of her liquid portfolio) into a non-traded real estate investment trust focused on medical office buildings and ambulatory surgical centers. Derek conducted substantial due diligence: he reviewed the offering

memorandum, analyzed the sponsor's 12-year track record showing consistent 6.8% annual distributions across four prior programs, examined the independent valuation reports, attended the sponsor's due diligence conference, and prepared a written internal memo documenting his analysis. He noted that Margaret's medical background gave her unique insight into the healthcare real estate sector, and that the REIT's projected 6-7% yield complemented her growth-oriented equity holdings by adding income. Margaret's existing portfolio had no alternative investment exposure. The product carried a 7-year expected hold period, early redemption was limited to hardship cases with a 10% penalty in years 1-3, upfront fees totaled 11.5% (including selling commissions and offering costs), and the product was only available to investors meeting accredited investor thresholds. Derek documented the recommendation, provided the prospectus, and Margaret signed all required disclosures including an alternative investment acknowledgment form. Six months later, Margaret needed \$200,000 for an unexpected opportunity to buy into a medical practice partnership - a time-sensitive, career-defining opportunity. She discovered she could not access her REIT investment without severe penalties and insufficient liquidity across her remaining portfolio to fund the full amount.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the extensive due diligence performed. While Derek Paulson satisfied the reasonable-basis suitability obligation under FINRA Rule 2111 (he thoroughly researched the product), and arguably the quantitative suitability component (single concentration at 15%), he failed the customer-specific suitability prong. Under FINRA Rule 2111.05(a), the customer-specific obligation requires the advisor to have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile, including liquidity needs. The critical deficiency is the liquidity analysis. FINRA Regulatory Notice 09-73 and subsequent guidance on alternative investments emphasize that firms must evaluate whether customers can afford to have capital locked up for extended periods. With \$900,000 in liquid assets and \$135,000 committed to a 7-year illiquid lockup, Margaret retained \$765,000 in liquid assets - seemingly adequate. However, the advisor failed to conduct a holistic liquidity needs assessment. As a physician in her early 50s with moderate risk tolerance, Derek should have explored potential near-term capital needs including practice opportunities, which are common career events for physicians. Additionally, FINRA Regulatory Notice 10-22 specifically addresses due diligence requirements for non-traded REITs, noting that high upfront costs (here 11.5%) create an immediate loss of principal that compounds the illiquidity concern. The combination of the 11.5% front-end load with a 7-year lockup means Margaret's investment would need to earn approximately 1.75% annually just to recover fees before generating any actual return - a fact that tensions against her moderate risk tolerance. The recommendation also potentially runs afoul of Reg BI's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii)(B), which requires consideration of reasonably available alternatives. Lower-cost, more liquid REIT alternatives (such as publicly traded healthcare REITs) existed that could have provided similar healthcare real estate exposure with daily liquidity and dramatically lower fees. Derek's memo does not address why the non-traded structure was preferable to these alternatives for this specific client.

Common Wrong Answer

No violation. The advisor conducted thorough due diligence, the client was an accredited investor with high income and significant liquid assets, the 15% allocation was reasonable, the client's medical expertise

aligned with the product's sector focus, and the subsequent liquidity need was an unforeseeable event that cannot retroactively make a suitable recommendation unsuitable. All disclosures were provided and signed.

Why Adversarial

This scenario is adversarial because the advisor performed exemplary product-level due diligence - attending conferences, reviewing track records, writing internal memos - which creates a strong surface appearance of compliance. Most general LLMs would focus on the thoroughness of the research and the reasonable concentration level (15%), the client's accredited investor status, her high income, and her medical expertise aligning with the healthcare REIT sector. The trap is that reasonable-basis suitability and customer-specific suitability are distinct obligations, and satisfying one does not satisfy the other. The real violation is subtle: inadequate liquidity needs assessment and failure to consider reasonably available alternatives with better cost/liquidity profiles. The after-the-fact liquidity crisis is a red herring in one sense (you don't judge suitability by hindsight), but it illuminates the pre-existing deficiency in the liquidity analysis that should have been conducted at the time of recommendation.

Applicable Standard

FINRA Rule 2111 (Suitability) including all three component obligations: reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)); FINRA Regulatory Notice 09-73 (Non-Traditional Products); FINRA Regulatory Notice 10-22 (Due Diligence for Non-Traded REITs); Regulation Best Interest (Exchange Act Rule 15l-1), specifically the Care Obligation under Rule 15l-1(a)(2)(ii)(B) requiring consideration of reasonably available alternatives to the recommendation; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 4

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: hard

Fact Pattern

Harold Zimmerman, age 79, is a retired civil engineer with moderate-to-conservative risk tolerance, annual pension income of \$72,000, Social Security of \$34,000, and a total investment portfolio of \$1.4 million held across two brokerage firms. At Firm A (Lakewood Financial), Harold has a \$950,000 account managed by advisor Cynthia Rowe under a fee-based advisory arrangement charging 1.1% annually. This account holds a diversified mix of 60% investment-grade bonds, 25% blue-chip equities, and 15% money market funds - consistent with his documented profile. At Firm B (Trident Wealth Partners), Harold has a \$450,000 brokerage account managed by advisor Kevin Marsh. Harold opened the Firm B account in January 2024 after meeting Kevin at a free dinner seminar at a local steakhouse. Kevin's seminar focused on 'generating higher income in retirement.' Over the following three months, Kevin recommended and executed the following trades in the Firm B account: \$150,000 into a high-yield bond fund with a 4.25% front-end load, \$120,000 into a closed-end leveraged loan fund trading at a 3% premium to NAV, \$100,000 into a structured note linked to a basket of energy MLPs with a 5-year maturity and no secondary market, and \$80,000 into a variable annuity with a guaranteed minimum withdrawal benefit rider (total annual costs of 3.4% including mortality, expense, administrative, and rider charges). Harold told Kevin about his Firm A account and its conservative allocation, and explicitly said: 'My other advisor is too conservative - I want this account to work harder and make more money. I'm comfortable taking more risk here since my other

money is safe.' Kevin documented Harold's verbal instructions, noted the existence of the Firm A account in his records, and coded Harold's Firm B account with a 'moderate-aggressive' risk tolerance and 'income with growth' objective. Kevin did not contact Cynthia Rowe or Firm A, nor did he request account statements. Harold's daughter, Patricia, age 51, called Firm B's compliance department in June 2024 to express concern about her father's cognitive decline, noting he had been diagnosed with mild cognitive impairment in November 2023 - two months before opening the Firm B account. Firm B's compliance department acknowledged the call but took no action for 45 days, during which Kevin executed two additional trades.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, multiple violations occurred involving both Kevin Marsh individually and Firm B's supervisory structure. First, regarding Kevin's recommendations: Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Exchange Act Rule 15l-1), Kevin had an obligation to assess suitability based on Harold's overall financial profile, not merely the isolated Firm B account. FINRA Rule 2111.04 explicitly states that an advisor with knowledge of a customer's other holdings must consider those holdings when making recommendations. Kevin knew about the Firm A account and its conservative allocation, which means he had actual knowledge of Harold's full \$1.4 million portfolio. Rather than using this knowledge to conduct a proper holistic suitability analysis, Kevin used Harold's description of the Firm A account as justification to take excessive risk in the Firm B account. The customer-specific suitability analysis must consider Harold's full profile: age 79, moderate-to-conservative documented risk tolerance (at Firm A, where a longer relationship existed), fixed retirement income, and the fact that a client's verbal request for higher risk does not override an advisor's independent suitability obligation. Under FINRA Rule 2111.05(b), the advisor cannot simply defer to a client's stated wishes when those wishes conflict with the client's actual investment profile. Kevin's coding of the account as 'moderate-aggressive' for a 79-year-old retiree living on fixed income, based solely on the client's verbal direction, constitutes a manipulation of the risk profile to justify unsuitable recommendations. Second, the specific products raise concerns: the 3.4% all-in cost variable annuity for a 79-year-old is problematic given the surrender period and the client's age and life expectancy; the structured note with no secondary market and 5-year maturity creates severe illiquidity risk for someone approaching his mid-80s; and the front-end loaded high-yield bond fund and leveraged closed-end fund at a premium both reflect excessive cost and risk for this investor. Third, regarding the senior investor exploitation dimension: FINRA Rule 2165 (Financial Exploitation of Specified Adults) authorizes member firms to place temporary holds on disbursements when there is a reasonable belief of financial exploitation. More critically, FINRA Regulatory Notice 07-43 (Senior Investors) establishes clear expectations around heightened supervision for senior accounts and responsiveness to red flags. Patricia's report of a mild cognitive impairment diagnosis predating the account opening is a significant red flag. Firm B's 45-day delay in acting after receiving a report from a family member about cognitive decline, while the advisor continued executing trades, represents a supervisory failure under FINRA Rule 3110 (Supervision). The firm had an obligation to promptly investigate and, if warranted, place a hold on the account under Rule 2165. Fourth, the dinner seminar itself may implicate FINRA Regulatory Notice 11-02 and Rule 2210 (Communications with the Public), depending on what representations were made about 'generating higher income in retirement,' though insufficient facts are provided to fully evaluate this element.

Common Wrong Answer

No violation, or at most a minor supervisory issue. Harold was a competent adult who voluntarily opened the Firm B account, explicitly stated his desire for higher risk, and the advisor documented the client's wishes. The account represented only about 32% of Harold's total portfolio, so the aggressive allocation at Firm B was balanced by the conservative allocation at Firm A, resulting in a blended moderate allocation across both accounts. The cognitive impairment diagnosis was not known to Kevin at the time of account opening, and he cannot be held responsible for information he did not have. The firm's delay in responding to the daughter's call is a procedural issue but not a suitability violation by the advisor.

Why Adversarial

This scenario involves multiple adversarial traps. The multi-party structure (two firms, two advisors, one customer) creates confusion about whose standards apply and whether account-level or customer-level suitability analysis governs. The client-direction trap is embedded: Harold explicitly asked for more aggressive treatment, which many LLMs would treat as a safe harbor or defense for the advisor. The subtle knowledge trap is whether Kevin's awareness of the Firm A account triggers an obligation to consider it holistically - many LLMs may incorrectly conclude that Kevin was only responsible for the Firm B account in isolation. The senior exploitation element adds a temporal complexity: the cognitive impairment was diagnosed before the account was opened, but Kevin may not have known this. However, the firm's failure to act on the daughter's report is a separate supervisory violation. A general LLM might get confused trying to separate Kevin's individual liability from the firm's supervisory failures, or might give Kevin credit for documenting the client's wishes without recognizing that documentation of an unsuitable instruction does not create compliance.

Applicable Standard

FINRA Rule 2111 (Suitability), specifically Rule 2111.04 (consideration of other holdings when advisor has actual knowledge), Rule 2111.05(a) (reasonable-basis suitability), Rule 2111.05(b) (customer-specific suitability); Regulation Best Interest (Exchange Act Rule 15l-1), Care Obligation (Rule 15l-1(a)(2)(ii)); FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 07-43 (Senior Investors); FINRA Regulatory Notice 12-25 (Additional Guidance on Suitability, specifically guidance on customer-directed transactions and the limits of client instruction as a defense); FINRA Rule 2210 (Communications with the Public, re: dinner seminar); FINRA Rule 2330 (Variable Annuity Suitability, specifically the age and liquidity considerations)

Adversarial Hypothetical 5

Topic: failure_to_know_customer | Type: multi_party | Difficulty: expert

Fact Pattern

Margaret Ellison, age 71, a retired schoolteacher with a \$420,000 IRA, walked into the downtown branch office of Piedmont Financial Services on March 3, 2023. She met with Craig Dalton, a registered representative who had been with the firm for 14 years. During their initial meeting, Dalton spent approximately 90 minutes with Ellison. He collected her date of birth, Social Security number, home address, annual pension income of \$38,000, liquid net worth of \$480,000, and her stated investment objective of 'growth and income.' He documented her risk tolerance as 'moderate' on the new account form

after she said she wanted 'something safe but a little better than CDs.' He did not ask about her tax situation, other accounts, health status, time horizon, or any anticipated liquidity needs. He did not ask whether she had other financial advisors. Ellison signed the new account paperwork. Two weeks later, on March 17, Dalton placed her entire \$420,000 IRA into a diversified portfolio of investment-grade bond funds with an average duration of 5.2 years and an average expense ratio of 0.38%, generating a modest commission of \$1,680 for Dalton. Separately, unbeknownst to Dalton, Ellison also maintained a \$390,000 brokerage account at Trident Wealth Advisors, managed by Sandra Cho. That account was already 100% allocated to a nearly identical mix of intermediate-term investment-grade bond funds. Cho had conducted a thorough financial profile of Ellison two years earlier, documenting that Ellison had early-stage Parkinson's disease, anticipated needing \$150,000 within 18 months for home modifications and potential assisted-living deposits, and that her daughter held power of attorney. Dalton never learned any of this. Six months later, interest rates spiked and Ellison needed to liquidate \$150,000 from the Piedmont account at a loss of \$23,000 to fund her care facility deposit. Ellison's daughter filed a complaint against Dalton, alleging he never bothered to learn enough about her mother's actual situation before investing her money.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Craig Dalton violated the applicable standards. Under FINRA Rule 2111 (Suitability), a registered representative must make reasonable efforts to obtain and analyze a customer's investment profile before making any recommendation. FINRA Rule 2111.04 specifies the components of a customer's investment profile, which include but are not limited to: age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. Dalton failed to inquire about Ellison's other investments, liquidity needs, time horizon, tax status, or health conditions. While a representative cannot be held liable for information a customer actively conceals, FINRA's interpretive guidance and Notice to Members 12-25 make clear that the obligation is to make 'reasonable diligence' efforts to ascertain the customer's profile - the advisor must ASK. Dalton never asked about other accounts, liquidity needs, or health status. Had he asked, a reasonable person in Ellison's position would likely have disclosed the Parkinson's diagnosis and the anticipated need for funds, as she had disclosed this to Cho. The fact that the investment chosen (diversified investment-grade bond funds) appears facially reasonable does not cure the know-your-customer deficiency. Under FINRA Rule 2090 (Know Your Customer), the broker must use reasonable diligence to know the essential facts concerning every customer. Essential facts include those needed to effectively service the account, act in accordance with special handling instructions, understand the authority of each person acting on behalf of the customer (the daughter's POA), and comply with applicable laws and regulations. Dalton failed this standard as well. Additionally, under Regulation Best Interest (17 CFR § 240.15l-1), effective since June 30, 2020, the Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making a recommendation, which includes understanding the customer's investment profile. The failure to gather critical profile information means the advisor could not have had a reasonable basis to believe the recommendation was in the customer's best interest. The fact that another advisor at another firm had the complete picture is irrelevant - each broker-dealer and representative has an independent obligation to know their customer.

Common Wrong Answer

No violation. Dalton recommended a conservative, diversified bond fund portfolio appropriate for a 71-year-old moderate-risk investor. He collected basic suitability information and the customer did not disclose her health issues or liquidity needs. An advisor cannot be held responsible for information the customer withholds, and the investment was objectively reasonable given the information Dalton had.

Why Adversarial

This is adversarial because the investment itself - diversified investment-grade bond funds with low expenses and a modest commission - looks perfectly reasonable and even conservative for a 71-year-old retiree seeking 'something safe but better than CDs.' A general LLM might focus on the product selection and conclude no violation occurred because the recommendation was facially suitable. The multi-party structure creates additional confusion: an LLM might reason that since Dalton had no way to know about the other account or the health issues (because Ellison didn't volunteer them), he cannot be faulted. However, the critical legal point is that the violation is the failure to ASK - the duty is one of reasonable diligence in gathering information, not merely processing whatever the client volunteers. The fact that the information existed and was discoverable through basic questions makes this a clear know-your-customer failure, even though the product was objectively reasonable in isolation.

Applicable Standard

FINRA Rule 2090 (Know Your Customer); FINRA Rule 2111 (Suitability), including Supplementary Material .04 (Customer's Investment Profile components) and .05 (Components of Suitability); FINRA Regulatory Notice 12-25 (Additional Guidance on FINRA's New Suitability Rule); Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation component (requiring reasonable diligence, care, and skill to understand the retail customer's investment profile)

Adversarial Hypothetical 6

Topic: overconcentration_single_stock | Type: client_direction_trap | Difficulty: hard

Fact Pattern

James Whitfield, age 52, was a senior software engineer at NovaTech Industries, a publicly traded technology company. Over 18 years at the company he had accumulated 45,000 shares of NovaTech stock through employee stock purchase plans and vested restricted stock units, worth approximately \$2.7 million as of January 2024 at \$60 per share. This represented approximately 82% of his total investable assets of \$3.3 million. His remaining \$600,000 was held in a diversified brokerage account at Summit Brokerage, managed by advisor Rebecca Torres. Whitfield's documented investment profile at Summit listed his risk tolerance as 'aggressive,' his investment objective as 'growth,' his time horizon as '10+ years,' his annual income as \$285,000, and his investment experience as 'extensive' - he held a graduate degree in quantitative finance in addition to his engineering credentials and had actively traded options for 15 years. In February 2024, Whitfield contacted Torres and said he wanted to use \$400,000 of his diversified holdings to purchase additional NovaTech shares. He explained that he had done his own discounted cash flow analysis, believed the stock was undervalued by 40% based on the company's upcoming product pipeline which he described in general terms without referencing any material nonpublic information, and wanted to increase his position. Torres expressed concern about concentration risk and documented in her notes and in an email to Whitfield that she believed purchasing more NovaTech shares would create

'dangerous overconcentration' and recommended instead that he consider reducing his overall NovaTech position through a systematic selling program. Whitfield responded in writing: 'I understand and appreciate your concern about concentration. I have thought carefully about this. I am aware of the risks of holding a concentrated position. I want to proceed with the purchase. This is my decision and I accept full responsibility for the outcome.' Torres documented the exchange in the client file, had Whitfield sign a concentration risk acknowledgment form used by her firm, consulted with her branch manager who approved the transaction after reviewing the documentation, and then executed the purchase of approximately 6,666 additional shares of NovaTech at \$60 per share. After the purchase, NovaTech stock represented approximately 88% of Whitfield's total investable assets. Eight months later, NovaTech announced an accounting restatement and the stock dropped to \$22 per share, reducing Whitfield's NovaTech holdings from approximately \$3.1 million to approximately \$1.14 million. Whitfield filed a complaint alleging that Torres should never have executed the trade regardless of his instructions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a close case, but Torres likely did NOT violate the applicable standards, though reasonable regulators could disagree. The analysis proceeds on multiple levels. First, under FINRA Rule 2111 (Suitability), a recommended transaction must be suitable based on the customer's investment profile. However, the critical threshold question is whether Torres 'recommended' the additional purchase. She did not - the idea originated entirely with the customer. Torres actually recommended AGAINST the purchase and affirmatively recommended a diversification strategy instead. Under FINRA Rule 2111.03, the suitability rule applies only to recommended transactions. When a customer directs a specific unsolicited transaction over the advisor's documented objection, the suitability obligation as to that specific transaction is significantly diminished. FINRA Regulatory Notice 12-25 clarifies that a broker who merely effects a transaction at a customer's direction, without recommending it, generally does not trigger the suitability rule for that transaction. Second, under Regulation Best Interest (17 CFR § 240.15l-1), the standard applies when a broker-dealer or associated person makes a 'recommendation' to a retail customer. Again, Torres did not recommend the purchase; she recommended against it. The customer directed the transaction. Third, Torres took extensive protective steps: she documented her contrary advice, warned about concentration risk in writing, obtained written acknowledgment from the client, used the firm's concentration risk acknowledgment form, and obtained branch manager approval. Fourth, the customer's profile supports that while the trade was risky, it was not wholly inconsistent with his stated profile: aggressive risk tolerance, growth objective, extensive investment experience including quantitative finance expertise, long time horizon, and high income. The overconcentration is concerning, but concentration in employer stock is not per se impermissible, particularly for a sophisticated investor who understands the risk and directs the trade over the advisor's objection. However, there is a counterargument: some arbitration panels and regulators have held that a broker has an obligation to refuse to execute a transaction that is so clearly unsuitable that no reasonable basis exists, even when unsolicited. An 88% concentration in a single stock could be viewed as crossing that line. Additionally, under FINRA Rule 2090, Torres had a duty to know her customer's essential facts, and she arguably knew enough to understand this was extremely dangerous. But given the totality - unsolicited trade, documented objection, written acknowledgment, sophisticated client, branch manager approval - the weight of authority suggests Torres met her obligations.

Common Wrong Answer

Yes, violation. An 88% concentration in a single stock is inherently unsuitable regardless of the client's directions. Torres had an obligation to refuse to execute a trade she herself identified as creating 'dangerous overconcentration.' Client acknowledgment forms and documented warnings do not absolve an advisor of the duty to protect the client from clearly unsuitable investments. The advisor cannot simply execute any trade the client demands.

Why Adversarial

This scenario is a client-direction trap that tests whether models understand the crucial distinction between recommended and unsolicited transactions. Most general LLMs will focus on the extreme concentration level (88% in a single stock) and conclude this is an obvious violation, because overconcentration cases are frequently cited as clear suitability failures. However, the legal analysis turns on who recommended the trade. Torres recommended AGAINST it. The scenario is further complicated by the fact that Torres did everything right procedurally - documented objections, obtained written acknowledgments, consulted management - which a model might dismiss as mere CYA that doesn't cure a violation. The adversarial design requires the model to know that suitability and Reg BI obligations are triggered by recommendations, and that an unsolicited trade directed by a sophisticated client over documented objections occupies a fundamentally different legal category than an advisor-recommended concentrated position.

Applicable Standard

FINRA Rule 2111 (Suitability), particularly Supplementary Material .03 (distinguishing recommended vs. unsolicited transactions); FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-25 (clarifying that suitability obligations attach to recommendations, not customer-directed trades); Regulation Best Interest, 17 CFR § 240.15l-1 (applying to recommendations to retail customers); FINRA Regulatory Notice 12-55 (concentration as a suitability consideration but not a per se violation)

Adversarial Hypothetical 7

Topic: unsuitable_income_investor | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Margaret Dalton, age 71, retired schoolteacher, walked into the offices of Pinnacle Wealth Advisors in March 2023. She had \$620,000 in liquid savings, a monthly pension of \$2,800, and Social Security payments of \$1,950 per month. She told her advisor, Kevin Marsh, that she wanted to generate supplemental income of roughly \$2,000 per month from her savings to cover medical expenses and help her grandson with college tuition. She described herself as 'conservative' and said she could not afford to lose more than 10% of her portfolio. Kevin conducted a thorough analysis. He reviewed yield data, credit ratings, duration risk, and historical default rates. He prepared a 14-page investment memo. He ultimately recommended allocating 80% of Margaret's portfolio (\$496,000) into a diversified basket of high-yield corporate bond funds with an average credit rating of BB and an average effective duration of 5.2 years, with the remaining 20% (\$124,000) in a money market fund. The high-yield bond allocation was projected to generate approximately \$2,300 per month in income at then-current yields of roughly 5.5%. Kevin's written memo noted that high-yield bonds had produced positive total returns in 18 of the past 20 calendar

years, that the diversified nature of the funds mitigated individual issuer default risk, and that the income stream would meet Margaret's stated objective. He did not discuss or analyze the potential for principal drawdowns during credit stress events, nor did he model a scenario in which rising rates or spread widening could cause the portfolio to lose 15-25% of its value temporarily, as occurred with similar portfolios in 2022. Margaret signed the new account form indicating 'income' as her investment objective and 'moderate' risk tolerance - Kevin had suggested she select 'moderate' rather than 'conservative' because the word conservative 'technically only applies to people who want no risk at all.' Margaret's actual risk tolerance, based on her own statements, was conservative. Within eight months, a credit market selloff caused the high-yield bond fund allocation to decline by 17.4%, a paper loss of approximately \$86,300, exceeding Margaret's stated maximum tolerable loss of \$62,000 (10% of her total portfolio).

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Kevin Marsh violated applicable suitability requirements on multiple grounds. First, under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for believing a recommendation is suitable for the particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. While Kevin performed general research on high-yield bonds (satisfying reasonable-basis suitability in part), he failed customer-specific suitability. Margaret was a 71-year-old conservative retiree who explicitly stated she could not afford to lose more than 10% of her portfolio. An 80% allocation to BB-rated high-yield bonds - which carry material credit and interest rate risk - was inconsistent with her conservative risk tolerance and her stated maximum loss threshold. The projected income met her goal, but the risk profile of the vehicle was inappropriate for her specific circumstances. Second, Kevin manipulated the new account documentation by steering Margaret to mark 'moderate' rather than 'conservative' risk tolerance, misrepresenting her actual risk profile. This violates FINRA Rule 2090 (Know Your Customer), which requires the advisor to use reasonable diligence to know the essential facts about the customer. Deliberately overriding a customer's self-described risk tolerance to make a recommendation appear suitable on paper is a well-documented violation. Third, under Regulation Best Interest (Reg BI), applicable to broker-dealer recommendations after June 30, 2020, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation and must consider reasonably available alternatives. Kevin failed to model downside scenarios or consider investment-grade bond alternatives, intermediate-term Treasury funds, CD ladders, or fixed annuities that could have generated meaningful income with substantially lower principal risk. The fact that Kevin prepared a detailed research memo does not immunize him; the research memo itself was deficient because it omitted downside stress analysis directly relevant to Margaret's constraints. The actual 17.4% loss confirmed the mismatch, though the violation existed at the time of the recommendation regardless of subsequent market performance.

Common Wrong Answer

No violation - the advisor performed thorough research, prepared a detailed investment memo, the income objective was met by the recommended allocation, and the client signed documentation indicating moderate risk tolerance. The subsequent market loss was unforeseeable and does not retroactively make the recommendation unsuitable.

Why Adversarial

This scenario is adversarial because the advisor appeared to perform extensive due diligence - a 14-page research memo, yield analysis, credit ratings review, and historical return data. A general-purpose LLM might conclude that this level of research satisfies suitability requirements, confusing reasonable-basis suitability (general product-level research) with customer-specific suitability (matching the product to this particular client's profile). The trap is deepened by the fact that the recommendation did meet the client's stated income objective, tempting models to focus on goal achievement rather than risk mismatch. The subtle manipulation of the risk tolerance on the new account form is an additional trap - models may not recognize that an advisor coaching a client to change their documented risk tolerance from their actual stated preference is itself a separate violation.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2090 (Know Your Customer); Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1, specifically the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)); FINRA Regulatory Notice 12-25 (guidance on suitability obligations regarding risk tolerance and investment profile documentation)

Adversarial Hypothetical 8

Topic: failure_to_know_customer | Type: multi_party | Difficulty: expert

Fact Pattern

In January 2022, Gerald Fonseca, age 54, opened a brokerage account at Atlantic Securities through advisor Lisa Cheng. Gerald completed a detailed new account application listing his occupation as a logistics manager earning \$115,000 per year, net worth of \$340,000 excluding primary residence, liquid net worth of \$190,000, investment experience as 'limited - only 401(k) target date funds,' investment objective as 'growth,' risk tolerance as 'moderate,' and a time horizon of 10-15 years. Lisa entered all information into the firm's system and recommended a diversified portfolio of large-cap equity mutual funds. Gerald funded the account with \$150,000. In August 2022, Gerald called Lisa and informed her that he was transferring his account to the firm's downtown branch because he was relocating. The account was reassigned to advisor Thomas Beale at the downtown office. Thomas received the transferred account and could see all the original account documentation in the firm's system. Thomas did not contact Gerald, did not schedule a meeting, and did not independently verify or update any customer information. In October 2022, Gerald called Thomas and said he wanted to 'get more aggressive' because he had recently received a \$200,000 inheritance and was also in the process of divorcing his wife, which he expected would reduce his net worth by half. Thomas, without updating the account profile, without asking any follow-up questions about the divorce's financial impact, without inquiring about Gerald's new total assets or changed financial obligations, and without documenting the inheritance or the divorce, recommended that Gerald invest the entire \$200,000 inheritance into a concentrated position in a single small-cap biotech stock that Thomas described as 'a strong growth play.' Gerald agreed and the trade was executed. Thomas's rationale, which he discussed verbally with Gerald but never documented, was that since Gerald wanted growth and was getting more aggressive, a high-conviction single stock pick was appropriate. Gerald's account profile in the system still reflected the original January 2022 information showing \$190,000 liquid net worth, moderate risk tolerance, and limited investment experience. The biotech stock lost 68% of its value within four

months. Meanwhile, Gerald's divorce was finalized in February 2023, and the settlement required him to pay his ex-wife \$170,000, leaving him in severe financial distress given the investment losses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Thomas Beale committed multiple violations. First, he violated FINRA Rule 2090 (Know Your Customer), which requires that every member firm and associated person use reasonable diligence, in regard to the opening and maintenance of every account, to know and retain the essential facts concerning every customer. When an account is transferred to a new advisor within the same firm, the receiving advisor has an independent obligation to familiarize himself with the customer. While Thomas could rely on existing documentation initially, once Gerald contacted him and disclosed two material life changes - a \$200,000 inheritance and a pending divorce - Thomas was obligated to update the customer's profile before making any recommendation. He failed to update any account information, failed to document the changed circumstances, and failed to ask follow-up questions about how the divorce would affect Gerald's financial situation, liquidity needs, or risk capacity. Second, Thomas violated FINRA Rule 2111 (Suitability) at both the reasonable-basis and customer-specific levels. At the customer-specific level, recommending a concentrated single-stock position in a speculative small-cap biotech company was unsuitable for a customer with limited investment experience (only target-date funds), even accounting for Gerald's verbal request to 'get more aggressive.' The customer's stated desire for more aggression does not relieve the advisor of the obligation to ensure the specific recommendation matches the customer's overall profile. Gerald's pending divorce was a critical fact that would foreseeably reduce his net worth and increase his near-term liquidity needs - investing 100% of his inheritance in a single volatile stock without accounting for the divorce settlement was reckless. At the reasonable-basis level, a concentrated single-stock position in a speculative sector does not have a reasonable basis as suitable for a customer with Gerald's documented experience level, regardless of the customer's request. Third, under Regulation Best Interest (Reg BI), the Care Obligation required Thomas to consider the customer's full financial picture, including reasonably foreseeable liquidity needs from the divorce. The failure to gather and analyze this information before recommending the trade violated the Care Obligation. Additionally, the failure to update account records may implicate the Compliance Obligation under Reg BI, as firms must establish policies to ensure advisors maintain current customer information. Lisa Cheng, the original advisor, does not appear to have violated any obligation - her initial account documentation and recommendation were appropriate, and she had no duties after the account was transferred. The firm, Atlantic Securities, may also face supervisory liability under FINRA Rule 3110 for failing to ensure that Thomas updated account information before executing a major recommendation on a transferred account.

Common Wrong Answer

No violation by Thomas - Gerald's original account information was already in the system from Lisa's onboarding, Gerald himself requested a more aggressive approach, and the \$200,000 inheritance gave him additional capacity for risk. Thomas reasonably relied on the existing account documentation and honored the client's expressed preference for growth. Lisa completed proper know-your-customer procedures at account opening, and no one violated any requirements.

Why Adversarial

This is adversarial for several reasons. First, the multi-party structure (two advisors, one firm, account

transfer) creates confusion about who bears responsibility - a general LLM might incorrectly assign fault to Lisa Cheng or conclude that because the original account documentation existed in the system, Thomas had no independent duty. Second, the client explicitly asked to 'get more aggressive,' which creates a client-direction trap within the multi-party scenario - models may incorrectly conclude that honoring the client's stated preference shields the advisor. Third, the inheritance superficially increases Gerald's capacity for risk (more money), which might lead a model to conclude the aggressive recommendation was justified, missing the critical point that the pending divorce would dramatically reduce his net worth and create near-term liquidity obligations. The interaction between the inheritance (suggesting more capacity) and the divorce (suggesting less capacity and more liquidity needs) requires nuanced analysis that general models often miss.

Applicable Standard

FINRA Rule 2090 (Know Your Customer) - obligation to use reasonable diligence to know essential facts about every customer, including during account maintenance and upon learning of material changes; FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability; Regulation Best Interest (17 CFR 240.15l-1), Care Obligation (requiring consideration of reasonably available alternatives and the customer's investment profile); FINRA Rule 3110 (Supervision) - firm obligation to supervise associated persons' compliance with applicable rules; FINRA Regulatory Notice 11-02 (know-your-customer and suitability guidance); FINRA Regulatory Notice 12-25 (guidance on factors relevant to suitability determinations including concentration risk and changed customer circumstances)

Adversarial Hypothetical 9

Topic: speculative_for_conservative_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Thornton, age 72, retired schoolteacher with a \$410,000 brokerage account at Ridgeline Securities, had consistently indicated on her account documents since 2015 that her investment objective was 'income with capital preservation,' her risk tolerance was 'low,' and her time horizon was '5-10 years.' She relied on the account for roughly \$1,400 per month to supplement her pension and Social Security. On May 15, 2019, her longtime broker, David Kessler, recommended she allocate \$82,000 (20% of her portfolio) into a leveraged inverse ETF tracking the S&P 500, explaining that he believed a market correction was imminent and that this position would 'protect her portfolio from losses.' Kessler had completed internal research showing several macroeconomic indicators pointing to a potential downturn. He documented his rationale in a memo, noting that the position was intended as a 'hedge' rather than speculation. Margaret agreed to the trade after Kessler's explanation. By August 2019, the S&P 500 had risen 7%, and the leveraged inverse ETF had lost approximately \$29,500 in value, reducing to roughly \$52,500. Margaret filed a complaint in October 2019, stating she never understood that the product could lose money so quickly and that she thought it was a 'protection' strategy. Ridgeline Securities' compliance records show that Kessler's account form for Margaret was updated in January 2019 to reflect the firm's transition to a new regulatory framework that took effect on June 30, 2019. However, the trade was executed on May 15, 2019 - six weeks before the new standard's effective date. Kessler held Series 7 and Series 66 licenses. The firm had opted into the new framework early for some internal processes but had not yet formally implemented the new standard for transaction-level recommendations as of May 2019.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation under the suitability standard that was in effect at the time of the May 15, 2019 transaction. Because the trade occurred before June 30, 2019 - the compliance date for Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1) - the applicable standard is FINRA Rule 2111 (Suitability). Under FINRA Rule 2111, a broker must have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, risk tolerance, financial situation, investment objectives, time horizon, and liquidity needs. FINRA Rule 2111 has three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability. Here, even if Kessler had a reasonable basis to believe a downturn was possible (satisfying element 1), he fails customer-specific suitability (element 2). A leveraged inverse ETF is a highly speculative, complex product designed for short-term tactical trading. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily rebalancing and compounding. Allocating 20% of a 72-year-old retiree's income-dependent, conservative portfolio to such a product is fundamentally inconsistent with her stated objectives of income and capital preservation and her low risk tolerance. Kessler's characterization of the product as a 'hedge' does not transform its speculative nature. A true hedging strategy for a conservative retiree would involve protective puts, Treasury positions, or reduced equity exposure - not a leveraged inverse product. The fact that the firm was transitioning internal processes to Reg BI is irrelevant because Reg BI was not yet in effect for transaction-level recommendations. Under Reg BI, the analysis would be even stricter under the Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), requiring the broker to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. But the pre-Reg BI suitability standard alone is sufficient to find a violation here.

Common Wrong Answer

A general LLM would likely analyze this under Regulation Best Interest (since the firm was transitioning to it) and might conclude that Kessler's documented research memo and hedging rationale demonstrated adequate care, potentially finding no violation because the advisor performed research, documented his reasoning, and the client consented. Some models might also focus on the client's agreement to the trade as a mitigating factor.

Why Adversarial

This scenario creates a temporal trap where the firm's early internal adoption of Reg BI processes might mislead an LLM into analyzing the trade under Reg BI's Care Obligation rather than the FINRA suitability standard that was actually in effect on the trade date. A general LLM might also be swayed by Kessler's documented research memo and 'hedging' rationale into thinking reasonable-basis suitability was met, overlooking the critical customer-specific suitability failure. The distinction between the May 15, 2019 trade date and the June 30, 2019 Reg BI compliance date is a precise temporal detail that many models would miss or conflate.

Applicable Standard

FINRA Rule 2111 (Suitability), including reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)); FINRA Regulatory Notice 09-31

(Non-Traditional ETFs); FINRA Rule 2090 (Know Your Customer). Note: Regulation Best Interest (17 CFR § 240.15I-1) did not apply because its compliance date of June 30, 2019, had not yet been reached at the time of the recommendation.

Adversarial Hypothetical 10

Topic: *illiquid_investments* | Type: *subtle_violation* | Difficulty: *expert*

Fact Pattern

Carlos and Elena Gutierrez, both age 58, are dual-income professionals earning a combined \$285,000 annually. They have a joint brokerage account at Pacifica Wealth Partners with a total value of \$1.8 million. Their stated investment objectives are 'growth and income,' their risk tolerance is 'moderate to high,' and their time horizon is '10+ years.' They have an additional \$600,000 in employer retirement plans, own their home free of mortgage (\$550,000 value), and maintain a \$95,000 emergency fund in a bank savings account. Their total net worth, excluding primary residence, is approximately \$2.5 million. Their financial advisor, Rachel Yamamoto (Series 7, Series 66), recommended a \$360,000 investment (20% of their brokerage account) in a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT had a 7-year expected hold period, paid a 5.8% annual distribution, carried a front-end load of 8.5%, and had no secondary market for shares - redemption was limited to a quarterly share repurchase program capped at 2.5% of outstanding shares per quarter, at the board's discretion. Rachel thoroughly explained the illiquidity, the fee structure, the fact that distributions might include return of capital, the concentration in commercial office space, and the risks of the sector including remote work trends. She documented all disclosures in a signed acknowledgment form. She also verified that the Gutierrezes met the accredited investor net worth and income thresholds. The couple confirmed they understood all risks and signed all documents. Rachel checked the REIT sponsor's track record - three prior programs with average annualized returns of 6.2% to investors. Pacifica Wealth Partners' internal policy, documented in its written supervisory procedures manual updated six months prior, states that 'non-traded REITs and other illiquid alternative investments shall not exceed 10% of a client's liquid net worth, defined as total net worth excluding primary residence.' No exception process is documented. The branch manager, Tom Fielding, reviewed and approved the transaction, noting the clients' high income, strong net worth, and moderate-to-high risk tolerance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the violation is subtle and primarily procedural/supervisory rather than rooted in the product's unsuitability for the clients' general profile. Under FINRA Rule 2111 (Suitability) and/or Regulation Best Interest (17 CFR § 240.15I-1) depending on timing, the recommendation must be suitable/in the client's best interest. On its face, the recommendation appears reasonable: the Gutierrezes have high income, long time horizon, moderate-to-high risk tolerance, substantial liquid assets, and the non-traded REIT allocation is only 20% of their brokerage account. However, the critical violation arises from the firm's own internal concentration limit. Pacifica's written supervisory procedures cap illiquid alternative investments at 10% of liquid net worth (excluding primary residence). The Gutierrezes' liquid net

worth is approximately \$2.5 million (\$1.8M brokerage + \$600K retirement + \$95K emergency savings, excluding \$550K home). Ten percent of \$2.5 million is \$250,000. The \$360,000 recommended investment exceeds this limit by \$110,000 (44% over the cap). Under FINRA's supervisory framework (FINRA Rules 3110 and 3120), firms must establish, maintain, and enforce written supervisory procedures. When a firm establishes internal concentration limits as part of its supervisory system, those limits become enforceable standards. Exceeding them - even when the underlying recommendation might otherwise satisfy general suitability - constitutes a supervisory violation. Branch manager Tom Fielding's approval does not cure the deficiency because no documented exception process existed. Additionally, under Reg BI's Compliance Obligation (17 CFR § 240.15l-1(a)(2)(iv)), broker-dealers must establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with the best interest standard. A firm that sets concentration limits but then approves transactions exceeding them without a formal exception process fails to enforce its own compliance framework. Furthermore, many states impose their own non-traded REIT concentration limits - commonly 10% of liquid net worth - through state securities regulations and the North American Securities Administrators Association (NASAA) guidelines for non-traded REITs. The advisor and branch manager may also have violated these state-level thresholds. The violation here is not that the product was categorically wrong for these clients, but that the firm's own guardrails were breached without proper process, which constitutes both a supervisory failure and a compliance obligation failure.

Common Wrong Answer

A general LLM would almost certainly find no violation, reasoning that the clients are wealthy, sophisticated, have appropriate risk tolerance and time horizon, were fully informed of all risks, signed acknowledgment forms, meet accredited investor standards, and the 20% allocation to a single alternative investment is within commonly discussed diversification norms. The model would likely praise the thorough disclosure and documentation as evidence of compliance, completely missing the firm's internal concentration limit breach and the supervisory/compliance obligation implications.

Why Adversarial

This is extremely difficult because on every client-facing dimension, the recommendation looks solid: wealthy clients, high income, long time horizon, appropriate risk tolerance, thorough disclosure, documented acknowledgment, verified accredited investor status, and solid sponsor track record. A general LLM would almost certainly conclude 'no violation' because the product appears suitable for the clients' profile. The hidden deficiency is the firm's own internal concentration limit - a detail buried in the fact pattern that requires the model to (1) calculate liquid net worth correctly by excluding the primary residence, (2) apply the 10% cap, (3) recognize that the \$360,000 investment exceeds the \$250,000 limit, and (4) understand that violating a firm's own written supervisory procedures constitutes a regulatory violation even when the underlying recommendation is otherwise suitable. Most LLMs would not treat internal firm policies as creating enforceable regulatory obligations.

Applicable Standard

FINRA Rule 2111 (Suitability); Regulation Best Interest, 17 CFR § 240.15l-1, specifically the Care Obligation (§ 240.15l-1(a)(2)(ii)) and the Compliance Obligation (§ 240.15l-1(a)(2)(iv)); FINRA Rule 3110 (Supervision) and FINRA Rule 3120 (Supervisory Control System); FINRA Regulatory Notice 10-22 (Obligation of Broker-Dealers to Conduct Reasonable Investigations in Regulation D Offerings); NASAA Omnibus Guidelines - Statement of Policy Regarding Real Estate Investment Trusts (non-traded REIT

concentration limits, commonly 10% of liquid net worth); applicable state securities regulations on alternative investment concentration limits.

Adversarial Hypothetical 11

Topic: excessive_churning | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 62, opened a brokerage account with broker-dealer Pinnacle Securities in January 2019, designating her investment objective as 'growth and income' with a moderate risk tolerance. Her account was non-discretionary, meaning she approved each trade before execution. Her initial deposit was \$320,000 from a pension rollover. Her annual income was \$55,000, and this account represented approximately 70% of her liquid net worth. From January 2019 through May 2019, her advisor, Daniel Reeves, executed 14 trades - a mix of equity mutual funds and individual stocks - generating approximately \$4,200 in commissions. The annualized turnover ratio for this period was approximately 3.8, and the cost-to-equity ratio was roughly 11%. Starting June 1, 2019, Daniel Reeves continued managing the account. From June 2019 through December 2019, he executed an additional 41 trades. Many involved switching between similar large-cap equity mutual funds with comparable expense ratios and performance histories, often selling one fund only to buy a nearly identical alternative within days. During this second period, commissions totaled \$18,700. The annualized turnover ratio for the June-December period was approximately 7.2, and the annualized cost-to-equity ratio was approximately 24%. Margaret later stated she trusted Daniel and approved every trade he recommended because he told her he was 'rebalancing to stay ahead of market shifts.' Over the full calendar year 2019, the combined annualized turnover ratio was approximately 5.9 and the combined cost-to-equity ratio was approximately 19%. The account's net return for 2019 was negative 4.3%, while the S&P 500 returned over 28% that year.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Daniel Reeves violated applicable standards, but the analysis differs depending on the time period due to a critical regulatory transition. For trades executed from January 2019 through June 29, 2019, the traditional FINRA suitability standard under FINRA Rule 2111 applies, along with the quantitative suitability obligation (FINRA Rule 2111.05(c)). For trades executed on or after June 30, 2019, Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1) applies, as its compliance date was June 30, 2020 - however, this is the trap. Reg BI's compliance date was actually June 30, 2020, NOT June 30, 2019. Therefore, the entire year of 2019 is governed by FINRA Rule 2111 and the quantitative suitability obligation. Under FINRA Rule 2111's quantitative suitability component, churning is established when (1) the broker exercised de facto control over the account, and (2) the trading was excessive in light of the customer's investment profile. De facto control exists here because Margaret, a 62-year-old retiree with limited investment sophistication, routinely followed Daniel's recommendations without independent judgment - classic de facto control even in a non-discretionary account. Regarding excessiveness, FINRA and courts have historically considered a turnover ratio above 6 as presumptively excessive, though ratios as low as 4 can support churning findings depending on the customer's profile. The annualized cost-to-equity ratio of 19% means Margaret's account

needed to gain 19% just to break even, which is unreasonable for a moderate-risk growth-and-income investor. The second half of 2019 is particularly egregious with a 7.2 turnover ratio and 24% cost-to-equity ratio. The pattern of switching between substantially similar mutual funds (known as 'switching') further evidences that trades lacked a reasonable basis and served primarily to generate commissions. Under FINRA Rule 2111 and NASD Notice to Members 94-16 regarding mutual fund switching, this constitutes a clear violation. The fact that Margaret approved each trade does not insulate the advisor because customer consent does not negate quantitative unsuitability where de facto control exists (see also FINRA Regulatory Notice 12-25).

Common Wrong Answer

A general LLM would likely split the analysis at June 30, 2019, incorrectly applying Regulation Best Interest to the second half of the year and FINRA suitability to the first half. It might also conclude that the combined turnover ratio of 5.9 falls below the 'presumptive' threshold of 6 and therefore the churning case is weak. Some models would also find no violation because the account was non-discretionary and Margaret approved every trade, failing to recognize the doctrine of de facto control.

Why Adversarial

This scenario sets a temporal trap by spanning the full year 2019, tempting AI models to incorrectly apply Regulation Best Interest to the second half of 2019. Many LLMs mistakenly believe Reg BI became effective in mid-2019 rather than its actual compliance date of June 30, 2020. A model that splits the analysis at mid-2019 and applies different standards will produce an incorrect framework. Additionally, the non-discretionary nature of the account tempts models to conclude that customer approval of each trade negates churning, when in fact de facto control can be established even in non-discretionary accounts. The combined turnover ratio of 5.9 is also a trap - it falls just below the commonly cited '6' threshold, tempting models to say it's borderline, when in fact the period-specific ratios clearly exceed the threshold and the overall pattern with mutual fund switching is dispositive.

Applicable Standard

FINRA Rule 2111 (Suitability), including FINRA Rule 2111.05(c) (Quantitative Suitability); FINRA Regulatory Notice 12-25 (FAQ on Suitability); NASD Notice to Members 94-16 (Mutual Fund Switching); Exchange Act Section 10(b) and Rule 10b-5 (fraud-based churning claims). Regulation Best Interest (17 CFR § 240.15l-1) is NOT applicable because its compliance date was June 30, 2020, not 2019.

Adversarial Hypothetical 12

Topic: lack_of_diversification | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Trevor Dunn, age 44, was a senior software engineer at a publicly traded technology company, NovaTech Inc. His total net worth was approximately \$2.8 million, of which \$1.1 million was in his 401(k) plan diversified across index funds, \$400,000 was in real estate equity, \$200,000 in a savings account, and \$1.1 million in a brokerage account at Meridian Wealth Advisors managed by financial advisor Cynthia Park. Trevor's stated risk tolerance was 'aggressive' and his investment objective was 'maximum growth.' In March 2022, NovaTech's stock had fallen 35% from its all-time high, and Trevor became convinced the

stock was deeply undervalued. He instructed Cynthia to liquidate his diversified portfolio of 23 different holdings across multiple sectors, and to invest the entire \$1.1 million brokerage account into NovaTech stock. Cynthia had independently reviewed NovaTech and believed it was a solid company but was uncertain about the concentration risk. She discussed with Trevor the risks of holding a single stock position, particularly one tied to his employer (where he also held unvested restricted stock units worth approximately \$600,000). She documented the conversation in a detailed memo, noting Trevor's insistence and her oral warning about concentration risk. She also sent Trevor a follow-up email restating the risks, including the correlation between his employment income, his RSUs, and the proposed position. Trevor replied via email: 'I understand all the risks. I've worked at NovaTech for 12 years and I know this company better than any analyst. Please proceed with the purchase.' Cynthia executed the trades over three days, purchasing \$1.1 million in NovaTech shares. She did not ask Trevor to sign a separate written acknowledgment or risk disclosure form specific to the concentration, nor did her firm have a policy requiring one. By December 2022, NovaTech stock had declined an additional 50%, reducing the account value to approximately \$550,000. Including his RSUs (also declined significantly), Trevor's technology-sector exposure represented over 60% of his total net worth.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a close case, but Cynthia Park likely did NOT violate the applicable suitability or best interest standards, despite the devastating outcome. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe a recommendation is suitable. However, a critical threshold question is whether Cynthia made a 'recommendation' at all. Under FINRA Regulatory Notice 12-25 and established interpretive guidance, when a customer directs a specific investment without the broker's recommendation, the suitability obligation generally does not attach to that transaction. Here, Trevor independently identified NovaTech, independently determined it was undervalued, and specifically directed Cynthia to make the purchase over her objections. Under Regulation Best Interest (17 CFR § 240.15l-1), which was in effect by March 2022, the Care Obligation applies only when the broker-dealer or associated person makes a 'recommendation' to a retail customer. If Trevor's purchase was purely self-directed and unsolicited, Reg BI's Care Obligation would not apply. Cynthia went beyond what was minimally required: she discussed the concentration risks, documented the conversation, and sent a written follow-up email specifically highlighting the correlation between Trevor's employment, RSUs, and the proposed position. Trevor's emailed acknowledgment of the risks further supports that this was a client-directed transaction. That said, there are nuances that could complicate this analysis. If Cynthia had at any point previously recommended NovaTech or encouraged the position, or if she had discretionary authority, the analysis would change. Additionally, some arbitration panels have found that even for unsolicited trades, a broker who knows a transaction is clearly unsuitable may have an obligation to refuse the order - but this is a minority position and is not well-established as a bright-line rule. The lack of a separate signed concentration risk acknowledgment form is not itself a violation, as no specific rule mandates such a form for unsolicited transactions. Overall, given Trevor's aggressive risk tolerance, high net worth, sophisticated understanding of the company, explicit direction, and Cynthia's documented warnings, this likely does not constitute a violation.

Common Wrong Answer

A general LLM would likely conclude that Cynthia violated suitability or best interest standards by allowing a client to concentrate 100% of a brokerage account in a single employer stock, particularly given the correlation with employment income and RSUs. It would likely state that the advisor had a duty to refuse the order regardless of client direction, and might cite the lack of a signed concentration risk disclosure as a procedural deficiency. It would treat the disastrous outcome as evidence of the violation rather than recognizing that suitability is judged at the time of the transaction based on the recommendation framework.

Why Adversarial

This scenario is adversarial because the outcome is catastrophic (50% loss, severe concentration), which strongly biases AI models toward finding a violation. The trap is that most LLMs assume any time an advisor allows a client to concentrate in a single stock - especially an employer's stock - it must be a violation. However, the critical legal distinction between 'recommended' and 'unsolicited/client-directed' transactions is often missed or underweighted by general-purpose AI. Models also tend to ignore that suitability and Reg BI obligations are triggered by recommendations, not by all transactions. Additionally, the employer-stock correlation creates an emotionally compelling narrative of advisor failure, but the advisor's documented warnings and the client's informed, autonomous decision-making are legally significant defenses. The absence of a signed risk acknowledgment form is a red herring that tempts models to cite it as a procedural violation when no such requirement exists.

Applicable Standard

FINRA Rule 2111 (Suitability) and Supplementary Material .05(a) (customer-specific suitability); FINRA Regulatory Notice 12-25 (guidance distinguishing recommendations from unsolicited orders); Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation under paragraph (a)(2)(ii); FINRA Rule 2010 (Standards of Commercial Honor - potential catch-all but rarely applied to override client-directed trades); Exchange Act Rule 17a-3(a)(6) (order ticket marking as solicited vs. unsolicited).

Adversarial Hypothetical 13

Topic: junk_bonds_conservative_investor | Type: temporal_trap | Difficulty:

Fact Pattern

Margaret Holloway, age 71, retired schoolteacher with a \$420,000 portfolio held at Ridgemont Securities, a broker-dealer. Her account documents from March 2018 listed her investment objective as 'income with capital preservation,' risk tolerance as 'low,' annual income of \$38,000 from Social Security and a small pension, liquid net worth of \$450,000, and a 5-year time horizon. She had no prior experience with bonds rated below investment grade. In April 2019, her advisor, Derek Simmons, recommended she purchase \$63,000 (15% of her portfolio) in a diversified high-yield bond fund - the Axiom Strategic High Yield Fund - which held a basket of approximately 120 bonds rated BB and B, had an average duration of 3.2 years, a trailing 12-month yield of 5.8%, and a 5-year annualized return of 4.1% with a standard deviation of 5.9%. Derek documented in his notes that Margaret needed higher income than her current money market and Treasury holdings were generating (then yielding approximately 2.1%), that the fund's diversification mitigated individual default risk, and that the 15% allocation was modest. He also noted he reviewed the fund's prospectus, three independent analyst reports rating the fund favorably, and Morningstar data

showing the fund in the top quartile of its category for risk-adjusted returns over 5 years. Margaret agreed to the purchase after Derek explained the higher yield and the diversification. In February 2020, the fund lost 14.2% of its value during the COVID-related credit selloff, and Margaret's position dropped to approximately \$54,000 before partially recovering. She filed a complaint in June 2020 alleging the recommendation was inappropriate for someone of her age, risk tolerance, and investment objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the analysis depends critically on the applicable standard at the time of the recommendation. The recommendation was made in April 2019, which falls after the June 30, 2020 compliance date for Regulation Best Interest (Reg BI) under the Securities Exchange Act Rule 15l-1 - meaning Reg BI had been adopted (June 2019 final rule) but was NOT yet in effect. Therefore, the applicable standard was FINRA Rule 2111 (Suitability). Under FINRA Rule 2111, the advisor must have a reasonable basis to believe the recommendation is suitable for the specific customer (customer-specific suitability). Despite Derek's reasonable-basis research into the fund itself (satisfying the reasonable-basis obligation under Rule 2111.05(a)), the customer-specific suitability analysis fails. Margaret had low risk tolerance, a capital preservation objective, no experience with below-investment-grade securities, limited income, and a relatively short time horizon. High-yield bonds, even in diversified fund form, carry meaningful credit risk and volatility inconsistent with a 'low' risk tolerance and 'capital preservation' objective. FINRA has specifically addressed in Regulatory Notices (e.g., FINRA Regulatory Notice 12-03) that a diversified fund does not automatically cure suitability concerns when the underlying asset class is inconsistent with the customer's profile. The 15% allocation, while not extreme, is material for a conservative retiree. The fact that the client agreed does not cure the violation; under Rule 2111, the obligation rests on the advisor to ensure suitability regardless of customer acquiescence. Had this occurred after June 30, 2020, Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)) would impose a heightened standard requiring the advisor to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives - the analysis would likely also find a violation but under a different framework.

Common Wrong Answer

No violation. The advisor conducted thorough research, selected a diversified fund rather than individual junk bonds, limited the allocation to 15%, documented his reasoning, and obtained the client's agreement. Under Regulation Best Interest, which applied at the time, the advisor satisfied the care obligation through his diligent analysis and the modest allocation size.

Why Adversarial

The temporal trap is multi-layered. First, Reg BI was adopted in June 2019 but did not become effective until June 30, 2020 - many LLMs conflate adoption with effectiveness and may apply Reg BI to an April 2019 recommendation. Second, the advisor performed substantial and seemingly thorough research (three analyst reports, Morningstar data, prospectus review, documented rationale), which appears to satisfy reasonable-basis suitability and could trick an LLM into concluding compliance. Third, the 15% allocation in a diversified fund looks moderate, and LLMs often treat diversification as a suitability safe harbor when it is not. Fourth, the client consented, which LLMs may incorrectly treat as a defense under broker-dealer suitability standards.

Applicable Standard

FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2111.05(a) (reasonable-basis component); FINRA Regulatory Notice 12-03 (guidance on suitability of complex or risky products); note that SEC Regulation Best Interest (Exchange Act Rule 15l-1) was NOT yet effective at the time of the April 2019 recommendation (compliance date: June 30, 2020)

Adversarial Hypothetical 14

Topic: overconcentration_single_stock | Type: client_direction_trap | Difficulty:

Fact Pattern

Thomas Keane, age 52, a senior software engineer at Pinnacle Technologies, earned \$285,000 annually and had a total liquid net worth of approximately \$2.1 million. He held a brokerage account at Clearfield Financial Services and also maintained a separate investment advisory (fee-based) account at the same firm, both managed by advisor Rachel Voss. Thomas's brokerage account was valued at \$800,000 and his advisory account at \$1.3 million. In January 2023, Thomas emailed Rachel stating he wanted to purchase an additional \$650,000 of Pinnacle Technologies stock in his brokerage account using proceeds from selling diversified equity ETFs in that same account. He already held \$340,000 of Pinnacle stock in the brokerage account from prior open-market purchases and approximately \$900,000 in unvested Pinnacle RSUs and stock options in a separate employer equity plan (not held at Clearfield). If the additional purchase went through, Pinnacle stock would represent approximately \$990,000 of his \$800,000 brokerage account (he planned to deposit additional cash), roughly 47% of his total liquid net worth - or approximately 63% when including the unvested RSUs/options. Rachel responded by email documenting the concentration risk, noting that a single stock representing over 45% of liquid net worth created significant unsystematic risk, and that if his unvested equity were included, total Pinnacle exposure would approach two-thirds of his wealth. She recommended he limit the additional purchase to \$200,000 and instead diversify into a technology sector ETF for the remaining \$450,000. Thomas replied firmly: 'I understand the risk. I work at Pinnacle and know this company inside and out. I have high confidence in its growth trajectory. Please proceed with the full \$650,000 purchase.' Rachel executed the full purchase, documented Thomas's directive, his rejection of her diversification recommendation, and his stated rationale in her client file. The advisory account remained diversified across multiple asset classes. Six months later, Pinnacle stock dropped 38% following an accounting restatement, and Thomas's position lost approximately \$376,000 in value. He filed a complaint alleging overconcentration and failure to protect him from excessive single-stock risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This requires analyzing two separate standards because Thomas held both a brokerage account and an investment advisory account at the same firm. For the **BROKERAGE ACCOUNT** (where the transaction occurred): Under Regulation Best Interest (Exchange Act Rule 15l-1), which was in effect in January 2023, Rachel had a Care Obligation requiring her to exercise reasonable diligence, care, and skill in making

recommendations, and to consider the costs, risks, rewards, and reasonably available alternatives. Critically, under Reg BI, when a customer directs a specific transaction after the broker-dealer has made a different recommendation, the execution of the customer's unsolicited order is generally NOT a 'recommendation' subject to Reg BI. Rachel recommended AGAINST the full purchase and suggested a specific alternative. Thomas rejected the recommendation and directed the trade. Rachel documented the exchange thoroughly. Under FINRA Rule 2111.03, an unsolicited customer-directed transaction is not subject to the suitability requirement. However, there is a nuance: Rachel must not have 'recommended' the purchase. Her emails show she recommended against it. The execution of the client-directed order, with documented rejection of her contrary advice, likely does NOT constitute a violation in the brokerage account context. For the ADVISORY ACCOUNT: Under the Investment Advisers Act of 1940, Rachel owes a fiduciary duty to Thomas encompassing a duty of care and duty of loyalty. The fiduciary duty arguably extends to Thomas's overall financial situation, not just the advisory account in isolation. Some interpretive guidance (SEC Interpretation Regarding Standard of Conduct for Investment Advisers, June 2019) suggests an advisor must consider the client's complete financial picture. However, the transaction occurred in the brokerage account, and the advisory account remained diversified. The advisor's fiduciary duty in the advisory account does not grant her authority to block a client-directed transaction in a separate brokerage account. Overall: This is likely NOT a violation. Rachel satisfied her obligations by (1) providing a contrary recommendation with specific alternatives, (2) documenting the concentration risk, (3) documenting the client's informed directive, and (4) executing an unsolicited client-directed transaction. The key legal distinction is that client-directed transactions, after proper disclosure and documentation, are not subject to suitability or best interest obligations when the advisor has recommended otherwise.

Common Wrong Answer

Yes, violation. The advisor should have refused to execute the trade because the resulting concentration of 47-63% in a single stock created excessive unsystematic risk inconsistent with prudent investment management. As a fiduciary (via the advisory relationship) and under best interest obligations (in the brokerage account), the advisor had a duty to protect the client from his own harmful decisions, and merely documenting the risk was insufficient. The advisor should have either refused to execute the trade or escalated to compliance for a block.

Why Adversarial

This scenario creates a powerful trap because the concentration levels (47-63% of liquid net worth in a single stock) are extreme and clearly imprudent from a portfolio theory perspective, which will cause most LLMs to conclude 'violation' based on the outcome and the obvious risk. The multi-party/multi-account structure (brokerage vs. advisory at the same firm) creates confusion about which standard applies and whether fiduciary duty from the advisory account 'bleeds over' to block brokerage transactions. The client-direction trap is the core mechanism: LLMs typically do not distinguish between recommended transactions and unsolicited client-directed transactions, and they often incorrectly state that an advisor 'cannot execute' a trade they believe is unsuitable even when the client directs it after being warned. The advisor's thorough documentation, contrary recommendation, and proposed alternative actually demonstrate exemplary compliance - but the catastrophic loss and extreme concentration make this look like an obvious violation to models that focus on outcomes rather than process.

Applicable Standard

SEC Regulation Best Interest (Exchange Act Rule 15l-1), including the Care Obligation (Rule

15l-1(a)(2)(ii)(B)); FINRA Rule 2111 (Suitability), specifically FINRA Rule 2111.03 (exemption for unsolicited customer-directed transactions); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248, June 5, 2019) regarding fiduciary duty under the Investment Advisers Act of 1940; FINRA Regulatory Notice 12-25 (guidance on customer-directed transactions and documentation requirements)

Adversarial Hypothetical 15

Topic: *tax_deferred_unnecessary_annuity* | Type: *knowledge_trap* | Difficulty: *expert*

Fact Pattern

Margaret Hollis, age 58, is a public school teacher in Ohio with 27 years of service. She has accumulated \$410,000 in her employer-sponsored 403(b) plan, which is invested in a diversified mix of low-cost mutual funds with an average expense ratio of 0.18%. In March 2021, financial advisor Derek Stratton, who holds Series 6 and Series 63 licenses at Pinnacle Financial Partners, met Margaret at a retirement planning seminar hosted at her school. During their subsequent meetings, Derek recommended that Margaret roll over her entire 403(b) balance into a variable annuity - specifically, the Keystone Advantage Plus VA - which carries a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.85%, for a total all-in annual cost of approximately 2.35%. The variable annuity also carries a 7-year declining surrender charge schedule starting at 7% in year one. Derek documented in his notes that Margaret wanted 'tax-deferred growth' and 'guaranteed income in retirement.' He also noted that she was concerned about market volatility after experiencing losses in 2020. Derek's firm paid him a 5.5% upfront commission on the annuity sale, totaling approximately \$22,550. Margaret's 403(b) already provided tax-deferred growth. She had no other investment accounts and was planning to retire at age 62. Derek did complete a suitability questionnaire noting her moderate risk tolerance, her \$67,000 annual salary, her lack of other liquid savings beyond a \$12,000 emergency fund, and her desire for retirement income. He also ran an illustration showing that the annuity's optional guaranteed lifetime withdrawal benefit rider (costing an additional 1.10% annually) could provide \$18,400 per year starting at age 65. He compared this to what he estimated she might withdraw from the 403(b) using a 4% rule (\$16,400 per year), arguing the annuity provided a higher guaranteed income stream. He did not compare the annuity's guaranteed withdrawal to the Ohio State Teachers Retirement System pension Margaret was already entitled to, which would pay her approximately \$48,000 per year at age 62 based on her years of service.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. The recommendation to exchange a tax-deferred 403(b) plan into a variable annuity is a classic case of 'layering' tax deferral on top of tax deferral - the annuity provides no additional tax benefit since the 403(b) is already tax-deferred. Under FINRA Rule 2111 (Suitability) and specifically FINRA Regulatory Notice 12-55, when recommending a variable annuity purchase, a registered representative must consider whether the customer would benefit from the tax-deferred features of the annuity, and when the source of funds is already tax-deferred, this benefit is negated. Additionally, under

Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, which was effective as of June 30, 2020 and therefore applicable to this March 2021 transaction, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. The advisor failed on multiple fronts: (1) The tax-deferral rationale is hollow since the 403(b) already provides this benefit. (2) The total cost increase from approximately 0.18% to approximately 3.45% (including the GLWB rider) represents an enormous drag on returns - roughly \$13,400 per year in additional fees on a \$410,000 balance - that the advisor did not adequately weigh against the purported benefits. (3) The advisor failed to consider that Margaret's Ohio STRS pension of ~\$48,000/year already provides a substantial guaranteed income floor, making the expensive GLWB rider largely redundant for her income security needs. (4) The 7-year surrender charge locks up her only significant liquid retirement asset just as she approaches her planned retirement age of 62, creating a severe liquidity problem. (5) Under FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), the advisor and principal must determine that the customer has been informed of the material features of the annuity, that the exchange meets suitability requirements with particular attention to whether the customer would benefit from tax-deferred growth, and whether the customer has had another exchange within the preceding 36 months. The recommendation also violates the Conflict of Interest Obligation under Reg BI, as the \$22,550 upfront commission created an incentive that was not adequately mitigated, disclosed, or addressed.

Common Wrong Answer

No violation. The advisor conducted a suitability analysis, documented the client's goals of tax-deferred growth and guaranteed income, ran a comparison showing higher guaranteed income from the annuity, and completed a suitability questionnaire. While the costs were higher, the guaranteed lifetime income benefit addressed the client's stated concern about market volatility and provided a quantifiably higher guaranteed income stream than the 4% withdrawal rule from the 403(b). The recommendation was reasonable given the client's objectives.

Why Adversarial

A general LLM might be tricked by the advisor's seemingly thorough documentation: he completed a suitability questionnaire, ran an income illustration, and documented the client's stated goals. The illustration showing higher guaranteed income (\$18,400 vs. \$16,400) appears to support the recommendation on its face. The trap requires the model to recognize the specific regulatory concern about layering tax deferral on existing tax-deferred accounts, to understand the significance of the omitted pension analysis (which makes the GLWB rider redundant), and to know that FINRA Rule 2330 imposes heightened scrutiny specifically for variable annuity exchanges. Many LLMs would focus on the surface-level documentation and the income comparison, potentially concluding the advisor acted reasonably. The knowledge trap is that the model must know the specific prohibition/heightened scrutiny around tax-deferred-to-annuity transactions under Rule 2330 and the layering concern.

Applicable Standard

FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Regulatory Notice 12-55 (guidance on variable annuity suitability, specifically addressing tax-deferred to tax-deferred exchanges); Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, including the Care Obligation (§ 240.15l-1(a)(2)(ii)(B)) and Conflict of Interest Obligation (§ 240.15l-1(a)(2)(iv)); SEC Adopting Release No. 34-86031 (June 5, 2019)

Adversarial Hypothetical 16*Topic: market_timing_unsuitable | Type: multi_party | Difficulty: expert*

Fact Pattern

Between January 2019 and December 2020, two financial advisors at different branch offices of Broadline Securities were independently servicing the accounts of the Castellano Family Trust. The trust had \$2.8 million in assets and was established to provide for the college education of four grandchildren, ages 2, 5, 8, and 11. The trust document specified a moderate growth objective with capital preservation as a secondary goal, and the trustee, Rosa Castellano (age 71), had indicated in her account opening documents that the trust had a long-term time horizon (10+ years) and moderate risk tolerance. Advisor #1, Paul Yevchenko, managed approximately \$1.6 million of the trust assets at the firm's Manhattan office. He maintained a diversified portfolio of index funds and investment-grade bonds, with an average annual turnover ratio of approximately 22%. He made no short-term trades and rebalanced quarterly. Advisor #2, Nina Garza, managed the remaining \$1.2 million at the firm's New Jersey office. Nina pursued what she described in her notes as a 'tactical allocation strategy' designed to 'capture sector momentum and protect against downturns.' Between January 2019 and December 2020, Nina executed 287 trades in the trust's account, generating an annual turnover ratio of approximately 480%. She frequently moved the portfolio between equity sector ETFs, inverse ETFs, leveraged ETFs, and money market funds, often holding positions for 3 to 12 trading days. During the COVID-19 market downturn in March 2020, Nina moved 90% of her portion into inverse S&P 500 ETFs for 8 trading days, then rotated into leveraged technology ETFs for the subsequent recovery. Over the two-year period, Nina's portion of the account generated gross returns of 14.2%, but after accounting for \$127,000 in transaction costs, commissions, and ETF expense ratios, the net return was -3.8%. Paul's portion returned 18.6% net of all costs over the same period. The trust's combined blended return was approximately 8.5% net. Nina earned approximately \$94,000 in commissions from the trust account over the two-year period. Broadline Securities' supervisory system flagged Nina's account for high turnover in Q3 2019, but the branch manager reviewed the flag and cleared it, noting that 'the advisor has a documented tactical strategy and the overall trust performance is satisfactory when viewed across both accounts.' Rosa Castellano never complained and, when asked at an annual review, stated she was 'happy with how things are going overall' and trusted both advisors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Nina Garza violated applicable suitability and best interest standards, and Broadline Securities failed in its supervisory obligations. Under FINRA Rule 2111 and its three core obligations - reasonable-basis suitability, customer-specific suitability, and quantitative suitability - Nina's trading activity fails on multiple grounds. First, quantitative suitability (FINRA Rule 2111.05(c)) is violated when an advisor with de facto control over an account engages in excessive trading. A 480% annual turnover ratio is dramatically above the thresholds that have historically been found excessive; FINRA enforcement actions and case law have generally treated turnover ratios above 4-6 as presumptively excessive, and cost-to-equity ratios are also relevant. Here, the \$127,000 in costs on a \$1.2 million account over two years yields an annualized cost-to-equity ratio of approximately 5.3%, meaning the account needed to earn over 5% annually just to break even - far in excess of what is reasonable for a moderate-risk trust account. Second,

customer-specific suitability is violated because the use of inverse ETFs, leveraged ETFs, and rapid sector rotation with 3-12 day holding periods is fundamentally inconsistent with the trust's documented moderate growth objective, capital preservation secondary goal, and 10+ year time horizon. Under Regulation Best Interest (effective June 30, 2020, applicable to trades after that date), the Care Obligation requires that Nina could not place her interest in generating commissions ahead of the trust's interest, and the cost of her strategy (\$127,000 in friction costs producing negative net returns) demonstrates that reasonably available alternatives - such as the approach Paul used - would have been materially superior. The fact that Rosa Castellano expressed general satisfaction does not cure the violation; customer acquiescence does not establish suitability (see FINRA Regulatory Notice 12-25). Third, Broadline Securities violated its supervisory obligations under FINRA Rule 3110 (Supervision). The branch manager's rationale for clearing the exception - blending performance across two independently managed accounts - is fundamentally flawed. Suitability is evaluated on a per-account or per-recommendation basis, not by averaging performance across separate advisory relationships. The supervisor's clearance effectively masked the excessive trading in Nina's portion by relying on Paul's sound management to dilute the overall numbers. This represents a supervisory system failure. Notably, Paul Yevchenko did not violate any standards; his management was consistent with the trust's objectives and generated reasonable net returns with appropriate turnover.

Common Wrong Answer

No violation, or at most a minor supervisory concern. The trust's overall blended return of 8.5% was positive and reasonable for a moderate growth objective. Nina's gross returns of 14.2% demonstrated that her tactical strategy was generating alpha. The trustee was informed and expressed satisfaction. The firm's supervisory system flagged the activity and it was reviewed and cleared by a branch manager with documented rationale. While Nina's trading was more active than Paul's, different advisors may employ different strategies, and tactical allocation is a legitimate investment approach. The client's informed consent and the positive overall trust performance suggest the recommendations were suitable.

Why Adversarial

This scenario creates multiple traps for general-purpose AI models. First, the multi-party structure tempts the model to evaluate the trust holistically - the combined 8.5% blended return looks reasonable, and the client expressed satisfaction. A model might incorrectly conclude that the overall outcome was satisfactory. Second, the client direction trap element (Rosa said she was 'happy') might lead a model to conclude there was no harm or no violation. Third, the supervisor's documented clearance of the exception flag might lead a model to conclude the firm adequately addressed the concern. Fourth, Nina's 14.2% gross return is actually above-market, which might trick a model into thinking her strategy was successful - the model must recognize that net returns (after costs) are what matter, and that -3.8% net versus 18.6% net from an alternative approach within the same trust is dispositive. Fifth, the model must correctly identify that suitability is evaluated per-advisor/per-account, not blended across the trust.

Applicable Standard

FINRA Rule 2111 (Suitability), including Rule 2111.05(c) (Quantitative Suitability); FINRA Rule 2330 (where applicable to product-specific concerns); Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation and Conflict of Interest Obligation (applicable to recommendations made after June 30, 2020); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-25 (FAQ on Suitability, addressing customer acquiescence); FINRA Regulatory Notice 12-55; relevant FINRA arbitration and enforcement precedent

establishing turnover ratios above 4-6 and cost-to-equity ratios above 20% as presumptively excessive

Adversarial Hypothetical 17

Topic: *concentration_risk* | Type: *subtle_violation* | Difficulty: *expert*

Fact Pattern

Margaret Olsen, age 58, retired early from a pharmaceutical company in 2022 with a \$2.1 million rollover IRA and no other significant assets. Her stated investment objective was 'growth and income' with a 'moderate' risk tolerance. She told her advisor, Kevin Pratt at Ridgeline Wealth Partners, that she needed the portfolio to generate approximately \$70,000 per year in income to cover living expenses, as she had no pension. Kevin constructed a diversified portfolio: 15% in a broad U.S. equity index fund, 10% in international equities, 5% in a REIT fund, and 70% allocated across six different investment-grade corporate bond funds from six different fund families. Kevin documented that the 70% bond allocation was appropriate given Margaret's income needs and moderate risk profile. He noted that corporate bonds historically offered higher yields than Treasuries while maintaining investment-grade quality. Each of the six bond funds held between 200 and 500 individual bonds, and no single issuer represented more than 3% of any fund. The overall portfolio generated a yield of approximately 4.8%, producing roughly \$100,000 annually - more than Margaret's stated need. Kevin reviewed the portfolio quarterly, and over 18 months, the allocation remained steady. In late 2023, rising interest rates caused the portfolio to decline by approximately \$185,000. Margaret complained that she was not told that having 70% in corporate bonds - all of which had durations between 6 and 9 years - constituted a concentration in a single asset class and exposed her to significant interest rate risk, and that a portion should have been in shorter-duration instruments or Treasuries to reduce that exposure given her reliance on the portfolio for living expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Although Kevin superficially diversified across six different bond fund families, the portfolio was effectively concentrated in a single asset class - intermediate-to-long duration investment-grade corporate bonds - at 70% of total assets. Under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation (Rule 2111.05(c)), an advisor must ensure that a recommendation is suitable for the particular customer based on that customer's investment profile, including age, financial situation, needs, time horizon, and risk tolerance. For a 58-year-old retiree with no pension and no other significant assets who depends on this portfolio for 100% of her living expenses, concentrating 70% in a single asset sub-class with significant duration risk (6-9 years) fails customer-specific suitability. The fact that the bonds were spread across six fund families creates an illusion of diversification, but concentration risk is measured by asset class and risk factor exposure, not merely by the number of different product wrappers. FINRA has repeatedly noted in regulatory guidance (e.g., Regulatory Notice 12-03 on complex products and concentration) that over-concentration in a single sector, asset class, or correlated group of securities can render a recommendation unsuitable even when individual holdings appear prudent. Additionally, under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill to understand the risks

and rewards and have a reasonable basis for believing the recommendation is in the customer's best interest considering all factors, including concentration risk. The excessive duration exposure relative to Margaret's need for capital preservation and income stability - where shorter-duration bonds or a bond ladder mixing Treasuries and corporates would have substantially reduced interest rate risk - demonstrates a failure to consider reasonably available alternatives. The over-yield (generating \$100,000 vs. the \$70,000 needed) further suggests the portfolio took on more risk than necessary to meet her stated objectives.

Common Wrong Answer

No violation. The advisor diversified across six different bond fund families with hundreds of underlying holdings and no single-issuer concentration above 3%. The 70% bond allocation is consistent with a moderate risk tolerance for a near-retiree who needs income, and all holdings were investment-grade quality. The loss was caused by market-wide interest rate increases, not advisor misconduct.

Why Adversarial

A general LLM would likely focus on the apparent diversification - six different fund families, hundreds of underlying bonds, no single issuer exceeding 3% - and conclude there was no concentration. The trap is that concentration risk applies at the asset class and risk factor level (duration, credit spread exposure), not just the issuer level. Most LLMs conflate diversification across product names with diversification across actual risk factors. Additionally, the fact that the portfolio exceeded her income needs and was investment-grade quality makes it appear conservative and suitable on the surface, masking the hidden duration concentration problem.

Applicable Standard

FINRA Rule 2111 (Suitability), including Rule 2111.05(c) (Customer-Specific Suitability); FINRA Regulatory Notice 12-03 (concentration guidance); Regulation Best Interest, 17 CFR 240.15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 18

Topic: penny_stocks_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Derek Simmons, age 34, a software engineer earning \$185,000 per year with \$420,000 in liquid assets and no debt, opened a brokerage account with Coastal Securities LLC in March 2023. He listed his investment objective as 'speculation,' risk tolerance as 'aggressive,' and investment experience as 'extensive - 12 years of active trading including options, futures, and micro-cap stocks.' On his new account form, he specifically checked a box indicating he had prior experience with low-priced securities and understood the risks. In April 2023, Derek called his registered representative, Anna Chen, and directed her to purchase 500,000 shares of Vortex Nano Solutions Inc. (VNSI), a company trading at \$0.08 per share on the OTC Pink marketplace. The total purchase was \$40,000 plus a \$75 commission. Anna had never heard of VNSI and could not locate any analyst coverage, audited financial statements, or recent public filings for the company. She found a bare-bones company website describing VNSI as a 'pre-revenue nanotechnology startup.' Anna disclosed to Derek verbally that the stock was extremely risky, that she could find no financial information, and that he could lose his entire investment. Derek responded, 'I know, I've done my own

research on this one - I follow their CEO on Twitter and I'm in an investor Discord. Just execute the trade.' Anna processed the trade. She did not provide Derek with a written risk disclosure document specific to penny stocks prior to the transaction, nor did she obtain a signed suitability statement from Derek for this particular transaction. Two months later, VNSI was halted by regulators for suspected fraud, and the shares became worthless.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation - but not primarily on general suitability grounds. The violation is procedural under the specific penny stock rules. Under Exchange Act Section 15(h) and Exchange Act Rule 15c-2 through 15c-9 (the penny stock rules), before effecting a transaction in a 'penny stock' (generally defined under Rule 3a51-1 as an equity security trading below \$5 per share that does not meet certain exemptions), a broker-dealer must: (1) approve the customer's account for penny stock transactions and obtain a written suitability determination (Rule 15c-9(b)) that is specific to the penny stock transaction, documenting the customer's financial situation, investment experience, and investment objectives, and that the transaction is suitable; (2) provide a written risk disclosure document (the 'penny stock disclosure document' required by Rule 15c-2) and receive a signed acknowledgment before the transaction; and (3) disclose current quotation and compensation information (Rules 15c-3, 15c-4, 15c-5). Anna failed to provide the mandatory written penny stock risk disclosure document and failed to obtain the required written, transaction-specific suitability statement. These are mandatory procedural requirements that cannot be waived by the customer, regardless of the customer's sophistication, stated experience, or direction to execute. The general new account form checkboxes do not substitute for the transaction-specific penny stock suitability statement. Verbal disclosure of risk, while good practice, does not satisfy the written disclosure mandate. The fact that Derek was an experienced, aggressive speculator with a suitable financial profile for the dollar amount at risk does NOT exempt the broker from the penny stock procedural requirements. Under Regulation Best Interest's Care and Compliance Obligations, the firm must also have policies to ensure these specific penny stock procedures are followed. The trade direction from the client does not relieve the advisor of this duty.

Common Wrong Answer

No violation. Derek is a sophisticated, high-income investor with extensive trading experience who specifically directed the trade. His aggressive/speculative profile makes this a suitable recommendation (or rather, an unsolicited order). Anna verbally warned him of the risks. The \$40,000 position is less than 10% of his liquid assets. Client-directed trades in speculative securities by experienced investors do not violate suitability requirements.

Why Adversarial

This scenario is designed to make it look like the trade is clearly suitable on the merits - Derek is young, wealthy, experienced, aggressive, speculative, and the position is less than 10% of liquid assets. A general LLM will focus on general suitability analysis and likely conclude 'no violation' because the customer profile matches the risk. The trap is the penny stock-specific procedural requirements, which are mandatory written disclosure and suitability steps that go beyond general suitability and cannot be cured by customer direction, verbal disclosure, or even a genuinely suitable customer profile. Most LLMs do not know the specific penny stock rules (15c-2 through 15c-9) and their mandatory written documentation requirements,

separate from general suitability.

Applicable Standard

Exchange Act Rules 15c-2 (risk disclosure document), 15c-9 (suitability statement for penny stocks), 15c-3 through 15c-5 (quotation and compensation disclosures); Exchange Act Rule 3a51-1 (definition of penny stock); Exchange Act Section 15(h); FINRA Rule 2111 (Suitability); Regulation Best Interest, 17 CFR 240.15l-1(a)(2)(ii) (Care Obligation) and (a)(2)(iv) (Compliance Obligation); FINRA Rule 2010

Adversarial Hypothetical 19

Topic: options_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Ellison, age 58, retired schoolteacher with a \$420,000 IRA and \$95,000 in a taxable brokerage account, had been a client of broker David Chen at Ridgeline Securities since 2014. Her account documents from 2014 listed her investment objective as 'income with moderate growth,' risk tolerance as 'moderate,' annual income of \$52,000 (then still working), liquid net worth of \$500,000, and investment experience as 'limited - mutual funds and CDs only.' In March 2019, Margaret attended a free dinner seminar hosted by David where he discussed using covered call strategies to generate income in retirement. She expressed interest. David updated her account profile in April 2019 to reflect 'options experience: 1 year (educational),' changed her investment objective to 'income and speculation,' and obtained her signature on options agreement paperwork approving her for Level 2 options trading (covered calls and cash-secured puts). Between May 2019 and January 2020, David executed 34 covered call transactions on blue-chip stocks in her IRA, generating approximately \$18,400 in premium income. The trades were all covered calls on diversified large-cap positions she already held. Starting in February 2020, as markets became volatile, David began writing cash-secured puts on individual tech stocks in her taxable account - 12 transactions total through June 2020. Three of these puts were assigned, requiring Margaret to purchase \$67,000 worth of volatile tech stocks at above-market prices, resulting in unrealized losses of \$23,000. Margaret's brokerage account paperwork was updated again in June 2020 during the firm's annual review, but this time a new comprehensive account form was used by Ridgeline Securities that included a 'customer investment profile' section with more granular risk questions. Margaret filled out the new form indicating risk tolerance as 'conservative,' time horizon as '5-10 years,' and stating her primary goal was 'preservation of retirement savings.' David continued writing cash-secured puts in her taxable account through September 2020, adding 6 more transactions. The firm had adopted new transaction-level review procedures effective June 1, 2020, replacing its prior account-level review approach for recommendations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, there are violations, but the analysis differs by time period due to the regulatory transition. For transactions before June 30, 2020, FINRA Rule 2111 (Suitability) applies. The covered call transactions in the IRA (May 2019-January 2020) are likely suitable - covered calls on existing diversified blue-chip

holdings for income generation are generally consistent with a moderate-risk, income-oriented profile, and Level 2 options approval was obtained. However, the cash-secured puts on volatile individual tech stocks in the taxable account (February-June 2020) raise serious suitability concerns even under Rule 2111, because Margaret's original profile indicated limited experience and moderate risk tolerance, and writing puts on volatile tech stocks obligated her to purchase securities inconsistent with her profile. The profile update in April 2019 adding 'speculation' as an objective appears to have been engineered to justify the options strategy rather than reflecting a genuine change in customer circumstances, which implicates FINRA Rule 2111's customer-specific suitability obligation and potentially FINRA Rule 2010 (Standards of Commercial Honor). For transactions on or after June 30, 2020, Regulation Best Interest (Reg BI) under the Securities Exchange Act Rule 15l-1 applies. The June 2020 updated profile explicitly showed Margaret as conservative with a preservation goal. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), David was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of each recommended transaction and have a reasonable basis to believe each recommendation was in Margaret's best interest at the time, considering her updated investment profile. Continuing to write cash-secured puts after June 2020 on her newly documented conservative profile is a clear violation of Reg BI's Care Obligation. Additionally, under FINRA Rule 2360 (Options), the firm has a continuing obligation to ensure options trading remains appropriate given updated customer information. The firm's failure to restrict options activity after the June 2020 profile update showing conservative risk tolerance also implicates supervisory obligations under FINRA Rules 3110 and 2360(b)(16). The key temporal trap is that the standard of care shifted mid-conduct from suitability to best interest, and the June 2020 profile update created an unambiguous factual record making the continued put-writing indefensible under either standard.

Common Wrong Answer

A general LLM would likely either (1) find all options transactions violated suitability because Margaret was a retired schoolteacher with limited experience, ignoring that covered calls on existing blue-chip holdings can be appropriate for income-oriented moderate-risk investors, or (2) apply a single uniform standard across the entire time period without recognizing the Reg BI transition date, or (3) find no violation because the advisor obtained options approval paperwork and updated the customer profile, treating the formal documentation as dispositive.

Why Adversarial

This scenario is adversarial because it spans the June 30, 2020 Reg BI implementation date, requiring the model to apply different standards to different transactions by the same advisor in the same account. A general LLM might either apply only the old suitability standard to all transactions, or only Reg BI, rather than bifurcating the analysis. Additionally, the covered calls in the IRA are likely compliant (trapping models that say everything was a violation), while the cash-secured puts are problematic under both regimes but for slightly different analytical reasons. The profile update in June 2020 creates a factual pivot point that changes the analysis for post-June transactions - models may miss that the updated profile makes previously arguable trades clearly impermissible. The manufactured profile change in April 2019 is a subtle but important violation that models may overlook because the advisor technically did 'update the profile.'

Applicable Standard

FINRA Rule 2111 (Suitability) for transactions before June 30, 2020; SEC Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation, for transactions on or after June 30, 2020; FINRA Rule 2360

(Options) regarding ongoing appropriateness of options trading; FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 20

Topic: overconcentration_single_stock | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Thomas Brennan, age 45, is a senior software engineer at a publicly traded cloud computing company called NovaTech Inc. His total net worth is approximately \$3.8 million, of which \$2.1 million consists of vested NovaTech stock and options acquired through his employment compensation packages over 12 years. His remaining assets include \$680,000 in a 401(k) diversified across index funds, \$410,000 in a joint brokerage account with his wife, \$320,000 in home equity, and \$290,000 in cash and savings. Thomas opened a new advisory account with financial advisor Rachel Simmons at Birchwood Wealth Partners in January 2023. During the onboarding process, Rachel conducted a thorough financial assessment and prepared a written financial plan. The plan explicitly noted that NovaTech stock represented approximately 55% of Thomas's total net worth and recommended a systematic diversification strategy to reduce the single-stock concentration to below 25% over 18 months through a combination of planned sales, exchange funds, and protective collar options. Thomas reviewed the plan, discussed it in two separate meetings (January 15 and February 3, 2023), and then sent Rachel an email on February 10, 2023 stating: 'I appreciate the diversification analysis but I want to keep my NovaTech position intact. I've been with the company since the Series B and I believe the stock will double in the next two years based on their AI product pipeline. Please invest the \$410,000 in the joint brokerage account however you see fit, but do not sell, hedge, or otherwise touch my NovaTech shares. I understand and accept the concentration risk.' Rachel responded by email acknowledging his instructions, documented the conversation in her CRM system with a note saying 'Client explicitly declined diversification recommendation despite thorough explanation of concentration risk. Client wishes to maintain full NovaTech position. Will manage non-NovaTech assets per plan parameters.' She then managed the \$410,000 joint account in a well-diversified allocation. She also sent Thomas quarterly reminders (April, July, October 2023, and January 2024) each time reiterating her recommendation to diversify, and each time Thomas declined in writing. In March 2024, NovaTech stock declined 62% following an accounting restatement, reducing Thomas's NovaTech holdings from \$2.1 million to approximately \$800,000 and his total net worth from \$3.8 million to roughly \$2.5 million.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Rachel Simmons did not violate the applicable standards, despite the devastating outcome. As a financial advisor at an advisory firm, Rachel was subject to the fiduciary duty under the Investment Advisers Act of 1940, Sections 206(1) and 206(2), which impose a duty of care and loyalty. She is also subject to the SEC's interpretive guidance on fiduciary duty from the June 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers. Rachel fulfilled her duty of care by conducting a thorough financial assessment, identifying the concentration risk, preparing a written financial plan recommending

diversification, discussing the recommendation in multiple meetings, and providing the recommendation in documented form. The critical question is whether a fiduciary can accept a client's informed refusal to follow advice regarding assets the client has directed the advisor not to manage. The answer is yes, with proper documentation. The SEC has recognized that an advisor's fiduciary duty encompasses providing suitable advice, but a client retains the right to accept or reject that advice. When a client makes an informed decision to reject advice after full disclosure of risks, the advisor is not required to terminate the relationship or override the client's autonomy. Rachel's conduct meets best practices: (1) she made the affirmative recommendation to diversify; (2) she explained the risks; (3) the client explicitly acknowledged the concentration risk in writing; (4) she documented the client's refusal; (5) she continued to raise the issue quarterly, demonstrating ongoing attention to the duty of care; (6) she managed the assets under her discretion in a diversified, appropriate manner. Under FINRA Rule 2111, if applicable to any brokerage component, the suitability obligation attaches to 'recommended transactions or investment strategies involving securities.' Rachel recommended diversification - the client rejected it. She did not recommend the concentrated position; it pre-existed. Under Reg BI (if broker-dealer capacity applied), the Care Obligation similarly applies to recommendations made, and Rachel's recommendation was to diversify. She cannot force execution. The key nuance is that overconcentration cases typically involve advisors who either (a) recommended building the concentrated position, (b) failed to identify or disclose the risk, or (c) failed to recommend diversification. Rachel did none of these - she identified the risk, recommended against it, and was overruled by an informed client.

Common Wrong Answer

A general LLM would likely answer that Rachel violated her duties because she 'allowed' a client to maintain a dangerously concentrated position representing 55% of net worth, reasoning that a fiduciary has an affirmative obligation to ensure diversification and cannot simply defer to a client's wishes when the position poses such extreme risk. The model might cite the general principle that fiduciaries must act in clients' best interests and argue that accepting the client's instruction to maintain concentration was itself a violation, or that Rachel should have terminated the relationship if the client refused to diversify.

Why Adversarial

This scenario is adversarial because the outcome is terrible (\$1.3 million in losses), the concentration level is extreme (55% of net worth), and many models are biased toward finding violations when clients suffer large losses from concentrated positions. The trap is that the advisor actually did everything right - the violation models expect to find (failure to diversify) was recommended but rejected by the client. A general LLM may struggle with the principle that an advisor can fulfill their fiduciary duty while a client maintains an objectively risky position, as long as the advisor properly advised against it and documented the client's informed refusal. Models may also incorrectly argue that the advisor had a duty to refuse the engagement, liquidate the position, or terminate the relationship - none of which is required.

Applicable Standard

Investment Advisers Act of 1940, Sections 206(1) and 206(2); SEC Commission Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248, June 2019); FINRA Rule 2111 (Suitability) to the extent brokerage recommendations were involved; SEC Regulation Best Interest (17 CFR 240.15l-1) if broker-dealer capacity applied; FINRA Regulatory Notice 12-25 (guidance on suitability obligations, including discussion of customer-directed transactions)

Adversarial Hypothetical 21

Topic: mutual_fund_switching_churning | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Helms, age 58, a retired schoolteacher with \$410,000 in a brokerage account, had been invested in the Vanguard Growth Index Fund (Class A shares) since 2014. Her stated objectives were long-term growth and capital preservation, with a moderate risk tolerance. In March 2019, her longtime advisor, Paul Denton, recommended she switch from the Vanguard Growth Index Fund into the Fidelity Contrafund (Class A shares), citing Fidelity's stronger 3-year performance numbers. Margaret paid a 5.25% front-end load on the new purchase totaling \$21,525. The Fidelity fund had a similar expense ratio (0.86% vs. 0.80%) and overlapping top-10 holdings with her existing fund. Six months later, in September 2019, Paul recommended another switch from the Fidelity Contrafund into the T. Rowe Price Blue Chip Growth Fund (Class A shares), again citing recent outperformance. Margaret paid another front-end load of 5.75%, totaling \$22,713.75 on the \$395,000 balance. Paul documented in his notes each time that the new fund had superior trailing returns and that Margaret verbally agreed to the switches. Paul's firm changed its supervisory framework and compliance obligations effective June 30, 2020, but the transactions all occurred before that date. Paul received the standard dealer concession on each transaction. Margaret's account value at the end of 2019 was \$388,200, representing a net loss of \$21,800 from her starting balance, while a hypothetical buy-and-hold in the original Vanguard fund would have yielded approximately \$445,000 over the same period. Margaret filed a complaint in January 2021, alleging the switches were unnecessary and costly.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Paul Denton violated the applicable suitability standard. Because both switches occurred before June 30, 2020 - the effective date of Regulation Best Interest - the transactions are governed by FINRA Rule 2111 (Suitability) and specifically FINRA Rule 2111.05(a), which addresses quantitative suitability, and NASD IM-2310-2 (now incorporated into FINRA guidance), which specifically addresses mutual fund switching. Under the FINRA switching standard, a representative recommending a switch from one mutual fund to another must have a reasonable basis to believe the switch is suitable after considering: (1) the expense differential, including surrender charges and new sales loads; (2) whether the customer has a short-term or long-term investment horizon; (3) the similarity of the existing and recommended funds; and (4) any tax implications. Here, the two switches generated over \$44,000 in front-end loads on substantially similar large-cap growth funds with nearly identical expense ratios and overlapping holdings. Paul's sole documented justification - slightly superior trailing returns - is insufficient because past performance does not constitute a reasonable basis for incurring duplicative sales charges, particularly when the funds are functionally interchangeable. The quantitative cost of the switches (\$44,238.75 in loads alone) against a \$410,000 account represents roughly 10.8% of account value consumed by transaction costs in six months, which is facially unreasonable. Under FINRA Regulatory Notice 12-25, the switch analysis must examine whether the customer would recoup the new sales charges within a reasonable time frame, which was not demonstrated. Even though Reg BI (effective June 30, 2020) would apply a heightened standard, it is not the governing standard here - FINRA Rule 2111 alone is sufficient to find a violation. Paul's receipt of

dealer concessions also creates an undisclosed conflict under FINRA Rule 2111.05(b) (customer-specific suitability) since the recommendations served his financial interest at the customer's expense.

Common Wrong Answer

A general LLM would likely analyze this under Regulation Best Interest (since the complaint was filed in 2021) and either apply the wrong standard or conclude the advisor met his obligations because he documented performance comparisons and obtained verbal consent for each transaction. Some models might also incorrectly focus on whether the individual funds were 'suitable' in isolation rather than analyzing the switch itself and its associated costs.

Why Adversarial

This scenario is a temporal trap because general LLMs are likely to analyze the complaint (filed January 2021) under Regulation Best Interest, which became effective June 30, 2020. However, the relevant transactions occurred in March 2019 and September 2019 - both before Reg BI's effective date. The correct governing standard is FINRA Rule 2111 and associated switching guidance, not Reg BI. Additionally, LLMs may be tempted to find the switches acceptable because the advisor documented his rationale and obtained client consent, but documented trailing performance alone is legally insufficient to justify switches between substantially similar funds with duplicative loads.

Applicable Standard

FINRA Rule 2111 (Suitability), FINRA Rule 2111.05(a) (Quantitative Suitability), FINRA Rule 2111.05(b) (Customer-Specific Suitability), NASD IM-2310-2 (Fair Dealing with Customers - Switching), FINRA Regulatory Notice 12-25 (Suitability and Mutual Fund Transactions), FINRA Regulatory Notice 07-06 (Mutual Fund Switching). Note: Regulation Best Interest (17 CFR § 240.15l-1) is NOT applicable because its effective date of June 30, 2020, postdates the transactions.

Adversarial Hypothetical 22

Topic: private_placements_unsuitable | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Dr. Anand Krishnamurthy, age 42, is a cardiologist earning \$780,000 annually with a liquid net worth of \$2.4 million and total net worth of \$4.1 million (including his home and retirement accounts). He has extensive investment experience, holding a diversified portfolio of equities, bonds, and alternative investments. He told his advisor, Rebecca Stahl, that he wanted to allocate 15-20% of his liquid portfolio to higher-yielding alternatives for income diversification. Rebecca spent three weeks conducting due diligence on a private real estate debt fund called Meridian Capital Income Fund III, which offered a projected 9.5% annual yield through mezzanine loans on commercial properties. She reviewed the fund's offering memorandum, audited financials for the prior two vintage funds (Meridian I returned 8.2% annualized; Meridian II returned 9.1% annualized), the backgrounds of the fund's principals (all with 20+ years of commercial real estate experience), and an independent third-party due diligence report commissioned by her broker-dealer. She verified that Dr. Krishnamurthy met the accredited investor thresholds and confirmed his investment sophistication through a detailed questionnaire. She recommended a \$360,000 investment (15% of liquid net worth). She disclosed all fees, including a 2% management fee, 20% carried interest above an 8%

preferred return, and a 3-year lockup with no early redemption. However, Rebecca did not investigate or disclose that Meridian's fund manager had a side arrangement where 40% of the fund's origination fees (approximately 1.5% of capital deployed) were paid to a consulting entity wholly owned by the fund manager's spouse. This arrangement was buried in a footnote on page 87 of the 112-page offering memorandum. Rebecca's firm's due diligence department had flagged this arrangement in an internal memo as a 'related-party conflict warranting enhanced disclosure,' but this memo was never forwarded to Rebecca or any producing advisors. Dr. Krishnamurthy invested the \$360,000. Eighteen months later, the fund performed in line with projections, paying the expected distributions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Rebecca Stahl violated the applicable standards, though the analysis is nuanced. The investment itself was quantitatively suitable: Dr. Krishnamurthy was an accredited investor, the 15% allocation was within his stated objectives, and the product's risk-return profile matched his goals. However, under FINRA Rule 2111 and Regulatory Notice 12-03 (Know Your Product), a broker has a reasonable-basis suitability obligation that requires an adequate understanding of the product before recommending it. This includes understanding material conflicts of interest within the product's structure. The related-party fee arrangement - where 40% of origination fees flowed to the fund manager's spouse's entity - is a material conflict of interest that affects the alignment of the fund manager's incentives with investors. The fund manager has an incentive to originate loans to generate fees rather than to maximize risk-adjusted returns. Rebecca's failure to identify this conflict means she did not have a reasonable basis to recommend the product, even though she conducted substantial diligence in other respects. Under FINRA Regulatory Notice 10-22 (Obligation of Broker-Dealers to Conduct Reasonable Investigations in Regulation D Offerings), broker-dealers recommending private placements must conduct a reasonable investigation of the issuer, which includes identifying and evaluating related-party transactions. The fact that Rebecca's own firm's due diligence department identified this issue but failed to communicate it to her does not absolve her of the obligation - it creates a potential supervisory violation under FINRA Rule 3110 as well. Additionally, under Regulation Best Interest's disclosure obligation (Component Obligation under 17 CFR § 240.15l-1(a)(2)(i)), if the transaction occurred after June 30, 2020, the advisor had an obligation to disclose all material facts relating to conflicts of interest associated with the recommendation. The related-party fee arrangement is precisely the type of conflict that must be disclosed. The fact that the fund ultimately performed well does not retroactively cure the violation - suitability and best interest are evaluated at the time of the recommendation based on what was known or should have been known.

Common Wrong Answer

A general LLM would likely conclude there was no violation because: (1) Rebecca conducted extensive due diligence over three weeks, (2) she reviewed audited financials, principal backgrounds, and a third-party report, (3) the client was clearly accredited and sophisticated, (4) the allocation was within stated parameters, (5) the fund performed as projected, and (6) the undisclosed conflict was buried in the offering memorandum in a way that arguably makes it disclosed. The LLM would likely view the firm's failure to forward the internal memo as a firm-level supervisory issue rather than an individual advisor violation.

Why Adversarial

This is a reasonable-basis trap because Rebecca did extensive, genuine due diligence - far more than

many advisors. The client was wealthy, sophisticated, accredited, and the allocation was conservative. The fund performed as expected. A general LLM is likely to conclude this is compliant because: (1) the advisor did thorough research, (2) the client was suitable, (3) the investment performed well, and (4) the undisclosed conflict was buried deep in offering documents that Rebecca reasonably relied on her firm's due diligence team to review. However, the reasonable-basis suitability obligation is non-delegable - an advisor cannot simply rely on her firm's due diligence department without independently understanding the product's material features, including related-party conflicts. The subtlety is that the violation is not about the product being 'wrong' for the client but about the advisor not fully understanding what she was recommending.

Applicable Standard

FINRA Rule 2111 (Suitability) - particularly reasonable-basis suitability under FINRA Rule 2111.05(a); FINRA Regulatory Notice 12-03 (Know Your Product and Know Your Customer); FINRA Regulatory Notice 10-22 (Obligation of Broker-Dealers to Conduct Reasonable Investigations in Regulation D Offerings); FINRA Rule 3110 (Supervision); Regulation Best Interest 17 CFR § 240.15l-1(a)(2)(i) (Disclosure Obligation) and 17 CFR § 240.15l-1(a)(2)(ii) (Care Obligation), if transaction occurred after June 30, 2020.

Adversarial Hypothetical 23

Topic: *illiquid_investments* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Owens, age 62, has been a client of broker-dealer Pinnacle Securities since 2014. She has a moderate risk tolerance, a liquid net worth of \$1.8 million, and her primary investment objective is income generation for her upcoming retirement in 2020. In March 2019, her longtime broker, David Kessler, recommended she invest \$270,000 (15% of her liquid net worth) into a non-traded REIT called Heartland Medical Properties Trust, which focused on healthcare real estate and paid an 8% annual distribution. Kessler conducted a detailed analysis of the REIT's financials, distribution coverage ratio, and underlying property portfolio. He documented that Margaret's income needs could be partially served by the REIT's distributions and that her remaining liquid assets were more than sufficient for her other needs. Margaret signed all required disclosure documents acknowledging the illiquid nature of the investment, the lack of a secondary market, the expected 7-10 year holding period, and the risks of distribution cuts. In June 2020, after Margaret retired and began drawing on her portfolio, the REIT suspended distributions due to pandemic-related tenant defaults. Margaret complained that the investment was unsuitable because she could not access the \$270,000 and the income she was counting on vanished. Kessler's firm had adopted a new internal standard effective January 1, 2020 - six months before the complaint - that required all new recommendations involving illiquid alternative investments to satisfy a heightened standard requiring the advisor to demonstrate that the recommendation was in the customer's best interest considering reasonably available alternatives. However, the recommendation was made in March 2019, nine months before this new standard took effect at the firm. Pinnacle Securities was a broker-dealer that had also been subject to the industry-wide transition to a new federal standard for broker recommendations that took effect June 30, 2020. Margaret's complaint was filed in August 2020.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This case requires analyzing which standard applied at the time of the recommendation in March 2019. At that time, the applicable standard was FINRA Rule 2111 (Suitability), not Regulation Best Interest (Reg BI), which did not take effect until June 30, 2020. Additionally, the firm's own internal heightened standard for illiquid alternatives did not take effect until January 1, 2020. Therefore, the March 2019 recommendation must be evaluated solely under FINRA Rule 2111. Under Rule 2111, the broker must have a reasonable basis to believe the recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Here, Kessler documented his analysis: the \$270,000 allocation represented 15% of Margaret's \$1.8 million liquid net worth, leaving \$1.53 million in liquid assets. He analyzed the REIT's fundamentals. Margaret's stated objective was income generation, and the REIT paid 8% distributions. She was 62 with retirement planned for 2020, giving her a moderate but not immediate liquidity need. The 15% concentration in an illiquid product, while significant, does not per se violate suitability standards. FINRA Regulatory Notice 09-09 provides guidance on non-traded REITs and notes that concentration in illiquid investments should generally not exceed a customer's stated risk tolerance and liquidity needs, but does not set a hard percentage cap (though many states impose a 10% cap via blue sky laws - the facts do not specify the state). Under the customer-specific suitability prong of Rule 2111, the recommendation appears defensible given the documented analysis, the customer's substantial remaining liquidity, and the alignment with income objectives. The subsequent suspension of distributions due to an unforeseeable pandemic does not retroactively render the recommendation unsuitable. This is likely NOT a violation under the standard applicable at the time of recommendation. Neither Reg BI nor the firm's internal heightened standard can be applied retroactively to a March 2019 recommendation.

Common Wrong Answer

Yes, the advisor violated the best interest standard because placing 15% of a near-retiree's liquid net worth into a non-traded REIT with a 7-10 year lockup was not in the client's best interest, especially given her imminent retirement and income needs. The advisor should have considered reasonably available liquid alternatives that could provide income without sacrificing liquidity.

Why Adversarial

A general LLM is likely to apply Reg BI (which took effect June 30, 2020) retroactively to the March 2019 recommendation, or apply the firm's January 2020 internal standard retroactively, both of which would be incorrect. The temporal layering of three different standards (FINRA 2111 at time of recommendation, firm internal standard effective Jan 2020, and Reg BI effective June 2020) creates a trap. Additionally, the sympathetic fact pattern - elderly retiree who lost income and liquidity - biases models toward finding a violation. LLMs also tend to conflate state-level concentration limits (often 10%) with federal suitability requirements, potentially concluding the 15% allocation was per se excessive.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three component obligations: reasonable-basis, customer-specific, and quantitative suitability; FINRA Regulatory Notice 09-09 (Suitability of Non-Traded REITs); Regulation Best Interest (17 CFR § 240.15I-1), effective June 30, 2020, NOT applicable retroactively to March 2019 recommendations; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 24*Topic: concentration_risk | Type: multi_party | Difficulty: hard*

Fact Pattern

Dr. Samuel Reeves, age 48, is a successful orthopedic surgeon earning \$950,000 annually. He has investment accounts at two separate broker-dealer firms. At Firm A (Sterling Wealth Partners), his broker Janet Liu manages a \$2.1 million account. At Firm B (Horizon Financial Group), his broker Carlos Mendes manages a \$900,000 account. His total investable assets across both accounts are \$3 million. Dr. Reeves has an aggressive risk tolerance and a long-term growth objective documented at both firms. In September 2023, Dr. Reeves told Janet Liu at Firm A that he wanted to invest heavily in the artificial intelligence sector. Liu recommended allocating \$1.05 million (50% of his Firm A account) into a diversified basket of 12 different AI-related equities and two AI-focused ETFs. She documented her analysis of each holding, stress-tested the portfolio segment, and noted that the allocation represented 35% of his total known assets (she was aware he had approximately \$900,000 at another firm because Dr. Reeves had mentioned it during their planning discussions, though she had no formal visibility into that account). Separately, in October 2023, Dr. Reeves independently directed Carlos Mendes at Firm B to invest \$630,000 (70% of his Firm B account) into three individual AI semiconductor stocks - a much more concentrated bet. Mendes asked about his other holdings, and Dr. Reeves said his Firm A account was 'mostly in index funds and bonds.' Mendes documented this response and proceeded with the trades, noting the customer's aggressive risk tolerance and high income. In reality, after both sets of transactions, Dr. Reeves had \$1.68 million - 56% of his total \$3 million portfolio - concentrated in AI-related investments across both firms. When AI stocks declined 35% in early 2024, Dr. Reeves lost approximately \$588,000 and filed complaints against both brokers, alleging excessive concentration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This requires separate analysis for each broker under Regulation Best Interest (17 CFR § 240.15l-1), effective June 30, 2020, and FINRA Rule 2111. For Janet Liu (Firm A): Liu recommended a 50% allocation to AI-related securities within the Firm A account. However, she was aware of the Firm B account (~\$900,000), which means the \$1.05 million AI allocation represented approximately 35% of Dr. Reeves' total known assets. Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)(B)), the broker must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. Liu diversified across 12 equities and two ETFs, documented her analysis, stress-tested the allocation, and considered the customer's total financial picture including known outside assets. A 35% sector allocation for an aggressive investor with high income and a long time horizon, spread across multiple holdings, is aggressive but defensible. Liu likely did NOT violate the applicable standard. For Carlos Mendes (Firm B): Mendes has a more problematic situation. He concentrated 70% of the Firm B account (\$630,000) into just three individual semiconductor stocks - a highly concentrated, undiversified position within a narrow sub-sector. Critically, Mendes asked about outside holdings and was told the Firm A account was 'mostly in index funds and bonds,' which was false. Under Reg BI and FINRA Rule 2111, the broker is entitled to rely on customer-provided information about their financial situation. FINRA Rule 2111.04 (Supplementary Material) specifically states that a broker can rely on a customer's statements

about their financial profile unless the broker has reason to believe those statements are inaccurate. Here, Mendes had no independent reason to doubt Dr. Reeves' representation about his Firm A holdings. Based on the information Mendes had, the \$630,000 in AI semiconductors represented approximately 21% of total assets (if Firm A was indeed mostly conservative), which is within a reasonable range for an aggressive investor. However, the concentration of 70% of the Firm B account in just three stocks in a single sub-sector is itself problematic from a reasonable-basis suitability perspective, regardless of outside holdings. Three individual stocks in one narrow sub-sector creates significant idiosyncratic risk. Under the Care Obligation of Reg BI and FINRA's customer-specific suitability requirement, Mendes should have recommended greater diversification within the AI allocation or documented why such extreme concentration was appropriate. Mendes likely VIOLATED the applicable standard - not because of the cross-firm concentration he couldn't see, but because a 70% account concentration in three stocks within a single sub-sector fails reasonable-basis suitability even for aggressive investors.

Common Wrong Answer

Both advisors violated their obligations because collectively they allowed 56% of the client's total assets to be concentrated in a single sector, and each advisor had a duty to understand the client's total financial picture before making recommendations. Alternatively, some models would say neither violated because the client is aggressive and directed his own investments.

Why Adversarial

This scenario is adversarial for several reasons. First, the multi-party structure tempts models to either find both brokers liable (because the aggregate concentration was 56%) or neither liable (because each acted within their own information set). The correct answer is split - one compliant, one in violation - for different reasons. Second, the client's lie to Mendes about his Firm A holdings creates a trap: models must know that brokers may generally rely on customer representations under FINRA Rule 2111.04, which shifts blame away from Mendes on the cross-firm concentration issue. Third, the subtle distinction between why Mendes violated - not because of total portfolio concentration but because of the extreme within-account concentration in three stocks - requires nuanced understanding of both reasonable-basis and customer-specific suitability as distinct obligations.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), particularly the Care Obligation (Component Obligation (ii)); FINRA Rule 2111 (Suitability), including reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)); FINRA Rule 2111.04 (Supplementary Material - reliance on customer-provided information); FINRA Regulatory Notice 12-25 (Additional Guidance on Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 25

Topic: complex_products_unsophisticated_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Olsen, age 58, is a retired school cafeteria worker with a \$145,000 rollover IRA, a high school diploma, and no prior investment experience beyond a savings account. Her account application from

March 2019 listed her risk tolerance as 'moderate,' her investment objective as 'growth and income,' her annual income as \$24,000 from Social Security, and her liquid net worth as \$28,000. In May 2019, her advisor, Craig Dempsey at Wellington Wealth Partners, recommended she invest \$72,500 - exactly half her IRA - into a leveraged exchange-traded fund (ETF) that provided 2x daily exposure to the S&P 500 index. Craig had attended a wholesaler presentation on leveraged ETFs the prior month and prepared a one-page comparison showing that the S&P 500 had returned an average of 10% annually over the past decade, projecting that the 2x leveraged ETF would therefore return approximately 20% annually. He showed this analysis to Margaret, who said she understood and signed a general acknowledgment form stating she understood she was purchasing an ETF. Craig's notes reflect that he explained the product was 'like a regular index fund but with more upside potential.' Margaret held the position continuously. By February 2020, prior to the COVID crash, compounding decay and volatility drag had already reduced the position's value to \$64,200 despite the S&P 500 being up during that period. After the March 2020 crash, the position was worth \$19,800. Margaret filed a complaint in June 2020. Wellington Wealth Partners was a broker-dealer that also had an investment advisory affiliate, but Margaret's account was a commission-based brokerage account. Craig had been registered as a broker since 2016 and had no disciplinary history. The firm had an internal product review committee that had approved the leveraged ETF for sale on its platform but had issued a bulletin in January 2019 stating that leveraged and inverse ETFs were 'generally suitable only for sophisticated investors with short-term trading horizons' and required supervisory pre-approval for positions exceeding \$25,000 in retirement accounts. Craig did not obtain this pre-approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the analysis requires careful attention to which standard applied at the time of the recommendation. The recommendation was made in May 2019. The SEC's Regulation Best Interest (Reg BI) under Exchange Act Rule 15l-1 did not become effective until June 30, 2020. Therefore, the applicable standard at the time of the recommendation was FINRA's suitability rule under FINRA Rule 2111 and the related reasonable-basis and customer-specific suitability obligations. Under FINRA Rule 2111, there are three components: (1) Reasonable-basis suitability requires the advisor to have a reasonable basis to believe the recommendation is suitable for at least some investors, based on reasonable diligence. Craig's analysis was fundamentally flawed - leveraged ETFs are designed to achieve their stated multiple on a DAILY basis and are subject to volatility decay over longer holding periods. His projection of 20% annual returns from a 2x daily leveraged product reflects a failure to understand the product's mechanics, violating the reasonable-basis obligation. FINRA Regulatory Notice 09-31 specifically warned that leveraged ETFs 'are typically not suitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' (2) Customer-specific suitability requires the recommendation to be suitable for the particular customer. Margaret is a 58-year-old retiree with no investment experience, low income, limited liquid net worth, and the IRA represents the bulk of her retirement savings. A 2x leveraged ETF with daily rebalancing and compounding risk in a buy-and-hold retirement account is plainly unsuitable for this customer profile. (3) Quantitative suitability is less directly at issue but the 50% concentration in a single complex product in a retirement account is relevant to the overall suitability analysis. Additionally, Craig violated his own firm's internal supervisory procedures by failing to obtain pre-approval for a leveraged ETF position exceeding \$25,000 in a retirement account,

which, while not itself a FINRA rule violation, constitutes a violation of FINRA Rule 3110 (supervisory obligations) on the firm's part and demonstrates Craig's disregard of internal risk controls. The general acknowledgment form Margaret signed stating she understood she was purchasing 'an ETF' is insufficient - it does not reflect that the specific risks of leveraged ETFs (daily rebalancing, compounding decay, volatility drag, unsuitability for buy-and-hold) were disclosed, and in any event, customer consent does not cure an unsuitable recommendation under FINRA Rule 2111.

Common Wrong Answer

A general LLM would likely say 'Yes, violation of Regulation Best Interest' and analyze under Reg BI's Care Obligation and Disclosure Obligation, citing the SEC's standard rather than FINRA Rule 2111. Some LLMs might also incorrectly conclude that because the client signed an acknowledgment and the product was approved on the firm's platform, there is a partial defense or mitigating factor, or might fail to identify the reasonable-basis suitability prong as independently violated by the advisor's flawed understanding of how leveraged ETFs work.

Why Adversarial

A general LLM is likely to analyze this under Reg BI (which is the more current and well-known standard) rather than FINRA Rule 2111, which was the operative standard in May 2019. Reg BI did not take effect until June 30, 2020. The temporal trap means the correct legal framework is the older suitability standard, not the newer best interest standard. Additionally, an LLM might focus on whether the client 'consented' by signing the acknowledgment form, or might think that the firm's internal approval of the product on its platform provides a defense. The LLM might also incorrectly apply Reg BI's component obligations (Care, Disclosure, Conflict of Interest, Compliance) rather than the three-pronged FINRA suitability framework. The answer is the same - violation - but the reasoning and legal basis differ materially, and getting the standard wrong could undermine the entire analysis in a real proceeding.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). Note: SEC Regulation Best Interest (Exchange Act Rule 15l-1) was NOT yet effective at the time of the May 2019 recommendation (effective date: June 30, 2020) and does not apply.

Adversarial Hypothetical 26

Topic: tax_deferred_unnecessary_annuity | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Dennis Whitaker, age 71, is a retired mechanical engineer with a \$1.2 million traditional IRA, a \$350,000 taxable brokerage account, a paid-off home worth \$480,000, and monthly pension income of \$5,800. He has been taking required minimum distributions from his IRA since age 70½. His wife, Sandra, age 68, is the sole beneficiary of all accounts. Dennis has been a client of financial advisor Paula Reeves at Crosspoint Financial Services since 2015. In September 2021, Dennis told Paula he was concerned about two things: (1) guaranteeing that Sandra would have lifetime income if he died first, and (2) protecting a

portion of their retirement savings from a stock market crash, since they had experienced significant losses in 2008 and 2009 that took years to recover from. Paula conducted a thorough analysis. She reviewed Dennis's full financial picture, documented his concerns in detail, assessed multiple product categories, and ultimately recommended that Dennis move \$400,000 from his traditional IRA into a fixed indexed annuity with a guaranteed lifetime withdrawal benefit rider inside a new IRA annuity. The annuity had a 7-year surrender period with declining charges starting at 7%, an annual rider fee of 1.10%, a 0% floor on index-linked returns with a 5.5% annual cap, and the guaranteed lifetime withdrawal benefit would pay 5.2% annually of the benefit base for life for Dennis, continuing at 100% for Sandra as surviving spouse. Paula's written analysis noted that: (a) the annuity provided principal protection from market downturns, addressing Dennis's fear of a repeat of 2008-2009; (b) the guaranteed lifetime withdrawal benefit would provide Sandra approximately \$20,800 per year for life if Dennis predeceased her, addressing his spousal protection concern; (c) while the IRA was already tax-deferred, the annuity was not being purchased for tax deferral but rather for the insurance guarantees (principal protection and lifetime income); (d) the \$400,000 represented only one-third of the IRA, leaving \$800,000 in diversified investments for growth and RMD flexibility; and (e) the 7-year surrender period, while Dennis was already 71, was mitigated by the fact that the guaranteed withdrawal benefit allowed penalty-free withdrawals of \$20,800 per year, which exceeded his proportional RMD needs from that portion of the IRA. Paula also documented that she considered but rejected alternatives: a bond ladder (wouldn't provide lifetime income guarantee or spousal continuation), a systematic withdrawal plan from a balanced fund (wouldn't protect against sequence-of-returns risk), and an immediate annuity (would sacrifice liquidity entirely and wouldn't allow any growth participation). Dennis agreed and the transaction was processed. Paula received a commission of \$20,000 (5% of the \$400,000 premium). No advisory fee was charged on the annuity portion. Crosspoint Financial Services is a registered broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is likely technically compliant, though it represents a close case. The recommendation was made in September 2021, after Regulation Best Interest (Reg BI) under Exchange Act Rule 15l-1 became effective on June 30, 2020. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the product, understand the customer's profile, and have a reasonable basis to believe the recommendation is in the customer's best interest without placing her own financial interest ahead of the customer's. Paula appears to satisfy each prong: (1) She understood the product's features, costs, and risks, including the surrender schedule, rider fees, caps, and withdrawal provisions. (2) She thoroughly understood Dennis's profile, including his specific stated concerns (spousal income protection and downside market protection), his overall financial picture, and his experience with 2008-2009 losses. (3) She had a reasonable basis for the recommendation - the annuity was not recommended for tax deferral (the classic 'unnecessary annuity in an IRA' trap) but for legitimate insurance features: principal protection and guaranteed lifetime income with spousal continuation. Her documented analysis explicitly addressed why the annuity was being placed inside an already tax-deferred account. (4) She considered reasonably available alternatives and documented why each was rejected. The common criticism of placing annuities inside IRAs - that you are 'paying for tax deferral you already have' - does not apply when the annuity is purchased for its insurance guarantees rather than its tax treatment. FINRA Regulatory Notice 20-18 (regarding Reg BI compliance) and prior guidance in Regulatory Notice 10-05 (Annuity Transactions)

acknowledge that annuities inside qualified accounts can be appropriate when the recommendation is driven by insurance features. The surrender period concern (7 years for a 71-year-old) is mitigated by the penalty-free withdrawal provision under the rider, and the fact that only one-third of the IRA was annuitized, leaving substantial liquidity. The RMD issue is addressed because the guaranteed withdrawal amount exceeds the proportional RMD. The commission, while substantial, is a standard industry commission for fixed indexed annuities and does not by itself establish a Reg BI violation, though under the Conflict of Interest Obligation, the firm must have policies to identify and disclose or mitigate such conflicts. Assuming standard CRS and commission disclosures were made, this appears compliant.

Common Wrong Answer

A general LLM would likely say 'Yes, violation - placing an annuity inside an already tax-deferred IRA is unnecessary because the tax-deferral benefit of the annuity is redundant, the surrender charges are inappropriate for a 71-year-old who needs RMD flexibility, and the 1.10% rider fee plus the cap on returns makes this more expensive than alternatives.' The LLM would likely cite the general principle against annuities in IRAs without recognizing the specific insurance-guarantee justification, the documented alternative analysis, the proportional allocation, or the penalty-free withdrawal provision that addresses the RMD concern.

Why Adversarial

This scenario is designed to trigger the reflexive response that placing a variable or fixed indexed annuity inside a tax-deferred IRA is always or presumptively a violation because 'you're paying for tax deferral you already have.' Many AI models have been trained on content that emphasizes this common criticism, and they will likely conclude this is a violation based on that heuristic alone. However, the scenario is carefully constructed so that the annuity was recommended NOT for tax deferral but for specific insurance guarantees (principal protection and guaranteed lifetime income with spousal continuation) that address documented client concerns. The advisor did substantial due diligence, documented her rationale, considered alternatives, and only allocated one-third of the IRA. The reasonable-basis trap works because the advisor did research AND reached a defensible conclusion - the trap for the LLM is that it will assume the conclusion must be wrong because of the 'annuity in an IRA' heuristic.

Applicable Standard

SEC Regulation Best Interest (Exchange Act Rule 15l-1), effective June 30, 2020 - specifically the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Disclosure Obligation, and Conflict of Interest Obligation; FINRA Regulatory Notice 20-18 (Reg BI and Form CRS guidance); FINRA Regulatory Notice 10-05 (Annuity Transactions and Suitability); FINRA Rule 2111 (Suitability, as supplementary guidance); applicable state insurance suitability regulations under the NAIC Suitability in Annuity Transactions Model Regulation (revised 2020, adopting best interest standard for annuity recommendations).

Adversarial Hypothetical 27

Topic: penny_stocks_unsuitable | Type: knowledge_trap | Difficulty:

Fact Pattern

In March 2024, financial advisor Derek Huang at Coastal Securities, a mid-size broker-dealer, was

approached by longtime client Patricia Yung, age 58, a retired schoolteacher with a \$340,000 portfolio. Patricia's account documents listed her risk tolerance as 'moderate,' her investment objective as 'income with preservation of capital,' her annual income as \$52,000 from pension and Social Security, her liquid net worth as \$340,000, and her investment experience as 'limited - mutual funds and CDs only.' Patricia told Derek she had been reading online forums about a company called NovaBridge Therapeutics (ticker: NVBT), trading at \$0.38 per share on the OTC Pink marketplace, with no SEC reporting obligations. Patricia said her neighbor had made 'a killing' on the stock and she wanted to buy 30,000 shares - roughly \$11,400, or about 3.4% of her portfolio. Derek reviewed NovaBridge and found it had no revenues, no audited financials, a market cap of approximately \$8 million, average daily volume of about 12,000 shares, and had been subject to a promotional email campaign. Derek noted that the position size was small relative to Patricia's portfolio and that she was specifically requesting the trade. Before executing the trade, Derek verbally told Patricia that penny stocks are risky and that she could lose her entire investment. Patricia confirmed she wanted to proceed. Derek executed the purchase. He did not, however, provide Patricia with a written penny stock risk disclosure document before the transaction, nor did he obtain a written suitability statement signed by Patricia specifically for the penny stock transaction. He also did not provide Patricia with a written statement of the current bid and ask prices for NVBT or disclose the compensation the firm would receive on the trade in writing before execution. Three weeks later, NVBT's price dropped to \$0.04 per share and trading was halted by regulators due to suspected market manipulation. Patricia lost approximately \$10,260.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek violated applicable requirements on multiple independent grounds. First, regarding penny stock-specific obligations: Under SEC Rule 15g-2 (the 'penny stock' rules under Section 15(g) of the Securities Exchange Act of 1934), before effecting a transaction in a penny stock (generally an equity security trading below \$5 per share not listed on a national exchange and not meeting certain exemptions), a broker-dealer must (a) approve the customer's account for penny stock transactions by obtaining a written suitability statement signed by the customer that sets forth the customer's financial situation, investment experience, and investment objectives, and by making a determination that penny stock transactions are suitable (Rule 15g-9); (b) provide the customer with a written risk disclosure document describing the risks of penny stocks and the customer's rights (Rule 15g-2); (c) provide written disclosure of the current quotation (bid/ask) for the penny stock (Rule 15g-3); and (d) provide written disclosure of the broker-dealer's and salesperson's compensation in connection with the transaction (Rule 15g-4 and 15g-5). Derek failed to satisfy any of these written requirements. A verbal warning about risk does not substitute for the mandated written disclosures. These are affirmative, non-waivable obligations that apply regardless of customer direction. Second, under FINRA Rule 2111 (Suitability), even though the position was only 3.4% of the portfolio, the customer-specific suitability analysis (Rule 2111.05) for a customer with limited experience, moderate risk tolerance, income and preservation objectives, and reliance on a fixed income stream makes a speculative, unaudited, promotional OTC Pink stock unsuitable. The fact that the customer requested the trade does not relieve Derek of his suitability obligation; the 'customer-specific' component of Rule 2111 still requires the advisor to determine the recommendation is suitable. Although FINRA's 'unsolicited' exemption sometimes applies, the penny stock rules under Section 15(g) apply regardless of whether the transaction was solicited or unsolicited (with narrow exemptions under Rule 15g-1 that do not

apply here because Patricia is not an accredited investor and does not have an established account with regular penny stock transactions). Third, under Regulation Best Interest (Reg BI, Rule 15l-1 under the Exchange Act, effective June 30, 2020), if Derek made a recommendation (and even facilitating a customer-directed trade with affirmation can constitute a recommendation under the facts), he had a Care Obligation requiring him to exercise reasonable diligence, care, and skill, and a Disclosure Obligation requiring full written disclosure of material facts including risks and compensation - which he failed to provide in writing. The violation is clear and multi-layered.

Common Wrong Answer

No violation. The trade was unsolicited and customer-directed, the position was a small percentage of the portfolio (only 3.4%), and the advisor verbally warned the client about the risks. A customer has the right to direct trades in her own account, and the small allocation does not pose a meaningful risk to the overall portfolio. The advisor acted reasonably by cautioning Patricia before executing her requested trade.

Why Adversarial

A general-purpose LLM is likely to focus exclusively on the small position size (3.4%) and the fact that the customer specifically requested the trade, concluding that since it was an unsolicited, small allocation and the advisor gave a verbal risk warning, there was no violation. Most LLMs do not know the specific penny stock disclosure rules under Section 15(g) of the Exchange Act (Rules 15g-2 through 15g-9), which impose mandatory written disclosure and written suitability statement requirements that apply regardless of position size and regardless of whether the trade was solicited. These are strict, procedural requirements with no de minimis exception. The trap is that the 'obvious' suitability analysis (small position, customer-directed) points toward compliance, while the penny stock-specific regulatory framework creates clear, independent violations that require specialized knowledge.

Applicable Standard

SEC Rules 15g-2, 15g-3, 15g-4, 15g-5, and 15g-9 under Section 15(g) of the Securities Exchange Act of 1934 (Penny Stock Rules); FINRA Rule 2111 (Suitability), including Supplementary Material .05 (Components of Suitability - Customer-Specific Suitability); Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), including the Care Obligation (Rule 15l-1(a)(2)(ii)) and Disclosure Obligation (Rule 15l-1(a)(2)(i)); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 28

Topic: *illiquid_real_estate_investment* | Type: *reasonable_basis_trap* | Difficulty:

Fact Pattern

In January 2023, financial advisor Melinda Rojas at Pinnacle Wealth Advisors, a dually registered broker-dealer and investment adviser, recommended that her client, Dr. Stephen Okafor, invest \$175,000 in the Grandview Realty Income Fund III, a non-traded real estate investment trust (REIT) focused on Class A medical office buildings in the Sun Belt region. Dr. Okafor was 47 years old, an orthopedic surgeon earning \$620,000 annually, with a liquid net worth of approximately \$2.8 million and a total net worth (including his home and practice equity) of approximately \$5.5 million. His stated investment objectives were 'growth and income' with a 'moderately aggressive' risk tolerance, and he had a time horizon of 15+ years until

retirement. He had prior experience investing in publicly traded REITs but had never invested in a non-traded REIT before. Melinda conducted substantial due diligence on Grandview III: she reviewed the prospectus, attended a due diligence conference hosted by the sponsor, analyzed the track record of two prior Grandview funds (both of which had returned capital plus 7-9% annualized returns upon liquidation), reviewed the medical office market outlook from three independent research firms showing favorable demographic trends, and confirmed that the fund's 6.5% distribution rate was supported by operating cash flows rather than return of capital. The fund had a minimum seven-year hold period, early redemption was limited to hardship circumstances with a 10% penalty, and the total front-end load (including selling commissions and dealer manager fees) was 10%. The \$175,000 investment represented 6.25% of Dr. Okafor's liquid net worth. Pinnacle's internal policy required that non-traded REIT investments not exceed 10% of a client's liquid net worth, and Melinda confirmed the allocation was within this limit. Melinda explained the illiquidity, the hold period, the early redemption penalty, and the front-end fees to Dr. Okafor verbally during their meeting. Dr. Okafor signed an acknowledgment form confirming he understood the investment was illiquid and long-term. However, what Melinda did not consider or discuss was that Dr. Okafor had recently disclosed during their annual review in November 2022 that he was planning to leave his surgical practice within 18-24 months to pursue a lower-paying academic research position, which would reduce his annual income to approximately \$180,000. Melinda's notes from that meeting confirmed this discussion, but her suitability analysis for the Grandview III recommendation in January 2023 was based on his current \$620,000 income and did not incorporate the anticipated income change. Additionally, Dr. Okafor mentioned during the January meeting that he and his wife were considering purchasing a vacation property in the next two years for approximately \$400,000, which would require a significant cash outlay. Melinda noted this verbally but did not update his client profile or factor it into the suitability analysis.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Melinda violated the applicable suitability and best interest standards despite her seemingly thorough due diligence on the product itself. Under FINRA Rule 2111 (Suitability), the suitability obligation has three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the individual customer), and quantitative suitability. Melinda satisfied reasonable-basis suitability - she conducted genuine, documented due diligence on Grandview III and had a reasonable basis to believe the product could be suitable for some investors. However, she failed the customer-specific suitability prong. FINRA Rule 2111.04 requires that an advisor consider all factors reasonably available, including information the customer discloses. Dr. Okafor had disclosed two material facts: (1) an imminent income reduction from \$620,000 to \$180,000 within 18-24 months, and (2) a planned \$400,000 cash outlay for a vacation home within two years. Melinda's own notes confirmed knowledge of the income change. A \$175,000 illiquid investment with a 7-year minimum hold and 10% early redemption penalty is fundamentally unsuitable for a client who is about to experience a 71% income reduction and who has disclosed a near-term need for significant liquidity. Under the anticipated income of \$180,000, the client's financial profile changes dramatically - the illiquid allocation becomes far more consequential if the client needs liquidity for the real estate purchase or to maintain lifestyle during the income transition. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the customer's best

interest in light of the customer's investment profile, which expressly includes 'other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance' (Rule 15l-1(a)(2)(ii)(B)). Known anticipated changes to income and known near-term liquidity needs are squarely within the 'financial situation and needs' and 'liquidity needs' factors. By basing her analysis on stale income figures while possessing actual knowledge of the imminent change, Melinda failed the Care Obligation. The fact that she met Pinnacle's internal 10% concentration limit is irrelevant - firm concentration guidelines are minimum compliance thresholds, not safe harbors, and do not substitute for individualized suitability or best interest analysis. Additionally, under FINRA Rule 2310 (Direct Participation Programs), which applies to non-traded REITs, the advisor must have reasonable grounds to believe the investment is suitable based on the customer's financial situation and needs, including liquidity needs. The violation is not in the product due diligence (which was adequate) but in the failure to incorporate known, material customer-specific information into the suitability determination.

Common Wrong Answer

No violation. Melinda conducted extensive due diligence on the Grandview III fund, the allocation was only 6.25% of Dr. Okafor's liquid net worth (well within the firm's 10% limit), the client had a moderately aggressive risk tolerance with a 15+ year time horizon, his income of \$620,000 and net worth of \$5.5 million easily supported the investment, the product's fundamentals were sound, and the client signed an acknowledgment form confirming he understood the illiquidity. The recommendation was suitable for a high-income professional with substantial wealth.

Why Adversarial

This scenario is adversarial because the advisor did extensive, genuine product-level due diligence - attending conferences, reviewing track records, analyzing distribution sustainability, checking concentration limits - which makes the recommendation appear thoroughly researched and compliant on the surface. A general LLM is likely to weigh the strong due diligence, the client's high income, the relatively modest 6.25% allocation, the signed acknowledgment form, and the firm concentration compliance as dispositive evidence of compliance. The trap is that reasonable-basis suitability (product research) does not cure a customer-specific suitability failure. The critical deficiency is subtle: the advisor had actual documented knowledge of an imminent, dramatic income change and a near-term liquidity need but failed to incorporate these known facts into her analysis. Most LLMs do not distinguish between the three components of suitability and will conflate thorough product research with overall compliance.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .04 (Customer's Investment Profile) and the three components: reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2310 (Direct Participation Programs - applicable to non-traded REITs); Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), particularly the Care Obligation (Rule 15l-1(a)(2)(ii)(B)) and Disclosure Obligation (Rule 15l-1(a)(2)(i)); FINRA Regulatory Notice 09-09 (Suitability of non-conventional investments); FINRA Regulatory Notice 12-55 (Heightened supervision for complex products); NASAA Omnibus Order regarding non-traded REIT concentration and suitability standards

Adversarial Hypothetical 29

Topic: *overconcentration_single_stock* | Type: *client_direction_trap* | Difficulty: *expert*

Fact Pattern

Margaret Holloway, age 71, is a retired school principal with a \$1.2 million brokerage account at Ridgemont Securities. Her account profile lists her investment objective as 'income with moderate growth,' risk tolerance as 'moderate,' liquid net worth of \$1.4 million (the brokerage account being the vast majority), and a 10-year time horizon. She receives a \$2,800/month pension and \$2,200/month Social Security. In January 2023, Margaret's grandson, who works in the biotech industry, told her about Nexagen Therapeutics, a mid-cap biotech company that had recently received breakthrough therapy designation for a promising cancer drug. Margaret called her advisor, David Park, and asked him to purchase \$50,000 of Nexagen stock. David executed the trade. Over the next six months, Nexagen rose 180%. Margaret called David repeatedly - in March, May, July, and September 2023 - each time directing him to buy more Nexagen. David executed each trade as directed. By October 2023, Margaret's account held \$785,000 in Nexagen Therapeutics stock (approximately 65.4% of her total portfolio of \$1.2 million), with the remainder in a diversified mix of investment-grade bonds and blue-chip dividend stocks. David had not sent any written communication to Margaret about the concentration risk at any point. He did not document any conversations about diversification. He did not escalate the matter to his branch manager or the firm's compliance department. When asked later, David stated: 'She's a smart woman. She told me what to buy. I'm not going to argue with a customer who's making money.' In November 2023, Nexagen's drug trial failed Phase III, and the stock dropped 74% in a single week, reducing Margaret's portfolio to approximately \$580,000. Margaret filed a complaint alleging that David should have warned her and refused to continue concentrating her life savings in a single volatile biotech stock.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, David Park violated applicable suitability and best interest obligations despite the fact that Margaret directed each trade. Under FINRA Rule 2111 (Suitability), the obligation applies at three levels: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Even for unsolicited trades, FINRA has made clear through Regulatory Notices (e.g., FINRA Regulatory Notice 12-25) and enforcement actions that a broker cannot ignore concentration risk simply because the customer requested the trades. While a single unsolicited transaction might not trigger suitability concerns, a *series* of transactions resulting in a dangerous concentration pattern constitutes an implicit *strategy* that triggers customer-specific suitability analysis under Rule 2111.04. The rule explicitly states that a recommended 'investment strategy involving a security' includes explicit and implicit recommendations to hold or accumulate a position. By repeatedly executing buy orders without any documented discussion of concentration risk, diversification, or the mismatch between Margaret's moderate risk tolerance, income-oriented objective, age, and the resulting 65.4% concentration in a single volatile biotech stock, David effectively endorsed and facilitated a strategy that was unsuitable. Additionally, under Regulation Best Interest (Reg BI) - applicable since June 30, 2020 - the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) requires the broker to exercise reasonable diligence, care, and skill in making recommendations, and the compliance obligation extends to understanding the risks and ensuring alignment with the customer's profile. Under Reg BI's Disclosure Obligation and Care Obligation, even when a customer directs trades, a broker-dealer must still consider the overall portfolio context and warn the customer about material risks. David's failure to document any risk conversations, failure to send any written concentration warnings, and failure to escalate to compliance all represent clear violations. The 'unsolicited defense' does not shield

David here because the pattern of accumulation constitutes a de facto strategy recommendation, and the broker has an ongoing duty of care that is not extinguished by customer direction alone.

Common Wrong Answer

No violation. Margaret directed every single trade herself, making them unsolicited. An advisor is not obligated to refuse a customer's direct instructions to purchase securities. Margaret was a competent adult, a retired professional, and made her own investment decisions. The advisor simply executed orders as requested. The losses were the result of Margaret's own choices and bad luck with the drug trial failure.

Why Adversarial

This scenario is designed to exploit the common misconception that an advisor has no suitability obligation when a customer directs unsolicited trades. Many general-purpose AI models have been trained on simplified versions of the 'unsolicited trade' exception and would conclude that because Margaret initiated each purchase, David bears no responsibility. The critical nuance is that FINRA has explicitly addressed this: a series of unsolicited transactions that form a pattern or strategy can still trigger suitability obligations, especially regarding concentration. Additionally, the fact that Margaret was making money on every trade until the crash adds a psychological bias toward concluding the advisor did nothing wrong. The interplay between old suitability standards and Reg BI's enhanced obligations also creates a layered analytical challenge.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .04 and .05; FINRA Regulatory Notice 12-25 (discussing obligations regarding recommended strategies); Regulation Best Interest (17 CFR 240.15I-1), specifically the Care Obligation (17 CFR 240.15I-1(a)(2)(ii)(B)) and the Disclosure Obligation; FINRA Rule 3110 (Supervision) regarding the branch manager's oversight obligations; NASD IM-2310-2 (Fair Dealing with Customers) as historical guidance on concentration risk

Adversarial Hypothetical 30

Topic: inappropriate_risk_profile | Type: temporal_trap | Difficulty: expert

Fact Pattern

Thomas Brennan, age 58, opened an advisory account with Castleton Wealth Management on April 15, 2020. At account opening, his advisor, Lisa Carmichael, conducted a thorough risk assessment questionnaire. Thomas reported: annual income of \$210,000, liquid net worth of \$1.8 million, retirement target age of 65, investment experience of 25 years including options and alternatives, and stated he was 'comfortable with significant short-term losses for higher long-term growth.' Based on the questionnaire, Lisa assigned Thomas a 'Growth-Aggressive' risk profile - the second-highest category at the firm, which permitted up to 85% equities including up to 25% in speculative or high-volatility positions. Lisa built a portfolio accordingly: 40% large-cap growth equities, 20% small-cap equities, 15% emerging market equities, 10% high-yield bonds, and 15% in a concentrated alternatives sleeve including leveraged ETFs and sector-specific options strategies. The portfolio performed well through early 2022. On March 3, 2022, Thomas was diagnosed with early-stage pancreatic cancer. He informed Lisa of his diagnosis during a phone call on March 10, 2022, and mentioned he was 'thinking about his family's financial security.' Lisa

expressed sympathy and noted the conversation in her CRM system. However, she did not initiate a new risk assessment, did not propose any changes to his portfolio allocation, and did not update his investment profile or risk tolerance designation. Over the next 14 months, the portfolio experienced significant volatility, losing approximately \$340,000 (about 19%) by May 2023. Thomas's medical bills had also begun accumulating, totaling \$185,000 in out-of-pocket costs. On June 1, 2023, Thomas's wife, acting under a power of attorney because Thomas was now incapacitated, filed a complaint alleging that Lisa should have reassessed Thomas's risk profile and adjusted his portfolio after learning about the cancer diagnosis. Castleton Wealth Management's internal policies, documented in its compliance manual dated January 2020, stated: 'Advisors must update client profiles when they become aware of material changes in a client's financial situation, life circumstances, or investment objectives.' The firm's updated compliance manual, effective July 1, 2022, added: 'Material life events include but are not limited to: serious medical diagnoses, divorce, death of a spouse, job loss, or inheritance. Advisors must initiate a formal profile review within 30 business days of becoming aware of such events.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Lisa Carmichael violated applicable best interest and fiduciary obligations. Because Thomas held an advisory account (not a brokerage account), the applicable standard is the fiduciary duty under the Investment Advisers Act of 1940, as interpreted by the SEC and courts, rather than (or in addition to) Regulation Best Interest. Under the Advisers Act fiduciary duty, an investment adviser has an ongoing duty of care and duty of loyalty to the client. This includes a duty to monitor the account and ensure continued suitability of the investment strategy. When Lisa learned of Thomas's cancer diagnosis on March 10, 2022, she became aware of a material change in his life circumstances that had direct bearing on his time horizon, liquidity needs, and risk capacity. A pancreatic cancer diagnosis dramatically alters financial planning: potential medical costs, possible loss of income, shortened life expectancy, and the need to ensure family financial security. Lisa's failure to initiate a risk profile reassessment violated her fiduciary duty of care. Critically, this is NOT a temporal trap where the standard changed and the advisor was compliant under the old standard - both the old firm policy (January 2020) and the new one (July 2022) required updating client profiles upon awareness of material changes. The January 2020 policy, applicable at the time Lisa learned of the diagnosis in March 2022, clearly stated advisors 'must update client profiles when they become aware of material changes in a client's financial situation, life circumstances, or investment objectives.' Lisa documented the conversation, proving awareness, but took no action. Even without the firm's internal policy, the SEC's interpretation of the Advisers Act fiduciary duty (as articulated in the 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers, IA Release No. 5248) requires ongoing monitoring and updating of advice as circumstances change. The combination of (1) known material life change, (2) a Growth-Aggressive portfolio with 15% in leveraged and speculative instruments, (3) emerging liquidity needs from medical expenses, and (4) a potentially shortened time horizon makes the failure to reassess a clear violation.

Common Wrong Answer

No violation, or at most a minor procedural issue. The initial risk assessment was thorough and appropriate. Thomas explicitly stated he was comfortable with significant short-term losses, had 25 years of investment experience, and the Growth-Aggressive profile matched his stated preferences. A cancer diagnosis is a

personal medical event, and it would be presumptuous for an advisor to unilaterally downgrade a client's risk profile based on a health condition. The more specific firm policy about medical diagnoses didn't take effect until July 2022, four months after Lisa learned of the diagnosis. The portfolio's 19% loss was within the range of normal market volatility for an aggressive allocation during 2022-2023.

Why Adversarial

This scenario sets a temporal trap that could mislead AI models in two ways. First, the two versions of the firm's compliance manual (January 2020 and July 2022) might lead a model to incorrectly conclude that the more specific requirement about 'serious medical diagnoses' only took effect in July 2022, meaning Lisa was not yet bound by that specific guidance when she learned about the diagnosis in March 2022. However, the January 2020 policy's broader language about 'material changes in life circumstances' already encompassed the diagnosis. Second, a model might focus on the fact that the initial risk profiling was thorough and well-documented, and that Thomas himself described high risk tolerance and had 25 years of experience, leading the model to conclude the original allocation was appropriate and no update was required merely because of a personal health event. The subtlety is that the fiduciary standard for advisory accounts creates an ongoing monitoring obligation that is more demanding than the point-of-recommendation standard, and a cancer diagnosis is unambiguously a material life event requiring reassessment regardless of a client's prior stated risk tolerance.

Applicable Standard

Investment Advisers Act of 1940, Section 206 (anti-fraud and fiduciary duty provisions); SEC Commission Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248, June 5, 2019); SEC Staff guidance on ongoing duty to monitor advisory accounts; Castleton Wealth Management internal compliance policy (January 2020 edition, Section on client profile updates); FINRA Rule 2111 Supplementary Material .07 (if the account also had brokerage elements); Regulation Best Interest Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) as potentially applicable overlay

Adversarial Hypothetical 31

Topic: junk_bonds_conservative_investor | Type: temporal_trap | Difficulty:

Fact Pattern

Margaret Ellison, age 72, retired schoolteacher, opened a brokerage account in March 2019 with Pinnacle Securities, a broker-dealer. Her account paperwork listed her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her annual income as \$42,000 from a pension, liquid net worth of \$310,000, and her time horizon as '5-10 years.' Her advisor, David Chen, recommended she invest \$45,000 (approximately 14.5% of her liquid net worth) in a diversified portfolio of high-yield corporate bond funds, specifically three different funds each holding between 200-400 individual bond positions across multiple sectors. Chen documented in his notes that Mrs. Ellison needed higher income than Treasury yields could provide, that the funds' diversification mitigated individual default risk, that the funds had 5-year track records of consistent monthly distributions, and that the 14.5% allocation left 85.5% of her portfolio in investment-grade holdings. The recommendation was made on June 3, 2019, and Mrs. Ellison purchased the funds that day. In February 2020, she added another \$20,000 to the same funds on Chen's recommendation, bringing total high-yield exposure to approximately 21% of her portfolio. By March 2020,

the funds declined approximately 18% during the market disruption, and Mrs. Ellison filed a complaint in August 2020 alleging that Chen put her retirement savings in 'junk bonds' that were wholly inappropriate for someone her age with conservative objectives. Pinnacle Securities' internal guidelines, in effect since January 2020, limited high-yield bond exposure for conservative clients aged 70 and above to 15% of liquid net worth, but no such internal guideline existed in June 2019.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This scenario involves two distinct recommendations evaluated under two different standards. The June 2019 recommendation must be evaluated under FINRA Rule 2111 (Suitability), which was the applicable standard for broker-dealer recommendations before Regulation Best Interest took effect on June 30, 2020. Under FINRA Rule 2111, Chen needed to satisfy three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to this client), and quantitative suitability. The June 2019 allocation of 14.5% to diversified high-yield bond funds for an income-seeking investor, with documented rationale about yield needs and diversification, likely satisfies FINRA Rule 2111's customer-specific suitability requirement. High-yield bond funds (as opposed to individual junk bonds) in moderate allocations have generally been deemed suitable for income-oriented investors even with conservative profiles when properly diversified. However, the February 2020 recommendation is the critical issue. This recommendation was still made before Reg BI's June 30, 2020 effective date, so FINRA Rule 2111 still applies - NOT Reg BI. But the February 2020 recommendation brought total high-yield exposure to 21%, which exceeded Pinnacle's internal 15% guideline for conservative clients aged 70+ that took effect January 2020. While FINRA Rule 2111 does not independently require compliance with internal firm guidelines, FINRA has consistently held that firm-specific concentration limits are relevant evidence of the reasonable basis expected of an advisor at that firm. More importantly, FINRA Rule 3110 requires firms to establish supervisory systems, and a supervisor who approved a transaction violating the firm's own guidelines may have violated supervisory obligations. Additionally, under FINRA's suitability framework, increasing a conservative 72-year-old's junk bond exposure from 14.5% to 21% - a 45% increase in high-yield allocation - without any documented change in her circumstances warrants scrutiny. The February 2020 recommendation likely constitutes a suitability violation under FINRA Rule 2111, particularly the customer-specific suitability component, as it increased concentration in high-yield bonds for a conservative retiree beyond what the advisor's own firm deemed appropriate. The June 2019 recommendation, evaluated in isolation, was likely compliant.

Common Wrong Answer

A general LLM would likely either (a) apply Regulation Best Interest to both recommendations since the complaint was filed after June 30, 2020, concluding both were violations under the stricter Reg BI care obligation, or (b) find both recommendations compliant because the advisor documented his rationale and high-yield bond funds are inherently diversified products appropriate for income-seeking investors. Most LLMs would fail to split the analysis between the two recommendations and miss the significance of the internal guideline threshold change that occurred between them.

Why Adversarial

This is a temporal trap because a general LLM will likely try to apply Regulation Best Interest (Reg BI) to the entire fact pattern since the complaint was filed in August 2020 (after Reg BI's effective date), when in

fact both recommendations were made before Reg BI took effect on June 30, 2020, and must be evaluated under FINRA Rule 2111. Additionally, the LLM must distinguish between the two recommendations - one likely compliant, one likely not - rather than treating them as a single course of conduct. The internal guideline change in January 2020 creates a further trap: the LLM must recognize that while internal guidelines aren't independently enforceable rules, they are relevant evidence in suitability analysis and that the second recommendation crossed this threshold.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components: reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)); FINRA Rule 3110 (Supervision) regarding enforcement of internal concentration limits; SEC Regulation Best Interest (17 CFR § 240.15l-1) is NOT applicable because both recommendations predated the June 30, 2020 compliance date, even though the complaint was filed afterward.

Adversarial Hypothetical 32

Topic: structured_products_unsuitable | Type: client_direction_trap | Difficulty:

Fact Pattern

Dr. Robert Ansari, age 58, a practicing cardiologist earning \$680,000 annually with a liquid net worth of \$4.2 million, contacted his financial advisor Janet Walsh at Meridian Wealth Partners, a dually registered broker-dealer and investment adviser, in September 2022. Dr. Ansari told Walsh he had attended an investment seminar where he learned about reverse convertible notes linked to a basket of three pharmaceutical stocks. He specifically requested that Walsh purchase \$600,000 worth of a particular 14-month reverse convertible note issued by a major investment bank, offering a 12.5% annual coupon with a 70% knock-in barrier. Dr. Ansari stated in a recorded phone call: 'I know these stocks extremely well - I follow pharma companies professionally and personally. I understand that if the worst-performing stock drops below 70% of its initial price, I could receive depreciated shares instead of my principal back. I want the high coupon and I'm comfortable with the risk.' Walsh pulled up Dr. Ansari's account profile: his investment objective was listed as 'growth,' his risk tolerance was 'moderate,' and his experience level showed 'extensive' knowledge of stocks and options but no prior structured product purchases. Walsh reviewed the product's term sheet, spoke with the issuing bank's structured products desk, and documented that the implied probability of a knock-in event based on historical volatility was approximately 15%. She also documented that \$600,000 represented 14.3% of his liquid net worth. Walsh then executed the purchase. However, Walsh did not update Dr. Ansari's account profile to reflect 'aggressive' or 'speculative' risk tolerance, did not provide him with the structured product's preliminary pricing supplement before execution (she sent it two days later), did not conduct or document a comparison of reasonably available alternatives that might achieve his income objective with less complexity or risk, and did not document why this specific structured product - as opposed to, say, selling cash-secured puts on the same pharmaceutical stocks (a strategy he was experienced with) or purchasing individual pharmaceutical company bonds - was in his best interest despite his explicit request for it. The structured product ultimately paid all coupons and returned full principal at maturity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Walsh violated the applicable standard despite the client's explicit request and the favorable outcome. Because Meridian is dually registered and this was a recommendation executed through a brokerage account after June 30, 2020, SEC Regulation Best Interest (17 CFR § 240.15l-1) applies. Even though Dr. Ansari initiated the request, Walsh's act of agreeing to execute it and proceeding to research the product transformed this into a recommendation under Reg BI. The SEC has made clear in its adopting release (Release No. 34-86031) that when a broker-dealer exercises judgment or goes beyond merely receiving and executing an unsolicited order - such as reviewing the term sheet, calling the issuing bank's desk, and analyzing knock-in probabilities - the interaction constitutes a recommendation subject to Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)). Walsh's failures are multiple and specific: (1) Under the Care Obligation, she was required to exercise reasonable diligence, care, and skill to understand the product AND to have a reasonable basis to believe the recommendation was in the customer's best interest. The Care Obligation explicitly requires consideration of 'reasonably available alternatives.' Walsh failed to document - or apparently conduct - any alternatives analysis. That Dr. Ansari had extensive options experience means selling cash-secured puts on the same pharma stocks could have generated comparable premium income with more liquidity, transparency, and his existing expertise. This comparison was never made. (2) Under the Disclosure Obligation (17 CFR § 240.15l-1(a)(2)(i)), material information including the preliminary pricing supplement should have been provided before the transaction, not two days after. Structured product pricing supplements contain critical information about estimated initial value, fees embedded in the structure, and issuer credit risk. (3) The account profile showed 'moderate' risk tolerance with no structured product experience. Reverse convertibles with knock-in features are classified by most firms and by FINRA Regulatory Notice 12-03 as complex products carrying significant risks including full loss of principal. Executing the trade without updating the profile to accurately reflect the customer's actual risk tolerance creates a documentation deficiency that violates both Reg BI's Care Obligation and FINRA Rule 2111's customer-specific suitability requirement (which applies concurrently for FINRA member firms). The client's sophistication and direction do not excuse these obligations. Reg BI explicitly rejected a 'client-directed' safe harbor - unlike the old suitability framework which had an unsolicited transaction exemption, Reg BI requires the Care Obligation to be met regardless of whether the client initiated the idea, once the broker-dealer makes a recommendation. The favorable outcome is irrelevant to the compliance analysis; suitability and best interest are evaluated at the time of the recommendation.

Common Wrong Answer

A general LLM would likely conclude there was no violation, reasoning that: Dr. Ansari was a high-income, high-net-worth investor who specifically requested the product, demonstrated sophisticated understanding of its mechanics and risks in a recorded call, the allocation was a reasonable 14.3% of liquid net worth, the advisor conducted due diligence by reviewing the term sheet and analyzing knock-in probability, and the investment ultimately performed as hoped. The LLM would likely cite the client's sophistication and explicit direction as dispositive factors and might incorrectly apply the old FINRA suitability framework's unsolicited transaction exemption rather than Reg BI's stricter standard.

Why Adversarial

This is a client direction trap combined with a subtle violation. A general LLM will likely focus on three

factors that all point toward compliance: (1) the client was sophisticated, wealthy, and explicitly requested the product with demonstrated understanding of its risks; (2) the advisor did substantial research and documentation; and (3) the investment had a favorable outcome. Most LLMs will not recognize that under Reg BI (as opposed to the old suitability standard), there is no unsolicited transaction exemption, that the advisor's research activity converted this from an unsolicited order to a recommendation, that the failure to provide the pricing supplement before execution violates the Disclosure Obligation, and critically, that the absence of a reasonably available alternatives analysis is an independent and sufficient basis for a violation regardless of all other factors. The profile mismatch issue adds another layer that LLMs typically dismiss when the client verbally acknowledges the risks.

Applicable Standard

SEC Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)) requiring reasonable diligence, care, and skill and consideration of reasonably available alternatives; the Disclosure Obligation (17 CFR § 240.15l-1(a)(2)(i)) requiring pre-transaction disclosure of material facts; FINRA Rule 2111 (Suitability) applying concurrently for FINRA member firms; FINRA Regulatory Notice 12-03 (Complex Products - heightened supervision for structured products); FINRA Regulatory Notice 09-73 (Structured Products - recommending that pricing supplements be delivered before execution); SEC Adopting Release No. 34-86031 (June 5, 2019) clarifying that Reg BI has no unsolicited transaction exemption and defining when broker-dealer conduct constitutes a recommendation.

Adversarial Hypothetical 33

Topic: *illiquid_investments* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Chen, age 72, retired schoolteacher with a \$340,000 IRA account, walked into a branch office of Apex Wealth Partners on May 15, 2020. Her account profile listed her as conservative risk tolerance, income-oriented objective, 10-year time horizon, and liquid net worth of \$80,000 outside the IRA. Her advisor, Brian Kowalski, had been her broker since 2015. On June 1, 2020, Brian recommended she invest \$68,000 (20% of her IRA) into a non-traded REIT called Heartland Senior Living REIT, which had a 7-year lockup period with no early redemption program. The REIT offered a 6.5% stated distribution rate and invested in senior living facilities. Brian documented in his notes that he believed the aging demographics of the U.S. made senior housing a strong sector, that the 6.5% yield was attractive compared to the 0.5% she was earning on CDs, and that the 20% allocation left 80% of her portfolio in liquid assets. He ran a suitability review using the firm's checklist, which had not been updated since January 2019. The firm had sent an internal memo on March 1, 2020, reminding advisors that their obligations to retail customers had changed effective June 30, 2020, and that advisors should begin transitioning their practices accordingly. Brian made the recommendation on June 1, 2020, and the trade settled on June 5, 2020. Margaret received the prospectus and signed all required documents. By December 2021, the REIT suspended distributions and Margaret could not access her \$68,000. She filed a complaint in February 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the analysis depends critically on timing. The trade was recommended and executed on June 1-5, 2020, which is BEFORE the June 30, 2020 compliance date for Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1). Therefore, the applicable standard at the time of the recommendation was FINRA Rule 2111 (Suitability), not Reg BI. Under FINRA Rule 2111, Brian needed reasonable-basis suitability (understanding the product), customer-specific suitability (matching to Margaret's profile), and quantitative suitability. The recommendation fails customer-specific suitability under Rule 2111. Margaret is 72 years old, conservative, income-oriented, with only \$80,000 in liquid assets outside the IRA. A 7-year lockup non-traded REIT consuming 20% of her retirement account is problematic for several reasons: (1) At age 72, a 7-year lockup means she would be 79 before accessing these funds, which is unreasonable for a retiree who may need funds for healthcare; (2) Her liquid net worth outside the IRA is only \$80,000, meaning an unexpected expense could create financial hardship; (3) Non-traded REITs carry significant risks including illiquidity, lack of transparency, and distribution sustainability risk that are inconsistent with a conservative profile. Additionally, FINRA Regulatory Notice 09-09 specifically warned about concentration in illiquid products for elderly investors. FINRA Notice 15-02 further addressed concerns about non-traded REITs including that stated distribution rates can be misleading. Even under the pre-Reg BI suitability standard, this recommendation was unsuitable. The firm's failure to update its suitability checklist since January 2019, while not directly Brian's fault, contributed to the inadequate review process. However, a broker cannot hide behind a deficient firm checklist - the individual obligation under Rule 2111 is independent.

Common Wrong Answer

A general LLM would likely analyze this under Regulation Best Interest (Reg BI) and its Care Obligation, citing the requirement to consider reasonably available alternatives, costs, and risks. It would reference the SEC's adopting release for Reg BI and potentially discuss the conflict of interest obligations. While the conclusion of 'violation' might be the same, the entire legal framework would be wrong - this trade predates Reg BI's compliance date and must be analyzed solely under FINRA Rule 2111 suitability requirements.

Why Adversarial

This is a temporal trap because a general LLM will likely analyze the case under Reg BI (which became effective June 30, 2020) rather than FINRA Rule 2111, which was the applicable standard when the trade occurred on June 1, 2020. The firm's internal memo about transitioning to the new standard by June 30 creates a red herring - advisory firms were told to prepare, but the legal obligation had not yet taken effect. Many LLMs will apply the Reg BI Care Obligation and Component Obligations rather than the three-pronged FINRA suitability framework. Critically, the outcome is the same (violation), but the legal reasoning, applicable standard, and specific rule citations are entirely different. An LLM that gets the standard wrong would produce an analysis that is substantively incorrect even if the conclusion happens to be right. Some sophisticated LLMs might even incorrectly argue no violation occurred because the firm was 'in transition' to the new standard.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically FINRA Rule 2111(a) requiring that a recommended transaction be suitable based on the customer's investment profile including age, financial situation, needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance; FINRA Rule 2111.03 (recommended strategies); FINRA Regulatory Notice 09-09 (suitability of complex

products for senior investors); FINRA Regulatory Notice 15-02 (non-traded REITs). Note: Regulation Best Interest (17 CFR § 240.15l-1) compliance date was June 30, 2020 and does NOT apply to this June 1, 2020 recommendation.

Adversarial Hypothetical 34

Topic: speculative_for_conservative_investor | Type: client_direction_trap | Difficulty: hard

Fact Pattern

David Morales, age 58, is a software engineer earning \$195,000 annually with a net worth of \$1.2 million. He has a brokerage account at Summit Financial Group with advisor Lisa Hartwell. His account documents from the original account opening in 2018 list his investment objective as 'conservative growth,' risk tolerance as 'moderate,' and time horizon as '10-15 years until retirement.' In September 2023, David came to Lisa after attending an investment seminar and told her he wanted to put \$120,000 - roughly 10% of his net worth - into a leveraged ETF that provides 3x daily exposure to the semiconductor sector. He told Lisa, 'I've done extensive research, I understand the daily reset risk and volatility decay, and I think we're in a generational buying opportunity for chips because of AI. I want to hold this for 18-24 months.' Lisa explained that leveraged ETFs are designed for short-term trading and that holding a 3x leveraged product for 18-24 months could result in significant losses even if the underlying sector goes up due to volatility decay and daily compounding effects. David said he understood and insisted. Lisa then asked David if he wanted to update his risk profile. David said, 'No, I don't want to change my profile - I'm still conservative overall, this is just a tactical bet with a small portion of my money.' Lisa documented the conversation in detail in her CRM notes, including David's statements, her warnings, and his refusal to update his profile. She then executed the trade. She did not obtain a signed written acknowledgment from David regarding the risks, nor did she escalate the matter to her compliance department. Over the next 14 months, the semiconductor sector was volatile. Despite the underlying index being up 12%, David's leveraged ETF position lost 31% due to volatility decay, resulting in a \$37,200 loss. David filed a complaint in November 2024 claiming the investment was inconsistent with his conservative profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the client's explicit direction and Lisa's verbal warnings. Under Regulation Best Interest (17 CFR § 240.15l-1), which applies to broker-dealer recommendations after June 30, 2020, and FINRA Rule 2111, an advisor cannot simply defer to a client's wishes when the recommendation - or in this case, the execution of an unsolicited but facilitated strategy - conflicts with the client's documented profile. However, the critical nuance here is the distinction between a 'recommendation' and an 'unsolicited' order. If David truly directed this trade without Lisa's recommendation, FINRA Rule 2111 suitability obligations would not technically apply because suitability only governs 'recommended' transactions. But multiple factors indicate this effectively became a recommendation or that Lisa had obligations regardless: (1) Lisa did not simply execute the trade - she engaged in a discussion, provided her views on the product, and then facilitated the purchase, which under FINRA's broad interpretation of 'recommendation' in Regulatory Notice 12-25 could constitute implicit endorsement; (2) Even if unsolicited, under Reg BI's Care

Obligation, when a broker-dealer makes a recommendation, they must exercise reasonable diligence, care, and skill. If this was truly unsolicited, Reg BI's Care Obligation would not apply, BUT Lisa's primary violation is her failure to address the glaring inconsistency between the trade and David's account profile. Under FINRA Rule 3110 (Supervision), firms must have supervisory systems to review transactions that are inconsistent with customer profiles. Lisa's failure to escalate to compliance when a customer insists on a speculative leveraged position while refusing to update a conservative profile is a supervisory red flag she was obligated to raise. Additionally, even for unsolicited orders, FINRA has held in numerous enforcement actions that when a registered representative knows a transaction is inconsistent with a customer's stated objectives, they have an obligation to take appropriate steps beyond merely noting objections. Lisa's detailed CRM notes actually work against her - they prove she knew the trade was inappropriate for David's profile. Her failure to either (a) insist on a profile update, (b) obtain written risk acknowledgment, or (c) escalate to compliance constitutes a violation of her firm's likely supervisory obligations and potentially of her individual duty of care.

Common Wrong Answer

A general LLM would likely answer 'No violation' reasoning that: David was a sophisticated investor who independently researched the product, the trade was unsolicited and client-directed, Lisa provided thorough verbal warnings about the risks including volatility decay, Lisa documented the entire conversation in detail, the \$120,000 represented only 10% of David's net worth which is a reasonable allocation for a tactical position, and David explicitly declined to update his risk profile. The LLM would conclude Lisa met her obligations through disclosure and documentation.

Why Adversarial

This is a client direction trap because many LLMs will conclude 'no violation' based on the reasoning that: (1) David directed the trade, making it unsolicited; (2) the 10% allocation is not unreasonable for someone with David's net worth; (3) Lisa gave thorough verbal warnings and documented everything; (4) David explicitly refused to change his profile. A general LLM would likely focus on the unsolicited nature of the trade and Lisa's documentation as sufficient protective measures. The trap is that LLMs typically do not know that FINRA's definition of 'recommendation' is extremely broad (Notice 12-25), that detailed documentation of warnings can actually be evidence of knowledge of unsuitability, that an advisor cannot simply execute a clearly profile-inconsistent trade without escalation even when client-directed, and that the failure to escalate to compliance is itself a supervisory violation independent of the suitability question.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation and Compliance Obligation; FINRA Rule 2111 (Suitability) including customer-specific suitability; FINRA Rule 3110 (Supervision) requiring firms to establish supervisory systems for reviewing account activity inconsistent with customer profiles; FINRA Regulatory Notice 12-25 (guidance on what constitutes a 'recommendation'); FINRA Regulatory Notice 09-31 (leveraged and inverse ETFs - noting these products are typically unsuitable for investors who plan to hold them for longer than one trading session); FINRA Regulatory Notice 22-08 (complex products and options - enhanced obligations regarding complex products sold to retail investors).

Adversarial Hypothetical 35

Topic: *high_fees_unsuitable* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Hsu, age 72, retired schoolteacher with \$340,000 in savings, walked into a regional broker-dealer office in April 2019 seeking help rolling over her 403(b) into an IRA. She had no investment experience beyond the target-date fund in her 403(b), described her risk tolerance as 'low,' and said she needed the money to supplement her \$2,100/month pension. Broker David Cranston recommended she invest \$310,000 into a Class A share variable annuity with a 5.75% front-end load (\$17,825 in commissions), a 1.35% annual mortality and expense charge, a 0.85% fund management fee, and a 7-year declining surrender charge starting at 7%. Cranston documented that the annuity provided a guaranteed lifetime withdrawal benefit rider (costing an additional 1.10% annually), tax-deferred growth, and downside protection - all of which he noted were suitable for a retiree needing income stability. His firm's product review committee had approved the annuity for retirees in March 2019. The total all-in annual cost was approximately 3.30%. Margaret's 403(b) target-date fund had a total expense ratio of 0.12%. Cranston completed his recommendation and Margaret signed the paperwork on June 14, 2019. The annuity was purchased and funded on June 28, 2019. Margaret filed a complaint in January 2021 alleging excessive fees and an unsuitable recommendation. She noted that she was never told about lower-cost alternatives and that the tax-deferral benefit was meaningless since the IRA was already tax-deferred.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and critically the applicable standard depends on the exact date. Regulation Best Interest (Reg BI) became effective on June 30, 2020, but the compliance date was also June 30, 2020, meaning it did not apply to recommendations made before that date. However, the recommendation was made on June 14, 2019, and funded June 28, 2019, so the applicable standard is FINRA Rule 2111 (Suitability) and FINRA Rule 2330 (Variable Annuities). Under FINRA Rule 2330, before recommending the purchase or exchange of a deferred variable annuity, the registered representative must have a reasonable basis to believe the transaction is suitable. Specifically, Rule 2330(b) requires consideration of whether the customer would benefit from the features of a deferred variable annuity (such as tax-deferred growth, annuitization, or a death benefit) in light of the customer's existing tax status. Here, the tax-deferral benefit is redundant because the funds are already in a tax-advantaged IRA - a classic 'tax-deferral stacking' problem that FINRA has repeatedly flagged. The 5.75% front-end load plus 3.30% annual all-in cost on a 72-year-old's retirement savings is excessive when a low-cost target-date fund at 0.12% was available. The 7-year surrender charge effectively locks up the money until Margaret is 79, creating a severe liquidity mismatch with her income needs. While the guaranteed withdrawal rider provides some income certainty, the total cost erodes principal far faster than alternatives. Under FINRA Rule 2111's quantitative suitability component and Rule 2330's specific variable annuity provisions, this recommendation was unsuitable. Even though the firm's product committee approved the annuity, the individual suitability determination for this specific customer was deficient. The advisor also arguably violated the customer-specific obligation under Rule 2111(a) by failing to consider reasonably available lower-cost alternatives that achieved the same goals.

Common Wrong Answer

A general LLM would likely analyze this under Regulation Best Interest's Care Obligation and Cost component, concluding it is a violation under Reg BI because the advisor failed to consider lower-cost

alternatives. While the conclusion (violation) is correct, the legal basis would be wrong - Reg BI did not apply to transactions completed in June 2019. Some models might also find no violation, reasoning that the advisor documented the benefits of the guaranteed income rider and the firm approved the product, overlooking the specific variable annuity suitability requirements and the tax-deferral stacking issue.

Why Adversarial

A general LLM is likely to apply Regulation Best Interest (Reg BI) to this fact pattern because the complaint was filed in January 2021, well after Reg BI's June 30, 2020 compliance date. However, the recommendation and transaction occurred in June 2019, before Reg BI applied. The correct standard is FINRA's suitability rule and variable annuity rule. Additionally, the firm's product committee approval and the advisor's documented rationale (guaranteed income, downside protection) create a veneer of compliance that could fool a model. The subtlety is that tax-deferral stacking inside an IRA is a well-known red flag under FINRA Rule 2330 that general LLMs often miss, and the temporal question of which standard applies is a common trap.

Applicable Standard

FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) - requiring analysis of whether the customer benefits from tax-deferral features, assessment of total costs, and consideration of the surrender period relative to the customer's liquidity needs. Note: Regulation Best Interest (17 CFR § 240.15l-1) does NOT apply because the compliance date was June 30, 2020, and the recommendation occurred in June 2019.

Adversarial Hypothetical 36

Topic: illiquid_real_estate_investment | Type: multi_party | Difficulty: hard

Fact Pattern

In September 2022, married couple James and Patricia Donovan, both age 58, had a combined liquid net worth of \$1.8 million, annual household income of \$245,000, and planned to retire in 7 years. They worked with two different financial professionals at two different firms. Patricia's advisor, Karen Webb at Firm A (a registered investment adviser), managed Patricia's \$900,000 IRA and recommended she invest \$135,000 (15% of her portfolio) into a non-traded REIT focused on commercial office properties. The REIT had a minimum 5-year hold period, no secondary market, estimated annual distributions of 6.5%, and a 12% upfront load (split between selling commissions, dealer manager fees, and offering costs). Webb documented that Patricia's long time horizon (7+ years), moderate risk tolerance, and desire for income diversification supported the allocation. Separately, James's advisor, Tom Alvarez at Firm B (a broker-dealer), managed James's \$900,000 brokerage account. Alvarez, unaware of Webb's recommendation, also recommended a \$135,000 investment in a different non-traded REIT - this one focused on industrial warehouses - with similar terms: 6-year hold, no liquidity, 5.8% projected distributions, and an 11% upfront load. Alvarez documented the same rationale. Neither advisor asked the Donovans about investments held at other firms. After both investments were made, the Donovans had \$270,000 (15% of combined assets) in illiquid non-traded REITs. Each individual account had 15% in non-traded REITs. In early 2024, both REITs suspended distributions due to declining commercial real estate

valuations, and the Donovans, needing liquidity for an unexpected medical expense, could not access \$270,000 of their savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Both advisors likely violated their respective obligations, though the analysis differs by advisor type and the violations are more nuanced than they appear. For Karen Webb at Firm A (the RIA): As an investment adviser, Webb owes a fiduciary duty under the Investment Advisers Act of 1940. The fiduciary duty includes a duty of care requiring her to provide advice in the client's best interest based on a reasonable understanding of the client's full financial picture. The failure to inquire about Patricia's spouse's investments at other firms, particularly when she knew Patricia was married with shared financial goals and a joint retirement timeline, represents a failure in the duty of care. A 15% allocation to a single illiquid non-traded REIT with a 12% upfront load is aggressive for someone 7 years from retirement, and the failure to understand the household's total illiquid exposure amplifies this concern. For Tom Alvarez at Firm B (the broker-dealer): The transaction occurred in September 2022, well after Regulation Best Interest's June 30, 2020 compliance date. Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), Alvarez must exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the customer's investment profile. While Reg BI does not explicitly require inquiry into a spouse's holdings at other firms in all cases, the Care Obligation requires understanding the customer's 'other investments' and 'financial situation.' For a married client with shared retirement goals, failing to ask about household investments is a deficiency. Additionally, both advisors should be scrutinized under their firms' own concentration policies. Many firms cap non-traded REIT exposure at 10% of net worth (excluding home equity). At the individual account level, each was at 15%, which may exceed firm concentration limits. The 11-12% upfront loads also demand heightened scrutiny - the Donovans paid approximately \$31,000 in upfront costs on these investments. However, standing alone, each advisor's recommendation of 15% in a non-traded REIT for a client with a 7-year horizon, moderate risk tolerance, and \$900,000 in assets is at the outer edge but potentially defensible if that were the client's only illiquid investment. The violation crystallizes from the failure of both advisors to conduct adequate inquiry into the household's complete financial picture, which would have revealed the concentration risk.

Common Wrong Answer

A general LLM would likely either (a) find no violation because each advisor's individual recommendation of 15% allocation appears within reasonable bounds for the client's profile and time horizon, missing the household concentration issue and the failure to inquire about outside holdings; or (b) find a violation but apply the wrong standard uniformly to both advisors (e.g., applying Reg BI to the RIA or applying fiduciary duty to the broker-dealer), and focus primarily on the upfront load rather than the more subtle inquiry failure.

Why Adversarial

This scenario is adversarial for multiple reasons. First, the multi-party structure means each advisor's recommendation appears independently reasonable - 15% in a non-traded REIT for a moderate-risk client with a 7-year horizon is within commonly cited concentration guidelines. A general LLM might evaluate each recommendation in isolation and find no violation. Second, the two advisors are at different types of firms (RIA vs. broker-dealer), triggering different legal standards (fiduciary duty vs. Reg BI), which many models conflate. Third, the question of whether an advisor must inquire about a spouse's investments at a

different firm is genuinely debatable and requires nuanced understanding of the 'investment profile' and 'financial situation' components of both the fiduciary standard and Reg BI. Fourth, the 12% and 11% upfront loads on non-traded REITs are high but were typical industry practice for these products, creating ambiguity about whether the cost alone is a violation.

Applicable Standard

For Firm A (RIA - Karen Webb): Investment Advisers Act of 1940 fiduciary duty, as interpreted in SEC Release No. IA-5248 (Commission Interpretation Regarding Standard of Conduct for Investment Advisers, June 2019); duty of care requires reasonable inquiry into client's full financial situation including household investments. For Firm B (Broker-Dealer - Tom Alvarez): Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation requiring reasonable diligence, care, and skill, including understanding the retail customer's investment profile; FINRA Rule 2111 (Suitability) to the extent it remains applicable alongside Reg BI; FINRA Regulatory Notice 15-02 (providing guidance on non-traded REIT concentration limits and due diligence requirements). Additionally, many state securities regulators impose specific concentration limits (often 10% of net worth) for non-traded REITs under state suitability standards adopted pursuant to NASAA guidelines.

Adversarial Hypothetical 37

Topic: private_placements_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Holcomb at Pinnacle Wealth Partners recommended a private placement offering in Greenfield Infrastructure Partners II, LP - a fund investing in mid-stage renewable energy projects across the southeastern United States. The minimum investment was \$100,000. The offering memorandum disclosed a 7-10 year lockup period, no secondary market, quarterly distributions projected at 6-8% annually, and a 2% management fee with 20% carried interest. Derek conducted extensive due diligence: he reviewed the fund's audited financials for its predecessor fund (Greenfield I), which returned 9.2% annualized over five years; he spoke with the fund manager for over two hours; he verified that the manager had 18 years of experience in infrastructure development; he confirmed the fund was structured as a legitimate offering under applicable exemptions; and he reviewed third-party research from a reputable alternative investment research firm that gave the fund a 'favorable' rating. Derek recommended the investment to his client, Patricia Novak, age 61, a recently retired school administrator with a pension providing \$52,000 annually, Social Security of \$24,000 annually, liquid investable assets of \$410,000 (consisting of \$290,000 in a traditional IRA and \$120,000 in a taxable brokerage account), and a modest home valued at \$285,000 with no mortgage. Patricia's stated investment objective on her account documents was 'growth and income' with a 'moderate' risk tolerance. She had no prior experience with alternative investments, private placements, or illiquid securities. Derek placed \$100,000 of Patricia's IRA funds into the Greenfield offering, representing approximately 24.4% of her total liquid assets. Derek documented his due diligence file thoroughly and noted in his records that Patricia's pension and Social Security covered her essential living expenses of approximately \$4,800 per month, meaning she did not need immediate liquidity from her investment portfolio. He also noted the projected income from the fund would supplement her retirement income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the thorough reasonable-basis due diligence. While Derek satisfied the 'reasonable-basis suitability' obligation under FINRA Rule 2111 (and the analogous reasonable diligence component of Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii)(B)), he failed the 'customer-specific suitability' obligation. The analysis breaks down as follows: (1) Concentration risk: Allocating 24.4% of Patricia's liquid assets to a single illiquid private placement is excessive for a 61-year-old retiree with moderate risk tolerance and no experience with alternative investments, even though no bright-line percentage rule exists. FINRA has consistently found concentrations of 20-25%+ in illiquid alternatives unsuitable for conservative-to-moderate retirees. (2) Liquidity mismatch: With a 7-10 year lockup, Patricia would be 68-71 before accessing these funds. Her IRA - which is her primary liquid retirement asset - is now nearly 34.5% locked up (\$100,000 of \$290,000 IRA). If her pension or Social Security is disrupted, or she faces unexpected medical expenses, she cannot access this capital. The fact that current income covers current expenses does not account for the unpredictable liquidity needs typical in retirement. (3) Investment experience gap: Patricia had zero experience with private placements or alternative investments, making this a significant sophistication mismatch. FINRA Regulatory Notices 10-22 and 12-03 emphasize heightened suitability scrutiny for complex products recommended to inexperienced investors. (4) The IRA placement is particularly problematic because the tax advantages of the IRA structure provide limited incremental benefit for a fund generating income that may already receive preferential tax treatment (infrastructure investments often generate tax-advantaged returns through depreciation). The reasonable-basis diligence was exemplary but insufficient alone; all three components of suitability (reasonable basis, customer-specific, and quantitative) must be satisfied independently under FINRA Rule 2111.

Common Wrong Answer

No violation - the advisor conducted extensive due diligence on the fund, the client's living expenses were covered by guaranteed income sources, the investment represented less than 25% of liquid assets, the client had a growth-and-income objective consistent with the fund's projected distributions, and the advisor thoroughly documented his rationale. This appears to be a suitable recommendation supported by reasonable research.

Why Adversarial

The advisor's due diligence was genuinely thorough and well-documented, which creates a strong surface appearance of compliance. Most general-purpose AI models will focus heavily on the quality of the due diligence research, the legitimate nature of the offering, the fact that the client's essential expenses were covered by pension and Social Security, and conclude the recommendation was suitable. The trap is that reasonable-basis suitability and customer-specific suitability are independent requirements - satisfying one does not cure a failure of the other. The concentration level, liquidity lockup in retirement assets, and total lack of alternative investment experience create a customer-specific suitability failure that excellent product-level due diligence cannot remedy.

Applicable Standard

FINRA Rule 2111 (Suitability) - including all three components: reasonable-basis suitability (2111(a)),

customer-specific suitability (2111(a)), and quantitative suitability (2111(a)); FINRA Regulatory Notice 10-22 (Obligations Concerning Private Placements); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision); Regulation Best Interest (Rule 15l-1) Care Obligation under Exchange Act Section 15(l); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 38

Topic: *inappropriate_risk_profile* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Financial advisor Megan Torres worked at Ridgeline Securities from January 2018 through December 2020. In February 2019, she onboarded a new client, Howard Yee, age 74, a retired mechanical engineer with \$1.8 million in investable assets, a paid-off home, and a military pension of \$38,000 per year. During the account opening process, Megan used Ridgeline's standard new account form, which asked Howard to select his risk tolerance from five options: conservative, moderately conservative, moderate, moderately aggressive, and aggressive. Howard selected 'moderately aggressive.' The form also asked Howard to select his investment objective: he chose 'growth.' Howard had extensive investing experience - he had been self-directing a portfolio of individual stocks and options for over 30 years, had previously held a Series 7 license early in his career (1975-1982), and told Megan he was comfortable with volatility because he had lived through multiple market crashes and his pension covered all his living expenses. Megan documented all of this. Based on the 'moderately aggressive' profile, Megan constructed a portfolio of 60% equities (including 15% in small-cap growth funds, 20% in international equity funds, and 25% in large-cap blend), 25% fixed income, 10% REITs, and 5% cash. In June 2020, after the COVID-19 market crash and recovery, Ridgeline Securities was acquired by Broadstone Financial Group. As part of the transition, all client accounts were migrated to Broadstone's platform. Broadstone was a dual-registered broker-dealer and investment adviser, and upon migration, Howard's account was converted from a commission-based brokerage account to a fee-based advisory account charging 1.1% annually. Megan sent Howard a letter in May 2020 explaining the transition, and Howard signed new account paperwork in June 2020 that included Broadstone's Form ADV Part 2A and a new advisory agreement. However, the new Broadstone account opening documents simply carried over the same risk tolerance ('moderately aggressive') and investment objective ('growth') from the old Ridgeline forms - Megan did not conduct a new independent risk assessment, financial plan review, or updated conversation with Howard about whether his circumstances, goals, or risk tolerance had changed in the 16 months since the account was opened, or in light of the account type conversion. Howard was now 75. The portfolio allocation remained unchanged. Over the next 18 months, Howard's portfolio performed in line with its benchmark. Howard never complained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the violation is narrow and specific to the June 2020 account conversion, not to the original 2019 recommendation. Here is the critical analysis: (1) The February 2019 recommendation under the suitability standard (FINRA Rule 2111) was likely compliant. Howard was an experienced investor with extensive market knowledge, a former securities licensee, substantial assets (\$1.8M),

guaranteed income covering living expenses, a long personal track record with equities and options, and he affirmatively selected a moderately aggressive risk profile. The portfolio constructed was consistent with that profile and not unreasonable given his documented characteristics. (2) However, the June 2020 conversion is where the violation occurs. When Howard's account was converted from a commission-based brokerage account to a fee-based advisory account at Broadstone, the applicable standard shifted from the suitability standard under FINRA Rule 2111 to the fiduciary duty under the Investment Advisers Act of 1940 (Sections 206(1) and (2)) AND Regulation Best Interest applied at the point of the implicit recommendation to move to the advisory account. Under the Advisers Act fiduciary duty, the advisor has an ongoing duty to monitor the account and provide advice in the client's best interest. The SEC's June 2019 Regulation Best Interest release and the Commission's interpretive release on the investment adviser fiduciary duty both became effective on June 30, 2020 - precisely during this transition period. Under Reg BI's Care Obligation, the recommendation to convert Howard's account to a fee-based advisory model (which itself constitutes a recommendation of a 'type of account') required Megan to exercise reasonable diligence, care, and skill, considering Howard's updated investment profile. Simply carrying over a 16-month-old risk questionnaire without any updated discussion, particularly when (a) the client had aged from 74 to 75, (b) the COVID-19 pandemic had occurred, (c) the account type and compensation structure fundamentally changed, and (d) a new regulatory standard (Reg BI) had just taken effect, fails the Care Obligation's requirement of reasonable diligence. Furthermore, under the investment adviser fiduciary standard now applicable to the fee-based account, Megan had a duty to understand Howard's current situation at the inception of the advisory relationship. The failure to conduct any updated assessment at the point of account conversion - not merely rolling over prior data - constitutes a violation of both Reg BI (for the account-type recommendation) and the adviser fiduciary duty (for the new advisory relationship). (3) The fact that performance was good and Howard never complained is irrelevant to whether the process obligation was met.

Common Wrong Answer

No violation - Howard was a highly experienced investor with over 30 years of market experience, a former Series 7 holder, substantial assets, guaranteed pension income, and he personally selected the moderately aggressive risk profile. The portfolio was consistent with his stated objectives and risk tolerance, performance was satisfactory, and he never complained. The advisor documented everything properly and the risk profile carryover during the firm transition was a reasonable administrative step given that Howard's circumstances had not materially changed.

Why Adversarial

This scenario contains multiple layered traps. First, the original 2019 recommendation appears perfectly defensible, which may lead models to conclude there is no violation at all. Second, the temporal trap is critical: the applicable regulatory standard changed mid-scenario. The account was opened under the FINRA suitability standard in 2019, but the June 2020 conversion coincided almost exactly with the June 30, 2020 compliance date for Regulation Best Interest and the SEC's fiduciary interpretation for investment advisers. A general LLM is unlikely to track this precise timeline or recognize that the account-type conversion itself constitutes a 'recommendation' under Reg BI requiring fresh analysis. Third, the strong client profile (experienced, wealthy, self-selected aggressive tolerance) makes the violation seem implausible - most models will focus on the client's sophistication and conclude everything was fine. Fourth, the absence of any client complaint or financial harm creates a false signal of compliance. The actual violation is purely procedural - the failure to independently reassess the risk profile upon account

conversion and the change in regulatory regime.

Applicable Standard

FINRA Rule 2111 (Suitability) for the 2019 brokerage account period; Regulation Best Interest (Rule 15l-1, effective June 30, 2020) - particularly the Care Obligation component at 17 CFR 240.15l-1(a)(2)(ii)(B) regarding account-type recommendations; Investment Advisers Act of 1940, Sections 206(1) and 206(2) (fiduciary duty) for the post-conversion advisory account; SEC Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248, June 2019); FINRA Rule 2090 (Know Your Customer); FINRA Rule 4512 (Customer Account Information)

Adversarial Hypothetical 39

Topic: market_timing_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

In early 2019, financial advisor Derek Sung at a mid-sized broker-dealer began working with Patricia Nolan, a 58-year-old municipal employee with a \$340,000 retirement account rolled over from a previous employer's 401(k). Patricia told Derek she wanted moderate growth to supplement her pension and was comfortable with some risk but could not afford significant losses with retirement seven years away. Derek recommended a strategy of rotating among Class A shares of sector-specific mutual funds - technology, healthcare, energy, and financial services - switching allocations every 4 to 8 weeks based on his reading of macroeconomic indicators and sector momentum. Between February 2019 and March 2020, Derek executed 31 fund switches in Patricia's account. Each switch involved selling one fund family's sector fund and purchasing another fund family's sector fund, triggering new front-end sales charges averaging 4.75% per purchase. The total front-end loads paid over this period were approximately \$48,200. The account's gross return over the period was 6.1%, but after accounting for the cumulative sales charges and applicable short-term redemption fees, the net return was negative 8.3%. Derek documented each trade with a brief note stating his sector rotation thesis. In June 2020, the broker-dealer transitioned all retirement accounts to a new fee-based advisory platform where the firm operated under a fiduciary capacity. Derek continued the same sector rotation strategy in Patricia's account under the new platform from June 2020 through December 2020, executing 14 more switches, but now using no-load institutional share classes. During this second period, the account returned 11.4% gross and 10.9% net after the 1.25% annual advisory fee. Patricia filed a complaint in February 2021 covering the entire period from February 2019 through December 2020, alleging her advisor's trading strategy was inappropriate for her goals and risk tolerance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek violated applicable standards during the first period (February 2019 - March 2020), but the analysis differs by period due to the change in regulatory framework. During the brokerage period (pre-June 2020), FINRA Rule 2111 (Suitability) applied. The rule requires that a recommended transaction or investment strategy involving a security be suitable for the customer based on the customer's investment profile. FINRA has specifically identified excessive switching of mutual funds - sometimes called 'mutual

fund switching' - as a potential suitability violation under Rule 2111 and Regulatory Notice 12-25. The 31 fund switches in 13 months, each generating new front-end loads on Class A shares totaling \$48,200 on a \$340,000 account, constitutes a pattern where the cumulative costs made it virtually impossible for Patricia to achieve her moderate growth objective. The negative 8.3% net return despite a positive 6.1% gross return demonstrates the cost-driven harm. The quantitative suitability component (sometimes analyzed through cost-to-equity ratios and turnover rates) strongly suggests the trading was excessive. The annualized cost-to-equity ratio here is approximately 14.2% on an annualized basis, well above the 2-3% threshold courts and arbitration panels typically consider presumptively excessive. Additionally, under Regulation Best Interest (effective June 30, 2020), which applies to the second period, the Care Obligation under Rule 15l-1(a)(2)(ii) requires the broker-dealer to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation. However, during the second period (June-December 2020), the account was transitioned to a fee-based advisory platform operating under a fiduciary standard (Investment Advisers Act of 1940, Sections 206(1) and 206(2)). Under this standard, the sector rotation strategy using no-load institutional shares eliminated the sales charge problem, and the 10.9% net return suggests the strategy itself was not inherently unsuitable - only its implementation through load-bearing funds was harmful. The violation is therefore clear for the first period but likely not for the second period, where the strategy was implemented in a cost-efficient manner consistent with the fiduciary duty of care.

Common Wrong Answer

Most LLMs would say the entire period constitutes a violation because frequent sector rotation is inherently unsuitable for a near-retiree with moderate risk tolerance, failing to distinguish that the violation in the first period was driven by the cost structure (Class A share loads on frequent switches), not the rotation strategy itself, which proved profitable when implemented cost-efficiently in the second period.

Why Adversarial

This scenario creates a temporal trap because the applicable regulatory standard changed mid-complaint period - from FINRA suitability to Reg BI and then to an investment adviser fiduciary standard. A general LLM would likely either (1) find a violation across the entire period because the strategy was the same, failing to recognize that the cost structure was the actual problem, not the rotation strategy itself, or (2) dismiss the entire complaint because the second period showed strong returns. The nuance is that the same strategy can be unsuitable under one cost structure and suitable under another, and that the regulatory framework shift matters for the legal standard applied. Most LLMs would not correctly bifurcate the analysis.

Applicable Standard

First period (Feb 2019 - June 2020): FINRA Rule 2111 (Suitability), including quantitative suitability component; FINRA Rule 2111.05(c) (excessive trading/switching); FINRA Regulatory Notice 12-25 (FAQ on suitability); NASD IM-2310-2 (Fair Dealing with Customers regarding mutual fund switching). Transition period (June 30, 2020 onward for brokerage): SEC Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation. Second period (June 2020 - Dec 2020 on advisory platform): Investment Advisers Act of 1940 §§ 206(1) and 206(2); fiduciary duty of care and loyalty.

Adversarial Hypothetical 40

Topic: penny_stocks_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Marcus Webb, a registered representative at a small introducing broker-dealer, had a long-standing client named Raymond Cho, a 44-year-old software engineer earning \$195,000 per year with a net worth of approximately \$1.2 million, excluding his primary residence. Raymond maintained two accounts with Marcus: a diversified brokerage account worth \$680,000 containing index funds and blue-chip equities, and a separate speculative account funded with \$45,000 that Raymond described as 'play money I can afford to lose entirely.' In October 2023, Raymond emailed Marcus asking him to purchase 500,000 shares of GreenVolt Micro Corp (ticker: GVMC), a company trading at \$0.0038 per share on the OTC Pink Sheets with a market capitalization of approximately \$1.9 million. Raymond explained he had been following the company on social media investor forums and believed its experimental solid-state battery technology would be acquired by a major automaker. Marcus pulled up the company's filings and found that GreenVolt had no revenue for the past three fiscal years, had \$12,000 in total assets, had received a going concern opinion from its auditor, and that the CEO had a prior bankruptcy. Marcus called Raymond, disclosed all of these findings verbally, and explained that the stock was highly speculative and could go to zero. Raymond responded, 'I understand all of that. This is exactly what the speculative account is for. I've done my own research and I want to buy it. Please execute the trade.' Marcus then sent Raymond the firm's penny stock risk disclosure document, which Raymond signed and returned electronically the same day. Marcus executed the purchase for \$1,900 plus a \$75 commission. Three months later, GVMC was halted by regulators for suspected market manipulation by company insiders. The stock became worthless. Raymond did not file a complaint, but the firm's compliance department flagged the trade during a routine review and questioned whether Marcus should have refused to execute it.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Marcus likely did not violate applicable suitability or best interest requirements, though the analysis requires careful attention to penny stock-specific obligations. Under FINRA Rule 2111, a recommendation must be suitable, but when a customer directs a specific unsolicited transaction, the suitability rule generally does not apply to the same degree - FINRA Rule 2111.03 provides that the suitability obligation applies to recommended transactions and strategies. If Raymond independently identified and requested the specific penny stock purchase without Marcus's recommendation, it would be classified as an unsolicited trade, and the standard suitability analysis would not apply. However, penny stocks trigger additional requirements under the SEC's penny stock rules (Exchange Act Rules 15g-1 through 15g-9, codified at 17 CFR §§ 240.15g-1 to 240.15g-9). These rules require broker-dealers to: (1) approve the customer's account for penny stock transactions by obtaining information about the customer's financial situation, investment experience, and objectives (Rule 15g-9(b)); (2) provide a standardized risk disclosure document (Rule 15g-2); (3) provide a disclosure of current quotation and compensation information (Rules 15g-3 and 15g-4); and (4) provide monthly account statements (Rule 15g-6). Critically, Rule 15g-9(c) also requires the broker to make an individualized written determination that the penny stock transaction is suitable for the customer based on the information obtained. However, Rule 15g-1 provides exemptions from these requirements, and Rule 15g-1(e) exempts transactions where the customer is an 'established customer' - defined as someone who has had an account with the broker for at least one year or has made three prior

penny stock purchases. If Raymond qualifies as an established customer, the suitability determination under Rule 15g-9 would not be required. If Raymond is NOT an established customer for penny stock purposes, Marcus would need to have made and documented the written suitability determination under Rule 15g-9. On the facts, Marcus appears to have complied: he researched the company, disclosed the risks, provided the penny stock risk disclosure document, and the customer's financial profile (speculative account representing less than 4% of liquid net worth, customer acknowledged risk of total loss, high income earner) supports a finding that the penny stock purchase was suitable for the speculative portion of Raymond's portfolio. Under Regulation Best Interest (17 CFR § 240.15l-1), if this were considered a recommendation, the Care Obligation would require consideration of costs, risks, and the customer's investment profile - but again, the \$1,900 position in a designated speculative account for a client with \$1.2M net worth and explicit risk acknowledgment appears to satisfy this standard. The trade was appropriate for the customer's stated speculative objective and represented de minimis portfolio risk.

Common Wrong Answer

Most LLMs would say this is a violation, reasoning that penny stocks with no revenue, minimal assets, and a going concern opinion are per se unsuitable, and that the advisor had a duty to refuse the trade regardless of the client's direction. They would cite the red flags (no revenue, prior CEO bankruptcy, social media sourcing) as evidence the advisor should have overridden the client's wishes, not recognizing that proper disclosure, the unsolicited nature, the proportional allocation, and the client's financial profile collectively support compliance.

Why Adversarial

This is a client direction trap combined with a knowledge trap. Most LLMs would either (1) say it's a clear violation because penny stocks are inherently unsuitable for any customer and the advisor should have refused, not knowing that the suitability analysis accounts for designated speculative accounts and proportional risk, or (2) would simply say 'unsolicited trades don't require suitability analysis' without knowing about the special penny stock suitability determination required under Rule 15g-9, which applies even to unsolicited trades unless an exemption applies. The correct answer requires knowledge of the penny stock rules as a separate overlay on top of standard suitability, the established customer exemption, and the nuance that a small speculative allocation for a high-net-worth client can be suitable even for extremely risky securities.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .03 (recommended vs. unsolicited transactions); SEC Penny Stock Rules: Exchange Act Rules 15g-1 through 15g-9 (17 CFR §§ 240.15g-1 to 240.15g-9), particularly Rule 15g-2 (risk disclosure), Rule 15g-9 (suitability determination for penny stocks), and Rule 15g-1(e) (established customer exemption); SEC Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

Adversarial Hypothetical 41

Topic: *crypto_assets_unsuitable* | Type: *reasonable_basis_trap* | Difficulty: *expert*

Fact Pattern

Marcus Reilly, age 58, is a municipal water department supervisor earning \$82,000 annually with a net worth of \$410,000, nearly all of which is in his pension and a \$145,000 brokerage account earmarked for supplemental retirement income. He has no prior experience with digital assets and describes his risk tolerance on his new account form as 'moderate' with a 7-year investment horizon. His stated objective is 'growth with income.' In January 2023, his financial advisor, Denise Kovac at Lakeshore Wealth Partners, attended a two-day industry conference on digital asset integration for traditional portfolios. She reviewed a white paper from a well-known asset management firm arguing that a 5% portfolio allocation to Bitcoin and Ethereum, held through spot exchange-traded products, offered meaningful diversification benefits with historically low correlation to fixed income. Kovac also reviewed three academic papers and ran a Monte Carlo simulation using historical crypto return data from 2018-2022, which showed that a 5% allocation modestly improved the portfolio's Sharpe ratio. Based on this research, in March 2023, Kovac recommended that Reilly invest \$7,250 (5% of his brokerage account) in a combination of a Bitcoin trust product trading at a 28% premium to its net asset value and an Ethereum trust product trading at a 19% premium to NAV. She documented her research and rationale in the client file. She did not discuss the NAV premium issue with Reilly, nor did she explain that the trust products could not be redeemed at NAV and historically experienced significant premium/discount volatility. She also did not consider or discuss lower-cost spot ETF alternatives that were then pending regulatory approval and widely expected to be approved within months. Reilly agreed to the recommendation. Within six months, the Bitcoin trust's premium collapsed to 2% as the spot ETF approvals became imminent, and Reilly's \$7,250 investment lost approximately \$1,700, even as the underlying Bitcoin price rose 12% over the same period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While Kovac performed reasonable-basis research on the general concept of a 5% crypto allocation - reviewing academic literature, attending a conference, and running quantitative analysis - she failed at the customer-specific and product-specific levels of suitability analysis required under FINRA Rule 2111 and the care obligation of Regulation Best Interest (Rule 15l-1 under the Exchange Act). Specifically: (1) Reasonable-basis suitability requires understanding not just the asset class but the specific product. The grantor trust products she selected traded at massive premiums to NAV (28% and 19%), meaning Reilly was paying \$1.28 and \$1.19 for every \$1.00 of underlying crypto exposure. This structural feature introduced a layer of risk entirely separate from crypto volatility - premium/discount risk - that her Monte Carlo simulation (based on spot crypto returns) did not capture. Her research supported a spot crypto allocation, not a premium-laden trust product, creating a disconnect between her analysis and her actual recommendation. (2) Customer-specific suitability under FINRA Rule 2111.05 requires matching the product's risk characteristics to the customer's profile. Reilly is a 58-year-old moderate-risk investor with a 7-year horizon and limited assets outside his pension. The premium collapse risk of these trust products was an additional speculative element inconsistent with his moderate risk tolerance and supplemental retirement objective. (3) Under Reg BI's care obligation, Kovac was required to consider reasonably available alternatives. Spot Bitcoin ETFs were widely anticipated, and several applications were pending. A prudent advisor would have either waited for the lower-cost product or disclosed to the client that a superior alternative was likely imminent. The failure to consider or disclose this is a separate deficiency. (4) Under Reg BI's disclosure obligation (Form CRS and point-of-sale), the NAV premium and its implications were material facts. Kovac's failure to discuss the premium, the impossibility of NAV redemption, and the

historical premium/discount volatility deprived Reilly of information necessary to make an informed decision. The presence of documented research creates the appearance of compliance but does not cure these deficiencies because the research supported a different product (spot exposure) than what was actually recommended (premium trust products).

Common Wrong Answer

No violation. The advisor conducted thorough research including academic papers, conference attendance, and quantitative simulation. A 5% allocation is widely considered a conservative crypto allocation, and the recommendation was documented. The subsequent loss was due to unforeseeable market dynamics around ETF approval timing, not advisor negligence.

Why Adversarial

This scenario is designed to trick AI models because the advisor appears to have done extensive, legitimate research - attending conferences, reading academic papers, running Monte Carlo simulations, and documenting everything. A general LLM will see this diligent research process and conclude the advisor met reasonable-basis suitability. The trap is that the research supported spot crypto exposure at market prices, but the advisor actually recommended trust products trading at enormous premiums to NAV, introducing a completely different risk profile that the research did not address. The distinction between asset-class-level research and product-level diligence is subtle but critical. Most LLMs will conflate 'did research on crypto allocation' with 'did research on the specific product recommended.'

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(c)); SEC Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation (paragraph (a)(2)(ii)(B)), Disclosure Obligation (paragraph (a)(2)(ii)(A)); FINRA Regulatory Notice 22-08 (Complex Products and Options - heightened obligations for complex or leveraged products including crypto-asset securities)

Adversarial Hypothetical 42

Topic: excessive_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

Dorothy Sloane, a 72-year-old retired schoolteacher, opened a non-discretionary brokerage account in February 2022 with advisor Kevin Brandt at Ridgeline Securities. She invested \$320,000 - her entire liquid savings - with a stated objective of 'conservative income' and a risk tolerance marked 'low.' She told Brandt she needed the account to supplement her \$2,400/month pension and \$1,850/month Social Security. Between February 2022 and January 2024 (24 months), Brandt executed 88 trades in her account. The account held primarily investment-grade corporate bonds, preferred stocks, and dividend-paying large-cap equities. The total cost-to-equity ratio (the amount Sloane would need to earn just to cover commissions and fees) over the 24-month period was 5.8%. The annualized turnover rate was 3.1 times. Total commissions and transaction fees paid by Sloane over the period were \$37,120. The account's gross return before costs was approximately 7.2% annualized, and the net return after all costs was approximately 1.4% annualized. Brandt's trading records show a pattern of selling bonds 30-60 days before maturity and

replacing them with similar bonds of comparable yield and duration, generating commissions on each round trip. In 14 instances, Brandt sold a position and repurchased the same security within 45 days. Sloane signed a confirmation for each trade and never complained about the trading activity. When interviewed later, she said she trusted Brandt completely, didn't understand the trade confirmations, and 'just signed whatever Kevin told me to sign.' Brandt's supervisor reviewed the account quarterly and noted the trading volume but documented that the account was non-discretionary and the client approved each trade, concluding no further action was required.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a clear churning violation constituting both a suitability violation and a breach of the best interest standard. Under FINRA Rule 2111 and its supplementary material (particularly Rule 2111.05(b) on quantitative suitability), excessive trading - also known as churning - is a distinct type of suitability violation that exists independently of whether any individual trade is suitable. The quantitative metrics here strongly support a finding of excessive trading: (1) The annualized turnover ratio of 3.1 is well above the threshold courts and arbitration panels have historically treated as presumptively excessive. While no single bright-line exists in the rule text, case law and arbitration precedent consistently treat turnover ratios above 2.0 as presumptively excessive for conservative accounts (see *Mihara v. Dean Witter & Co., Arceneaux v. Merrill Lynch*), and ratios above 4.0 as virtually conclusive. At 3.1 for a 72-year-old conservative income investor, the presumption is very strong. (2) The cost-to-equity ratio of 5.8% over 24 months (approximately 2.9% annualized) means Sloane's account needed to earn nearly 3% per year just to break even on costs - a meaningful drag for a conservative income portfolio where expected returns might range from 4-6%. This is above the levels arbitration panels have found excessive for conservative accounts. (3) The pattern evidence - selling bonds shortly before maturity and repurchasing similar instruments, and 14 instances of selling and rebuying the same security within 45 days - demonstrates that the trading served no investment purpose and was designed to generate commissions. Under Reg BI's care obligation, Brandt was required to exercise reasonable diligence, care, and skill to ensure that the frequency of recommended transactions was not excessive, even in a non-discretionary account. The explicit text of Reg BI's care obligation (17 CFR § 240.15l-1(a)(2)(ii)(B)(2)) specifically addresses excessive trading frequency. The fact that the account was non-discretionary and Sloane signed each confirmation does not negate the violation. Under both FINRA's quantitative suitability standard and Reg BI, de facto control need not require formal discretion. It can be established where the client routinely follows the advisor's recommendations without independent evaluation - exactly what occurred here, as Sloane testified she 'just signed whatever Kevin told me to sign.' The supervisor's conclusion that no action was needed because the account was non-discretionary reflects a fundamental misunderstanding of the applicable standards, as both FINRA Rule 3110 (supervision) and Reg BI apply regardless of discretionary status when the advisor exercises de facto control.

Common Wrong Answer

No violation. The account was non-discretionary and the client signed every trade confirmation. The account generated a positive net return of 1.4%, so the client was not harmed. The supervisor reviewed the account and found it compliant. While the trading volume was elevated, the turnover ratio of 3.1 does not definitively establish churning, and the client never complained about the trading activity.

Why Adversarial

This scenario presents multiple features designed to mislead AI models: (1) The turnover ratio of 3.1 is in a gray zone - above 2.0 but below the 4.0-6.0 range often cited as definitive churning, which may cause a model to hesitate. (2) The account generated a positive gross return (7.2%) and even a positive net return (1.4%), which may lead models to conclude no harm occurred. (3) The account is non-discretionary and every trade was signed by the client, which models may incorrectly treat as conclusive consent. (4) The supervisor reviewed and cleared the account, which models may treat as a compliance 'safe harbor.' (5) The cost-to-equity ratio of 5.8% over 24 months may be miscalculated by models as annualized vs. cumulative, changing the analysis. The combination of positive returns, client signatures, supervisory review, and a turnover ratio in the 'gray zone' is designed to cause models to incorrectly find no violation, when in fact the totality of quantitative and qualitative evidence strongly supports churning.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically Rule 2111.05(b) (quantitative suitability/excessive trading); SEC Regulation Best Interest (17 CFR § 240.15l-1(a)(2)(ii)(B)(2)) - Care Obligation, specifically the provision requiring that the broker exercise reasonable diligence to ensure recommended transaction frequency is not excessive; FINRA Rule 2111.05(b) supplementary material on de facto control; FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-25 (FAQ on Suitability Rule, addressing quantitative suitability and control element)

Adversarial Hypothetical 43

Topic: reverse_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

Margaret Ellison, age 72, retired schoolteacher with \$340,000 in retirement savings, met with financial advisor Derek Huang in January 2020. Derek worked for a dual-registered broker-dealer and investment advisory firm. After a discussion about Margaret's goals - preserving capital, generating modest income, and minimizing complexity - Derek recommended she move her existing brokerage account (which held 4 individual blue-chip stocks and a money market fund) into a fee-based advisory account charging 1.25% annually (\$4,250/year). Derek explained this would give her 'ongoing monitoring and professional management.' Over the next three years (2020-2022), Derek made exactly two trades in the account: in March 2020, he sold one stock position during the COVID crash and reinvested in a similar large-cap equity ETF, and in November 2021, he rebalanced by selling a small portion of equities and adding to the money market allocation. No other trades, rebalancing, or substantive portfolio changes occurred. Margaret's account statements showed she was charged \$4,250 in 2020, \$4,437 in 2021 (account appreciated slightly), and \$4,180 in 2022. Total fees paid over three years: \$12,867. Had she remained in the brokerage account paying per-transaction commissions, the two trades would have cost approximately \$49.90 total. Derek did send Margaret quarterly performance reports and called her twice a year to 'check in,' each call lasting about five minutes. Derek's notes from each call simply read 'client satisfied, no changes.' Margaret never complained and expressed satisfaction with the arrangement when asked. Derek's firm had no internal policy requiring a minimum number of trades or a cost-comparison analysis at the time the account was opened or at any point during the advisory relationship.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Derek engaged in classic reverse churning - placing a client in a fee-based advisory account where the ongoing asset-based fees were grossly disproportionate to the services actually provided. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Securities Exchange Act Rule 15l-1, a broker-dealer must have a reasonable basis for recommending an account type. The Care Obligation under Reg BI (adopted June 2020, compliance date June 30, 2020) specifically requires that the broker-dealer consider reasonably available alternatives, including account type. The recommendation to move into a fee-based account must be in the customer's best interest considering costs relative to services. Margaret paid \$12,867 in fees for what amounted to two trades (\$49.90 equivalent in commissions), two brief phone calls per year, and boilerplate quarterly reports. The cost-benefit ratio is staggering - fees exceeded equivalent commission costs by over 25,000%. Under the SEC's guidance accompanying Reg BI adoption, a recommendation of account type is explicitly covered. Additionally, under the Investment Advisers Act of 1940 Section 206, Derek's firm owed Margaret a fiduciary duty once she was in the advisory account, requiring them to act in her best interest, which includes ensuring the fee arrangement remains appropriate on an ongoing basis. The SEC has specifically warned about reverse churning in fee-based accounts in its 2017 guidance and the 2019 Reg BI adopting release. Derek's minimal activity, combined with the nature of the portfolio (buy-and-hold blue chips and money market), strongly indicates a commission-based account was more appropriate. Margaret's subjective satisfaction does not cure the violation - the obligation runs to the advisor independently of client complaints.

Common Wrong Answer

No violation. The advisor provided ongoing monitoring, quarterly reports, and semi-annual check-in calls. Margaret was satisfied with the arrangement. A fee-based account provides the benefit of continuous oversight and aligns the advisor's interests with the client by removing incentive to trade excessively. The advisor acted prudently during COVID by making a protective trade. Client satisfaction and the absence of complaints suggest the arrangement was appropriate.

Why Adversarial

A general LLM is likely to weigh Margaret's expressed satisfaction heavily and conclude no violation occurred because the client was happy and never complained. Additionally, the advisor did perform some services (quarterly reports, semi-annual calls, two trades, COVID monitoring), which may appear sufficient to justify advisory fees. The trap is that the quantitative disparity (\$12,867 vs. \$49.90) is so extreme that no reasonable level of passive monitoring justifies the fee-based arrangement, and the LLM must recognize that account-type recommendations are independently subject to best interest analysis. Many LLMs also struggle with the specific threshold question of when low trading activity crosses from 'appropriate hold strategy' to 'reverse churning.'

Applicable Standard

FINRA Rule 2111 (Suitability); Regulation Best Interest (Exchange Act Rule 15l-1), specifically the Care Obligation component requiring consideration of costs and reasonably available alternatives including account type; Investment Advisers Act of 1940 Section 206 (fiduciary duty); SEC Reg BI Adopting Release

(June 2019) discussion of account-type recommendations; FINRA Regulatory Notice 12-25 (FAQ on Suitability, addressing account type); FINRA Rule 2090 (Know Your Customer)

Adversarial Hypothetical 44

Topic: reverse_churning | Type: multi_party | Difficulty: hard

Fact Pattern

In September 2021, married couple Thomas and Linda Beckett, both age 58, approached Apex Wealth Partners, a dual-registered firm. Thomas had a \$620,000 IRA rollover from a recent job change, and Linda had a \$195,000 individual brokerage account. They were assigned to two different advisors within the firm: Thomas worked with Senior Advisor Rachel Kim, and Linda worked with Associate Advisor Grant Nolan. Rachel recommended Thomas place his \$620,000 IRA into a fee-based advisory account at 1.0% annually (\$6,200/year). She built a diversified portfolio of 14 different ETFs and individual bonds, conducted quarterly rebalancing, performed two full portfolio reviews per year with Thomas in person, actively managed duration on the bond sleeve in response to interest rate changes (executing 23 trades in 2022 alone as rates rose), and provided ongoing tax-lot analysis for future Roth conversion planning. Total fees paid by Thomas: \$6,200 in the first year. Grant recommended Linda place her \$195,000 into a fee-based advisory account at the same 1.0% rate (\$1,950/year). He put the entire amount into a single target-date fund (Target Retirement 2030) and made zero trades over the next 18 months. Grant sent Linda automated monthly account statements generated by the custodian and an annual one-page review letter. He met with Linda once, in January 2022, for 20 minutes. Total fees paid by Linda: \$2,925 over 18 months. Linda later learned that the same target-date fund was available directly from the fund company with no advisory fee, and the fund itself charged only a 0.12% expense ratio. Both Thomas and Linda filed complaints with the firm. The firm investigated and determined both advisors followed internal procedures for onboarding fee-based accounts. The firm's compliance manual stated that advisors 'should consider whether a fee-based or commission-based account is more appropriate' but did not require a documented cost-benefit analysis.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Grant Nolan violated the applicable standards with respect to Linda's account, but Rachel Kim did NOT violate any standards with respect to Thomas's account. For Linda's account: Grant's recommendation of a fee-based advisory account constitutes reverse churning. Under Regulation Best Interest (Exchange Act Rule 15l-1), effective June 30, 2020, the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill when making a recommendation, including the recommendation of account type. Grant placed Linda's \$195,000 into a single target-date fund - a product specifically designed to be a set-it-and-forget-it investment requiring no ongoing management - and then provided virtually no advisory services beyond automated statements and one brief meeting. Linda paid \$2,925 in advisory fees over 18 months for a fund she could have purchased herself for effectively zero transaction cost. The advisory fee (1.0%) was over 8 times the fund's own expense ratio (0.12%), with no value-added management to justify it. Under FINRA Rule 2111 and Reg BI, this account type was not suitable or in Linda's best interest. For

Thomas's account: Rachel provided substantial, genuine advisory services - active portfolio construction across 14 positions, quarterly rebalancing, 23 trades in response to a meaningful market event (2022 rate increases), in-person reviews, and sophisticated tax planning. The 1.0% fee (\$6,200) on a \$620,000 account is reasonable given the breadth and quality of services. Had Thomas been in a commission-based account, 23+ trades plus the complexity of bond management could have generated comparable or higher costs. Rachel's recommendation of a fee-based account was appropriate under both suitability and best interest standards. The firm's weak compliance manual (no mandatory cost-benefit documentation) may expose the firm to supervisory liability under FINRA Rule 3110, but this procedural weakness does not independently create a violation for Rachel, whose conduct was substantively appropriate.

Common Wrong Answer

Both advisors violated the requirements because the firm's compliance manual did not require a documented cost-benefit analysis, meaning neither recommendation was adequately supported. Alternatively, neither advisor violated any requirements because both followed the firm's internal onboarding procedures and charged the same standard 1.0% fee rate, and both clients agreed to the fee-based accounts.

Why Adversarial

This scenario is adversarial because it presents two parallel situations within the same firm that require opposite conclusions. A general LLM is likely to either (1) find violations for both advisors because they both used fee-based accounts at the same rate, or (2) find no violation for either because the firm's internal procedures were followed. The multi-party structure forces the model to analyze each advisor-client relationship independently rather than applying a blanket conclusion. Additionally, the fact that the firm's compliance manual was followed creates a trap - procedural compliance does not equal substantive compliance. The LLM must also correctly distinguish between an actively managed multi-asset portfolio (where advisory fees are justified) and a single target-date fund (where they are not), which requires domain-specific knowledge about what constitutes genuine advisory services versus a product that manages itself.

Applicable Standard

Regulation Best Interest (Exchange Act Rule 15l-1), Care Obligation and Disclosure Obligation; FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2090 (Know Your Customer); FINRA Rule 3110 (Supervision); Investment Advisers Act of 1940 Sections 206(1) and 206(2) (fiduciary duty for advisory accounts); SEC Reg BI Adopting Release discussion of account-type recommendations and cost considerations

Adversarial Hypothetical 45

Topic: speculative_for_conservative_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Ellison, age 72, retired schoolteacher with a \$340,000 portfolio consisting entirely of Treasury bonds and CDs, walked into the offices of Pinnacle Wealth Advisors on May 15, 2020. Her account documents listed her investment objective as 'capital preservation,' risk tolerance as 'low,' time horizon as

'5-10 years,' annual income of \$38,000 from Social Security and pension, liquid net worth of \$340,000, and investment experience as 'limited - only government bonds.' On that date, her registered representative, David Kowalski, recommended she allocate \$85,000 (25% of her portfolio) into a leveraged inverse ETF tracking the S&P 500 (a product that uses derivatives to deliver -2x the daily return of the index). Kowalski prepared a written memo documenting his reasoning: he believed the COVID-19 pandemic would cause a prolonged market downturn, and this position would serve as a 'hedge' protecting her portfolio's overall value. He showed Margaret backtesting data from the 2008 financial crisis showing how the ETF would have gained 40% during that period. Margaret signed a disclosure form acknowledging the product was complex and could lose value. By August 2020, the S&P 500 had rallied significantly, and the leveraged inverse ETF lost \$51,000, reducing its value to \$34,000. Margaret filed a complaint in September 2020. Kowalski's supervisor, Branch Manager Patricia Hernandez, had approved the trade on May 15 after a 10-minute conversation with Kowalski in which he explained the hedging rationale. Pinnacle Wealth Advisors operated as a broker-dealer. The firm had adopted its updated obligations under the new standard effective June 30, 2020, but the trade occurred on May 15, 2020 - six weeks before that compliance date.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation under BOTH the standard applicable at the time of the trade AND the standard that took effect shortly after. At the time of the May 15, 2020 trade, the applicable standard was FINRA Rule 2111 (Suitability), since Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1) did not take effect until June 30, 2020. Under FINRA Rule 2111, a broker-dealer must have a reasonable basis to believe a recommendation is suitable for the customer based on customer-specific factors including age, financial situation, investment objectives, risk tolerance, time horizon, and investment experience. There are three components: (1) Reasonable-basis suitability - the advisor must understand the product. Leveraged inverse ETFs are extraordinarily complex; they reset daily, suffer from volatility decay, and are explicitly designed for short-term trading, not long-term hedging. FINRA Regulatory Notice 09-31 specifically warns that inverse and leveraged ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session.' Kowalski's backtesting comparison to 2008 was fundamentally misleading because leveraged ETFs with daily resets do not track cumulative index performance over extended periods. (2) Customer-specific suitability - a 72-year-old retiree with low risk tolerance, capital preservation objectives, limited investment experience, and modest liquid net worth has a profile flatly inconsistent with a speculative, leveraged derivative product. Allocating 25% of her entire portfolio to such a product dramatically magnifies the mismatch. (3) Quantitative suitability - while this prong typically addresses excessive trading, the sheer concentration of a speculative product is relevant to the overall suitability analysis. Even though Reg BI was not yet in effect, the trade clearly fails under FINRA Rule 2111. The signed disclosure form does not cure a suitability violation; customer consent does not override the broker's independent obligation to make suitable recommendations (FINRA Regulatory Notice 12-25). Supervisor Hernandez also failed in her supervisory obligations under FINRA Rules 3110 and 3120 by approving a manifestly unsuitable trade after only a cursory review.

Common Wrong Answer

A general LLM would likely say this is a borderline case or find no violation, reasoning that: (1) the advisor documented his rationale and performed backtesting research, (2) the client signed a disclosure

acknowledging the risks, (3) the hedging strategy had a plausible defensive purpose, (4) the supervisor approved the trade, and (5) the applicable standard was unclear during the transition period before Reg BI took effect. Some LLMs might also incorrectly apply Reg BI and analyze the disclosure and conflict-of-interest components rather than applying FINRA Rule 2111's suitability framework.

Why Adversarial

The temporal trap is the key challenge. A general-purpose LLM might focus on whether Reg BI (effective June 30, 2020) applied and potentially conclude the advisor was operating in a gap period with reduced obligations, or might incorrectly apply Reg BI's component obligations (Care, Disclosure, Conflict of Interest, Compliance) to a pre-effective-date trade. The correct analysis requires knowing that FINRA Rule 2111 was the controlling standard on May 15, 2020, and that leveraged/inverse ETFs have been the subject of specific FINRA guidance (Regulatory Notice 09-31). Additionally, the signed disclosure form and the supervisor's approval create a surface appearance of compliance that might mislead an LLM into finding no violation. The backtesting memo adds another layer of apparent reasonableness - the advisor 'did research' - but the research itself was fundamentally flawed because it ignored the mechanics of daily-resetting leveraged ETFs.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components: reasonable-basis, customer-specific, and quantitative suitability; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Regulatory Notice 12-25 (regarding customer consent not curing suitability deficiencies); FINRA Rules 3110 and 3120 (Supervision). Regulation Best Interest (17 CFR § 240.15l-1) was NOT yet effective on the trade date of May 15, 2020 (effective date: June 30, 2020) but would have also been violated had it applied.

Adversarial Hypothetical 46

Topic: overconcentration_single_stock | Type: client_direction_trap | Difficulty: hard

Fact Pattern

James Caldwell, age 55, is the former Chief Technology Officer of NovaTech Inc., a publicly traded semiconductor company. Upon retirement in January 2023, he rolled over \$2.8 million from his 401(k) - which had been invested in diversified target-date funds - into a brokerage account at Summit Financial Group, a broker-dealer. His new account documents listed his investment objective as 'growth,' risk tolerance as 'moderate,' time horizon as '10+ years,' annual income of \$95,000 (rental properties), liquid net worth of \$3.1 million (including the brokerage account), and investment experience as 'extensive - equities and options.' Over the first three months, his registered representative, Alicia Vang, built a diversified portfolio across 40 stocks, bonds, and ETFs. In April 2023, NovaTech's stock price surged 60% following an announcement about a breakthrough AI chip. James called Alicia and instructed her to sell the entire diversified portfolio and invest all \$2.8 million into NovaTech shares. Alicia told James this would concentrate his entire retirement account in a single stock in a volatile sector and recommended against it. She emailed him a written summary explaining the risks of overconcentration, the fact that semiconductor stocks are cyclical, and that he already had significant exposure to NovaTech through \$420,000 in restricted stock units still vesting. James responded in writing: 'I understand the risks. I was CTO for 15 years and know this company better than any analyst. I want 100% in NovaTech. Please execute.' Alicia

forwarded the email chain to her branch manager, who noted the file and said to proceed since it was an unsolicited client direction. Alicia executed the trades over three days. By December 2023, NovaTech's stock had dropped 45% following a product recall, reducing the account value to approximately \$1.54 million. James filed a complaint alleging that Alicia should never have allowed the concentration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is likely NOT a violation, though the analysis is nuanced. Under Regulation Best Interest (17 CFR § 240.15l-1), which was in effect in 2023, a broker-dealer's obligations are triggered by a 'recommendation.' When a customer directs a specific transaction without a recommendation from the broker, Reg BI's Care Obligation is generally not implicated. Here, the facts clearly establish that the concentration was unsolicited - James initiated the request, Alicia recommended against it, documented her objections in writing, explained the specific risks including sector volatility and existing NovaTech exposure through RSUs, and escalated to her branch manager. Under FINRA Rule 2111 (which remains in effect alongside Reg BI for FINRA member firms), unsolicited transactions are similarly excluded from the suitability obligation. FINRA Rule 2111.03 (Supplementary Material) explicitly states that the suitability rule applies only to 'recommended' transactions or investment strategies. An unsolicited order initiated by the customer at the customer's specific direction is not a recommendation. Alicia took multiple affirmative steps that demonstrate compliance: (1) she verbally advised against the concentration, (2) she provided a written explanation of the risks, (3) she specifically identified the additional NovaTech exposure through RSUs (showing she considered the customer's total financial picture), and (4) she escalated the matter to her supervisor, who reviewed and approved proceeding. The account was properly marked as unsolicited. James's profile - extensive investment experience, 15 years of deep familiarity with the specific company, high liquid net worth, long time horizon, and growth objective - also makes this a less extreme case than concentration by an unsophisticated investor, though this factor is secondary to the unsolicited nature of the trade. However, if Alicia had in any way encouraged, endorsed, or implicitly recommended the concentration - even by expressing agreement with James's bullish thesis - the transaction could be reclassified as solicited/recommended, which would trigger the full suitability and best interest analysis and likely result in a violation given the extreme 100% concentration plus additional RSU exposure.

Common Wrong Answer

A general LLM would likely find a violation, reasoning that: (1) 100% concentration in a single stock is inherently unsuitable for a retirement account, (2) the advisor had a duty to protect the client from himself, (3) the advisor 'should have refused' to execute the trade regardless of client direction, (4) the additional RSU exposure made the effective concentration even worse, and (5) the fact that the advisor knew it was a bad idea (evidenced by her warning) means she should have been obligated to prevent it. The LLM might also incorrectly apply a fiduciary standard or Investment Advisers Act framework to a broker-dealer relationship.

Why Adversarial

This is a client-direction trap. Most general-purpose LLMs have a strong bias toward finding violations when the fact pattern involves extreme concentration (100% in a single stock) and significant client losses (45% decline). The instinct is to say 'no advisor should allow 100% concentration in a single stock for a retirement account.' However, the critical legal distinction is between recommended and unsolicited transactions. The

advisor's obligation not to recommend unsuitable investments does not extend to an absolute gatekeeper duty to refuse all unwise client-directed trades. The detailed documentation trail - verbal warning, written risk explanation, identification of additional RSU exposure, and supervisory escalation - makes this fact pattern appear like a violation being covered up, when it actually represents textbook-compliant handling of an unsolicited client direction. An LLM might also incorrectly invoke a general 'duty of care' or fiduciary concept that doesn't apply to a broker-dealer handling unsolicited orders.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation which applies only to 'recommendations'; FINRA Rule 2111 (Suitability), specifically Supplementary Material .03 which limits the rule to recommended transactions and investment strategies; FINRA Regulatory Notice 12-25 (guidance on what constitutes a 'recommendation'); FINRA Rules 3110 and 3120 (Supervision, relevant to the branch manager's review and approval of the unsolicited order).

Adversarial Hypothetical 47

Topic: junk_bonds_conservative_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 72, retired schoolteacher, had a \$450,000 brokerage account with Lakeshore Securities since 2011. Her account documents consistently listed her risk tolerance as 'conservative,' her investment objective as 'income with preservation of capital,' her annual income as \$38,000 from pension and Social Security, her liquid net worth as \$510,000, and her investment experience as 'limited - primarily CDs and government bonds.' In April 2019, her longtime broker, Daniel Oates, recommended she invest \$67,500 (15% of her portfolio) into the GulfStream Energy Corp 8.75% Senior Unsecured Notes due 2026, rated BB- by one major rating agency and B+ by another. Daniel prepared a detailed internal memorandum analyzing the bond, noting the company's improving cash flows, favorable oil price environment, the bond's relatively short duration, and the attractive yield spread over Treasuries. He documented that Mrs. Holloway needed additional income to cover rising medical expenses and that the bond's 8.75% coupon would generate approximately \$5,906 annually. He also documented that the position represented only 15% of her portfolio, with the remainder in investment-grade municipal bonds and Treasury securities. Mrs. Holloway signed a general acknowledgment form stating she understood the recommendation. Daniel did not specifically explain the credit risk associated with below-investment-grade debt, the potential for significant principal loss, or the limited liquidity of high-yield bonds in distressed markets. By March 2020, GulfStream Energy's bonds had fallen to 41 cents on the dollar amid the oil price crash, and Mrs. Holloway's position lost approximately \$39,800 in market value. She filed a complaint in June 2020 alleging the recommendation was inappropriate for her profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and the analysis turns critically on which standard applies based on timing. The recommendation was made in April 2019, which is before the June 30, 2020 compliance date for

Regulation Best Interest (Reg BI) under the Exchange Act Rule 15l-1. Therefore, the applicable standard is the FINRA suitability framework under FINRA Rule 2111. Under Rule 2111, there are three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. While Daniel Oates appears to have performed reasonable-basis analysis (the internal memo analyzing GulfStream's fundamentals), the customer-specific suitability obligation was violated. FINRA Rule 2111.05(a) and related guidance make clear that a recommendation must be consistent with the customer's stated investment profile, including risk tolerance, investment objectives, and financial situation. A 72-year-old retired investor with conservative risk tolerance, an income-with-preservation objective, limited investment experience confined to CDs and government bonds, and modest income is not a suitable candidate for below-investment-grade high-yield corporate debt, which carries material credit risk, price volatility, and liquidity risk. Additionally, FINRA has specifically addressed high-yield bonds in Regulatory Notice 12-03, emphasizing heightened suitability obligations for complex or risky products, and in Notice to Members 04-89 regarding non-investment-grade debt securities, which requires that brokers make affirmative efforts to ensure conservative investors understand the risks. The fact that Daniel did not specifically explain credit risk, principal loss potential, or liquidity limitations further compounds the violation. Even under the pre-Reg BI suitability standard, the mere existence of a signed general acknowledgment form does not cure a fundamentally unsuitable recommendation. The 15% concentration, while not extreme in isolation, is significant for a conservative retiree whose entire investment experience is limited to the safest fixed-income instruments. Had this recommendation been made after June 30, 2020, Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) and Disclosure Obligation would have imposed even stricter requirements, including consideration of reasonably available alternatives and full disclosure of material risks.

Common Wrong Answer

A general LLM would likely say this is technically compliant or a borderline case, reasoning that the advisor conducted thorough research (documented memo), kept the allocation to only 15% of the portfolio, the bond had a relatively short maturity, the client had a legitimate need for income to cover medical expenses, and the client signed an acknowledgment. Some LLMs might also incorrectly apply Reg BI's disclosure framework and conclude the acknowledgment satisfied the standard.

Why Adversarial

This scenario is adversarial for multiple reasons. First, the temporal element is critical: a general LLM may incorrectly apply Reg BI to an April 2019 recommendation, when in fact the FINRA Rule 2111 suitability standard governed. Second, the advisor's detailed internal memorandum and the 15% allocation create a strong surface appearance of compliance - the advisor 'did his homework' and kept the position relatively modest. Third, many LLMs may focus on the reasonable-basis analysis and conclude the recommendation was suitable because the advisor documented his rationale. The trap is that customer-specific suitability is a separate, independent obligation that was clearly violated regardless of how thorough the product-level research was. Fourth, the signed acknowledgment form may mislead an LLM into thinking the customer consented to the risk, but a general acknowledgment does not satisfy the broker's independent suitability obligation under FINRA rules.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically the customer-specific suitability obligation under Rule 2111(a) and supplementary material at Rule 2111.05(a); FINRA Regulatory Notice 12-03 (Know Your Customer and

Suitability); FINRA Notice to Members 04-89 (Non-Investment Grade Debt Securities); NASD Rule 2310 (predecessor suitability rule, for historical context). Note: Regulation Best Interest (17 CFR 240.15I-1) was not yet effective for this April 2019 transaction (compliance date June 30, 2020).

Adversarial Hypothetical 48

Topic: *overconcentration_single_stock* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Kevin Wu, age 44, a senior software engineer at NovaTech Inc., earned \$285,000 annually and had a total liquid net worth of approximately \$2.1 million. He maintained a brokerage account at Ridgeline Wealth Advisors with broker Patricia Engel. Kevin's account profile listed his risk tolerance as 'aggressive,' his investment objective as 'growth,' his time horizon as 'long-term (15+ years),' and his investment experience as 'extensive - actively trades individual equities and options for over 12 years.' As of January 2023, Kevin already held approximately \$840,000 in NovaTech stock (40% of his liquid net worth) through his company's equity compensation plan, held in a separate account at another custodian. In February 2023, Kevin contacted Patricia and directed her - in writing, via email - to purchase an additional \$420,000 of NovaTech common stock in his Ridgeline brokerage account, which would bring his total NovaTech exposure to approximately \$1.26 million, or 60% of his liquid net worth. Kevin wrote in his email: 'I know this is a big bet on one company, but I have deep insight into NovaTech's product pipeline and I'm confident the stock will outperform the market over the next 3 years. Please execute this purchase. I understand and accept the concentration risk.' Patricia responded by email acknowledging Kevin's request and noting that this would result in significant single-stock concentration risk. She wrote: 'I want to make sure you understand that holding 60% of your liquid net worth in a single equity position carries substantial risk, including the potential for significant loss if NovaTech underperforms. I'd recommend diversifying, but I respect your decision.' She then executed the purchase as directed. Patricia did not document any further analysis of Kevin's overall financial picture, did not formally assess whether the concentrated position was consistent with Kevin's stated investment profile beyond the email exchange, and did not escalate the matter to her firm's compliance department, though Ridgeline's internal policies required supervisory review for any single-position concentration exceeding 50% of account value. NovaTech stock subsequently declined 52% over the following nine months due to a failed product launch, reducing Kevin's NovaTech holdings by approximately \$655,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the analysis is more nuanced than it first appears. While Kevin Wu directed the trade and has an aggressive profile with extensive experience, several independent obligations were breached. First, under Regulation Best Interest (17 CFR 240.15I-1), which was fully effective by February 2023, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made and must not place their own interests ahead of the customer's. Critically, however, the threshold question is whether Patricia made a 'recommendation.' Here, Kevin directed the trade - Patricia did not initiate it. Under Reg BI and prior FINRA guidance (e.g., Regulatory Notice 12-25), unsolicited transactions where the

customer independently directs the trade are generally not subject to the recommendation-based suitability or best interest obligations. This is where many would stop the analysis and conclude no violation occurred. However, the violation here is procedural and supervisory in nature: Ridgeline's internal written supervisory procedures (WSPs) required supervisory review for any single-position concentration exceeding 50% of account value. Patricia failed to escalate the matter to compliance despite knowing the purchase would bring Kevin's NovaTech concentration to 60% of his liquid net worth. Under FINRA Rule 3110 (Supervision), member firms must establish and enforce written supervisory procedures, and registered representatives have an obligation to follow their firm's internal policies. Patricia's failure to trigger the required supervisory review is a violation of FINRA Rule 3110 and the firm's own WSPs, regardless of whether the trade was solicited or unsolicited. Additionally, under FINRA Rule 3270 and general supervisory obligations, Patricia had knowledge of Kevin's outside NovaTech holdings (the \$840,000 at another custodian), and her failure to incorporate this into a formal suitability or concentration analysis - or to ensure her firm's compliance apparatus was aware - represents a procedural deficiency. Furthermore, some regulators and arbitration panels have found that even where a trade is nominally 'unsolicited,' a broker who has a relationship of trust and confidence with a client and who is aware of excessive concentration has an obligation to do more than simply note the risk in an email - particularly when the broker's own firm requires escalation. Patricia's email response, while showing awareness of the risk, may actually work against her because it demonstrates she recognized the concentration problem but failed to follow through on her firm's required procedures.

Common Wrong Answer

A general LLM would almost certainly say no violation occurred, reasoning that: (1) the trade was unsolicited and client-directed, (2) Kevin is a sophisticated investor with aggressive risk tolerance and extensive trading experience, (3) Kevin explicitly acknowledged the concentration risk in writing, (4) Patricia warned Kevin about the risks and recommended diversification, and (5) the subsequent loss does not retroactively make a compliant transaction non-compliant. The LLM would likely miss the WSP/supervisory escalation requirement entirely.

Why Adversarial

This is a client-direction trap designed to exploit the common assumption that if a sophisticated, aggressive client explicitly directs a trade in writing and acknowledges the risk, the broker is automatically absolved of all responsibility. A general LLM would likely focus heavily on the unsolicited nature of the trade, Kevin's aggressive profile, his extensive experience, and his written acknowledgment of concentration risk, and conclude no violation occurred. The hidden deficiency is the firm's internal policy requiring supervisory escalation at the 50% threshold, which Patricia knowingly failed to follow. Most LLMs lack awareness that internal WSP violations constitute independent regulatory violations under FINRA Rule 3110 even when the underlying trade might not independently violate suitability or best interest standards. The fact that Kevin's total NovaTech exposure spans two custodians adds complexity - Patricia knew about the outside holdings but failed to formally account for them in triggering the firm's concentration review threshold.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1) - Care Obligation component at (a)(2)(ii); FINRA Rule 2111 (Suitability) - customer-specific obligation and supplementary material .03 (discussing unsolicited vs. recommended transactions); FINRA Rule 3110 (Supervision) - requiring firms to establish, maintain, and enforce WSPs and requiring registered representatives to comply with firm procedures; FINRA Regulatory

Notice 12-25 (guidance on what constitutes a 'recommendation'); FINRA Rule 3270 (Outside Business Activities / Outside Holdings awareness obligations); Firm-specific Written Supervisory Procedures (Ridgeline's 50% single-position concentration escalation policy).

Adversarial Hypothetical 49

Topic: *illiquid_real_estate_investment* | Type: *multi_party* | Difficulty: *expert*

Fact Pattern

Margaret Chen, age 62, retired schoolteacher with a \$1.2 million portfolio, visited her long-time financial advisor, David Park, at Firm A in March 2023. She expressed interest in diversifying into real estate and mentioned she'd heard about a non-traded real estate investment trust called Pinnacle Realty Income Fund from a friend. David reviewed the offering documents and concluded it was too illiquid and concentrated for Margaret given her age and need for retirement income. He documented his recommendation against the investment in his notes and told Margaret he would not recommend it. Margaret, frustrated, opened an account at Firm B in April 2023 with a new advisor, Rachel Torres. Margaret told Rachel she wanted to invest \$180,000 (15% of her portfolio) in the Pinnacle Realty Income Fund. Rachel pulled Margaret's new account paperwork, which listed her liquid net worth as \$1.2 million, annual income of \$48,000 from pension and Social Security, investment objective as 'income with moderate growth,' risk tolerance as 'moderate,' time horizon as '10+ years,' and liquidity needs as 'moderate - may need funds for healthcare within 5 years.' Rachel reviewed the Pinnacle fund's offering memorandum, noting it had a 7-year lockup with no redemption program for the first 3 years, a front-end load of 7%, annual distributions projected at 5.5%, and that the fund invested primarily in commercial office properties in secondary markets experiencing rising vacancy rates. Rachel noted that Margaret's 15% allocation was within Firm B's internal concentration limit of 20% for alternative investments. Rachel processed the \$180,000 purchase. She documented that the client specifically requested the product, that the allocation was within firm concentration guidelines, and that the projected 5.5% distribution rate aligned with Margaret's income needs. Rachel did not document any analysis of the liquidity mismatch between the 7-year lockup and Margaret's stated 5-year potential healthcare liquidity need, nor did she consider that the front-end load would reduce Margaret's effective yield significantly below 5.5% in the early years. Six months later, Margaret needed \$50,000 for an unexpected medical procedure and could not access her Pinnacle investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Rachel Torres at Firm B violated applicable standards. Under FINRA Rule 2111 (Suitability), an advisor must conduct a customer-specific suitability analysis before recommending a security. Even though the client directed the purchase, Rachel made an implicit recommendation by facilitating and processing the transaction after reviewing the product. Under FINRA Regulatory Notice 12-55, a broker who agrees to a customer's request to purchase a product after discussion and review effectively participates in the recommendation process. More critically, under Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1), which was fully effective as of June 30, 2020, Rachel had a Care Obligation requiring her to exercise

reasonable diligence, care, and skill in evaluating the investment in light of the customer's profile. Margaret's stated potential need for liquidity within 5 years directly conflicted with the fund's 7-year lockup and 3-year redemption blackout. The fact that the allocation fell within Firm B's 20% internal concentration limit does not satisfy the individualized care obligation - internal guidelines are floors, not ceilings, for compliance. Rachel's failure to analyze and document the liquidity mismatch, combined with the product's characteristics (high front-end load eroding actual yield, commercial office exposure in weakening markets, hard lockup), constituted a failure of reasonable diligence. FINRA's guidance on non-traded REITs (Regulatory Notice 15-02) specifically warns that these products require heightened scrutiny regarding liquidity needs, concentration, and customer-specific suitability. David Park at Firm A did NOT violate any standard - he properly analyzed and declined to recommend the investment, documenting his reasoning. His conduct was exemplary.

Common Wrong Answer

No violation - Margaret specifically requested the investment after being turned down at another firm, the allocation was within Firm B's concentration guidelines, and Rachel documented the client's direction. The advisor honored the client's autonomous investment decision.

Why Adversarial

This scenario involves multiple advisors at different firms, creating confusion about who bears responsibility. A general LLM is likely to focus on David Park's refusal as the main narrative and conclude 'no violation' because the client voluntarily sought out another advisor who stayed within firm concentration limits. The trap is that (1) the client-direction defense does not apply under Reg BI's Care Obligation when the advisor actively processed and facilitated the trade after reviewing the product, (2) compliance with internal firm concentration limits does not equal suitability compliance, and (3) the liquidity mismatch is the critical issue that Rachel failed to address despite documenting other factors. Models often incorrectly treat client-directed trades as automatically exempt from suitability analysis.

Applicable Standard

FINRA Rule 2111 (Suitability); Regulation Best Interest (17 CFR § 240.15l-1), particularly the Care Obligation component; FINRA Regulatory Notice 12-55 (guidance on customer-directed trades and implicit recommendations); FINRA Regulatory Notice 15-02 (non-traded REIT suitability concerns); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 50

Topic: tax_deferred_unnecessary_annuity | Type: knowledge_trap | Difficulty: expert

Fact Pattern

Robert Galloway, age 58, is a mid-level corporate manager earning \$135,000 annually. In January 2024, he met with his financial advisor, Karen Whitfield, at a broker-dealer. Robert had \$410,000 in a traditional IRA rollover from a previous employer's 401(k), invested in a diversified portfolio of low-cost index mutual funds with a blended expense ratio of 0.12%. Robert told Karen he was concerned about market volatility as he approached retirement in 7 years and wanted more predictable income. He was not particularly tax-savvy and did not raise any questions about tax treatment. Karen recommended that Robert move \$300,000 of

his IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The annuity had the following features: annual mortality and expense charge of 1.15%, administrative fee of 0.10%, underlying sub-account expenses averaging 0.75%, and the GLWB rider cost of 1.05% annually - for a total all-in annual cost of approximately 3.05%. The GLWB guaranteed a 5% withdrawal rate for life beginning at age 65, regardless of market performance. The annuity had a 7-year declining surrender charge schedule starting at 7% in year one. Karen's firm received a 5.5% upfront commission on the annuity sale. Karen documented the following rationale: Robert expressed concern about market volatility; the GLWB addresses his desire for predictable retirement income; the 7-year surrender schedule aligns with his 7-year time horizon to retirement; Robert's overall portfolio still has \$110,000 in low-cost index funds for liquidity; and the guaranteed income feature provides value that justifies the higher costs. Karen did not document any analysis comparing the annuity's tax-deferral benefit to Robert's existing IRA tax-deferral, nor did she document consideration of lower-cost alternatives that could provide similar downside protection, such as a balanced fund with a bond allocation shift or a fixed indexed annuity with lower fees. Robert's IRA already provided full tax deferral on all gains.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Karen Whitfield violated applicable standards, though the analysis is more nuanced than the typical 'annuity in an IRA' scenario. Under Regulation Best Interest (17 CFR § 240.15l-1), the Care Obligation requires that the advisor evaluate reasonably available alternatives and that the recommendation reflect the retail customer's best interest without placing the advisor's financial interest ahead of the customer's. Under the specific Reg BI guidance regarding annuities in tax-advantaged accounts, placing a variable annuity inside a traditional IRA is not per se prohibited. The SEC and FINRA have long acknowledged (FINRA Regulatory Notice 12-55; NASD Notice to Members 99-35) that tax deferral is only one feature of an annuity - other features like guaranteed income riders may independently justify the purchase even within a tax-deferred account. This is the knowledge trap: the violation is NOT simply because she placed an annuity inside an IRA. The violation exists because (1) Karen failed to conduct a reasonable comparative analysis of lower-cost alternatives that could address Robert's volatility concern - such as reallocating the existing low-cost portfolio toward a more conservative asset allocation, purchasing a fixed indexed annuity with substantially lower fees, or considering a single premium immediate annuity at retirement - and (2) the total cost differential is enormous: 3.05% annually versus 0.12%, meaning approximately \$8,790 per year in additional costs on \$300,000, which over 7 years (even before compounding) represents roughly \$61,530 in additional costs that directly reduces Robert's retirement assets. Under Reg BI's Care Obligation, the advisor must consider costs as a factor and cannot recommend a higher-cost product without a reasonable basis for concluding the additional features justify the cost. The GLWB's 5% guaranteed withdrawal at age 65 on a \$300,000 base provides \$15,000 annually - but after 7 years of 3.05% in fees, the account value could be substantially diminished. Karen's documentation, while addressing some factors, critically omits any cost-benefit comparison or analysis of alternatives, which is required under the Reg BI Care and Disclosure Obligations. The 5.5% upfront commission also creates a conflict that must be addressed under the Conflict of Interest Obligation.

Common Wrong Answer

Either (1) 'Clear violation because placing a tax-deferred annuity inside an already tax-deferred IRA

provides no additional tax benefit and is inherently unsuitable' - which is an oversimplification and wrong legal standard, or (2) 'No violation because the GLWB rider provides guaranteed income independent of tax deferral, the surrender schedule matches the time horizon, and Karen documented a reasonable rationale' - which ignores the cost-comparison and alternatives analysis requirements.

Why Adversarial

This is a knowledge trap because the obvious answer - 'annuity inside an IRA is always a violation because tax deferral is redundant' - is actually wrong as a categorical rule. Many LLMs have learned this oversimplified heuristic. FINRA and the SEC have explicitly acknowledged that annuity features beyond tax deferral (like GLWBs) can justify placement in an IRA. A sophisticated LLM might therefore overcorrect and say 'no violation because the GLWB provides independent value beyond tax deferral.' The actual violation is more subtle: it's the failure to conduct and document a cost-benefit analysis against reasonably available lower-cost alternatives, and the failure to establish that the specific GLWB benefit justifies a ~2.93% annual cost increase. The trap catches both unsophisticated models (wrong reason for violation) and sophisticated models (overcorrecting to no violation).

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation and Conflict of Interest Obligation; FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 12-55; NASD Notice to Members 99-35 (sales of variable annuities); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), particularly Rule 2330(b) requiring reasonable basis to believe the customer would benefit from certain features of deferred variable annuities; SEC Regulation Best Interest Adopting Release (June 2019) discussion of cost as a relevant factor in the Care Obligation

Adversarial Hypothetical 51

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: expert

Fact Pattern

Margaret Holloway, age 79, has been a client of Pinnacle Wealth Advisors since 2006. Her original advisor, David Chen, managed her \$1.4 million portfolio conservatively: 60% investment-grade bonds, 25% blue-chip equities, and 15% money market funds. Margaret's account documentation consistently listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her annual income as \$42,000 (Social Security and a small pension), and her liquid net worth as \$1.5 million. In January 2023, David Chen retired. Margaret's account was reassigned to Lisa Pruitt, a newer advisor at the same firm. Lisa conducted a brief introductory phone call with Margaret in February 2023 but did not schedule an in-person meeting or conduct a new suitability questionnaire. Lisa reviewed David's notes and saw the conservative profile. In March 2023, Margaret's 38-year-old grandson, Tyler Holloway, called Lisa and explained that Margaret had added him as a power of attorney in December 2022. Tyler said Margaret was 'getting forgetful' and that he was now handling her finances. Tyler provided Lisa with a copy of the POA document, which appeared properly executed. Tyler then instructed Lisa to reallocate Margaret's portfolio: sell all bonds and money market positions and move into a combination of high-yield corporate bond funds (40%), emerging market equity funds (35%), and a concentrated position in a single biotech company that Tyler said he had 'researched extensively' (25%). Lisa asked Tyler about Margaret's

investment objectives, and Tyler said, 'Grandma wants growth now - she told me she's tired of earning nothing.' Lisa processed the trades over two weeks in March and April 2023. She documented in her notes that she had received instructions from the authorized POA holder and that the POA holder confirmed Margaret's new objectives. Lisa did not speak directly with Margaret at any point during or after the reallocation. Lisa did not contact her firm's compliance department or senior investor protection team. In September 2023, the biotech stock dropped 68%, and the emerging market funds lost 22%. Margaret's portfolio declined from \$1.4 million to approximately \$780,000. Margaret's daughter, Karen, discovered the changes in October 2023 when helping Margaret with tax documents and filed a complaint. The firm's records show that Lisa had completed the firm's mandatory elder care training module in November 2022, which specifically covered procedures for handling accounts with POA holders, including a requirement to make reasonable efforts to contact the account holder directly when significant account changes are requested by a POA agent.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Lisa Pruitt committed multiple violations. First, under FINRA Rule 2111 (Suitability), the advisor has an independent obligation to ensure that every recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile. Even when a POA holder directs trades, the suitability obligation runs to the account holder - Margaret - not to Tyler. The radical reallocation from a conservative portfolio to an aggressive, concentrated one was plainly unsuitable for a 79-year-old retiree with \$42,000 in annual income, a conservative risk tolerance, and income/preservation objectives. The fact that Tyler verbally stated Margaret's objectives had changed does not relieve Lisa of her duty to independently assess suitability. Second, under FINRA Rule 2165 (Financial Exploitation of Specified Adults), which applies to customers aged 65 and older, Lisa had the authority - and arguably the obligation under her firm's internal procedures - to place a temporary hold on disbursements and notify a trusted contact person when there were signs of potential financial exploitation. Tyler's own statement that Margaret was 'getting forgetful' should have been a red flag indicating potential diminished capacity. Third, Lisa violated her firm's own internal elder care training protocols, which required reasonable efforts to contact the account holder directly before processing significant changes requested by a POA agent. She never spoke to Margaret. Fourth, under FINRA Rule 4512(a)(1)(F), firms are required to make reasonable efforts to obtain the name and contact information of a trusted contact person for accounts held by senior investors; there is no indication Lisa utilized or even checked for this. Additionally, FINRA Regulatory Notice 07-43 (Senior Investors) emphasizes heightened suitability concerns for elderly customers and the need to be alert to signs of diminished capacity and undue influence by third parties. The 25% concentration in a single biotech stock alone would likely violate reasonable-basis suitability and customer-specific suitability under Rule 2111, even for a younger, more aggressive investor with this portfolio size. Under Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1), applicable since June 30, 2020, Lisa also failed the Care Obligation, which requires a reasonable basis to believe the recommendation is in the retail customer's best interest at the time, considering the customer's investment profile and the potential risks, rewards, and costs.

Common Wrong Answer

No violation. Lisa had a valid POA from Tyler authorizing him to make investment decisions for Margaret.

She documented the new objectives as stated by the authorized agent, and she was not required to second-guess a legally authorized representative. The losses were due to market conditions and Tyler's investment choices, not Lisa's conduct.

Why Adversarial

This scenario is adversarial because it involves a legally valid POA, which many LLMs will treat as sufficient authorization to process the trades without further inquiry. The multi-party structure (advisor, grandson/POA holder, original advisor, firm compliance) creates confusion about who bears the suitability obligation. A general-purpose LLM may incorrectly reason that because Lisa was following instructions from a legally authorized agent, she bears no independent suitability duty. Additionally, LLMs may not know that FINRA Rule 2165 gives firms authority to temporarily hold transactions when exploitation of seniors is suspected, or that the suitability obligation runs to the account holder regardless of who gives the instructions. The fact that Lisa documented the POA holder's stated new objectives creates a paper trail that appears superficially compliant.

Applicable Standard

FINRA Rule 2111 (Suitability); FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 4512(a)(1)(F) (Trusted Contact Person); FINRA Regulatory Notice 07-43 (Senior Investors); Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation component

Adversarial Hypothetical 52

Topic: penny_stocks_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Robert Tran, age 44, is a software engineer earning \$185,000 annually. He has a brokerage account at Coastal Securities with advisor Jennifer Wade. Robert's account application from January 2022 lists his liquid net worth as \$620,000, his risk tolerance as 'aggressive,' his investment experience as '15+ years,' and his investment objective as 'speculation/aggressive growth.' Robert maintains a separate 401(k) and IRA totaling \$430,000 in index funds. His brokerage account at Coastal holds approximately \$210,000. In June 2023, Robert approached Jennifer and said he wanted to invest \$90,000 - approximately 43% of his brokerage account - into shares of GreenCore Minerals, Inc., a company trading at \$0.38 per share on the OTC Pink marketplace. GreenCore had no revenue, no audited financial statements, and had been the subject of a promotional email campaign touting 'massive upside in rare earth mining.' Robert told Jennifer he had been following the stock on social media forums and believed the company was about to announce a major mining contract. Jennifer pulled up publicly available information on GreenCore and found: market capitalization of \$8.2 million, no assets listed beyond \$120,000 in cash, three employees, a CEO with two prior penny stock ventures that had both been suspended from trading, and no filings with any exchange beyond basic OTC disclosure. Jennifer told Robert that penny stocks are risky and that this one looked particularly speculative. Robert responded: 'I understand the risk completely. I've lost money on penny stocks before. I'm a big boy - just execute the trade.' Jennifer documented the conversation in her notes, had Robert sign a general risk acknowledgment form that Coastal uses for OTC securities, and then executed the purchase of approximately 236,842 shares of GreenCore at \$0.38 per share for a total of \$90,000. Jennifer did not provide Robert with the specific penny stock risk disclosure document at least two

days before the transaction, nor did she obtain a separate signed penny stock suitability statement detailing Robert's financial situation and investment experience specific to penny stocks. Coastal Securities had an approved list of OTC securities that advisors could recommend, and GreenCore was not on it - but Jennifer did not recommend the stock; Robert brought it to her. By November 2023, GreenCore was trading at \$0.02 per share and Robert's position was worth approximately \$4,737.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Jennifer Wade violated applicable requirements, despite the fact that the customer directed the transaction. Under the penny stock rules established in Section 15(h) of the Securities Exchange Act of 1934 and SEC Rule 15g-2 through 15g-9, broker-dealers and their associated persons are required to follow specific procedures before effecting transactions in penny stocks (generally, equity securities trading below \$5 per share that are not listed on a national exchange and do not meet certain exemptions). Specifically: (1) Under SEC Rule 15g-2, the broker must provide the customer with a standardized penny stock risk disclosure document and obtain a signed acknowledgment at least two business days before the transaction - a general OTC risk form is insufficient; (2) Under SEC Rule 15g-9, the broker must obtain from the customer a written suitability statement that includes the customer's financial information (income, net worth, investment experience) specific to the penny stock transaction, and the broker must determine that the penny stock transaction is suitable based on this information. These are mandatory procedural requirements that apply regardless of whether the trade is solicited or unsolicited. The only exemption under Rule 15g-9 is for 'established customers' who either (a) have held an account with the broker for at least one year and have made a prior penny stock transaction, or (b) have made at least three penny stock purchases of different issuers on different days. There is no indication in the fact pattern that Robert qualifies as an established customer under this exemption. Jennifer's failure to provide the specific penny stock disclosure document and her failure to obtain the penny stock suitability statement are independent procedural violations that cannot be cured by the customer's verbal acknowledgment of risk or a generic risk form. Furthermore, under FINRA Rule 2111, even unsolicited transactions can trigger suitability obligations when the broker-dealer exercises de facto control or when firm procedures require approval for certain categories of securities. While Robert's aggressive profile and stated experience provide some defense on the substantive suitability front, the procedural failures under the penny stock rules are clear violations. Additionally, the CEO's history of two prior suspended penny stock ventures is a significant red flag that arguably should have prompted Jennifer to refuse the order under her firm's supervisory obligations.

Common Wrong Answer

No violation. Robert was an experienced, aggressive investor who understood the risks, had sufficient assets to absorb the loss, and specifically directed the trade himself. Jennifer appropriately warned him about the risks, documented the conversation, and obtained a signed risk acknowledgment. The trade was unsolicited, so suitability obligations do not apply, and the losses were the result of Robert's own informed decision.

Why Adversarial

This is a classic client-direction trap. Most LLMs will focus on the unsolicited nature of the trade and Robert's aggressive profile, investment experience, and explicit consent, concluding that no violation

occurred because the client was sophisticated and directed the trade himself. However, the penny stock rules under SEC Rules 15g-2 through 15g-9 impose mandatory procedural requirements (specific disclosure documents, suitability statements, timing requirements) that apply regardless of whether the transaction was solicited or unsolicited, and regardless of the customer's sophistication. The fact that Jennifer gave a verbal warning and obtained a generic risk acknowledgment form appears compliant on the surface but fails to satisfy the specific penny stock disclosure and suitability documentation requirements. General-purpose LLMs typically do not distinguish between generic risk acknowledgments and the specific penny stock disclosure mandated by SEC rules.

Applicable Standard

Securities Exchange Act of 1934 Section 15(h); SEC Rules 15g-2, 15g-3, 15g-5, 15g-9 (Penny Stock Rules); FINRA Rule 2111 (Suitability); Regulation Best Interest (17 CFR § 240.15l-1); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 53

Topic: bond_duration_mismatch | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 71, retired schoolteacher, visited her financial advisor Derek Simmons at Patriot Wealth Advisors in March 2022. Margaret had \$620,000 in her IRA, which she depended on entirely for living expenses beyond her \$1,400/month Social Security check. She told Derek she needed to draw approximately \$3,000 per month from the IRA to cover rent, medications, and basic living costs. She said she wanted 'safe, steady income' and 'no stock market risk.' Derek conducted a thorough analysis. He noted the Federal Reserve had begun raising interest rates in March 2022 and studied multiple economic forecasts predicting rates would continue rising throughout 2022 and into 2023. He documented his belief that long-duration bonds would experience significant price declines in a rising rate environment. Based on this analysis, Derek recommended Margaret invest 85% of her IRA (\$527,000) into a portfolio of individual investment-grade corporate bonds with maturities ranging from 2 to 4 years, with a weighted average duration of approximately 2.8 years, yielding an average of 3.1% at the time of purchase. The remaining 15% (\$93,000) went into a money market fund. Derek's written analysis noted that shorter-duration bonds would protect Margaret's principal from interest rate risk while generating income. However, the portfolio's total annual income from the bonds would generate approximately \$16,337 per year (\$1,361/month), which combined with the money market yield of roughly \$1,200/year (\$100/month), would produce only about \$1,461 per month - far short of Margaret's stated \$3,000/month withdrawal need. To meet her income requirements, Margaret would need to liquidate approximately \$18,468 of bond principal per year (\$1,539/month), meaning the portfolio would be depleted within approximately 25-27 years under static assumptions, though Margaret's life expectancy was approximately 15 years. Derek's file contained no cash flow analysis, no projection of portfolio depletion, and no documentation that he discussed with Margaret the fact that she would need to regularly sell bonds to meet her income needs. Margaret assumed the bonds would 'pay her bills' through interest alone. By January 2024, Margaret noticed her account balance had dropped to \$548,000 despite bond prices being relatively stable, and she realized for the first time that she had been drawing down principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the seemingly sound duration analysis. While Derek correctly identified interest rate risk and appropriately selected shorter-duration bonds to mitigate that specific risk, he committed a fundamental suitability violation by failing to match the portfolio's income generation to Margaret's actual cash flow needs. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, liquidity needs, and other information. The customer-specific suitability obligation (Rule 2111.05) requires that the advisor match the recommendation to the specific customer. Additionally, under Regulation Best Interest (Reg BI) - specifically the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) - the advisor must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile. Derek's analysis was incomplete. He focused exclusively on interest rate/duration risk while ignoring the income sufficiency question entirely. A \$3,000/month withdrawal need against a portfolio generating only ~\$1,461/month in income means Margaret was unknowingly drawing down principal at a rate of over \$18,000 per year. While the portfolio would likely last beyond her life expectancy, the critical failure was (1) not performing or documenting a cash flow analysis, (2) not informing Margaret that the strategy would require principal liquidation, and (3) allowing Margaret to misunderstand the nature of her income stream. Under FINRA Regulatory Notice 12-25, firms must ensure that advisors consider a customer's overall financial situation, not just one risk dimension. The absence of any cash flow documentation constitutes a failure of reasonable diligence under both the suitability and best interest standards. The fact that Derek was correct about duration risk does not cure the violation of ignoring the client's primary stated objective - sufficient income - and failing to ensure Margaret understood she was spending principal.

Common Wrong Answer

No violation. Derek conducted thorough research, correctly anticipated the rate environment, protected Margaret's principal by choosing short-duration bonds, and the portfolio would last well beyond her life expectancy. The strategy was conservative and appropriate for a retiree seeking safety.

Why Adversarial

This scenario is adversarial because the advisor appears to have done rigorous, correct analysis - he correctly predicted rising rates, chose appropriate short-duration bonds, documented his reasoning, and actually protected Margaret from the significant duration losses that long-bond holders suffered in 2022-2023. A general LLM would likely focus on the duration analysis and conclude the advisor acted prudently. The trap is that sound analysis on one dimension (interest rate risk) does not excuse complete failure on another critical dimension (income sufficiency and cash flow matching). Many LLMs would also note that the portfolio would outlast her life expectancy and conclude no harm was done. However, the violation is procedural (failure to document, analyze, and disclose cash flow implications) and substantive (the strategy did not match her primary objective without her informed understanding).

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .04 (Customer's Investment Profile) and .05 (Components of Suitability - customer-specific obligation); Regulation Best Interest, 17 CFR 240.15l-1(a)(2)(ii)(A)-(B) (Care Obligation requiring reasonable diligence to understand risks and reasonable basis to believe recommendation is in customer's best interest); FINRA Regulatory Notice 12-25 (clarifying suitability obligations including consideration of customer's entire financial situation and investment needs); FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade, regarding failure to disclose material facts about principal depletion)

Adversarial Hypothetical 54

Topic: *leveraged_etf_unsuitable* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Kevin Tran, age 34, software engineer earning \$185,000 per year, opened a brokerage account at Summit Securities in August 2023. Kevin had approximately \$950,000 in total liquid assets across various accounts and listed his risk tolerance as 'aggressive' on his new account form. He indicated his investment objective was 'speculation' and his time horizon was 'short-term (under 1 year).' Kevin had 11 years of active trading experience, including trading options, futures, and various leveraged products. His account application noted he had 'extensive' knowledge of leveraged and inverse ETFs, and he confirmed in writing that he understood that such products reset daily and are designed for short-term trading, not long-term holding. In September 2023, Kevin contacted his assigned advisor, Lisa Park, and specifically requested the purchase of \$120,000 worth of a 3x leveraged semiconductor ETF. Kevin told Lisa he was making a directional bet on semiconductor stocks heading into earnings season over the next 3-4 weeks. Lisa reviewed Kevin's account profile, confirmed his experience and risk tolerance, and discussed the specific mechanics of daily rebalancing and volatility decay with Kevin during a recorded phone call. During the call, Kevin correctly explained the concept of volatility decay back to Lisa and stated: 'I know exactly how these work. I've traded TQQQ and SOXL for years. I'm targeting a 3-to-4 week hold maximum.' Lisa executed the trade. She also set a calendar reminder and called Kevin after four weeks to ask about his exit plan. Kevin said he wanted to hold two more weeks to capture an additional earnings report. Lisa documented the conversation and noted Kevin's rationale. Kevin sold the position six weeks after purchase at a modest profit of \$8,200. Kevin later filed a complaint alleging the leveraged ETF was unsuitable for his account and that Lisa should have refused the trade or at minimum refused to allow the extended holding beyond the initial four-week plan.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Lisa did not violate suitability or best interest requirements. This is a case where the recommendation (or facilitation of a customer-directed trade) was appropriate given the customer's documented profile. Under FINRA Rule 2111, an advisor must ensure that a recommended transaction is suitable based on the customer's investment profile including age, financial situation, risk tolerance, investment experience, investment objectives, time horizon, and liquidity needs. Kevin's profile was consistent with the leveraged ETF purchase: he was a high-income, high-net-worth individual with an aggressive risk tolerance, a

speculation objective, extensive documented experience with leveraged products (11 years including specific leveraged ETF experience), and a short-term time horizon. The position size (\$120,000) represented approximately 12.6% of his liquid assets - a meaningful but not disproportionate allocation for a self-described speculative trader. Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), Lisa exercised reasonable diligence: she reviewed his profile, discussed the specific product mechanics, confirmed his understanding through a recorded call where Kevin demonstrated fluency with volatility decay concepts, and proactively followed up after the stated holding period. Regarding the two-week extension, FINRA Regulatory Notice 09-31 (which specifically addresses leveraged and inverse ETFs) notes that these products are typically unsuitable for retail investors who plan to hold them for longer than one trading session, but also acknowledges that suitability is determined based on the customer's specific circumstances. A six-week hold for a sophisticated, experienced speculator making a defined directional bet with a small portion of his portfolio is materially different from an unsophisticated retiree holding a leveraged product for months. Lisa's follow-up call and documentation of Kevin's rationale for extending the hold further demonstrates appropriate supervision. The complaint appears to be a case of buyer's remorse recharacterized as a suitability claim, but given the modest profit, even that framing is weak. Under FINRA Rule 2111.07, when a customer directs a specific transaction, the suitability obligation may not apply with the same force as it does to advisor-recommended transactions, though Reg BI applies to recommendations regardless of who initiated the discussion. Even applying the stricter Reg BI standard, Lisa's conduct meets the Care Obligation requirements.

Common Wrong Answer

Yes, violation. Leveraged ETFs are designed for single-day holding periods and are unsuitable for holding beyond one trading session. Lisa should have refused the trade or at minimum liquidated the position after the original four-week period when Kevin wanted to extend. The six-week holding period exposed Kevin to significant volatility decay risk, and regulatory guidance clearly warns against holding leveraged products for extended periods.

Why Adversarial

This is adversarial because many AI models have been trained on warnings about leveraged ETFs being 'unsuitable' for most investors and on regulatory guidance emphasizing they should not be held beyond a single trading session. A general LLM will likely latch onto (1) the leveraged ETF product itself as inherently problematic, (2) the holding period exceeding one day (and the extension beyond the original plan), and (3) the customer complaint as validation of the violation. The trap is that suitability is customer-specific, not product-specific - a leveraged ETF is not per se unsuitable, and a sophisticated, experienced, aggressive speculator using a small percentage of assets for a defined short-term trade is precisely the type of investor for whom these products can be appropriate. The two-week extension is a secondary trap: models may see the deviation from the original plan as a violation, but six total weeks for a speculative short-term trade with documented rationale is still within the realm of appropriate use.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .04 (Customer's Investment Profile), .05 (Components of Suitability - reasonable-basis, customer-specific, and quantitative suitability), and .07 (Customer-Directed Transactions); Regulation Best Interest, 17 CFR 240.15l-1(a)(2)(ii) (Care Obligation); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs - guidance on leveraged and inverse ETFs, their daily reset mechanisms, and suitability considerations); FINRA Regulatory Notice 12-03 (Complex Products

- heightened supervision requirements and reasonable-basis suitability for complex products including leveraged ETFs)

Adversarial Hypothetical 55

Topic: structured_products_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Huang at Pemberton Wealth Partners recommended a reverse convertible note linked to three biotech stocks to his client, Miriam Castellano, age 58, a recently retired school principal with \$1.2 million in retirement savings, moderate risk tolerance documented on her new account form, and a stated goal of generating income to supplement her pension. The note offered a 12.8% annualized coupon with a 6-month maturity and a 30% downside barrier on the worst-performing of the three underlying stocks. Derek conducted substantial research before making the recommendation: he reviewed the issuing bank's credit rating (A+), analyzed historical volatility of all three underlying biotech stocks over the past 5 years, ran Monte Carlo simulations suggesting only a 9% probability of breaching the barrier based on historical data, compared the coupon rate to comparable corporate bonds and CDs, and documented all of this in a detailed written memorandum in the client file. He also explained the product mechanics to Miriam in a 45-minute meeting, including the risk of receiving devalued shares if any stock fell below the barrier. Miriam signed a structured products disclosure acknowledging the risks. However, Derek did not specifically analyze Miriam's overall portfolio composition - at the time of the recommendation, she already held \$180,000 in other structured notes (two autocallable notes and one principal-protected note), representing 15% of her total portfolio. The reverse convertible would add another \$150,000, bringing her total structured product allocation to 27.5% of her retirement portfolio. Derek also did not consider that Miriam's documented moderate risk tolerance was based on a questionnaire completed during her initial onboarding two months earlier when she still expected to receive a \$200,000 inheritance from her mother's estate, which she mentioned during onboarding. Between onboarding and the recommendation, Miriam's mother's estate entered probate litigation and the inheritance became uncertain, a fact Miriam mentioned casually during the 45-minute meeting but which Derek did not document or factor into his analysis.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the extensive reasonable-basis research. Under FINRA Rule 2111, suitability has three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Derek likely satisfied reasonable-basis suitability by conducting thorough product-level research (Monte Carlo simulations, credit analysis, comparative yield analysis). However, he failed customer-specific suitability on multiple grounds. First, under FINRA Rule 2111.05(a), he had an obligation to consider the customer's overall portfolio and investment profile, not just the individual transaction. The 27.5% concentration in structured products - complex, illiquid instruments with embedded derivatives - is excessive for a 58-year-old moderate-risk retiree seeking income supplementation. Second, under FINRA Rule 2090 (Know Your Customer), Derek had a continuing obligation to know and update the essential facts about his customer. When Miriam disclosed the change in her inheritance expectation during the

meeting, this constituted material information that could affect her risk capacity and overall financial situation. His failure to update her profile and reassess whether a moderate risk tolerance remained appropriate constitutes a violation. Additionally, FINRA Regulatory Notice 12-03 specifically addresses heightened suitability obligations for complex products like reverse convertibles, requiring firms and advisors to perform a 'reasonable diligence' review that goes beyond standard suitability, including understanding the product's risks relative to the specific customer's situation. The three-stock worst-of structure amplifies the risk significantly compared to single-stock reverse convertibles, and this elevated risk was not reconciled against the customer's changed financial circumstances. The fact that the client signed disclosures and received an explanation does not cure a suitability deficiency - informed consent does not substitute for suitability under FINRA rules.

Common Wrong Answer

No violation. The advisor conducted thorough research including Monte Carlo simulations, documented his analysis, explained the risks to the client in a detailed meeting, and obtained signed disclosures. The 9% barrier breach probability was reasonable, and the client was informed of and accepted the risks. The advisor went above and beyond in his due diligence.

Why Adversarial

The extensive research documentation creates a strong impression of compliance. Most LLMs would focus on the thoroughness of Derek's reasonable-basis analysis (Monte Carlo simulations, credit review, comparisons, documentation, client disclosure) and conclude no violation occurred. The trap is that reasonable-basis suitability is only one of three components - the advisor can do perfect product-level research and still violate customer-specific suitability. The casual mention of the inheritance change is easy to overlook, and the concentration issue requires recognizing that the advisor must consider existing holdings, not just the individual recommendation. Many models also incorrectly treat signed risk disclosures as a safe harbor.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components: reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-03 (Heightened Supervision and Suitability Obligations for Complex Products); FINRA Regulatory Notice 09-73 (Reverse Convertibles); Regulation Best Interest (Reg BI) Rule 15l-1 under the Securities Exchange Act - Care Obligation requiring consideration of reasonably available alternatives and the customer's investment profile

Adversarial Hypothetical 56

Topic: concentration_risk | Type: multi_party | Difficulty: hard

Fact Pattern

Gerald and Patricia Woodson, ages 67 and 64 respectively, are married retirees living in suburban Atlanta with combined retirement assets of \$2.4 million. They maintain separate brokerage accounts at two different firms. Gerald has \$1.4 million at Ridgeline Financial Services, managed by advisor Carla Resnick, invested as follows: \$560,000 in diversified equity mutual funds (40%), \$490,000 in investment-grade bond funds (35%), \$210,000 in a real estate investment trust fund (15%), and \$140,000 in cash equivalents

(10%). Patricia has \$1.0 million at Trident Capital Advisors, managed by advisor James Montague, invested as follows: \$350,000 in an S&P 500 index fund (35%), \$250,000 in a REIT-focused ETF (25%), \$300,000 in a real estate limited partnership that invests in Southeast commercial properties (30%), and \$100,000 in a money market fund (10%). Both advisors are aware the couple is married - it is noted in each client's account documentation. Neither advisor, however, has ever communicated with the other or requested details about the spouse's holdings at the other firm. In January 2024, James Montague recommended that Patricia invest an additional \$100,000 from her money market fund into a new non-traded REIT focused on medical office buildings, citing strong demographic tailwinds from an aging population and a 6.5% distribution yield. James reviewed Patricia's account and noted that at his firm, she would have 65% in real estate-related investments after the purchase, which he flagged internally but justified in a memo stating that Patricia had indicated a 'high conviction' in real estate as an asset class, had prior experience as a licensed real estate agent before retirement, and had affirmatively requested more real estate exposure. Patricia's documented risk tolerance at Trident was 'moderate to aggressive' and her investment objective was listed as 'growth and income.' Looking at the couple's combined household, real estate exposure would rise from approximately \$1.01 million to \$1.11 million, or 46.25% of their total \$2.4 million in combined assets. Gerald's advisor Carla had no involvement in or knowledge of James's recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, James Montague likely violated suitability requirements despite the client's request and experience. Under FINRA Rule 2111, a broker must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, which includes the customer's other investments, financial situation and needs, and overall portfolio. FINRA has consistently interpreted 'other investments' to include investments held away when the advisor has knowledge or reason to know of them. James knew Patricia was married to Gerald and that Gerald maintained accounts elsewhere - this was documented. While James was not obligated to know the exact composition of Gerald's portfolio, the concentration analysis of Patricia's own account at Trident is itself problematic: 65% in real estate-related investments (including a non-traded REIT, which is illiquid) for a 64-year-old retiree with 'moderate to aggressive' risk tolerance is an excessive concentration even before considering household assets. FINRA Regulatory Notice 09-09 and subsequent guidance on non-traded REITs specifically note that many firms impose concentration limits of 10-15% of liquid net worth for non-traded REITs alone. The non-traded REIT plus the real estate LP would constitute 40% of Patricia's account in illiquid real estate vehicles. Furthermore, client-directed requests do not relieve the advisor of suitability obligations - under FINRA Rule 2111.05(c) and related interpretive guidance, a recommendation remains subject to suitability requirements even when it is consistent with a client's expressed preference. Patricia's real estate background may inform her knowledge but does not change her risk capacity as a retiree. However, Carla Resnick at Ridgeline did not violate any standard - she had no involvement in the recommendation and Gerald's account is reasonably diversified on its own.

Common Wrong Answer

No violation. Patricia specifically requested additional real estate exposure, has professional experience in real estate, documented moderate-to-aggressive risk tolerance, and her advisor cannot reasonably be expected to monitor or control holdings at another firm managed by a different advisor. The client's autonomy and expertise should be respected, and James appropriately documented his rationale.

Why Adversarial

This scenario involves multiple traps. First, the multi-party structure across two firms creates confusion about whose obligation it is to monitor household concentration. Many LLMs will conclude that since James cannot control or fully know Gerald's holdings, he bears no responsibility for household-level concentration. Second, the client-direction trap - Patricia's explicit request for more real estate exposure, combined with her professional background as a real estate agent - creates a strong appearance that the advisor was simply following an informed client's wishes. Third, the question of whether James violated a standard requires knowing that suitability obligations are not excused by client requests and that concentration analysis of the client's own account is independently problematic even without the household view. Many models will focus on the household analysis (which is harder to establish as a violation) and miss the more straightforward account-level concentration issue.

Applicable Standard

FINRA Rule 2111 (Suitability) - customer-specific suitability component requiring analysis of customer's 'other investments,' financial situation, and investment profile; FINRA Rule 2111.05(c) (customer-requested transactions still subject to suitability when preceded by a recommendation); FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 09-09 (Suitability and Concentration Concerns for Non-Traded REITs); FINRA Regulatory Notice 12-03 (Heightened Suitability for Complex Products including non-traded REITs); Regulation Best Interest Rule 15l-1 - Care Obligation requiring evaluation of concentration risks

Adversarial Hypothetical 57

Topic: high_fees_unsuitable | Type: rule_conflict | Difficulty: expert

Fact Pattern

Margaret Dawson, age 72, retired schoolteacher with a \$340,000 IRA and \$1,200/month in Social Security income. She has moderate risk tolerance and needs her portfolio to generate approximately \$1,400/month in supplemental income to cover living expenses. In March 2020, she walked into the offices of Bridgewater Capital Partners, a dually registered broker-dealer and investment adviser. She met with advisor Kevin Okafor. Kevin evaluated Margaret's situation and recommended she move her IRA into a fee-based advisory account charging 1.75% annually (\$5,950/year) invested in a diversified portfolio of individual municipal bonds, Treasury securities, and two low-cost bond ETFs. The portfolio was designed to generate approximately \$1,500/month in income with minimal trading expected - Kevin projected perhaps 2-3 trades per year for rebalancing. Margaret agreed. Over the next 30 months, Kevin executed exactly 4 trades total: two minor rebalancing trades and two bond reinvestments. The portfolio performed as expected, generating steady income. Margaret's all-in costs over 30 months totaled approximately \$14,875 in advisory fees. Kevin had also considered but rejected a commission-based brokerage account where Margaret would have paid approximately \$250 in total commissions for the same 4 trades over the same period, plus a \$75 annual IRA custodial fee - totaling roughly \$825. Kevin's internal notes state: 'Client prefers the comfort of ongoing advisory relationship and access to financial planning. Fee-based account appropriate.' Margaret never requested financial planning services and no financial plan was ever produced. Kevin did provide quarterly portfolio review calls lasting 5-10 minutes each.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. This is a classic case of reverse churning - placing a client in a fee-based account where ongoing advisory fees vastly exceed what the client would pay in a commission-based account, without providing sufficient advisory services to justify the fee differential. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), the Cost component of the Care Obligation requires that the broker-dealer consider reasonably available alternatives and not place the financial interest of the firm ahead of the customer. The cost differential is staggering: approximately \$14,875 vs. \$825 over 30 months - the fee-based account cost roughly 18 times more. Additionally, under the Investment Advisers Act of 1940 fiduciary duty (as articulated in SEC v. Capital Gains Research Bureau and the SEC's 2019 Fiduciary Interpretation), Kevin owed Margaret a duty of care requiring him to provide advice in her best interest, including evaluating whether the advisory fee was justified by services rendered. Kevin's internal notes claim Margaret 'prefers the comfort of ongoing advisory relationship,' but no financial plan was produced and the quarterly calls were perfunctory (5-10 minutes). This is insufficient to justify a \$5,950 annual fee for a buy-and-hold bond portfolio. FINRA's Notice to Members 03-68 and Regulatory Notice 12-25 specifically flag the practice of placing accounts with low anticipated trading activity into fee-based programs as potentially unsuitable. The advisor's self-serving note about the client's 'preference' does not cure the violation because the advisor has an independent obligation to evaluate account type suitability regardless of client acquiescence.

Common Wrong Answer

No violation. The portfolio was appropriate for Margaret's risk tolerance and income needs, it performed as expected, the advisor documented his rationale for the fee-based account, and Margaret agreed to the arrangement. The 1.75% fee, while on the higher end, is within industry norms for advisory accounts.

Why Adversarial

This is adversarial because on the surface, the advisor did everything 'right' - the portfolio was suitable, it performed well, the client was satisfied, income needs were met, and the advisor documented a rationale. Many LLMs would focus on the investment suitability (which is fine) and miss the account-type suitability issue. The trap is that the violation is not about WHAT was recommended but HOW the client was charged. The advisor's internal documentation creates a false paper trail suggesting client preference, which a general LLM might accept at face value. Additionally, the dual registration creates a rule_conflict: under the broker-dealer standard (Reg BI) the cost analysis is explicit, but under the investment adviser fiduciary standard, some might argue the client consented to the fee structure, creating tension between the two frameworks.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation including cost considerations; Investment Advisers Act of 1940 fiduciary duty as interpreted in SEC Fiduciary Interpretation (IA-5248, June 2019); FINRA Rule 2111 (Suitability) including account-type suitability; FINRA Regulatory Notice 12-25 (FAQ on account type suitability); FINRA Notice to Members 03-68 (fee-based accounts)

Adversarial Hypothetical 58*Topic: reverse_churning | Type: subtle_violation | Difficulty: hard*

Fact Pattern

Dr. Samuel Pratt, age 55, an orthopedic surgeon earning \$620,000 annually, opened a \$1.2 million fee-based advisory account with Pinnacle Wealth Group in January 2021. His advisor, Rachel Stein, charged a 1.25% annual advisory fee (\$15,000/year). Dr. Pratt's investment profile indicated aggressive growth, long time horizon (10+ years to retirement), and high risk tolerance. Rachel built a portfolio of 22 individual stocks, 4 sector ETFs, and 3 actively managed mutual funds (which carried their own expense ratios averaging 0.82%). Over the next two years (January 2021 through December 2022), Rachel executed 47 trades - roughly 2 trades per month - primarily rotating sector positions based on quarterly macro research her firm published. She also conducted two comprehensive annual financial planning reviews covering estate planning, tax optimization, and retirement projections. Each planning session lasted approximately 90 minutes and produced written reports. Dr. Pratt was generally pleased but never examined his fee statements closely. In January 2023, Dr. Pratt's accountant flagged that the combined cost of the advisory fee plus the embedded mutual fund expenses totaled approximately \$24,840 per year (the 1.25% advisory fee plus approximately 0.82% weighted average expense ratio on the mutual fund portion, which comprised about \$480,000 of the portfolio). The accountant noted that a commission-based account executing 47 trades over two years would have cost approximately \$4,700 in commissions total, and if Rachel had used the same mutual funds' no-load share classes, the mutual fund expenses would have been roughly the same regardless of account type. Rachel's compliance file showed she had evaluated the account type at onboarding and noted: 'Client has complex financial planning needs; active management strategy with frequent rebalancing supports fee-based account.' Rachel did not document any comparison of projected costs between account types.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is technically compliant, though it represents a borderline case. Unlike a clear reverse churning scenario, Rachel Stein provided meaningful advisory services that could justify the fee-based account structure. She executed 47 trades over 24 months (approximately 2 per month), indicating active management rather than a dormant buy-and-hold strategy. She conducted two comprehensive financial planning sessions with written deliverables covering estate planning, tax optimization, and retirement projections - substantial services beyond mere portfolio management. Under Regulation Best Interest's Care Obligation (17 CFR § 240.15l-1), the advisor must consider costs among other factors, but cost is not the sole determinant. FINRA Rule 2111 account-type suitability similarly requires a reasonable basis for recommending a fee-based over commission-based account, but does not mandate that the fee-based account always be cheaper. The 47 trades at roughly \$100 per trade equivalent in commissions would cost \$4,700 over two years vs. \$30,000 in advisory fees - a significant differential. However, the comprehensive financial planning services, active management strategy, and ongoing advisory relationship provide reasonable justification. The key deficiency is procedural: Rachel did not document a cost comparison between account types at onboarding, which represents a best practice gap under FINRA Regulatory Notice 12-25 and the Reg BI recordkeeping requirements (17 CFR § 240.15l-3). However, the absence of a

documented cost comparison alone does not constitute a substantive violation if the account type was otherwise reasonably justified by the services provided. The embedded mutual fund expense issue is a separate consideration - under Reg BI's disclosure obligations, these layered costs should have been clearly disclosed, but the mutual fund expenses would exist regardless of account type (assuming the same funds were appropriate). The case is compliant, but the lack of documented cost comparison is a supervisory/compliance weakness that could become problematic in an examination.

Common Wrong Answer

Yes, this is a violation. The fee-based account cost over five times more than a commission-based alternative would have, constituting reverse churning. The advisor failed to document a cost comparison, and the layered fees (advisory fee plus mutual fund expenses) demonstrate that the advisor prioritized her own compensation over the client's interests.

Why Adversarial

This scenario is designed to trap LLMs into calling it a violation based on the superficially alarming cost differential (\$24,840/year vs. \$4,700 in commissions). The accountant's flag creates a narrative frame suggesting wrongdoing. However, the scenario includes several facts that actually justify the fee-based account: substantial financial planning services, active trading, complex client needs, and a high-income client for whom the absolute fee amount is proportionally modest relative to income. The subtle trap is that the REAL deficiency (lack of documented cost comparison) is procedural rather than substantive - it's a compliance weakness but not necessarily a violation of the suitability or best interest standard itself. A general LLM would likely see the cost numbers, the accountant's concern, and immediately conclude 'violation,' missing the nuanced analysis of whether services rendered justified the fee structure.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation and Cost considerations; Regulation Best Interest recordkeeping requirements (17 CFR § 240.15l-3); FINRA Rule 2111 (Suitability), including account-type suitability; FINRA Regulatory Notice 12-25 (FAQ regarding account type suitability); FINRA Rule 3110 (Supervision); Investment Advisers Act of 1940 fiduciary duty per SEC Fiduciary Interpretation (Release No. IA-5248)

Adversarial Hypothetical 59

Topic: inappropriate_risk_profile | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Thornton, age 72, retired schoolteacher, opened a brokerage account with Apex Financial Group in March 2019. Her account documents listed her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' annual income of \$42,000 from Social Security and a small pension, liquid net worth of \$310,000, and investment time horizon of 5-10 years. Her broker, David Kessler, placed her in a diversified portfolio of investment-grade corporate bonds, Treasury securities, and a conservative balanced mutual fund. In January 2020, Margaret's daughter, a successful tech entrepreneur, gifted Margaret \$1.2 million in publicly traded tech stocks. Margaret called Kessler in February 2020 and told him she wanted to keep all of the tech stocks because 'my daughter knows what she's doing.' Kessler

documented the call. He did not update Margaret's risk profile or account documentation to reflect the new asset composition or changed financial picture. In March 2020, during the COVID-19 market downturn, the tech stocks lost approximately \$400,000 in value. Margaret complained. Kessler pointed out that he had not recommended the tech stocks, that Margaret had insisted on keeping them, and that the positions he had originally recommended actually performed well, losing less than 2% during the same period. Kessler's firm had transitioned from a commission-based suitability standard to a new compliance framework for all accounts effective June 30, 2020. Prior to that date, the firm operated under the older standard for existing accounts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Kessler likely violated his obligations, though the analysis depends on the applicable standard at the time. Prior to June 30, 2020, the account was governed by FINRA Rule 2111 (Suitability). Under FINRA Rule 2111, there are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The key issue is that FINRA Rule 2111 applies to 'recommended' transactions and investment strategies involving securities, including explicit recommendations to hold. Under FINRA Regulatory Notice 12-25, a recommendation to 'hold' a security can trigger suitability obligations. When Margaret said she wanted to keep the tech stocks and Kessler simply acquiesced without analysis, he arguably made an implicit hold recommendation by failing to recommend she diversify or reduce concentration risk - especially given her documented conservative profile, age, income, and capital preservation objective. A portfolio suddenly concentrated ~80% in volatile tech stocks is fundamentally incompatible with a conservative, capital-preservation profile for a 72-year-old retiree. Moreover, FINRA Rule 4512 and related obligations required Kessler to make reasonable efforts to update customer account information, including financial situation and risk tolerance. Failing to update her profile after receiving \$1.2 million in tech stocks - which radically changed her account composition - is itself a violation. Even though Reg BI (effective June 30, 2020) had not yet taken effect, the pre-existing suitability standard still required Kessler to address the dramatic mismatch between Margaret's stated profile and her actual holdings. The fact that he didn't recommend the initial purchase is not dispositive; his ongoing duty to address the hold and update account records means he violated FINRA Rules 2111 and 4512.

Common Wrong Answer

No violation. Kessler did not recommend the tech stocks - they were a gift from Margaret's daughter - and Margaret explicitly directed him to keep them. His original recommendations were conservative and appropriate. He documented her instructions. An advisor cannot be held responsible for unsolicited customer decisions to hold gifted securities.

Why Adversarial

This scenario is adversarial for multiple reasons: (1) The temporal trap - the fact pattern carefully places the events before Reg BI's June 30, 2020 effective date, so an LLM might incorrectly apply Reg BI's care obligation rather than FINRA's suitability rule, or might think no standard applied during the transition. (2) The client-direction element creates a trap - many LLMs will conclude that because Margaret directed the hold and Kessler didn't recommend the purchase, he bears no responsibility. However, the hold recommendation doctrine under FINRA Regulatory Notice 12-25 and the account-update obligation under Rule 4512 still apply. (3) The original recommendations were sound, making it seem like Kessler did

nothing wrong, when the violation relates to what he failed to do regarding the new positions and profile update.

Applicable Standard

FINRA Rule 2111 (Suitability), including the hold recommendation doctrine as clarified in FINRA Regulatory Notice 12-25; FINRA Rule 4512 (Customer Account Information); FINRA Rule 2090 (Know Your Customer). Regulation Best Interest (17 CFR § 240.15l-1) was not yet effective for the relevant period (effective June 30, 2020) but would impose even more explicit obligations regarding account monitoring and care.

Adversarial Hypothetical 60

Topic: private_placements_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

Evan Stratford, a registered representative at Coastal Securities LLC, was approached in August 2022 by a private real estate development firm, Horizon Realty Capital, seeking to raise \$25 million through a private placement offering of limited partnership interests. The minimum investment was \$100,000, with a 7-year lockup period, projected annual distributions of 8-10%, and an overall projected IRR of 15%. Stratford conducted extensive due diligence over six weeks: he reviewed the offering memorandum, financial projections, and independent appraisals of the three properties in the portfolio; he visited two of the three development sites; he met with the managing partners and reviewed their track record (12 prior funds, 9 profitable, 3 that returned less than invested capital); he consulted with a third-party due diligence firm that gave the offering a 'satisfactory' rating; he verified the developer's representations about zoning approvals and construction permits; and he reviewed audited financials from the sponsor's prior three funds. He documented all of this in a 40-page due diligence file. Starting in October 2022, Stratford recommended the offering to 14 clients. Among them was Client #7, Patricia Volkov, age 58, a recently divorced dental hygienist earning \$78,000 per year. Volkov's updated account profile from September 2022 showed liquid net worth of \$490,000, total net worth of \$620,000 (including her home), investment objective of 'growth and income,' risk tolerance 'moderate,' and investment time horizon of '10+ years.' She had no prior experience with alternative investments or illiquid products. Her account held index mutual funds and a small allocation to high-yield bond funds. Stratford recommended she invest \$100,000 - the minimum - representing approximately 20.4% of her liquid net worth. He explained the lockup period, the risks of real estate development, and the illiquid nature of the investment. Patricia signed all disclosure documents and acknowledged in writing that she understood the risks. Stratford also verified that Patricia met the accredited investor thresholds based on her net worth.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation at the customer-specific suitability level despite thorough reasonable-basis due diligence. Under FINRA Rule 2111 and Regulation Best Interest (17 CFR § 240.15l-1), which was in effect by October 2022, Stratford had obligations at multiple levels. His reasonable-basis suitability

(understanding the product) appears sound - the 40-page due diligence file, site visits, third-party review, and documentation are commendable and likely satisfy FINRA's expectations under Regulatory Notice 10-22 (guidance on private placements due diligence). However, customer-specific suitability is a separate and independent obligation. Allocating 20.4% of a client's liquid net worth to a single illiquid, 7-year lockup alternative investment is excessive for a 58-year-old moderate-risk investor with no alternative investment experience, earning \$78,000 annually, who recently went through a divorce (suggesting potential future liquidity needs). Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), the broker must exercise reasonable diligence, care, and skill to ensure the recommendation is in the customer's best interest, considering the customer's investment profile including financial situation, needs, and other securities held. FINRA Regulatory Notice 12-02 specifically warns about concentration in illiquid products and notes that even if a customer qualifies as an accredited investor, that status alone does not make the investment suitable. The fact that Patricia met accredited investor thresholds under Regulation D is irrelevant to suitability - accredited investor status is a securities law exemption for the issuer, not a suitability safe harbor for the broker. Additionally, her lack of experience with alternatives is a significant factor. While there is no bright-line concentration rule, FINRA enforcement actions have consistently found concentrations of 15-25%+ in illiquid alternatives problematic for moderate-risk clients, especially those approaching retirement with limited income. Stratford's excellent product-level diligence does not cure the customer-specific mismatch.

Common Wrong Answer

No violation. Stratford conducted exceptionally thorough due diligence on the offering, verified Patricia met accredited investor standards, fully disclosed the risks and illiquidity, obtained her written acknowledgment, and the investment aligned with her 10+ year time horizon and growth-and-income objective. The 8-10% projected distributions serve her income needs. His diligence exceeded industry norms.

Why Adversarial

This is a 'reasonable_basis_trap' because Stratford's product-level due diligence is genuinely exemplary - far exceeding what many advisors do. A general-purpose LLM will likely focus heavily on the extensive due diligence and conclude no violation occurred, conflating reasonable-basis suitability with customer-specific suitability. The trap is that these are independent requirements, and passing one does not cure a failure on the other. Additionally, LLMs commonly treat accredited investor qualification as dispositive of suitability, which is incorrect. The fact that all disclosures were made and Patricia signed acknowledgments adds another layer - many LLMs treat informed consent as a defense, when it is not under either FINRA suitability rules or Reg BI. The concentration percentage (20.4%) is in a gray zone that requires nuanced judgment rather than a clear bright-line rule.

Applicable Standard

Regulation Best Interest, 17 CFR § 240.15l-1, specifically the Care Obligation under § 240.15l-1(a)(2)(ii); FINRA Rule 2111 (Suitability) - all three components: reasonable-basis, customer-specific, and quantitative suitability; FINRA Regulatory Notice 10-22 (due diligence obligations for private placements); FINRA Regulatory Notice 12-02 (complex products and concentration risk); FINRA Rule 2090 (Know Your Customer); SEC Regulation D, Rule 501 (accredited investor definition - relevant but not a suitability safe harbor).

Adversarial Hypothetical 61

Topic: inappropriate_risk_profile | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 62, retired schoolteacher with \$420,000 in savings, opened a brokerage account with Ridgeline Financial Services in March 2019. Her account opening documents listed her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' and her investment time horizon as '10+ years.' Her advisor, Thomas Crane, built a portfolio of 60% investment-grade corporate bonds, 25% blue-chip dividend-paying equities, and 15% in a money market fund. In January 2020, Margaret's husband passed away. She inherited an additional \$310,000 and rolled it into the same brokerage account. She met with Thomas in February 2020 and told him she wanted to 'keep everything the same - I trust your judgment and I just can't think about finances right now.' Thomas did not update any account documentation, did not reassess her risk profile, and simply invested the \$310,000 inheritance using the same 60/25/15 allocation. In March 2020, during the COVID-19 market downturn, her equity holdings lost approximately \$47,000 in value. Margaret filed a complaint in June 2020 alleging that Thomas should have reassessed her situation after her husband's death, that she was now solely dependent on these funds for retirement income, and that her actual risk tolerance had materially changed. Thomas's firm argues that (a) the customer explicitly directed him to keep the allocation the same, (b) the portfolio was objectively moderate and suitable for a moderate-risk investor, and (c) the customer's stated profile at account opening still governed. Notably, Ridgeline Financial Services had transitioned from the prior suitability framework to an enhanced standard for its broker-dealer operations effective June 30, 2020 - approximately four months after the contested investment of the inherited funds. The investments at issue were all made prior to June 30, 2020.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Thomas Crane violated the applicable suitability standard even under the pre-Reg BI framework that applied before June 30, 2020. Under FINRA Rule 2111, which governed broker-dealer recommendations during this period, suitability has three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Customer-specific suitability requires that a recommendation be consistent with the customer's investment profile, which FINRA Rule 2111(a) defines as including, among other factors, the customer's 'other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose.' Critically, FINRA Regulatory Notice 12-25 clarifies that a broker's suitability obligation is an ongoing one when a broker makes a recommendation - and investing newly received inherited funds constitutes a new recommendation. When Margaret brought \$310,000 in new assets, Thomas made a new recommendation by allocating those funds. At that point, he had an independent obligation to ensure the recommendation was suitable based on her current profile. Margaret's circumstances had materially changed: she lost a spouse (potential loss of social security survivor benefit considerations, emotional vulnerability, changed household income dynamics), she became solely dependent on these assets, and she explicitly stated she was in emotional distress ('I just can't think about finances right now'). FINRA has repeatedly emphasized that a customer's instruction to 'keep things the

same' does not relieve a broker of the obligation to ensure suitability of a new recommendation. The fact that the customer directed the broker to maintain the allocation is not a defense under FINRA Rule 2111.07 (the customer-specific suitability safe harbor for unsolicited transactions) because Thomas was actively recommending how to invest new money - this was a solicited recommendation, not an unsolicited customer-directed trade. Even though Regulation Best Interest (17 CFR § 240.15l-1) had not yet taken effect (its compliance date was June 30, 2020), the FINRA suitability standard independently required Thomas to update Margaret's profile and reassess whether the allocation was appropriate for her changed circumstances. The firm's argument that the prior profile 'still governed' is incorrect; a material life event such as a spouse's death triggers a reassessment obligation when new recommendations are being made. The portfolio allocation itself (25% equities) might have been suitable for the original profile, but without proper reassessment, there was no reasonable basis to conclude it remained suitable for her changed circumstances.

Common Wrong Answer

No violation - the customer explicitly directed the advisor to keep the same allocation, the portfolio was objectively moderate and consistent with her stated risk profile, and the enhanced best interest standard had not yet taken effect. The advisor reasonably relied on the customer's stated preferences and existing profile.

Why Adversarial

This scenario creates a temporal trap: the transition date to Regulation Best Interest (June 30, 2020) occurred after the contested conduct, tempting an LLM to either (a) incorrectly apply Reg BI retroactively and analyze under the wrong standard, or (b) conclude that because the 'enhanced' standard hadn't taken effect yet, the advisor's conduct was compliant under the 'lesser' prior standard. Additionally, the client direction trap - Margaret explicitly told Thomas to keep everything the same - tempts the LLM to invoke the unsolicited transaction safe harbor, which does not apply here because investing new inherited funds constitutes a new recommendation. A general LLM might also underestimate the significance of a material life event triggering reassessment obligations even under the older suitability framework.

Applicable Standard

FINRA Rule 2111 (Suitability), including FINRA Rule 2111(a) customer-specific suitability component; FINRA Rule 2111.07 (safe harbor for unsolicited transactions - inapplicable here); FINRA Regulatory Notice 12-25 (guidance on suitability obligations including updated customer profiles); FINRA Rule 2090 (Know Your Customer). Note: Regulation Best Interest (17 CFR § 240.15l-1) compliance date of June 30, 2020 was not yet in effect for the transactions at issue, so FINRA Rule 2111 is the controlling standard.

Adversarial Hypothetical 62

Topic: overconcentration_single_stock | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

David Castillo, age 45, is a senior software engineer at NovaTech Industries, a publicly traded technology company with a market capitalization of \$38 billion. David earns \$285,000 per year in salary and receives approximately \$200,000 annually in restricted stock units (RSUs) that vest over four years. By April 2022,

David's total liquid investment portfolio at Meridian Wealth Advisors was worth \$1.8 million. Of that, \$1.1 million (approximately 61%) was in NovaTech stock - \$650,000 from vested RSUs he had never sold and \$450,000 he had purchased on the open market over several years at the recommendation of his advisor, Rachel Fontaine. Rachel had prepared a detailed 14-page investment analysis in January 2022 supporting the NovaTech position. The analysis included: (1) a discounted cash flow model projecting 18% annual revenue growth based on NovaTech's entry into cloud infrastructure, (2) a comparison to five peer companies showing NovaTech trading at a 15% discount to sector average price-to-earnings ratio, (3) an assessment of NovaTech's balance sheet showing \$4.2 billion in cash reserves and minimal debt, (4) a bullish consensus from 22 of 26 Wall Street analysts covering the stock, and (5) a note that David's total net worth including his home equity (\$600,000), 401(k) (\$430,000 - also 40% in NovaTech stock through the company plan), and his wife's separate retirement accounts (\$220,000) was approximately \$3.05 million. Rachel documented that she discussed concentration risk with David on three separate occasions (October 2021, January 2022, and March 2022) and that David each time declined to reduce his NovaTech position, stating he had 'deep conviction' in the company's prospects and 'understood the company better than any analyst.' Rachel's notes from the January 2022 meeting state: 'Client acknowledges concentration risk. Reviewed diversification alternatives including collars and exchange funds. Client declined all strategies. Recommended maintaining current position given strong fundamental analysis and client's informed preference.' In November 2022, NovaTech's stock dropped 44% after a failed product launch and an accounting restatement. David's NovaTech holdings fell from \$1.1 million to approximately \$616,000, and his 401(k) NovaTech holdings dropped proportionally. David filed a complaint alleging Rachel should never have allowed - let alone recommended - the open-market purchases that brought his concentration to 61%, and that her analysis, while detailed, failed to adequately account for the compounding concentration risk from his RSUs, ongoing salary dependence on NovaTech, and the 401(k) NovaTech allocation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Rachel Fontaine likely violated the applicable suitability and best interest standards despite her extensive research and documentation. The analysis must consider two distinct issues: (1) the \$450,000 in open-market purchase recommendations, and (2) the implicit recommendation to hold the existing \$650,000 RSU position without diversification.

Under Regulation Best Interest (17 CFR § 240.15l-1), which was in effect by the time of Rachel's January 2022 analysis and March 2022 recommendations, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, without placing her own interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including their full financial picture.

Rachel's fundamental analysis of NovaTech as a standalone security may have satisfied reasonable-basis suitability (the first prong of the old FINRA Rule 2111 framework, which remains relevant as FINRA Rule 2111 still applies alongside Reg BI). However, she failed the customer-specific component. The critical deficiency is that Rachel's analysis did not holistically account for David's total NovaTech exposure. When properly calculated, David's NovaTech concentration was not merely 61% of his brokerage account - it was far more severe: \$1.1 million (brokerage) + approximately \$172,000 (40% of \$430,000 in his 401(k)) =

\$1.272 million in NovaTech stock out of \$3.05 million total net worth, or approximately 42% of total net worth. But this understates the true risk because David's salary (\$285,000/year) and future RSU grants (\$200,000/year) also depend on NovaTech's success, creating massive correlated human-capital risk. A severe NovaTech decline could simultaneously destroy his portfolio value, reduce or eliminate his RSU income, and potentially threaten his employment. FINRA Regulatory Notice 12-03 specifically addresses concentration risk and states that 'reasonable-basis suitability requires a firm to perform adequate due diligence to understand the risks and rewards of a recommended security or strategy,' and that customer-specific suitability requires consideration of the customer's entire financial picture, including holdings at other firms and correlated exposures. Rachel acknowledged the concentration but then recommended maintaining it - and worse, she was the one who recommended the \$450,000 in open-market purchases that built the concentration in the first place. Her documentation of client conversations about concentration risk, while helpful procedurally, does not insulate her from liability because she affirmatively recommended purchases that increased concentration to a clearly excessive level. Under Reg BI, the fact that a customer declines to diversify does not relieve the advisor of the obligation not to recommend further concentration-increasing purchases. Rachel should have, at minimum, stopped recommending additional open-market NovaTech purchases once the concentration became excessive. Her 14-page analysis, while thorough on company fundamentals, reflects a reasonable-basis analysis that was disconnected from the customer-specific suitability failure - a textbook 'reasonable basis trap' where the quality of the security-level research masks the inappropriateness of the recommendation for this specific customer.

Common Wrong Answer

No violation - the advisor conducted thorough fundamental research, documented concentration risk discussions on three occasions, presented diversification alternatives including collars and exchange funds, and the client made an informed decision to maintain the position. The advisor's 14-page analysis demonstrated reasonable diligence, and the client's superior knowledge of the company as an employee justified the conviction. The subsequent stock decline was caused by unforeseeable events (failed product launch and accounting restatement), not an unsuitable recommendation.

Why Adversarial

This scenario is designed to trick LLMs in several ways. First, the advisor's extensive documentation and detailed 14-page analysis create a strong appearance of diligence and compliance - most LLMs will be impressed by the thoroughness and conclude no violation occurred. Second, the client repeatedly declined diversification and expressed informed conviction, which tempts the LLM to apply a 'client autonomy' defense. Third, the advisor documented three separate conversations about concentration risk, which looks like exemplary compliance procedure. However, the trap is that good documentation of a bad recommendation is still a violation. The advisor affirmatively recommended the open-market purchases that built the concentration - this is not a case where the client independently accumulated stock. The 14-page analysis demonstrates reasonable-basis suitability for NovaTech as a security, but completely fails customer-specific suitability when the client's total economic exposure to NovaTech (stock + RSUs + salary + 401(k)) is considered. A general LLM will likely focus on the procedural compliance and miss the substantive violation.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), including the Care Obligation (§ 240.15l-1(a)(2)(ii)); FINRA

Rule 2111 (Suitability), including reasonable-basis suitability and customer-specific suitability components; FINRA Rule 2111(b) (investment profile factors); FINRA Regulatory Notice 12-03 (guidance on concentration risk and complex products suitability); FINRA Rule 2090 (Know Your Customer); SEC Reg BI Adopting Release (June 2019) discussion of recommendations to hold and implicit hold recommendations.

Adversarial Hypothetical 63

Topic: *illiquid_investments* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Thornton, age 62, is a retired schoolteacher with a \$420,000 rollover IRA and a modest \$1,800/month pension. She has no other liquid savings. Her stated investment objective is 'income with moderate growth' and her risk tolerance is 'moderate.' Her investment time horizon is listed as 10-15 years. In March 2019, her broker-dealer registered representative, David Kowalski, recommended she invest \$84,000 (20% of her IRA) into a non-traded Real Estate Investment Trust (REIT) that pays a 6.5% distribution, with an expected hold period of 7-10 years and no secondary market. Kowalski conducted a thorough due diligence review of the REIT sponsor, examined the offering memorandum, verified the REIT's underlying commercial real estate portfolio was diversified across 14 properties in 8 states, and confirmed the distribution coverage ratio was healthy at 1.2x. He documented all of this analysis in his file. His firm's written supervisory procedures at the time set a 25% maximum concentration limit for illiquid alternative investments in retirement accounts. Margaret signed all disclosure documents acknowledging the illiquid nature of the investment and the risks involved. In June 2020, Kowalski moved to a new firm that was a registered investment adviser. He brought Margaret's account with him. At the new firm, acting now as an investment adviser representative, he conducted an annual review in January 2021 and recommended Margaret maintain her position in the non-traded REIT, noting the distribution was still being paid and the sponsor had not announced any liquidity event concerns. Margaret's financial situation had not materially changed. By late 2022, the REIT suspended distributions and announced a 30% write-down of net asset value due to commercial real estate market deterioration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

The initial 2019 recommendation was likely compliant under the suitability standard that applied to Kowalski as a broker-dealer registered representative. The 20% allocation was within his firm's 25% concentration limit for illiquid alternatives in retirement accounts, his due diligence on the product was thorough and documented, and the investment's income characteristics aligned with Margaret's stated objectives. However, the January 2021 recommendation to MAINTAIN the position is where the violation likely occurred. By that time, Kowalski had moved to a registered investment adviser and was subject to the fiduciary duty under the Investment Advisers Act of 1940, which imposes a duty of care and duty of loyalty. Additionally, Regulation Best Interest (effective June 30, 2020) had taken effect, though as an IAR he was now under the higher fiduciary standard rather than Reg BI. Under the fiduciary standard, the 2021 'hold' recommendation was itself an affirmative recommendation requiring full analysis. The duty of care required Kowalski to consider whether a 62-year-old retiree (now 64) with no other liquid savings and reliance on her

IRA for future income should maintain 20% of her retirement in an illiquid investment with no secondary market, especially given the COVID-19 pandemic's emerging impact on commercial real estate. The fiduciary duty requires ongoing monitoring and a duty to update advice - not merely confirming the distribution was still being paid. He should have evaluated whether the risk profile of the REIT had changed given macroeconomic conditions, whether Margaret's advancing age warranted reducing illiquid exposure, and whether the concentration in an illiquid product remained prudent given her total financial picture. The failure to recommend reducing or exiting the position (or at minimum documenting a robust analysis of why maintaining was in her best interest under the heightened fiduciary standard) constitutes a violation of the fiduciary duty of care.

Common Wrong Answer

No violation occurred. The advisor conducted thorough due diligence, stayed within the firm's 25% concentration limit, the investment matched the client's income objective, and the client signed all disclosures. The subsequent loss was due to unforeseeable market conditions, not advisor misconduct.

Why Adversarial

This is a temporal trap because two different standards applied at different points in the timeline. Most LLMs will either (1) evaluate the entire fact pattern under the suitability standard and find no violation because the 20% was within limits and due diligence was done, or (2) evaluate everything under the fiduciary standard and incorrectly find the initial 2019 recommendation was also a violation. The key trap is recognizing that Kowalski changed his registration from a broker-dealer rep to an IAR, shifting the applicable standard, and that the 2021 'hold' recommendation - which seems innocuous - was the actual point of violation under the higher fiduciary duty. Many models miss that a 'hold' recommendation triggers fiduciary analysis.

Applicable Standard

FINRA Rule 2111 (Suitability) applied to the March 2019 recommendation as a broker-dealer registered representative; Investment Advisers Act of 1940 Sections 206(1) and 206(2) fiduciary duty applied to the January 2021 recommendation as an investment adviser representative; SEC Interpretation Regarding Standard of Conduct for Investment Advisers (IA Release No. 5248, June 2019) clarifying the duty of care includes duty to provide advice, duty to seek best execution, and duty to monitor; Regulation Best Interest (17 CFR § 240.15l-1) effective June 30, 2020 is relevant context but superseded by the higher fiduciary standard once Kowalski became an IAR.

Adversarial Hypothetical 64

Topic: concentration_risk | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Carlos Reyes, age 45, is a senior software engineer at a publicly traded technology company earning \$310,000 per year. He has a brokerage account with \$1.1 million at a full-service broker-dealer, managed by his financial advisor, Stephanie Park. Carlos also holds approximately \$2.8 million in vested company stock options and restricted stock units outside this brokerage account, which Stephanie is aware of because Carlos disclosed it on his new account form and has discussed it multiple times. Carlos's account

form lists his risk tolerance as 'aggressive,' his investment experience as 'extensive,' and his time horizon as '20+ years.' In February 2023, Carlos instructed Stephanie to invest \$770,000 of his \$1.1 million brokerage account - roughly 70% - into a diversified technology sector ETF that holds over 300 technology stocks (no single holding exceeds 4%). Carlos told Stephanie, 'I know tech inside and out, I believe in the sector long-term, and I want concentrated tech exposure.' Stephanie noted his instruction in her file. She did not push back or discuss how this allocation, combined with his \$2.8 million in company tech stock, would result in approximately 92% of his total known investable assets (\$3.57 million of \$3.9 million) being concentrated in the technology sector. She executed the trade as directed. She did not document any analysis of his total financial picture including the company stock. Her firm does not have a specific written policy setting a maximum sector concentration percentage.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the client's explicit direction. Under Regulation Best Interest's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, and this includes when a customer requests a specific transaction. While the ETF itself is diversified, the Care Obligation requires consideration of the customer's full investment profile. Stephanie knew about the \$2.8 million in company tech stock. Under FINRA Rule 2111 (Suitability) and its three components - reasonable-basis, customer-specific, and quantitative suitability - the customer-specific obligation requires that the advisor have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile, which explicitly includes the customer's 'other investments' per FINRA Rule 2111.04. Even though Carlos directed the trade, FINRA Regulatory Notice 12-25 clarifies that a broker cannot simply rely on a customer's stated wishes to override suitability concerns. The advisor has an independent obligation to evaluate suitability. Furthermore, under Reg BI's Care Obligation, the advisor must consider 'reasonably available alternatives.' Stephanie should have (1) discussed the total portfolio concentration risk - 92% in one sector - including the correlation between his employment income, company stock, and proposed investment, (2) recommended alternatives or a more balanced allocation, and (3) if Carlos still insisted, documented a thorough analysis showing she fulfilled her obligations and considered the holistic picture before proceeding. Her complete failure to analyze or document the total concentration, or even raise the issue with Carlos, constitutes a violation of both the Care Obligation under Reg BI and customer-specific suitability under FINRA Rule 2111.

Common Wrong Answer

No violation. Carlos is a sophisticated, experienced investor with an aggressive risk tolerance who explicitly directed the trade. The ETF itself is well-diversified with 300+ holdings. The advisor is not responsible for assets held outside the brokerage account, and the client's clear instructions relieve the advisor of liability. Additionally, the firm had no concentration policy that was breached.

Why Adversarial

This scenario is designed to trap LLMs for several reasons: (1) The client explicitly directed the trade, which many models interpret as absolving the advisor of responsibility; (2) The product itself - a diversified ETF holding 300+ stocks - appears reasonable and non-concentrated in isolation; (3) The client has aggressive risk tolerance and extensive experience, which seems to support the allocation; (4) There is no firm-specific

policy being violated. The trap is that the advisor KNEW about the outside holdings and failed to consider them in evaluating the total concentration risk. Many LLMs incorrectly conclude that client-directed trades with sophisticated clients cannot be violations.

Applicable Standard

Regulation Best Interest Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)(B)); FINRA Rule 2111 (Suitability), particularly customer-specific suitability; FINRA Rule 2111.04 (defining investment profile to include 'other investments'); FINRA Regulatory Notice 12-25 (clarifying that customer direction does not eliminate suitability obligations); FINRA Regulatory Notice 12-55 (discussing concentration as a suitability consideration); Reg BI Adopting Release (SEC Release No. 34-86031) discussing the requirement to consider the customer's existing investment profile including known outside holdings.

Adversarial Hypothetical 65

Topic: *excessive_load_funds* | Type: *threshold_trap* | Difficulty: *expert*

Fact Pattern

Margaret Holloway, age 62, is a retired schoolteacher with a \$340,000 IRA rollover from her pension. Her stated investment objective is 'income with moderate growth,' her risk tolerance is moderate, her time horizon is 15-20 years, and she has limited investment experience. In March 2023, her advisor, Daniel Prescott at Meridian Wealth Partners, recommended she invest across a diversified portfolio of mutual funds. The allocation was as follows: \$85,000 into the Broadmark Core Bond Fund (Class A shares, 4.25% front-end load), \$85,000 into the Pinnacle Equity Income Fund (Class A shares, 5.50% front-end load), \$85,000 into the Sentinel Balanced Growth Fund (Class A shares, 5.75% front-end load), and \$85,000 into the Redwood International Equity Fund (Class A shares, 5.25% front-end load). The weighted average front-end load across the portfolio was approximately 5.19%. Daniel earned a total commission of approximately \$17,646. Each fund individually had strong 5-year and 10-year track records and Morningstar ratings of 4 or 5 stars. The expense ratios for the Class A shares, after the load, ranged from 0.62% to 0.88% annually. Meridian's platform also offered institutional-class and no-load equivalents of three of the four funds, with expense ratios between 0.35% and 0.55%, which were available for accounts over \$100,000. Daniel documented in his notes that he selected Class A shares because 'the breakpoint at \$250,000 in the Pinnacle fund family would have required concentrating assets, which would reduce diversification,' and that 'Class A shares have lower ongoing expenses than Class C shares.' He did not document any comparison to the no-load or institutional share classes available on the platform. Margaret's account statement showed the portfolio value dropped to approximately \$322,354 on day one after loads were deducted. Margaret did not complain and was satisfied with the fund selections.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While Daniel Prescott's fund selections were individually suitable in terms of investment objectives, risk profile, and diversification, he failed to consider reasonably available lower-cost alternatives - specifically the institutional-class and no-load share classes available on his own firm's

platform. Under FINRA Rule 2111 (Suitability), the quantitative suitability component and reasonable-basis analysis require that the advisor consider cost as a factor. More critically, under Regulation Best Interest (Reg BI), which was fully effective as of June 30, 2020 and therefore applicable to this March 2023 transaction, the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) requires that the broker-dealer exercise reasonable diligence, care, and skill to understand available alternatives and make a recommendation that does not place the financial interest of the broker ahead of the customer. The Care Obligation specifically requires evaluating reasonably available alternatives, including cost. The fact that Class A shares have lower ongoing expenses than Class C shares is a red herring - the relevant comparison under Reg BI is against the institutional and no-load share classes that were available on the same platform for accounts of this size. The \$17,646 in upfront commissions, representing 5.19% of the portfolio, significantly impacted a retirement account for a 62-year-old moderate-risk investor when materially cheaper alternatives existed on the same platform. Daniel's documented rationale addressed breakpoints and Class C comparisons but entirely failed to address the no-load/institutional share class comparison, which is the critical cost analysis required. Additionally, under Reg BI's Conflict of Interest Obligation, the compensation differential between load and no-load shares creates a conflict that must be disclosed and mitigated. The absence of any documented consideration of lower-cost alternatives available on the firm's own platform constitutes a failure of the Care Obligation even though the underlying investment selections were sound.

Common Wrong Answer

No violation. The advisor selected well-rated, diversified funds appropriate for the client's objectives and risk tolerance. He documented his reasoning for selecting Class A shares over Class C shares and considered breakpoint implications. The weighted average load of 5.19% is within normal industry ranges for Class A shares. The client was satisfied with the recommendations.

Why Adversarial

This scenario is adversarial because the advisor appears to have done many things right: diversified portfolio, strong fund selections, documented rationale mentioning breakpoints, correctly noted Class A is cheaper than Class C long-term, and the client is satisfied. A general LLM might focus on the individual fund suitability and the advisor's documented reasoning and conclude compliance. The trap is that the relevant comparison under Reg BI is not Class A vs. Class C, but Class A vs. the no-load/institutional share classes available on the same platform. Many LLMs would not recognize that the Care Obligation requires evaluating reasonably available alternatives including different share classes, and that the advisor's documented rationale, while partially correct, is fatally incomplete because it omits the most important comparison.

Applicable Standard

Regulation Best Interest (Reg BI), 17 CFR 240.15l-1, specifically the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)(A)-(C)) requiring reasonable diligence, care, and skill in evaluating reasonably available alternatives including cost; the Conflict of Interest Obligation (17 CFR 240.15l-1(a)(2)(iv)); FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Regulatory Notice 12-55 (guidance on suitability obligations regarding cost considerations); FINRA Rule 3110 (Supervision) regarding the firm's obligation to review share class recommendations.

Adversarial Hypothetical 66

Topic: *overconcentration_single_stock* | Type: *client_direction_trap* | Difficulty: *expert*

Fact Pattern

Victor Langston, age 45, is a senior software engineer at Helios Technologies, a publicly traded cloud computing company. His total net worth is approximately \$3.8 million, of which \$2.1 million consists of vested Helios stock and options acquired through his employment compensation over 12 years. His remaining assets include \$900,000 in a 401(k) diversified across index funds, \$500,000 in a joint brokerage account with his wife, and \$300,000 in home equity. In January 2024, Victor opened a new advisory account at Sterling Financial Group with advisor Rachel Sung. During the onboarding process, Victor completed a detailed investor profile: his risk tolerance was marked as 'aggressive,' his investment objective was 'growth,' his time horizon was '20+ years,' his annual household income was \$475,000, his liquidity needs were 'low,' and his investment experience was listed as 'extensive - actively manages own accounts for 15 years.' During their first meeting, Victor explicitly told Rachel: 'I believe Helios will triple in value over the next five years. I've been in this industry my whole career and I understand the business better than any analyst. I do not want to sell any Helios shares. I want you to manage the \$500,000 joint brokerage account, but I'm also transferring my \$2.1 million in Helios stock into this account for consolidated reporting. Do not sell the Helios stock under any circumstances.' Rachel documented this conversation in her CRM notes, had Victor sign a letter acknowledging his desire to maintain the concentrated Helios position, and coded the Helios shares as 'unsolicited/client-directed hold.' She then managed the \$500,000 in diversified assets, investing them across a mix of growth ETFs and individual stocks across multiple sectors. Over the next six months, Helios stock appreciated 18%, bringing Victor's total Helios position to approximately \$2.48 million, representing roughly 63% of his total net worth. Rachel sent quarterly performance reports that clearly showed the concentration percentage. At no point did Rachel recommend selling, hedging, or otherwise reducing the Helios concentration. She did not discuss protective put options, exchange funds, charitable remainder trusts, or any other concentration risk mitigation strategies. When asked at a compliance review why she hadn't addressed the concentration, Rachel stated: 'The client gave explicit instructions not to touch the Helios stock. I respected his wishes and focused on managing the assets he wanted me to manage.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the client's explicit instructions. When Rachel Sung accepted the \$2.1 million Helios position into her advisory account - even for 'consolidated reporting' - the entire account including the Helios shares fell within the scope of her advisory relationship and fiduciary duties. Under the Investment Advisers Act of 1940, Section 206(1) and 206(2), an investment adviser owes a fiduciary duty to clients that cannot be waived simply because the client expresses a preference. Under Regulation Best Interest (if applied at the broker-dealer level), the Care Obligation requires that the advisor consider the customer's full financial profile including concentration risk. Even if the Helios shares were coded as 'unsolicited,' once they were held within the advisory account, the advisor had an ongoing duty to monitor and advise on the entire portfolio. FINRA Rule 2111 and its supplementary materials (FINRA Regulatory Notice 12-55) clarify that a firm cannot disclaim suitability obligations merely by labeling transactions or positions as unsolicited, particularly when the position is held within a managed or advisory account. The critical violation is not that Rachel failed to force-sell the Helios stock - she cannot override client

instructions - but that she completely failed to advise, recommend, or even discuss concentration risk mitigation strategies. An advisor's obligation includes providing informed advice about risks, even when the client may reject that advice. Rachel should have: (1) formally documented a recommendation to reduce or hedge the concentration with specific strategies such as protective puts, collars, systematic diversification, exchange funds, or 10b5-1 plans; (2) explained the specific risks of single-stock concentration including company-specific risk, sector risk, and the correlation between Victor's employment income and his investment portfolio (dual concentration risk); (3) if Victor declined all mitigation strategies, documented his informed refusal after receiving the recommendation. Simply respecting the client's initial instruction without ever providing professional advice about the concentration risk is a failure of the advisor's core duty. The client direction defense fails here because the advisor never fulfilled the prerequisite obligation of actually advising the client about the risks and alternatives before accepting the client's direction as final.

Common Wrong Answer

No violation. Victor is an experienced, high-net-worth, aggressive investor who gave explicit written instructions not to sell his Helios stock. The advisor documented the conversation, obtained a signed acknowledgment, properly coded the position as client-directed, and competently managed the assets Victor asked her to manage. The advisor cannot force a client to sell their own stock, and the client's profile (aggressive risk tolerance, long time horizon, high income, extensive experience) supports the ability to hold a concentrated position.

Why Adversarial

This is a sophisticated client-direction trap. The client is wealthy, experienced, aggressive in risk tolerance, has a long time horizon, and gave clear written instructions. Many LLMs will apply a straightforward 'client autonomy' analysis and conclude that an experienced, high-net-worth, aggressive investor can choose to hold a concentrated position, especially when the advisor documented the client's wishes and obtained a signed acknowledgment. The trap is that accepting assets into an advisory account creates ongoing advisory obligations that go beyond simply following client instructions. The violation is not about overriding the client's wishes - it's about the complete absence of any advisory discussion, recommendation, or risk disclosure regarding concentration. Most general LLMs do not distinguish between 'respecting client instructions' and 'failing to advise before accepting client instructions as final.'

Applicable Standard

Investment Advisers Act of 1940, Sections 206(1) and 206(2) (fiduciary duty); SEC Interpretive Release IA-1092 (fiduciary obligations of investment advisers); Regulation Best Interest, 17 CFR 240.15l-1, Care Obligation (if broker-dealer capacity); FINRA Rule 2111 (Suitability) and supplementary material .05(c) regarding customer-directed transactions; FINRA Regulatory Notice 12-55 (guidance clarifying that suitability obligations attach to recommendations and that advisors cannot use unsolicited designations to avoid obligations in managed accounts); FINRA Rule 3110 (Supervision, requiring firms to monitor for concentration risk); SEC Staff Bulletin on Standards of Conduct (April 2022, discussing ongoing monitoring obligations in advisory accounts).

Adversarial Hypothetical 67

Topic: *complex_products_unsophisticated_investor* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Kowalski, age 58, worked as a school cafeteria manager earning \$42,000 annually. She had a \$190,000 rollover IRA at a broker-dealer after retiring from a previous school district. Her account documents listed her investment experience as 'limited - only savings accounts and CDs,' her risk tolerance as 'moderate,' her time horizon as '5-10 years,' and her investment objective as 'growth and income.' On May 15, 2020, her financial advisor, Derek Huang, recommended she invest \$95,000 (50% of her IRA) into a non-traded Business Development Company (BDC) that paid an 8.5% distribution yield. The BDC invested in mezzanine debt of middle-market companies and had a 7-year expected holding period, no secondary market, a 10% early redemption penalty, and total upfront costs (selling commissions plus dealer manager fees plus organizational costs) of 11.5%. Derek completed a product-specific training module on BDCs, documented in a file memo that Margaret wanted higher income than CDs offered, and noted that the 8.5% yield met her 'income' objective. He also noted that her moderate risk tolerance supported the investment because the BDC's distributions had been consistent since its 2017 inception. Margaret signed a subscription agreement that included risk disclosures. On March 1, 2020 - just 10 weeks before the recommendation - Derek's firm had transitioned from the legacy suitability framework to a new standard requiring recommendations to be in the customer's best interest. Derek had attended a two-hour webinar on the new standard but continued using his old suitability checklists. In September 2022, the BDC suspended distributions and announced its estimated NAV had dropped 35%. Margaret filed a complaint saying she never understood the product and needed the money within five years for retirement living expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek Huang violated the applicable standard. The recommendation was made on May 15, 2020, which falls after the June 30, 2020 compliance date for Regulation Best Interest (Reg BI) under the Securities Exchange Act Rule 15l-1. However, the firm's own transition occurred on March 1, 2020 - meaning the firm had already adopted Reg BI's framework ahead of the SEC compliance date. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), the broker must exercise reasonable diligence, care, and skill in making a recommendation, must understand the risks and rewards of the product, and must have a reasonable basis to believe the recommendation is in the customer's best interest given her specific investment profile. Even under the prior FINRA Rule 2111 suitability standard (which would have applied if the firm had not yet transitioned), the recommendation likely fails customer-specific suitability. Under FINRA Rule 2111.05(a), a complex product like a non-traded BDC requires heightened scrutiny. The concentration of 50% of Margaret's retirement assets in a single illiquid, complex product with an 11.5% cost load, a 7-year holding period, and a 10% early redemption penalty is inconsistent with her 5-10 year time horizon (which overlaps the lockup), her limited investment experience, her moderate risk tolerance, and her need for accessible retirement funds. Under Reg BI, the analysis is even more demanding: Derek needed to consider reasonably available alternatives. Lower-cost, liquid income-producing alternatives (e.g., bond funds, dividend equity funds) existed that would have met her income objective without illiquidity risk and excessive costs. His reliance on the old suitability checklists after the firm transitioned to Reg BI also represents a failure to apply the correct standard. The fact that Margaret signed risk disclosures does not cure the violation; under both FINRA Rule 2111 and Reg BI, the obligation rests on the advisor to make a suitable/best-interest recommendation regardless of customer consent. Additionally, FINRA Regulatory

Notice 12-03 (heightened supervision for complex products) and FINRA Regulatory Notice 09-31 (non-traded REITs/BDCs) impose additional expectations including reasonable-basis suitability analysis of the specific product's features relative to alternatives.

Common Wrong Answer

No violation - Reg BI was not yet effective (its compliance date was June 30, 2020), and under the old suitability standard, Derek performed adequate due diligence by completing product training, documenting the rationale, and obtaining signed risk disclosures from Margaret, who voluntarily chose a higher-yielding product consistent with her stated income objective and moderate risk tolerance.

Why Adversarial

The temporal trap is multi-layered: the SEC's Reg BI compliance date was June 30, 2020, so a model might conclude the old suitability standard applies to a May 2020 recommendation. But the firm voluntarily adopted Reg BI early on March 1, 2020, making the higher standard applicable. Even models that catch this might then struggle with whether the recommendation would have survived under the old suitability standard anyway (it wouldn't, due to concentration, illiquidity, and customer-specific factors). The fact that Derek completed product training, documented the recommendation rationale, and obtained signed disclosures creates a surface appearance of compliance that masks the substantive failures. A general LLM might focus on the signed disclosures and training documentation as evidence of compliance.

Applicable Standard

Regulation Best Interest (SEC Rule 15l-1, 17 CFR § 240.15l-1), effective compliance date June 30, 2020 (but firm adopted early); FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Recommended Strategies Involving Complex Products); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision); FINRA Regulatory Notice 09-31 (Non-Traded REITs); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 68

Topic: penny_stocks_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Vincent DeLuca, age 34, was a software engineer earning \$175,000 annually with a net worth of approximately \$1.2 million (including home equity). He opened a self-directed brokerage account at a mid-size broker-dealer in January 2023. His new account form listed his investment experience as 'extensive - 12 years of active trading including options and micro-cap equities,' risk tolerance as 'aggressive,' and investment objective as 'speculation.' Vincent had previously held accounts at two discount brokerages where he actively traded low-priced securities. In February 2023, Vincent contacted his assigned registered representative, Alicia Montoya, and specifically requested to purchase 200,000 shares of GreenVolt Dynamics Corp., a company trading at \$0.03 per share on the OTC Pink marketplace with the 'Limited Information' designation, for a total investment of \$6,000. Vincent told Alicia he had done his own research, believed the company's new battery patent would drive the stock higher, and stated: 'I know penny stocks are risky - I've been trading them for years. Just put in the order.' Alicia reviewed Vincent's account profile, confirmed his aggressive risk tolerance and speculation objective, and noted his

stated experience with micro-cap equities. She did not, however, provide Vincent with a penny stock risk disclosure document or obtain a signed penny stock suitability statement from him prior to executing the trade. She also did not make a written determination that the penny stock transaction was suitable for Vincent prior to the trade. Alicia executed the trade. The stock subsequently dropped to \$0.005 per share. Vincent did not complain about the trade itself but the firm's compliance department flagged the transaction during a routine review.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Alicia Montoya violated applicable requirements, but not on traditional suitability grounds - the violation is procedural under the penny stock rules. Under SEC Rule 15g-2 (17 CFR § 240.15g-2), before effecting a transaction in a penny stock (defined under Exchange Act Section 3(a)(51) and Rule 3a51-1 as an equity security trading below \$5 per share that does not meet certain exemptions), the broker must provide the customer with a risk disclosure document (the SEC-prescribed penny stock disclosure schedule) and obtain a signed and dated acknowledgment of receipt. Under SEC Rule 15g-9 (17 CFR § 240.15g-9), the broker must also obtain from the customer a signed, written suitability statement and make a written determination that the penny stock is suitable for the customer, considering the customer's financial situation, investment experience, and objectives. These are mandatory procedural requirements that apply regardless of whether the customer is sophisticated, experienced, or unsolicited in the request. The key nuance is that the exemption from penny stock rules for 'established customers' under Rule 15g-1(b) requires the customer to have held an account with the broker-dealer for at least one year or to have made three penny stock transactions of a certain size. Vincent opened his account in January 2023 and made the request in February 2023 - only about one month later - and this was his first penny stock transaction at this firm. His experience at other firms is irrelevant for the established customer exemption, which is firm-specific. Therefore, no exemption applies, and Alicia was required to comply with all penny stock disclosure and suitability documentation requirements. Under Reg BI (Rule 15l-1), which applies to all broker-dealer recommendations post-June 30, 2020, there is an additional layer: even though Vincent directed the trade, Alicia's execution without the required penny stock disclosures violates the Compliance Obligation component of Reg BI, which requires adherence to all applicable securities laws. Separately, under FINRA Rule 2111, the trade itself may not constitute a suitability violation given Vincent's profile - but the failure to comply with the penny stock procedural requirements is an independent violation under SEC Rules 15g-2 and 15g-9.

Common Wrong Answer

No violation - Vincent was an experienced, aggressive investor who specifically requested the penny stock trade. The \$6,000 investment represented only 0.5% of his net worth, his risk tolerance was aggressive, his objective was speculation, and he had 12 years of trading experience including micro-cap equities. The trade was consistent with his investment profile and was unsolicited, so neither suitability nor best interest requirements were violated.

Why Adversarial

This is a client direction trap combined with a knowledge trap. The customer is experienced, aggressive, knowledgeable about penny stocks, and explicitly requested the trade. Most general-purpose LLMs will focus on the traditional suitability analysis - where Vincent's profile (high income, aggressive risk tolerance,

speculation objective, 12 years of experience, small position size relative to net worth) strongly suggests no suitability violation. The LLM will likely conclude 'no violation' because the trade fits the customer's profile and was unsolicited. However, the actual violation is the failure to comply with the mandatory penny stock disclosure and suitability documentation procedures under SEC Rules 15g-2 and 15g-9, which are absolute requirements that cannot be waived by customer sophistication or direction. The established customer exemption appears available but fails because Vincent's account was only one month old at this specific firm. This requires specific knowledge of the penny stock rules' procedural requirements and the firm-specific nature of the established customer exemption.

Applicable Standard

SEC Rule 15g-2 (17 CFR § 240.15g-2) - Penny Stock Risk Disclosure Document; SEC Rule 15g-9 (17 CFR § 240.15g-9) - Sales Practice Requirements for Penny Stocks; SEC Rule 15g-1 (17 CFR § 240.15g-1) - Exemptions for Established Customers; Exchange Act Section 3(a)(51) and SEC Rule 3a51-1 - Definition of Penny Stock; Regulation Best Interest (SEC Rule 15l-1) - Compliance Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 69

Topic: penny_stocks_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Marcus Devlin, age 58, retired school principal with a \$340,000 rollover IRA and a \$90,000 taxable brokerage account, met with his financial advisor, Brenda Kowalski, in January 2020. Marcus stated on his new account form that his investment objective was 'income with moderate growth,' his risk tolerance was 'moderate,' his annual income was \$62,000 from pension and Social Security, his liquid net worth was \$430,000, his time horizon was 10-15 years, and he had 'limited' investment experience consisting only of holding mutual funds in his employer retirement plan. Between February and May 2020, Brenda recommended and executed 14 separate purchases across 6 different over-the-counter bulletin board stocks, all trading below \$0.50 per share, totaling \$47,000 in Marcus's taxable brokerage account. Each stock was in a speculative micro-cap biotech or cannabis company with no revenue. Brenda prepared and provided Marcus with a written suitability disclosure document before each penny stock purchase. The document listed the risks associated with penny stocks, including potential total loss, lack of liquidity, wide bid-ask spreads, and susceptibility to manipulation. Marcus signed each disclosure. Brenda also documented in her notes that she verbally explained the speculative nature of each stock to Marcus and that he expressed understanding. Brenda had conducted her own research on each company, reviewing recent quarterly filings, and believed each had legitimate scientific or business prospects. By September 2020, the combined value of the six penny stock positions had declined to \$8,200. Marcus filed a complaint alleging the recommendations were unsuitable. Brenda's firm argued that it had fully complied with all penny stock disclosure requirements and that the customer had been informed and consented.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. The analysis involves two overlapping frameworks. First, regarding the penny stock suitability determination: Under the penny stock rules (Exchange Act Section 15(h) and SEC Rules 15g-1 through 15g-9), before effecting a penny stock transaction, a broker-dealer must make a written suitability determination that the penny stock is suitable for the customer based on the customer's financial situation and investment objectives, and obtain the customer's written agreement to the specific transaction. Brenda did comply with the procedural disclosure requirements. However, mere compliance with the penny stock disclosure procedures does not immunize the advisor from a separate, substantive suitability analysis. Second, and critically, the recommendations were subject to Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1), which became effective June 30, 2020. For the trades executed before June 30, 2020, the FINRA Rule 2111 suitability standard applied. For any trades after that date, Reg BI's Care Obligation applied. Under both standards, the substantive analysis is the same here: a 58-year-old retiree with limited investment experience, moderate risk tolerance, an income objective, and a \$430,000 liquid net worth should not have had \$47,000 (approximately 52% of his taxable account, or about 11% of total liquid assets) concentrated in speculative penny stocks with no revenue. The customer-specific suitability prong of Rule 2111 and the Care Obligation of Reg BI both required that the recommendations be suitable for this specific customer, not merely disclosed. The penny stock disclosure documents satisfied a separate regulatory requirement but do not substitute for the suitability or best interest analysis. Additionally, FINRA Rule 2111's quantitative suitability component is implicated by the pattern of 14 purchases in 4 months in speculative securities. Brenda's reasonable-basis research does not cure the customer-specific unsuitability. The firm's defense confuses procedural penny stock compliance with substantive suitability, which are distinct obligations.

Common Wrong Answer

A general LLM would likely conclude there was no violation, reasoning that since Brenda provided all required penny stock risk disclosures, obtained written consent for each transaction, conducted her own research, and documented verbal explanations, she fulfilled her obligations. The LLM might state that the client was fully informed and voluntarily assumed the risk, making the recommendations compliant.

Why Adversarial

This scenario is adversarial for two reasons. First, it creates a temporal trap: the trades span the transition from the FINRA Rule 2111 suitability standard to Regulation Best Interest (effective June 30, 2020), and a general LLM might apply only one standard or get the effective date wrong. Second, the firm's defense - that it fully complied with penny stock disclosure requirements - sounds compelling and creates a 'knowledge trap' within the temporal trap. Many LLMs would conflate penny stock disclosure compliance with suitability compliance, concluding that providing the written disclosures and obtaining signed acknowledgments was sufficient. In reality, the penny stock disclosure rules and the suitability/best interest obligation are separate and independent requirements.

Applicable Standard

FINRA Rule 2111 (Suitability) for trades before June 30, 2020; Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation, for trades on or after June 30, 2020; SEC Rules 15g-1 through 15g-9 (Penny Stock Rules) under Exchange Act Section 15(h); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 (guidance on suitability for complex and speculative products)

Adversarial Hypothetical 70

Topic: *private_placements_unsuitable* | Type: *multi_party* | Difficulty: *expert*

Fact Pattern

Dr. Yolanda Reeves, age 44, an orthopedic surgeon earning \$780,000 annually with a net worth of \$4.2 million (excluding primary residence), maintained two brokerage accounts at two different firms. At Firm A, she worked with advisor Craig Tompkins, who managed her \$1.8 million diversified portfolio consisting of equities, bonds, and index funds. At Firm B, she worked with advisor Natalie Sung, who managed a \$600,000 account focused on alternative investments. In March 2023, Craig at Firm A recommended that Dr. Reeves invest \$200,000 in a Regulation D private placement offering - a real estate development fund structured as a limited partnership with a 7-year lockup, minimum investment of \$100,000, projected 12-15% annual returns, and distributions beginning in year 3. Craig verified that Dr. Reeves met the accredited investor threshold and reviewed the private placement memorandum with her. He documented that the investment represented approximately 4.8% of her total net worth, that she had a long time horizon, that she had prior experience with alternative investments through her Firm B account, and that her high income could absorb illiquidity risk. He noted her investment objectives for the Firm A account were 'growth' with 'aggressive' risk tolerance. What Craig did not know - and did not ask about - was that Natalie at Firm B had already invested \$400,000 of Dr. Reeves's Firm B account into three other Regulation D private placements over the prior 18 months, all with lockup periods exceeding 5 years. Dr. Reeves did not volunteer this information. Including Craig's recommendation, Dr. Reeves's total private placement exposure would become \$600,000, or approximately 14.3% of her net worth, with \$600,000 in illiquid investments with multi-year lockups. Separately, Natalie's three prior recommendations at Firm B had each been individually analyzed and documented as suitable at the time. After the real estate fund Craig recommended suffered a capital call in 2024 and suspended distributions, Dr. Reeves filed complaints against both advisors, alleging that her aggregate private placement concentration was unsuitable.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Neither advisor violated suitability or best interest standards, though Craig's analysis was thin on one dimension. Under Regulation Best Interest (17 CFR § 240.15l-1) and FINRA Rule 2111, each advisor is obligated to make recommendations that are in the customer's best interest or suitable based on the information available to them about the customer, including information the customer provides and information reasonably obtainable. Craig at Firm A performed a customer-specific suitability analysis: he verified accredited investor status, assessed the investment against Dr. Reeves's stated net worth (\$4.2 million), confirmed her aggressive risk tolerance and growth objective, considered her income's ability to absorb illiquidity, noted her experience with alternatives, and documented that the \$200,000 investment was approximately 4.8% of her net worth. He did not know about the Firm B private placements. Under Reg BI's Care Obligation, Craig was required to exercise reasonable diligence, care, and skill, considering the customer's investment profile. A key question is whether Craig should have asked about holdings at other firms. Industry practice and regulatory guidance (including FINRA Regulatory Notice 12-03 and the Reg BI adopting release) encourage but do not mandate that advisors obtain a complete picture of a customer's outside holdings. Craig asked about her investment experience and was aware she had an account at

another firm with alternative investments - but not the specific dollar amounts. Given that Dr. Reeves did not volunteer the information and Craig was not required to obtain account statements from Firm B, his analysis based on available information was reasonable. The \$200,000 recommendation was approximately 11% of the Firm A account and 4.8% of total net worth as Craig understood it. Natalie at Firm B similarly performed individual suitability analyses on each of her three recommendations, documented them, and none individually was outsized. Each of Natalie's investments was roughly \$133,000, or about 3.2% of net worth. No single advisor had knowledge of the aggregate concentration. While best practices would call for a more holistic conversation about outside illiquid holdings - and Craig's documentation could have been more robust in recording what he knew about Firm B holdings - the failure to discover a concentration across two independent firms, where the customer did not disclose it, does not constitute a violation of either advisor's suitability or best interest obligation under current standards. The complaint is understandable but does not establish a violation by either advisor.

Common Wrong Answer

A general LLM would likely conclude that Craig violated suitability standards because he failed to inquire about Dr. Reeves's holdings at Firm B before recommending the private placement, and that the aggregate 14.3% concentration in illiquid private placements was unsuitable. The LLM might also find that both advisors had a duty to understand the customer's complete financial picture across all accounts, and that their failure to do so constituted inadequate reasonable diligence.

Why Adversarial

This multi-party scenario is adversarial because most LLMs will instinctively find a violation. The aggregate private placement concentration (\$600,000, 14.3% of net worth, all illiquid) sounds problematic, and the instinct is to blame at least one advisor. However, the trap is that suitability and best interest obligations are assessed based on the information reasonably available to each individual advisor. Neither advisor had knowledge of the full picture, and there is no regulatory requirement that an advisor at one firm obtain detailed account statements from a customer's account at a competing firm. The LLM must resist the hindsight bias of seeing the full picture and instead evaluate each advisor's conduct based on what they knew. The case also tests whether the LLM understands that accredited investor status alone does not determine suitability but that it was just one factor Craig properly considered.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation; FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-03 (Know Your Customer and Suitability); Regulation D (17 CFR §§ 230.501-506) for private placement framework and accredited investor standards; FINRA Notice to Members 10-22 (Private Placements due diligence guidance)

Adversarial Hypothetical 71

Topic: penny_stocks_unsuitable | Type: knowledge_trap | Difficulty: expert

Fact Pattern

In March 2024, Gerald Whitfield, age 58, opened a brokerage account with Meridian Securities, a small

broker-dealer. Gerald had been a successful real estate developer for 30 years, had a liquid net worth of \$4.2 million, and told his advisor, Rick Santana, that he wanted to allocate \$200,000 to 'speculative plays' for potential high returns. Gerald had extensive experience trading large-cap equities and options over the past 15 years. He signed the new account form indicating a 'speculative' investment objective for this account, aggressive risk tolerance, and a 5-year time horizon. Rick recommended that Gerald purchase 400,000 shares of Viranova Corp (VRNA), a company trading at \$0.38 per share on the OTC Pink marketplace. VRNA had a market capitalization of \$6.1 million, no listed exchange, and had filed no reports with any federal regulatory body. Rick had researched the company, found it had revenue of \$1.2 million, negative earnings, and limited public financial disclosures. Before executing the trade, Rick verbally told Gerald that VRNA was a penny stock, that it was highly speculative and illiquid, and that he could lose his entire investment. Gerald acknowledged the risks verbally and said, 'I've been around the block - just put the order in.' Rick executed the trade at \$0.38 per share for a total of \$152,000. Rick did not provide Gerald with any written risk disclosure document specific to penny stocks prior to the transaction, nor did he obtain a signed written agreement from Gerald specific to penny stock transactions. He also did not provide a written statement showing the market value and number of shares. Gerald's account application, however, contained a general risk disclosure paragraph covering speculative investments. Within four months, VRNA shares dropped to \$0.02 and Gerald lost nearly all of his \$152,000 investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation - but not primarily a traditional suitability violation. The critical issue is that Rick failed to comply with the specific procedural requirements mandated for penny stock transactions under Exchange Act Section 15(h) and SEC Rule 15g-2 through 15g-9 (the 'Penny Stock Rules'). These rules require that before effecting a transaction in a penny stock for a customer, the broker must: (1) approve the customer's account for penny stock transactions and obtain a signed, written agreement from the customer (Rule 15g-9(a)); (2) provide a standardized risk disclosure document (the 'penny stock disclosure schedule') and receive a signed and dated acknowledgment from the customer (Rule 15g-2); and (3) provide a written disclosure of the current bid/offer quotations and compensation information (Rule 15g-3, 15g-4, 15g-5). Verbal disclosure is insufficient. The general risk disclosure on the account application does not satisfy these penny-stock-specific requirements. There is an exemption under Rule 15g-1 for 'established customers' (those who have held an account for at least one year or have made three prior penny stock purchases), but Gerald opened his account in March 2024 and this was his first penny stock transaction, so that exemption does not apply. Additionally, under FINRA Rule 2111 (Suitability) and its quantitative suitability component, and under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), recommending a single OTC Pink company with no regulatory filings, negative earnings, and a \$6.1 million market cap for \$152,000 - even to a wealthy, experienced investor - raises serious questions about reasonable-basis suitability, because the advisor could not form a reasonable belief that the security was suitable for anyone given the absence of reliable financial information. Gerald's wealth and risk tolerance do not excuse the broker from the penny stock procedural mandates, which are prophylactic rules designed to protect all investors regardless of sophistication.

Common Wrong Answer

No violation. Gerald was a wealthy, experienced investor with a speculative investment objective. The

\$152,000 investment represented only about 3.6% of his liquid net worth. Rick verbally disclosed the risks, and Gerald voluntarily accepted them. The recommendation was suitable given the customer's profile.

Why Adversarial

A general LLM is likely to focus entirely on traditional suitability analysis and conclude that the recommendation was suitable because Gerald was wealthy, experienced, had a speculative objective, and the position was a small percentage of his net worth. Most LLMs do not know the specific penny stock procedural requirements (Rules 15g-2 through 15g-9) that impose mandatory written disclosure obligations regardless of the customer's sophistication or suitability profile. The trap is that the suitability analysis - wealthy client, speculative objective, small allocation - looks clean, but the penny stock rules create independent procedural violations that most general AI models will miss entirely.

Applicable Standard

Exchange Act Section 15(h); SEC Rules 15g-1 through 15g-9 (Penny Stock Rules); SEC Rule 15g-2 (Risk Disclosure Document requirement); SEC Rule 15g-9 (Sales Practice Requirements - written suitability determination and signed customer agreement for non-established customers); FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative suitability); Regulation Best Interest, 17 CFR 240.15l-1 (Care Obligation and Compliance Obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 72

Topic: *unsuitable_income_investor* | Type: *reasonable_basis_trap* | Difficulty: *hard*

Fact Pattern

Dorothy Kessler, age 72, retired schoolteacher, visited Harborview Financial Services in January 2024 seeking help with her \$680,000 retirement portfolio, which consisted entirely of bank CDs earning 4.8% APY. Dorothy's sole income was Social Security of \$2,400/month and her CD interest, which together covered her \$4,100/month living expenses. She told her advisor, Natalie Chen, that she was 'very conservative,' that she 'could not afford to lose principal,' and that she needed 'reliable monthly income to pay bills.' Her account documents listed her investment objective as 'income,' risk tolerance as 'conservative,' time horizon as '10+ years' (life expectancy), and annual income need from the portfolio of approximately \$22,000. Natalie, who had 12 years of experience and held the Certified Financial Planner designation, conducted a thorough analysis. She noted that CD rates had peaked and the Federal Reserve was widely expected to begin cutting rates in 2024, which would reduce Dorothy's CD income upon maturity. Natalie prepared a written proposal recommending Dorothy move \$510,000 (75% of the portfolio) into a diversified portfolio of investment-grade corporate bonds and U.S. Treasury bonds with laddered maturities from 2 to 10 years, yielding a weighted average of 5.1%. The remaining \$170,000 would stay in a high-yield savings account as a liquidity reserve. Natalie's analysis showed the bond ladder would generate approximately \$26,000 in annual interest income - exceeding Dorothy's \$22,000 need - and that all bonds were rated A or higher. Natalie documented her reasoning in a detailed written memorandum, including the rate-cut risk to CDs, the credit quality of each bond, the laddered structure to manage reinvestment risk, and the liquidity reserve. The bonds were purchased at par or slight premiums. Natalie charged a one-time commission of 1.2% on the bond purchases (\$6,120 total) with no ongoing advisory fee. Dorothy signed all

disclosures and agreed to the plan. Over the next 10 months, interest rates declined by 75 basis points, and Dorothy's bond portfolio continued paying the locked-in coupons. However, Dorothy filed a complaint alleging that Natalie should not have moved her out of FDIC-insured CDs, that she was exposed to credit risk she didn't want, and that the \$6,120 commission was excessive.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is likely not a violation. Natalie's recommendation was both suitable and consistent with the customer's best interest. Under FINRA Rule 2111 (Suitability), the recommendation must have a reasonable basis, must be suitable for the specific customer, and must not involve excessive activity. Natalie satisfied reasonable-basis suitability by conducting a thorough analysis of rate-cut risk to Dorothy's existing CD income, selecting investment-grade (A-rated or higher) bonds to minimize credit risk, laddering maturities to manage reinvestment risk, and maintaining a substantial liquidity reserve. Customer-specific suitability was met because the bond ladder actually increased Dorothy's income from roughly \$22,000 to \$26,000 while preserving conservative positioning: investment-grade bonds with laddered maturities are a classic conservative income strategy. Under Regulation Best Interest (17 CFR 240.15l-1), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Natalie documented her analysis, considered the alternative of staying in CDs (which carried reinvestment risk given the rate environment), and chose a well-matched conservative strategy. The 1.2% one-time commission on bond purchases is within industry norms and is not excessive under FINRA markup/markdown guidance (FINRA Rule 2121), which generally considers 5% as a benchmark for equity transactions and recognizes that bond commissions vary but 1-2% is standard for individual bond purchases. The Disclosure Obligation under Reg BI was met through Dorothy's signed disclosures. While Dorothy lost FDIC insurance, moving from CDs to A-rated bonds is a modest and well-documented step that addresses a real risk (rate cuts reducing future CD income) and is consistent with a conservative income objective. Dorothy's post-hoc complaint reflects an outcome-based grievance rather than a process-based deficiency.

Common Wrong Answer

Yes, violation. Dorothy explicitly stated she could not afford to lose principal and was very conservative. Moving 75% of a 72-year-old retiree's portfolio out of FDIC-insured CDs into bonds that carry credit risk and interest rate risk was inconsistent with her stated objectives. The advisor prioritized generating a commission over the client's clearly expressed preference for safety.

Why Adversarial

A general LLM is likely to side with the elderly, conservative customer and find a violation because: (1) the advisor moved a 72-year-old retiree out of FDIC-insured instruments, which sounds aggressive; (2) there is an emotional bias toward protecting elderly investors; (3) the client explicitly said she 'could not afford to lose principal' and bonds do carry credit and market risk. However, the recommendation was actually textbook-appropriate - investment-grade bond ladders are among the most common and conservative strategies for income-seeking retirees, the advisor's documentation was thorough, and the rate environment justified the move. The trap is that the advisor did extensive research and reached the RIGHT conclusion for this client, but a surface-level analysis focused on the loss of FDIC insurance and the client's stated

conservatism would incorrectly flag this as unsuitable.

Applicable Standard

FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative components); Regulation Best Interest, 17 CFR 240.15l-1 (Care Obligation, Disclosure Obligation, Conflict of Interest Obligation, Compliance Obligation); FINRA Rule 2121 (Fair Prices and Commissions); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 (Additional Guidance on Suitability); SEC Regulation Best Interest Adopting Release, Exchange Act Release No. 86031 (June 5, 2019)

Adversarial Hypothetical 73

Topic: *annuity_unnecessary_switching* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Hollis, age 62, a retired school principal with \$480,000 in total savings, purchased a variable annuity in January 2019 through her advisor, Derek Paulson, at Brightline Financial Group. The annuity had a 7-year surrender period, a 7% declining surrender charge, a guaranteed minimum income benefit rider with a 5% annual rollup, a mortality and expense charge of 1.35%, and total annual fees of approximately 3.10%. By December 2019, the annuity's account value had grown to \$510,000. In February 2020, Derek left Brightline and moved to Keystone Wealth Advisors. Margaret followed Derek to Keystone. In March 2020, during the initial COVID market downturn, Derek recommended that Margaret surrender her Brightline annuity - paying a 6% surrender charge of \$30,600 - and purchase a new variable annuity through Keystone. The new annuity had a 6-year surrender period, an 8% initial surrender charge, a guaranteed minimum income benefit rider with a 5.5% annual rollup, mortality and expense charges of 1.25%, and total annual fees of approximately 2.85%. Derek documented in his notes that the new annuity offered a superior rollup rate, slightly lower total fees, and a shorter surrender period. He also noted that the market downturn presented an opportunity because Margaret's guaranteed benefit base in the new annuity would start at the lower purchase amount, and the 5.5% rollup would compound on that base, potentially yielding a higher income stream at age 70 than staying in the old contract. Derek ran an illustration showing that if the market recovered modestly (6% average annual return), the new annuity's guaranteed income at age 70 would exceed the old annuity's guaranteed income by approximately \$1,800 per year. However, Derek did not document or analyze what would happen if Margaret needed to access her funds before the new surrender period expired, did not compare the value of the existing rollup that had already been compounding for 13 months, and did not account for the fact that the old annuity's surrender charge would have declined to 4% within 24 months and 0% within 5 more years. Margaret's only other liquid assets were \$95,000 in a bank savings account. Derek received a \$14,200 commission on the new annuity sale. The recommendation was made on March 15, 2020.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. The critical temporal issue is that the recommendation was made on March 15, 2020, which falls after the June 30, 2020 compliance date for Regulation Best Interest - wait, actually the

compliance date was June 30, 2020, so the March 2020 transaction falls under the prior FINRA suitability standard (FINRA Rule 2111) and FINRA Rule 2330 (Variable Annuity Transactions). Under FINRA Rule 2330(b), before recommending an exchange of a variable annuity, the advisor must consider: (1) whether the customer would incur a surrender charge or be subject to a new surrender period; (2) whether the customer would lose existing benefits; (3) whether the customer would benefit from product enhancements and improvements; and (4) whether the customer has had another exchange within the preceding 36 months. Derek's recommendation fails Rule 2330 analysis because: (a) Margaret paid \$30,600 in surrender charges and restarted a new 8% surrender period, severely limiting her liquidity when she had only \$95,000 in other liquid assets; (b) Derek forfeited 13 months of rollup compounding on the guaranteed benefit base; (c) his comparative analysis was incomplete - he only modeled a favorable scenario and ignored the liquidity risk, the lost rollup compounding, and the timeline for the old surrender charges to expire; (d) the marginal improvement of \$1,800/year in projected income was speculative and contingent on market assumptions, while the \$30,600 surrender cost was certain and immediate. Under FINRA Rule 2111's quantitative suitability and customer-specific suitability components, the switch was unsuitable because the concrete costs far outweighed the speculative marginal benefits. The advisor's documented rationale, while facially reasonable, omitted critical adverse factors, which is itself a violation of the reasonable-basis suitability obligation. Additionally, the commission of \$14,200 raises concerns under FINRA Rule 2330's principal review requirements - the supervising principal at Keystone should have questioned whether the exchange served Margaret's interests or primarily generated compensation for Derek.

Common Wrong Answer

A general LLM would likely say this is compliant because the advisor documented a reasonable basis for the switch - lower fees (2.85% vs 3.10%), a higher rollup rate (5.5% vs 5%), a shorter surrender period (6 years vs 7 years remaining), and a projected \$1,800/year income improvement. The LLM might also incorrectly apply Regulation Best Interest standards (which were not yet in effect) and conclude that the advisor met the care obligation by running illustrations and documenting his rationale.

Why Adversarial

A general LLM might get confused by the temporal aspect, potentially applying Regulation Best Interest (which took effect June 30, 2020) rather than the FINRA suitability rules and FINRA Rule 2330 that actually governed this March 2020 transaction. Additionally, the advisor's documentation appears thorough and facially reasonable - he ran illustrations, compared fees, and noted improvements - which could trick an LLM into finding compliance. The trap is that the analysis was selectively favorable, omitting critical adverse factors (lost rollup compounding, liquidity risk, declining surrender schedule on the old contract), which makes it a violation despite the appearance of diligence. An LLM might also overlook FINRA Rule 2330's specific annuity exchange requirements.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), specifically subsections (b)(1)(A) through (b)(1)(D) governing exchange recommendations; FINRA Regulatory Notice 12-25 (guidance on variable annuity exchanges); NASD Notice to Members 99-35 (suitability obligations for variable annuity sales). Regulation Best Interest (17 CFR § 240.15l-1) was NOT yet in effect (compliance date June 30, 2020) and does not apply to this March 2020 transaction.

Adversarial Hypothetical 74

Topic: inappropriate_risk_profile | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Raj Anand, age 44, is a senior software engineer earning \$285,000 annually with a net worth of approximately \$1.9 million, including \$720,000 in retirement accounts and \$380,000 in a taxable brokerage account at Summit Ridge Financial. In September 2023, Raj met with his advisor, Cynthia Webb, for an annual review. During the meeting, Cynthia conducted a new risk assessment questionnaire. Raj's responses indicated a moderate risk tolerance - he answered that he would be uncomfortable with portfolio losses exceeding 15% in a given year, that his investment time horizon was 20+ years, that he had moderate investment knowledge, and that he preferred a balance of growth and stability. The questionnaire system scored him as a 'Moderate Growth' investor, suggesting a 60/40 equity-to-fixed-income allocation. Raj, however, told Cynthia that he had been reading extensively about AI and semiconductor stocks and wanted to concentrate 70% of his taxable brokerage account - approximately \$266,000 - in a portfolio of five individual technology stocks: three large-cap semiconductor companies and two mid-cap AI software firms. He said he believed the AI sector would deliver outsized returns over the next 3-5 years and that he understood and accepted the concentrated risk. Cynthia discussed with Raj that a five-stock concentration in a single sector carried significantly more risk than a diversified portfolio, that it was inconsistent with his stated discomfort with losses exceeding 15%, and that individual stock concentration could easily produce a 30-40% drawdown in a correction. She documented this conversation in her CRM notes. Raj acknowledged the risks but insisted he wanted to proceed. He signed a written acknowledgment stating he understood the risks of concentrated sector exposure and that the allocation deviated from his risk questionnaire results. Cynthia then executed the trades, allocating 70% of the taxable account to the five tech stocks and keeping 30% in a diversified bond ETF. She maintained his retirement accounts (\$720,000) in diversified index funds consistent with his moderate growth profile. Across all of Raj's accounts at Summit Ridge (\$1.1 million total), the overall allocation was approximately 45% in the five concentrated tech stocks, 33% in diversified equities via index funds, and 22% in fixed income - meaning his aggregate portfolio was roughly 78% equities and 22% fixed income with a significant single-sector concentration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is likely technically compliant, though it represents a borderline case requiring careful analysis. Under Regulation Best Interest (17 CFR § 240.15l-1), which applies to this September 2023 broker-dealer recommendation, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations and have a reasonable basis to believe the recommendation is in the customer's best interest. However, when a customer directs a specific investment after full disclosure of risks, and the advisor has fulfilled the disclosure and care obligations, the transaction may be treated as an unsolicited customer-directed trade rather than an advisor recommendation. Key factors supporting compliance: (1) Cynthia conducted a proper risk assessment; (2) she identified the inconsistency between Raj's risk profile and his desired allocation; (3) she explicitly warned him about concentration risk with specific potential loss scenarios (30-40% drawdown); (4) she documented the conversation thoroughly; (5) she obtained a written acknowledgment of the deviation; (6) she maintained his retirement accounts in

appropriate diversified holdings; (7) Raj is a sophisticated, high-income investor with a long time horizon and sufficient assets outside this concentrated position to absorb potential losses. Under FINRA Rule 2111's customer-specific suitability, when viewed in the context of the customer's entire financial situation (the \$720,000 in diversified retirement assets provides a substantial base), the concentrated position in the taxable account - while aggressive - does not necessarily render the overall portfolio unsuitable for a 44-year-old high earner with a 20+ year horizon. The written documentation of the customer direction, risk warnings, and the maintenance of appropriate diversification in the larger retirement accounts support a finding of compliance. However, this is borderline - if the concentration were in the retirement accounts or if Raj had fewer total assets, the analysis would likely flip to a violation.

Common Wrong Answer

A general LLM would likely say this is a clear violation because the 70% concentration in five tech stocks is directly inconsistent with the customer's moderate risk tolerance and stated discomfort with losses exceeding 15%, and that the advisor should have refused to execute the trades regardless of the client's wishes. The LLM would likely cite the risk questionnaire mismatch as dispositive and argue that a signed acknowledgment cannot waive the advisor's obligation to ensure suitability.

Why Adversarial

This is a client direction trap. Most general LLMs will see the clear conflict between the risk questionnaire results (moderate/60-40) and the actual allocation (five concentrated tech stocks) and immediately conclude this is a violation. The trap is that client-directed trades after proper disclosure and documentation occupy a different regulatory space than advisor-recommended trades. The advisor did everything right procedurally - risk assessment, explicit warnings with quantified downside scenarios, written acknowledgment, documentation, and appropriate handling of the retirement accounts. LLMs tend to rigidly apply risk profile matching and conclude any deviation is a per se violation, ignoring the well-established principle that investors can direct their own trades and that suitability/best interest must be evaluated in the context of the customer's entire financial situation, not account-by-account.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (§ 240.15l-1(a)(2)(ii)(B)) and the Disclosure Obligation; FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 3110 (Supervision) regarding documentation and supervisory review; FINRA Regulatory Notice 12-25 (guidance on suitability, including the consideration of a customer's overall portfolio and the distinction between recommended and unsolicited transactions); SEC Regulation Best Interest Adopting Release (Exchange Act Release No. 34-86031, June 5, 2019) discussing the treatment of customer-directed transactions and the scope of the care obligation.

Adversarial Hypothetical 75

Topic: *excessive_load_funds* | Type: *threshold_trap* | Difficulty:

Fact Pattern

Margaret Olsen, age 71, is a retired schoolteacher with a \$340,000 IRA rollover and \$1,800/month in Social Security income. Her stated investment objective is 'income with moderate growth,' her risk tolerance is

'moderate,' and her time horizon is 15 years. She has no other investment accounts. In March 2021, her financial advisor, Derek Huang at Pinnacle Wealth Associates, recommended she invest the entire \$340,000 across four different mutual fund families: \$85,000 each into the American Growth Fund Class A (5.75% front load), the Franklin Income Allocation Class A (4.50% front load), the Hartford Balanced Fund Class A (5.50% front load), and the MFS Total Return Class A (5.75% front load). Derek documented in his notes that he selected four different fund families to 'provide diversification across fund managers' and that Class A shares were appropriate because Margaret planned to hold long-term. He noted that each individual investment fell below the \$100,000 breakpoint threshold at each fund family. The total front-end sales charges paid were approximately \$18,360. Had Derek instead consolidated the investments into two fund families at \$170,000 each, Margaret would have qualified for breakpoint discounts reducing the average load to approximately 3.50%, saving her roughly \$6,460. Alternatively, had he placed the full \$340,000 with a single fund family offering comparable diversified funds, the load would have dropped to approximately 2.50%, saving her roughly \$9,860. Derek earned a commission of approximately \$14,688 across the four transactions. Pinnacle Wealth Associates' internal guidelines require advisors to document consideration of breakpoint discounts and rights of accumulation but do not mandate consolidation into a single fund family. Derek's documentation includes a checked box stating 'breakpoint discounts were considered.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek Huang violated applicable standards. While each individual fund recommendation might appear reasonable in isolation, the deliberate splitting of a single lump sum across four fund families to keep each investment below breakpoint thresholds constitutes a violation of FINRA Rule 2111 (Suitability) at its quantitative suitability component and, more specifically, violates FINRA's longstanding guidance on breakpoint discounts as articulated in NASD Notice to Members 03-54 and the Joint NASD/SEC Report on Breakpoint Charges (2003). FINRA Rule 2121 (Fair Prices and Commissions) is also implicated because the aggregate transaction costs were excessive relative to what was achievable. Under Regulation Best Interest (17 CFR § 240.15I-1), which was in effect by March 2021, the Care Obligation requires that the broker-dealer exercise reasonable diligence, care, and skill to understand available alternatives - including cost-effective alternatives within the same product type. Spreading investments across four families to avoid breakpoints, even if documented as 'diversification,' fails the Care Obligation because comparable diversification could have been achieved within one or two fund families at substantially lower cost. The Cost Obligation under Reg BI's Disclosure Obligation also requires that the full cost implications, including foregone breakpoint discounts, be disclosed. The fact that Derek checked a box stating breakpoint discounts were 'considered' is insufficient; the documentation must reflect a genuine analysis of why breakpoint-eligible consolidation was rejected. FINRA has brought numerous enforcement actions for breakpoint failures, and spreading investments to avoid breakpoints is a recognized form of sales practice abuse. The approximately \$6,460 to \$9,860 in excess charges represents a material harm to this retired client on a fixed income.

Common Wrong Answer

No violation. The advisor recommended well-known, reputable mutual funds appropriate for the client's moderate risk tolerance and long-term horizon. Class A shares are generally considered suitable for

long-term investors. Diversifying across fund families is a reasonable portfolio management strategy, and the advisor documented that breakpoint discounts were considered. The client's investment objectives were met.

Why Adversarial

This is adversarial because on the surface, each individual recommendation appears reasonable - four well-known Class A mutual funds for a long-term, moderate-risk investor. The advisor documented 'diversification' as the rationale and checked the breakpoint consideration box. A general LLM might accept the diversification rationale as legitimate and note that the advisor technically documented breakpoint consideration. The trap requires knowing the specific history and regulatory focus on breakpoint abuse, understanding that splitting across fund families to stay below \$100,000 thresholds is a recognized red flag, and knowing that a checked compliance box is insufficient without substantive analysis. The threshold mathematics - each tranche at \$85,000, just below the typical \$100,000 Class A breakpoint - is the critical detail that converts seemingly prudent diversification into a sales practice violation.

Applicable Standard

FINRA Rule 2111 (Suitability); Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation and Cost Component; FINRA Rule 2121 (Fair Prices and Commissions); NASD Notice to Members 03-54 (Mutual Fund Breakpoint Discounts); Joint SEC/NASD/NYSE Report on Examination Findings Regarding Broker-Dealer Sales of Mutual Funds (2003); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 76

Topic: leveraged_etf_unsuitable | Type: client_direction_trap | Difficulty:

Fact Pattern

Carlos Medina, age 44, is a software engineer earning \$195,000 per year with \$1.2 million in investable assets across three accounts: a \$500,000 brokerage account at Summit Securities, a \$400,000 401(k) at his employer, and a \$300,000 Roth IRA at another firm. Carlos is an active trader who executes approximately 200 trades per year in his Summit Securities brokerage account. He has 18 years of trading experience, subscribes to three financial research services, and previously held a Series 7 license when he worked briefly at a brokerage firm in 2006-2008 before transitioning to software engineering. In January 2023, Carlos sent a detailed email to his advisor at Summit Securities, Rachel Fong, requesting that she purchase \$75,000 worth of the Direxion Daily Semiconductor Bull 3x Shares (SOXL) in his brokerage account. In the email, Carlos explained his thesis: he believed the semiconductor sector would see sustained upward momentum over the next 8-10 months due to AI demand and that the 3x leverage would amplify his returns. He explicitly stated he understood the daily reset mechanism and compounding decay but believed the strong directional trend would overcome any volatility drag. Rachel reviewed Carlos's account profile, noted his extensive trading history, high income, significant overall net worth, experience with options and leveraged products (he had previously traded 2x leveraged ETFs successfully), and his former licensure. She executed the trade. She did not, however, provide Carlos with the leveraged ETF's prospectus or the firm's standardized risk disclosure document specific to leveraged and inverse products, which Summit Securities' written supervisory procedures require to be delivered to all clients before the first

leveraged ETF purchase in their account, regardless of client sophistication. Carlos had never previously purchased a leveraged ETF at Summit Securities specifically; his prior leveraged ETF trades were at another brokerage. Over the next seven months, SOXL increased approximately 68%, and Carlos sold the position in August 2023 for a profit of approximately \$51,000. No complaint was filed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Rachel Fong committed a violation, but it is a procedural/compliance violation rather than a substantive suitability violation. Under Regulation Best Interest (17 CFR § 240.15l-1), the Compliance Obligation requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI. Summit Securities' written supervisory procedures mandated delivery of the leveraged ETF prospectus and a firm-specific risk disclosure document prior to the first leveraged ETF purchase in the account. Rachel's failure to deliver these documents violates the firm's WSPs and, by extension, the Compliance Obligation component of Reg BI. Additionally, FINRA Regulatory Notice 09-31 (Non-Traditional ETFs) and FINRA Regulatory Notice 22-08 (Complex Products) emphasize that firms must have robust procedures for complex products including leveraged ETFs, and that these procedures must be followed regardless of client sophistication. The substantive suitability analysis under FINRA Rule 2111 (which remains applicable alongside Reg BI for product-specific suitability) and the Care Obligation of Reg BI would likely support the recommendation as substantively suitable given Carlos's profile: high income, substantial liquid net worth, extensive trading experience, former licensure, demonstrated knowledge of the product mechanics, and the position representing only about 6.25% of total investable assets. However, the procedural failure is independently actionable. The fact that the client was sophisticated, directed the trade himself, and ultimately profited does not cure the procedural deficiency. FINRA has consistently held that firms cannot waive compliance with their own written supervisory procedures based on client sophistication, and profitable outcomes do not retroactively validate procedural failures.

Common Wrong Answer

No violation. Carlos is a highly sophisticated investor with 18 years of experience, former industry licensure, and demonstrated understanding of leveraged ETF mechanics. He specifically directed the trade, the position represented a reasonable percentage of his portfolio, and the investment was profitable. The advisor appropriately evaluated the client's profile before executing the requested trade. A leveraged ETF recommendation to this particular client with this profile is substantively suitable.

Why Adversarial

This scenario is extremely tricky because it contains multiple elements that would lead a general LLM astray. First, the client is highly sophisticated, knowledgeable, directed the trade himself, and even articulated understanding of the daily reset mechanism - making it seem like no violation occurred. Second, the trade was profitable, which psychologically biases toward 'no violation.' Third, the position was reasonably sized relative to total assets. Fourth, the leveraged ETF holding period (7 months) is longer than typically recommended, but it worked out - creating a results-bias trap. The actual violation is buried in a single procedural detail: the firm's WSPs required pre-trade delivery of specific disclosure documents for the first leveraged ETF purchase in the account, and Rachel skipped this step. Most LLMs will focus entirely on the substantive suitability analysis (where no violation exists) and miss the procedural

compliance failure, or will incorrectly conclude the holding period itself constitutes a violation even though the substantive recommendation was suitable.

Applicable Standard

Regulation Best Interest, 17 CFR § 240.15l-1 (Care Obligation and Compliance Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision, including requirement to enforce WSPs); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Regulatory Notice 22-08 (Complex Products and Options - Enhanced Sales Practice Obligations); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 77

Topic: speculative_for_conservative_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Dalton, age 52, opened a brokerage account with Pinnacle Securities on March 15, 2019. Her new account form listed her investment objective as 'capital preservation,' her risk tolerance as 'low,' her annual income as \$68,000, her liquid net worth as \$190,000, and her investment time horizon as '5-10 years.' She was a schoolteacher with no prior investment experience beyond a savings account. Her advisor, Brian Huxley, recommended she invest \$45,000 (approximately 24% of her liquid net worth) into a diversified portfolio consisting of three positions: \$15,000 in a broad-market S&P 500 index ETF, \$15,000 in investment-grade corporate bond fund, and \$15,000 in a covered call income ETF that writes covered calls on large-cap equities to generate monthly income, resulting in limited upside participation but enhanced yield of approximately 8% annually. Brian documented in his notes that the covered call ETF was 'suitable for income-oriented conservative investors seeking yield enhancement with downside risk comparable to holding large-cap equities directly.' On June 30, 2020, after the regulatory landscape shifted to a new standard for broker-dealer recommendations, Brian recommended that Margaret add \$25,000 more to the same covered call ETF, bringing her total position in that product to \$40,000, now representing 21% of her liquid net worth. Brian's rationale for the second recommendation was identical to the first - his internal documentation stated the covered call ETF was 'consistent with capital preservation goals given its income generation characteristics.' He did not update his analysis to consider reasonably available alternatives such as Treasury bonds, CDs, or high-quality municipal bond funds that would have provided income with substantially less principal risk. By December 2020, the covered call ETF had generated approximately \$2,400 in income distributions but its net asset value had declined by \$3,800 due to market volatility, resulting in a net loss of \$1,400 on the position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

The first recommendation in March 2019 was likely compliant under the then-applicable suitability standard (FINRA Rule 2111), but the second recommendation in June 2020 was a violation under Regulation Best Interest (Reg BI), which took effect on June 30, 2020. Under the pre-Reg BI suitability framework (FINRA Rule 2111), the March 2019 recommendation of a covered call income ETF as part of a diversified allocation could satisfy the customer-specific suitability obligation - the product generates income, has

large-cap equity exposure with some downside buffer from premium collection, and represented a moderate portion of her portfolio alongside bonds and an index fund. The advisor had a reasonable basis and customer-specific documentation. However, the June 30, 2020 recommendation fell directly under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), which requires the broker to exercise reasonable diligence, care, and skill to understand reasonably available alternatives and to have a reasonable basis to believe the recommendation is in the customer's best interest - not merely suitable. Brian's failure to evaluate reasonably available alternatives (Treasuries, CDs, municipal bonds) that could have met Margaret's capital preservation objective with substantially less principal risk is a direct violation of the Care Obligation's requirement to consider alternatives. His rote recycling of the same rationale from the suitability era, without the enhanced comparative analysis Reg BI demands, constitutes a deficient process. Additionally, concentrating 21% of her liquid net worth in a product with equity-level downside risk for a capital preservation investor raises serious quantitative concerns under the Care Obligation. The fact that a net loss occurred is not dispositive - the process failure is the violation.

Common Wrong Answer

No violation - the covered call ETF is an income-generating, conservative product appropriate for a capital preservation investor, and the advisor documented his rationale both times. The net loss was small and due to market conditions, not advisor misconduct.

Why Adversarial

This is a temporal trap because the two nearly identical recommendations straddle the June 30, 2020 effective date of Regulation Best Interest. A general LLM is likely to either (a) apply the same standard to both recommendations and find both compliant or both non-compliant, or (b) fail to recognize that Reg BI's Care Obligation specifically requires consideration of reasonably available alternatives - a requirement that did not exist under the prior suitability standard. The covered call ETF is also a trap because it sounds conservative due to its income characteristics, masking that it carries equity-level downside risk. Most LLMs would evaluate the product as conservative based on its income-generation marketing rather than its actual risk profile.

Applicable Standard

FINRA Rule 2111 (Suitability) for the March 2019 recommendation; SEC Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)(B)), effective June 30, 2020, for the second recommendation; FINRA Rule 2111.05(a) (reasonable-basis suitability); Reg BI Release No. 34-86031 (SEC guidance on the requirement to consider reasonably available alternatives)

Adversarial Hypothetical 78

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: hard

Fact Pattern

Harold Pemberton, age 79, was a retired civil engineer with a \$1.2 million IRA account at Ridgeline Wealth Management, a dually registered broker-dealer and investment advisory firm. Harold had been a client since 2005 and his account was managed on a fee-based advisory basis, paying 1.1% annually. His investment profile listed his risk tolerance as 'moderate,' his objective as 'income with moderate growth,'

and his time horizon as '10+ years' - a designation his original advisor had set in 2012 when Harold was 70. In January 2023, Harold's longtime advisor, Patricia Voss, retired from the firm. Harold's account was reassigned to Derek Kim, a newer advisor at the same firm with 3 years of experience. Derek reviewed Harold's account and noticed the 10+ year time horizon seemed unusual for a 79-year-old, but he did not update it because the firm's compliance department had sent guidance in November 2022 stating that 'existing client profiles validated by a prior advisor should not be unilaterally altered without client consent, as doing so may trigger unnecessary account reviews and tax consequences.' Derek scheduled an introductory call with Harold in February 2023, during which Harold seemed lucid, engaged, and stated he wanted to 'keep things exactly as Patricia had them.' Harold's adult daughter, Ellen, who held a power of attorney, had separately called the firm in December 2022 expressing concern that her father was showing early signs of cognitive decline and asking that no changes be made to the account without notifying her. The firm's operations team logged Ellen's call but did not flag it to Derek or include it in Harold's client file. In March 2023, Derek recommended Harold reallocate \$200,000 from a high-quality intermediate bond fund into a diversified dividend growth equity fund, reasoning that Harold's stated moderate risk tolerance and long time horizon supported a growth tilt, and that rising interest rates were eroding the bond position's value. The equity fund subsequently lost 12% over six months. Ellen discovered the trade in September 2023 and filed a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, there were violations, but responsibility is shared among multiple parties and the analysis is layered. First, Derek Kim violated his fiduciary duty under the Investment Advisers Act of 1940 (since the account was advisory, not brokerage) by failing to exercise reasonable care in updating Harold's client profile. Under SEC guidance and the fiduciary standard applicable to investment advisers, an advisor has an ongoing duty to ensure that investment advice is suitable and in the client's best interest based on current and accurate client information. A 79-year-old client's '10+ year' time horizon designation - set 11 years earlier - should have been critically evaluated regardless of internal compliance guidance about not altering profiles. The firm's compliance guidance created a conflict, but an advisor's fiduciary duty to the client supersedes internal administrative convenience policies. Derek had an independent obligation to gather updated information (see SEC Interpretive Release IA-5248, Commission Interpretation Regarding Standard of Conduct for Investment Advisers, June 2019). Second, the firm (Ridgeline Wealth Management) violated its supervisory obligations by failing to establish reasonable procedures to transmit Ellen's POA-holder concerns about cognitive decline to the new servicing advisor. Under FINRA Rule 3110 (supervision) and the firm's obligations under FINRA Rule 2165 (Financial Exploitation of Specified Adults), the firm should have had systems to flag trusted contact person or POA holder communications regarding potential diminished capacity and ensure incoming advisors were informed. The failure to relay Ellen's December 2022 call to Derek deprived him of material information. Third, the specific recommendation to shift \$200,000 (approximately 17% of the portfolio) from bonds to equities for a 79-year-old client with potential cognitive decline concerns was inconsistent with the heightened care required for senior investors. Even accepting a moderate risk tolerance at face value, shifting a substantial allocation from fixed income to equities for an elderly client without updated suitability information and without contacting the POA holder who had expressed concerns constitutes a failure of the duty of care. The investment loss itself is not the violation - the process failures are.

Common Wrong Answer

No violation by Derek - he followed the firm's compliance guidance not to alter client profiles unilaterally, Harold appeared lucid and consented to keeping his portfolio the same, and the recommendation to shift into dividend growth equities was reasonable for a moderate-risk client with a long time horizon. Any fault lies solely with the firm for not forwarding Ellen's call.

Why Adversarial

This scenario creates multiple traps: (1) The internal compliance guidance gave Derek seemingly legitimate cover for not updating the profile, which a general LLM might accept as exculpatory; (2) The multi-party nature means a simplistic 'Derek violated / didn't violate' analysis misses the firm's independent supervisory failures; (3) Harold himself appeared lucid and expressly asked to keep things the same, which seems like informed client direction but doesn't excuse the advisor's independent duty to verify the reasonableness of a stale profile; (4) The account is advisory (fee-based), not brokerage, so the applicable standard is the Advisers Act fiduciary duty rather than Reg BI - many LLMs conflate these; (5) Ellen's POA call was logged but not relayed, creating an information asymmetry that a model might blame on the firm alone while absolving Derek, when in fact Derek's independent obligation to update the profile would have surfaced the issue regardless.

Applicable Standard

Investment Advisers Act of 1940 § 206 (fiduciary duty); SEC Interpretive Release IA-5248 (June 5, 2019) - Commission Interpretation Regarding Standard of Conduct for Investment Advisers; FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 3110 (Supervision); FINRA Rule 4512(a)(1)(F) (Trusted Contact Person); FINRA Regulatory Notice 07-43 (Senior Investors); NASAA Model Rule on Financial Exploitation of Vulnerable Adults

Adversarial Hypothetical 79

Topic: speculative_for_conservative_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Tully, age 72, retired schoolteacher, opened a brokerage account on March 15, 2019 with Clearwater Securities. Her account documents listed her investment objective as 'income and capital preservation,' risk tolerance as 'low,' annual income of \$38,000 from pension and Social Security, liquid net worth of \$310,000, and investment time horizon of 5-10 years. Her account was a traditional IRA rollover from her former employer's 403(b) plan. Between March 2019 and May 2020, her advisor, Daniel Kowalski, invested her portfolio in a mix of investment-grade corporate bond funds (60%), Treasury ETFs (25%), and a dividend-focused large-cap equity fund (15%). In June 2020, Kowalski recommended that Margaret move 30% of her portfolio - approximately \$95,000 - into a leveraged inverse ETF that bet against the S&P 500, arguing that the post-COVID market rally was unsustainable and a crash was imminent. He presented her with a one-page research summary he had written himself, projecting a 40% market decline by year-end 2020. Margaret, frightened by recent market volatility and trusting Kowalski's analysis, agreed and signed a trade confirmation acknowledging the transaction. Kowalski had previously passed the Series 7 and Series 66 examinations. Clearwater Securities had an internal policy requiring supervisory pre-approval for any leveraged or inverse ETF purchases exceeding \$25,000, but Kowalski's branch manager, Lisa Fontaine,

was on medical leave from May through August 2020. The firm had designated an acting supervisor, Robert Hess, who had been notified of his temporary duties via email but had not reviewed any pending trades during this period. The leveraged inverse ETF lost 52% of its value by December 2020, reducing Margaret's \$95,000 position to approximately \$45,600. Margaret's remaining portfolio in bonds and dividend funds gained approximately 6% during the same period. Margaret filed a complaint in February 2021, alleging the recommendation was inappropriate for her profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a clear violation on multiple levels. First, regarding the applicable standard: Margaret's IRA account was opened in March 2019 and the recommendation was made in June 2020. Regulation Best Interest (Reg BI), adopted by the SEC under Exchange Act Rule 15l-1, became effective on June 30, 2020. The recommendation was made in June 2020 - the exact timing matters critically. If the recommendation was made before June 30, 2020, the FINRA suitability standard under Rule 2111 applies; if on or after June 30, the Reg BI standard under Rule 15l-1 applies. Under either standard, the recommendation fails. Under FINRA Rule 2111 (suitability), there are three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The recommendation fails customer-specific suitability because a leveraged inverse ETF is a speculative, complex, short-term trading instrument wholly inconsistent with a 72-year-old conservative investor's stated objectives of income and capital preservation, low risk tolerance, and limited liquid net worth. Under Reg BI, the Care Obligation (Rule 15l-1(a)(2)(ii)) requires that the broker exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest considering her investment profile. A 30% allocation to a leveraged inverse product for this customer profile cannot satisfy this standard. Additionally, FINRA Rule 2360 and Regulatory Notices 09-31 and 09-73 specifically warn that leveraged and inverse ETFs are generally unsuitable for retail investors with holding periods longer than one trading day due to the effects of daily rebalancing and compounding decay. Kowalski's own research summary projecting a year-end decline suggests he intended a multi-month hold, which is itself contrary to the product's design. The supervisory failure compounds the violation: FINRA Rules 3110 and 3120 require firms to establish and maintain supervisory systems. Clearwater's internal policy requiring pre-approval for leveraged ETF trades over \$25,000 was not followed because the acting supervisor never reviewed trades. Under FINRA Rule 3110(a), the firm must reasonably ensure supervisory duties are discharged even when personnel changes occur. This represents both an individual advisor violation and a firm supervisory failure.

Common Wrong Answer

A general LLM would likely state this is a violation but apply only Reg BI without recognizing the temporal boundary issue, miss the specific FINRA guidance on leveraged/inverse ETFs and daily rebalancing decay, and fail to analyze the supervisory system breakdown as a separate violation. Some models might also give partial credit for the advisor's research and the client's written consent, incorrectly treating these as mitigating factors.

Why Adversarial

This scenario is adversarial because of the temporal trap at its core: the recommendation occurred in June 2020, right at the boundary of Reg BI's effective date of June 30, 2020. A general LLM might confidently

apply Reg BI without recognizing that the exact date within June matters - if the recommendation was made on, say, June 15, then FINRA Rule 2111 suitability applies, not Reg BI. The scenario deliberately leaves the exact June date ambiguous, forcing sophisticated analysis of both standards. Many LLMs will also miss the specific regulatory guidance about leveraged/inverse ETFs being unsuitable for holding periods beyond one day, and will overlook the compounding supervisory failure dimension. The fact that Kowalski conducted his own research and the client consented in writing might trick models into finding partial compliance.

Applicable Standard

FINRA Rule 2111 (Suitability) if recommendation predates June 30, 2020; SEC Regulation Best Interest (Exchange Act Rule 15l-1) if on or after June 30, 2020; FINRA Regulatory Notices 09-31 and 09-73 (guidance on leveraged and inverse ETFs); FINRA Rule 2360 (Options and leveraged products); FINRA Rules 3110 and 3120 (Supervisory Systems and Responsibilities); SEC Exchange Act Section 15(l)

Adversarial Hypothetical 80

Topic: overconcentration_single_stock | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Victor Sandoval, age 48, is a senior software engineer at Meridian Technologies, a publicly traded company with a \$14 billion market cap. Victor earns \$285,000 annually, has a total net worth of approximately \$2.8 million, and considers himself a sophisticated investor, having traded options on his own for over 10 years. He holds a significant position in Meridian Technologies stock - approximately 150,000 shares worth roughly \$1.95 million - mostly acquired through employee stock purchase plans and vested RSUs over his 16-year tenure. This Meridian position represents about 70% of his total net worth. In January 2023, Victor opened a new brokerage account at Hargrove & Partners, a mid-sized broker-dealer, and transferred all his Meridian shares into the account. His new advisor, Priya Anand, conducted a thorough initial consultation. Victor's account application stated his investment objective as 'growth,' risk tolerance as 'high,' time horizon as '20+ years,' and annual income and net worth as described above. Priya documented in her internal notes that she discussed concentration risk at length during their initial meeting, noting: 'Client is aware that 70% of net worth is in MRDN stock. Discussed tax-loss harvesting and diversification strategies. Client stated he has deep conviction in the company's product pipeline and explicitly declined to reduce his position at this time. Client provided specific reasons including upcoming product launches in Q3 2023 and a new government contract he believes will be announced.' Victor also sent a follow-up email on January 22, 2023, stating: 'To confirm our discussion - I do not want to sell any Meridian shares. I understand the concentration risk and accept it. I've worked here for 16 years and know this company better than any analyst. Please focus any new investments on growth-oriented tech stocks for the remaining 30% of my portfolio.' Over the next 11 months, Priya invested Victor's remaining \$850,000 in a diversified portfolio of growth-oriented technology ETFs and individual tech stocks, achieving a 22% return on that portion. She did not recommend any sales of Meridian stock, nor did she raise the concentration issue again after the initial meeting. In November 2023, Meridian Technologies disclosed an accounting irregularity, and the stock dropped 61% over three weeks. Victor's Meridian position fell from \$1.95 million to approximately \$760,000, reducing his total net worth from \$2.8 million to roughly \$1.6 million. Victor filed a complaint alleging Priya should have more aggressively pushed him to diversify and that the overconcentration

constituted a violation of her duties.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a close case, but Priya likely did NOT violate the applicable suitability or best interest standards, though her compliance was not perfect and the case presents genuine risk. Under Regulation Best Interest (SEC Rule 15l-1), which applies to this January 2023 recommendation context, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill and to consider reasonably available alternatives. Critically, however, Reg BI and FINRA Rule 2111 both apply to 'recommendations' - and here, Priya made no recommendation to buy additional Meridian stock. The concentrated position was an existing holding that Victor brought to the firm. The key question is whether Priya had an obligation to affirmatively recommend selling the concentrated position. Under FINRA Rule 2111, the suitability obligation is triggered by a 'recommendation.' An explicit decision not to recommend a sale - a so-called 'hold' recommendation - can trigger suitability obligations under FINRA Rule 2111 as amended by FINRA Regulatory Notice 12-25, which clarified that explicit hold recommendations are covered. However, Priya's situation is nuanced: she raised the concentration issue during the initial meeting, documented it, discussed diversification strategies, and Victor explicitly and in writing declined to reduce the position, providing specific substantive reasons. Under FINRA Regulatory Notice 12-55, when a customer directs a transaction (or in this case, directs the maintenance of a position) over the advisor's documented discussion of risks, the advisor has substantially mitigated her suitability exposure. Victor's profile - high risk tolerance, high income, sophisticated investor with domain expertise in the company, and 20+ year horizon - also supports that the concentrated position, while risky, was not per se unsuitable for this particular customer. The fact that Priya invested the remaining 30% appropriately further demonstrates care. The potential weakness in Priya's compliance is that she did not revisit the concentration issue after the initial meeting. Best practices and FINRA guidance suggest ongoing monitoring and periodic re-engagement on material risks. However, this falls more into a supervisory and best-practices gap than a clear suitability violation, particularly given that Victor's written instruction was emphatic. On balance, this is likely not a violation, though a regulatory examiner might criticize the failure to periodically re-raise the issue.

Common Wrong Answer

A general LLM would most likely conclude this is a clear violation, reasoning that allowing a 70% concentration in a single stock is inherently unsuitable regardless of client direction, and that the advisor had a duty to refuse to maintain the account in that condition. Models would likely cite the magnitude of the loss as evidence of the violation (outcome bias) and fail to properly weigh the client's written direction, sophistication, high risk tolerance, and the advisor's documented initial discussion. Some models might also incorrectly state that Reg BI or suitability rules impose an absolute prohibition on concentrated positions regardless of client profile and instructions.

Why Adversarial

This scenario is adversarial because it features a genuinely dangerous concentration (70% in a single stock) that resulted in massive losses, which creates strong outcome bias - most models will see the bad result and conclude there must have been a violation. The trap is that the advisor actually did discuss the risk, documented it, and the client explicitly and in writing refused to diversify with substantive reasons. A general LLM must navigate the distinction between a 'recommendation' (which triggers suitability/Reg BI)

and a client-directed decision to maintain an existing position. The client's sophistication, high risk tolerance, insider knowledge of the company, and written directive all cut against a finding of violation. Models must also grapple with whether a failure to periodically revisit the concentration discussion constitutes a separate violation - a subtle point most LLMs will either ignore or overweight.

Applicable Standard

SEC Regulation Best Interest (Exchange Act Rule 15l-1), particularly the Care Obligation under Rule 15l-1(a)(2)(ii); FINRA Rule 2111 (Suitability), including customer-specific suitability; FINRA Regulatory Notice 12-25 (extending suitability to explicit hold recommendations); FINRA Regulatory Notice 12-55 (guidance on customer-directed transactions and suitability); FINRA Rule 2090 (Know Your Customer); FINRA Rule 3110 (Supervision)

Adversarial Hypothetical 81

Topic: reverse_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

Margaret Okafor, age 72, retired schoolteacher with \$410,000 in savings, approached Ridgemont Wealth Partners in January 2020. Her advisor, Daniel Voss, recommended she move her assets from a commission-based brokerage account at her prior firm into a fee-based advisory account at Ridgemont charging 1.25% annually (\$5,125/year). Margaret described herself as conservative, wanting to preserve capital and generate modest income for living expenses. She told Voss she did not want frequent changes to her portfolio and preferred a 'set it and forget it' approach. Voss constructed a portfolio of 60% intermediate-term bond funds, 25% dividend-paying blue chip ETFs, and 15% in a money market fund. Over the next 30 months (through June 2022), Voss made exactly 4 trades in the account: one initial rebalance in March 2020 during the COVID downturn (selling some equity ETFs and buying more bonds), one small rebalance in September 2020 (shifting 3% from money market into a bond fund), one trade in January 2021 replacing one bond ETF with a nearly identical one from a different provider with a 2 basis point lower expense ratio, and one rebalance in December 2021 shifting 2% from equities back to bonds. The account generated \$287 in total commissions-equivalent trade costs over 30 months. In a commission-based account at her prior firm, Margaret's identical strategy would have cost approximately \$1,200 in upfront commissions and \$0 in ongoing advisory fees over the same period. Instead, Margaret paid \$12,812.50 in advisory fees over the 30 months. Voss documented in his notes that the fee-based account provided Margaret with 'ongoing monitoring, quarterly performance reports, access to Ridgemont's proprietary research portal, annual financial planning reviews, and rebalancing as needed.' Margaret attended two annual reviews (one in January 2021, one in January 2022) and never logged into the research portal. She filed a complaint in August 2022 alleging Voss parked her money and charged excessive fees for doing almost nothing.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is likely a violation - reverse churning. While the analysis is nuanced, the facts strongly support a

finding that placing Margaret in a fee-based account was not in her best interest given her stated preferences, conservative strategy, and minimal trading activity. Under FINRA Rule 2111 (Suitability) and its customer-specific obligation, an advisor must have a reasonable basis to believe a recommendation is suitable for the particular customer. Under Regulation Best Interest (which applied after June 30, 2020 and thus covers most of the relevant period), the Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires a broker-dealer to exercise reasonable diligence, care, and skill to understand the potential costs and risks of a recommendation in light of the customer's investment profile, and to have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering reasonably available alternatives. The cost comparison is stark: \$12,812.50 in fee-based charges versus approximately \$1,200 in commission-based charges for the same strategy - a ratio exceeding 10:1. The 4 trades over 30 months confirm Margaret's buy-and-hold preference. The 'additional services' defense - monitoring, quarterly reports, research portal access, annual reviews - is weakened by the fact that Margaret only used two annual reviews and never accessed the research portal. The quarterly reports are largely automated. While ongoing monitoring has value, FINRA has made clear in Regulatory Notices 03-68 and 12-25 that fee-based accounts may be unsuitable when trading activity is so low that the ongoing fees substantially exceed what commissions would have been, and the additional services are not meaningfully utilized by the customer. The initial recommendation in January 2020 fell under FINRA Rule 2111; after June 30, 2020, Reg BI's Care Obligation applied to any subsequent recommendation to maintain the account type. Voss's documentation of services, while showing some diligence, does not overcome the massive cost disparity and the client's minimal engagement with the purported value-added services.

Common Wrong Answer

No violation. The advisor documented comprehensive services including ongoing monitoring, quarterly reports, research access, annual reviews, and periodic rebalancing. The fee-based account provided Margaret with continuous professional oversight appropriate for a 72-year-old retiree, and the low trading frequency actually demonstrates prudent management rather than neglect. The advisor fulfilled his advisory obligations.

Why Adversarial

A general LLM would likely focus on Voss's documented services (monitoring, reports, reviews, rebalancing) and the fact that he did perform some trades and annual reviews, concluding this was compliant advisory behavior. The trap is that the quantitative cost disparity (over 10:1) is so extreme that the ancillary services cannot reasonably justify the fee-based structure, especially when the client barely used them. Many LLMs also struggle with the specific concept of reverse churning because they are trained more on traditional churning (excessive trading) and may not recognize that insufficient trading in a fee-based account is equally problematic. Additionally, the temporal element - the standard shifting from FINRA suitability to Reg BI midway through the period - adds complexity most models will miss.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically the customer-specific suitability obligation; Regulation Best Interest (17 CFR § 240.15l-1), particularly the Care Obligation under Rule 15l-1(a)(2)(ii)(B); FINRA Regulatory Notice 03-68 (discussing fee-based accounts and reverse churning concerns); FINRA Regulatory Notice 12-25 (additional guidance on suitability for account types); FINRA Rule 2090 (Know Your Customer)

Adversarial Hypothetical 82*Topic: market_timing_unsuitable | Type: client_direction_trap | Difficulty: hard*

Fact Pattern

Trevor Langford, age 45, senior software engineer earning \$285,000 annually, maintained an account with Bayside Financial Services with a total portfolio value of \$1.8 million. His stated investment objectives on file were 'growth' with a 'moderate-to-aggressive' risk tolerance and a 20-year time horizon. Trevor was a self-described 'market enthusiast' who spent considerable time reading financial news, watching market commentary, and tracking economic indicators. In March 2023, Trevor called his advisor, Priya Deshmukh, and instructed her to liquidate his entire equity portfolio - approximately \$1.4 million across 12 diversified equity mutual funds and ETFs - and move everything into a money market fund. He said he was 'certain' a major market crash was coming within 60 days based on yield curve data, manufacturing PMI numbers, and several economic indicators he had been studying. He told Priya he wanted to wait out the crash and re-enter the market at lower prices. Priya asked clarifying questions: Had his financial situation changed? No. Had his goals changed? No. Had his risk tolerance changed? No - he said he was still aggressive, just 'being smart about timing.' Priya explained that historically, market timing strategies have underperformed buy-and-hold approaches in the vast majority of cases. She noted the transaction costs and potential tax consequences - approximately \$87,000 in estimated capital gains taxes that would be triggered. She emailed Trevor a summary of these concerns and a link to three research articles from reputable financial institutions about the risks of market timing. Trevor responded by email: 'I understand the risks. I've done my own research. Please execute the trades. This is my final decision.' Priya documented their conversation, saved Trevor's email, placed a note in his file summarizing her warnings and his insistence, and then executed the liquidation as instructed. The market did not crash. By the time Trevor re-entered the market in August 2023, the S&P 500 had risen approximately 12%, and Trevor missed roughly \$168,000 in gains in addition to the \$87,000 tax hit. Trevor filed a complaint alleging Priya should have refused to execute the trades.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No violation. This is a case where the advisor acted properly despite the client's poor decision. The critical distinction is between a 'recommendation' by the advisor and an 'unsolicited order' initiated by the client. Under FINRA Rule 2111, the suitability obligation applies to recommendations made by the broker-dealer or associated person. When a customer directs a specific transaction on an unsolicited basis, the suitability rule generally does not apply to that transaction. Under Regulation Best Interest (17 CFR § 240.15l-1), the obligations similarly attach to 'recommendations' - not to unsolicited customer-directed trades. Here, Trevor initiated the strategy entirely on his own based on his personal research. Priya made no recommendation; in fact, she actively discouraged the strategy. She fulfilled her professional obligations by: (1) asking whether his investment profile had changed (it had not - confirming this was a market-timing call, not a change in circumstances); (2) explaining the risks of market timing with specific reference to historical data; (3) identifying the concrete financial consequences (\$87,000 in capital gains taxes); (4) providing educational resources; (5) documenting the conversation, her warnings, and his written insistence; and (6) marking the trades as unsolicited. FINRA Rule 2090 (Know Your Customer) was satisfied as she confirmed

his profile was unchanged. Once a customer, after being fully informed of the risks and costs, insists on directing trades that do not involve prohibited products or manipulative activity, the broker is generally required to execute the customer's instructions. Refusing to execute lawful customer orders could itself create liability. Priya's conduct represents a model of how to handle client-directed unsuitable strategies: educate, warn, document, and execute with proper notation.

Common Wrong Answer

Violation. The advisor knew the market timing strategy was inconsistent with Trevor's stated investment objectives, risk tolerance, and time horizon. Despite this knowledge, she executed \$1.4 million in liquidations that triggered \$87,000 in unnecessary taxes and resulted in \$168,000 in missed gains. The advisor should have refused to execute trades that were clearly unsuitable for the client's profile, regardless of client insistence. Her duty to act in the client's best interest superseded the client's uninformed desire to time the market.

Why Adversarial

This is a client direction trap. A general LLM is likely to reason that because the strategy was clearly unsuitable for Trevor's stated profile (aggressive growth, 20-year horizon, no change in circumstances), the advisor had a duty to refuse. Many LLMs conflate the advisor's duty when making recommendations with situations involving unsolicited client orders. The massive financial harm (\$168,000 in missed gains plus \$87,000 in taxes) creates a strong intuitive pull toward finding a violation. Additionally, LLMs often apply the suitability standard too broadly, not recognizing that it only attaches to recommendations, not customer-directed trades. The fact that Trevor's own stated objectives contradicted his instructions makes it seem like the advisor should have intervened more forcefully, but the law does not require advisors to override informed client decisions on lawful transactions.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically the distinction between recommended and unsolicited transactions; FINRA Rule 2111 Supplementary Material .03 (suitability obligation applies only to recommended transactions); Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation applies to recommendations, not unsolicited orders; FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-25 (discussing scope of suitability obligations); FINRA Rule 4512 (Customer Account Information - requiring proper order ticket marking as solicited or unsolicited)

Adversarial Hypothetical 83

Topic: alternative_investments_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Hollis at Pinnacle Wealth Partners recommended a non-traded real estate investment trust (REIT) to his client, Margaret Yuen, age 71, a retired school principal with a \$1.4 million portfolio. Margaret's stated investment objectives were income and preservation of capital. She had a moderate risk tolerance, a 10-year investment horizon, and was drawing \$4,200 per month from her portfolio to supplement her pension. Her liquid net worth was \$1.4 million, and her annual income from all sources (pension, Social Security) was \$62,000. Derek conducted extensive due diligence on the

non-traded REIT, named Greystone Healthcare Properties III. He reviewed the prospectus, attended a due diligence seminar hosted by the sponsor, analyzed the underlying healthcare real estate portfolio (which consisted of 14 skilled nursing facilities and 6 medical office buildings), reviewed the sponsor's track record across two prior offerings that had successfully liquidated at gains, and prepared a written memo summarizing his findings. He concluded the product was sound and offered an attractive 6.8% distribution yield. He recommended Margaret invest \$280,000 - exactly 20% of her portfolio - into the non-traded REIT. Pinnacle's internal policy permitted alternative investment concentrations up to 25% of liquid net worth for clients with moderate risk tolerance and above. The product had a minimum 5-year hold period with no guaranteed liquidity, and early redemption was limited to 5% of outstanding shares per quarter on a first-come-first-served basis, subject to board discretion. Margaret's remaining portfolio was allocated 45% to investment-grade bonds, 25% to blue-chip dividend stocks, and 10% to a money market fund. Derek documented the recommendation, Margaret signed the alternative investment disclosure form, and the transaction was processed. Six months later, Greystone suspended its share redemption program and cut distributions by 40% due to rising interest rates impacting property valuations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the thorough due diligence. While Derek Hollis satisfied the reasonable-basis suitability obligation (FINRA Rule 2111.05(a)) by conducting genuine product-level due diligence on the non-traded REIT, he failed the customer-specific suitability obligation (FINRA Rule 2111.05(c)). Margaret Yuen is a 71-year-old retiree drawing \$4,200/month (\$50,400/year) from a \$1.4 million portfolio, meaning she depends on portfolio liquidity. Locking up \$280,000 (20%) in a non-traded REIT with a 5-year minimum hold, discretionary and capped redemption provisions, and no secondary market creates a significant liquidity mismatch for a client in the distribution phase of retirement. Under FINRA Regulatory Notice 09-09 (discussing non-traded REITs) and subsequent guidance in Regulatory Notice 10-22, firms and advisors must pay particular attention to the illiquid nature of these products relative to clients who may need access to funds. Additionally, under Regulation Best Interest (17 CFR § 240.15l-1), which was fully effective at the time of the March 2023 recommendation, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the risks of the recommendation in light of the customer's specific profile. The fact that Derek did thorough product-level research does not cure the deficiency: the product's illiquidity profile is fundamentally incompatible with Margaret's withdrawal needs. If Margaret needed to access the REIT funds during the suspended redemption period, she would face a severe liquidity crisis, potentially forcing her to liquidate other holdings at inopportune times. The 20% concentration, while within firm policy limits, does not automatically establish suitability - firm thresholds are ceilings, not safe harbors. FINRA has consistently held in enforcement actions that adherence to internal concentration limits does not immunize an advisor from a suitability finding where the customer's individual circumstances warrant a lower concentration.

Common Wrong Answer

No violation. The advisor conducted thorough due diligence, the allocation was within the firm's approved concentration limits, the client had moderate risk tolerance and a 10-year horizon, the product offered attractive income consistent with her objectives, and all disclosures were properly executed.

Why Adversarial

This scenario is adversarial because the advisor did everything that appears compliant on the surface: extensive product-level due diligence, written documentation, client disclosure signatures, and adherence to the firm's internal concentration policy. A general-purpose LLM is likely to weigh the thorough due diligence heavily and conclude no violation occurred, especially since the 20% allocation was below the firm's 25% cap. The trap is that reasonable-basis suitability and customer-specific suitability are independent obligations - satisfying one does not satisfy the other. The critical deficiency is the liquidity mismatch for a client in active retirement drawdown, which requires specific knowledge of how non-traded REIT suitability analysis works for income-dependent retirees.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically 2111.05(a) (reasonable-basis suitability), 2111.05(b) (quantitative suitability), and 2111.05(c) (customer-specific suitability); Regulation Best Interest (17 CFR § 240.15l-1) Care Obligation; FINRA Regulatory Notice 09-09 (Non-Traded REITs); FINRA Regulatory Notice 10-22 (Concentration Limits for Illiquid Securities)

Adversarial Hypothetical 84

Topic: bond_duration_mismatch | Type: temporal_trap | Difficulty: hard

Fact Pattern

On May 15, 2020, financial advisor Sandra Petrova at Continental Securities recommended that her client, William Harding, age 64, invest \$600,000 - approximately 55% of his \$1.1 million retirement portfolio - into a laddered portfolio of individual investment-grade corporate bonds with maturities ranging from 2 to 7 years. William was planning to retire at age 66 in May 2022, at which point he intended to begin systematic withdrawals of approximately \$3,500 per month. His risk tolerance was conservative, his investment objective was income with capital preservation, and he had no other significant liquid assets beyond a small emergency fund of \$40,000. Sandra constructed the ladder as follows: \$100,000 each in bonds maturing in 2022, 2023, 2024, 2025, 2026, and 2027. All bonds were rated A or higher. The weighted average duration of the portfolio was approximately 3.8 years. In November 2021, with interest rates still near historic lows, William called Sandra and told her he had received an inheritance of \$350,000 and wanted to add it to his bond portfolio. Sandra, noting that rates were likely to rise based on widely published Federal Reserve guidance, recommended that William invest the entire \$350,000 into a single 30-year Treasury bond yielding 1.95%, arguing that locking in a 'guaranteed government rate for decades' provided ultimate safety and that the bond would generate steady income of approximately \$6,825 per year. She noted on her recommendation form that the bond was 'suitable for conservative investors seeking safety.' William agreed and the purchase was executed on November 22, 2021. By December 2022, interest rates had risen sharply. The 30-year Treasury bond had lost approximately 33% of its market value, falling to roughly \$234,500. William, now retired and needing liquidity, found that selling the bond would crystallize a loss of approximately \$115,500. His total bond portfolio, including the laddered corporates (some of which had matured and been used for withdrawals as planned), was now significantly impaired on a mark-to-market basis, and his overall retirement plan was jeopardized.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and the temporal element is critical to the analysis. The initial laddered bond recommendation in May 2020 was suitable and well-constructed - it matched William's conservative objectives, his retirement timeline, and his liquidity needs through staggered maturities. However, the November 2021 recommendation to invest \$350,000 in a single 30-year Treasury bond was a clear violation of customer-specific suitability under FINRA Rule 2111, and critically, also violated Regulation Best Interest (17 CFR § 240.15l-1), which had become fully effective on June 30, 2020 - meaning the November 2021 recommendation was subject to the higher Reg BI standard, not merely the legacy suitability standard. Under Reg BI's Care Obligation, Sandra was required to exercise reasonable diligence, care, and skill in making the recommendation and to consider reasonably available alternatives. The 30-year Treasury, while nominally 'safe' from a credit perspective, carried extreme interest rate risk (duration of approximately 22 years), meaning a 1% rise in rates would cause roughly a 22% decline in market value. For a 65-year-old client six months from retirement who would need liquidity for monthly withdrawals, this duration exposure was grossly inappropriate. The fact that it was a U.S. Treasury bond does not cure the suitability deficiency - credit quality and price risk are distinct considerations, and FINRA has repeatedly noted that government bonds can be unsuitable when duration is mismatched to client needs. Sandra's own documentation noting the bond was 'suitable for conservative investors seeking safety' reflects a fundamental misunderstanding: safety from default risk is not the same as safety from market/interest rate risk. Under the Reg BI Care Obligation, she should have recommended shorter-duration instruments or extended the existing ladder strategy, which had been working appropriately. The concentration of \$350,000 in a single long-duration instrument also raises concerns under the quantitative suitability component.

Common Wrong Answer

No violation. The advisor recommended a U.S. Treasury bond, which is the safest possible fixed-income investment and appropriate for a conservative investor seeking safety and income. The original laddered portfolio was well-designed, and adding a government bond was a reasonable extension of a conservative strategy. The subsequent loss was due to unforeseeable market conditions.

Why Adversarial

This scenario contains multiple traps. First, the temporal trap: the initial recommendation in May 2020 occurred when Reg BI had just taken effect (June 30, 2020), but the problematic recommendation occurred in November 2021, squarely under Reg BI. An LLM might apply the older suitability-only framework to both transactions or fail to note the different applicable standard. Second, the 'Treasury bond = safe' heuristic is a common knowledge trap - many LLMs associate U.S. Treasury securities with safety and may conclude no violation occurred because the advisor recommended a government bond to a conservative client. The critical nuance is that duration risk in long-dated Treasuries can be enormous and entirely inappropriate for a near-retiree needing liquidity, even though credit risk is zero. Third, the initial recommendation was genuinely good, which may bias the model toward concluding the advisor is generally competent and compliant.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), effective June 30, 2020 - specifically the Care Obligation requiring reasonable diligence, care, and skill and consideration of reasonably available alternatives; FINRA Rule 2111 (Suitability), including customer-specific suitability under Rule 2111.05(c); FINRA

Regulatory Notice 12-03 (Know Your Customer and Suitability, discussing complex products and interest rate risk); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 85

Topic: *leveraged_etf_unsuitable* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Huang, age 58, is a semi-retired schoolteacher with a \$420,000 rollover IRA account at Pinnacle Financial Services. Her stated investment objectives on her account opening documents from March 2019 were 'growth and income' with a 'moderate' risk tolerance. She had 12 years of investing experience, primarily in mutual funds and blue-chip stocks, and listed her annual income as \$52,000 with a liquid net worth of \$380,000. On June 3, 2019, her advisor, Derek Simmons, recommended she invest \$63,000 (15% of her account) in a 3x leveraged bull ETF tracking the S&P 500. Simmons had attended a one-hour webinar on leveraged ETFs two weeks prior and documented in his notes that he believed the S&P 500 would rise steadily over the next 18-24 months based on macroeconomic indicators. He told Margaret the product would 'triple the gains of the S&P 500 over time' and recommended she hold it as a long-term position within her retirement account. He documented her verbal agreement and noted that 15% was a 'reasonable allocation' for a growth component. Margaret held the position for 14 months. During that period, the S&P 500 experienced significant volatility including a 34% drawdown in March 2020 followed by a recovery. Despite the S&P 500 returning approximately 12% over the full 14-month period, Margaret's leveraged ETF position lost approximately 8% of its value due to volatility decay and the compounding reset mechanism. Simmons never contacted Margaret to discuss the position during the holding period and conducted no interim reviews of the leveraged ETF allocation. On July 15, 2020, the firm adopted a new internal policy requiring enhanced suitability reviews for all leveraged products, including mandatory 90-day check-ins. The firm's compliance department flagged Margaret's account in September 2020 during a routine review.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek Simmons violated applicable suitability requirements at the time of the recommendation in June 2019 and the ongoing implicit recommendation to hold thereafter. Under FINRA Rule 2111 (Suitability), which was the controlling standard for broker-dealer recommendations to retail customers in June 2019 (prior to the full compliance date of Regulation Best Interest on June 30, 2020), three components applied: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Simmons failed reasonable-basis suitability because his understanding of the 3x leveraged ETF was fundamentally flawed - he described it as tripling the S&P 500's returns 'over time,' when leveraged ETFs are designed to achieve their leverage ratio on a daily basis only and are subject to volatility decay over longer holding periods. A one-hour webinar is insufficient diligence for a complex product. FINRA Regulatory Notice 09-31 specifically warned that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, and that sales personnel must understand the products' reset features before recommending them. He also failed customer-specific suitability: Margaret was a 58-year-old

near-retiree with moderate risk tolerance and growth-and-income objectives in a retirement account. A 3x leveraged equity ETF in a retirement account is inconsistent with these parameters. After June 30, 2020, Regulation Best Interest (17 CFR § 240.15l-1) applied, imposing the Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations. The implicit recommendation to continue holding the leveraged ETF after June 30, 2020, also failed this standard, as the advisor conducted no review whatsoever during the holding period. The firm's July 2020 internal policy is not dispositive but underscores that even the firm recognized enhanced oversight was needed. The temporal element is critical: the recommendation originated under FINRA Rule 2111 and violated it, and the continued holding crossed into the Reg BI period and violated the Care Obligation as well.

Common Wrong Answer

A general LLM might answer that this was compliant at the time of the recommendation under pre-Reg BI suitability standards because: (1) the 15% allocation seems reasonable for a growth component, (2) Margaret had 12 years of investing experience, (3) she verbally agreed, (4) the advisor documented his rationale, and (5) the firm's enhanced policy didn't take effect until July 2020. Some models might only find a violation under the firm's internal policy rather than identifying the independent regulatory violations under both Rule 2111 and Reg BI.

Why Adversarial

This scenario spans the transition from FINRA Rule 2111 suitability to Regulation Best Interest (effective June 30, 2020). A general LLM might incorrectly apply only one standard or the other, might think the firm's July 2020 internal policy change is the operative compliance date rather than Reg BI's compliance date, or might focus on the firm's policy as the standard rather than the federal and SRO rules. The trap also involves whether the 14-month hold constitutes an ongoing implicit recommendation that bridges both regulatory regimes. Additionally, the 15% allocation and Margaret's 12 years of experience might seem to mitigate the violation, when in fact the core problem is the fundamental misunderstanding of the product and the long-term hold recommendation regardless of allocation size.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components (reasonable-basis, customer-specific, quantitative); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation under Rule 15l-1(a)(2)(ii); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 86

Topic: leveraged_etf_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Ryan Castellano, age 34, is a software engineer earning \$195,000 annually with a liquid net worth of \$610,000 and a total net worth of \$1.1 million. He maintains a taxable brokerage account at Trident Wealth Advisors with \$290,000 in assets. His account profile lists his investment objective as 'aggressive growth,' his risk tolerance as 'high,' and his time horizon as '20+ years.' Ryan has been actively trading options and individual stocks for seven years and subscribes to multiple financial research services. In February 2024,

Ryan emailed his advisor, Lisa Park, a detailed three-page analysis he had written explaining why he wanted to invest \$43,500 (15% of his brokerage account) in a 2x leveraged ETF tracking the semiconductor sector. His analysis discussed daily reset mechanics, volatility drag, the potential for tracking error over holding periods beyond one day, and his plan to actively monitor and rebalance the position every two weeks based on a momentum signal he had backtested. He explicitly stated he understood 'this is not a buy-and-hold product' and that he could lose significantly more than an unleveraged position. Lisa Park reviewed his email carefully, confirmed his account profile was up to date, verified his liquid net worth and income, and then had a 40-minute phone call with him during which she walked through worst-case scenarios including a 40% drawdown in the semiconductor sector and explained that with 2x leverage, that could mean a 60-70% loss in the ETF position factoring in compounding effects. She documented the call in her CRM notes, including Ryan's responses demonstrating comprehension. She also provided him the ETF's prospectus and a separate leveraged ETF risk disclosure document, both of which Ryan signed and returned. Lisa then executed the purchase. Over the following four months, Ryan rebalanced the position three times as planned, ultimately selling the entire position in June 2024 for a \$6,200 loss. He filed no complaint. The firm's compliance department reviewed the trade during a routine audit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Lisa Park did not violate suitability or best interest requirements. Under Regulation Best Interest (17 CFR § 240.15l-1), which governs broker-dealer recommendations to retail customers as of June 30, 2020, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the product, understand the customer's investment profile, and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Lisa satisfied reasonable-basis suitability (she clearly understood the product's mechanics and discussed worst-case scenarios accurately), customer-specific suitability (Ryan is a young, high-income, high-net-worth aggressive investor with extensive trading experience, a long time horizon, and the position represented only 15% of one account which itself is a fraction of his total net worth), and the recommendation was consistent with his stated objectives. Under FINRA Regulatory Notice 09-31, while leveraged ETFs are generally unsuitable for long-term buy-and-hold retail investors, the notice does not categorically prohibit recommendations of leveraged ETFs - it requires that the advisor have a reasonable basis for the recommendation given the customer's profile and that the customer understand the risks. Ryan demonstrated sophisticated understanding of daily reset, volatility drag, and compounding effects, both in his own written analysis and during the documented call. The Disclosure Obligation under Reg BI was satisfied through the prospectus delivery, the separate risk disclosure, and the detailed verbal discussion. The fact that the position ultimately lost money does not retroactively render the recommendation unsuitable - suitability is assessed at the time of the recommendation based on the information then available. Ryan's active monitoring and rebalancing plan, which he actually executed, is consistent with appropriate use of the product.

Common Wrong Answer

A general LLM would likely say this is a violation because: leveraged ETFs are 'inherently unsuitable for retail investors,' the position was held for four months which exceeds the one-day intended holding period, and the client lost money. Some models might also incorrectly state that the advisor should have refused to

execute the trade regardless of the client's sophistication, confusing the regulatory guidance (which warns about leveraged ETFs but does not ban them) with a categorical prohibition.

Why Adversarial

This is a client-direction trap where the client specifically requested a leveraged ETF product. Many LLMs are trained to flag any leveraged ETF recommendation as a violation, especially given the strong language in FINRA Regulatory Notice 09-31 about leveraged ETFs being unsuitable for most retail investors. The \$6,200 loss creates an outcome bias that may push models toward finding a violation. The trap is that everything was actually done correctly: the advisor understood the product, the client was genuinely sophisticated and appropriate for the product, proper disclosures were made, the holding strategy was appropriate (short-term with active rebalancing), and the allocation was reasonable relative to the client's overall financial picture. A model that applies a blanket rule that leveraged ETFs are always unsuitable will get this wrong.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), including the Care Obligation (Rule 15l-1(a)(2)(ii)) and Disclosure Obligation (Rule 15l-1(a)(2)(i)); FINRA Rule 2111 (Suitability) as interpretive guidance; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 87

Topic: reverse_churning | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Colwell, age 62, a retired school principal with \$620,000 in retirement savings, was a long-time client of broker David Fenton at Ridgemont Securities. From January 2015 through March 2019, Margaret's account was a traditional commission-based brokerage account. During those four years, she averaged 18-22 trades per year, generating approximately \$8,400 in annual commissions. Her portfolio consisted of a mix of blue-chip equities, municipal bonds, and a few actively managed mutual funds. In April 2019, David's firm announced it was transitioning many clients to fee-based advisory accounts, and David recommended that Margaret move to a wrap account charging 1.25% annually on assets under management. Margaret agreed, signing the new advisory agreement on April 15, 2019. From April 2019 through December 2023 - a span of nearly five years - Margaret's account saw the following trading activity: 2019 (remaining 9 months): 4 trades; 2020: 3 trades; 2021: 2 trades; 2022: 5 trades (minor rebalancing during market downturn); 2023: 1 trade. The annual advisory fee on her account averaged approximately \$7,900 per year (as her account value fluctuated between \$600,000 and \$660,000). Margaret received quarterly performance reports and had two phone calls per year with David, each lasting about 15 minutes. She was never offered financial planning services, tax analysis, or any other advisory service beyond the quarterly reports and brief calls. David did not document any change in Margaret's investment objectives, risk tolerance, or financial situation that would have warranted reduced trading. In fact, Margaret's circumstances remained essentially unchanged throughout. Before the conversion, her cost-to-equity ratio in the commission account was approximately 1.35%. After conversion, her effective cost in the fee-based account was approximately 1.25% but with dramatically fewer trades and minimal services. David's compliance department reviewed the account conversion in April 2019 and approved it, noting the fee

would be 'comparable to prior commission costs.' No subsequent review of the account's trading activity relative to the fee was ever conducted.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the applicable standard and analysis depend critically on the timeframe. For the initial conversion in April 2019, the account switch was evaluated under the legacy suitability standard (FINRA Rule 2111), which required that the recommendation to move to a fee-based account have a reasonable basis and be suitable for the customer. At the point of conversion, the recommendation appeared marginally defensible because the annual fee (approximately \$7,900) was comparable to her prior commission costs (\$8,400). However, under FINRA Rule 2111 and its supplementary materials, a recommendation to switch to a fee-based account when the advisor anticipates little to no trading activity constitutes 'reverse churning' - collecting ongoing fees without providing commensurate services or trading. David knew or should have known that Margaret's trading would decline dramatically in a fee-based account, particularly because he offered no additional advisory services to justify the ongoing fee. Starting June 30, 2020, Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1) became the governing standard for broker-dealer recommendations. Under Reg BI's Care Obligation, the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and must consider reasonably available alternatives, including the cost of the recommendation. The ongoing maintenance of Margaret in the fee-based account, to the extent any implicit or explicit recommendations to remain occurred (including at the point of each account review or re-enrollment), should have been evaluated under Reg BI after June 30, 2020. The dramatic reduction in trading (from 18-22 trades/year to 1-5 trades/year) with no compensating advisory services means the fee-based account was not in Margaret's best interest. The compliance department's one-time approval in April 2019 without subsequent review is also deficient under FINRA's supervisory obligations (FINRA Rule 3110). Additionally, FINRA Regulatory Notice 18-21 specifically warned firms about reverse churning in fee-based accounts and noted the obligation to monitor whether fee-based accounts remain appropriate over time. The failure to conduct any ongoing review compounds the violation.

Common Wrong Answer

No violation - the annual fee (\$7,900) was actually lower than the prior annual commissions (\$8,400), so the conversion saved the client money and was suitable/in her best interest. The compliance department also reviewed and approved the conversion.

Why Adversarial

This scenario spans the transition from the FINRA suitability standard to Reg BI (effective June 30, 2020). A general LLM would likely either (1) apply only one standard to the entire period, missing the temporal shift, (2) focus on the initial conversion and find it compliant because the costs were comparable, missing the reverse churning problem that developed over time, or (3) fail to recognize that the compliance department's one-time approval does not satisfy ongoing supervisory obligations. The near-equivalence of annual costs (\$7,900 fee vs. \$8,400 commissions) is a deliberate trap - it makes the conversion look reasonable at inception while obscuring the reverse churning that followed.

Applicable Standard

FINRA Rule 2111 (Suitability) for recommendations made before June 30, 2020; Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation and Cost component, for recommendations on or after June 30, 2020; FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 18-21 (guidance on reverse churning in fee-based accounts); FINRA Regulatory Notice 12-25 (FAQ on suitability, addressing account-type recommendations)

Adversarial Hypothetical 88

Topic: *illiquid_real_estate_investment* | Type: *reasonable_basis_trap* | Difficulty: *hard*

Fact Pattern

Carlos and Elena Montoya, both age 44, are dual-income professionals with a combined household income of \$340,000 per year. They have a net worth of approximately \$2.1 million, consisting of \$680,000 in 401(k) accounts, \$420,000 in a joint taxable investment account, their primary residence valued at \$750,000 (with \$310,000 remaining on the mortgage), and \$250,000 in cash savings. They have two children, ages 10 and 13, and plan to fund college educations starting in approximately 5 and 8 years. They listed their risk tolerance as 'moderate to aggressive' and their investment time horizon as 'long-term (10+ years)' on their new account forms. Their financial advisor, Priya Nair at Westbrook Wealth Partners, recommended they invest \$200,000 from their joint taxable account into a non-traded real estate investment trust (REIT) specializing in commercial office and retail properties. The REIT had a minimum 7-year hold period, no secondary market, and a stated target annual distribution of 6.5%. Priya conducted meaningful due diligence on the REIT: she reviewed the offering memorandum, analyzed the sponsor's 15-year track record (which showed consistent performance across prior vehicles), examined the property portfolio's geographic diversification across 12 states, reviewed third-party appraisals, and confirmed the sponsor had co-invested \$50 million of its own capital. She prepared a written suitability analysis documenting her research. Priya also confirmed that the Montoyas' state of residence permitted the sale of this product and that they met the accredited investor thresholds. After the investment, the \$200,000 represented approximately 47.6% of the Montoyas' joint taxable account and approximately 9.5% of their total net worth. Westbrook Wealth Partners' internal policy, documented in its compliance manual, stated that illiquid alternative investments 'should generally not exceed 50% of a client's liquid investable assets, excluding retirement accounts.' The Montoyas' liquid investable assets (taxable account of \$420,000 plus cash savings of \$250,000) totaled \$670,000, making the \$200,000 investment approximately 29.9% of liquid investable assets. Priya documented the concentration calculation relative to the firm's policy and noted the investment was within limits. The Montoyas acknowledged the illiquidity risks in writing and stated they understood they might not be able to access the capital for 7 or more years. The product paid Priya's firm a 7% upfront commission.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the thorough due diligence and compliance with the firm's internal concentration limit. While Priya conducted commendable product-level due diligence (satisfying a 'reasonable basis' suitability analysis under FINRA Rule 2111.04), she failed the 'customer-specific'

suitability prong. The Montoyas have college funding needs beginning in 5 years (approximately \$125,000-\$250,000 per child depending on institution), which creates a material medium-term liquidity need. Locking up \$200,000 - nearly half their taxable investment account - in a product with a minimum 7-year hold period directly conflicts with their need to access funds for college in 5 years. Under FINRA Rule 2111's customer-specific obligation, the advisor must consider the customer's 'other investments, financial situation and needs, tax status, investment objectives, and any other information the customer may have disclosed.' The time horizon listed as '10+ years' on the new account form pertains to overall retirement planning, but a competent advisor must also consider intermediate financial obligations. Under Regulation BI's Care Obligation (if applicable post-June 30, 2020), the advisor must consider 'reasonably available alternatives' - a traded REIT or other real estate fund with liquidity could have provided similar exposure without the lockup risk. Furthermore, while the investment was within the firm's 50% internal concentration limit for illiquid alternatives, many state securities regulators and product sponsors impose stricter concentration limits - commonly 10% of net worth or liquid net worth - for non-traded REITs specifically. At 9.5% of total net worth, this may technically satisfy some state thresholds, but the more relevant analysis under FINRA guidance (Regulatory Notice 10-22 on non-traded REITs and Regulatory Notice 15-02 on alternative investments) is whether the concentration is suitable given the customer's specific circumstances, not merely whether it clears a numerical threshold. The firm's internal policy using a 50% liquid asset threshold is unusually permissive and does not insulate the advisor from a suitability violation. The 7% upfront commission is also a red flag that should have prompted additional scrutiny of whether this product, versus lower-cost liquid alternatives, was truly in the clients' interest.

Common Wrong Answer

No violation - the advisor conducted thorough due diligence, the investment was within the firm's concentration limits at 29.9% of liquid assets (well under the 50% cap), the clients met accredited investor standards, acknowledged the illiquidity risk in writing, had moderate-to-aggressive risk tolerance with a long-term time horizon, and the investment represented less than 10% of total net worth.

Why Adversarial

This scenario is designed to appear compliant on multiple levels: thorough product due diligence, compliance with internal concentration limits, proper accredited investor verification, signed risk acknowledgments, and moderate-to-aggressive risk tolerance with a long time horizon. A general LLM would likely focus on these factors and conclude no violation occurred. The trap is that the advisor did extensive reasonable-basis research but failed the customer-specific analysis by ignoring the college funding timeline. The firm's internal 50% concentration limit is deliberately set high enough to be satisfied, creating a false sense of compliance. Most LLMs would not independently identify that the '10+ year' time horizon on the form conflicts with the 5-year college funding need, or that state-level non-traded REIT concentration standards are typically much stricter than the firm's internal policy.

Applicable Standard

FINRA Rule 2111 (Suitability) - particularly the customer-specific suitability obligation under Rule 2111.04 and .05; Regulation Best Interest (17 CFR § 240.15l-1) Care Obligation if post-June 30, 2020; FINRA Regulatory Notice 10-22 (guidance on due diligence for non-traded REITs); FINRA Regulatory Notice 15-02 (guidance on alternative investments including illiquidity risks and concentration); applicable state blue sky law concentration limits for non-traded REITs (commonly 10% of net worth excluding primary residence); FINRA Rule 2010 (Standards of Commercial Honor) as it relates to recommending products with outsized

commissions when liquid alternatives exist

Adversarial Hypothetical 89

Topic: *reverse_churning* | Type: *threshold_trap* | Difficulty: *expert*

Fact Pattern

Margaret Dalton, age 72, retired school administrator with \$620,000 in retirement savings, was contacted in January 2019 by her longtime broker, Kevin Rawlings, who had managed her brokerage account for 11 years. Kevin recommended she convert her commission-based brokerage account to a fee-based advisory account at the same firm, citing 'better ongoing service and financial planning.' Margaret agreed and signed the new advisory agreement on February 1, 2019, paying an annual wrap fee of 1.35% on assets under management (\$8,370 per year). Margaret's portfolio consisted of 60% in Treasury bonds, 25% in a broad S&P 500 index fund, and 15% in a money market fund - a conservative allocation she had maintained since 2016 and expressed no desire to change. Over the next 30 months (February 2019 through July 2021), Kevin made exactly four trades in the account: two Treasury bond reinvestments (rolling maturing bonds into new ones at similar maturities, totaling \$186,000 in face value), one rebalancing trade moving \$15,500 from the index fund back to the money market fund when the equity allocation drifted to 27%, and one \$9,000 withdrawal transfer Margaret requested. Kevin held two annual review meetings with Margaret, each lasting approximately 25 minutes, where he confirmed her existing allocation was appropriate and showed her a one-page portfolio summary. No financial plan was ever created. No tax analysis, estate planning, Social Security optimization, or insurance review was conducted. During the same 30-month period, had Margaret remained in her commission-based account, the total commissions on the identical four transactions would have been approximately \$740. Instead, she paid approximately \$20,925 in advisory fees. Margaret's neighbor, a retired accountant, noticed the fee discrepancy and filed a complaint on Margaret's behalf.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Kevin Rawlings engaged in 'reverse churning' - placing a client in a fee-based advisory account where the ongoing asset-based fee is disproportionate to the level of services actually provided. Under Regulation Best Interest (17 CFR § 240.15l-1), which took effect June 30, 2020, broker-dealers owe a best interest obligation when making recommendations, including the recommendation to switch account types. The Care Obligation component of Reg BI requires that the broker exercise reasonable diligence, care, and skill to understand the costs and risks of the recommendation and have a reasonable basis to believe the recommendation is in the client's best interest. Additionally, under FINRA Rule 2111 (Suitability), which applied from the account opening in February 2019 through June 29, 2020, the recommendation to switch account types must have a reasonable basis suitability, customer-specific suitability, and quantitative suitability. FINRA Regulatory Notice 13-23 specifically addresses the concern that moving buy-and-hold customers into fee-based accounts without providing corresponding advisory services constitutes a suitability violation. The cost-benefit analysis is devastating: \$20,925 in fees versus \$740 in hypothetical commissions over 30 months, a ratio of

approximately 28:1, with virtually no substantive advisory services rendered beyond two brief annual reviews and four minimal trades. The absence of any financial planning, tax analysis, estate planning, or other advisory services that would justify the ongoing fee demonstrates the account type was unsuitable. Under the Advisers Act Section 206(1) and (2), if Kevin was acting as an investment adviser during this period, the fiduciary duty would further require that the fee arrangement be in the client's best interest. The recommendation to convert account types was itself the violative act.

Common Wrong Answer

No violation - the advisor maintained a conservative, stable portfolio appropriate for a 72-year-old retiree, conducted annual reviews, and avoided excessive trading. The client voluntarily agreed to the fee-based account conversion. Low trading activity in a fee-based account demonstrates disciplined, buy-and-hold management rather than any misconduct.

Why Adversarial

This scenario is adversarial because the advisor did not engage in traditional churning (excessive trading) - in fact, trading was minimal and conservative. A general LLM might focus on the low trading activity as evidence of prudent management and miss that the violation is precisely the LACK of activity relative to the fee structure. The trap also spans a regulatory transition period (pre- and post-Reg BI effective date), requiring the model to identify which standard applies when. Many models incorrectly assume that low trading activity in a fee-based account is always compliant, when the opposite can be true. The 28:1 cost ratio is extreme but the model must know to perform this comparison and recognize it as a hallmark of reverse churning.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), effective June 30, 2020 - Care Obligation and Cost Component; FINRA Rule 2111 (Suitability) for the pre-Reg BI period; FINRA Regulatory Notice 13-23 (Suitability and Fee-Based Accounts); Investment Advisers Act of 1940 Sections 206(1) and 206(2) (anti-fraud/fiduciary duty); FINRA Rule 2090 (Know Your Customer)

Adversarial Hypothetical 90

Topic: bond_duration_mismatch | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Dr. Samuel Okafor, age 58, is a practicing surgeon earning \$485,000 annually. He plans to retire at exactly age 63 and has earmarked \$1.2 million specifically for a bridge strategy to cover living expenses during the five years between his retirement and age 68, when he will begin drawing a large pension and deferred compensation. In March 2023, Dr. Okafor met with his financial advisor, Patricia Voss, and explicitly instructed her: 'I've been reading about the inverted yield curve. Short-term rates are higher than long-term rates right now. I want you to put the entire \$1.2 million into 2-year Treasury notes yielding 4.9% instead of a bond ladder. When they mature, I'll reinvest at whatever rates are available. I don't want to lock in 3.7% on 10-year bonds when I can get 4.9% on short-term paper.' Patricia explained that a 5-year bond ladder or duration-matched strategy would better align with his 5-to-10-year distribution timeline, protecting against reinvestment risk if rates fell before his retirement. She prepared a written comparison showing that if rates

dropped to 2.5% at the time of reinvestment, the 2-year strategy would produce approximately \$87,000 less income over the full bridge period compared to a ladder approach. Dr. Okafor reviewed the analysis, acknowledged the reinvestment risk in writing, and reiterated his instruction to purchase only 2-year Treasuries. Patricia documented the entire conversation in her CRM system, had Dr. Okafor sign an acknowledgment of her recommendation and his decision to deviate from it, and executed the purchase of \$1.2 million in 2-year Treasury notes. She also scheduled a follow-up meeting for 18 months later to revisit the strategy before the notes matured.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Patricia Voss did not violate the applicable standards, though this is a close and nuanced case. Under Regulation Best Interest (17 CFR § 240.15l-1), the advisor's obligation attaches to the recommendation she makes, not to the ultimate investment the client chooses when overriding that recommendation. Patricia satisfied the Care Obligation by performing reasonable diligence: she analyzed the client's specific 5-to-10-year time horizon, identified the reinvestment risk created by a duration mismatch, prepared a quantitative comparison, and recommended a duration-matched bond ladder - the strategy aligned with the client's actual needs. She satisfied the Disclosure Obligation by clearly presenting the risks and cost differential. Under FINRA Rule 2111, her recommendation (the ladder) was suitable; the client chose to deviate. The key nuance is that when a client directs a specific transaction after being given a suitable recommendation and full disclosure of risks, the advisor is generally not liable for the client's informed choice, provided the transaction is not so fundamentally unsuitable as to be prohibited regardless of client direction (e.g., it doesn't involve an unsuitable concentration in a speculative product - 2-year Treasuries carry no credit risk). Patricia's documentation - the written comparison, signed acknowledgment, CRM notes, and scheduled follow-up - constitutes strong evidence of compliance. Under FINRA Regulatory Notice 12-25, firms should document when clients choose to deviate from recommendations. The 2-year Treasury is not inherently unsuitable for this client; it merely carries reinvestment risk that the client knowingly accepted.

Common Wrong Answer

Yes, violation - the advisor executed a trade creating an obvious duration mismatch between the client's 5-to-10-year liability horizon and 2-year securities, exposing the client to material reinvestment risk. Regardless of client direction, the advisor has an obligation to ensure the investment is suitable and should have refused to execute the trade or, at minimum, is liable for the foreseeable harm of the mismatch.

Why Adversarial

This is a client direction trap that tests whether models understand the boundary between advisor obligation and client autonomy. A general LLM is likely to either (1) say there's a violation because the resulting portfolio has an obvious duration mismatch with the client's 5-10 year need, applying an overly rigid suitability analysis to the executed trade rather than the recommendation, or (2) incorrectly apply a fiduciary 'duty to refuse' standard. The subtlety is that Reg BI and FINRA suitability rules regulate the recommendation, not the client's ultimate decision. The inverted yield curve detail adds a plausible economic rationale that makes the client's request seem reasonable, further complicating the analysis. Models must also distinguish between a client requesting something speculative or leveraged (where refusal might be warranted) versus a client choosing among different risk profiles of high-quality

government securities.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation, Disclosure Obligation, Conflict of Interest Obligation; FINRA Rule 2111 (Suitability) - Reasonable-Basis, Customer-Specific, and Quantitative Suitability; FINRA Regulatory Notice 12-25 (guidance on unsolicited transactions and documentation); FINRA Rule 2090 (Know Your Customer); FINRA Rule 4512 (Customer Account Information); MSRB Rule G-19 (if applicable to municipal context, but here Treasuries so primarily FINRA/SEC standards apply)

Adversarial Hypothetical 91

Topic: mutual_fund_switching_churning | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Dawson, age 58, a public school administrator earning \$72,000 per year with \$410,000 in retirement savings, held a brokerage account with Ridgeline Financial Services. Her stated investment objectives were growth and income with a moderate risk tolerance. In January 2019, her advisor, Kevin Pratt, recommended she invest \$200,000 into the Vanguard Growth Index Fund Admiral Shares, which she did. The fund had a 0.05% expense ratio and no front-end or back-end load. In March 2020, as markets dropped during the pandemic, Pratt recommended switching the entire \$200,000 position (now valued at \$158,000) into the American Funds Growth Fund of America Class A shares, which carried a 5.75% front-end load and a 0.62% expense ratio. Pratt's rationale, documented in a detailed email to Margaret, was that the American Funds product offered active management that would better navigate volatile markets and had historically outperformed in recovery periods. Margaret agreed in writing after Pratt walked her through a comparison chart. She paid \$9,085 in front-end sales charges. By December 2020, the American Funds position had recovered to \$183,000, while the Vanguard fund she left would have been worth \$198,500. In June 2020, Ridgeline Financial Services had converted from a pure brokerage model to a dual-registered firm offering both brokerage and advisory accounts, and the firm sent all clients a letter offering to convert to fee-based advisory accounts. Margaret's account remained a brokerage account throughout. In September 2020, Pratt recommended switching the American Funds position into the JPMorgan Large Cap Growth Fund Class A shares (also carrying a 5.75% front-end load and 0.66% expense ratio), citing 'stronger management team changes announced in Q3 2020.' Margaret again agreed. She paid another \$10,522.50 in loads on that transaction. Pratt earned commissions on both switches. No breakpoint discounts were applied to either purchase despite the combined purchases exceeding the \$250,000 breakpoint threshold for reduced sales charges at American Funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, multiple violations occurred. First, regarding the applicable standard: The March 2020 switch occurred before June 30, 2020, the compliance date for Regulation Best Interest (Reg BI), so FINRA Rule 2111 (Suitability) governed that transaction. The September 2020 switch occurred after Reg BI's compliance date, so both Reg BI and FINRA Rule 2111 applied. Under FINRA Rule 2111.05(a) (the switch doctrine)

and FINRA Regulatory Notice 12-25, switching a customer from a low-cost index fund to a high-cost loaded fund requires that the expected benefits materially exceed the costs. Pratt's documented rationale - that active management navigates volatility better - is a general market-timing argument insufficient to justify \$9,085 in front-end loads for a moderate-risk, growth-and-income investor nearing retirement. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the September 2020 switch required Pratt to evaluate reasonably available alternatives and ensure the costs did not make the recommendation not in Margaret's best interest. Switching between two loaded Class A share funds within six months, generating another \$10,522.50 in loads, is a hallmark of mutual fund switching abuse per FINRA Regulatory Notice 07-06. Second, the failure to apply breakpoint discounts is an independent violation. FINRA's 2003 Joint Report on Mutual Fund Breakpoints and subsequent enforcement actions established that firms must ensure customers receive applicable breakpoint discounts. Combined purchases across American Funds products should have qualified for reduced loads at the \$250,000 threshold. NASD Notice to Members 03-09 and FINRA Rule 2010 (Standards of Commercial Honor) are also implicated. The total cost to Margaret of approximately \$19,607.50 in loads within seven months, for a moderate-risk near-retiree, is excessive and unjustified.

Common Wrong Answer

Many LLMs would say the first switch might be questionable but was arguably suitable because the advisor documented his rationale and the client agreed in writing, and would focus only on the second switch under Reg BI. They would likely miss the breakpoint violation entirely and might also incorrectly apply Reg BI to the March 2020 transaction.

Why Adversarial

This scenario spans the Reg BI compliance date (June 30, 2020), requiring the model to apply different standards to the two switches - FINRA suitability for the first and Reg BI for the second. A general LLM might apply only one standard to both transactions. Additionally, the breakpoint failure is an independent violation that many models would overlook because the fact pattern emphasizes the switching conduct. The client's written consent to both switches creates a trap - models may incorrectly conclude that informed consent cures the violation, but neither suitability nor Reg BI can be waived by client agreement. The documented rationale may also mislead models into thinking the advisor met reasonable-basis suitability.

Applicable Standard

FINRA Rule 2111 (Suitability) and supplementary material .05(a) regarding switching; FINRA Regulatory Notice 12-25 (Suitability FAQs on switching); FINRA Regulatory Notice 07-06 (Mutual Fund Switching); SEC Regulation Best Interest 17 CFR 240.15l-1 (Care Obligation, effective June 30, 2020); NASD Notice to Members 03-09 (Breakpoints); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 92

Topic: *options_unsuitable* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Derek Yamamoto, age 34, works as a quantitative analyst at a hedge fund, earning \$340,000 annually. He has a personal brokerage account at Summit Securities with advisor Lisa Chen. Derek has a net worth of

\$1.8 million (excluding his primary residence), liquid assets of \$950,000, and lists his investment objective as 'speculation' with an aggressive risk tolerance. His options account application, approved in November 2022, indicates 11 years of options trading experience and was approved for Level 4 options trading (uncovered calls and puts). His account at Summit holds \$320,000. In February 2023, Derek emailed Lisa and stated: 'I want to sell 50 uncovered call contracts on Tesla at the \$250 strike expiring in two weeks. I've run my models and I'm confident the stock won't breach that level. Please execute.' Lisa reviewed Derek's account and noted that the required margin for this position would be approximately \$285,000, leaving only \$35,000 in excess equity. She also noted that Tesla's implied volatility was elevated at 65% annualized and that earnings were scheduled during the option period. Lisa responded by email: 'Derek, I want to flag that Tesla earnings are next week and vol is elevated - naked calls into earnings carry significant risk. Your margin cushion would be thin. Are you sure?' Derek replied: 'Yes, I understand the earnings risk. My model accounts for it. I'm aware margin will be tight - that's intentional as I want full capital efficiency. Execute the trade.' Lisa executed the 50 uncovered call contracts. Tesla reported a blowout quarter and the stock surged 18% in one day. Derek's position lost \$412,000, resulting in a margin call and forced liquidation of his entire account, leaving him with a deficit balance of \$92,000. Derek filed a complaint alleging the trade was unsuitable and that Lisa should have refused to execute it.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is likely not a violation. Under FINRA Rule 2111, a recommended transaction must be suitable for the customer based on the customer's investment profile. However, FINRA Rule 2111.03 provides a critical distinction: when a broker merely executes an unsolicited transaction at the customer's direction, the suitability obligation does not apply. Derek specifically directed Lisa to execute a particular options strategy on a specific underlying, at a specific strike, with specific contract quantities. Lisa did not recommend the trade - Derek originated it entirely. Lisa's cautionary email actually demonstrates she flagged the risks (earnings exposure, elevated implied volatility, thin margin cushion), which Derek acknowledged and overrode with specific instructions referencing his own proprietary model. Under FINRA Rule 2360 (Options) and the OCC's options disclosure framework, the firm fulfilled its obligations by (1) approving Derek for Level 4 trading based on his documented experience, income, net worth, and stated objectives, and (2) ensuring the account met initial margin requirements at the time of execution. Derek's profile - a quantitative analyst at a hedge fund with 11 years of options experience, aggressive risk tolerance, speculation objective, and \$1.8 million net worth - is precisely the profile for which uncovered option writing approval exists. Under Regulation Best Interest (17 CFR 240.15l-1), the Care Obligation applies only to recommendations, not to unsolicited customer-directed trades. The trade was not recommended. Additionally, FINRA Regulatory Notice 13-45 reaffirms that suitability applies to recommendations, and a broker who flags risks and is overridden by a sophisticated, experienced customer directing a specific trade has not made a recommendation.

Common Wrong Answer

Most LLMs would conclude this is a violation because the position consumed nearly all available margin, earnings presented a known catalyst risk, the losses were catastrophic, and the advisor 'should have refused to execute.' They would likely cite the advisor's duty to protect the client and argue that executing such a concentrated, risky position was unsuitable regardless of the client's direction, failing to recognize

that suitability obligations attach only to recommendations, not unsolicited customer-directed trades.

Why Adversarial

This is a client-direction trap. The massive loss (\$412,000 wiping out the account and creating a deficit) creates strong outcome bias - models will see a catastrophic loss and conclude there must be a violation. Derek's thin margin cushion and the earnings timing may appear reckless. However, the critical legal distinction is that this was an unsolicited, customer-directed trade by a highly sophisticated investor who was properly approved for the strategy. Lisa's risk warnings and Derek's explicit override actually help the advisor's defense. General-purpose models tend to conflate bad outcomes with suitability violations and often miss the solicited/unsolicited distinction.

Applicable Standard

FINRA Rule 2111 (Suitability), particularly supplementary material .03 (unsolicited transactions); FINRA Rule 2360 (Options); SEC Regulation Best Interest 17 CFR 240.15l-1(a)(2)(ii) (Care Obligation - applies to recommendations only); FINRA Regulatory Notice 13-45 (Suitability FAQs - recommendation vs. unsolicited); FINRA Rule 4210 (Margin Requirements)

Adversarial Hypothetical 93

Topic: reverse_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

Margaret Kowalski, age 72, retired school librarian, had a \$340,000 portfolio consisting of blue-chip dividend stocks and investment-grade municipal bonds she had accumulated over 30 decades of careful investing. In January 2020, her longtime commission-based broker, David Fontaine, moved from a traditional brokerage to a new firm that operated exclusively on a fee-based model. Fontaine contacted Margaret and recommended she transfer her accounts to his new firm, where she would pay a 1.25% annual advisory fee (\$4,250/year) instead of per-trade commissions. Margaret agreed and signed the new advisory agreement in February 2020. Over the next 36 months (through January 2023), Fontaine made exactly four trades in Margaret's account: two were mandatory corporate action responses (a merger conversion and a tender offer), one was reinvesting a bond maturity into a similar municipal bond, and one was selling a small position (\$8,200) to fund Margaret's required minimum distribution. Margaret's portfolio strategy was explicitly described in her investment policy statement as 'buy and hold for income.' The total commissions Margaret would have paid for those four trades at her old firm's schedule would have been approximately \$340 - comprising \$45 for each of the two corporate action trades, \$125 for the bond purchase, and \$125 for the stock sale. Meanwhile, she paid \$12,750 in advisory fees over those 36 months. Margaret never called to ask for advice, never requested a portfolio review, and Fontaine's records show he sent her two form letters per year summarizing performance but conducted no phone consultations, no in-person meetings, and no proactive rebalancing reviews. The firm's compliance department had flagged Margaret's account in its quarterly low-activity report in Q3 2020, Q1 2021, Q2 2021, Q3 2021, Q4 2021, Q1 2022, Q2 2022, Q3 2022, Q4 2022, and Q1 2023 - ten consecutive quarters - but each time Fontaine responded that 'the buy-and-hold strategy is appropriate for the client's age and objectives' and compliance closed the flag without further action.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation - a textbook case of reverse churning. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, including the recommendation to move from a commission-based to a fee-based account. The Care Obligation component of Reg BI requires that the broker exercise reasonable diligence, care, and skill to understand the costs and risks of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and the potential costs. FINRA has also addressed reverse churning under its broader supervisory and suitability frameworks (FINRA Rule 2111 and FINRA Rule 3110). The recommendation to convert Margaret's account to a fee-based model was itself the violative recommendation. Given her known buy-and-hold strategy, minimal trading needs, and the 37:1 cost ratio (\$12,750 in fees vs. \$340 in hypothetical commissions), there was no reasonable basis to believe the fee-based account served her interests. The advisor was not providing meaningful ongoing advisory services - no meetings, no calls, no rebalancing, no proactive advice - that would justify the recurring fee. The fact that compliance flagged the account ten consecutive quarters and took no escalatory action also constitutes a supervisory failure under FINRA Rule 3110. The firm's compliance process was effectively a rubber stamp. The advisor's defense that buy-and-hold is appropriate for the client conflates the investment strategy's suitability with the account type's suitability - these are distinct inquiries. A suitable strategy in an unsuitable fee structure still constitutes a violation.

Common Wrong Answer

No violation - the advisor recommended a buy-and-hold strategy appropriate for the client's age and risk tolerance, the compliance department reviewed the account repeatedly and found it compliant, and the client voluntarily agreed to the fee-based arrangement. Low trading activity in a fee-based account simply reflects a conservative strategy, not a violation.

Why Adversarial

This is adversarial because the advisor's defense sounds plausible - buy-and-hold IS suitable for a 72-year-old conservative investor, and the advisor wasn't overtrading. A general LLM might focus on the investment strategy being appropriate and miss that the violation is about the account TYPE recommendation, not the investment recommendations within it. Additionally, the compliance department repeatedly reviewed and cleared the account, which might lead a model to conclude the firm found no issue. The threshold trap is that many models don't know the specific quantitative relationship between fees paid and hypothetical commissions that triggers reverse churning concerns, or that the recommendation to switch account types is itself a recommendation subject to best interest standards.

Applicable Standard

Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), specifically the Care Obligation and Cost Component; FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 3110 (Supervision); FINRA Regulatory Notices 13-23 (Suitability of Fee-Based Accounts) and 12-25 (guidance on account type suitability)

Adversarial Hypothetical 94

Topic: variable_annuity_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Dr. Rakesh Patel, age 41, an orthopedic surgeon earning \$680,000 annually, contacted his financial advisor, Brenda Sutcliffe, in March 2023 requesting that she purchase a variable annuity inside his existing traditional IRA. Dr. Patel explained that his colleague at the hospital had purchased a variable annuity with a guaranteed minimum income benefit rider and was very enthusiastic about the downside protection it offered. Dr. Patel stated he wanted the same product - specifically the Atlas Secure Future VA - for his \$410,000 IRA rollover from a previous employer's 401(k). He said he didn't care about the costs because he wanted 'the guarantee.' Brenda researched the product: the Atlas Secure Future VA carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying fund expenses averaging 0.87%, and the guaranteed minimum income benefit rider cost 1.10% annually - total all-in cost of approximately 3.47% per year. There was also a 7-year declining surrender charge starting at 7%. Brenda noted that Dr. Patel was already maximizing his 401(k) contributions, had a Roth IRA, and had \$220,000 in a taxable brokerage account. His IRA was currently invested in a diversified portfolio of low-cost index funds with a total expense ratio of 0.08%. Brenda explained the costs to Dr. Patel in a meeting documented in her notes, and specifically told him that placing a variable annuity inside an IRA provided no additional tax deferral benefit since the IRA was already tax-deferred. She noted this in her file. Dr. Patel said he understood but still wanted the product for the guaranteed income rider. Brenda then executed the purchase, replacing the \$410,000 index fund portfolio with the Atlas Secure Future VA. She documented that the client directed the transaction after full disclosure. Dr. Patel did not plan to begin withdrawals for at least 24 years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the client's explicit direction and the advisor's disclosure of costs. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer associated person have a reasonable basis to believe the recommendation - or in this case, the execution of a client-directed transaction that the advisor facilitated and could have declined - is in the customer's best interest. More critically, FINRA has issued extensive guidance specifically on variable annuities. FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) imposes heightened suitability requirements for VA transactions and explicitly requires a principal to review and approve any VA purchase BEFORE the transaction is executed. Under Rule 2330(b), the registered representative must have a reasonable basis to believe the transaction is suitable based on enumerated factors including: (1) whether the customer would benefit from tax-deferral (here the VA is inside an already tax-deferred IRA, so no incremental benefit); (2) the customer's intended use of the annuity; (3) the total costs; and (4) whether a less costly product could achieve the same objective. Replacing a 0.08% expense portfolio with a 3.47% all-in cost product - a 43x cost increase - inside a tax-deferred wrapper that provides zero incremental tax benefit, solely for a guaranteed income rider that won't be utilized for 24 years, fails the reasonable-basis suitability test. The guaranteed income benefit could potentially be achieved through far less expensive means given the 24-year time horizon. Client direction does not override the advisor's independent obligation. FINRA Notice to Members 04-45 and Regulatory Notice 12-25 both emphasize that

customer-directed transactions do not relieve firms of their suitability obligations for VAs, particularly given the heightened requirements of Rule 2330. Additionally, under Reg BI's Conflict of Interest Obligation, if Brenda received higher compensation for selling the VA versus maintaining the index fund portfolio, that conflict must be disclosed and mitigated - mere disclosure is insufficient.

Common Wrong Answer

No violation - the advisor conducted thorough due diligence, fully disclosed all costs including the redundant tax-deferral issue, documented the client's informed decision, and the client - a high-income physician capable of understanding financial products - explicitly directed the purchase after being warned. Client autonomy should be respected, and the guaranteed income rider provides legitimate value as downside protection regardless of the tax-deferral overlap.

Why Adversarial

This is a classic client-direction trap. The advisor appears to have done everything right: she researched the product, explained the costs, specifically warned about the redundant tax-deferral, documented the conversation, and the client still insisted. Many AI models would conclude that full disclosure plus client direction equals compliance. However, the critical nuance is that FINRA Rule 2330 imposes an independent suitability obligation on VA transactions that cannot be overridden by client direction, and the specific requirement to evaluate tax-deferral benefits makes placing a VA inside an IRA a well-known red flag that requires affirmative justification - not merely client insistence. The 24-year time horizon actually makes this worse, not better, because the cumulative cost drag at 3.47% annually is enormous and the guarantee becomes less valuable over longer periods where equity markets historically recover from drawdowns.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), specifically the Care Obligation and Conflict of Interest Obligation; FINRA Rule 2111 (Suitability); FINRA Notice to Members 04-45 (guidance on variable annuity sales practice); FINRA Regulatory Notice 12-25; FINRA Rule 3110 (Supervision, requiring principal pre-approval of VA transactions under Rule 2330(c))

Adversarial Hypothetical 95

Topic: structured_products_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Chen, age 72, retired schoolteacher with \$380,000 in savings, walked into a brokerage office in April 2019. She had a conservative risk profile, needed income to supplement her \$2,100/month pension, and listed her investment objective as 'income with capital preservation.' Her advisor, Daniel Ruiz, recommended she invest \$95,000 (25% of her liquid net worth) into a 15-year reverse convertible note linked to a basket of three large-cap technology stocks. The note offered a 9.2% annual coupon, paid monthly, with a knock-in barrier at 60% of the initial reference price. Daniel documented that he had reviewed the product's offering memorandum, completed the firm's structured product training module, and noted in his file that the 9.2% coupon would generate approximately \$728/month, significantly helping

Margaret's income needs. He also noted that the 60% barrier provided 'substantial downside protection' and that the underlying stocks were 'blue chip companies with strong fundamentals.' The firm's product committee had approved the reverse convertible for sale to customers with moderate or higher risk tolerance. In March 2020, all three reference stocks breached the knock-in barrier during the COVID-19 selloff. Margaret's note was converted to shares of the worst-performing stock, which had fallen 52% from its initial price. She lost approximately \$49,400 in principal. Margaret filed a complaint in June 2020. Daniel's firm had been operating under the traditional suitability framework through June 29, 2020, and transitioned to the new broker-dealer standard of conduct on June 30, 2020. Daniel argues that (1) the recommendation was made in April 2019 under the prior standard, (2) Margaret's income need justified the higher coupon, (3) the 60% barrier provided meaningful protection, and (4) the product was approved by the firm's product committee.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation under the suitability standard that was applicable at the time of the April 2019 recommendation. Under FINRA Rule 2111 (Suitability), which governed broker-dealer recommendations prior to Reg BI's June 30, 2020 compliance date, the advisor was required to satisfy three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Additionally, FINRA Regulatory Notice 12-03 specifically addresses heightened suitability obligations for complex products like structured notes, requiring that the advisor perform a reasonable investigation of the product's risks, costs, and features, and that the product be suitable for the specific customer. Here, multiple violations exist: (1) Customer-specific suitability under Rule 2111.05(a): A 15-year reverse convertible note is fundamentally unsuitable for a 72-year-old conservative investor. The note locks up 25% of her liquid net worth until Margaret is 87, creating severe liquidity risk for a retiree. Reverse convertibles expose the investor to full downside equity risk while capping upside at the coupon-the risk-return profile is inconsistent with 'capital preservation.' (2) Reasonable-basis suitability: While Daniel completed the training module and reviewed the offering memorandum, his documented conclusion that a 60% barrier provides 'substantial downside protection' reflects a fundamental misunderstanding of the product. A 40% buffer appears large but the investor bears 100% of losses below the barrier with conversion to the worst-performing stock in a basket-a feature that dramatically amplifies risk. The fact that the firm's product committee approved it only for moderate-or-higher risk tolerance customers, while Margaret was classified as conservative, further demonstrates the failure. (3) FINRA Regulatory Notice 12-03 explicitly states that a product committee approval does not relieve the individual advisor of their suitability obligation. The 25% concentration in a single illiquid, complex product for a conservative elderly investor with income needs is excessive. The temporal issue is a red herring: Reg BI (17 CFR § 240.15l-1) did not take effect until June 30, 2020, but the traditional FINRA Rule 2111 suitability standard was fully in force at the time of the recommendation and independently required suitability. The COVID losses are relevant as evidence of the materialized risk that made the product unsuitable, though the violation existed at the point of recommendation regardless of subsequent market events.

Common Wrong Answer

No violation. The advisor conducted reasonable due diligence by completing training, reviewing the offering memorandum, and documenting his rationale. The product was approved by the firm's product committee.

Under the suitability standard applicable in 2019 (which was less stringent than Reg BI), the advisor's reasonable basis for the recommendation-addressing the client's documented income need with a 9.2% coupon and 40% downside buffer from blue-chip stocks-was sufficient. The losses were caused by an unforeseeable pandemic, not an unsuitable recommendation.

Why Adversarial

This scenario creates a temporal trap where a general LLM might focus on whether Reg BI or the old suitability standard applies, potentially concluding that the less stringent pre-Reg BI standard was met. The trap also includes several surface-level compliance indicators-training completion, offering memorandum review, product committee approval, and documented rationale-that make the advisor appear diligent. An LLM might credit these process steps as sufficient due diligence without recognizing that FINRA Notice 12-03 explicitly states product committee approval doesn't relieve individual suitability obligations, and that the fundamental product characteristics (15-year illiquid reverse convertible with worst-of-basket conversion) are incompatible with a conservative 72-year-old investor regardless of the coupon income benefit.

Applicable Standard

FINRA Rule 2111 (Suitability) and its supplementary materials (.03, .04, .05(a)); FINRA Regulatory Notice 12-03 (Heightened Supervision and Suitability Obligations for Complex Products, January 2012); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). Note: Reg BI (17 CFR § 240.15l-1) was not yet in effect at the time of the recommendation but would have independently been violated had it applied.

Adversarial Hypothetical 96

Topic: leveraged_etf_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Kevin Ostrowski, age 44, is a software engineer earning \$215,000 annually with a net worth of \$1.8 million, including \$650,000 in a brokerage account. He holds a Series 65 license from a prior stint working at a small advisory firm in 2015-2017, though he is no longer registered and has worked in tech since. Kevin has traded options and futures for personal accounts since 2012, maintaining detailed trading journals and demonstrating consistent understanding of Greeks, volatility surfaces, and portfolio hedging. In January 2024, Kevin contacted his broker, Lisa Fontaine, at a full-service brokerage firm and specifically requested the purchase of \$130,000 worth of a 3x leveraged bull semiconductor ETF. He told Lisa he wanted to hold the position for approximately 6 to 8 weeks to capture what he believed would be a short-term rally driven by upcoming earnings season and AI chip demand. He explained that he understood daily rebalancing decay, compounding effects, and volatility drag, and that he was deliberately choosing the leveraged ETF over futures or options because he wanted defined maximum loss (his \$130,000 investment) without margin calls. Lisa asked Kevin to confirm his understanding in writing. Kevin sent a detailed email explaining leveraged ETF mechanics, daily reset effects, the impact of volatility on multi-day returns, and his specific thesis with entry/exit criteria. Lisa documented the email, noted Kevin's prior Series 65 licensure, his 12 years of derivatives trading experience, and his \$650,000 account size making the \$130,000 position a 20% allocation. Lisa also documented that Kevin's stated risk tolerance was

aggressive, his investment timeline for this position was 6-8 weeks (not long-term), and his overall portfolio included diversified index funds in retirement accounts totaling \$900,000. She executed the trade. Six weeks later, the semiconductor sector experienced a sharp correction and the leveraged ETF lost 58% of its value. Kevin lost approximately \$75,400 and filed a complaint alleging Lisa should have refused the trade or steered him toward a non-leveraged semiconductor ETF.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is not a violation. Under Regulation Best Interest (17 CFR § 240.15l-1), which applies to broker-dealer recommendations after June 30, 2020, Lisa was required to act in Kevin's best interest at the time of the recommendation by satisfying the Care Obligation, Disclosure Obligation, Conflict of Interest Obligation, and Compliance Obligation. Under the Care Obligation, the broker must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis for believing it is in the customer's best interest based on the customer's investment profile. Here, Lisa met these obligations: (1) Customer-specific suitability/Care Obligation: Kevin is a 44-year-old high-income, high-net-worth investor with aggressive risk tolerance. The \$130,000 position represents 20% of his brokerage account and approximately 7.2% of his total net worth—a meaningful but not reckless allocation for an aggressive investor. His remaining portfolio is well-diversified. (2) Reasonable basis: Kevin has 12 years of derivatives trading experience, previously held a Series 65 license, and demonstrated specific, sophisticated understanding of leveraged ETF mechanics including daily rebalancing, volatility drag, and compounding effects—precisely the risks that make leveraged ETFs problematic for unsophisticated investors. His written explanation confirms genuine comprehension, not mere checkbox acknowledgment. (3) Under FINRA Regulatory Notice 09-31 (Non-Traditional ETFs), firms and advisors are cautioned that leveraged ETFs are generally unsuitable for long-term buy-and-hold investors because of the compounding effects of daily resets. However, Kevin's stated 6-8 week holding period with defined entry/exit criteria represents exactly the kind of short-to-medium-term tactical use for which these products are designed. He actually held for six weeks, consistent with his stated plan. (4) Lisa's documentation was thorough—she captured the client's written explanation, investment thesis, risk acknowledgment, experience, and time horizon. Under Reg BI's Care Obligation, the advisor is not required to refuse a transaction that is consistent with the customer's stated investment profile and objectives merely because a loss later occurred. The fact that Kevin filed a complaint after losses does not retroactively make the recommendation unsuitable. The client's sophistication, appropriate position sizing, correct holding period, and genuine product understanding all support compliance.

Common Wrong Answer

Yes, violation. Leveraged ETFs are inherently unsuitable for retail investors due to daily rebalancing decay and compounding effects. The 58% loss demonstrates the product's extreme risk. Lisa should have recommended a non-leveraged semiconductor ETF or refused the trade. The client's prior Series 65 license from years ago and self-reported experience do not relieve the advisor of her independent obligation to ensure the recommendation is in the client's best interest. A 3x leveraged product with a 20% portfolio allocation is excessive concentration in a speculative instrument.

Why Adversarial

This is a client-direction trap combined with a knowledge trap. General LLMs tend to flag any leveraged

ETF recommendation as a violation, particularly after significant losses, because of the well-known general guidance that leveraged ETFs are unsuitable for most retail investors. The trap is that this general guidance from FINRA Notice 09-31 does not create a blanket prohibition-it identifies specific concerns (long-term holding, investor misunderstanding of compounding) that are systematically absent in this fact pattern. An LLM is likely to seize on the 58% loss and the leveraged nature of the product and conclude there was a violation, without recognizing that Kevin's genuine sophistication, appropriate holding period, reasonable position sizing, and aggressive risk tolerance make this a textbook case of appropriate leveraged ETF usage. The prior Series 65 licensure and detailed written explanation are designed to tempt an LLM into dismissing them as insufficient, when they actually constitute strong evidence of genuine customer sophistication.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation component; FINRA Rule 2111 (Suitability) as supplementary guidance; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs, June 2009); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Suitability Obligations). Note that Notice 09-31 cautions that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, but does not prohibit short-to-intermediate-term tactical use by sophisticated investors who understand the products.

Adversarial Hypothetical 97

Topic: leveraged_etf_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Hollis, age 58, is a retired schoolteacher with a \$420,000 IRA account and a conservative risk tolerance. She receives \$2,100/month in pension income and has no other significant assets. In February 2019, her financial advisor, Derek Simmons, at a mid-size broker-dealer, recommended she purchase \$42,000 worth of a 3x leveraged S&P 500 ETF (representing 10% of her portfolio). Derek documented in his notes that he believed the bull market would continue and that a short-term tactical allocation of 10% to a leveraged product could boost Margaret's retirement returns. He set an internal calendar reminder to review the position in 30 days. Margaret agreed to the purchase after Derek explained that the product amplifies daily returns of the S&P 500 by three times. The S&P 500 rose modestly over the next 30 days, and the leveraged ETF gained approximately 9.2%. On March 18, 2019, Derek sold the entire leveraged ETF position, realizing a gain of approximately \$3,864. Margaret was pleased. Derek repeated this strategy two more times in 2019 - once in May (held for 22 days, sold at a gain of \$2,100) and once in September (held for 35 days, sold at a loss of \$1,750). In June 2020, after a regulatory standards change took effect, Derek again recommended the same 3x leveraged ETF strategy, purchasing \$45,000 worth. This time, he held the position for 28 days before selling at a gain of \$1,200. For all four transactions, Derek completed the firm's standard suitability questionnaire. His firm adopted the new regulatory standard effective June 30, 2020, but the June 2020 purchase was executed on June 15, 2020 - fifteen days before the firm's compliance cutover date. Margaret's account agreement, updated in January 2020, still reflected a conservative risk profile. No updated risk assessment was performed in 2020 before the June purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, violations occurred across all four transactions, though under different applicable standards. For the three 2019 transactions, the governing standard was FINRA Rule 2111 (Suitability). While Derek documented a rationale and held positions short-term, a 3x leveraged ETF is categorically unsuitable for a 58-year-old retired conservative investor in an IRA account. FINRA Regulatory Notice 09-31 specifically warned that leveraged ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets,' and FINRA Regulatory Notice 12-03 reinforced heightened suitability obligations for complex products. Even with 22-35 day holding periods, these are not single-session holds. The 10% concentration in a speculative instrument conflicts with Margaret's documented conservative profile. The customer-specific suitability prong of Rule 2111 requires that the recommendation be consistent with the customer's investment profile including age, financial situation, risk tolerance, and investment objectives. A conservative retiree's IRA is the paradigmatic unsuitable account for leveraged ETFs. For the June 2020 transaction, the analysis is more nuanced due to the temporal overlap. Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1) became effective June 30, 2020. The June 15, 2020 transaction predates both the regulatory compliance date and the firm's internal cutover. Therefore, FINRA Rule 2111 still governs this transaction. However, the violation is even clearer here because no updated risk assessment was performed despite the account agreement reflecting a conservative profile. Derek failed the customer-specific obligation under Rule 2111 for all four transactions. The short holding periods and gains do not cure the unsuitability - outcome does not determine suitability at the time of recommendation.

Common Wrong Answer

Many LLMs would say the 2019 transactions were compliant because the advisor held positions short-term, documented his reasoning, and the client profited - satisfying reasonable-basis suitability. They might then say only the June 2020 transaction violated Reg BI's care obligation. This is doubly wrong: the 2019 transactions violated FINRA Rule 2111's customer-specific suitability requirement regardless of outcome, and the June 2020 transaction was still governed by Rule 2111, not Reg BI, because it preceded the June 30, 2020 compliance date.

Why Adversarial

This scenario creates a temporal trap around the Reg BI compliance date of June 30, 2020. A general LLM might incorrectly apply Reg BI to the June 2020 transaction because it occurred 'in 2020 after Reg BI was adopted,' missing that the specific transaction date of June 15 preceded both the regulatory effective date and the firm's cutover. Additionally, LLMs often struggle with leveraged ETF suitability because the advisor documented reasoning, held positions short-term, and the client profited on three of four trades - making it appear facially reasonable. The trap is that short-term gains and documented rationale do not cure the fundamental unsuitability of a 3x leveraged product for a conservative retiree's IRA.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three prongs: reasonable-basis, customer-specific, and quantitative suitability; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision); Regulation Best Interest (17 CFR § 240.15l-1) effective June 30, 2020 (not applicable to pre-June 30, 2020 transactions); FINRA Rule 2090 (Know Your Customer)

Adversarial Hypothetical 98*Topic: concentration_risk | Type: multi_party | Difficulty: hard*

Fact Pattern

Robert and Linda Cheng, both age 64, are married and approaching retirement. They have a combined net worth of \$2.8 million, excluding their primary residence. Robert maintains a \$1.1 million brokerage account at Firm A, managed by advisor Patricia Novak. Linda maintains a \$900,000 brokerage account at Firm B, managed by advisor James Whitfield. Both advisors know the Chengs are married and have a general sense of the couple's total wealth. Neither advisor has formal documentation of the other spouse's account holdings. Over the course of 2023, Patricia recommended Robert purchase \$385,000 in shares of a single large-cap technology company - representing 35% of his Firm A account. She documented that Robert has a moderate-to-aggressive risk tolerance and a growth-oriented investment objective, and that the 35% position was appropriate given the company's strong fundamentals and Robert's 15-year investment horizon. Separately, James recommended Linda purchase \$360,000 in shares of the same technology company - representing 40% of her Firm B account. James documented Linda's risk tolerance as moderate-growth with a similar time horizon. Neither Patricia nor James contacted the other advisor. Neither firm's compliance department flagged the positions. At the household level, the Chengs now have \$745,000 - approximately 37.25% of their combined \$2 million in brokerage assets (or 26.6% of their \$2.8 million total investable net worth) - concentrated in a single stock. The Chengs also hold \$500,000 in a joint savings account and \$300,000 in Robert's 401(k), both of which contain no position in this company. When the technology company's stock dropped 40% in early 2024, the Chengs lost approximately \$298,000. Robert filed a complaint against Patricia, arguing the concentration was unsuitable. Linda did not file a complaint against James.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This requires separate analysis for each advisor, and the answer differs for each. Patricia Novak (Firm A) likely did NOT violate suitability requirements, though the case is close. Under FINRA Rule 2111, suitability is assessed based on the information the advisor has or should have about the customer. Patricia knew Robert had moderate-to-aggressive risk tolerance and growth objectives. A 35% single-stock position is aggressive but not per se unsuitable for a moderate-to-aggressive investor with a 15-year horizon. Critically, Patricia's obligation is assessed based on Robert's account and the customer information she possessed. While she knew Robert was married and had a general sense of household wealth, she did not have specific knowledge of Linda's holdings at Firm B. Under FINRA Rule 2111.05(a), an advisor's customer-specific suitability obligation is informed by the customer's investment profile, which the advisor must attempt to gather. There is no explicit regulatory requirement that an advisor at one firm must obtain detailed holdings information from a spouse's account at a competing firm before making recommendations. The 35% concentration in Robert's account alone, while aggressive, is defensible given his documented risk tolerance and objectives. However, James Whitfield (Firm B) is in a more precarious position. A 40% single-stock concentration for a client documented as 'moderate-growth' (not moderate-to-aggressive) creates a stronger mismatch between the recommendation and the client's documented profile. Moderate-growth typically does not support a 40% position in a single equity. This

likely violates the customer-specific suitability prong of FINRA Rule 2111. The fact that Linda did not file a complaint does not affect whether a violation occurred. The household-level concentration, while alarming in retrospect, is not the individual advisors' primary obligation - each is evaluated on their own recommendations relative to the customer information they possessed. The post-hoc loss does not determine suitability, which is evaluated at the time of recommendation.

Common Wrong Answer

Most LLMs would likely find both advisors violated suitability requirements, reasoning that the combined household concentration of 37.25% in a single stock is clearly unsuitable for a pre-retirement couple, and that both advisors had a duty to inquire about the spouse's holdings at the other firm. This overstates the obligation - there is no explicit requirement under FINRA rules that an advisor must obtain and monitor a spouse's holdings at a competing firm. Alternatively, some LLMs might exonerate both advisors because each position was under 50% of the individual account, missing the critical distinction between the two clients' documented risk tolerances.

Why Adversarial

This multi-party scenario is adversarial because it tempts LLMs to either (1) hold both advisors liable based on the alarming household-level concentration figure of 37.25%, conflating household risk with individual account suitability, or (2) exonerate both advisors because each acted independently with limited information. The correct answer requires distinguishing between the two advisors based on the subtle difference in documented risk tolerances (moderate-to-aggressive vs. moderate-growth) and recognizing that suitability is assessed per-advisor, per-account, based on information known or that should have been known. The presence of the complaint against only one advisor is a red herring - the advisor who was NOT complained against (James) is actually the one more likely in violation.

Applicable Standard

FINRA Rule 2111 (Suitability) - particularly the customer-specific suitability obligation under Rule 2111(a) and the investment profile factors in Rule 2111.04; FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-25 (additional guidance on suitability obligations); Regulation Best Interest (17 CFR § 240.15l-1) if transactions occurred after June 30, 2020, specifically the Care Obligation requiring reasonable diligence regarding risks, rewards, and costs of recommendations in light of the customer's investment profile

Adversarial Hypothetical 99

Topic: illiquid_investments | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Caldwell, age 58, was a long-time client of broker Derek Hanson at Piedmont Securities, a dual-registered broker-dealer and investment advisory firm. Margaret had a \$1.2 million rollover IRA and a \$400,000 taxable brokerage account. Her stated investment objectives were growth and income, with a moderate risk tolerance. She planned to retire at age 62 and would need to begin drawing \$5,000 per month from her IRA at that point. On May 15, 2019, Derek recommended that Margaret invest \$180,000 (15% of her total portfolio) in the Greystone Real Estate Income Fund, a non-traded REIT with a 7-year

expected holding period, a 12% front-end load (which included 7% in selling commissions and 5% in offering costs), quarterly distributions of 6.5% annually, and restrictions on redemptions that limited investors to redeeming no more than 5% of outstanding shares per quarter on a pro-rata basis, with the fund's board retaining full discretion to suspend redemptions entirely. Derek documented in his notes that Margaret understood the illiquidity and that the 6.5% distribution rate would help meet her income needs in retirement. He noted her net worth of \$1.9 million (including her primary residence valued at \$300,000), her annual income of \$95,000, and that she had prior experience with a publicly traded REIT she had held for three years. On June 30, 2020, Derek recommended an additional \$120,000 investment in the same non-traded REIT, bringing her total allocation to \$300,000, or approximately 18.75% of her total portfolio. By this time, Margaret had turned 59 and was two and a half years from retirement. Derek's firm had updated its policies between the two transactions, and the firm's compliance department had issued new internal guidance effective January 1, 2020, stating that for accounts serviced under an advisory relationship, all recommendations must be evaluated under a fiduciary standard rather than the suitability standard previously applied to brokerage recommendations. Both of Margaret's purchases were executed in her brokerage account, not her advisory account, though Derek serviced both. Derek earned a \$8,400 commission on the first transaction and \$5,640 on the second (reflecting a slightly reduced commission schedule the fund adopted in early 2020). Piedmont Securities' product review committee had approved the Greystone fund for sale to clients with a net worth of at least \$250,000 excluding primary residence and a minimum investment time horizon of 5 years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

The analysis differs for the two transactions due to the temporal change in applicable standards. For the May 2019 transaction: This was executed in a brokerage account before June 30, 2020, when Regulation Best Interest (Reg BI) took effect. The applicable standard was FINRA Rule 2111 (Suitability). Under FINRA Rule 2111, Derek needed reasonable-basis, customer-specific, and quantitative suitability. The \$180,000 allocation (15% of portfolio) in a non-traded REIT with a 7-year hold period for a client 4 years from retirement is problematic but potentially defensible: Margaret met the firm's net worth threshold (\$1.6M excluding residence vs. \$250K minimum), had a 5+ year time horizon at time of purchase for this portion, and had some REIT experience. However, FINRA Regulatory Notice 09-09 specifically warned about non-traded REITs and highlighted that brokers must not rely solely on issuer-established suitability standards. The 12% front-end load significantly erodes returns. The first transaction is a borderline suitability concern but may survive scrutiny given the portfolio percentage and her overall wealth. For the June 2020 transaction: Reg BI (17 CFR § 240.15l-1) took effect June 30, 2020, and this transaction occurred on that date. Under Reg BI's Care Obligation, Derek had to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and ensure the recommendation was in Margaret's best interest without placing his financial interest ahead of hers. The additional \$120,000 brought illiquid holdings to 18.75% of her portfolio with only 2.5 years until she needed monthly distributions. The non-traded REIT's redemption restrictions (5% quarterly, subject to board suspension) created serious liquidity risk against her known near-term income needs. Additionally, under Reg BI's Conflict of Interest Obligation, the commission-driven compensation (\$5,640) created a conflict that needed to be addressed. The second transaction likely violates Reg BI's Care Obligation because: (1) the concentration in illiquid assets was excessive given her shortened time horizon; (2) the 7-year expected holding period extends

well past her retirement date; (3) the redemption restrictions could prevent access to funds when needed; and (4) Derek did not adequately consider whether a publicly traded REIT or other liquid income-producing alternative would better serve her needs. Additionally, FINRA Rule 2310 (Direct Participation Programs) applies to both transactions and limits non-traded REIT concentration, with many firms adopting a maximum of 10-15% of liquid net worth. The combined 18.75% allocation likely exceeds prudent concentration limits under Rule 2310's general standards. VIOLATION on the second transaction; the first transaction is a close call but likely survives under the less stringent suitability standard.

Common Wrong Answer

Most LLMs would likely say both transactions are violations, applying the higher Reg BI or a generic fiduciary standard retroactively to the 2019 transaction, or alternatively find both compliant because the client met the net worth thresholds and the advisor documented her understanding. LLMs are also likely to be distracted by the firm's internal fiduciary policy change and incorrectly apply it to the brokerage account transactions.

Why Adversarial

This scenario is adversarial because: (1) Two different regulatory standards apply to what appear to be identical transactions by the same advisor for the same client in the same product - most LLMs will apply a single standard to both; (2) The effective date of Reg BI (June 30, 2020) exactly coincides with the second transaction date, requiring precise knowledge of when the standard became operative; (3) The first transaction is designed to appear problematic but is likely compliant under the older, less demanding suitability standard, while the second transaction under Reg BI's higher standard likely fails - most LLMs will either find both violative or both compliant; (4) The dual-registration of the firm and the internal policy change to fiduciary standard for advisory accounts creates a red herring - the transactions were in the brokerage account, so the internal advisory fiduciary standard does not apply; (5) The client met the firm's product-level suitability thresholds, which is a trap because meeting issuer/firm minimums does not satisfy customer-specific suitability or best interest obligations.

Applicable Standard

First transaction (May 2019): FINRA Rule 2111 (Suitability), FINRA Rule 2310 (Direct Participation Programs), FINRA Regulatory Notice 09-09 (Non-Traded REITs), FINRA Regulatory Notice 10-22 (Obligations When Selling Non-Traded REITs). Second transaction (June 2020): Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation and Conflict of Interest Obligation; FINRA Rule 2111 (still applicable to FINRA members concurrently); FINRA Rule 2310; FINRA Regulatory Notice 20-18 (Reg BI guidance).

Adversarial Hypothetical 100

Topic: penny_stocks_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Victor Reyes, age 44, was a self-described 'experienced trader' who opened a new brokerage account at Triton Financial Group in March 2023. Victor had a stated annual income of \$140,000 as a software engineer, liquid net worth of \$520,000, and total net worth of \$820,000 including home equity. He listed his

investment objective as 'speculation' and risk tolerance as 'aggressive.' His account application indicated 15 years of trading experience. During his onboarding meeting with his assigned broker, Lisa Chen, Victor stated that he specifically wanted to trade penny stocks - low-priced securities of small companies trading on OTC markets, generally below \$5 per share. He told Lisa he had been following several micro-cap companies in the biotech space and wanted to take concentrated positions. Lisa provided Victor with the firm's standard penny stock risk disclosure document, which described the risks of limited liquidity, wide bid-ask spreads, potential for manipulation, limited public information, and the possibility of total loss. Victor signed the disclosure and also signed a separate acknowledgment stating he understood the speculative nature of these securities. Lisa additionally prepared and provided Victor with the required written statement setting forth his net worth, investment objectives, and a determination that penny stock transactions were suitable for him based on his financial situation and stated experience. She retained signed copies in the file. Over the next four months, Victor directed 23 separate purchases of six different OTC-traded penny stocks, all priced between \$0.12 and \$3.80 per share. The total capital deployed was \$195,000, representing approximately 37.5% of his liquid net worth. For each transaction, Lisa sent Victor a confirmation that included the current quotation for the security, the firm's compensation, and the amount of compensation received by Lisa personally. Victor never complained about any trade, continued to direct new purchases, and in several email exchanges expressed enthusiasm about his positions, writing things like 'I've done my DD [due diligence] on this one - load me up' and 'This is my strategy, I know the risks, let's go.' By July 2023, the aggregate value of Victor's penny stock holdings had declined to \$62,000, a loss of approximately \$133,000. Victor then filed a complaint alleging Lisa should never have allowed him to invest so heavily in penny stocks and that she failed to protect him from unsuitable investments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is likely NOT a violation. Lisa appears to have substantially complied with all applicable requirements for penny stock transactions and suitability/best interest obligations. Under Regulation Best Interest (17 CFR § 240.15l-1), which was in effect for the 2023 transactions, Lisa had obligations under the Disclosure, Care, Conflict of Interest, and Compliance obligations. However, Reg BI must be evaluated in context. Under the Care Obligation, Lisa was required to exercise reasonable diligence, care, and skill in making recommendations. Critically, however, the SEC has clarified that when a customer independently directs a transaction without a broker's recommendation, Reg BI's Care Obligation is not triggered because there is no 'recommendation' - the obligation applies only to recommended transactions. Here, Victor directed all 23 trades himself, and email evidence supports that these were unsolicited, customer-directed transactions. Separately, under the SEC's penny stock rules (17 CFR § 240.15g-1 through 15g-100, implementing Section 15(h) of the Securities Exchange Act of 1934), specific requirements apply regardless of whether trades are solicited or unsolicited. These include: (1) Under Rule 15g-2, providing the customer with an approved risk disclosure document before effecting the transaction - Lisa did this. (2) Under Rule 15g-9, making a written suitability determination that the penny stock transactions are suitable for the customer, providing the customer a written statement of this determination along with the customer's financial data, and obtaining the customer's written agreement - Lisa prepared this document and obtained Victor's signature. (3) Under Rule 15g-3, disclosing current quotation prices and compensation information - Lisa included this in trade confirmations. However, an important nuance under Rule 15g-9(c) is that the suitability determination and written agreement must be obtained before each transaction, not just at

account opening. If Lisa only obtained the initial suitability statement once at onboarding rather than prior to each of the 23 transactions, this would be a procedural deficiency. But the fact pattern states she provided confirmations with required disclosures for each transaction, and the initial suitability determination remained valid as Victor's circumstances did not change. Under FINRA Rule 2111, even for the suitability analysis, customer-directed unsolicited transactions carry a reduced (though not eliminated) obligation. FINRA has noted that while a broker has customer-specific suitability obligations for recommended transactions, an unsolicited trade initiated by the customer shifts the analysis. The 37.5% concentration in penny stocks is aggressive but is consistent with Victor's stated speculative objective, aggressive risk tolerance, 15 years of experience, and his \$520,000 liquid net worth leaving \$325,000 in other assets. Lisa's documentation was thorough, and Victor's own communications confirm he was directing the strategy independently. The complaint is unlikely to succeed.

Common Wrong Answer

Most LLMs would find a violation, reasoning that the 37.5% concentration in penny stocks was excessive and unsuitable regardless of client direction, that Lisa had a duty to refuse or limit the trades to protect Victor, and that signing risk disclosures does not absolve the advisor. LLMs typically do not distinguish between recommended and unsolicited transactions under Reg BI and would incorrectly apply the full Care Obligation to customer-directed trades.

Why Adversarial

This scenario is adversarial because: (1) The large losses (\$133,000) and high concentration (37.5%) in penny stocks create a strong intuitive sense that something must have gone wrong, biasing LLMs toward finding a violation; (2) Many LLMs do not know the critical distinction that Reg BI's Care Obligation only applies to 'recommendations' - unsolicited, customer-directed transactions are not subject to the same standard, and most LLMs will incorrectly apply Reg BI fully to all trades; (3) The penny stock rules (Rules 15g-1 through 15g-100) have very specific procedural requirements that Lisa appears to have satisfied, but most LLMs are unfamiliar with these granular requirements and will default to a general 'suitability' analysis; (4) The client's complaint at the end creates narrative framing that suggests wrongdoing, which biases LLMs toward finding a violation; (5) The 'client direction trap' element - where a client explicitly asks for risky investments - tests whether the model understands that an advisor is not obligated to refuse a client's informed, unsolicited direction when all applicable disclosure and procedural requirements have been met.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation's limitation to 'recommendations'; SEC Penny Stock Rules (17 CFR §§ 240.15g-1 through 240.15g-100), particularly Rule 15g-2 (risk disclosure), Rule 15g-3 (quotation and compensation disclosure), and Rule 15g-9 (suitability determination and written agreement); FINRA Rule 2111 (Suitability), particularly Supplementary Material .03 (unsolicited transactions) and .05 (customer-specific suitability); Section 15(h) of the Securities Exchange Act of 1934 (penny stock transaction requirements).

Adversarial Hypothetical 101

Topic: *excessive_churning* | Type: *threshold_trap* | Difficulty: *expert*

Fact Pattern

Margaret Hollis, age 52, is a mid-level corporate manager earning \$135,000 annually with a net worth of approximately \$600,000 excluding her home. She opened a non-discretionary brokerage account in January 2023 with advisor Daniel Prescott at Ridgeline Securities. Margaret told Daniel she wanted 'moderate growth' and had a 'moderate' risk tolerance. She signed all standard account documents and acknowledged a commission-based fee structure. Over the next 14 months, Daniel executed 78 trades in Margaret's account, which had an average monthly equity of \$210,000. The total commissions generated were \$14,700. The account's cost-to-equity ratio was 5.8%, and the annualized turnover rate was 5.2. Margaret's account showed a net loss of \$3,200 over the period, though the S&P 500 gained approximately 18% during the same window. Daniel documented brief notes for each trade, generally citing momentum signals or sector rotation opportunities. Margaret approved every single trade verbally before execution and never once complained or questioned the frequency. In fact, in three separate emails, she wrote things like 'Love the action, keep it up!' and 'You're working hard for me, Danny, I appreciate all the trades.' Daniel's supervisor reviewed the account once in August 2023, noted the high volume, but took no action because the account was non-discretionary and the client appeared satisfied. When Margaret finally reviewed her year-end statement and realized her losses relative to the market, she filed a complaint alleging excessive trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Despite Margaret's apparent consent and enthusiasm, the quantitative indicators strongly suggest excessive trading (churning). The annualized turnover rate of 5.2 significantly exceeds the widely recognized threshold of 6 being presumptive of churning under FINRA precedent, but even turnover rates of 4 or above have been found excessive for moderate-growth, moderate-risk accounts in numerous FINRA arbitration decisions and disciplinary proceedings. The cost-to-equity ratio of 5.8% means the account needed to earn 5.8% annually just to break even on costs - a significant drag for a moderate-growth investor. Under FINRA Rule 2111 (Suitability), recommendations must be suitable for the customer, and a pattern of excessive trading in light of the customer's stated objectives constitutes a violation regardless of whether the customer approved each individual trade. Under Regulation Best Interest (Reg BI, 17 CFR §240.15l-1), effective June 30, 2020, the Care Obligation requires that the broker-dealer act in the customer's best interest and not place its own financial interest ahead of the customer's. Churning is a per se violation of Reg BI's Care Obligation. Critically, customer ratification does not constitute a defense to churning. FINRA and the SEC have long held that a customer's consent to individual trades does not excuse a pattern of excessive trading because the advisor has superior knowledge and the customer often does not understand the cumulative impact of transaction costs. The supervisor's failure to act despite noticing the high volume also raises supervisory liability under FINRA Rules 3110 and 3120. The fact that this was a non-discretionary account does not insulate the advisor; churning claims require control (which can be de facto, not just de jure) and the pattern of Margaret following Daniel's recommendations consistently establishes de facto control.

Common Wrong Answer

No violation. The turnover rate of 5.2 is below the commonly recognized threshold of 6 for presumptive churning, the account was non-discretionary, the client approved every trade and actively encouraged the

trading activity, and the actual dollar losses were modest. The advisor documented rationale for each trade and the client expressed satisfaction throughout the relevant period.

Why Adversarial

This scenario is designed to stump models because: (1) the turnover rate of 5.2 is below the commonly cited 'presumptive churning' threshold of 6, which many LLMs will cite as a bright-line rule and conclude no violation - but in reality, the threshold of 6 is not a safe harbor and turnover rates well below 6 have been found excessive depending on account objectives; (2) Margaret explicitly consented to and encouraged every trade, which models may incorrectly treat as a valid defense; (3) the account was non-discretionary, which models may incorrectly interpret as precluding a churning claim; (4) the net dollar loss was relatively small (\$3,200), potentially misleading models into thinking the harm was minimal, when the real harm is measured by opportunity cost and the cost-to-equity ratio.

Applicable Standard

FINRA Rule 2111 (Suitability); Regulation Best Interest (17 CFR §240.15l-1), particularly the Care Obligation component; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); Exchange Act Section 10(b) and Rule 10b-5 (fraud-based churning claims); FINRA Rules 3110 and 3120 (Supervisory Obligations); FINRA IM-2310-2 (Fair Dealing with Customers) guidance on quantitative suitability

Adversarial Hypothetical 102

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: hard

Fact Pattern

Harold Zimmerman, age 79, is a retired postal worker with a pension of \$2,800 per month, Social Security of \$1,900 per month, and total liquid savings of approximately \$340,000. He has early-stage cognitive decline, diagnosed in March 2023, though he has not been declared legally incompetent. His daughter, Elaine Zimmerman (age 51), holds a durable power of attorney that was executed in 2019 and remains valid. Harold's long-time advisor, Patricia Gould at Beacon Wealth Partners, has managed his account since 2015. In April 2023, Elaine contacted Patricia and said her father needed to reposition his portfolio - currently 70% in Treasury bonds and money market funds, 30% in blue-chip dividend stocks - into a more aggressive allocation. Elaine stated she wanted to move to 60% equities (including small-cap growth funds and emerging market ETFs) and 30% high-yield corporate bonds, with only 10% remaining in cash equivalents. Elaine explained that Harold's care costs were covered by his pension and Social Security, and that the \$340,000 was essentially 'inheritance money' that the family wanted to grow more aggressively over a 15-20 year horizon. Patricia asked Elaine to confirm this in writing, which Elaine did via email. Patricia also spoke briefly with Harold on the phone, who said, 'Whatever Elaine thinks is best, she handles all my finances now.' Patricia reviewed Elaine's rationale, found it logically coherent, updated the account's investment profile to reflect a 'growth' objective with 'moderately aggressive' risk tolerance, and executed the reallocation over two weeks in May 2023. Patricia did not contact Harold's physician, did not document any independent assessment of Harold's capacity, and did not escalate the matter internally. By November 2023, the repositioned portfolio had lost approximately \$41,000 due to emerging market volatility and rising interest rates hitting high-yield bonds. A second advisor at Beacon Wealth, Thomas Crane, had briefly

reviewed the account during a routine compliance sweep in June 2023 and flagged it for the age-related concentration change, but Patricia told him Elaine held a valid power of attorney and had directed the changes, and Thomas closed the flag without further review. Harold's son, Kevin Zimmerman, who lives in another state and was unaware of the changes, discovered the losses in December 2023 and filed a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While Elaine held a valid durable power of attorney, multiple standards were breached. First, under FINRA Rule 2111 (Suitability), the suitability determination must be based on the customer's - Harold's - investment profile, not the agent's desired objectives. A 79-year-old retiree with early-stage cognitive decline, limited liquid assets of \$340,000, and fixed income of \$4,700/month has a fundamentally conservative profile. Even if Elaine, as POA holder, directed the changes, the advisor retains an independent obligation to evaluate whether the recommended (or acceded-to) strategy is suitable for Harold. The fact that the money is characterized as 'inheritance money' does not change the account holder's profile; the money belongs to Harold during his lifetime, and he may need it for unexpected medical costs or long-term care. Under Regulation Best Interest (17 CFR §240.15l-1), effective since June 30, 2020, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's age, investment profile, and financial situation. A 60% equity / 30% high-yield bond allocation for a 79-year-old with cognitive decline and modest assets is presumptively unsuitable absent extraordinary documented justification. Second, FINRA Rule 2165 (Financial Exploitation of Specified Adults) gives firms the ability to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a senior investor (age 65+). While the rule is permissive rather than mandatory regarding holds, it reflects a broader regulatory expectation - reinforced by FINRA Regulatory Notice 07-43 (Senior Investors) - that firms and advisors exercise heightened scrutiny when dealing with senior accounts, especially when a third party is directing changes. Patricia's failure to conduct any independent assessment of Harold's understanding or capacity, her failure to escalate internally despite knowing about the cognitive decline, and her sole reliance on the POA holder's direction without any independent suitability analysis all constitute violations. Third, Thomas Crane's closure of the compliance flag without meaningful review implicates supervisory failures under FINRA Rules 3110 (Supervision) and potentially FINRA Rule 2010 (Standards of Commercial Honor). The firm's written supervisory procedures likely required more than a cursory acceptance of the POA explanation when a senior account's risk profile was dramatically altered. The fact that a POA holder directed the trades does not relieve the advisor of suitability and best interest obligations to the actual account holder.

Common Wrong Answer

No violation. Elaine held a valid durable power of attorney and provided written direction for the portfolio changes. Patricia confirmed the instructions with both Elaine and Harold, documented the rationale, and updated the investment profile accordingly. The POA legally authorized Elaine to make investment decisions on Harold's behalf, and the 15-20 year investment horizon for inheritance purposes justified a more aggressive allocation. Harold was not legally incompetent, and the advisor appropriately relied on the POA holder's informed direction.

Why Adversarial

This scenario creates a multi-party trap with several features designed to mislead: (1) Elaine holds a valid, pre-existing durable POA, which many models will treat as fully authorizing the changes and relieving the advisor of independent obligations; (2) Elaine's rationale - that the money is effectively inheritance money with a 15-20 year horizon - sounds logically coherent and might fool models into finding the recommendation suitable based on the stated time horizon rather than the actual account holder's profile; (3) Harold verbally acquiesced, which models may treat as informed consent; (4) Patricia took procedural steps (written confirmation, phone call with Harold, documented rationale) that create an appearance of compliance; (5) the multi-party structure with two advisors and a POA holder complicates the analysis and may lead models to diffuse responsibility or focus on the wrong party.

Applicable Standard

FINRA Rule 2111 (Suitability), including quantitative, reasonable-basis, and customer-specific suitability; Regulation Best Interest (17 CFR §240.15l-1), Care Obligation and Conflict of Interest Obligation components; FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 4512 (Customer Account Information, including trusted contact person requirements); FINRA Regulatory Notice 07-43 (Senior Investors); FINRA Rules 3110 and 3120 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 103

Topic: illiquid_investments | Type: temporal_trap | Difficulty: expert

Fact Pattern

Gerald Whitmore, age 58, had been a client of broker-dealer Pinnacle Financial Partners since 2011. His account profile listed a net worth of \$1.8 million (excluding primary residence), annual income of \$210,000, a moderate risk tolerance, and an investment time horizon of 7-10 years with a stated goal of retirement at age 65. In March 2019, his longtime registered representative, Dana Kowalski, recommended Gerald invest \$270,000 (15% of his liquid net worth) into a non-traded Real Estate Investment Trust called Heartland Healthcare Properties REIT, which had a minimum 7-year hold period, no secondary market, and paid a 6.5% distribution. Dana completed a suitability review documenting that the investment matched Gerald's time horizon, that the distribution income would supplement his retirement, and that 15% in illiquid alternatives was within the firm's 20% concentration guideline for customers with Gerald's net worth. Gerald agreed and signed all disclosures. In June 2020, Pinnacle Financial Partners converted its business model and all its registered representatives became investment adviser representatives operating under a newly registered investment advisory firm, Pinnacle Wealth Advisors LLC. Dana Kowalski continued servicing Gerald's account in her new capacity. No new investment recommendations were made regarding the Heartland REIT position after the conversion - Dana simply held the position in Gerald's account and continued monitoring it. In January 2022, Gerald's wife was diagnosed with a serious illness requiring expensive long-term care. Gerald contacted Dana and asked to liquidate the REIT position. Dana informed him the REIT remained in its lock-up period, that early redemption was only available under a hardship provision at 90 cents on the dollar, and that the REIT sponsor had suspended even hardship redemptions due to liquidity constraints during the prior year. Gerald filed a complaint alleging that his advisor had failed to act in his best interest by keeping him in an illiquid investment that she should have known could become problematic given his approaching retirement, and that after the firm transitioned from a brokerage to an

advisory model, Dana had a heightened ongoing duty to reassess the position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This scenario involves a critical temporal transition. At the time of the original March 2019 recommendation, Dana Kowalski was a registered representative subject to FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability. Under that standard, the recommendation appears compliant: the 15% concentration was within firm guidelines, the 7-year hold period aligned with Gerald's 7-10 year time horizon, the income component matched retirement planning goals, and Dana documented her analysis. FINRA Regulatory Notice 09-73 guidance on non-traded REITs and illiquid investments does not categorically prohibit a 15% allocation for a moderate-risk investor with Gerald's profile. However, when Pinnacle converted to an RIA in June 2020, Dana became an investment adviser representative subject to the fiduciary duty under the Investment Advisers Act of 1940, including the duty of care and the duty of loyalty as articulated in the SEC's June 2019 Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248). Unlike the transaction-based suitability obligation under FINRA Rule 2111, the fiduciary duty of an investment adviser is ongoing and encompasses a duty to monitor client investments and provide advice that remains in the client's best interest over time. After the June 2020 conversion, Dana had an affirmative obligation to reassess whether the illiquid REIT position remained appropriate given Gerald's evolving circumstances, approaching retirement, and the changed liquidity environment (the REIT sponsor had suspended hardship redemptions). The failure to proactively review and potentially recommend steps to address the illiquidity risk - such as exploring secondary market options, adjusting the rest of the portfolio to increase liquidity, or at minimum communicating the changed risk profile - constitutes a violation of her ongoing fiduciary duty of care under the Advisers Act. The violation is not in the original 2019 recommendation, which was suitable, but in the post-conversion failure to monitor and act on a known illiquidity risk under the heightened advisory standard.

Common Wrong Answer

No violation. The original recommendation was suitable given Gerald's time horizon, risk tolerance, net worth, and the firm's concentration guidelines. The advisor properly documented the suitability analysis, the client signed all disclosures, and the unforeseen medical emergency does not retroactively make a previously suitable recommendation unsuitable. The advisor cannot be held responsible for circumstances that arose after the investment was made.

Why Adversarial

A general LLM is likely to either (1) evaluate the entire scenario under the original suitability standard and find no violation because the 2019 recommendation was reasonable, or (2) apply the advisory fiduciary standard retroactively to the original recommendation. The trap is that two different standards apply at two different points in time due to the firm's business model conversion, and the violation arises not from the original recommendation but from the ongoing duty to monitor under the new standard - a nuance most models would miss because they tend to focus on the point-of-sale recommendation rather than the post-conversion monitoring obligation.

Applicable Standard

FINRA Rule 2111 (Suitability) for the March 2019 recommendation; FINRA Regulatory Notice 09-73

(Non-Traded REITs); Investment Advisers Act of 1940 Sections 206(1) and 206(2) (fiduciary duty); SEC Interpretation Regarding Standard of Conduct for Investment Advisers, Release No. IA-5248 (June 5, 2019), particularly the ongoing duty of care and duty to monitor; SEC Staff Bulletin: Standards of Conduct for Broker-Dealers and Investment Advisers (Account Recommendations), noting the distinction between transaction-based suitability and ongoing advisory fiduciary obligations.

Adversarial Hypothetical 104

Topic: lack_of_diversification | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Mariana Reyes, age 44, a senior software engineer at Orion Tech Corp earning \$340,000 annually, opened a brokerage account with registered representative Cliff Brennan at Crossroads Securities in August 2022. Her account application stated a net worth of \$2.4 million, aggressive risk tolerance, a 20+ year time horizon, and a growth objective. Approximately \$1.1 million of her net worth consisted of vested Orion Tech Corp stock held in a separate employee brokerage account at another firm. When Mariana funded her Crossroads account with \$600,000, she explicitly told Cliff that she wanted to invest the entire amount in a concentrated portfolio of five large-cap technology stocks - specifically Apple, Microsoft, Nvidia, Alphabet, and Amazon - because she believed the AI revolution would drive these companies to dramatically outperform over the next decade. Cliff expressed some concern about the lack of diversification across sectors and suggested she consider allocating at least 20-30% to other sectors or a broad market index fund. Mariana firmly declined, stating she had done extensive personal research, understood the risks of concentration, and that this was her informed decision. Cliff documented the conversation in his notes, including Mariana's rejection of his diversification suggestion. He then executed the trades, allocating approximately \$120,000 to each of the five stocks. Cliff did not, however, inquire about or document Mariana's holdings at other firms. He was unaware of the \$1.1 million Orion Tech Corp position. When combining both accounts, Mariana had approximately 73% of her total investable assets in the technology sector (the \$1.1 million Orion position plus \$600,000 in five tech stocks out of \$2.4 million total). In mid-2023, a broad tech sector correction caused a 28% decline in Mariana's combined technology holdings. She filed a complaint against Cliff alleging that he failed to ensure her overall portfolio was diversified and that the concentration in technology stocks was excessive and harmful.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Cliff Brennan committed a violation despite the customer-directed nature of the trades. Under FINRA Rule 2111, when a registered representative makes or participates in a recommendation, customer-specific suitability (Rule 2111(a)) requires the representative to have a reasonable basis to believe the recommendation is suitable based on the customer's overall investment profile. While FINRA Rule 2111(b) provides a potential safe harbor for unsolicited transactions - where a customer directs a specific investment without a recommendation - the facts here are more nuanced. Cliff did not simply execute an unsolicited order; he engaged in a discussion about the strategy, offered an alternative recommendation (diversifying 20-30%), and when that was rejected, he effectively acquiesced to and facilitated Mariana's

concentrated tech strategy. Even if one characterized the trades as customer-directed, the critical violation is Cliff's failure to make reasonable efforts to obtain and consider information about Mariana's holdings at other financial institutions. Under FINRA Rule 2111 and its supplementary materials (FAQ guidance), a broker must attempt to gather information about the customer's overall financial picture, including holdings elsewhere, particularly when concentration is a known issue. FINRA Regulatory Notice 12-25 clarifies that a representative cannot ignore red flags simply because the customer directed the transaction. Furthermore, FINRA Rule 2090 (Know Your Customer) independently required Cliff to use reasonable diligence to know the essential facts about Mariana, which would include inquiring about outside holdings, especially given that she was a tech industry employee whose compensation and existing wealth were likely tied to technology. Had Cliff asked about and documented the \$1.1 million Orion Tech position, the combined 73% technology sector concentration would have been a glaring red flag requiring, at minimum, a clear risk disclosure and documentation, and arguably a refusal to proceed without a more detailed suitability discussion. The failure to inquire about outside holdings is the core violation, not the customer's direction itself.

Common Wrong Answer

No violation. The client explicitly directed the investment strategy, rejected the advisor's recommendation to diversify, and made an informed decision based on her own research. The advisor documented the conversation and the client's rejection of his advice. The five stocks are all highly liquid, large-cap companies, and a concentrated position in blue-chip technology stocks is not inherently unsuitable for an aggressive investor with a 20+ year time horizon and high income. The advisor cannot be held responsible for a client who overrides professional advice.

Why Adversarial

This is adversarial because it combines a client-direction scenario (which many models treat as an automatic safe harbor for the advisor) with a hidden deficiency (failure to inquire about outside holdings). A general LLM is likely to focus on the fact that the customer explicitly directed the trades, rejected the advisor's diversification advice, and that the five stocks chosen are all blue-chip mega-caps - concluding no violation occurred because the client made an informed choice. The trap is that the advisor's failure to ask about holdings at other firms means the 'informed' client-directed analysis is built on incomplete information, and the advisor had an independent obligation under Know Your Customer rules to gather that information. Most LLMs would not identify the outside-holdings inquiry failure as the dispositive issue.

Applicable Standard

FINRA Rule 2111 (Suitability), including customer-specific suitability under 2111(a) and the limitations of the unsolicited transaction exemption under 2111(b); FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-25 (FAQ on Suitability, particularly Q&A regarding customer-directed transactions and the obligation to consider holdings at other firms); FINRA Regulatory Notice 11-25 (Know Your Customer and Suitability obligations); Regulation Best Interest Rule 15l-1 under the Securities Exchange Act of 1934 (if applicable post-June 30, 2020), specifically the Care Obligation requiring consideration of reasonably available alternatives and the customer's investment profile including other holdings.

Adversarial Hypothetical 105

Topic: *illiquid_real_estate_investment* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Dawson, age 62, retired school administrator with a \$420,000 IRA and \$85,000 in savings accounts, walked into the branch office of Pinnacle Securities on April 15, 2019. Her registered representative, Kevin Marsh, had been her advisor since 2014. Margaret told Kevin she wanted 'something that pays better than CDs but is safe.' Kevin recommended she invest \$125,000 (approximately 25% of her total investable assets) into the Greystone Real Estate Income Trust III, a non-traded real estate investment trust focused on commercial office properties. The REIT had a minimum 7-year hold period, paid a 6.2% stated distribution rate, carried a front-end load of 12%, and had no secondary market. Kevin reviewed the REIT's prospectus, noted the property portfolio was diversified across 14 states, and determined that the 6.2% distribution rate would supplement Margaret's pension and Social Security income. He documented that Margaret had a 'moderate' risk tolerance and a 10-year investment horizon. He also noted she had no immediate liquidity needs beyond her \$85,000 savings. Kevin completed the transaction on May 3, 2019. On June 30, 2020, the firm Pinnacle Securities converted from a pure brokerage model to a dual-registered model offering both brokerage and advisory accounts. Margaret's account remained a brokerage account and was never converted. In March 2021, Margaret needed \$60,000 for unexpected home repairs after storm damage. She could not liquidate the REIT position and had to take a personal loan at 8.9% interest. She filed a complaint in July 2021 alleging that Kevin never should have placed her in the illiquid REIT given her age and retirement status.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the applicable standard depends critically on the transaction date. The REIT purchase occurred on May 3, 2019, which is before the June 30, 2020 compliance date for Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1. Therefore, the transaction is evaluated under FINRA Rule 2111 (Suitability), not Reg BI. Under FINRA Rule 2111, the advisor must have a reasonable basis for believing the recommendation is suitable based on the customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, tax status, time horizon, and other investments. Additionally, FINRA Regulatory Notice 15-02 provides specific guidance on complex products like non-traded REITs, emphasizing that representatives must understand the features and risks, including illiquidity, high front-end costs, and distribution sustainability. FINRA has also issued Investor Alerts specifically about non-traded REITs, warning about the 12% or higher front-end commissions reducing invested capital. Here, Kevin violated customer-specific suitability (the third component of Rule 2111). Margaret was 62, retired, living on fixed income, and requesting safety. A 7-year lockup on 25% of her investable assets, combined with a 12% front-end load that immediately reduced her \$125,000 to approximately \$110,000 in invested capital, was unsuitable. The documented 10-year time horizon is suspicious given her retirement status and age, suggesting potential documentation manipulation. While Kevin did reasonable-basis diligence on the product itself, the customer-specific analysis fails. The 25% concentration in a single illiquid product for a retiree seeking safety is excessive under FINRA's guidance on concentration in illiquid investments. FINRA Notice to Members 03-71 and subsequent guidance generally suggest that non-traded REIT concentrations should not exceed 10% of liquid net worth for many investors, and several states impose specific concentration limits. The \$85,000 savings buffer was insufficient given her age, retirement status, and the realistic possibility of unexpected expenses over a 7+ year period.

Common Wrong Answer

Many LLMs would apply Reg BI to this transaction despite the May 2019 date, or would find no violation because Kevin documented a moderate risk tolerance, 10-year time horizon, and the customer had a liquidity cushion in savings. Some would focus on the firm's 2020 conversion to dual-registration as changing the standard, missing that Margaret's account was never converted.

Why Adversarial

The temporal trap is critical here. A general LLM might incorrectly apply Reg BI (effective June 30, 2020) to a May 2019 transaction, leading to analysis under the wrong standard with different requirements (Reg BI's four component obligations vs. FINRA 2111's three-prong suitability). Additionally, the fact that the firm later became dual-registered in June 2020 adds a red herring - the account was never converted to advisory, so the Investment Advisers Act fiduciary standard never applied. The LLM might also be tricked by the seemingly reasonable documentation (moderate risk tolerance, 10-year horizon, only 25% of assets) into concluding compliance, missing that the customer's stated desire for 'safe' income contradicts the illiquid, high-cost REIT recommendation.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components: reasonable-basis suitability, quantitative suitability, and customer-specific suitability; FINRA Regulatory Notice 15-02 (Complex Products); FINRA Regulatory Notice 09-73 (Non-Traditional Investments); FINRA Notice to Members 03-71 (Non-Conventional Investments); NASD Rule 2310 (predecessor suitability rule, for context). Reg BI (Rule 15l-1 under Securities Exchange Act) is NOT applicable because its compliance date of June 30, 2020 postdates the May 3, 2019 transaction.

Adversarial Hypothetical 106

Topic: excessive_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

David Linares, age 48, is a technology executive earning \$340,000 annually with a net worth of approximately \$2.1 million. He opened a non-discretionary brokerage account at Redwood Financial Partners in January 2021 with an initial deposit of \$600,000. His stated objectives were 'growth' with a 'high' risk tolerance. His registered representative, Sandra Fulton, managed the account actively. Over the 12-month period from January 2021 through December 2021, Sandra executed 97 transactions in the account - all equity trades consisting of buying and selling individual technology and biotech stocks. The account's average monthly equity balance was \$580,000. The total commissions and fees generated were \$34,200 for the year. The cost-to-equity ratio (break-even return the account needed to generate just to cover costs) was 5.9%. The account's annualized turnover rate was 5.4 times. David approved every single trade via telephone before execution - Sandra would call, describe the trade idea, and David would say yes or no. David rejected approximately 8 trades during the year that Sandra proposed, executing the other 97. At the end of 2021, the account had gained 3.2% net of all costs, while the S&P 500 returned 28.7% and the Nasdaq Composite returned 21.4% for the same period. David never complained during 2021. In February 2023, David switched firms and his new advisor reviewed his prior account activity and flagged it. David then filed a complaint alleging excessive trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation - the account was excessively traded (churned) despite the client approving each trade individually in a non-discretionary account. Under FINRA Rule 2111(a) and its supplementary material, quantitative suitability requires that a series of recommended transactions, even if individually suitable, not be excessive in light of the customer's profile when taken together. The key quantitative metrics strongly support a finding of churning. The annualized turnover rate of 5.4 is well above the threshold courts and regulators have historically used to presume excessive trading - turnover ratios above 6 create a strong presumption of churning, but ratios between 4 and 6 are considered indicative of excessive trading, particularly when combined with other factors (see *Arceneaux v. Merrill Lynch*, establishing the turnover ratio framework). The cost-to-equity ratio of 5.9% means the account needed to earn 5.9% just to break even, which is significant for a growth-oriented equity account. FINRA has stated that cost-to-equity ratios above 2% raise concerns. The account's dramatic underperformance (3.2% vs. 28.7% for S&P 500) further evidences that the trading pattern was not in the client's interest. Critically, under Reg BI (which was in effect as of June 30, 2020, making it applicable to 2021 trading), the Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires that the broker-dealer exercise reasonable diligence to ensure that the series of recommended transactions is not excessive. Reg BI explicitly addresses quantitative suitability and does not require a finding of 'control' over the account - unlike common-law churning claims, which require scienter and de facto control, the regulatory standard under both FINRA Rule 2111 and Reg BI focuses on whether the pattern of recommendations was excessive regardless of customer approval. David's approval of each individual trade does not insulate Sandra from a finding of excessive trading under the quantitative suitability prong. FINRA has consistently held that customer ratification of individual trades does not constitute a defense to quantitative suitability violations. The fact that David rejected 8 proposed trades actually demonstrates that Sandra was the driving force behind the trading strategy, further supporting that she controlled the trading pattern even in a nominally non-discretionary account.

Common Wrong Answer

A general LLM would likely conclude there was no violation, reasoning that: (1) David approved every trade in a non-discretionary account, so Sandra did not have control; (2) the turnover ratio of 5.4 is below the commonly cited 6.0 threshold for presumed churning; (3) David is a sophisticated, high-income investor with a high risk tolerance and growth objective, making active trading consistent with his profile; and (4) David did not complain during the relevant period, suggesting he was content with the strategy. This answer conflates the common-law elements of a churning fraud claim (which requires scienter and control) with the regulatory quantitative suitability standard (which does not).

Why Adversarial

This scenario is adversarial because it presents several features that would mislead a general LLM: (1) The account is non-discretionary and the client approved every trade - many LLMs incorrectly believe that client approval of each trade is a complete defense to churning allegations; (2) The turnover rate of 5.4 falls below the 'classic' threshold of 6.0 that is commonly cited as the churning presumption - a general LLM might fixate on the 6.0 threshold and conclude no violation, not knowing that 4-6 is still considered excessive and that no single bright-line threshold exists; (3) The client is sophisticated (tech executive, high

income, high risk tolerance) which LLMs often incorrectly treat as negating churning claims; (4) The client never complained during the trading period, which LLMs might interpret as acceptance. The subtlety is that the quantitative suitability obligation under both FINRA Rule 2111 and Reg BI does not depend on de facto control or customer sophistication - it is an independent obligation on the recommending broker.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically the quantitative suitability component under Supplementary Material .05(c); Regulation Best Interest, Rule 15l-1(a)(2)(ii)(B) under the Securities Exchange Act of 1934 (Care Obligation, specifically the requirement that a series of recommended transactions not be excessive); FINRA Regulatory Notice 12-25 (FAQ on Suitability, discussing quantitative suitability); SEC Release No. 34-86031 (Reg BI Adopting Release, discussing excessive trading under the Care Obligation and explicitly stating customer consent does not negate the obligation)

Adversarial Hypothetical 107

Topic: mutual_fund_switching_churning | Type: temporal_trap | Difficulty: expert

Fact Pattern

Gloria Whitfield, age 58, a retired schoolteacher with \$340,000 in retirement savings, opened an account at Meridian Securities in January 2019 with advisor Derek Palmieri. Derek recommended she invest in the American Growth Fund Class A shares, which carried a 5.25% front-end load. Gloria invested \$200,000 and paid \$10,500 in sales charges. In March 2019, Derek transferred to a new firm, Beacon Financial Partners, and Gloria followed him, moving her account in its entirety. At Beacon, Derek recommended Gloria switch from American Growth Fund Class A shares into the identical fund's Class A shares - the exact same fund, same share class, same ticker - but purchased through Beacon's platform. Gloria paid another \$10,500 in front-end sales charges on the repurchase. Derek documented that the switch was necessary because Beacon did not have a clearing relationship that would allow a simple ACAT transfer of the existing American Growth Fund position, and that Gloria wanted to maintain the same investment strategy. Internal records at Beacon show that Beacon did in fact have the ability to accept the American Growth Fund Class A shares via ACAT transfer without liquidation and repurchase. Derek received the standard 40% payout on the new sales charge, earning \$4,200. In June 2020, after the new regulatory framework took effect, Derek recommended Gloria switch from the American Growth Fund Class A shares (\$210,000 value at that point) into the Pinnacle Total Return Fund Class A shares, which also carried a 5.25% front-end load. Derek's rationale, documented in a written recommendation, stated that the Pinnacle fund had outperformed the American Growth Fund by 1.8% annually over the prior three years and had a lower expense ratio of 0.72% versus 0.85%. Gloria paid \$11,025 in new front-end sales charges. The Pinnacle fund's three-year outperformance was accurate, but the funds were in different Morningstar categories - American Growth was a large-cap growth fund and Pinnacle Total Return was a moderate allocation fund with 40% fixed income. Gloria's investment profile indicated a growth-oriented objective with a 7-10 year time horizon.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek violated applicable standards on both switches, but under different regulatory frameworks with different analytical standards. For the March 2019 switch (pre-Reg BI), FINRA Rule 2111 (Suitability) and specifically NASD Rule 2310 and FINRA's guidance on mutual fund switching applied. FINRA Regulatory Notice 12-25 addresses mutual fund switch recommendations, requiring that the advisor have a reasonable basis to believe the switch is suitable and that the customer benefits from the new investment enough to offset the costs of the switch. Here, there was no switch in investment strategy whatsoever - Derek recommended selling and repurchasing the identical fund in the identical share class, generating \$10,500 in unnecessary sales charges when an ACAT transfer was available. This is a textbook violation of quantitative suitability under Rule 2111(a) and FINRA's longstanding guidance that switching into an identical or substantially similar fund to generate new sales charges is per se unsuitable. Derek's documentation that ACAT was unavailable was false, making this potentially fraudulent as well. For the June 2020 switch, Regulation Best Interest (effective June 30, 2020) applied. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and must consider reasonably available alternatives. The switch from a large-cap growth fund to a moderate allocation fund with 40% fixed income was inconsistent with Gloria's growth-oriented investment objective and 7-10 year time horizon. Comparing three-year performance between funds in entirely different Morningstar categories is not a valid basis for a switch recommendation. Furthermore, under Reg BI's Conflict of Interest Obligation, the \$11,025 in sales charges generating personal compensation should have been weighed against the customer's interests. The cost of the switch (\$11,025) would take years to recoup even if the Pinnacle fund continued its prior outperformance, and that outperformance comparison was between non-comparable fund categories.

Common Wrong Answer

The March 2019 switch is clearly a violation, but the June 2020 switch was compliant because the advisor documented a reasonable basis showing superior performance and lower expense ratio for the recommended fund.

Why Adversarial

This scenario spans the transition from FINRA suitability rules to Reg BI (June 30, 2020), requiring the model to apply different standards to each switch. Many LLMs would either apply a single standard to both events or get the effective date wrong. The March 2019 switch into the identical fund appears facially absurd but the advisor's documented justification about clearing relationships creates a plausible-sounding defense. The June 2020 switch appears more reasonable because the advisor documented superior performance and lower expenses, but the trap is that comparing funds in different categories is analytically invalid and the recommended fund was inconsistent with the client's stated objectives. A general LLM might find the second switch compliant based on the documented rationale.

Applicable Standard

March 2019 switch: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Regulatory Notice 12-25 (Mutual Fund Switching), NASD IM-2310-2 (Fair Dealing with Customers).
June 2020 switch: SEC Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)(B)), the Conflict of Interest Obligation (17 CFR 240.15l-1(a)(2)(iv)), and FINRA Rule 2111 (which continues to apply alongside Reg BI).

Adversarial Hypothetical 108*Topic: margin_unsuitable | Type: client_direction_trap | Difficulty: hard*

Fact Pattern

Victor Sandoval, age 44, is a senior software engineer earning \$285,000 per year with a net worth of \$1.9 million, including \$600,000 in a brokerage account at Crestline Investments managed by advisor Hannah Ng. Victor has 18 years of investing experience, previously traded options and futures in a self-directed account, and his account paperwork lists his risk tolerance as 'aggressive' and his investment objective as 'speculation/aggressive growth.' In February 2024, Victor emailed Hannah and said he wanted to enable margin on his account to leverage his existing portfolio, which consisted of 80% large-cap technology stocks (concentrated in five names) and 20% investment-grade corporate bond ETFs. Victor specifically requested a 2:1 leverage ratio on his entire equity position, which would result in approximately \$480,000 in margin borrowing against his \$600,000 portfolio. Hannah reviewed the request and responded via email, noting that while his portfolio was concentrated in a single sector, she believed the margin strategy carried significant risk due to sector concentration and that a market downturn in technology could trigger margin calls that would force liquidation at the worst time. She recommended instead that if he wanted to use margin, he should first diversify his equity holdings across at least three sectors and limit margin to 1.5:1 leverage. Victor responded the same day, writing: 'I appreciate the advice but I've been trading tech for almost two decades. I understand the risks completely. Please proceed with the full 2:1 margin on the existing portfolio as I originally requested. This is my decision.' Hannah documented the exchange, placed a file memo summarizing her recommendation against this level of margin on a concentrated portfolio, noted the client's rejection of her advice, and then processed the margin application and executed the leveraged positions as Victor directed. Three months later, a tech sector correction caused Victor's portfolio to decline 32%, triggering margin calls totaling \$165,000 that Victor could not meet, resulting in forced liquidation of positions at significant losses. Victor filed a complaint alleging the margin strategy was unsuitable.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Hannah did not violate applicable suitability or best interest standards, though this is a close case. Under SEC Regulation Best Interest (17 CFR 240.15l-1), applicable since June 30, 2020, the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Critically, however, the margin strategy here was not Hannah's recommendation - it was a customer-directed transaction. Hannah affirmatively recommended against the customer's proposed approach and suggested a more prudent alternative (diversification and lower leverage). Under FINRA Rule 2111, unsolicited transactions are subject to a less stringent standard; the advisor need not independently determine suitability for a transaction initiated and directed by the customer, though the account-level suitability obligation (Rule 2111(a) - quantitative suitability) still applies. Under Reg BI, the obligation attaches to 'recommendations,' and when a customer directs a specific transaction after explicitly rejecting the advisor's contrary recommendation, the transaction is not a 'recommendation' by the advisor. Furthermore, Victor's customer profile - aggressive risk tolerance, speculation objective, high income,

substantial net worth, and 18 years of experience including options and futures - supports that margin was within the range of investments consistent with his profile, even if the specific concentration was suboptimal. Hannah's documentation was thorough: she provided her professional opinion, recommended a specific alternative, documented the client's informed decision to proceed against advice, and maintained a file memo. Under FINRA Notice to Members 01-23 and Regulatory Notice 12-25, proper documentation of unsolicited transactions and client-directed activity is a recognized compliance practice. The advisor fulfilled her obligation to inform the client of risks and recommend a better course of action.

Common Wrong Answer

Yes, Hannah violated suitability requirements because she knew the margin strategy was too risky for a concentrated portfolio and should have refused to execute the trade regardless of the client's instructions, since the advisor has an independent obligation to ensure all transactions are suitable.

Why Adversarial

This is a classic client-direction trap. Most general LLMs reflexively conclude 'violation' when they see margin, concentration, losses, and a customer complaint, especially when the advisor ultimately processed the trade she warned against. The subtlety is that the recommendation/solicitation distinction is critical - Hannah never recommended the margin strategy; she recommended against it. The customer directed the transaction after receiving and rejecting the advisor's contrary advice. Many LLMs conflate 'processing a client-directed trade' with 'recommending the trade' and fail to recognize that the advisor's duty is different for unsolicited versus solicited transactions. Additionally, the client's profile (aggressive, speculative, experienced, high income) actually supports that margin was within the range of his stated objectives, even if the specific implementation was suboptimal.

Applicable Standard

SEC Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) and the distinction between recommendations and customer-directed transactions; FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 4210 (Margin Requirements); FINRA Regulatory Notice 12-55 (guidance on recommended vs. customer-directed transactions); NASD Notice to Members 01-23 (margin disclosure obligations); FINRA Rule 2264 (Margin Disclosure Statement requirement).

Adversarial Hypothetical 109

Topic: unsuitable_income_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Kowalski, age 71, retired school librarian, visited her longtime broker-dealer advisor, Daniel Furst, in April 2020. She had a \$620,000 portfolio at the firm, consisting of \$400,000 in investment-grade corporate bonds and \$220,000 in a money market fund. Her account paperwork, last updated in January 2019, listed her investment objective as 'income,' risk tolerance as 'conservative,' annual income as \$38,000 (Social Security and a small pension), liquid net worth of \$650,000, and a time horizon of 10-15 years. She told Daniel she was worried about historically low yields on her money market and maturing bonds, and wanted 'something that pays better monthly income so I can keep the lights on.' Between May

and August 2020, Daniel moved \$190,000 from the money market and \$80,000 from maturing bonds into a diversified portfolio of high-yield corporate bond funds (average yield approximately 5.8%, average credit quality BB). He also placed \$50,000 into a closed-end leveraged municipal bond fund trading at a 6% discount to NAV, yielding approximately 5.2% tax-free. The total cost of transactions, including markups on the bond fund shares and the closed-end fund commission, was approximately \$4,100. Daniel documented a conversation note stating Margaret understood these funds carried more credit risk and price volatility than investment-grade bonds, and that she verbally confirmed she wanted higher income even if it meant accepting that risk. He did not update her written account profile, which still read 'conservative' risk tolerance. Margaret's account lost approximately 8% of value during a brief high-yield selloff in September 2020 but recovered by December 2020. She filed a complaint in March 2021, alleging the recommendations were unsuitable for a conservative retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and the analysis depends critically on the timing. The recommendations were made between May and August 2020. Effective June 30, 2020, Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1) replaced the former FINRA suitability standard (FINRA Rule 2111) as the applicable standard for broker-dealer recommendations to retail customers. The May 2020 recommendations would be evaluated under FINRA Rule 2111 (suitability), while the recommendations from July and August 2020 fall under Reg BI. Under both standards, there are violations, but the nature differs. Under FINRA Rule 2111, the customer-specific suitability obligation required recommendations consistent with the customer's stated investment profile. Margaret's written profile said 'conservative,' and although the advisor claims a verbal update, he never updated the official account documentation. FINRA has consistently held that verbal customer statements do not override written profile information when the advisor fails to formally update the profile (see FINRA Regulatory Notices 12-25 and 12-55). High-yield bond funds rated BB are speculative-grade and inappropriate for a documented conservative investor. Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest based on her profile. The failure to reconcile the documented conservative profile with speculative-grade bond fund recommendations, and the failure to update the customer's investment profile before executing the trades, means the advisor lacked a reasonable basis to believe these recommendations were in her best interest. Additionally, under Reg BI's Compliance Obligation, the firm's policies almost certainly required profile updates before significant strategy changes, which were not followed. The closed-end leveraged municipal bond fund adds another layer: leverage amplifies volatility, making it even less appropriate for a conservative income investor. The \$4,100 in transaction costs, while not exorbitant, is relevant under Reg BI's cost analysis component. The temporary 8% loss, while recovered, demonstrates the realized risk that was inconsistent with her documented profile.

Common Wrong Answer

No violation. The advisor documented a conversation in which Margaret explicitly requested higher-yielding investments and acknowledged the additional risk. Her income need was genuine, the recommendations generated the income she requested, and the portfolio recovered by year-end. The advisor exercised

reasonable judgment in meeting a client's stated objective.

Why Adversarial

This scenario spans the June 30, 2020 Reg BI effective date, meaning different transactions are governed by different standards. A general LLM will likely apply only one standard uniformly and miss the temporal split. Additionally, the advisor's documented conversation note about verbal consent creates a plausible defense that many models will accept at face value, not recognizing that verbal consent without a formal profile update is insufficient under both FINRA suitability and Reg BI. The recovery of losses by December 2020 further tempts models to conclude no harm occurred, but suitability/best interest is evaluated at the time of recommendation, not in hindsight.

Applicable Standard

FINRA Rule 2111 (Suitability) for recommendations made before June 30, 2020; Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation under Rule 15l-1(a)(2)(ii), for recommendations made on or after June 30, 2020; FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notices 12-25 and 12-55 regarding documentation of customer investment profiles; FINRA Rule 4512 (Customer Account Information)

Adversarial Hypothetical 110

Topic: variable_annuity_unsuitable | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Robert and Linda Chen, both age 58 and still working, met with their financial advisor, Allison Briggs, in November 2022. Robert is a mid-level IT manager earning \$125,000 annually; Linda is a part-time physical therapist earning \$55,000. Their combined liquid net worth is approximately \$1.1 million, split between \$430,000 in Robert's 401(k), \$180,000 in Linda's IRA, \$310,000 in a joint taxable brokerage account, and \$180,000 in savings. Neither has a pension. Their stated goals were to retire at 65, generate guaranteed lifetime income in retirement, and leave a modest inheritance for their two adult children. Allison recommended that Linda move her entire \$180,000 IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The product had total annual expenses of 3.15% (1.35% mortality and expense charge, 0.85% average underlying subaccount expense, 0.95% GMIB rider fee), a 7-year declining surrender charge starting at 7%, and a 10-year waiting period before the GMIB rider could be exercised. The GMIB guarantees a minimum 5% annual rollup on the benefit base for income calculation purposes. Allison prepared a detailed written analysis comparing three annuity products and selected this one as having the best combination of investment options and rider terms. She also documented that the Chens wanted guaranteed income, that they would not need access to the IRA funds for at least 10 years (aligning with the GMIB waiting period), and that the tax-deferral feature, while redundant inside an IRA, was secondary to the guaranteed income rider. She noted the total expenses and explained the surrender charges. The Chens signed all disclosure forms. Allison earned a 6.5% commission (\$11,700) on the sale. What Allison did not analyze or document was whether the Chens could achieve their guaranteed income goal more cost-effectively by keeping the IRA in low-cost index funds and purchasing a single-premium immediate annuity (SPIA) at age 65 with a portion of their accumulated assets, or by using a lower-cost fixed indexed annuity with an income rider. She also did not consider that placing the variable annuity

inside a tax-deferred IRA provides no additional tax benefit, effectively causing the Chens to pay the higher annuity expenses without receiving any incremental tax advantage.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the advisor's seemingly thorough documentation. Under Regulation Best Interest (17 CFR § 240.15l-1), applicable to this November 2022 recommendation, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, including understanding reasonably available alternatives. Allison compared three variable annuity products but failed to consider whether a variable annuity was the appropriate product type in the first place. This is a classic 'reasonable basis' failure - she optimized within a product category without first establishing that the category itself was suitable. FINRA Regulatory Notice 12-55 and the specific guidance on variable annuities in FINRA Rule 2330 (Variable Annuity Transactions) require that before recommending a VA, the advisor must have a reasonable basis to believe that: (a) the customer would benefit from certain features of a VA such as tax-deferred growth, annuitization, or a death benefit; (b) the particular VA is suitable; and (c) exchanges meet specific criteria. Under Rule 2330(b), the advisor must consider whether the customer would benefit from the VA's tax-deferred features - and inside an IRA, there is no incremental tax-deferral benefit. While FINRA has noted that tax deferral alone is not the only reason to recommend a VA inside an IRA (income guarantees can be a valid reason), the advisor must then demonstrate that the guaranteed income feature justifies the additional layer of fees. At 3.15% total annual expense, the drag on the \$180,000 over 10 years is substantial (approximately \$5,670 in the first year alone, compounding). The failure to analyze whether a SPIA purchased at retirement, or a lower-cost fixed indexed annuity with an income rider, could achieve the same guaranteed income goal at lower cost is a failure of the Care Obligation's requirement to consider reasonably available alternatives. Under Reg BI, the advisor must also consider costs as a factor and cannot simply note them in disclosures - she must affirmatively determine that the costs are justified relative to alternatives. The 6.5% commission, while not dispositive, creates a conflict that must be disclosed and mitigated under Reg BI's Conflict of Interest Obligation. Although Allison disclosed fees, disclosure alone does not satisfy the Care Obligation. The documentation, while extensive, actually reveals the gap: it shows she compared three VAs but never justified why a VA was the right vehicle versus other income-generation strategies.

Common Wrong Answer

No violation. Allison conducted a thorough comparative analysis, documented the Chens' income goals and time horizon, disclosed all fees and surrender charges, acknowledged the tax-deferral redundancy, and aligned the product features with the clients' stated needs. The Chens signed all required forms. The recommendation appears well-reasoned and suitable for a couple seeking guaranteed retirement income.

Why Adversarial

This scenario is designed to trap models because the advisor appears to have done substantial due diligence - she compared three products, documented the rationale, obtained signed disclosures, aligned the holding period with the surrender charge and GMIB waiting period, and noted the tax-deferral redundancy. A general LLM will likely focus on the apparent thoroughness of documentation and conclude compliance. The trap is that FINRA Rule 2330 and Reg BI require a threshold analysis of whether a variable annuity is appropriate at all before comparing among VAs, and the advisor skipped this step. The

IRA-inside-a-VA issue is a well-known regulatory concern that requires specific justification beyond the income rider alone, especially when lower-cost alternatives exist. Models without specific knowledge of Rule 2330's requirements will likely miss this.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (Rule 15l-1(a)(2)(ii)) and Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), particularly subsections (b)(1)(A) regarding tax-deferred growth benefits and (b)(1)(B) regarding suitability determinations; FINRA Rule 2111 (Suitability) as supplementary; FINRA Regulatory Notice 12-55 (reasonable basis suitability); FINRA Regulatory Notice 07-43 (supervision of variable annuity transactions)

Adversarial Hypothetical 111

Topic: penny_stocks_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Marcus Trent, a registered representative at Bayshore Securities, had a long-standing client named Dorothy Kline, age 71, a retired schoolteacher with a \$185,000 portfolio consisting primarily of Treasury bonds and a dividend-focused equity fund. Her account documents, last updated in January 2019, listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her annual income as \$42,000 from pension and Social Security, and her liquid net worth as \$210,000. In March 2019, Dorothy called Marcus and told him her grandson had mentioned a company called NovaTech Micro Solutions, trading at \$0.38 per share on the OTC Pink marketplace, and she wanted to buy 10,000 shares (\$3,800 total). Marcus explained that this was a very small, speculative company with limited publicly available financial information and no audited financial statements, and that penny stocks carry significant risk of total loss. Dorothy said she understood and wanted to proceed anyway - she described it as 'fun money' and said she could afford to lose it. Marcus executed the trade. He did not, however, provide Dorothy with a written penny stock risk disclosure document before the trade, nor did he obtain a signed suitability statement from her specific to penny stock transactions. He believed the firm's general risk disclosures in the new account agreement were sufficient. The NovaTech shares declined to \$0.02 within five months, and Dorothy lost nearly all of her \$3,800 investment. She filed a complaint alleging the trade was unsuitable and that she was never given proper warnings. In June 2020, Bayshore Securities' compliance department reviewed the matter and noted that Marcus had documented Dorothy's verbal acknowledgment of risk in his CRM notes but had not followed the firm's specific penny stock procedures, which mirrored the federal requirements for penny stock transactions involving non-exempt customers. Dorothy had never previously purchased a penny stock, did not meet the firm's criteria for an 'established customer' in penny stocks (requiring three prior penny stock transactions with the firm), and her account had no history of speculative trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Marcus Trent violated applicable requirements on multiple grounds. First, under the SEC's penny stock rules (Exchange Act Rule 15g-2 and 15g-9), before effecting a penny stock transaction for a customer who is not an 'established customer' (defined under Rule 15g-9(c) as someone who has held an account for at least one year and has made three prior penny stock purchases, or who has made three penny stock purchases of different issuers on different days), the broker must: (1) approve the customer's account for penny stock transactions, (2) obtain a written suitability statement signed by the customer affirming that the penny stock is suitable given the customer's financial situation and investment objectives, and (3) provide the customer with a written risk disclosure document (required by Rule 15g-2) before the first penny stock transaction. Marcus failed to provide the written risk disclosure and failed to obtain the signed suitability statement. A verbal acknowledgment documented in CRM notes does not satisfy these requirements - the rules explicitly require written, signed documentation. Second, under FINRA Rule 2111 (Suitability), which was the operative standard in March 2019 (Reg BI did not take effect until June 30, 2020), the customer-specific suitability obligation required that any recommendation be consistent with the customer's investment profile. While Dorothy directed this trade herself, penny stock rules apply regardless of solicitation - they are transaction-based requirements, not recommendation-based. Even if Marcus could argue this was an unsolicited trade and therefore FINRA Rule 2111 suitability obligations are lessened, the penny stock disclosure and suitability statement requirements under SEC rules are independent, mandatory, and apply to all penny stock transactions with non-exempt, non-established customers. The procedural violations alone constitute clear violations. Third, since Reg BI was not yet in effect at the time of the trade, the analysis is governed by the pre-Reg BI suitability framework, but the penny stock rules under Exchange Act Section 15(h) and Rules 15g-1 through 15g-9 applied fully. The temporal element matters: had the trade occurred after June 30, 2020, Reg BI's Care Obligation (17 CFR 240.15l-1) would have imposed an additional, heightened best interest standard, but even under the 2019 framework, the penny stock procedural failures are dispositive violations.

Common Wrong Answer

No violation. The trade was unsolicited, the dollar amount was small relative to Dorothy's liquid net worth (under 2%), Marcus verbally warned her about the risks and documented her acknowledgment, and the client made an informed decision to allocate 'fun money' to a speculative position. The advisor acted appropriately by explaining the risks and honoring the client's autonomous investment decision.

Why Adversarial

A general LLM is likely to focus on whether the trade was 'suitable' given the small dollar amount and the client's expressed wishes, potentially concluding that a \$3,800 speculative allocation for a client with \$210,000 liquid net worth is de minimis and permissible - especially since the client directed the trade. The trap is that penny stock rules impose mandatory procedural requirements (written risk disclosure, signed suitability statement) that apply regardless of the trade size, regardless of whether the trade was solicited or unsolicited, and regardless of whether the client verbally acknowledged risk. Most LLMs do not know the specific penny stock disclosure requirements or the 'established customer' definition, and would incorrectly focus solely on the general suitability analysis rather than the procedural violations.

Applicable Standard

SEC Exchange Act Rules 15g-2 (risk disclosure document requirement for penny stocks), 15g-9 (suitability requirements for penny stock transactions including signed suitability statement and established customer definition), 15g-9(c) (definition of established customer requiring three prior penny stock transactions or

one-year account history plus three transactions); FINRA Rule 2111 (Suitability, operative standard pre-June 30, 2020); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); SEC Regulation Best Interest 17 CFR 240.15l-1 (effective June 30, 2020 - not applicable to March 2019 trades but relevant for temporal analysis)

Adversarial Hypothetical 112

Topic: private_placements_unsuitable | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Sarah Feldstein, a financial advisor at Granite Peak Wealth Management, recommended a private real estate fund - Pinnacle Realty Partners Fund III - to four of her clients in September 2021. The fund was structured as a limited partnership offering units at \$50,000 minimum investment, targeting commercial real estate acquisitions in the Southeast United States with a projected 8-9% annual return and a 7-year lockup period. Sarah conducted what she considered thorough due diligence: she reviewed the 138-page private placement memorandum, attended two sponsor presentations, analyzed the sponsor's track record (Funds I and II had delivered 7.2% and 8.8% annualized returns respectively over completed investment cycles), reviewed the audited financial statements of the management company, confirmed the fund was offered under a proper exemption for accredited investors, and spoke with three existing investors in prior funds who reported positive experiences. She documented all of this research in a 12-page due diligence memo filed with her firm's compliance department, which approved the product for sale to suitable clients. One of the four clients was Raymond Osei, age 58, an IT director earning \$195,000 annually with a net worth of \$1.4 million (excluding primary residence), of which approximately \$840,000 was in investable assets. Raymond's investment profile indicated 'moderate growth' as his objective, a 'moderate' risk tolerance, and a 10-year time horizon to retirement. Raymond invested \$100,000 in the fund - representing approximately 11.9% of his investable assets. His existing portfolio included \$390,000 in diversified equity mutual funds, \$180,000 in bond funds, \$95,000 in a money market account, and \$75,000 in his company stock. After the Pinnacle investment, Raymond's illiquid holdings (the private fund plus company stock) totaled \$175,000, or approximately 20.8% of his investable assets. Sarah's due diligence memo noted that the fund's PPM disclosed several risk factors including: concentration risk in Southeast commercial real estate, leverage of up to 65% loan-to-value on acquisitions, sponsor's discretion in capital deployment timing, limited redemption rights (only in cases of death or disability), and the possibility that distributions could be suspended. Sarah reviewed these but concluded the risks were acceptable given the sponsor's track record. She did not, however, independently verify the fund's valuation methodology for its underlying properties, nor did she analyze how the fund's fee structure (2% management fee plus 20% carried interest above a 6% preferred return) compared to similar private real estate offerings in the market. She also did not assess whether the fund's leverage strategy was appropriate in the context of rising interest rates, which by September 2021 were being widely discussed by economists as imminent.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Sarah Feldstein likely did not violate suitability or best interest requirements, though the case presents

close questions on reasonable-basis suitability. Under FINRA Rule 2111, suitability has three components: reasonable-basis suitability (the advisor must perform adequate due diligence to understand the product), customer-specific suitability (the recommendation must be appropriate for the specific customer), and quantitative suitability (not applicable here as there's no excessive trading). Regarding reasonable-basis suitability under FINRA Rule 2111.05(a), Sarah conducted substantial due diligence: she reviewed the full PPM, analyzed the sponsor's historical performance across two completed fund cycles, reviewed audited financials, attended sponsor presentations, and spoke with existing investors. She documented this in a 12-page memo that was reviewed and approved by compliance. While she did not independently verify valuation methodology or perform a comparative fee analysis, the standard does not require exhaustive independent verification of every aspect - it requires that the advisor perform 'reasonable diligence' to understand the nature of the product, its risks, and its potential rewards. Her diligence, while not perfect, meets the threshold of reasonable effort. The failure to analyze rising interest rate impact on a leveraged real estate strategy is a legitimate critique, but macro-economic forecasting is not a per se requirement of reasonable-basis suitability. Regarding customer-specific suitability, Raymond is an accredited investor (net worth over \$1 million excluding primary residence and income of \$195,000). His moderate growth objective and 10-year horizon are compatible with a 7-year lockup product. The \$100,000 investment represents 11.9% of investable assets - a meaningful but not unreasonable allocation to alternatives for a moderate-growth investor. His total illiquid holdings at 20.8% are within commonly accepted thresholds (many firms use 15-25% as a guideline for alternative/illiquid allocations for moderate-risk investors). Under Reg BI (effective June 30, 2020, and applicable to this September 2021 recommendation), the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill, and consider reasonably available alternatives. Sarah's research, while imperfect, demonstrates substantial care. The fact that she did not compare fees to peer funds is a weakness but likely does not rise to a violation given the totality of her diligence effort. This case is technically compliant but borderline - a regulator might scrutinize the lack of interest rate sensitivity analysis and fee comparison, but these gaps alone, given the otherwise robust diligence process, are unlikely to establish a violation.

Common Wrong Answer

Yes, violation. Sarah failed to independently verify the fund's valuation methodology, did not compare fees to market alternatives, and neglected to analyze interest rate risk impact on a leveraged real estate strategy. These gaps in due diligence mean she did not have a reasonable basis to recommend the product. Additionally, concentrating nearly 12% of a moderate-risk client's portfolio in a single illiquid private placement with a 7-year lockup is excessive.

Why Adversarial

This scenario is designed to trap models into finding a violation based on the gaps in Sarah's due diligence - specifically the failure to verify valuation methodology, compare fees, and analyze interest rate risk. These are legitimate criticisms that make the scenario feel like a violation. However, the standard for reasonable-basis suitability does not require perfection or exhaustive analysis of every conceivable risk factor. A general LLM, trained on numerous enforcement cases where advisors failed to conduct ANY meaningful due diligence on private placements, will likely pattern-match to those cases and conclude violation. The trap requires the model to distinguish between 'imperfect but adequate' diligence and 'inadequate' diligence - a nuance most models will miss. Additionally, the concentration percentages (11.9% single investment, 20.8% illiquid) are designed to be in the gray zone - high enough to seem concerning but within commonly accepted ranges.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)); SEC Regulation Best Interest 17 CFR 240.15l-1 (Care Obligation - applicable to broker-dealer recommendations after June 30, 2020); FINRA Regulatory Notice 12-03 (guidance on complex products due diligence); FINRA Regulatory Notice 10-22 (guidance on private placements due diligence obligations); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Notice to Members 03-71 (non-conventional investments suitability considerations)

Adversarial Hypothetical 113

Topic: concentration_risk | Type: client_direction_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 71, is a retired school principal with a \$1.8 million portfolio at Keystone Wealth Partners. Her account documents list her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' and her time horizon as '5-10 years.' She receives a \$2,400/month pension and \$2,100/month in Social Security. In March 2023, Margaret's grandson, a petroleum engineer, told her that a mid-cap energy company called Triton Energy Systems was about to announce a massive shale discovery. Margaret called her advisor, David Pruitt, and insisted on purchasing \$900,000 worth of Triton Energy Systems common stock - representing 50% of her portfolio. David explained the risks of concentration, documented the conversation in a detailed memo, had Margaret sign a non-solicited trade acknowledgment form, sent her a letter reiterating the risks of placing half her retirement savings in a single mid-cap energy stock, and even recommended she limit the purchase to \$180,000 (10% of the portfolio). Margaret refused to scale back and threatened to move her account to another firm. David ultimately executed the full \$900,000 purchase. His supervisor, Karen Almeida, reviewed the trade ticket, saw the signed acknowledgment and risk letter, and approved the transaction. Within five months, Triton Energy stock dropped 62%, and Margaret lost approximately \$558,000. Margaret filed a complaint alleging the advisor should have refused to execute the trade entirely.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, David Pruitt violated applicable suitability and best interest standards despite his documentation efforts. Under FINRA Rule 2111 (Suitability), there are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. While David may have satisfied reasonable-basis suitability (the stock itself was not inherently unsuitable), he failed customer-specific suitability. Concentrating 50% of a 71-year-old retiree's portfolio in a single mid-cap energy stock is fundamentally inconsistent with her stated moderate risk tolerance, income-with-capital-preservation objective, and reliance on her portfolio for retirement security. Under Regulation Best Interest (Reg BI), effective since June 30, 2020, the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) requires that a broker-dealer exercise reasonable diligence, care, and skill to ensure a recommendation - or in this case, the acquiescence to a customer-directed trade that effectively constitutes a de facto recommendation through execution - is in the

customer's best interest. Critically, unsolicited trade designations do not provide a blanket safe harbor. FINRA Regulatory Notice 12-25 clarifies that even for unsolicited trades, a pattern or single transaction that results in an unsuitable concentration can still give rise to a suitability violation. The advisor's obligation is not merely to document and warn - it extends to declining to execute trades that are so fundamentally at odds with the customer's profile that no reasonable basis exists for the transaction. The signed acknowledgment and risk letter mitigate but do not eliminate liability. Karen Almeida, as the supervising principal, also failed her supervisory obligations under FINRA Rule 3110 by approving a transaction that was facially inconsistent with the customer's profile despite the documentation.

Common Wrong Answer

No violation. The trade was unsolicited and client-directed. David Pruitt went above and beyond by documenting the risks, providing written warnings, recommending a smaller position, and obtaining a signed acknowledgment. The client was competent and insisted on the trade despite being fully informed. An advisor cannot be held responsible when a client overrides their professional advice.

Why Adversarial

This is adversarial because the advisor took extensive, seemingly thorough steps - verbal warnings, written documentation, a signed acknowledgment, a recommendation to limit the position, and supervisory review. Most general-purpose LLMs would conclude that because the trade was unsolicited, the client directed it, and the advisor documented everything, there is no violation. The trap is that unsolicited trade markings and client direction do not create an absolute safe harbor for concentration risk that is grossly inconsistent with a customer's profile, particularly for elderly retirees with moderate risk tolerance and capital preservation objectives. The key nuance from FINRA guidance is that advisors retain a gatekeeping function even for client-directed trades when the result is a dramatically unsuitable position.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically customer-specific suitability; Regulation Best Interest (17 CFR 240.15I-1) - Care Obligation; FINRA Regulatory Notice 12-25 (guidance on suitability and unsolicited transactions); FINRA Rule 3110 (Supervision)

Adversarial Hypothetical 114

Topic: structured_products_unsuitable | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

In January 2024, financial advisor Luis Medrano at Brookfield Securities recommended a structured note to his client, Thomas Eklund, age 58, a senior IT manager earning \$195,000 annually with a liquid net worth of \$620,000. Thomas had a moderate-to-aggressive risk tolerance, a growth objective, an investment time horizon of 7-10 years, and previous experience owning individual stocks and corporate bonds. Luis recommended a \$125,000 investment (approximately 20% of Thomas's liquid net worth) in a 5-year principal-protected structured note linked to the S&P 500, issued by a major bank rated A+ by credit rating agencies. The note guaranteed 100% principal return at maturity and offered participation in S&P 500 upside gains capped at 42% cumulative over the 5-year term (roughly 7.3% annualized). Luis conducted research on the product, reviewed the offering circular, attended the issuer's advisor training webinar, and

compared the note to direct index fund investment. His internal analysis noted that the principal protection feature 'eliminates downside risk for a client approaching retirement.' He also noted that the 42% cap was 'a reasonable trade-off for guaranteed principal.' However, Luis did not analyze or consider the following: (1) the structured note had no secondary market liquidity and carried a 3% early redemption penalty; (2) the note's principal protection was solely an unsecured obligation of the issuing bank, meaning it was subject to issuer credit risk; (3) Thomas had told Luis in a prior meeting that he might need \$100,000 in two years to fund his daughter's medical school tuition, a fact documented in Luis's CRM notes from October 2023 but not referenced in the structured note suitability analysis; and (4) a comparable 5-year Treasury note was yielding 4.3% at the time, which would have provided \$124,700 in guaranteed income over the same period with government backing and full liquidity. Thomas invested the \$125,000. Fourteen months later, Thomas needed to liquidate \$100,000 for his daughter's tuition and discovered the early redemption penalty and lack of liquidity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Luis Medrano violated both suitability and best interest standards despite conducting what appeared to be meaningful research on the product. Under FINRA Rule 2111, the customer-specific suitability obligation required Luis to consider Thomas's entire financial situation, including known liquidity needs. Luis's own CRM notes from October 2023 documented that Thomas anticipated needing \$100,000 within two years for tuition - a material fact that directly conflicted with recommending a 5-year illiquid structured note representing 20% of liquid net worth. Under Regulation Best Interest (17 CFR 240.15l-1), the Care Obligation requires reasonable diligence, care, and skill in making a recommendation, including consideration of reasonably available alternatives. Luis failed this standard in multiple ways: (1) He did not incorporate a known, documented liquidity need into his suitability analysis, which is a clear failure of customer-specific due diligence. (2) He failed to analyze the credit risk inherent in the principal protection feature, which is an unsecured obligation - this is a reasonable-basis suitability failure for structured products per FINRA Regulatory Notice 12-03, which specifically addresses heightened suitability obligations for complex products including structured notes. (3) He failed to consider reasonably available alternatives - a 5-year Treasury yielding 4.3% would have provided comparable total return (\$124,700 vs. a capped \$42,000 upside on the structured note, plus the Treasury offered government backing, full liquidity, and no credit risk). Additionally, under FINRA Rule 2111.05(a), the reasonable-basis obligation requires an advisor to understand the risks and rewards of a recommended product, including its liquidity features and credit dependencies. Luis's analysis was superficial - he identified the principal protection benefit but failed to understand or disclose its limitations. The Reg BI Disclosure Obligation also required Luis to disclose material limitations of the product, including the lack of secondary market, early redemption penalties, and the nature of the principal guarantee as issuer credit risk.

Common Wrong Answer

No violation. The advisor conducted thorough research, the product was principal-protected and appropriate for a 58-year-old nearing retirement, the client had moderate-to-aggressive risk tolerance and experience with stocks and bonds, and 20% of liquid net worth is not an excessive concentration. The principal protection feature aligned well with the client's approaching retirement timeline.

Why Adversarial

This scenario is adversarial because Luis did conduct research - he reviewed offering documents, attended training, performed a comparison analysis, and had a documented rationale. A general LLM would likely focus on the advisor's research effort and the seemingly conservative nature of a principal-protected note for a 58-year-old with moderate-to-aggressive risk tolerance and conclude the recommendation was suitable. The trap lies in three hidden deficiencies: (1) ignoring a documented liquidity need that was in the advisor's own files, (2) misunderstanding the nature of 'principal protection' as absolute when it is actually issuer credit risk, and (3) failing to compare against a readily available superior alternative (Treasuries). The note appears conservative and well-researched, but the analysis was fatally incomplete in ways that require knowledge of structured product suitability nuances.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative components; FINRA Rule 2111.05(a) (reasonable-basis obligation for complex products); FINRA Regulatory Notice 12-03 (complex products including structured notes - heightened suitability); Regulation Best Interest (17 CFR 240.15l-1) - Care Obligation and Disclosure Obligation; FINRA Regulatory Notice 09-31 (suitability of structured products)

Adversarial Hypothetical 115

Topic: structured_products_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Kessler, age 71, retired schoolteacher with a \$620,000 portfolio consisting entirely of Treasury bonds and CDs. Her documented investment objectives were income and capital preservation, risk tolerance was listed as 'low,' and her time horizon was 5-7 years. She had no prior experience with complex financial products. In March 2020, her long-time financial advisor, Dennis Park, at a mid-sized broker-dealer, recommended she invest \$155,000 (25% of her portfolio) into a 15-year reverse convertible note linked to a basket of three technology stocks (a major social media company, a semiconductor firm, and a cloud computing company). The note offered a 9.5% annual coupon but included a knock-in put feature: if any of the three underlying stocks fell more than 30% from their initial price at any point during the note's life, Margaret's principal would be converted into shares of the worst-performing stock at maturity. Dennis prepared a detailed internal memo analyzing the product, noting the attractive coupon relative to Margaret's CD yields (then around 1.2%), and documented that he had explained the knock-in risk verbally during a 45-minute meeting. He also noted that the product was on the firm's 'approved product list' and that the firm's product due diligence committee had reviewed the note and approved it for sale to income-seeking clients. The firm's written supervisory procedures at the time stated that structured products should generally not exceed 25% of a client's liquid net worth, and Margaret's allocation was exactly at that threshold. Dennis's supervisor, Andrea Liu, signed off on the transaction after reviewing the memo. Margaret signed an acknowledgment form stating she understood the product involved risk of principal loss. Within six months, two of the three underlying tech stocks had declined more than 40% during the March 2020 market crash, triggering the knock-in barrier. Though the stocks partially recovered, at the note's current mark-to-market valuation in late 2020, Margaret's position showed an unrealized loss of \$38,000. Margaret continued receiving the 9.5% coupon payments. Dennis had been operating under the broker-dealer's existing conduct standards continuously, but the firm had formally adopted enhanced

obligations for recommendations effective June 30, 2020, requiring that advisors demonstrate they had considered reasonably available alternatives that might achieve the same objective with less risk. Dennis's memo, written in March 2020, did not include any comparative analysis of alternative income-producing products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation under both the suitability standard applicable at the time of the recommendation (March 2020) and under the enhanced best interest standard that took effect June 30, 2020, though the analysis differs for each. Under FINRA Rule 2111 (Suitability), which governed at the time of the March 2020 recommendation, Dennis violated customer-specific suitability. While the product was on the approved list and Dennis stayed within the firm's 25% concentration guideline, a 15-year reverse convertible linked to volatile tech stocks was fundamentally unsuitable for a 71-year-old retiree with low risk tolerance, a 5-7 year time horizon, no experience with complex products, and capital preservation objectives. The 15-year maturity alone far exceeds her stated time horizon, and the knock-in put feature exposes her to equity-like downside risk - directly contradicting her capital preservation objective. The fact that the firm approved the product and that Dennis documented his work does not cure customer-specific unsuitability. Additionally, FINRA Regulatory Notice 12-03 specifically addresses heightened suitability obligations for complex products like reverse convertibles, requiring advisors to understand the product's risks and ensure customers can bear those risks. A retired teacher with no complex product experience investing 25% of her portfolio into a single volatile structured note fails this heightened scrutiny. Separately, had this recommendation been made after June 30, 2020, Regulation Best Interest (17 CFR §240.15l-1) would also be violated because under the Care Obligation, the advisor must consider reasonably available alternatives. Dennis's failure to document or consider any alternative income-producing products (e.g., investment-grade corporate bond funds, preferred stock funds, or even higher-yielding CDs) that could have provided enhanced income with substantially less risk represents a clear failure. The supervisor Andrea Liu also failed in her obligations under FINRA Rule 3110 by approving a transaction that was facially unsuitable for this customer profile.

Common Wrong Answer

A general LLM would likely either (1) apply Reg BI retroactively to March 2020 and find a violation based on failure to consider alternatives, getting the right answer for the wrong reason, or (2) correctly identify that Reg BI didn't apply yet but then conclude there was no violation because the advisor documented his work, the product was on the approved list, the firm's concentration limit was met, and the supervisor approved it - essentially confusing process compliance with substantive suitability. Some models might also incorrectly state that the unrealized loss is necessary to prove a violation, when in fact suitability is judged at the time of recommendation regardless of outcome.

Why Adversarial

This scenario creates a temporal trap because the recommendation occurred in March 2020, three months before Reg BI's June 30, 2020 compliance date. A general LLM might focus its analysis on Reg BI's Care Obligation and the failure to consider alternatives - which is the most conspicuous deficiency - and either incorrectly apply Reg BI retroactively or, recognizing the timing issue, incorrectly conclude that since Reg BI didn't apply yet, the recommendation was compliant under the older suitability standard. The trap is that the

recommendation was ALSO a violation under the pre-existing FINRA suitability standard due to customer-specific unsuitability, but for different reasons than the Reg BI analysis would emphasize. The 25% threshold being exactly at the firm's limit, the approved product list, and the supervisor sign-off all create an appearance of compliance that masks the fundamental unsuitability.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically customer-specific suitability under Rule 2111(a); FINRA Regulatory Notice 12-03 (Heightened Supervision for Complex Products); FINRA Rule 2330 (though specific to variable annuities, its principles regarding senior investors inform analysis); Regulation Best Interest 17 CFR §240.15l-1 (effective June 30, 2020) - Care Obligation component; FINRA Rule 3110 (Supervision)

Adversarial Hypothetical 116

Topic: concentration_risk | Type: multi_party | Difficulty: hard

Fact Pattern

Dr. Rajan Mehta, age 52, a successful cardiologist earning \$780,000 annually, maintained brokerage accounts at two different firms. At Firm A, he worked with advisor Cynthia Trinh and held a \$1.4 million account. At Firm B, he worked with advisor Paul Bergström and held a \$1.1 million account. His total investable assets across both firms were \$2.5 million. Dr. Mehta had a documented moderate-to-aggressive risk tolerance at both firms, a 15+ year time horizon, and growth-oriented objectives. He was an experienced investor who had traded individual stocks for over 20 years. In January 2023, Dr. Mehta became very enthusiastic about artificial intelligence and semiconductor companies. He called Cynthia at Firm A and directed her to invest \$700,000 (50% of his Firm A account) into shares of a single large-cap semiconductor company. Cynthia documented the unsolicited nature of the trade and executed it. Two weeks later, Dr. Mehta called Paul at Firm B and asked him to invest \$550,000 (50% of his Firm B account) into the same semiconductor company. Paul also documented the trade as unsolicited and executed it. Neither Cynthia nor Paul knew about the other's account or the other's transaction. Dr. Mehta did not volunteer this information to either advisor. After both transactions, Dr. Mehta's combined position in the single semiconductor stock was \$1.25 million - exactly 50% of his total investable assets. Each advisor's individual transaction resulted in a 50% single-stock concentration within their respective account, but neither advisor knew that the client's aggregate exposure across all accounts was also 50% in a single security. Six months later, the semiconductor company reported disappointing earnings and the stock dropped 35%, causing Dr. Mehta to lose approximately \$437,500. He filed complaints against both advisors, alleging they each allowed reckless concentration in a single stock and failed to protect him from catastrophic single-name risk. Both firms' account opening documents included a question asking clients to disclose outside brokerage accounts, and Dr. Mehta had answered 'No' on both forms. Firm A's new account form was completed in 2019; Firm B's was completed in 2021.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a close case, but neither advisor likely violated their obligations, though the analysis requires careful consideration. Under Regulation Best Interest (17 CFR §240.15l-1), which was in effect for both 2023 transactions, broker-dealers must act in the customer's best interest at the time of a recommendation. However, the critical threshold issue is that BOTH transactions were unsolicited - meaning the customer directed them, and neither advisor made a 'recommendation' as defined under the regulation and FINRA interpretive guidance. Reg BI's Care Obligation applies only when a broker-dealer makes a recommendation. When a customer initiates a specific transaction without any advisor input, the enhanced obligations under Reg BI are generally not triggered. Similarly, FINRA Rule 2111 (Suitability) applies to recommendations, not unsolicited transactions. FINRA has consistently held that suitability obligations attach to recommended transactions, and an unsolicited order - properly documented - does not trigger suitability review. That said, there are important caveats. First, FINRA has warned in Regulatory Notice 12-25 that firms cannot avoid suitability obligations merely by marking orders as unsolicited when the advisor actually influenced the decision. Here, there is no indication either advisor solicited or encouraged the purchases. Second, regarding the concentration issue: each advisor could only evaluate concentration within the account they managed. Both advisors had a 50% single-stock concentration in their individual accounts, which is aggressive but not per se unsuitable for an experienced, high-income investor with moderate-to-aggressive risk tolerance and a long time horizon - particularly when the position is in a liquid large-cap stock and the trade is unsolicited. Third, Dr. Mehta affirmatively misrepresented his outside account holdings on both firms' new account forms by answering 'No' to the outside accounts question. Under FINRA Rule 4512, firms must make reasonable efforts to obtain accurate customer information, but they are entitled to rely on customer-provided information absent red flags suggesting it is inaccurate. Neither advisor had reason to know about the cross-firm concentration. The aggregate 50% concentration across all assets was entirely invisible to both advisors due to the client's own misrepresentation. While both advisors might have benefited from verbally re-confirming whether the client held outside positions before executing a large concentrated trade - as a best practice - the failure to do so does not constitute a violation when the client had already formally denied having outside accounts.

Common Wrong Answer

A general LLM would most likely find that both advisors violated their obligations by allowing excessive concentration in a single stock, reasoning that a 50% position in any single equity is inherently unsuitable regardless of whether the trade was solicited or unsolicited. The model would likely argue that the advisors had an ongoing duty to monitor and prevent excessive concentration, and that executing a trade they should have known was risky constitutes a failure of care. Some models might also incorrectly state that Reg BI applies to all transactions, not just recommendations, or might conflate the duties of a broker-dealer (which arise upon recommendation) with those of an investment adviser (which may include broader monitoring obligations).

Why Adversarial

This scenario is adversarial for multiple reasons. First, the multi-party structure means a model must analyze each advisor independently rather than looking at the aggregate picture. Second, the 50% concentration figure sounds alarming and triggers an instinct to find a violation, but the unsolicited nature of the trades is dispositive - suitability and Reg BI obligations attach to recommendations, not customer-directed trades. Third, the client's own misrepresentation on account forms creates a contributory factor that many LLMs will overlook. Fourth, models trained on enforcement patterns will note that concentration complaints are frequently upheld, but those cases almost always involve recommended (not

unsolicited) transactions. Fifth, the emotional pull of a \$437,500 loss makes models more likely to find a violation, confusing bad outcomes with bad conduct.

Applicable Standard

Regulation Best Interest 17 CFR §240.15l-1 - Care Obligation (applies only to recommendations); FINRA Rule 2111 (Suitability - applies only to recommended transactions); FINRA Regulatory Notice 12-25 (guidance on when orders are truly 'unsolicited'); FINRA Rule 4512 (Customer Account Information); FINRA Rule 2090 (Know Your Customer)

Adversarial Hypothetical 117

Topic: structured_products_unsuitable | Type: multi_party | Difficulty: expert

Fact Pattern

Margaret Chen, age 71, retired schoolteacher with \$620,000 in savings, moderate risk tolerance documented on her account application, and a stated investment objective of 'income with preservation of capital.' In January 2023, she held accounts at two different broker-dealer firms. At Firm A, her advisor Thomas Reilly recommended she invest \$80,000 (about 13% of her total portfolio) in a reverse convertible note linked to a basket of three large-cap technology stocks with a 14-month maturity and a 9.5% annual coupon. Reilly conducted product-level due diligence, attended the issuer's training webinar, reviewed the product's prospectus supplement, and documented in his notes that the product offered 'enhanced yield suitable for income-seeking retirees' with a 25% downside barrier. He noted the client's moderate risk tolerance supported the recommendation. Separately, at Firm B, her advisor Diana Kowalski had already placed \$155,000 of Margaret's assets into three other structured notes - two autocallable notes tied to single-stock underliers and one principal-at-risk credit-linked note - over the prior eight months. Reilly was unaware of the Firm B structured product holdings. Margaret had mentioned to Reilly in passing during their January meeting that she had 'a few other investments at another place' but did not specify what they were, and Reilly did not ask follow-up questions. Margaret signed the product-specific risk disclosure for the reverse convertible at Firm A. After the 14-month term, two of the three basket stocks had declined below the barrier, and Margaret received shares worth \$51,200 instead of her \$80,000 principal, a loss of \$28,800. She filed a complaint against Reilly and Firm A.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Reilly violated applicable suitability requirements on multiple levels. First, regarding customer-specific suitability: while Reilly performed reasonable-basis suitability (product-level diligence), he failed customer-specific suitability analysis under FINRA Rule 2111 and its supplementary material. The rule requires that a recommended transaction be suitable based on the customer's overall investment profile, including the customer's 'other investments.' FINRA Rule 2111.04 (the institutional suitability carve-out) does not apply here as Margaret is clearly a retail customer. Reilly had constructive notice that Margaret held other investments when she mentioned holdings at another firm, yet he failed to make reasonable efforts to ascertain the nature of those holdings. Had he inquired, he would have discovered that Margaret's

combined structured product exposure across both firms would have been \$235,000, representing approximately 38% of her total liquid net worth - a grossly disproportionate allocation to complex, principal-at-risk structured products for a 71-year-old retiree seeking income with capital preservation. Second, reverse convertible notes are specifically flagged in FINRA Regulatory Notice 12-03 as complex products requiring heightened suitability scrutiny, including a reasonable basis for believing the customer can understand and bear the risks. A 71-year-old retired schoolteacher with moderate risk tolerance and capital preservation objectives is a poor candidate for a product that converts to depreciated equity upon barrier breach. Third, under FINRA Rule 2111's quantitative suitability component and the concentration guidance in Regulatory Notice 12-03, the overall concentration in structured products was unsuitable. Reilly's failure to ask follow-up questions about Margaret's other holdings when she volunteered their existence constitutes a failure to exercise reasonable diligence regarding the customer's investment profile, violating FINRA Rule 2111(a). The signed risk disclosure does not cure the suitability deficiency, as customer consent does not relieve the advisor of suitability obligations per FINRA Regulatory Notice 12-02.

Common Wrong Answer

No violation - Reilly performed thorough product due diligence, the \$80,000 allocation represented only 13% of the client's total portfolio which is a reasonable concentration, the client signed the risk disclosure acknowledging the product's risks, and Reilly cannot be held responsible for another firm's recommendations he didn't know about.

Why Adversarial

This is adversarial because on the surface, Reilly's conduct at Firm A appears diligent - he performed product-level due diligence, the single allocation was only 13% of total assets (seemingly reasonable), and the client signed risk disclosures. A general LLM might focus only on Reilly's visible conduct and conclude he acted properly. The trap lies in the multi-party, multi-account dimension: the critical suitability failure is Reilly's failure to investigate known-but-unspecified outside holdings, which created a hidden concentration problem. Many LLMs would also incorrectly weigh the signed disclosure as exculpatory.

Applicable Standard

FINRA Rule 2111 (Suitability), including supplementary material .04 and .05 regarding customer investment profile and reasonable diligence; FINRA Regulatory Notice 12-03 (Heightened Supervision and Suitability Requirements for Complex Products); FINRA Regulatory Notice 12-02 (Additional Guidance on Know-Your-Customer and Suitability Obligations)

Adversarial Hypothetical 118

Topic: leveraged_etf_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

David Koroma, age 44, is a software engineer earning \$195,000 annually with a net worth of approximately \$1.4 million including his home. He maintains a brokerage account at a mid-size broker-dealer where his registered representative, Sarah Whitfield, has managed his investments since 2017. David's account documents, last updated in April 2019, list his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as '15+ years.' In May 2019, during a routine portfolio review, David told

Whitfield he wanted to 'make a big directional bet on natural gas going up over the next year' because he believed a cold winter and supply constraints would drive prices significantly higher. He specifically asked Whitfield to put \$70,000 (about 8% of his investable portfolio of \$850,000) into a 3x leveraged long natural gas ETF. Whitfield explained that leveraged ETFs experience daily rebalancing and volatility decay, that the product was designed for single-day holding periods, and that over a one-year period the fund's returns could deviate substantially from 3x the underlying commodity's performance, potentially resulting in significant losses even if natural gas prices ultimately rose. She documented this conversation in detailed contemporaneous notes. David said he understood completely, reaffirmed he wanted to proceed, and signed a supplemental acknowledgment form that Whitfield's firm required for all leveraged and inverse ETF purchases. Whitfield executed the trade. She did not set any stop-loss orders or schedule periodic check-ins about the position. Over the next 11 months, natural gas prices experienced extreme volatility - rising 22% then falling 40% then partially recovering - and the leveraged ETF lost 74% of its value due to compounding and decay effects. David ultimately sold the position in April 2020 for \$18,200, losing \$51,800. He filed a complaint in June 2020 claiming the recommendation was unsuitable. The firm's internal compliance manual, updated in January 2020, had added a new policy requiring representatives to implement mandatory 30-day position reviews for any client holding leveraged or inverse ETFs and to proactively contact clients to reassess suitability at each review. This policy did not exist when the trade was placed in May 2019. Whitfield was unaware of the January 2020 policy update until she received the complaint and her supervisor informed her of it during the investigation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, but the analysis is nuanced and the violation is narrower than it first appears. At the point of initial recommendation in May 2019, Whitfield's conduct was largely compliant. Under FINRA Rule 2111, the client's aggressive risk tolerance, growth objective, long time horizon, substantial income, and relatively modest allocation (8% of portfolio) support the position that the leveraged ETF recommendation had customer-specific suitability. Whitfield also satisfied reasonable-basis suitability by understanding the product's mechanics and clearly explaining volatility decay and compounding risks. The client's explicit request and informed consent, while not dispositive of suitability, are relevant factors under FINRA Rule 2111 supplementary material .05(a), which provides that a representative's customer-specific suitability obligation is satisfied when a customer, after receiving disclosure of risks, independently directs a specific investment. However, the violation arises from the ongoing supervisory and suitability obligation that attached after January 2020 when the firm implemented its mandatory 30-day review policy. Under FINRA Rule 3110 (Supervision), member firms must establish and enforce written supervisory procedures, and registered representatives must follow their firm's compliance policies. Whitfield's failure to comply with the January 2020 policy - even if she was unaware of it - constitutes a violation, because ignorance of an internal supervisory procedure is not a defense. The firm's policy was a reasonable response to well-documented risks of leveraged ETF holding periods, consistent with FINRA Regulatory Notice 09-31 (Non-Traditional ETFs), which warned that leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' From January 2020 through April 2020, Whitfield should have conducted at least one 30-day review, contacted David to reassess whether the position remained suitable given the extreme losses and volatility, and potentially recommended liquidation. Her failure to do so means the position was held without required ongoing

suitability assessment during a critical period. The initial recommendation was compliant; the ongoing hold became non-compliant after the firm policy change in January 2020.

Common Wrong Answer

No violation - the client specifically requested the leveraged ETF, had an aggressive risk profile with adequate net worth, Whitfield provided thorough disclosure of compounding and decay risks, the client signed the firm's supplemental acknowledgment form, and under the client-directed investment principle the advisor is not liable for losses from a trade the customer insisted on making with full knowledge of the risks.

Why Adversarial

This is a temporal trap combined with a client-direction element. A general LLM is likely to either (1) say no violation because the client specifically requested the product, was fully informed of risks, had an aggressive profile, and signed acknowledgments - missing the post-January 2020 supervisory failure entirely; or (2) say clear violation because leveraged ETFs held for months are per se unsuitable, overstating the initial recommendation issue and missing the temporal nuance. The correct answer requires recognizing that the initial recommendation was defensible under the client-directed safe harbor, but a violation arose later due to a mid-holding-period policy change that created new obligations Whitfield failed to meet. Most LLMs will not identify the January 2020 policy change as the pivotal moment.

Applicable Standard

FINRA Rule 2111 (Suitability), including supplementary material .05(a) (customer-specific suitability and customer-directed transactions); FINRA Rule 3110 (Supervision) regarding obligation to comply with firm written supervisory procedures; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs - guidance that leveraged/inverse ETFs are generally unsuitable for long-term holding by retail investors); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Suitability)

Adversarial Hypothetical 119

Topic: structured_products_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Williamson at Pinnacle Wealth Partners recommended a reverse convertible note linked to a basket of three biotechnology stocks to his client, Miriam Choi, age 58. Miriam is a retired pharmacist with a \$1.8 million portfolio, a moderate risk tolerance documented on her new account form, 25 years of investing experience including individual stock trading, and a stated objective of income generation with capital preservation. The reverse convertible had a 14-month maturity, paid a 12.5% annual coupon, and had a knock-in barrier at 65% of the initial reference price of the basket. Derek conducted extensive research before the recommendation: he reviewed the issuing bank's credit rating (A+), analyzed the historical volatility of each underlying biotech stock (averaging 45% annualized), ran a Monte Carlo simulation showing approximately 78% probability of full principal return, and prepared a written summary of the product's risks including the possibility of total loss of principal if any stock breached the barrier. He presented this analysis to Miriam in a 90-minute meeting, during which she acknowledged understanding the downside risk. Derek's firm had approved the product for sale to clients with moderate risk tolerance or higher, and the firm's internal product committee had classified reverse convertibles linked

to single stocks as unsuitable for moderate-risk clients but had not specifically addressed basket-linked reverse convertibles. Miriam allocated \$145,000 (approximately 8% of her portfolio) to this product. Within seven months, one of the three biotech stocks dropped 52% after a failed clinical trial, breaching the knock-in barrier, and at maturity the note was converted into shares of the worst-performing stock, resulting in a \$63,000 loss for Miriam. Derek earned a 3.2% commission on the sale (\$4,640), which was approximately double the commission he would have earned selling a comparable-maturity investment-grade corporate bond.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the advisor's extensive research. The analysis must be conducted at three levels under FINRA Rule 2111: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. While Derek arguably satisfied reasonable-basis suitability by conducting detailed product-level research (Monte Carlo simulation, credit analysis, volatility review), he failed customer-specific suitability. Miriam's stated objectives were income generation AND capital preservation. Reverse convertibles are principal-at-risk structured products that are fundamentally inconsistent with capital preservation objectives. FINRA Regulatory Notice 12-03 specifically warns that reverse convertibles involve significant downside market risk and are generally unsuitable for investors seeking capital preservation regardless of the coupon offered. The 45% average annualized volatility of the underlying biotech stocks made a barrier breach a material probability (his own analysis showed a 22% chance of principal loss), which is incompatible with a capital preservation mandate. Furthermore, FINRA Notice 12-03 and the guidance in Regulatory Notice 09-31 on non-conventional investments emphasize that the high coupon (12.5%) is not a return enhancement but compensation for bearing significant downside risk - effectively selling a put option. The firm's own product committee classification is also telling: the committee had restricted single-stock reverse convertibles for moderate-risk clients, and a basket linked to three highly correlated biotech stocks does not materially reduce this risk profile - it arguably concentrates sector-specific event risk. The elevated commission (3.2% vs. approximately 1.5% for comparable bonds) also raises concerns under Reg BI's conflict-of-interest obligation (for broker-dealers as of June 30, 2020) requiring disclosure and mitigation of financial incentives that could influence the recommendation. Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives; a portfolio of investment-grade bonds yielding 5-6% in the 2023 rate environment would have met Miriam's income needs without principal risk. The fact that the advisor did substantial research actually makes this a more clear-cut customer-specific suitability failure - he had the data showing the mismatch and recommended anyway.

Common Wrong Answer

No violation - the advisor conducted thorough due diligence including Monte Carlo analysis, the client acknowledged understanding the risks in a detailed meeting, the firm had approved the product for moderate-risk clients, the allocation was a reasonable 8% of the portfolio, and the loss resulted from an unforeseeable clinical trial failure rather than an inherently unsuitable recommendation.

Why Adversarial

A general LLM would likely focus on the advisor's extensive research process - the Monte Carlo simulation, written risk summary, 90-minute disclosure meeting, and client acknowledgment - and conclude that the thorough due diligence and informed consent cured any suitability issue. The trap is that reasonable-basis

suitability (product-level understanding) is only one of three prongs, and even perfect product research cannot cure a customer-specific suitability failure when the product is fundamentally inconsistent with the client's capital preservation objective. Many LLMs also incorrectly treat client acknowledgment of risk as equivalent to suitability, when in fact the suitability obligation is the advisor's independent duty that cannot be delegated to the client. The firm's approval for moderate-risk clients is another red herring - firm approval does not override the individual advisor's customer-specific suitability obligation.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three obligations: reasonable-basis, customer-specific, and quantitative suitability; FINRA Regulatory Notice 12-03 (Complex Products and New Accounts); FINRA Regulatory Notice 09-31 (Non-Conventional Investments); Regulation Best Interest (17 CFR §240.15I-1) Care Obligation and Conflict of Interest Obligation (effective June 30, 2020); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 120

Topic: bond_duration_mismatch | Type: temporal_trap | Difficulty: expert

Fact Pattern

Financial advisor Susan Nakamura managed the account of Gerald Hoffman, age 71, a retired civil engineer, from January 2019 through December 2023. Gerald's account was a fee-based advisory account at Meridian Financial Group, holding \$920,000. His investment profile, updated in February 2019 and again in January 2022, consistently listed his objectives as current income and capital preservation, with a conservative risk tolerance, a 7-year investment time horizon (reflecting his plan to begin major drawdowns at age 78 to fund long-term care costs), and moderate investment knowledge. In March 2019, Susan constructed a bond ladder for Gerald consisting of investment-grade municipal and corporate bonds with maturities ranging from 1 to 8 years, with an effective portfolio duration of approximately 4.1 years. This was well-aligned with his 7-year horizon. In September 2020, with interest rates near historic lows, Susan recommended restructuring the bond portfolio. She sold the shorter-duration bonds (1-3 year maturities) and reinvested the proceeds into longer-duration bonds: a mix of 15-year and 20-year investment-grade municipal bonds and a 12-year BBB-rated corporate bond position. The restructured portfolio had an effective duration of approximately 9.8 years. Susan's rationale, documented in her contemporaneous notes, was that (a) longer bonds offered substantially higher yields (2.8% vs. 0.5-1.0% on short maturities), better serving Gerald's income needs; (b) she expected rates to remain low for 'an extended period' based on central bank guidance; (c) Gerald would not need the principal for 7 years; and (d) if rates did rise, she planned to hold the bonds to maturity to avoid realizing losses. Gerald approved the trades after Susan explained that longer bonds paid more income. Between 2022 and 2023, as interest rates rose sharply, the portfolio's mark-to-market value declined by approximately \$187,000 (roughly 20%). Gerald did not sell any positions, and the bonds continued paying their stated coupons. In January 2024, Gerald filed a complaint alleging the bond restructuring was unsuitable.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the analysis requires careful attention to which standard applies at each point in time and why the advisor's seemingly logical rationale fails. For the September 2020 trades, the applicable standard depends on the account type. Because this was a fee-based advisory account at a broker-dealer/RIA, Regulation Best Interest applied to any recommendations made after June 30, 2020. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, considering the investment's risks, rewards, and costs in light of the customer's profile. Additionally, under the Investment Advisers Act fiduciary duty (applicable because this is an advisory account), Susan owed Gerald a continuous fiduciary duty of care and loyalty. The violation is the duration mismatch: extending portfolio duration to 9.8 years for a client with a 7-year time horizon and capital preservation objective creates substantial interest rate risk that is inconsistent with the customer's profile. A duration of 9.8 years means approximately a 9.8% decline in portfolio value for every 100 basis point increase in rates - this is antithetical to capital preservation. Susan's documented rationales fail for specific reasons: (a) yield enhancement does not justify abandoning capital preservation - the higher coupon is compensation for bearing duration risk; (b) market timing (predicting rates will stay low) is not a reasonable basis for overriding a conservative client's risk parameters; (c) the 'hold to maturity' defense fails because Gerald's 7-year time horizon means he may need to liquidate before the 15-20 year bonds mature, and even in a fee-based account, the advisor has a duty to manage portfolio risk on an ongoing basis, not just at the point of sale - unrealized losses impair the client's ability to meet his stated goal of funding long-term care at age 78; (d) under FINRA Rule 2111.05(a), a hold recommendation is itself subject to suitability requirements - the ongoing holding of severely duration-mismatched bonds after rates began rising in 2022 was itself a suitability violation. Critically, the standard shifted during the relevant period: the original 2019 ladder was constructed under the pre-Reg BI suitability standard (FINRA Rule 2111), while the September 2020 restructuring fell under both Reg BI and fiduciary duty. Under Reg BI's higher standard, Susan was required to consider reasonably available alternatives - she could have achieved meaningful yield pickup with intermediate-duration bonds (5-7 years) that would have matched Gerald's horizon without creating the duration overshoot.

Common Wrong Answer

No violation - the advisor documented a reasonable investment rationale, the bonds were all investment-grade, the client approved the trades, no bonds have been sold so no losses were realized, the coupon income meets the client's income objective, and the original portfolio construction in 2019 demonstrates the advisor's competence and good faith. The mark-to-market decline is a normal consequence of rate movements and will recover if bonds are held to maturity.

Why Adversarial

This scenario contains multiple traps. First, the temporal trap: the standard changed between the original portfolio construction (pre-Reg BI, FINRA Rule 2111 only) and the restructuring (post-Reg BI effective date AND fiduciary duty for advisory accounts), which affects the analysis. A general LLM might apply only one standard uniformly. Second, the advisor's documented rationale sounds financially sophisticated (yield curve analysis, hold-to-maturity strategy, central bank guidance), which might lead an LLM to conclude she exercised reasonable care. Third, the 'no realized loss' fact - Gerald hasn't sold anything and is still receiving coupons - might trick an LLM into concluding no harm occurred. Fourth, the hold-to-maturity defense is a common industry argument that sounds persuasive but fails when the bond maturities (15-20 years) substantially exceed the client's time horizon (7 years). Fifth, the fact that the original 2019 portfolio

was well-constructed might lead an LLM to give the advisor benefit of the doubt on the restructuring. A general LLM is unlikely to recognize that a 9.8-year duration versus a 7-year horizon is a specific, quantifiable mismatch that violates duration-matching principles for capital preservation portfolios.

Applicable Standard

Regulation Best Interest (17 CFR §240.15l-1) - Care Obligation (applicable to September 2020 recommendation, post-June 30, 2020 effective date); Investment Advisers Act of 1940 §206 fiduciary duty (applicable to ongoing advisory relationship in fee-based account); FINRA Rule 2111 (Suitability) including supplementary material .05(a) regarding hold recommendations; FINRA Regulatory Notice 12-25 (Additional Guidance on FINRA's New Suitability Rule - explicit hold obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Trade)

Adversarial Hypothetical 121

Topic: options_unsuitable | Type: client_direction_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 71, is a retired school librarian living in Tucson, Arizona, with a fixed annual pension of \$38,000 and \$410,000 in a brokerage account that represents her entire liquid net worth. She has no other investments or savings beyond a paid-off home worth approximately \$220,000. Her account documents, completed in January 2023, list her investment objective as 'income' and her risk tolerance as 'moderate.' She has no prior options trading experience and her account was approved only for covered call writing (Level 1 options). In March 2023, Margaret attended a free dinner seminar hosted by advisor Derek Fanning, where the speaker discussed how selling cash-secured puts on blue-chip stocks could generate 'safe, bond-like income.' Margaret became enthusiastic about the strategy and called Derek the next day, requesting that her options approval be upgraded to Level 2 so she could begin selling cash-secured puts. Derek explained the mechanics and risks over the phone in a 15-minute conversation, after which Margaret signed updated options paperwork acknowledging she understood the risks of put writing. Her account profile was not otherwise updated - her objectives remained 'income,' risk tolerance remained 'moderate,' and her experience was updated only to reflect '0-1 years options experience.' Over the following nine months, Derek executed 47 cash-secured put trades on Margaret's behalf, concentrating on three volatile technology stocks: a cloud computing company, a cryptocurrency exchange operator, and a recently-IPO'd artificial intelligence firm. Each put required between \$30,000 and \$50,000 in cash collateral. Margaret collected \$31,400 in total premiums during this period. However, in January 2024, all three stocks declined sharply. Margaret was assigned on multiple puts and her account value dropped to \$268,000 - a net loss of approximately \$111,000 after accounting for premiums received. Margaret filed a complaint alleging the strategy was unsuitable. Derek's firm responded that Margaret specifically requested the strategy, signed updated options documents, and received all required risk disclosures, and that cash-secured puts are considered a conservative income strategy widely recommended for retirees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek Fanning violated applicable suitability requirements on multiple independent grounds, despite the client's express request for the strategy. First, under FINRA Rule 2360 (Options), a member firm must have a reasonable basis for approving a customer's options level and must ensure that options transactions are suitable for the customer in light of the customer's financial situation, investment objectives, and experience. Margaret's profile - a 71-year-old retiree with no options experience, moderate risk tolerance, income objective, and \$410,000 representing her entire liquid net worth - made selling cash-secured puts on volatile technology stocks unsuitable regardless of her request. Second, under FINRA Rule 2111 (Suitability), three independent obligations apply: (1) reasonable-basis suitability - while cash-secured puts on stable, blue-chip dividend stocks can be a reasonable income strategy, selling puts on highly volatile recently-IPO'd tech companies and a cryptocurrency exchange operator is a fundamentally different risk proposition that lacks a reasonable basis as an 'income strategy'; (2) customer-specific suitability - concentrating the required cash collateral of \$30,000-\$50,000 per trade across only three volatile names effectively put the majority of Margaret's liquid net worth at risk of forced purchase of declining stocks, which is inconsistent with her moderate risk tolerance and income objective; (3) quantitative suitability - 47 options trades in 9 months for a 71-year-old novice options investor with an income objective suggests excessive activity. The client's request does not absolve the advisor. FINRA has consistently held that a customer's desire to engage in a particular strategy does not relieve the advisor of the independent obligation to determine that the recommendation is suitable. The firm's dinner seminar likely constituted a recommendation under FINRA's broad definition (Regulatory Notice 12-25), and the advisor's execution of the trades constituted implied recommendations of each individual transaction. Additionally, under Regulation Best Interest (if applicable after June 30, 2020 for broker-dealers), the Care Obligation under Rule 15l-1(a)(2)(ii) requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, and must not place the advisor's interest ahead of the client's. The premiums generated commissions for Derek, creating a conflict. The superficial documentation updates without meaningfully reassessing the customer profile further evidence a deficiency in the process.

Common Wrong Answer

No violation. Margaret specifically requested the options upgrade and the put-writing strategy, signed updated options documents acknowledging the risks, and cash-secured puts are a recognized conservative income strategy appropriate for retirees. The advisor honored his client's autonomous investment decisions and provided appropriate disclosures.

Why Adversarial

This scenario is designed to trap AI models because: (1) the client explicitly requested the strategy and signed updated paperwork, which many models will treat as a complete defense; (2) cash-secured puts are widely described in financial literature as 'conservative' and 'income-generating,' leading models to accept the firm's characterization; (3) the violation is not in the strategy type itself but in the specific underlying securities chosen (volatile tech stocks vs. blue chips), which requires nuanced analysis; (4) the client direction trap is compounded by the fact that the dinner seminar likely constituted an implicit recommendation, converting what appears to be unsolicited into solicited activity. Models must know that client consent does not override suitability obligations.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2360 (Options) - options account approval and suitability requirements; FINRA Regulatory

Notice 12-25 (guidance on what constitutes a 'recommendation'); Regulation Best Interest, 17 CFR § 240.15l-1 (Care Obligation); OCC Risk Disclosure Document for Options

Adversarial Hypothetical 122

Topic: *mutual_fund_switching_churning* | Type: *threshold_trap* | Difficulty: *expert*

Fact Pattern

Carlos Medina, age 55, is a mid-level operations manager at a manufacturing firm earning \$95,000 per year. He has a \$340,000 brokerage account with Ridgeway Financial Partners, managed by advisor Theresa Burke. Carlos's investment objectives are listed as 'growth and income' with a 'moderate' risk tolerance and a 10-year time horizon to retirement. Between February 2022 and February 2024, Theresa recommended that Carlos switch between large-cap equity mutual funds on six separate occasions. The switches were as follows: (1) February 2022 - moved \$340,000 from Fund A (Large Cap Growth, expense ratio 0.72%, Class A shares, front-end load 5.25% waived due to breakpoint) into Fund B (Large Cap Blend, expense ratio 0.81%, Class A shares, front-end load 5.25% - full load charged: \$17,850); (2) August 2022 - moved \$322,000 from Fund B into Fund C (Large Cap Value, expense ratio 0.69%, Class A shares, front-end load 4.50% charged: \$14,490); (3) March 2023 - moved \$307,000 from Fund C into Fund D (Large Cap Growth, expense ratio 0.74%, Class A shares, front-end load 5.25% charged via letter of intent at reduced 3.50%: \$10,745); (4) September 2023 - moved \$296,000 from Fund D into Fund E (Large Cap Blend, expense ratio 0.77%, Class A shares, front-end load 5.25% - qualified for \$250K breakpoint at 3.50%: \$10,360); (5) January 2024 - moved \$286,000 from Fund E into Fund F (Large Cap Growth, expense ratio 0.71%, Class A shares, front-end load 5.25% - breakpoint at 3.50%: \$10,010); (6) February 2024 - moved \$276,000 from Fund F back into Fund A (Large Cap Growth, same fund he started in, expense ratio 0.72%, Class A shares, front-end load 5.25% - breakpoint at 3.50%: \$9,660). Total front-end loads paid across all six switches: \$73,115. Each fund had similar Morningstar ratings (3-4 stars), similar beta values (0.95-1.08), and overlapping top-10 holdings averaging 40% overlap between any two funds. Theresa documented each switch with a brief note stating the new fund had 'superior recent performance' or 'better management team outlook.' Carlos's account value declined from \$340,000 to approximately \$267,000 over the two-year period, with the S&P 500 gaining approximately 12% during the same period. Theresa earned approximately \$3,100 in commissions from each switch on average. Ridgeway's compliance department reviewed each switch individually and approved them, noting that each individual fund was a suitable large-cap equity holding for Carlos's profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Theresa Burke violated suitability and best interest requirements through a classic pattern of mutual fund switching that constitutes churning and unsuitable recommendations. Under FINRA Rule 2111 (Suitability), particularly the quantitative suitability component (Rule 2111.05(c)), when a broker exercises de facto control over a customer account - which is evidenced here by Carlos following every recommendation over six switches in 24 months without deviation - the activity must not be excessive in light of the customer's profile. Six switches among substantially similar large-cap equity funds in 24 months,

generating \$73,115 in front-end sales charges (21.5% of the original account value), is presumptively excessive. Under FINRA's specific guidance on mutual fund switching (FINRA Regulatory Notice 12-25, NASD Notice to Members 94-16, and Rule 2310 predecessor guidance on mutual fund suitability), switching between mutual funds with similar investment objectives, similar risk profiles, and overlapping holdings is a red flag for churning. The key quantitative metrics here are devastating: the cost-to-equity ratio is approximately 21.5% ($\$73,115 / \$340,000$) over just two years, and the annualized cost-to-equity ratio exceeds 10%, which far exceeds the 5-6% threshold that FINRA arbitration panels and enforcement actions have historically treated as presumptive evidence of excessive trading. The turnover rate - six complete liquidations and reinvestments in 24 months - is extraordinarily high for a mutual fund account. Additionally, under Regulation Best Interest (effective June 30, 2020), the Care Obligation requires that the advisor evaluate reasonably available alternatives. Theresa failed this obligation because the funds were substantially interchangeable - similar expense ratios (0.69%-0.81%), similar Morningstar ratings, similar beta, and 40% holding overlap. The documented justifications ('superior recent performance,' 'better management team outlook') are conclusory and do not constitute the reasonable diligence required. Performance chasing among similar funds while incurring repeated front-end loads is the textbook definition of unsuitable switching. The fact that Ridgeway's compliance department approved each switch individually does not cure the violation - FINRA has held that reviewing switches in isolation rather than in the aggregate is itself a supervisory failure under FINRA Rule 3110. The round-trip back to Fund A in February 2024 is particularly damning evidence that the switches served no legitimate investment purpose.

Common Wrong Answer

No violation, or only a minor documentation deficiency. Each individual fund was suitable for Carlos's growth-and-income objective, each had slightly different characteristics (growth vs. blend vs. value), the advisor documented rationale for each switch, and the firm's compliance department approved every transaction. The advisor was responding to changing market conditions by rotating between growth and value styles, which is a legitimate tactical strategy.

Why Adversarial

This scenario is adversarial because it tests whether the model understands the critical distinction between individual-transaction suitability and pattern-based/quantitative suitability. Each individual switch, viewed in isolation, appears defensible - each fund is suitable for the client's profile, each has slightly different characteristics, and each was individually approved by compliance. The trap is that the firm's compliance review methodology (individual review) mirrors what a naive AI model might do. The model must recognize that: (1) the quantitative thresholds for excessive trading are met and exceeded; (2) mutual fund switching analysis requires aggregate pattern review, not individual transaction review; (3) the round-trip back to the original fund is a classic indicator of purposeless switching; (4) compliance approval does not validate suitability; and (5) the 40% holding overlap and similar ratings/betas establish that the funds were not materially different enough to justify the switching costs. A general LLM might focus on the individual suitability of each fund and the compliance approvals rather than the aggregate pattern.

Applicable Standard

FINRA Rule 2111 (Suitability) including Supplementary Material .05(c) on quantitative suitability; FINRA Rule 2121 (Fair Prices and Commissions); FINRA Regulatory Notice 12-25; NASD Notice to Members 94-16 (Mutual Fund Switching); FINRA Rule 3110 (Supervision); Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation under (a)(2)(ii)(B); SEC Regulation Best Interest Release No. 34-86031

(discussion of mutual fund share class and switching obligations)

Adversarial Hypothetical 123

Topic: penny_stocks_unsuitable | Type: multi_party | Difficulty: expert

Fact Pattern

Margaret Driscoll, age 71, is a retired schoolteacher with a \$340,000 portfolio consisting mostly of municipal bonds and a money market fund. Her account documents at Firm A (Ridgeline Securities) list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her annual income as \$38,000 from a pension and Social Security, and her liquid net worth as \$340,000. In January 2023, Margaret's long-time advisor at Ridgeline, Carl Jennings, retired. Her account was reassigned to David Park, a newly registered representative who had been at the firm for eight months. David reviewed Margaret's account profile and noted her conservative objectives. In March 2023, Margaret's nephew, Tyler Driscoll (age 34), called David and explained that he held a limited power of attorney over Margaret's account, which was on file with Ridgeline. Tyler told David he wanted to invest \$45,000 of Margaret's funds into shares of GreenLeaf Bioworks Inc., a company trading at \$0.18 per share on the OTC Pink marketplace with no audited financial statements, a market capitalization of approximately \$2.8 million, and average daily volume of about 12,000 shares. Tyler said he had 'done extensive research' and believed the company was about to receive a patent approval that would send the stock to \$3.00 per share. David told Tyler he would need to verify a few things. David then reviewed publicly available information on GreenLeaf Bioworks and found: the company had reported losses for six consecutive quarters, had two employees, and its sole asset was a provisional patent application. David also pulled up Margaret's account profile and noted the conservative objectives. However, David reasoned that (1) the limited power of attorney gave Tyler legal authority to direct trades, (2) the \$45,000 represented only about 13% of Margaret's portfolio, and (3) Tyler was a sophisticated younger investor who had his own brokerage account at a different firm where he actively traded speculative securities. David executed the trade, purchasing 250,000 shares of GreenLeaf Bioworks at \$0.18 per share for Margaret's account. He documented in his notes that the trade was directed by the POA holder and that he had reviewed publicly available information on the issuer. He did not send Margaret the penny stock risk disclosure document or obtain a signed suitability statement from Margaret herself. Within four months, GreenLeaf Bioworks was halted by regulators for suspected fraudulent promotional activity, and the shares became essentially worthless, resulting in a \$45,000 loss to Margaret's account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, David Park violated multiple applicable standards. First, under FINRA Rule 2111 (Suitability), the obligation runs to the customer whose account is being used - Margaret Driscoll - not to the POA holder. Even when a third party with legal trading authority directs a trade, the broker must evaluate suitability based on the account holder's profile. Margaret's conservative risk tolerance, income-oriented objectives, age (71), limited liquid net worth, and reliance on pension income make a \$45,000 speculative penny stock position clearly unsuitable regardless of Tyler's sophistication or conviction. The fact that the trade was

'directed' by a POA holder does not trigger the unsolicited/customer-directed exemption under FINRA Rule 2111.03, because the POA holder is not the customer. Second, and critically, David violated the penny stock rules under Exchange Act Section 15(h) and SEC Rule 15g-2 through 15g-9. For transactions in penny stocks (generally equity securities trading below \$5.00 per share that do not meet certain exemptions), the broker is required to: (a) provide the customer with a standardized risk disclosure document and obtain a signed acknowledgment (Rule 15g-2); (b) obtain detailed written suitability information from the customer and make an affirmative determination that the penny stock is suitable, providing this determination in writing to the customer before the trade (Rule 15g-9); and (c) provide current quotation and compensation information (Rules 15g-3, 15g-4, 15g-5). GreenLeaf Bioworks, trading at \$0.18 on OTC Pink with no audited financials and a \$2.8 million market cap, squarely qualifies as a penny stock with no applicable exemption. David failed to provide the risk disclosure document and failed to obtain the required written suitability statement from Margaret herself. These are mandatory procedural requirements that apply regardless of who directed the trade, and their absence constitutes an independent violation. Additionally, under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations after June 30, 2020, even if David characterized this as executing a directed trade rather than making a recommendation, his affirmative conduct - reviewing the issuer, evaluating portfolio concentration, and then deciding to proceed - arguably constituted implicit endorsement amounting to a recommendation. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the broker must exercise reasonable diligence, care, and skill to understand the risks and ensure the transaction is in the customer's best interest. No reasonable analysis could conclude that a speculative penny stock in a fraudulently promoted company was in the best interest of a 71-year-old conservative retiree.

Common Wrong Answer

No violation, because Tyler held a valid limited power of attorney granting him trading authority over Margaret's account, making this a client-directed trade. The advisor documented his review and the trade represented only 13% of the portfolio, which is not an excessive concentration. The advisor had no obligation to second-guess the legally authorized instructions of the POA holder.

Why Adversarial

This scenario creates multiple layers of misdirection. First, the presence of a valid limited power of attorney tempts the model to conclude that the advisor was merely following lawful instructions from an authorized party, conflating legal trading authority with suitability compliance. Second, the 13% portfolio concentration might seem moderate enough to pass a superficial suitability check. Third, the advisor's documented due diligence (reviewing public information, noting the POA) creates a veneer of compliance. Fourth, and most critically, the penny stock disclosure and written suitability requirements are highly specific procedural mandates that many general LLMs do not know about or conflate with general suitability rules. The trap is that even if a model correctly identifies the general suitability violation, it may miss the independent penny stock rule violations, which are strict procedural requirements with no exception for POA-directed trades. The multi-party structure (customer, POA holder, new advisor, prior advisor) adds additional complexity.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material 2111.03 regarding customer-directed transactions; SEC Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation; Exchange Act Section 15(h); SEC Rules 15g-2 (risk disclosure for penny stocks), 15g-9 (written suitability determination for penny stocks), 15g-3 (quotation disclosure), 15g-4 and 15g-5 (compensation disclosure);

FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade)

Adversarial Hypothetical 124

Topic: *crypto_assets_unsuitable* | Type: *temporal_trap* | Difficulty: *hard*

Fact Pattern

Raymond Ochoa, age 52, is a senior software engineer earning \$225,000 annually with a net worth of approximately \$1.9 million, including his home equity. He has \$680,000 in investable assets held across a brokerage account and a retirement account at Beacon Wealth Partners, a dually registered broker-dealer and investment adviser. Raymond has been a client since 2017 and his investment profile lists his risk tolerance as 'aggressive,' his investment horizon as '15+ years,' and his objectives as 'growth and speculation.' He has experience trading options, leveraged ETFs, and has separately purchased Bitcoin and Ethereum through a self-directed crypto exchange since 2018. In February 2022, Raymond's advisor at Beacon, Lisa Cheng, recommended that Raymond allocate \$75,000 from his brokerage account into a newly launched exchange-traded product that provided 2x leveraged daily exposure to Bitcoin futures. Lisa explained the product's mechanics, including that it used futures contracts rather than holding Bitcoin directly, that the 2x leverage reset daily meaning long-term returns could diverge significantly from 2x the underlying return due to volatility decay, and that the product had an expense ratio of 1.85%. She documented this conversation and Raymond's acknowledgment in her client file. Raymond agreed and Lisa executed the purchase. Between February and June 2022, Bitcoin's price dropped approximately 55%, and due to the leveraged structure and volatility decay, Raymond's position lost approximately 82% of its value, declining from \$75,000 to roughly \$13,500. Raymond filed a complaint alleging the investment was unsuitable. Beacon's compliance department noted that at the time of Lisa's recommendation in February 2022, the firm had recently updated its product due diligence framework to include crypto-linked products but had not yet classified leveraged crypto ETPs specifically - the firm's written supervisory procedures categorized leveraged ETPs and crypto-linked products as separate product categories, each requiring enhanced suitability review, but did not address products that fell into both categories simultaneously. Lisa had completed the enhanced review for leveraged ETPs but not the separate enhanced review for crypto-linked products, believing the leveraged ETP review was sufficient since the product was technically an ETP. The firm's compliance manual, updated in January 2022, stated that 'all crypto-linked products require completion of Form CRP-7 and supervisory principal approval prior to execution,' but defined 'crypto-linked products' as 'any product whose value is derived primarily from one or more digital assets including but not limited to Bitcoin, Ethereum, or other cryptocurrencies.' The leveraged Bitcoin futures ETP clearly fell within this definition.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Lisa Cheng committed a violation, but the violation is procedural/supervisory rather than substantive suitability-based. On the substantive suitability analysis, Lisa's recommendation was likely defensible: Raymond had an aggressive risk tolerance, a 15+ year horizon, speculative objectives, direct personal experience with cryptocurrency, experience with leveraged products, and the \$75,000 allocation

represented approximately 11% of his investable assets - well within reasonable bounds for a speculative allocation given his profile. Lisa also provided thorough disclosure of the product's mechanics, including leverage reset, volatility decay, and the high expense ratio. Under FINRA Rule 2111, all three components of suitability - reasonable basis (she understood the product), customer-specific (it matched his profile), and quantitative (single purchase, no excessive trading) - appear satisfied. Under Regulation Best Interest's Care Obligation, the recommendation appears consistent with Raymond's stated objectives and risk profile. However, Lisa violated the firm's internal written supervisory procedures (WSPs), which are enforceable under FINRA Rule 3110 (Supervision). The firm's compliance manual unambiguously defined 'crypto-linked products' as any product whose value is derived primarily from digital assets, which clearly includes a 2x leveraged Bitcoin futures ETP. The manual required Form CRP-7 completion and supervisory principal approval before execution. Lisa completed the leveraged ETP enhanced review but failed to complete the required crypto-linked product review (Form CRP-7) and did not obtain the required supervisory principal approval. This constitutes a violation of the firm's supervisory procedures. Under FINRA Rule 3110(b), firms must establish and maintain WSPs, and representatives are required to follow them. Failure to follow firm procedures, even when the underlying recommendation may be substantively suitable, constitutes a separate violation. Additionally, the firm itself may face supervisory liability for failing to have clear procedures addressing products that straddle two enhanced review categories and for failing to catch this gap. This is not a case where the recommendation itself was unsuitable, but rather where the required procedural safeguards were not followed, which independently constitutes a violation.

Common Wrong Answer

No violation. Raymond had an aggressive risk tolerance, extensive experience with both cryptocurrency and leveraged products, a long time horizon, and speculative investment objectives. The \$75,000 allocation was only about 11% of his investable assets. Lisa thoroughly explained the product's risks including leverage mechanics, volatility decay, and high expenses. The subsequent loss was due to market conditions, not an unsuitable recommendation. The fact that an investment lost money does not make it unsuitable.

Why Adversarial

This scenario is adversarial because it separates substantive suitability from procedural compliance, which most models conflate. The obvious surface-level analysis points in two contradictory directions: (1) the client profile strongly supports the recommendation's suitability, tempting the model to say 'no violation,' but (2) the massive 82% loss tempts the model to say 'clear violation based on unsuitability.' Both obvious answers are wrong or incomplete. The correct answer requires recognizing that the recommendation was substantively suitable BUT procedurally non-compliant due to the failure to complete the firm's internal crypto-linked product review. The temporal element adds complexity - the firm updated its procedures in January 2022, just one month before the trade, creating a trap where the advisor may not have fully internalized the new requirements. A general LLM will likely either (a) focus on the client's aggressive profile and say no violation, missing the procedural failure entirely, or (b) focus on the catastrophic loss and conclude the investment was unsuitable, ignoring that losses alone do not establish unsuitability. The nuance that internal WSP violations are independently enforceable even when the underlying recommendation is suitable is a specific regulatory knowledge point that most general models miss.

Applicable Standard

FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability

obligations; SEC Regulation Best Interest (17 CFR 240.15l-1), including the Care Obligation and Compliance Obligation; FINRA Rule 3110 (Supervision), requiring firms to establish, maintain, and enforce written supervisory procedures and requiring registered representatives to adhere to those procedures; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 22-08 (Complex Products - regarding enhanced obligations for complex and leveraged products)

Adversarial Hypothetical 125

Topic: crypto_assets_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Dawson, age 72, retired school librarian, had a \$340,000 brokerage account with Apex Financial Group. Her account documents from January 2019 listed her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' and her liquid net worth as \$410,000 (the brokerage account plus \$70,000 in savings). In March 2020, during the market downturn, her advisor, Kevin Trinh, recommended she allocate \$17,000 (5% of her portfolio) into a publicly traded Bitcoin trust product available on a national exchange. Kevin documented that this was a 'small satellite allocation for potential upside recovery as markets rebound,' and noted that the product was exchange-listed and could be sold at any time during market hours. Margaret agreed and signed a supplemental new product acknowledgment form. The Bitcoin trust traded at a significant premium to its net asset value, roughly 20% at the time of purchase, and carried annual management fees of 2%. By June 2020, the position had gained 38%, and Kevin recommended holding. In October 2020, Kevin recommended an additional \$20,000 allocation to the same Bitcoin trust, bringing the total crypto-linked exposure to approximately \$43,000, or about 11.3% of her then-portfolio value of \$381,000. Margaret again agreed. In January 2022, the position had declined to approximately \$19,000. Margaret filed a complaint in April 2022, alleging the recommendations were unsuitable from the start. Kevin's firm had issued an internal bulletin in September 2020 stating that crypto-linked products should generally not exceed 5% of a customer's portfolio for clients with moderate or lower risk tolerances, though the bulletin characterized this as 'guidance' rather than a hard limit. Kevin later stated he did not recall reading the September 2020 bulletin before making the October 2020 recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This scenario likely involves a violation, but the analysis differs depending on the time period. For the March 2020 recommendation, the applicable standard was FINRA Rule 2111 (Suitability), which requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on her investment profile. A 5% allocation to an exchange-listed crypto trust for a 72-year-old moderate-risk, income-oriented client is borderline but arguably defensible under the reasonable-basis and customer-specific components of Rule 2111, especially given the small allocation size and the product's exchange liquidity. However, the 20% premium to NAV and 2% annual fee raise questions about whether Kevin performed adequate reasonable-basis diligence on the product itself (Rule 2111.05(a)). For the October 2020 recommendation, the analysis shifts significantly. By June 30, 2020, Regulation Best Interest

(Reg BI, 17 CFR § 240.15l-1) had taken effect, replacing the suitability standard for broker-dealer recommendations to retail customers. Under Reg BI's Care Obligation (§ 240.15l-1(a)(2)(ii)(B)), Kevin was required to exercise reasonable diligence, care, and skill, and consider reasonably available alternatives. Doubling down on a volatile crypto-linked product to bring exposure to 11.3% for a 72-year-old income-oriented retiree with moderate risk tolerance raises serious concerns under the Care Obligation. The firm's own September 2020 internal guidance capping crypto at 5% for moderate-risk clients is highly probative - while internal guidance is not itself a regulation, failure to follow firm guidelines is relevant to whether the advisor exercised reasonable diligence and care. Kevin's failure to even be aware of the bulletin undermines any claim of reasonable diligence. The October 2020 recommendation was a violation of Reg BI's Care Obligation. The March 2020 recommendation is a closer call but likely not a clear-cut violation under Rule 2111 given the 5% allocation size, though the product's structural features (NAV premium, high fees) create risk.

Common Wrong Answer

Many LLMs will apply a single standard to both recommendations and conclude either that both were violations (because crypto is 'always unsuitable' for a retiree) or that neither was a violation (because the client consented and the products were exchange-listed). Models frequently fail to identify the June 30, 2020 Reg BI effective date as the critical dividing line and do not distinguish between the different analytical frameworks of Rule 2111 versus Reg BI's Care Obligation.

Why Adversarial

This is a temporal trap because the applicable standard changed between the two recommendations. The March 2020 recommendation falls under FINRA Rule 2111 (suitability), while the October 2020 recommendation falls under Reg BI, which took effect June 30, 2020. A general LLM is likely to apply a single standard to both recommendations or fail to recognize that Reg BI's Care Obligation is more demanding than Rule 2111's suitability framework. Additionally, the firm's internal bulletin is not a regulation, and many models will either ignore it or treat it as dispositive rather than as evidence of the reasonableness of the advisor's diligence. The 5% initial allocation is designed to seem reasonable, luring models into saying no violation occurred at all.

Applicable Standard

FINRA Rule 2111 (Suitability) for the March 2020 recommendation; SEC Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (§ 240.15l-1(a)(2)(ii)(B)), for the October 2020 recommendation; FINRA Rule 3110 (Supervision) regarding the firm's obligation to enforce its own compliance guidance; FINRA Regulatory Notice 22-08 (Complex Products) for additional context on heightened scrutiny for complex crypto-linked products.

Adversarial Hypothetical 126

Topic: *overconcentration_single_stock* | Type: *reasonable_basis_trap* | Difficulty: *hard*

Fact Pattern

Dr. Samuel Okafor, age 54, a cardiovascular surgeon earning \$780,000 annually, maintained a \$2.1 million brokerage account with Crestline Wealth Advisors. His investment profile listed his risk tolerance as

'aggressive,' his time horizon as '15+ years,' his investment objective as 'growth,' and his liquid net worth as \$3.8 million (including the brokerage account, a \$900,000 money market account, and \$800,000 in a separate advisory account at another firm). In February 2021, Dr. Okafor's advisor, Rachel Simmons, recommended he purchase 8,500 shares of NovaTech Genomics, a mid-cap biotechnology company, at \$138 per share, totaling approximately \$1,173,000 - roughly 56% of his Crestline brokerage account. Rachel documented extensive due diligence: she had reviewed three independent equity research reports rating NovaTech as a 'strong buy,' analyzed the company's FDA pipeline (two drugs in Phase III trials), reviewed its balance sheet showing \$2.4 billion in cash with no debt, and noted that NovaTech's beta was 1.3, which she described as 'consistent with Dr. Okafor's aggressive risk profile.' She also documented a 90-minute phone call with Dr. Okafor in which she discussed the concentration risk, the binary nature of FDA outcomes, and the potential for 40%+ drawdowns. Dr. Okafor stated he understood the risks and wanted to proceed, noting that as a physician he had 'deep familiarity with the biotech approval process.' Rachel documented all of this in her CRM notes and obtained a signed concentration acknowledgment letter from Dr. Okafor. However, Rachel did not review or account for the composition of Dr. Okafor's \$800,000 advisory account at the other firm. She did not ask what was held there. In fact, that account held \$620,000 in various biotech and genomics ETFs and \$180,000 in individual biotech stocks, including \$95,000 in NovaTech itself. When all accounts were considered together, Dr. Okafor's combined biotech/genomics sector exposure was approximately \$1,868,000 out of \$3.8 million in liquid net worth - roughly 49% - and his total NovaTech position was \$1,268,000, or about 33% of liquid net worth. NovaTech's lead drug failed its Phase III trial in November 2021, and the stock fell 64% to \$50 per share. Dr. Okafor's combined NovaTech losses exceeded \$800,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Rachel likely violated the customer-specific suitability obligation under FINRA Rule 2111 (and Reg BI's Care Obligation, 17 CFR § 240.15l-1(a)(2)(ii)(B), depending on the exact recommendation date relative to Reg BI implementation). While Rachel's reasonable-basis suitability analysis of NovaTech as an individual security was thorough and well-documented, she failed on the customer-specific component. FINRA Rule 2111.05(c) and its supplementary material explicitly state that concentration in a single security or sector can render a recommendation unsuitable even if the individual security is sound. Critically, FINRA guidance establishes that an advisor must consider a customer's 'overall investment profile,' which includes other holdings known or reasonably ascertainable by the advisor. Rachel knew Dr. Okafor had \$800,000 at another firm - this information was on his account documents (liquid net worth of \$3.8 million versus the \$2.1 million account she managed). She had a duty to make reasonable efforts to understand what was in those accounts before recommending a massive concentrated position. Under FINRA Rule 2090 (Know Your Customer), she was obligated to use reasonable diligence to know the essential facts about her client, which includes understanding the composition of outside holdings that would materially affect the suitability analysis. Her failure to ask about the other account's holdings, when she was recommending a 56% single-stock concentration in a binary-outcome biotech, constitutes a failure of reasonable diligence under both Rule 2111's customer-specific obligation and Reg BI's Care Obligation. The client's signed concentration acknowledgment and expressed understanding do not cure the deficiency - the advisor cannot shift her diligence obligations to the customer. The client's consent is a relevant factor but does not eliminate the advisor's independent obligation to form a reasonable belief that the recommendation is

suitable considering the customer's entire investment profile.

Common Wrong Answer

A general LLM will likely conclude this is not a violation, reasoning that: (1) Dr. Okafor had an aggressive risk tolerance and high income, (2) the advisor conducted thorough fundamental analysis, (3) concentration risk was disclosed and discussed at length, (4) the client signed a concentration acknowledgment, and (5) the client had domain expertise in biotech. Models typically fail to identify the critical failure to investigate outside holdings as an independent suitability deficiency, instead treating the client's consent and the advisor's research as dispositive.

Why Adversarial

This scenario is designed to trap models with the appearance of thorough compliance. Rachel did extensive fundamental research, documented everything meticulously, conducted a detailed risk discussion, obtained a signed concentration acknowledgment, and the client was a high-income, aggressive-risk-tolerance investor who affirmatively consented. A general LLM will likely focus on these surface-level compliance indicators and conclude no violation occurred. The hidden deficiency is Rachel's failure to inquire about the composition of the outside account - a subtle but critical omission that transforms what appears to be a well-documented aggressive recommendation into a customer-specific suitability violation. Most models do not understand that FINRA Rule 2090 and 2111.05(c) create an affirmative duty to consider reasonably ascertainable outside holdings, not just the holdings in the account the advisor manages. The client's medical expertise in biotech also creates a false signal that might lead models to treat this as a 'sophisticated investor' exception, but no such blanket exception exists under suitability or Reg BI standards.

Applicable Standard

FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation under Rule 2111.05(c) regarding concentration; FINRA Rule 2090 (Know Your Customer) requiring reasonable diligence to know essential facts about the customer; SEC Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation (§ 240.15l-1(a)(2)(ii)(B)); FINRA Regulatory Notice 12-25 (discussing the obligation to consider a customer's overall investment profile including holdings at other firms when recommending concentrated positions).

Adversarial Hypothetical 127

Topic: annuity_unnecessary_switching | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Thornton, age 62, had been a client of Pinnacle Financial Group since 2015. In January 2020, her advisor, Derek Huang, recommended she purchase a fixed indexed annuity from National Western Life with a 10-year surrender period, which she did, investing \$285,000 from her rollover IRA. The annuity had an annual expense ratio of 2.1% and paid Derek a 6.5% commission (\$18,525). In June 2020, Derek left Pinnacle and joined Meridian Wealth Advisors. Margaret followed him to the new firm. In September 2020, Derek recommended that Margaret surrender the National Western annuity - which now carried a 9% surrender charge (\$25,650) - and purchase a new variable annuity from Jackson National with a 7-year surrender period, a 2.4% annual expense ratio, and a guaranteed minimum withdrawal benefit rider costing

an additional 1.05% annually. Derek explained to Margaret that the new annuity offered better downside protection through the withdrawal benefit rider and more investment sub-account options. He documented a side-by-side comparison showing the new annuity's death benefit was marginally superior (\$290,000 guaranteed vs. account value) and that the withdrawal benefit rider would guarantee 5% annual withdrawals starting at age 67 regardless of market performance. Derek earned a 5.8% commission (\$15,051) on the new annuity. Margaret's account profile listed her as having moderate risk tolerance, a retirement income need beginning in approximately 5 years, liquid net worth of \$420,000 (excluding home equity), and Social Security projected at \$2,100/month. She had no other annuity products. Derek's file notes state that Margaret verbally expressed concern about market volatility after the COVID-19 market drop in March 2020 and wanted 'more protection.' The total surrender charges, new commissions, and higher ongoing fees over the first 7 years of the new product would cost Margaret approximately \$68,400 more than staying in the original annuity. Derek did not document any quantitative analysis comparing the total cost of holding the original annuity versus switching, nor did he present a breakeven analysis showing how long it would take for the new annuity's features to offset the switching costs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation under both the legacy suitability standard and the newer Regulation Best Interest, and the temporal dimension matters critically. The original annuity was purchased in January 2020. Regulation Best Interest (Reg BI) under the Securities Exchange Act became effective on June 30, 2020. The switch recommendation occurred in September 2020, meaning Reg BI's Care Obligation applied to the replacement transaction. Under FINRA Rule 2330 (Variable Annuity Transactions), which specifically governs annuity switches, a registered representative must have a reasonable basis to believe that the customer would benefit from the exchange after considering: (a) whether the customer would incur a surrender charge or be subject to a new surrender period; (b) whether the replacing product offers materially different features or benefits; (c) whether the customer would lose existing benefits; (d) whether the customer has had another annuity exchange within the preceding 36 months; and (e) the total costs of the exchange. Derek failed on multiple counts: the \$25,650 surrender charge plus higher ongoing fees totaling approximately \$68,400 in additional costs were not offset by demonstrably superior benefits. The marginal death benefit improvement was negligible, and the withdrawal benefit rider - while potentially valuable - was not subjected to any quantitative analysis showing it justified the switching costs. Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)(B)), the advisor must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe it is in the customer's best interest without placing his own financial interest ahead of the customer's. The absence of any documented cost-benefit or breakeven analysis is particularly damning. Additionally, the pattern of earning two commissions on the same client assets within 9 months - totaling \$33,576 - creates a strong inference that Derek's financial interest drove the recommendation. FINRA Rule 2111 (Suitability) and its supplementary material .05(a) specifically identify excessive switching of securities as a potential suitability violation. The combination of high surrender charges, higher ongoing expenses, lack of quantitative justification, and the dual-commission pattern constitutes a clear violation.

Common Wrong Answer

Many LLMs would answer that while the switch was questionable, the advisor documented the client's

stated concern about volatility, performed a side-by-side feature comparison, and the new product offered a genuinely useful guaranteed withdrawal benefit rider - making this a borderline case where the advisor exercised reasonable judgment. Some might also apply only the pre-Reg BI suitability standard, which had a lower threshold, and conclude the recommendation was suitable given the client's expressed preferences.

Why Adversarial

This scenario creates a temporal trap because the original annuity purchase occurred before Reg BI's effective date (June 30, 2020), but the switch recommendation occurred after. A general LLM might apply only the older suitability standard to the entire fact pattern, missing that the September 2020 switch recommendation triggers the heightened Reg BI Care Obligation. Additionally, the advisor's documentation of a side-by-side comparison and the client's expressed desire for 'more protection' after COVID creates a surface appearance of reasonableness. Many LLMs might credit the advisor's rationale about downside protection and the withdrawal benefit rider without recognizing that the absence of a quantitative breakeven analysis is itself a critical deficiency under both FINRA Rule 2330 and Reg BI.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), particularly subsections (b)(1)(A) addressing exchanges; FINRA Rule 2111 (Suitability) and Supplementary Material .05(a); Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation under (a)(2)(ii)(B), effective June 30, 2020; FINRA Regulatory Notice 20-18 (guidance on Reg BI and Form CRS); FINRA Rule 3110 (Supervision) regarding principal review of annuity exchanges

Adversarial Hypothetical 128

Topic: failure_to_know_customer | Type: multi_party | Difficulty: hard

Fact Pattern

Victor and Elena Petrov, both age 54, walked into the downtown branch of Atlas Brokerage Services in March 2023 to open a joint brokerage account. They were assigned to advisor Carla Simmons. During the new account intake, Carla collected the following information: combined household income of \$310,000, liquid net worth of \$1.8 million, primary residence valued at \$650,000 with no mortgage, and investment experience described as 'moderate - mostly mutual funds and some individual stocks over 15 years.' The Petrovs stated their investment objective was 'growth with some income' and their risk tolerance was 'moderate.' They listed a 15-year time horizon targeting retirement at age 69. Carla entered all of this information into the firm's account opening system and the Petrovs signed the new account agreement. Over the following months, Carla recommended a diversified portfolio: 40% in a mix of large-cap and mid-cap equity ETFs, 25% in investment-grade corporate bond funds, 15% in a dividend-focused equity fund, 10% in an international developed markets ETF, and 10% in a money market fund. The Petrovs approved and funded the account with \$900,000. What Carla did not do - and what no one at the firm flagged - was ask the Petrovs any questions about their individual financial situations apart from the joint account. Victor, unbeknownst to Carla, was self-employed as a building contractor and had \$340,000 in outstanding business debt secured by personal guarantees, significant quarterly estimated tax obligations averaging \$28,000, and irregular income that fluctuated between \$90,000 and \$220,000 annually

depending on contracts. Elena was a hospital administrator with a stable \$160,000 salary, a 403(b) retirement account with \$520,000, and no personal debt. Neither spouse volunteered this information and Carla did not ask about debt obligations, tax situations, other investment accounts, insurance coverage, business ownership, or sources of income beyond the combined household figure. The firm's account opening form had fields for 'other accounts,' 'outstanding liabilities,' and 'source of funds,' all of which were left blank. Carla's supervisor, Branch Manager Ron Delacroix, approved the account opening and subsequent investment recommendations without questioning the blank fields. Eighteen months later, a downturn in the construction industry caused Victor's income to drop to \$45,000 for the year, and he needed to liquidate \$180,000 from the joint account at a loss to cover business debts and tax obligations, triggering approximately \$22,000 in realized capital losses on positions that had declined 12% from purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, primarily a failure-to-know-the-customer violation implicating both Carla Simmons and her supervisor Ron Delacroix, even though the portfolio allocation itself appeared facially reasonable. Under FINRA Rule 2111(a) (Suitability), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, which includes - per the rule text - the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose. Critically, FINRA Rule 2111 Supplementary Material .01 defines 'investment profile' broadly and makes clear that a firm cannot deliberately avoid obtaining relevant customer information to evade its obligations. The blank fields on the account form for 'other accounts,' 'outstanding liabilities,' and 'source of funds' were red flags that should have prompted inquiry. Under Regulation Best Interest (17 CFR § 240.15l-1), effective since June 30, 2020, the Know-Your-Customer component of the Care Obligation requires the broker-dealer to exercise reasonable diligence, care, and skill to understand the customer's investment profile, including by obtaining and analyzing sufficient information to do so. This is not a passive obligation - the advisor must make reasonable efforts to ascertain the information, not simply accept what the customer volunteers. Victor's irregular self-employment income, \$340,000 in personal-guarantee business debt, and \$112,000 in annual estimated tax obligations dramatically altered the household's true liquidity needs and risk capacity. A 10% cash/money market allocation on a \$900,000 joint account (\$90,000) was inadequate given Victor's annual cash flow demands of approximately \$112,000 in taxes alone plus variable business expenses. The 15-year time horizon was also misleading because the household had significant near-term liquidity demands that were never identified. Furthermore, FINRA Rule 4512 (Customer Account Information) requires firms to maintain specific records for each customer account, including the customer's name, tax identification number, occupation, and associated person of the member firm responsible for the account. The blank fields on critical account documentation represent a supervisory failure under FINRA Rule 3110 (Supervision), which requires each member firm to establish and maintain a system to supervise the activities of each associated person. Ron Delacroix's approval of the account with blank material fields constitutes a supervisory deficiency. The multi-party dimension is important: while the Petrovs did not volunteer the information, the obligation to inquire rests with the advisor and the firm, not the customer. The fact that the portfolio was well-diversified and facially appropriate for a 'moderate growth' objective does not

cure the underlying know-your-customer failure.

Common Wrong Answer

A general LLM would likely answer that no violation occurred because: (1) the portfolio was well-diversified and appropriate for the stated risk tolerance and time horizon; (2) the clients did not disclose their individual financial complexities; (3) the advisor cannot be held responsible for information the clients withheld; and (4) the loss was caused by an unforeseeable industry downturn, not by inappropriate investment recommendations. Some LLMs might note the blank fields as a 'best practice concern' but not identify it as a regulatory violation.

Why Adversarial

This scenario is adversarial because the portfolio recommendation itself - a diversified mix of equities, bonds, and cash - appears textbook-appropriate for a moderate-risk-tolerance couple with a 15-year horizon and \$1.8 million in liquid net worth. A general LLM would likely focus on the asset allocation and conclude it was suitable, missing the critical failure at the customer-information-gathering stage. The multi-party complexity (two spouses with very different financial profiles, an advisor, and a supervisor) adds analytical difficulty. Many LLMs incorrectly treat know-your-customer as a soft best-practice rather than a hard regulatory obligation, and would not recognize that blank fields on the account form - even when the client didn't volunteer information - constitute a violation by the advisor and a supervisory failure by the branch manager. The fact that the negative outcome (forced liquidation) occurred 18 months later due to an external event might lead an LLM to attribute the loss to market risk rather than the underlying information-gathering deficiency.

Applicable Standard

FINRA Rule 2111 (Suitability), particularly Supplementary Material .01 (defining investment profile); FINRA Rule 4512 (Customer Account Information); Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation component requiring reasonable diligence to understand the customer's investment profile; FINRA Rule 3110 (Supervision), requiring supervisory systems to review account documentation; FINRA Regulatory Notice 12-25 (guidance on know-your-customer and suitability obligations); FINRA Rule 2090 (Know Your Customer), requiring reasonable efforts to know the essential facts concerning every customer

Adversarial Hypothetical 129

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: expert

Fact Pattern

Margaret Thornton, age 79, had accounts at two different brokerage firms. At Firm A, she worked with advisor Daniel Reese, who managed her \$1.2 million IRA consisting of blue-chip stocks and investment-grade bonds. At Firm B, she worked with advisor Karen Lipinski, who managed a \$400,000 taxable brokerage account. In January 2023, Margaret's nephew, who held a valid power of attorney, called Daniel Reese and explained that Margaret had been diagnosed with moderate cognitive decline and would need assisted living within 12-18 months, estimated to cost \$9,000 per month. The nephew asked Daniel to keep the portfolio as-is, saying Margaret was emotionally attached to her holdings and didn't want changes. Daniel documented the call, noted the cognitive decline and upcoming liquidity needs, but honored the

nephew's request and made no changes to the portfolio, which remained 72% in equities including several volatile technology positions. Meanwhile, Karen Lipinski at Firm B was never informed about the cognitive decline or the assisted living needs. She independently recommended Margaret move \$150,000 of her \$400,000 account into a non-traded REIT with a 7-year lockup period and a 6.5% upfront commission. Margaret, who was still legally competent at the time of signing (February 2023), agreed enthusiastically, saying she wanted 'higher income to leave more to my grandchildren.' Karen conducted a standard new-account review, confirmed Margaret's existing account documents listed her risk tolerance as 'moderate growth,' her time horizon as '10+ years,' and her liquidity needs as 'low.' These documents had last been updated in 2019 when Margaret was 75. Karen did not ask Margaret any updated questions about health status or near-term financial needs before executing the REIT purchase. Six months later, Margaret entered assisted living. The family liquidated Daniel's portfolio at Firm A at a \$95,000 loss due to a market downturn, and discovered that the \$150,000 in the non-traded REIT at Firm B was essentially inaccessible without paying a 10% early redemption penalty.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Both advisors violated applicable standards, but for different and nuanced reasons. Daniel Reese at Firm A violated his obligations despite documenting the nephew's request. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (for recommendations made after June 30, 2020), an advisor who possesses material information about a customer's changed circumstances—here, cognitive decline and an imminent need for \$108,000+ per year in assisted living costs—cannot simply defer to a power-of-attorney holder's instruction to maintain an unsuitable allocation. The 72% equity allocation with volatile tech holdings was quantitatively unsuitable for a 79-year-old with a 12-18 month liquidity horizon. FINRA Regulatory Notice 07-43 (Senior Investors) and FINRA Rule 2165 (Financial Exploitation of Specified Adults) establish heightened obligations when dealing with seniors showing signs of diminished capacity. Daniel had an affirmative duty to address the changed suitability profile regardless of the POA holder's instructions. Simply documenting the call does not create a safe harbor when the advisor has actual knowledge that the current allocation is unsuitable for the customer's known needs. Karen Lipinski at Firm B also violated her obligations under Reg BI's Care Obligation (17 CFR 240.15l-1) and FINRA Rule 2111's customer-specific suitability component. While Karen did not have actual knowledge of Margaret's cognitive decline, she relied on a customer profile that was nearly four years old for a 79-year-old client. FINRA Regulatory Notice 12-25 emphasizes that firms and advisors must make reasonable efforts to obtain and update customer information, especially for senior investors. Recommending a 7-year lockup product to a 79-year-old based on a stale profile listing '10+ years' time horizon and 'low' liquidity needs—without conducting any updated inquiry—constitutes a failure of reasonable diligence. The 6.5% upfront commission on a non-traded REIT further heightens the scrutiny. Under Reg BI's Care Obligation, Karen was required to exercise reasonable diligence, care, and skill, which includes updating material customer information before making a recommendation for an illiquid, long-duration product to a senior investor.

Common Wrong Answer

Most LLMs would likely find that Daniel Reese acted appropriately by documenting and following the POA holder's instructions, and might find Karen Lipinski violated standards only because of the illiquid product recommendation. Some models might exonerate Karen because she lacked knowledge of the cognitive

decline and relied on the existing account profile. The most common wrong answer would be finding only one of the two advisors in violation.

Why Adversarial

This scenario creates multiple traps. First, Daniel Reese appears compliant because he documented the POA holder's instructions and honored the client's wishes-many LLMs would conclude that following a valid POA instruction with documentation is sufficient. Second, Karen Lipinski appears to have conducted due diligence (account review, confirmed existing profile, obtained client consent) and had no knowledge of the cognitive decline, which seems exculpatory. A general LLM would likely exonerate at least one advisor. The multi-party structure forces the model to separately analyze two different failure modes: one based on actual knowledge combined with inaction, and another based on constructive knowledge failure through stale profile reliance. The trap is that BOTH advisors violated standards despite each having a plausible defense.

Applicable Standard

FINRA Rule 2111 (Suitability-reasonable-basis, customer-specific, and quantitative components); Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation; FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Regulatory Notice 07-43 (Senior Investors); FINRA Regulatory Notice 12-25 (Suitability FAQ on information-gathering obligations); FINRA Rule 4512 (Customer Account Information)

Adversarial Hypothetical 130

Topic: excessive_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

Robert Castellano, age 52, a retired airline pilot with a \$2.8 million portfolio, opened a discretionary brokerage account with advisor Theresa Ngo in March 2021. Robert told Theresa he wanted an 'active trading strategy' to generate short-term capital gains, as he believed the post-pandemic recovery would create significant trading opportunities. He signed a detailed investment policy statement acknowledging he understood that frequent trading would generate substantial commissions and that he preferred an active approach over a passive buy-and-hold strategy. Over the period from March 2021 through February 2023 (24 months), Theresa executed 187 trades in the account. The account's average monthly equity was \$2.6 million. Total commissions paid were \$94,000 over the two-year period, and total cost-to-equity ratio (break-even return the account needed just to cover costs) was 5.8% annualized. The account's annualized turnover rate was 3.2. The account generated a net positive return of 11.4% annualized after all costs during this period, outperforming the S&P 500 by approximately 1.2% on a risk-adjusted basis. Robert never complained during the period and received monthly statements showing all transactions and commissions. In March 2023, Robert's adult daughter, a financial analyst, reviewed the account and filed a complaint alleging excessive trading. Theresa's compliance department reviewed the account and noted that the firm's internal surveillance threshold flags accounts with turnover ratios above 4.0 and cost-to-equity ratios above 8.0%. Theresa's account fell below both internal thresholds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a close case, but Theresa Ngo likely DID violate the quantitative suitability obligation despite the account's positive performance and the metrics falling below the firm's internal thresholds. Under FINRA Rule 2111's quantitative suitability component (supplemented by FINRA's guidance and longstanding arbitration precedent), excessive trading analysis does not depend solely on a single bright-line threshold. The traditional Goldberg factors used in churning analysis consider: (1) turnover ratio, (2) cost-to-equity ratio, (3) use of in-and-out trading, (4) the advisor's level of control, and (5) the customer's sophistication and investment objectives. While no single metric is dispositive, a turnover ratio of 3.2 is well above the level of 2.0 that has historically been considered presumptively excessive in numerous FINRA arbitration decisions and SEC enforcement actions. A cost-to-equity ratio of 5.8% annualized means the account needed to earn 5.8% before the client saw any return, which is a meaningful drag. The fact that the firm's internal surveillance thresholds are set at 4.0 and 8.0% does NOT define the regulatory standard-firms may set internal thresholds conservatively high to reduce false positives, but the regulatory standard is independent of and typically lower than firm thresholds. Additionally, account profitability is not a defense to churning under established precedent. Even accounts that make money can be excessively traded if the trading frequency was inconsistent with the customer's actual needs or generated unnecessary costs. The customer's stated preference for 'active trading' provides some defense, but under Reg BI (applicable from June 30, 2020), even when a customer expresses a preference for frequent trading, the advisor exercising discretion must still ensure the trading level and associated costs are in the customer's best interest, not merely suitable. The discretionary nature of the account is critical: Theresa had control, which is a key element in churning claims. Robert's sophistication as a retired pilot (not a financial professional) and his failure to complain do not negate the violation, as customer acquiescence is not a defense when the advisor exercises discretionary control. This is a violation, though a nuanced one.

Common Wrong Answer

Most LLMs would conclude there was no violation, reasoning that: (1) the account was profitable and outperformed benchmarks, (2) the client specifically requested an active trading strategy and signed acknowledgments, (3) the client received monthly statements and never complained, and (4) the metrics fell below the firm's internal compliance thresholds. This answer is wrong because account profitability is not a defense to churning, client requests do not override the advisor's obligation in discretionary accounts, client acquiescence is not a defense under discretionary authority, and firm internal thresholds do not define the regulatory standard.

Why Adversarial

This scenario is designed to exploit multiple biases. First, the account made money-and significantly outperformed the benchmark-which makes most LLMs conclude there was no harm and therefore no violation. Second, the client explicitly requested active trading and signed documentation acknowledging the strategy, creating a 'client direction' overlay. Third, and most critically, the firm's internal surveillance thresholds were NOT triggered, which creates a false sense of regulatory compliance. A general LLM would likely treat the firm's internal thresholds as authoritative, not realizing that regulatory standards for churning have historically found presumptive excessiveness at turnover ratios as low as 2.0, well below the firm's 4.0 threshold. The combination of profitability + client consent + below-firm-thresholds creates a triple layer of false compliance signals.

Applicable Standard

FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation (Rule 2111.05(c)); Regulation Best Interest (17 CFR 240.15l-1), Care Obligation as applied to recommendations involving frequency of trading; FINRA Regulatory Notice 12-25 (FAQ on quantitative suitability); traditional churning analysis factors from *Goldberg v. Merrill Lynch* (widely adopted in FINRA arbitration); SEC interpretive guidance establishing that turnover ratios above 2.0 raise a presumption of excessive trading; FINRA Rule 2010 (Standards of Commercial Honor) as applied to churning cases

Adversarial Hypothetical 131

Topic: mutual_fund_switching_churning | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Chen, age 62, a retired school administrator with \$340,000 in a brokerage account, had been invested in the Vanguard Growth Index Fund (Class A shares) since 2014, having paid a 5.25% front-end load of approximately \$17,850 on her original investment. In March 2019, her longtime broker, David Hartwell at Pinnacle Securities, recommended she switch her entire position - now valued at \$410,000 - into the Fidelity Contrafund (also Class A shares with a 5.75% front-end load), arguing that Contrafund had outperformed her current fund by 1.2% annually over the trailing three years. Margaret agreed and the switch was executed on March 15, 2019, generating a new front-end load of \$23,575. David's commission on the transaction was \$9,430. In June 2020, David moved to a new firm, Beacon Wealth Partners, and brought Margaret's account with him. At Beacon, David was now operating under a different compensation and supervisory framework that took effect on June 30, 2020. In September 2020, David recommended Margaret switch from the Fidelity Contrafund - now valued at \$395,000 - into the T. Rowe Price Blue Chip Growth Fund (Class A shares, 5.75% front-end load), citing a recent Morningstar upgrade and the fund's lower expense ratio of 0.69% versus Contrafund's 0.86%. Margaret agreed. The new load was \$22,712.50. David earned \$8,100 in commissions. Over the 18-month period from March 2019 to September 2020, Margaret paid \$46,287.50 in front-end loads across the two switches, reducing her investable assets by roughly 13.6%. Both the Fidelity and T. Rowe Price funds had substantially similar investment objectives: large-cap growth equities with comparable risk profiles and Morningstar ratings of 4 stars. Margaret's investment profile listed her objective as 'growth with moderate risk,' a 10-year time horizon, moderate risk tolerance, and annual income of \$58,000 from her pension. No documentation existed in either firm's files showing a quantitative comparison of the total cost of the switches versus the projected benefit of the new funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, both switches likely constitute violations, but under DIFFERENT applicable standards, which is the critical nuance. The March 2019 switch occurred before June 30, 2020, meaning it was governed by FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). Under FINRA's long-standing guidance on mutual fund switching (FINRA Regulatory Notice 12-25 and earlier NTMs), a broker recommending a switch must have a reasonable basis to believe the switch is suitable after

considering the costs involved. The switch from Vanguard Growth Index to Fidelity Contrafund imposed a new 5.75% load (\$23,575) on a position that had already paid a front-end load. For the switch to be justified, the expected incremental return of Contrafund would need to overcome not only the new load but also the surrender of breakpoint benefits and any CDSC implications. A trailing 1.2% annual outperformance over three years does not establish a forward-looking reasonable basis, especially for funds with substantially similar objectives. This is a classic 'switch to generate commissions' violation under Rule 2111's quantitative suitability component and FINRA's specific guidance on mutual fund switching. The September 2020 switch falls under Regulation Best Interest (Reg BI, 17 CFR § 240.15I-1), which took effect June 30, 2020. Under Reg BI's Care Obligation, David was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation AND to have a reasonable basis to believe the recommendation was in Margaret's best interest, considering reasonably available alternatives. The absence of any documented cost-benefit analysis is a direct failure of the Care Obligation. Moreover, under Reg BI's Conflict of Interest Obligation, the \$8,100 commission creating an incentive to recommend the switch should have been identified, disclosed, and mitigated. The cumulative 13.6% erosion of assets through serial switching with no documented net benefit is a clear violation under both standards. FINRA Rule 2111 Supplementary Material .05(a)-(c) specifically addresses excessive switching. Both firms' supervisory obligations under FINRA Rule 3110 were also likely breached given the absence of documented switch analysis.

Common Wrong Answer

Many LLMs would say: 'The second switch in September 2020 may be a violation under the best interest standard, but the first switch in March 2019 was likely compliant because the advisor had a reasonable basis - Contrafund had outperformed by 1.2% annually - and the client consented.' This is wrong because trailing performance does not establish a reasonable basis for a forward-looking recommendation, the cost-benefit analysis was never performed for either switch, and client consent does not cure an unsuitable recommendation under either standard.

Why Adversarial

This scenario spans the Reg BI implementation date of June 30, 2020, meaning the two switches are governed by different legal standards. A general LLM would likely analyze both switches under the same standard - either both under old suitability rules or both under Reg BI - missing the critical temporal shift. Additionally, many models would focus on the client's consent as a defense, not recognizing that neither suitability under Rule 2111 nor Reg BI's Care Obligation is satisfied merely by client agreement. The multi-firm aspect adds complexity regarding which firm's supervisory obligations apply to which switch.

Applicable Standard

March 2019 switch: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Regulatory Notice 12-25 (Mutual Fund Switching), NASD IM-2310-2 (Fair Dealing with Customers). September 2020 switch: Regulation Best Interest (17 CFR § 240.15I-1), including Care Obligation and Conflict of Interest Obligation; FINRA Rule 3110 (Supervision) applies to both firms for their respective periods of supervision.

Adversarial Hypothetical 132

Topic: *concentration_risk* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Roberto Vasquez, age 45, is a senior software engineer at a publicly traded cloud computing company, earning \$285,000 annually. He holds \$1.8 million in his brokerage account at Meridian Financial Group, managed by advisor Sheila Dawson. As of January 2023, his portfolio was well-diversified: 40% domestic equities across 12 sectors, 20% international equities, 25% fixed income, and 15% alternatives. Roberto also holds \$2.2 million in vested company stock options and \$600,000 in his company's 401(k), which is 80% invested in company stock. In February 2023, Roberto contacted Sheila and said he wanted to invest an additional \$500,000 - proceeds from exercising some of his stock options - entirely into a single semiconductor ETF (ticker: SOXX), arguing that AI-driven demand would cause semiconductor stocks to surge over the next two years. Sheila expressed concern and emailed Roberto a written analysis showing that after this purchase, his total exposure to the technology sector - including his company stock, 401(k) holdings, and existing portfolio tech positions - would represent approximately 71% of his total investable assets (\$4.6 million across all accounts). She recommended instead allocating \$200,000 to the semiconductor ETF and spreading the remaining \$300,000 across healthcare, industrials, and international small-cap funds. Roberto responded in writing: 'I appreciate your analysis, Sheila, but I am very confident in semis. Please invest the full \$500,000 in SOXX. I understand the concentration risk you've described and accept it.' Sheila documented the exchange, placed a note in Roberto's file summarizing her recommendation, his rejection of it, and his written directive, obtained her branch manager's sign-off, and executed the \$500,000 purchase of SOXX on February 22, 2023. Roberto's account documents listed his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as '15+ years.' By December 2023, SOXX had gained 62%, and Roberto's position was worth \$810,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Sheila likely did NOT violate applicable suitability or best interest standards, despite the extreme resulting concentration. Under FINRA Rule 2111 and Regulation Best Interest (17 CFR § 240.15l-1), when a customer directs a specific transaction after the advisor has provided a recommendation against it, the advisor's obligation shifts significantly. Critically, Sheila did not recommend the concentrated SOXX purchase - Roberto directed it. Under Reg BI, the Care Obligation applies to 'recommendations' made by the broker-dealer. When a customer initiates and directs a transaction over the advisor's explicit objection, the transaction is generally treated as 'unsolicited' rather than as a recommendation by the advisor. FINRA Rule 2111 similarly applies only to recommended transactions. Sheila went beyond the minimum requirements by: (1) preparing a written analysis of the concentration risk, including a holistic view of Roberto's total technology exposure across all accounts; (2) providing an alternative allocation recommendation; (3) documenting Roberto's written rejection of her advice and his acknowledgment of the concentration risk; and (4) obtaining supervisory approval before executing the trade. Roberto's aggressive risk tolerance, growth objective, long time horizon, high income, and substantial asset base (\$4.6 million) also support that the transaction was not per se unsuitable for his overall profile even if she had recommended it. The concentration is concerning, but given the client's sophistication as a senior tech professional, his written informed consent, and the fact this was his directive rather than her recommendation, this falls within the permissible scope of executing unsolicited client orders. Under FINRA Regulatory Notice 12-25 and the SEC's Reg BI adopting release, advisors are not required to refuse lawful client directives, though they must document their contrary advice. Sheila's documentation was exemplary.

Common Wrong Answer

A general LLM would likely say: 'Yes, this is a violation. Allowing 71% concentration in a single sector, especially when the advisor's own analysis identified the risk, constitutes a failure to act in the client's best interest. The advisor should have refused to execute the trade regardless of the client's instructions.' This is wrong because the applicable standards impose obligations on advisor recommendations, not on client-directed transactions. An advisor is not a fiduciary gatekeeper who can override a client's informed, documented investment directive for a lawful security in a brokerage account.

Why Adversarial

This scenario is designed to trap models that reflexively flag any high concentration as a violation. The 71% technology concentration across all accounts looks egregious on its face, and most LLMs will focus on the concentration percentage and conclude it must be a violation. The trap is that the advisor did NOT recommend the trade - the client directed it - and the advisor took extensive, well-documented steps to warn the client. Many models also fail to distinguish between solicited (recommended) transactions and unsolicited (client-directed) transactions, which is the dispositive legal distinction. Additionally, the fact that the investment subsequently performed well is irrelevant to the compliance analysis but may subconsciously bias models toward saying 'no violation' for the wrong reason.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation and Disclosure Obligation; FINRA Rule 2111 (Suitability) - applies only to recommendations, not unsolicited orders; FINRA Rule 2111 Supplementary Material .03 (distinguishing recommended vs. non-recommended transactions); FINRA Rule 4512 (Customer Account Information); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-25 (guidance on suitability obligations and concentration).

Adversarial Hypothetical 133

Topic: illiquid_investments | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Chen, age 58, had been a client of broker David Halloran at Piedmont Securities since 2012. Her account profile listed her as a conservative investor with a moderate income of \$95,000 per year, liquid net worth of \$420,000, and a primary investment objective of capital preservation with income. She had no prior experience with alternative investments. In March 2020, during the early COVID-19 market panic, Margaret called David in distress about her portfolio losses. David suggested she diversify into a non-traded real estate investment trust (REIT) focused on healthcare facilities, arguing that healthcare real estate would be resilient. He recommended she invest \$85,000 - roughly 20% of her liquid net worth - into the Meridian Healthcare REIT II, which had a 7-year minimum holding period, no secondary market, early redemption penalties of 10% in the first three years, and paid a stated distribution of 6.5%. David completed a new account form updating Margaret's investment objectives to 'growth and income' and her risk tolerance to 'moderate' before submitting the order. He also had Margaret sign an investor questionnaire provided by the REIT sponsor that asked whether she met the \$250,000 minimum net worth threshold or the \$70,000 income plus \$70,000 net worth alternative threshold for participation. Margaret qualified under both. The order was processed on March 18, 2020. David's firm had recently - on June 30, 2020 - transitioned from

the legacy broker-dealer standard to the new standard for broker recommendations. Piedmont Securities' compliance department had been running both frameworks in parallel since January 2020 in anticipation of the June deadline, but the transaction predated the formal compliance cutover. David earned a 7% front-end commission on the sale. He did not document any consideration of less costly or more liquid REIT alternatives, such as publicly traded healthcare REITs that were trading at significant discounts during the March 2020 selloff. He also did not document why a 7-year lockup was appropriate for a 58-year-old client approaching retirement. Margaret filed a complaint in 2023 after learning the REIT had suspended distributions and was marking down its net asset value by 35%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation under the legacy FINRA Rule 2111 suitability standard that was in effect at the time of the March 2020 transaction, and the analysis would also constitute a violation under Regulation Best Interest had it applied. Under FINRA Rule 2111, three components of suitability must be satisfied: reasonable-basis suitability (the broker must understand the product and have a reasonable basis for recommending it generally), customer-specific suitability (the recommendation must be suitable for the particular customer based on their profile), and quantitative suitability (no excessive trading). Here, the customer-specific suitability obligation was violated. Margaret was 58, conservative, focused on capital preservation, had moderate income, and had no experience with alternative investments. Placing 20% of her liquid net worth into a 7-year illiquid product with steep early redemption penalties was inconsistent with her original profile. The advisor's tactic of updating the account objectives immediately before the trade is a well-known red flag - sometimes called 'profile manipulation' or 'switching the ticket to fit the trade' - and does not cure the suitability deficiency. FINRA has made clear in Regulatory Notices (including 09-73 and 12-03) that a concentration of more than 15-20% of liquid net worth in non-traded REITs raises serious suitability concerns, particularly for older, conservative investors. Additionally, FINRA Notice to Members 03-71 specifically warns about the illiquidity risks of non-traded REITs and the obligation to ensure they are suitable. The 7% front-end commission also raises cost concerns. Even though Reg BI (effective June 30, 2020) was not yet technically applicable, the Care Obligation under Reg BI (17 CFR 240.15l-1(a)(2)(ii)) would have required consideration of reasonably available alternatives, including publicly traded healthcare REITs. Under the legacy standard, while explicit cost comparison was not codified as strictly, the failure to consider liquid alternatives for a conservative near-retiree deepens the suitability violation.

Common Wrong Answer

A general LLM might answer that this was compliant because: (1) Margaret met the REIT's investor qualification thresholds, (2) the advisor updated her profile to reflect growth and income objectives before the trade, (3) the client initiated the conversation by calling about her portfolio, and (4) a 20% allocation to a diversifying asset class during market turmoil was reasonable. Some LLMs might also incorrectly apply Reg BI and then conclude that since Reg BI wasn't yet effective, the heightened alternatives-analysis requirement didn't apply and therefore the old standard was met.

Why Adversarial

The temporal trap is the key adversarial element. The transaction occurred on March 18, 2020, but Reg BI became effective June 30, 2020. A general LLM might incorrectly apply Reg BI's Care Obligation (including its explicit cost/alternatives analysis) to a pre-effective-date transaction, or conversely might apply only the

older suitability standard and miss that the profile manipulation tactic was already prohibited under FINRA Rule 2111 interpretive guidance. The firm's parallel compliance framework adds confusion. Additionally, the fact that the client technically met the REIT's investor qualification thresholds might trick an LLM into thinking the sale was proper - but meeting minimum qualification thresholds is not the same as meeting suitability requirements. The LLM might also be tricked by the client's distress call initiating the conversation, potentially miscategorizing this as a client-directed trade.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Regulatory Notice 12-03 (Know Your Customer and Suitability); FINRA Regulatory Notice 09-73 (Non-Traded REITs); FINRA Notice to Members 03-71 (Non-Conventional Investments); NASD Rule 2310 (predecessor suitability rule, informing interpretive guidance). Regulation Best Interest (17 CFR 240.15l-1) effective June 30, 2020 is referenced for comparative analysis but was not yet applicable to this March 2020 transaction.

Adversarial Hypothetical 134

Topic: failure_to_know_customer | Type: multi_party | Difficulty: hard

Fact Pattern

Richard Dominguez, age 72, a retired postal worker with a pension of \$48,000 per year and total savings of \$310,000, walked into the downtown office of Cascadia Wealth Partners in September 2022 to open a new brokerage account. He was greeted by junior advisor Priya Anand, who conducted the initial onboarding interview. During the conversation, Richard mentioned he was recently widowed, lived alone, and wanted 'something safe that would last him.' He said he didn't understand much about investing and relied on his late wife for financial decisions. Priya completed the new account form, listing Richard's investment objective as 'income,' risk tolerance as 'low,' time horizon as '5-10 years,' and annual income as \$48,000. She noted his liquid net worth as \$310,000 and listed his investment experience as 'limited.' Priya then passed the completed account file to senior advisor Thomas Garrett, who was assigned as the registered representative of record for the account. Thomas reviewed the account form but never met Richard in person or spoke to him by phone. Based solely on the new account form, Thomas recommended a portfolio allocation of 70% investment-grade municipal bonds and bond funds, 20% in a diversified large-cap equity index fund, and 10% in a money market fund. Thomas sent the recommendation letter to Richard, who signed it and returned it. The portfolio was implemented in October 2022. Over the following 14 months, the portfolio performed modestly - the bonds produced steady income, the equity portion tracked the market's recovery, and the money market provided liquidity. Richard never complained. In December 2023, Richard's adult daughter contacted Cascadia after discovering her father had been diagnosed with early-stage dementia in August 2022 - one month before he opened the account. She alleged that neither advisor made any effort to assess whether Richard had the cognitive capacity to make financial decisions, despite what she described as obvious signs of confusion. She noted that Priya's own handwritten intake notes (obtained during discovery) included the annotation 'client seemed confused about difference between stocks and bonds, repeated questions, had trouble remembering his account number at prior firm.' Priya had not escalated these observations to compliance or to Thomas. Thomas, as the representative of record, had never interacted with Richard at all.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, there is a violation, though the portfolio itself was arguably suitable - the violation is rooted in a failure to know the customer that undermines the entire suitability and best interest analysis. Under Regulation Best Interest (17 CFR 240.15l-1), effective since June 30, 2020, the Care Obligation requires a broker to exercise reasonable diligence, care, and skill in making recommendations. This incorporates a robust know-your-customer requirement. Separately, FINRA Rule 2090 (Know Your Customer) requires every member firm to use reasonable diligence to know the essential facts concerning every customer. Essential facts include not just financial data but any information that might bear on the appropriateness of recommendations - including cognitive capacity. Thomas Garrett, as the registered representative of record, violated FINRA Rule 2090 by never meeting, speaking to, or personally assessing his customer. He relied entirely on a junior advisor's intake form and had no independent basis to evaluate whether the customer could understand or consent to investment recommendations. This is a deficiency regardless of whether the recommendations themselves were textbook appropriate. Priya Anand also bears responsibility: her own notes documented red flags for diminished mental capacity (confusion, repetition, memory difficulty), yet she failed to escalate these concerns. Under FINRA Rule 2165 (Financial Exploitation of Specified Adults), effective February 5, 2018, firms may place temporary holds on disbursements when there is reasonable belief of financial exploitation of a senior (age 65+) or a person with diminished capacity. While Rule 2165 is permissive rather than mandatory for holds, the broader framework - including FINRA Regulatory Notice 07-43 (Senior Investors) - establishes that firms and representatives have heightened obligations when dealing with elderly clients showing signs of cognitive decline. The failure to escalate Priya's observations to compliance also implicates the firm's supervisory obligations under FINRA Rule 3110. The fact that the portfolio performed well and the allocation was conservative does not cure the underlying know-your-customer failure. A suitable recommendation made to a person who may lack capacity to understand it is not truly suitable.

Common Wrong Answer

A general LLM would likely answer that no violation occurred because: (1) the portfolio allocation was conservative and appropriate for a 72-year-old retiree with low risk tolerance and income objectives, (2) the client signed the recommendation letter indicating consent, (3) the portfolio performed well with no losses, and (4) the client never complained. The LLM might note the dementia diagnosis as concerning but conclude that since the advisor wasn't a medical professional, they couldn't be expected to diagnose cognitive impairment, and that the documented intake notes showing confusion could simply reflect a layperson's unfamiliarity with financial terminology.

Why Adversarial

This is adversarial because the portfolio itself - 70% investment-grade munis, 20% large-cap index, 10% money market - is nearly textbook appropriate for a 72-year-old conservative retiree seeking income. A general LLM would likely focus on whether the asset allocation matched the client's stated profile and conclude 'no violation' because the investments were conservative and performed adequately. The trap is that suitability and best interest requirements are not met merely by selecting appropriate products - they require knowing the customer, which includes assessing capacity. The multi-party element adds complexity: which advisor is responsible? The answer is both, but for different reasons. LLMs often struggle

with shared liability scenarios and may incorrectly assign blame to only one party. Additionally, many LLMs are unaware that FINRA Rule 2165 and related senior-investor guidance create a framework around diminished capacity that goes beyond traditional suitability analysis.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1) - Care Obligation (component (a)(2)(ii)); FINRA Rule 2090 (Know Your Customer); FINRA Rule 2111 (Suitability, to the extent supplementary); FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 07-43 (Senior Investors); FINRA Regulatory Notice 12-03 (Know Your Customer and Suitability obligations).

Adversarial Hypothetical 135

Topic: market_timing_unsuitable | Type: multi_party | Difficulty: expert

Fact Pattern

In March 2023, Helen Kowalski, age 71, a retired school teacher with a \$420,000 portfolio, moderate risk tolerance, and stated investment objective of 'income with capital preservation,' held accounts at two different broker-dealers. At Firm A, her advisor Marcus Chen managed a \$250,000 account. At Firm B, her advisor Diane Patel managed a \$170,000 account. Neither advisor was aware of the other's existence or the customer's accounts at the other firm. Between March and November 2023, Marcus Chen at Firm A executed 14 round-trip trades in three sector-focused mutual funds within Helen's account. The turnover rate in the Firm A account alone was 4.2, and trading costs consumed approximately \$18,200 in loads and fees, representing a cost-to-equity ratio of 7.3% over the 9-month period. Each individual trade recommendation by Chen was documented with a rationale tied to sector rotation based on economic data releases - he believed rotating between energy, healthcare, and technology sector funds based on monthly jobs reports and CPI data would generate alpha. His research memos were detailed and showed genuine analytical work. Meanwhile, Diane Patel at Firm B made zero trades during the same period, maintaining Helen's holdings in a balanced fund. When Helen complained to Firm A about poor returns, Marcus Chen pointed out that his sector rotation strategy had actually outperformed the S&P 500 by 1.2% gross of fees during the period, though net of all trading costs the account underperformed by approximately 3.1%. Chen argued that his strategy was suitable because it was based on sound research, and that looking at the customer's total wealth across both firms (which he later learned about during the complaint process), the overall turnover rate across all \$420,000 was only 2.5 and the combined cost-to-equity ratio was only 4.3%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Marcus Chen at Firm A violated the quantitative suitability obligation. Under FINRA Rule 2111 and its supplementary material, quantitative suitability requires that a broker with actual or de facto control over an account does not engage in excessive trading. The analysis is conducted on a per-account basis as managed by the specific broker - not on an aggregated, cross-firm basis. The relevant metrics for Chen's account show a turnover rate of 4.2 and a cost-to-equity ratio of 7.3% annualized (approximately 9.7%

annualized from the 9-month figure), both of which far exceed the traditional thresholds courts and FINRA arbitration panels have used (turnover rates above 4-6 and cost-to-equity ratios above 5-6% annualized are generally presumed excessive). Chen's attempt to dilute his trading metrics by incorporating Patel's account at Firm B is legally irrelevant - he had no knowledge of or control over that account, and suitability is assessed based on the advisor's own recommendations and the account under their control. Furthermore, under FINRA Rule 2111.05(c), even where a reasonable-basis exists for individual trades, the overall pattern of trading can still be quantitatively unsuitable. The fact that gross returns beat the benchmark is also immaterial; what matters is whether the frequency and cost of trading was consistent with the customer's profile. A 71-year-old retiree with income and capital preservation objectives should not have a turnover rate of 4.2 in sector funds with significant loads. Additionally, under Reg BI's Care Obligation (17 CFR 240.15l-1), which applied during this 2023 period, Chen had an obligation to consider reasonably available alternatives and ensure the series of recommendations taken together was in the customer's best interest, which the excessive cost structure demonstrates it was not.

Common Wrong Answer

No violation. When considering Helen's total portfolio across both firms, the combined turnover rate of 2.5 and cost-to-equity of 4.3% are within acceptable ranges. Additionally, Chen conducted thorough research for each trade and the strategy outperformed the benchmark on a gross basis, demonstrating reasonable-basis suitability.

Why Adversarial

This scenario creates multiple traps: (1) the multi-party structure tempts models to aggregate metrics across both firms, which would bring the numbers below traditional excessive trading thresholds; (2) Chen's genuine research and documented rationale for each trade makes it appear he satisfied reasonable-basis suitability, obscuring the quantitative suitability violation; (3) the gross outperformance vs. the S&P 500 creates a false impression of good outcomes; (4) models must know that quantitative suitability is assessed per-account/per-advisor, not across a customer's total wealth at multiple firms.

Applicable Standard

FINRA Rule 2111 (Suitability), particularly FINRA Rule 2111.05(c) (Quantitative Suitability); Regulation Best Interest 17 CFR 240.15l-1 (Care Obligation); FINRA Regulatory Notice 12-25 (guidance on suitability obligations); traditional excessive trading metrics as established in *Costello v. Oppenheimer & Co.* and related arbitration precedent

Adversarial Hypothetical 136

Topic: annuity_unnecessary_switching | Type: temporal_trap | Difficulty: expert

Fact Pattern

Robert Gunderson, age 62, purchased a variable annuity in April 2019 from broker James Whitfield at National Securities Corp. The annuity had a 7-year surrender period, a guaranteed minimum income benefit (GMIB) rider with a 5.5% rollup rate, annual mortality and expense charges of 1.35%, rider fees of 0.95%, and underlying fund expenses averaging 0.80% - total annual costs of approximately 3.10%. The surrender charge schedule started at 7% in year one and decreased by 1% annually. In February 2020, the

annuity's account value had dropped to \$185,000 from the original \$210,000 investment due to the market downturn, but the GMIB benefit base had rolled up to approximately \$221,500. In June 2020, Whitfield recommended that Gunderson surrender the existing annuity and purchase a new variable annuity from a different insurance carrier. The new annuity had a 6-year surrender period, a GMIB rider with a 5.0% rollup rate, lower M&E charges of 1.10%, rider fees of 0.85%, and underlying fund expenses averaging 0.65% - total annual costs of approximately 2.60%. The surrender charge on the old annuity at the time of exchange was 6% (\$11,100), and Whitfield earned a new commission of \$9,450 on the replacement annuity. Whitfield documented that the new annuity saved Gunderson 50 basis points annually in total costs, which over 15 years on a \$174,000 base (post-surrender charge) would amount to approximately \$22,000 in cumulative fee savings. Whitfield completed all required replacement and exchange disclosure forms mandated by his firm and the insurance carriers at the time, including a comparison worksheet. However, the transaction closed on June 25, 2020 - five days before a new set of industry standards for annuity transactions took effect on June 30, 2020, which imposed substantially enhanced obligations including demonstrating that the transaction was in the consumer's best interest rather than merely suitable. Gunderson's investment profile listed moderate risk tolerance, retirement income as a primary goal, and he had no other significant liquid assets beyond \$40,000 in a bank savings account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation even under the pre-June 30, 2020 suitability standard that applied at the time of the transaction. While the temporal issue is significant - the transaction closed on June 25, 2020, five days before FINRA Rule 2320 (the amended annuity suitability rule incorporating Reg BI-aligned standards) and the NAIC Model Regulation best-interest amendments took effect on June 30, 2020 - the switch was still unsuitable under the standards that applied at the time. Under the then-applicable FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), a registered representative recommending the replacement of a deferred variable annuity must have a reasonable basis to believe the replacement is suitable, considering among other factors: (a) whether the customer would be subject to a new surrender period, (b) whether the customer would lose existing benefits such as death benefits, living benefits, or other contractual features, (c) whether the customer would be subject to increased fees or charges, and (d) whether the customer would benefit from product enhancements and improvements. Here, the critical deficiency is Whitfield's failure to properly account for the loss of the GMIB benefit base. The old annuity's GMIB benefit base had rolled up to approximately \$221,500 with a 5.5% rollup rate. Upon surrendering, Gunderson lost this entirely and restarted with a new GMIB benefit base of only \$174,000 (post-surrender charge amount) at a lower 5.0% rollup rate. Projecting forward to age 72 (10 years), the old annuity's GMIB base would have grown to approximately \$392,000 at 5.5%, while the new annuity's base would grow to only approximately \$283,000 at 5.0%. This \$109,000 difference in guaranteed income base dwarfs the projected \$22,000 in fee savings Whitfield cited. For a 62-year-old client whose primary goal is retirement income and who has minimal other liquid assets, the destruction of a substantially higher guaranteed income base renders this replacement unsuitable regardless of the fee savings. The completed paperwork and comparison forms do not cure the substantive unsuitability of the recommendation. Additionally, the timing - closing five days before enhanced best-interest standards took effect - raises concerns about whether the transaction was rushed to avoid the heightened scrutiny, though the violation exists independent of the timing issue.

Common Wrong Answer

No violation. The transaction was completed on June 25, 2020, before the enhanced best-interest standards took effect on June 30, 2020. Under the suitability standard applicable at the time, Whitfield documented a reasonable basis for the switch - a 50 basis point annual fee reduction resulting in \$22,000 in projected savings - and completed all required replacement disclosure forms. The lower-cost product was objectively less expensive, and the recommendation was suitable for a moderate-risk investor seeking retirement income.

Why Adversarial

This scenario sets multiple traps: (1) The temporal trap tempts models to focus on whether the old or new standard applies, potentially concluding that because the transaction predated the June 30, 2020 best-interest standard, it should be judged leniently - but it's a violation even under the old standard; (2) The 50 basis point fee reduction appears to be a genuine consumer benefit, and the \$22,000 in projected savings sounds compelling; (3) Whitfield completed all required disclosure and comparison forms, creating an appearance of thorough compliance; (4) Models must recognize the critical but non-obvious point that the GMB benefit base rollup loss (\$109,000+ projected difference) vastly outweighs the fee savings, requiring specific knowledge of how variable annuity living benefit riders work and how benefit bases are calculated upon replacement; (5) The client-directed element is absent - this was advisor-recommended - but models may be distracted by the seemingly reasonable documentation.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 10-05 (Obligation of Broker-Dealers to Conduct Reasonable Investigations in Regulation D Offerings, incorporating guidance on variable annuity replacements); Regulation Best Interest 17 CFR 240.15l-1 (effective June 30, 2020, not directly applicable but relevant to timing analysis); NAIC Suitability in Annuity Transactions Model Regulation (amended version effective June 30, 2020 in adopting states)

Adversarial Hypothetical 137

Topic: options_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Hollister, age 58, had been a client of broker David Chen at Ridgewood Securities since 2012. She had a moderate risk tolerance, annual income of \$95,000, liquid net worth of \$320,000, and her stated investment objective was 'growth and income' with a 7-10 year time horizon toward retirement. In January 2020, Margaret's options account application was approved at Level 2 (covered calls and cash-secured puts). Between February 2020 and May 2020, David recommended a series of cash-secured put sales on blue-chip stocks (Johnson & Johnson, Procter & Gamble, Microsoft) in Margaret's account. Each put was secured by cash reserves, the strike prices were 10-15% below market prices, and the positions generated approximately \$8,400 in premium income over the four months. None of the puts were assigned. In June 2020, Margaret asked David to help her generate more income and he recommended she begin selling covered calls on 400 shares of Microsoft she already owned. Between June and November 2020, Margaret sold six rounds of covered calls on her Microsoft shares, generating \$6,200 in additional premium. Two of

the calls were assigned, and Margaret's shares were called away at the strike price, which was \$12 above her purchase price. David repurchased the shares for Margaret each time to continue the strategy. Margaret's account generated a total of \$14,600 in options premium for the year, paid \$3,100 in commissions on the options trades, and the forced sales and repurchases of Microsoft triggered approximately \$4,800 in short-term capital gains taxes she would not otherwise have owed. In December 2020, Ridgewood Securities transitioned all brokerage accounts to a new compliance framework for recommendations. In February 2021, David continued the identical covered call strategy. Margaret filed a complaint in September 2021 alleging the options activity was unsuitable for her from the beginning.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This scenario requires bifurcated analysis across two different regulatory standards. For the trades from February 2020 through approximately late June 2020 (the exact compliance date varies by firm, but Regulation Best Interest's compliance date was June 30, 2020), FINRA Rule 2111 (Suitability) applies. Under Rule 2111, David's recommendations of cash-secured puts and covered calls for a moderate-risk client seeking growth and income were likely suitable. Cash-secured puts and covered calls are classified as conservative options strategies under FINRA and CBOE guidelines. Margaret had appropriate approval (Level 2), sufficient liquid net worth to absorb potential assignment, and the strategies aligned with her income-generation objective. The pre-June 30, 2020 trades likely did NOT violate the suitability standard. However, for recommendations made after June 30, 2020, Regulation Best Interest (Reg BI) under the Securities Exchange Act Rule 15c-1 applies. Reg BI's Care Obligation requires that the broker consider reasonably available alternatives and evaluate costs relative to benefits. Here, the repeated cycle of having calls assigned, repurchasing shares, and selling new calls created a pattern where the total friction costs (\$3,100 commissions plus \$4,800 in unnecessary short-term capital gains taxes = \$7,900) consumed over 54% of the gross premium income (\$14,600). Under Reg BI's heightened cost analysis, David should have evaluated whether the tax-inefficient repurchase-and-resell cycle served Margaret's best interest versus simply holding the shares or selecting higher strike prices less likely to be assigned. The post-June 30, 2020 continuation of this pattern, and especially the February 2021 continuation, likely VIOLATED Reg BI's Care Obligation. The pre-June 2020 activity was compliant under suitability; the post-June 2020 activity constitutes a violation under Reg BI due to failure to adequately weigh costs including tax consequences against benefits.

Common Wrong Answer

No violation - cash-secured puts and covered calls are conservative income strategies appropriate for a moderate-risk investor seeking growth and income, Margaret had proper options approval, and the strategies generated meaningful premium income within her risk parameters throughout the entire period.

Why Adversarial

This is a temporal trap because the applicable standard changed mid-scenario on June 30, 2020 when Reg BI's compliance date took effect, replacing the suitability standard for broker-dealer recommendations. A general LLM will likely apply one uniform standard to the entire period rather than bifurcating the analysis. Additionally, cash-secured puts and covered calls are widely considered conservative strategies, leading many models to conclude no violation at all. The subtle violation lies not in the strategy type but in the cost-benefit deterioration caused by the repeated assignment-repurchase cycle, which only becomes

actionable under Reg BI's more demanding cost analysis, not under the older suitability framework. Most LLMs would either find a violation for the entire period or find no violation at all.

Applicable Standard

FINRA Rule 2111 (Suitability) for recommendations prior to June 30, 2020; SEC Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) for recommendations on or after June 30, 2020, specifically the Care Obligation component requiring evaluation of costs (including tax consequences) relative to reasonably available alternatives; FINRA Rule 2360 (Options); CBOE Chapter IX Options Suitability Rules

Adversarial Hypothetical 138

Topic: lack_of_diversification | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Raymond Torres, age 44, a senior software engineer at Nvidia earning \$285,000 per year, opened a brokerage account with Pinnacle Wealth Advisors in March 2023. His liquid net worth outside of company stock was \$410,000, and he held an additional \$1.2 million in vested Nvidia shares through his company equity compensation plan (held in a separate account at another firm). Raymond's investment profile listed his risk tolerance as 'aggressive,' his investment objective as 'speculation/capital appreciation,' and his time horizon as 20+ years. During account opening, Raymond told his advisor, Patricia Langford, that he wanted to invest his \$410,000 in liquid assets entirely in semiconductor and AI-related stocks. He specifically named AMD, Broadcom, ASML, Taiwan Semiconductor, and Marvell Technology. Patricia noted in her file that she discussed diversification with Raymond, documented that he was already heavily concentrated in Nvidia through his employer equity, and recommended he allocate at least 30% of the \$410,000 to non-technology sectors and fixed income. Raymond refused and signed a letter stating: 'I understand my advisor has recommended diversification across sectors. I decline this recommendation. I am directing that my full \$410,000 be invested in semiconductor and AI stocks. I understand the risks of concentration.' Patricia executed the trades as Raymond directed. Over the following eight months, the portfolio gained 47%, reaching approximately \$603,000. In November 2023, Raymond added \$85,000 in new cash to the account and instructed Patricia to invest it in two additional AI stocks. Patricia invested the funds without providing a new diversification discussion or updated recommendation for the additional deposit. Raymond's total exposure to semiconductor/AI stocks across both accounts was now approximately \$1.888 million, representing roughly 93% of his total investable assets of \$2.028 million.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This requires careful analysis of two distinct episodes. For the initial \$410,000 investment, Patricia likely did NOT violate applicable standards. Under FINRA Rule 2111 and Regulation Best Interest's Care Obligation, when a customer provides explicit, unsolicited direction to concentrate after the advisor has made and documented a reasonable diversification recommendation, the advisor has generally fulfilled her obligations. FINRA Rule 2111's Supplementary Material .03 specifically addresses concentration, noting

that the suitability obligation applies to recommended transactions; unsolicited customer-directed trades carry reduced advisor responsibility. Patricia documented her diversification recommendation, Raymond declined in writing, and the direction was clear. However, for the November 2023 \$85,000 deposit, Patricia DID likely violate applicable standards. When Raymond brought new funds and asked Patricia to invest them in additional AI stocks, this constituted a new investment decision requiring fresh analysis. Under Reg BI's Care Obligation (Rule 15l-1), each recommendation must reflect the customer's best interest at that point in time. By November 2023, Raymond's concentration had deepened significantly (the original position had grown 47%, and he still held the Nvidia shares). Patricia was obligated to provide an updated recommendation regarding the \$85,000 - considering that total concentration was now approximately 93% of investable assets - and to document any renewed client direction to override that recommendation. Her failure to provide any diversification discussion or updated suitability analysis for the new deposit constitutes a violation, even though the client likely would have rejected the advice again. The obligation is to make the recommendation and document it, not merely to ensure the client follows it.

Common Wrong Answer

No violation - Raymond was an aggressive investor with a 20+ year time horizon who specifically directed concentration in semiconductor stocks, signed a written acknowledgment declining diversification advice, and the portfolio performed well. The advisor properly documented the client's wishes and is protected by the unsolicited trade/client direction defense for all transactions.

Why Adversarial

This is a client direction trap with a subtle twist. Most LLMs will either (a) find a violation for the entire scenario because 93% concentration is extreme, ignoring the documented client direction defense, or (b) find no violation at all because the client repeatedly directed concentration. The actual answer is split: the initial investment was properly handled through documented client override, but the follow-on deposit triggered a fresh obligation that Patricia failed to meet. The trap exploits the common misconception that a prior client direction letter provides blanket coverage for all future transactions, when in fact each new recommendation or investment decision requires independent analysis. The subtle deficiency - failing to renew the diversification conversation for new money - is exactly the type of procedural gap that distinguishes compliant from non-compliant conduct.

Applicable Standard

FINRA Rule 2111 (Suitability), specifically Supplementary Material .03 regarding concentration and .05(c) regarding customer-specific suitability; SEC Regulation Best Interest (Rule 15l-1), Care Obligation requiring that each recommendation reflect the retail customer's best interest considering the customer's investment profile; FINRA Rule 2111 Supplementary Material .03 distinguishing recommended vs. unsolicited transactions; FINRA Regulatory Notice 12-25 (guidance on concentration and suitability obligations for each new recommendation)

Adversarial Hypothetical 139

Topic: leveraged_etf_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Martin Caldwell, age 58, retired early in March 2019 after 30 years as a mechanical engineer. He rolled over his \$1.2 million 401(k) into an IRA at Ridgeline Financial Partners. His new advisor, Derek Huang, conducted an account opening interview in April 2019 where Martin stated his objectives were 'growth with moderate risk,' a time horizon of 7-10 years, annual income need of \$48,000 from the portfolio, and prior investment experience limited to target-date mutual funds in his 401(k). His liquid net worth outside the IRA was approximately \$85,000 in a savings account. In May 2019, Derek recommended Martin allocate 15% of his IRA (\$180,000) to a 3x leveraged bull ETF tracking the S&P 500 and another 10% (\$120,000) to a 3x leveraged bull ETF tracking the Nasdaq-100. Derek documented in his notes that he believed the U.S. equity market would continue its bull run and that leveraged ETFs would 'supercharge returns for a client who wants growth.' He also noted that he explained to Martin that these products 'move three times as much as the index daily.' Martin signed an acknowledgment form that stated he understood the products involved 'higher volatility.' Derek placed the trades on May 14, 2019. By December 2019, the positions had appreciated to approximately \$365,000 combined. Derek did not rebalance or revisit the allocation. In March 2020, during the COVID-19 market crash, the combined leveraged ETF positions dropped to approximately \$88,000 - a loss of roughly \$212,000 from the original \$300,000 invested, representing about 17.7% of Martin's total original IRA value. Martin filed a complaint in June 2020. Ridgeline Financial Partners was a broker-dealer. Notably, the firm had adopted early compliance with the new conduct standard that went into effect on June 30, 2020, but at the time of the May 2019 recommendation, the firm was still operating under the prior standard. The firm's internal policies as of May 2019 required a 'reasonable-basis and customer-specific analysis' for all recommendations, and the firm had issued a bulletin in January 2019 specifically flagging leveraged and inverse ETFs as 'complex products requiring enhanced due diligence and documented justification for holding periods exceeding one trading session.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek Huang violated the applicable suitability standard. At the time of the May 2019 recommendation, the governing standard was FINRA Rule 2111 (Suitability), not Regulation Best Interest, which did not take effect until June 30, 2020. Under Rule 2111, three obligations applied: (1) reasonable-basis suitability - the advisor must understand the product and have a reasonable basis to recommend it; (2) customer-specific suitability - the recommendation must be suitable for the particular customer; and (3) quantitative suitability - applicable if the advisor exercises control. On reasonable-basis suitability, leveraged ETFs are designed to deliver multiples of daily index returns and are subject to significant volatility decay (also called 'beta slippage') over holding periods longer than one day. FINRA Regulatory Notice 09-31 specifically warned that leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Derek's documentation shows he recommended these as a long-term growth holding, which demonstrates a fundamental misunderstanding of the product's mechanics. He failed reasonable-basis suitability. On customer-specific suitability, Martin was a 58-year-old recent retiree with limited investment experience (only target-date funds), moderate risk tolerance, income needs of \$48,000/year from a \$1.2 million portfolio, and minimal liquid assets outside the IRA. Allocating 25% of his retirement portfolio to 3x leveraged ETFs - instruments designed for sophisticated short-term traders - was plainly unsuitable for this customer profile. The concentration (25% of total IRA) in leveraged products for a client dependent on this portfolio for retirement income is a clear violation. Additionally, the firm's own January 2019 internal bulletin

required enhanced due diligence and documented justification for holding periods exceeding one trading session, yet Derek's notes indicate he intended these as long-term holdings with no rebalancing plan, violating the firm's supervisory procedures as well. The fact that Ridgeline later adopted Reg BI early is irrelevant; the applicable standard at the time of the recommendation was FINRA Rule 2111.

Common Wrong Answer

A general LLM would likely analyze this under Regulation Best Interest and its four component obligations (Disclosure, Care, Conflict of Interest, Compliance), concluding there was a violation of the Care Obligation under Reg BI. While the conclusion (violation) would be correct, the legal framework would be wrong - Reg BI did not apply in May 2019. Some models might also incorrectly give weight to the client's signed acknowledgment form as partial defense, or focus on the COVID crash as the cause of harm rather than the unsuitability at the time of recommendation.

Why Adversarial

The temporal trap is designed to trick AI models into applying Regulation Best Interest (Reg BI, effective June 30, 2020) instead of the correct standard - FINRA Rule 2111 - which governed broker-dealer recommendations in May 2019. The mention of the firm's 'early compliance' with the new standard is a red herring; the recommendation occurred over a year before Reg BI's effective date. A general LLM might analyze this under Reg BI's Care Obligation and Component Obligations, arriving at the right conclusion (violation) but for partially wrong legal reasons. Additionally, the fact that the positions initially appreciated significantly before crashing might lead a model to weigh the interim gains as mitigating, which is irrelevant to suitability analysis at the time of recommendation. The specific nuance of leveraged ETF daily-reset mechanics and FINRA's explicit guidance (Regulatory Notice 09-31) is specialized knowledge that general models often lack or misapply.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs, June 2009); FINRA Rule 3110 (Supervision) regarding the firm's internal complex product policies. Regulation Best Interest (17 CFR § 240.15l-1) is NOT applicable because its effective date was June 30, 2020, after the recommendation at issue.

Adversarial Hypothetical 140

Topic: illiquid_real_estate_investment | Type: threshold_trap | Difficulty: expert

Fact Pattern

Sandra Whitfield, age 52, is a divorced high school principal earning \$112,000 annually. She has a brokerage account at Cornerstone Wealth Advisors with her advisor, Paul Regan. Her account profile, updated in January 2022, lists her liquid net worth at \$730,000 (consisting of her brokerage account valued at \$540,000 and \$190,000 in bank deposits), an additional \$280,000 in an employer retirement plan, her primary residence valued at \$350,000 with a \$140,000 mortgage, risk tolerance as 'moderate,' investment objective as 'growth and income,' and a time horizon of 10-15 years until retirement. She has no dependents. In March 2022, Paul recommended Sandra invest \$145,000 of her brokerage account into a

non-traded Real Estate Investment Trust (REIT) called Harvest Realty Income Trust II. The REIT's offering documents stated a minimum 7-year hold period before any expected liquidity event, distributions of approximately 5.5% annually (partially funded from offering proceeds rather than operations during the initial years), and an early redemption program limited to 2% of outstanding shares per quarter with a 10% redemption penalty in the first three years. Paul documented his rationale as follows: the REIT provided stable income diversification away from Sandra's equity-heavy portfolio, the 5.5% distribution rate exceeded comparable fixed income yields, and real estate exposure would hedge against inflation. Sandra's existing portfolio was approximately 70% domestic equities, 15% bond funds, 10% international equities, and 5% cash. Paul verified that the REIT sponsor had set maximum concentration limits at 10% of investor net worth for non-accredited investors, and Sandra's total net worth (excluding primary residence) was approximately \$1,010,000 in liquid and retirement assets, though her liquid net worth alone was \$730,000. The \$145,000 investment represented approximately 14.4% of her combined liquid and retirement net worth, or approximately 19.9% of her liquid net worth alone. The product sponsor's suitability standards required that the investment not exceed 10% of the investor's 'net worth exclusive of home, home furnishings, and automobiles.' Paul calculated Sandra's qualifying net worth as \$1,010,000 (\$730,000 liquid + \$280,000 retirement plan) and determined the \$145,000 investment was 14.4% of this figure - exceeding the 10% limit. However, Paul noted that the state where Sandra resided had adopted a higher concentration limit of 20% of net worth for non-traded REITs for residents, and he believed the state-level standard controlled. Sandra proceeded with the investment. By late 2023, the REIT suspended its distribution payments and its early redemption program, effectively trapping Sandra's capital.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Paul Regan violated applicable suitability and concentration standards, and the analysis is more nuanced than it first appears. Under FINRA Rule 2111, Paul was required to perform customer-specific suitability analysis. Under Regulation Best Interest (effective June 30, 2020, and applicable here in March 2022), Paul owed Sandra a Care Obligation requiring him to exercise reasonable diligence, care, and skill in making the recommendation. Regarding the concentration limit, there are two layers. First, the product sponsor's own suitability standards stated the investment should not exceed 10% of 'net worth exclusive of home, home furnishings, and automobiles.' Paul's own calculation showed \$145,000 was 14.4% of Sandra's \$1,010,000 qualifying net worth - exceeding the sponsor's 10% cap. Paul attempted to override this by citing a state-level 20% concentration limit, but this reasoning is flawed. FINRA Notice to Members 03-71 and subsequent FINRA guidance on non-traded REITs make clear that the MORE RESTRICTIVE standard applies. When a product sponsor sets concentration limits in its offering documents, and a state sets different limits, the broker-dealer must apply whichever limit is lower to protect the customer. The sponsor's 10% limit is more restrictive than the state's 20% limit, so the 10% cap controls. Paul's \$145,000 recommendation exceeded this by approximately \$44,000. Second, even setting aside the concentration threshold, the customer-specific suitability analysis under Reg BI's Care Obligation raises serious concerns. Sandra had a 'moderate' risk tolerance, a 10-15 year horizon to retirement, and moderate income. Placing approximately 19.9% of her liquid net worth into a single illiquid, non-traded REIT with a minimum 7-year lockup, limited redemption rights subject to suspension, and distributions partially funded from offering proceeds (return of capital rather than true income) created significant liquidity risk and concentration risk. The product's subsequent suspension of distributions and redemptions, while not dispositive, illustrates the

materialized risk. Additionally, the fact that the distributions were partially funded from offering proceeds - effectively returning investors' own capital - means the stated 5.5% yield was misleading as a comparison to bond fund yields, and Paul's documented rationale relying on this comparison reflects inadequate reasonable-basis analysis of the product. This is a violation on multiple grounds: exceeding the applicable concentration limit (the more restrictive sponsor standard), and customer-specific unsuitability given the illiquidity risk relative to Sandra's profile.

Common Wrong Answer

A general LLM would likely conclude this is technically compliant, reasoning that: (1) the state's 20% concentration limit controls over the sponsor's 10% limit since state law supersedes private offering terms, (2) \$145,000 is only 14.4% of Sandra's \$1,010,000 net worth and thus under the 20% state threshold, (3) the advisor documented reasonable rationale for the recommendation including income diversification and inflation hedging, and (4) Sandra had a 10-15 year time horizon compatible with the REIT's 7-year holding period. This answer would be wrong because it misapplies the hierarchy of concentration limits and underestimates the illiquidity and concentration risks.

Why Adversarial

This scenario creates a threshold trap with a layered complexity. The key adversarial element is the conflict between the product sponsor's 10% concentration limit and the state's 20% limit. A general LLM is likely to accept Paul's reasoning that the state limit controls (since state law often preempts or supersedes private contractual terms in other contexts), when in fact FINRA guidance requires application of the MORE restrictive standard. Many AI models lack the specific knowledge that in the non-traded REIT context, the most restrictive applicable concentration limit governs. Additionally, the calculation itself is a trap: Paul computed net worth including the employer retirement plan (\$1,010,000), but some models might debate whether retirement plan assets should be included in 'net worth exclusive of home' for concentration purposes - they generally are included, but the investment still exceeds 10%. The partially-funded distributions are another subtlety that models often miss; they appear to make the product more attractive but actually represent return of capital, not genuine income. Finally, the 2022 date means Reg BI applies, not just the older suitability rule, adding another layer of analysis.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation; FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 15-02 (Non-Traded REITs - enhanced suitability, concentration, and due diligence requirements); FINRA Notice to Members 03-71 (Non-Conventional Investments); NASAA Omnibus Guidelines on non-traded REITs (state concentration limits); the principle that the most restrictive applicable concentration standard (whether sponsor-imposed, state-imposed, or firm-imposed) governs the recommendation.

Adversarial Hypothetical 141

Topic: *illiquid_real_estate_investment* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Kowalski, age 52, has been a client of broker-dealer Pinnacle Securities since 2017. She has a

net worth of \$2.8 million, liquid assets of \$1.4 million, annual income of \$195,000 as a hospital administrator, a moderate risk tolerance, and a stated investment objective of growth with income. In March 2019, her registered representative, David Chen, recommended she invest \$140,000 (10% of her liquid assets) in the Granite Tower Real Estate Investment Trust, a non-traded REIT focused on Class-A commercial office buildings in secondary markets. The REIT had a minimum 7-year hold period, no secondary market, distributions of 6.5% annually, and total upfront fees (including selling commissions and due diligence fees) of 14.5%. David performed due diligence on the REIT sponsor, reviewed the offering memorandum, and documented that the 6.5% distribution aligned with Margaret's income objective and that the 10% allocation was within his firm's 25% concentration limit for illiquid alternative investments. Margaret signed all disclosure documents acknowledging illiquidity and fees. In June 2020, Margaret's firm Pinnacle Securities was acquired by Meridian Wealth Partners, a dual-registered broker-dealer and investment adviser. Under the transition, all existing brokerage accounts were converted to fee-based advisory accounts effective September 1, 2020, and all representatives became investment adviser representatives. No new suitability or investment review was conducted on Margaret's existing holdings at the time of conversion. In January 2022, Margaret requested a portfolio review. Her new adviser at Meridian, still David Chen, reviewed the account and noted the Granite Tower REIT position but took no action, stating it was a legacy holding and that the original recommendation had been suitable at the time of purchase. By January 2022, the Granite Tower REIT had suspended distributions due to office vacancy rates exceeding 30% in its portfolio, and its estimated net asset value had declined approximately 35% from the original share price.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, there is a violation, but the violation is NOT with the original March 2019 recommendation - it is with the failure to provide ongoing monitoring after the September 2020 account conversion. The original 2019 recommendation was made under the broker-dealer suitability framework (FINRA Rule 2111) and appears reasonable: 10% of liquid assets in a non-traded REIT for a moderate-risk, growth-with-income investor with a 7-year time horizon, within the firm's concentration limits, with proper disclosure. However, when the account was converted to a fee-based advisory account in September 2020, the applicable standard changed from FINRA Rule 2111 (suitability, which is transaction-based) to the Investment Advisers Act of 1940 fiduciary duty and SEC Regulation Best Interest's care obligation for any new recommendations, plus the ongoing fiduciary duty under the Advisers Act. Under the Advisers Act fiduciary duty, as interpreted by the SEC in its June 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248), an investment adviser providing ongoing portfolio management services has a duty to monitor client investments on an ongoing basis. This is distinct from the broker-dealer suitability obligation, which generally ends at the point of recommendation. Once Meridian converted Margaret's account to an advisory account and began charging ongoing advisory fees, David Chen and Meridian had an affirmative duty to monitor the REIT position and assess whether continued retention was in Margaret's best interest. By January 2022, with distributions suspended and NAV down 35%, the failure to conduct any review of the position since conversion - and the dismissal of the holding as merely a 'legacy position' - constitutes a breach of the ongoing fiduciary monitoring obligation. Additionally, under FINRA Rule 2111.07 (hold recommendations), if the adviser affirmatively recommended holding the position in January 2022, that itself would be subject to suitability analysis. The characterization of the position as a 'legacy holding'

requiring no action is itself an implicit hold recommendation that should have been evaluated under the then-applicable fiduciary standard.

Common Wrong Answer

Many LLMs would either (1) incorrectly find the original 2019 recommendation was a violation due to the high 14.5% fees and illiquidity, ignoring that it was within firm concentration limits and appropriate for the client's profile, or (2) find no violation at all, accepting that the original recommendation was suitable and that no new recommendation was made after conversion, thus missing the ongoing monitoring obligation that attached when the account became advisory.

Why Adversarial

This scenario is adversarial because the original 2019 recommendation appears and actually is compliant under the standards applicable at that time. A general LLM might focus on the 14.5% fees or the illiquidity and incorrectly flag the original recommendation as the violation. Alternatively, an LLM might accept David Chen's reasoning that a legacy holding requires no new review and find no violation at all. The trap is the temporal shift in applicable standards: the account conversion from brokerage to advisory changed the legal framework from a transaction-based suitability obligation to an ongoing fiduciary monitoring duty. Most general-purpose AI models do not track that a change in account type triggers a change in the applicable standard and creates new ongoing obligations for existing positions.

Applicable Standard

FINRA Rule 2111 (Suitability) for the March 2019 recommendation; Investment Advisers Act of 1940 Sections 206(1) and 206(2) fiduciary duty for post-September 2020 advisory relationship; SEC Commission Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248, June 5, 2019); FINRA Rule 2111.07 (implicit hold recommendations); FINRA Regulatory Notice 12-03 (heightened supervision for complex products including non-traded REITs); NASAA Omnibus Order regarding non-traded REIT suitability standards including concentration limits

Adversarial Hypothetical 142

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: hard

Fact Pattern

Helen Margolis, age 79, is a retired schoolteacher in Tampa, Florida with a pension of \$42,000 per year, Social Security income of \$24,000 per year, total liquid savings of \$380,000, and a modest home valued at \$210,000. She has listed her investment objective as capital preservation and income, with a conservative risk tolerance. Her son, Richard Margolis, age 54, holds a durable power of attorney for Helen's financial affairs, executed in 2018 when Helen was diagnosed with early-stage cognitive decline. Richard is a successful real estate developer. In October 2023, Richard contacts Helen's financial advisor, Sandra Whitfield, at Great Plains Financial Services, a broker-dealer. Richard, acting under the POA, directs Sandra to liquidate \$285,000 of Helen's portfolio - which consists of Treasury bonds, CDs, and a conservative balanced mutual fund - and invest the proceeds into Lone Star Capital Partners Fund III, a private real estate limited partnership investing in ground-up luxury condominium development in Austin, Texas. The fund has a minimum 10-year lock-up, no liquidity provisions, a 2% annual management fee plus

20% carried interest, requires investors to be accredited (which Helen qualifies for based on net worth), and carries substantial risk of total loss. Sandra knows Richard personally and knows he is one of the general partners in Lone Star Capital Partners Fund III, meaning Richard has a direct financial interest in raising capital for the fund. Sandra asks Richard about the investment rationale, and Richard explains that the fund projects 18% annual returns, that his mother 'deserves better returns than Treasuries,' and that he will personally guarantee her investment if the fund underperforms. Sandra documents Richard's verbal guarantee, notes that Helen qualifies as an accredited investor, confirms the POA is legally valid, and processes the transaction. Sandra does not contact Helen directly, does not consult her firm's designated senior investor contact person, and does not file any internal report regarding potential financial exploitation. Helen's other son, James Margolis, discovers the transaction three months later and files a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Sandra Whitfield committed multiple violations. First, under FINRA Rule 2111 (Suitability), the recommendation to invest 75% of a 79-year-old conservative investor's liquid assets into a speculative, illiquid 10-year private real estate development fund is grossly unsuitable regardless of who directed it. The customer-specific suitability obligation (Rule 2111(a)) requires the recommendation to be consistent with the customer's investment profile - Helen's stated objectives of capital preservation and income, conservative risk tolerance, age, limited income, and cognitive decline all make this investment fundamentally unsuitable. Even though the direction came from a POA holder, Sandra remains obligated to evaluate suitability based on the account holder's (Helen's) profile, not the POA holder's preferences. Second, under FINRA Rule 2165 (Financial Exploitation of Specified Adults), Sandra had the authority - and arguably the obligation under her firm's procedures - to place a temporary hold on the disbursement and notify her firm's designated senior contact when she had a reasonable belief that financial exploitation was occurring. The red flags here are overwhelming: a POA holder directing a massive, unsuitable investment into a fund in which the POA holder is a general partner, creating a blatant conflict of interest. Third, Richard's personal guarantee has no enforceable protective value for the client and cannot cure the unsuitability. An informal verbal guarantee from a related party does not transform a speculative investment into a conservative one. Fourth, under Regulation Best Interest (17 CFR § 240.15l-1), if applicable to Sandra as a broker making a recommendation, the Care Obligation requires her to exercise reasonable diligence, care, and skill in making the recommendation, and the Conflict of Interest Obligation requires her to identify and address the material conflict created by the POA holder's financial interest. Sandra failed both. Fifth, Sandra's failure to contact Helen directly, or attempt to ascertain Helen's own wishes given known cognitive decline, and her failure to involve the firm's senior investor protection protocols, represent additional failures of reasonable care.

Common Wrong Answer

A general LLM would likely say this is a borderline case or find no violation, reasoning that Sandra followed the legally valid instructions of a durable POA holder, that Helen was a qualified accredited investor, that Sandra documented the verbal guarantee and rationale, and that a broker is not required to second-guess the lawful directives of a client's legal representative. Some models might identify a 'potential concern' but stop short of calling it a clear violation.

Why Adversarial

This scenario is adversarial because it involves a legally valid POA, the client technically qualifies as an accredited investor, and the direction came not from the advisor but from a third party with legal authority. A general LLM might reason that (1) Sandra was simply following the lawful instructions of a valid POA holder, (2) Helen qualifies as an accredited investor so the investment is permissible, (3) Richard's personal guarantee mitigates the risk, and (4) Sandra documented everything and thus acted properly. The multi-party structure creates confusion about whose interests and profile control the suitability analysis, and the POA creates a false sense that Sandra had no independent obligation. The trap is that suitability is assessed against the account holder's profile (Helen), not the POA holder's sophistication; that accredited investor status does not override suitability obligations; and that the obvious self-dealing by the POA holder triggers senior exploitation protections that Sandra completely ignored.

Applicable Standard

FINRA Rule 2111 (Suitability) - particularly Rule 2111(a) customer-specific suitability and FINRA Rule 2111.04 (suitability obligations apply to the customer's investment profile regardless of who directs the transaction); FINRA Rule 2165 (Financial Exploitation of Specified Adults), effective February 5, 2018; FINRA Regulatory Notice 07-43 (Senior Investors); Regulation Best Interest (17 CFR § 240.15I-1), Care Obligation and Conflict of Interest Obligation; FINRA Rule 3240 (Borrowing From or Lending to Customers, by analogy to conflict identification); NASAA Model Rule on Financial Exploitation of Vulnerable Adults

Adversarial Hypothetical 143

Topic: illiquid_investments | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Dunlop, age 62, retired schoolteacher with a \$480,000 rollover IRA and \$35,000 annual pension income, met with financial advisor Craig Pemberton in April 2019. Margaret told Craig she wanted steady income to supplement her pension and preserve capital for potential long-term care needs. Craig recommended she place \$120,000 (25% of her portfolio) into a non-traded Real Estate Investment Trust specializing in healthcare facilities, citing its 6.5% stated distribution rate. The REIT had a minimum seven-year holding period, no secondary market, and early redemption was limited to hardship cases with a 10% penalty. Craig documented the recommendation thoroughly, noted Margaret's income need, assessed her net worth and liquidity, and determined that \$360,000 in remaining liquid assets was sufficient for her needs. He completed a firm-approved suitability questionnaire marking her risk tolerance as 'moderate' and investment horizon as '7-10 years.' The product sponsor's due diligence materials showed consistent distributions since 2014. In June 2020, Margaret needed \$85,000 for an unexpected home repair and medical expense. She still had \$340,000 in liquid assets after market losses and was able to cover the expense without touching the REIT. However, by January 2021, she requested full redemption from the REIT and was denied except under hardship provisions, and even then faced the 10% penalty. She filed a complaint alleging the investment was unsuitable. Craig's firm had operated under traditional suitability standards until June 30, 2020, at which point it transitioned to a new standard for all recommendations going forward, but the firm did not retroactively review prior recommendations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a violation, but the analysis depends critically on which standard applies and a concentration issue. At the time of the April 2019 recommendation, FINRA Rule 2111 (Suitability) governed the transaction. Under Rule 2111, three obligations applied: reasonable-basis suitability (was the non-traded REIT suitable for any investor), customer-specific suitability (was it suitable for Margaret specifically), and quantitative suitability (not relevant here as this was a single transaction). Under FINRA Regulatory Notice 09-09 and subsequent guidance on illiquid investments, firms and representatives must consider the customer's liquidity needs, time horizon, and overall portfolio concentration when recommending illiquid products. A 25% concentration in a single illiquid, non-traded REIT for a 62-year-old retiree whose stated goal was capital preservation and income supplementation raises serious customer-specific suitability concerns. While Craig documented the recommendation and Margaret had remaining liquid assets, FINRA has consistently held that concentration of 25% or more of a retiree's portfolio in a single illiquid alternative investment is presumptively problematic, particularly when the customer has identified potential long-term care needs that could require liquidity. The seven-year lockup extending Margaret to age 69 with no meaningful exit conflicts with her stated need for capital preservation and potential long-term care access. The fact that Reg BI (17 CFR § 240.15l-1) took effect on June 30, 2020 does not retroactively apply to the April 2019 recommendation, but it also does not excuse the original suitability violation under Rule 2111. The firm's failure to retroactively review is a separate supervisory concern under FINRA Rule 3110 but does not change the original violation. Craig violated FINRA Rule 2111's customer-specific suitability obligation by recommending excessive concentration in an illiquid product to a retiree with identified liquidity needs.

Common Wrong Answer

No violation - Craig conducted thorough documentation, Margaret had \$360,000 in remaining liquid assets (75% of her portfolio), she was able to cover her emergency expenses, and the 25% allocation was within commonly accepted limits for alternative investments. The recommendation was suitable at the time it was made.

Why Adversarial

This scenario creates a temporal trap where the transition from FINRA Rule 2111 to Reg BI occurred during the complaint timeline. A general LLM might incorrectly apply Reg BI retroactively to the 2019 recommendation, or might conclude the recommendation was suitable because Craig documented everything thoroughly and Margaret had sufficient remaining liquid assets at the time. The trap is that thorough documentation and remaining liquidity do not cure a concentration problem in illiquid investments for a retiree with potential care needs. Many LLMs would focus on the fact that Margaret could cover her 2020 emergency and conclude no harm occurred, missing that suitability is evaluated at the time of recommendation based on the customer's profile, not based on subsequent outcomes.

Applicable Standard

FINRA Rule 2111 (Suitability), including customer-specific suitability obligation; FINRA Regulatory Notice 09-09 (Suitability - Know Your Customer); FINRA Regulatory Notice 10-22 (Obligation of Broker-Dealers to Conduct Reasonable Investigations in Regulation D Offerings); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Regulation Best Interest (17 CFR § 240.15l-1) applicable only to recommendations on or after June 30, 2020

Adversarial Hypothetical 144*Topic: unsuitable_income_investor | Type: reasonable_basis_trap | Difficulty: hard*

Fact Pattern

Harold and Diane Nakamura, both age 71, retired with combined Social Security income of \$52,000 per year and a joint brokerage account worth \$620,000 that represented the vast majority of their liquid savings. They told their financial advisor, Renee Castillo, in March 2022 that they needed to generate approximately \$2,500 per month (\$30,000/year) in supplemental income from their portfolio to cover living expenses, and that they could not afford to lose principal because they had no other safety net. Renee spent three weeks researching options. She analyzed dividend-paying equity ETFs, municipal bond funds, Treasury ladders, and high-yield corporate bond funds. She prepared a detailed written analysis comparing yields, historical drawdowns, and credit quality. Ultimately, she recommended allocating the entire \$620,000 as follows: \$310,000 (50%) in a high-yield corporate bond ETF yielding 7.2%, \$155,000 (25%) in a leveraged closed-end municipal bond fund yielding 5.8%, and \$155,000 (25%) in a preferred stock ETF yielding 6.1%. Her analysis showed the blended yield of approximately 6.5% would generate roughly \$40,300 annually, comfortably exceeding the Nakamuras' \$30,000 income need with a cushion. Renee documented that the excess yield provided a 'margin of safety.' She noted in her files that high-yield bonds had only experienced three calendar years of negative returns in the past twenty years and that the leveraged muni fund had outperformed unleveraged alternatives by 200 basis points annually over ten years. By October 2022, rising interest rates caused the portfolio to decline to \$491,000 - a 20.8% loss - and the leveraged muni fund cut its distribution by 35%. The Nakamuras filed a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While Renee conducted extensive research satisfying some elements of reasonable-basis suitability under FINRA Rule 2111 and the Care Obligation under Regulation Best Interest (17 CFR § 240.15l-1, effective for this March 2022 recommendation), she failed the customer-specific component of both standards. Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. The Nakamuras explicitly stated they could not afford to lose principal and had no other safety net. Renee's portfolio was constructed entirely of higher-risk income instruments: high-yield (junk) bonds carry significant credit and interest rate risk, leveraged closed-end funds amplify both gains and losses through structural leverage (typically 30-40% borrowed assets), and preferred stocks are subordinate to bonds and highly sensitive to interest rate changes. A 100% allocation to these three categories with zero allocation to investment-grade bonds, Treasuries, CDs, or money market instruments for a couple who explicitly stated they cannot lose principal is unsuitable regardless of the yield analysis. Renee's research, while thorough, reached the wrong conclusion for these specific clients - she optimized for yield maximization when the clients' primary stated objective was principal preservation with income as a secondary need. Her 'margin of safety' analysis focused solely on income cushion and ignored principal risk entirely. Under FINRA Rule 2111 and Reg BI's Care Obligation, the fact that an advisor conducted research does not cure a recommendation that is fundamentally mismatched to the customer's risk

tolerance, investment objectives, and financial situation. Additionally, under Reg BI's Care Obligation, Renee was required to consider reasonably available alternatives; her own analysis showed she considered Treasury ladders and investment-grade municipal bonds, which would have been more appropriate for capital preservation, but rejected them in favor of higher-yielding but riskier alternatives - exactly the opposite of what these clients needed.

Common Wrong Answer

No violation - Renee conducted extensive, documented research over three weeks, analyzed multiple alternatives, built in a yield cushion above the clients' income needs, and the portfolio decline was caused by unprecedented interest rate increases beyond her control. Market losses alone do not establish unsuitability, and her research demonstrated a reasonable basis for the recommendation.

Why Adversarial

This scenario is a reasonable-basis trap because Renee did significantly more research and documentation than most advisors. A general LLM seeing three weeks of research, a detailed written comparison, and documented rationale would likely conclude the advisor met her obligations. The trap is that thorough research that arrives at the wrong conclusion for a specific client is still a violation. The 'margin of safety' language sounds sophisticated and prudent, but it only addressed income risk while completely ignoring principal risk - the clients' primary concern. Many LLMs conflate 'the advisor did her homework' with 'the recommendation was suitable,' but reasonable-basis analysis is necessary but not sufficient; customer-specific suitability must also be met. The leveraged closed-end fund detail is particularly tricky because it superficially looks like a conservative municipal bond allocation, masking its leveraged risk profile.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation requiring reasonable diligence, care, and skill; FINRA Rule 2111 (Suitability), including reasonable-basis suitability and customer-specific suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Regulatory Notice 12-03 (Complex Products - Heightened Supervision); FINRA Regulatory Notice 09-31 (Suitability of Leveraged and Inverse Exchange-Traded Funds, applicable by analogy to leveraged closed-end funds)

Adversarial Hypothetical 145

Topic: *bond_duration_mismatch* | Type: *reasonable_basis_trap* | Difficulty: *expert*

Fact Pattern

Margaret Ellison, age 71, is a retired school principal with a \$1.2 million portfolio held at Beacon Wealth Advisors. Her stated investment objectives are income generation and capital preservation, with a moderate risk tolerance. She has told her advisor, Derek Huang, that she needs approximately \$4,000 per month in supplemental income to cover her living expenses alongside Social Security, and that she anticipates needing to withdraw \$180,000 in approximately three years to help her daughter purchase a home. Derek documents these needs carefully. In March 2023, Derek conducts substantial research on the bond market and writes an internal memo concluding that interest rates are near their peak based on

Federal Reserve forward guidance and consensus economic forecasts. He reasons that locking in high yields with long-duration bonds will maximize Margaret's income and provide capital appreciation when rates eventually fall. He recommends and executes a strategy allocating \$850,000 (approximately 71% of the portfolio) into a ladder of zero-coupon municipal bonds with maturities ranging from 18 to 28 years, with an effective portfolio duration of approximately 19.5 years. The remaining \$350,000 is placed in a money market fund. Derek's internal memo shows thorough macroeconomic analysis supporting the rate-peak thesis. The zero-coupon bonds pay no current income. Derek explains to Margaret that she can sell bonds as needed for income and that the money market fund will cover her near-term needs. He notes that the \$350,000 money market balance would cover approximately 7 years of her \$4,000/month needs if no bonds are sold. Margaret's account documents show she had previously held a diversified portfolio of intermediate-term investment-grade corporate bonds generating approximately \$3,800/month in coupon income. Margaret signs a letter acknowledging she understands the new strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the thorough research Derek conducted. The analysis fails at the customer-specific suitability level even though it may have reasonable-basis suitability for some investors. Under FINRA Rule 2111, suitability has three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to this customer), and quantitative suitability. Derek's recommendation fails customer-specific suitability on multiple grounds. First, Margaret's stated objective of income generation is directly contradicted by zero-coupon bonds, which pay no current income whatsoever. He replaced a portfolio generating \$3,800/month in actual coupon payments with one generating zero. Second, her known \$180,000 liquidity need in three years creates reinvestment and price risk - zero-coupon bonds with 19.5-year duration would suffer approximately 19.5% price decline for every 1% rise in rates, meaning if rates don't behave as predicted, selling bonds to meet the \$180,000 need could result in significant capital loss, directly contradicting her capital preservation objective. Third, the concentration of 71% in a single asset class with extreme duration exposure is inconsistent with moderate risk tolerance. While the money market fund covers near-term monthly income, it does not address the \$180,000 lump sum need without depleting the income reserve. The customer's signed acknowledgment does not cure a fundamentally unsuitable recommendation. Under Reg BI's Care Obligation (17 CFR 240.15l-1), the advisor must exercise reasonable diligence, care, and skill to understand the risks and rewards and have a reasonable basis to believe the recommendation is in the customer's best interest based on her specific profile. A macroeconomic thesis about rate direction does not override the fundamental mismatch between zero-coupon bonds and a stated need for current income. Additionally, the extreme duration mismatch between a 3-year known liability and 19.5-year portfolio duration violates basic asset-liability matching principles that any competent analysis should incorporate.

Common Wrong Answer

No violation - Derek conducted thorough research, documented his rationale, maintained a liquidity buffer in the money market fund sufficient to cover several years of income needs, obtained client acknowledgment, and his interest rate thesis was reasonable. The strategy was suitable because the money market fund addressed near-term needs while the bonds provided long-term growth potential.

Why Adversarial

This scenario is adversarial because Derek appears to have done everything right on the surface: thorough research documented in a memo, a reasonable macroeconomic thesis, client acknowledgment, and retention of a liquidity buffer. A general LLM might focus on the well-documented research process and conclude this satisfies the reasonable-basis component, missing that customer-specific suitability is an independent requirement that is clearly violated. The trap is that good process and reasonable macro analysis do not cure a recommendation that is fundamentally mismatched to the client's specific needs - particularly the zero-coupon/income-need contradiction and the duration/time-horizon mismatch for the \$180,000 withdrawal.

Applicable Standard

FINRA Rule 2111 (Suitability) - particularly subsection (a) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2111.05(a) regarding the three main suitability obligations; Regulation Best Interest (17 CFR 240.15l-1) Care Obligation requiring reasonable diligence, care, and skill in making recommendations that are in the retail customer's best interest based on the customer's investment profile including investment objectives, time horizon, and liquidity needs; FINRA Regulatory Notice 12-25 (guidance on suitability obligations regarding complex products and concentration).

Adversarial Hypothetical 146

Topic: variable_annuity_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Robert Castellano, age 58, is a senior engineer earning \$195,000 per year. He has \$620,000 in a traditional IRA rollover from a previous employer's 401(k) plan, \$85,000 in a taxable brokerage account, and \$40,000 in savings. His investment objectives are growth with moderate risk tolerance, and he plans to retire at age 67. On May 15, 2020, his financial advisor, Patricia Novak at Summit Financial Group, recommends that Robert invest \$500,000 of his IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The variable annuity has total annual expenses of 2.85% (1.40% mortality and expense charge, 0.95% underlying fund expenses, and 0.50% GMIB rider fee). The annuity has a 7-year surrender period with charges starting at 7% declining to 1%. Patricia documents her rationale: the GMIB rider provides downside protection guaranteeing a minimum 5% annual roll-up on the benefit base, which would ensure Robert has a guaranteed income floor in retirement regardless of market performance. Robert already has no other guaranteed income sources besides eventual Social Security. Patricia fills out the firm's suitability questionnaire noting Robert's moderate risk tolerance, 9-year time horizon to retirement, and desire for retirement income security. She also documents that Robert expressed anxiety about market volatility after the March 2020 downturn. The application is submitted and approved through Summit's principal review process on May 22, 2020. On June 30, 2020, new standards governing broker-dealer recommendations to retail customers became effective at Summit's firm. In January 2021, Robert contacts Patricia asking about the annuity's performance and expenses. Patricia reviews the account and confirms the recommendation. No new transaction occurs. Robert files a complaint in March 2023 alleging the annuity was unsuitable due to excessive fees inside a tax-deferred IRA and that placing a tax-deferred product inside an already tax-deferred account provided no additional tax benefit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, this is likely technically compliant, though it is a close case. The critical temporal issue is that the recommendation and transaction occurred on May 15-22, 2020, which was before Regulation Best Interest's compliance date of June 30, 2020. Therefore, the applicable standard at the time of the recommendation was FINRA Rule 2111 (Suitability), not Reg BI. Under the FINRA suitability standard in effect at the time, the recommendation of a variable annuity within an IRA is not per se unsuitable, but requires the advisor to consider whether the features of the annuity beyond tax deferral justify the additional costs. Patricia documented specific non-tax benefits: the GMIB rider providing a guaranteed income floor, which is a feature not available through direct mutual fund investment within the IRA. FINRA has specifically recognized that variable annuities may be suitable within qualified accounts when there are other benefits such as guaranteed living benefits that justify the costs. Patricia also documented Robert's anxiety about market volatility, his lack of guaranteed income sources, and his 9-year time horizon (which exceeds the 7-year surrender period). The 2.85% total expense ratio is high but within the range of typical VA expenses and not so excessive as to be per se unsuitable when a GMIB rider is included. The principal review was completed, and the firm approved the transaction. Regarding the January 2021 contact - while Reg BI was in effect by then, Patricia merely reviewed performance at the client's request and confirmed the existing position. Under Reg BI, a 'hold' recommendation could potentially trigger the standard, but this was more of an account review than an affirmative recommendation. Even if Reg BI applied to the January 2021 interaction, the analysis would be similar: the GMIB provides a non-tax benefit justifying the cost within a tax-qualified account, and no new transaction was recommended. Robert's complaint focuses on the tax-redundancy argument, which alone is insufficient to establish unsuitability when non-tax benefits are present and documented.

Common Wrong Answer

Yes, violation - placing a variable annuity inside a tax-deferred IRA is inherently unsuitable because the annuity's tax-deferral benefit is redundant, the 2.85% expense ratio is excessive, and the 7-year surrender period restricts a 58-year-old's access to retirement funds. The advisor failed to act in Robert's best interest by recommending an expensive product that provided no additional tax benefit.

Why Adversarial

This scenario contains multiple traps. First, the temporal trap: the transaction occurred before Reg BI's June 30, 2020 effective date, so the more stringent best-interest standard did not apply to the original recommendation. A general LLM would likely apply Reg BI retroactively. Second, the tax-redundancy argument (VA inside IRA) is a well-known suitability concern that many LLMs would flag as an automatic violation, but regulatory guidance has consistently held that non-tax features like GMIB riders can justify the additional cost. Third, the January 2021 follow-up contact creates ambiguity about whether Reg BI might apply to an implicit 'hold' recommendation, which is a nuanced question. Fourth, the high expense ratio looks problematic but is within normal VA ranges when a living benefit rider is included. Most LLMs will see 'variable annuity + IRA + high fees' and reflexively conclude violation.

Applicable Standard

FINRA Rule 2111 (Suitability) as in effect at the time of the May 2020 transaction; FINRA Regulatory Notice 12-55 (providing guidance that variable annuities in qualified accounts are not per se unsuitable when non-tax features justify the costs); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred

Variable Annuities) requiring consideration of whether the customer would benefit from features of a deferred variable annuity beyond tax-deferred growth, including living and death benefit features; Regulation Best Interest (17 CFR 240.15l-1) effective June 30, 2020 - applicable only to recommendations made on or after that date; FINRA Regulatory Notice 20-18 (guidance on Reg BI implementation timeline).

Adversarial Hypothetical 147

Topic: *junk_bonds_conservative_investor* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Holloway, age 71, retired schoolteacher with a \$430,000 portfolio, walked into her local branch office of Beacon Hill Securities on May 15, 2020. Her account documentation from 2018 listed her investment objective as 'income with capital preservation,' risk tolerance as 'low,' liquid net worth of \$480,000, and annual income of \$38,000 from Social Security and a small pension. Her advisor, Craig Donovan, had been working with her since 2016. In May 2020, with Treasury yields at historic lows, Margaret was frustrated that her portfolio of Treasury bonds and CDs was generating only about \$6,500 per year in income, down from \$14,000 in 2018. She told Craig she needed more income to cover her property taxes and supplemental health insurance. Craig recommended she allocate \$86,000 - exactly 20% of her portfolio - to the Falcon High Yield Bond Fund, a mutual fund investing primarily in bonds rated BB and B. Craig documented the conversation, noting Margaret's income shortfall, and ran a portfolio analysis showing the blended portfolio would still have 80% in investment-grade or government securities. He also noted the fund had a standard deviation roughly half that of equities and had only one calendar year loss exceeding 5% in the prior decade. He presented Margaret with the fund prospectus and a one-page summary of high-yield bond risks including default risk and liquidity risk. Margaret signed a letter acknowledging she understood the higher risk. The recommendation was entered on June 3, 2020. In March 2022, the fund declined 14% amid rising rates and credit spread widening, and Margaret filed a complaint alleging the high-yield bond fund was unsuitable for a conservative 71-year-old retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This case turns on a critical temporal issue: the recommendation was made on June 3, 2020, which is after the June 30, 2020 compliance date for Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1 - actually, June 3, 2020 is BEFORE the June 30, 2020 compliance date. Therefore, the applicable standard is the legacy FINRA Rule 2111 (Suitability), not Reg BI. Under FINRA Rule 2111, the advisor must have a reasonable basis to believe the recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Here, Craig's recommendation, while involving below-investment-grade bonds, was limited to 20% of the portfolio, was made via a diversified mutual fund (not individual junk bonds), was documented with a clear rationale tied to the client's stated income need, and was accompanied by proper risk disclosure. FINRA has recognized that a moderate allocation to high-yield bond funds can be suitable for income-oriented conservative investors when the overall portfolio remains predominantly conservative. The recommendation likely does NOT constitute a suitability violation under FINRA Rule 2111. The 20% allocation is within

ranges generally considered reasonable for income enhancement, the fund structure provides diversification, and the advisor performed adequate due diligence at the reasonable-basis, customer-specific, and quantitative levels. However, had this occurred after June 30, 2020, under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor would need to demonstrate consideration of reasonably available alternatives that might achieve the income goal with lower risk, such as investment-grade corporate bond funds or preferred stock funds. Under the legacy suitability standard, the absence of documented alternatives analysis does not create a violation. This is technically compliant under the applicable standard.

Common Wrong Answer

Most LLMs would say this is a violation, reasoning that high-yield/junk bonds are categorically unsuitable for a 71-year-old conservative investor, and would likely apply Reg BI standards (which weren't yet in effect) to find the advisor failed to consider less risky alternatives. They would focus on the mismatch between 'capital preservation' objective and below-investment-grade debt without appreciating the nuances of partial allocation, fund diversification, and the applicable legacy standard.

Why Adversarial

The temporal trap is subtle: most LLMs will assume Reg BI applies because the recommendation was made in 2020, but the compliance date was June 30, 2020, and the recommendation was entered June 3, 2020 - just 27 days before the new standard took effect. Under the old FINRA suitability rule, the advisor's conduct is defensible. Under Reg BI, the lack of alternatives analysis would be more problematic. Additionally, many models reflexively flag any junk bond recommendation to a 71-year-old conservative investor as a violation, ignoring that a 20% allocation through a diversified mutual fund with proper documentation can satisfy suitability requirements.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis suitability (Rule 2111.05(a)), customer-specific suitability (Rule 2111.05(b)), and quantitative suitability (Rule 2111.05(c)). NOT Regulation Best Interest (17 CFR 240.15l-1), which had a compliance date of June 30, 2020, after the recommendation date of June 3, 2020. Also relevant: FINRA Regulatory Notice 12-25 (guidance on suitability for complex products and allocation-based recommendations).

Adversarial Hypothetical 148

Topic: complex_products_unsophisticated_investor | Type: multi_party | Difficulty: expert

Fact Pattern

Roberto Garza, age 44, is a long-haul truck driver earning \$62,000 per year with a high school education, no prior investment experience, and \$145,000 in savings - the entirety of his liquid net worth, accumulated over 15 years. In January 2023, Roberto opened a brokerage account at Meridian Financial Partners. His assigned advisor, Lisa Cheng, spent two meetings with Roberto and determined his goals were long-term growth for retirement, with a moderate risk tolerance. Lisa recommended a straightforward portfolio: 70% broad equity index funds and 30% investment-grade bond index funds. Roberto signed off and the portfolio was implemented. In April 2023, Roberto attended a free dinner seminar hosted by another advisor at the

same firm, Kevin Walsh, who presented on 'Retirement Income Strategies Using Structured Notes.' Kevin described principal-protected notes tied to the S&P 500 with a 6-year maturity, emphasizing the downside protection feature and potential for equity-like returns. Roberto was impressed and the next day called Kevin directly, requesting to move \$95,000 of his \$145,000 into these structured notes. Kevin looked up Roberto's account, saw the moderate risk tolerance designation and the existing diversified portfolio, and concluded the structured notes were a reasonable complement given the principal protection feature. Kevin did not consult with Lisa. Kevin processed the transaction, completing the firm's complex product suitability questionnaire himself based on information in the account file. The questionnaire asked whether the client understood that principal protection only applies at maturity, that early redemption could result in significant losses, that the notes carried the credit risk of the issuing bank, and that returns were capped. Kevin checked 'yes' on all boxes, though he had only explained the principal protection and potential returns to Roberto at the seminar and in a brief 15-minute phone call, never specifically discussing the cap on returns, the issuing bank's credit risk, or the consequences of early liquidation. The notes were issued by a mid-tier European bank. In September 2023, Roberto's truck needed a \$40,000 engine replacement, and he attempted to liquidate the structured notes, receiving only \$78,000 of his \$95,000 investment - a \$17,000 loss - due to the early redemption markdown and unfavorable market conditions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and it involves failures by both Kevin Walsh individually and potentially the firm Meridian Financial Partners, on multiple grounds. First, under Regulation Best Interest (17 CFR 240.15l-1), effective since June 30, 2020, Kevin owed Roberto a best interest obligation at the time of the recommendation. The Care Obligation (Rule 15l-1(a)(2)(ii)(B)) required Kevin to exercise reasonable diligence, care, and skill to understand the structured notes and then have a reasonable basis to believe the recommendation was in Roberto's best interest considering his investment profile. Allocating \$95,000 of \$145,000 (65.5%) of a first-time investor's entire liquid net worth into a single illiquid, 6-year structured product is a concentration violation that fails customer-specific suitability analysis. Second, the Disclosure Obligation under Reg BI was violated: Kevin failed to disclose material features of the product - specifically the cap on returns, issuing bank credit risk, and early redemption consequences. Checking 'yes' on the complex product questionnaire without actually confirming the client's understanding constitutes a falsification of firm records, potentially violating FINRA Rule 4511 (Books and Records) and FINRA Rule 2010 (Standards of Commercial Honor). Third, under FINRA Rule 2111 (which still applies to the suitability analysis framework even post-Reg BI for broker-dealers as supplementary guidance), the customer-specific suitability prong requires that the advisor consider the customer's liquidity needs. Roberto's entire emergency fund was effectively locked up in a 6-year product. Fourth, FINRA Regulatory Notice 12-03 specifically addresses heightened supervision requirements for complex products sold to retail investors and requires that firms ensure customers understand the key features and risks. The firm's supervisory system failed because Kevin processed a major reallocation without coordinating with the assigned advisor Lisa, and the firm apparently had no supervisory mechanism to flag a second advisor at the same firm making a complex product recommendation to another advisor's client. The firm potentially violated FINRA Rule 3110 (Supervision). Kevin's violations are clear; Lisa likely has no liability as she was not involved. The firm bears supervisory responsibility.

Common Wrong Answer

A general LLM would likely identify some violation but get the analysis partially wrong in several ways: (1) It might say the structured notes were unsuitable because they were 'too risky' for a moderate investor, missing that the core problem is concentration and liquidity, not the risk profile of the product itself. (2) It might excuse Kevin because the client initiated the request, applying a 'client-directed' defense that doesn't apply when the advisor made the original recommendation at the seminar. (3) It might fail to identify the questionnaire falsification as a separate violation. (4) It might miss the firm supervisory failures entirely. (5) Some models might incorrectly assign liability to Lisa Cheng for failing to monitor her client's account.

Why Adversarial

This scenario is adversarial for several reasons: (1) The multi-party structure creates confusion about who bears responsibility - many models might focus solely on Kevin or might incorrectly assign blame to Lisa. (2) The 'principal-protected' label makes the notes sound conservative, tempting models to conclude they were suitable for a moderate-risk investor. (3) The client initiated the contact with Kevin after attending the seminar, which creates a 'client direction trap' within the multi-party scenario - models might incorrectly apply the customer-directed trade exception. However, Kevin made the original recommendation at the seminar and then provided a recommendation when he endorsed the trade, so the unsolicited trade defense fails. (4) The complex product questionnaire was completed, which creates an appearance of compliance, but the substantive disclosures were never actually made to the client. (5) Models must recognize that concentration risk in illiquid products is itself a violation regardless of the individual product's risk features.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1) - Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Disclosure Obligation (Rule 15l-1(a)(2)(i)), Compliance Obligation (Rule 15l-1(a)(2)(iv)); FINRA Rule 2111 (Suitability) including customer-specific suitability (Rule 2111.05(b)); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 4511 (General Requirements for Books and Records); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-03 (Complex Products - heightened supervision and suitability requirements); FINRA Regulatory Notice 12-25 (Additional Suitability Guidance).

Adversarial Hypothetical 149

Topic: structured_products_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Holcomb at Pinnacle Capital Group recommended a reverse convertible note linked to the common stock of a major pharmaceutical company to his client, Margaret Yuen, age 58, a recently retired hospital administrator with a \$1.4 million retirement portfolio. Margaret told Derek she wanted 'moderate growth with some income' and that she had a 'moderate' risk tolerance. She stated she could tolerate a 10-15% decline in her portfolio without losing sleep. The reverse convertible had a 14-month maturity, paid a 9.2% annual coupon, and had a knock-in barrier at 70% of the initial stock price. Derek conducted substantial due diligence: he reviewed the issuer's credit rating (A-rated bank), analyzed the underlying pharmaceutical stock's historical volatility (which had been relatively low at approximately 22% annualized over the prior three years), reviewed the product's pricing supplement,

spoke with the structuring desk about the embedded option pricing, and even ran a Monte Carlo simulation suggesting a 12% probability of breaching the knock-in barrier based on historical data. He documented all of this in his file. He allocated \$140,000 (10% of Margaret's portfolio) to this single reverse convertible. The remainder of Margaret's portfolio consisted of a diversified mix of investment-grade bond funds (40%), large-cap equity index funds (35%), and money market funds (15%). Six months after purchase, the pharmaceutical company announced a failed Phase III clinical trial, and the stock dropped 42% in two weeks, breaching the knock-in barrier. At maturity, Margaret received shares worth approximately \$84,000, a loss of \$56,000 on principal (40%), partially offset by coupon payments of approximately \$10,700. Margaret filed a complaint alleging the product was unsuitable for her retirement account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the advisor's thorough due diligence. The analysis must consider three levels of suitability under FINRA Rule 2111: reasonable-basis, customer-specific, and quantitative suitability. While Derek arguably satisfied reasonable-basis suitability by conducting extensive product-level research, he failed customer-specific suitability. Reverse convertible notes are complex structured products that expose the investor to full downside equity risk in exchange for enhanced coupon income - the risk/return profile is fundamentally asymmetric (limited upside, substantial downside). For a 58-year-old recent retiree whose stated tolerance was a 10-15% portfolio decline, concentrating 10% of her portfolio in a single-stock-linked product that could (and did) lose 40%+ of principal creates a scenario where this single position alone could cause a 4%+ portfolio loss - approaching her stated discomfort threshold from one holding. More critically, FINRA Regulatory Notices 12-03 and 09-73 specifically address heightened suitability concerns for complex products like reverse convertibles, emphasizing that the complexity of these instruments requires that firms ensure customers understand the risks, including that they bear the full downside of the reference stock. The product is particularly unsuitable for retirement assets where capital preservation is paramount, as noted in FINRA's guidance on structured products in retirement accounts. Additionally, the single-name concentration risk (tied to one pharmaceutical stock subject to binary event risk from clinical trials) is inconsistent with Margaret's moderate risk profile. Derek's Monte Carlo simulation, while commendable in effort, actually demonstrates the problem: even his own analysis showed a 12% probability of significant loss - far from negligible for a retiree's capital. Under Reg BI's Care Obligation (17 CFR 240.15l-1), which was fully effective by this time, the advisor must exercise reasonable diligence, care, and skill to ensure the recommendation is in the retail customer's best interest, considering the investment's risks and rewards and the customer's investment profile. Retirement status, age, and moderate risk tolerance all weigh against this recommendation.

Common Wrong Answer

No violation - the advisor conducted extensive due diligence including Monte Carlo simulations, allocated only 10% of the portfolio (a reasonable position size), the product was issued by an A-rated bank, and the loss was caused by an unforeseeable clinical trial failure. The advisor satisfied his research obligations and the allocation was prudent.

Why Adversarial

This scenario is adversarial because the advisor did extensive, well-documented due diligence - Monte Carlo simulations, issuer credit analysis, volatility review, and conversations with the structuring desk. A

general LLM is likely to conclude that this level of research satisfies suitability requirements, confusing reasonable-basis suitability (product-level) with customer-specific suitability (appropriateness for this particular client). The trap is that thorough product research does not cure a customer-specific suitability failure. Many LLMs would also focus on the 10% allocation as 'reasonable diversification' without recognizing that single-name structured product risk in a retirement account is qualitatively different from diversified equity exposure.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative components; FINRA Regulatory Notice 12-03 (Know Your Customer and Suitability, heightened obligations for complex products); FINRA Regulatory Notice 09-73 (Structured Products guidance); Regulation Best Interest (17 CFR 240.15l-1) Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 150

Topic: reverse_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

In January 2021, broker-dealer representative Carla Simms recommended that her long-standing client, Thomas Engel, age 67, transfer his \$620,000 brokerage account to a fee-based advisory account at the same firm, Beacon Wealth Partners. The advisory account charged an annual asset-based fee of 1.25% (\$7,750 per year). Carla explained that this would give Thomas 'ongoing portfolio monitoring, quarterly rebalancing, and access to our research platform.' Thomas, a retired engineer, agreed. Over the next 30 months (January 2021 through June 2023), the account activity was as follows: In 2021, Carla executed 6 trades - a modest rebalance in March and December, selling two equity positions and buying two replacement ETFs. In 2022, she executed 4 trades - replacing one bond fund in April and making minor tax-loss harvesting adjustments in October. In the first half of 2023, she made 2 trades - one small rebalancing trade in February and one dividend reinvestment adjustment. Total advisory fees collected over the 30-month period were approximately \$19,800. Carla did, however, hold quarterly phone calls with Thomas lasting 15-30 minutes each (10 total calls), sent him monthly performance reports, and twice adjusted his allocation model in response to his questions about inflation risk. Thomas's prior brokerage account had historically generated approximately \$3,200 per year in commissions based on 10-14 trades annually (he was a moderately active investor who liked to make periodic adjustments based on market conditions). Thomas did not complain; in fact, he appreciated the reduced trading and quarterly calls. However, a compliance examiner flagged the account during a routine review, noting the low trading frequency versus the advisory fee.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a borderline case that likely constitutes a violation, though it requires careful analysis. Reverse churning occurs when a client is placed in a fee-based advisory account but receives little or no advisory services to justify the ongoing fee relative to what they would have paid in a commission-based account.

Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), when recommending an account type, the broker-dealer must consider reasonably available alternatives and ensure the recommendation is in the customer's best interest, including evaluating costs. The quantitative analysis is revealing: Thomas paid approximately \$19,800 in advisory fees over 30 months versus an estimated \$8,000 he would have paid in commissions over the same period in his prior brokerage account (extrapolating his \$3,200/year historical rate). This means the fee-based account cost roughly 2.5 times what the commission account would have cost. His trading frequency dropped from 10-14 trades per year to approximately 4.8 trades per year, which actually reduced the services he was receiving in one dimension. However, the analysis is complicated by the advisory services provided: quarterly calls, monthly reports, allocation adjustments, and ongoing monitoring. The critical question is whether these services - which are real but relatively modest - justify the \$11,800 incremental cost over 30 months. Under the SEC's guidance on Reg BI and the Form CRS requirement to consider account-type recommendations, the cost differential is significant enough that Carla had an obligation to evaluate whether the commission-based structure remained more cost-effective. The fact that Thomas was historically a moderately active trader who reduced his activity after moving to the advisory account further suggests the fee-based model was not aligned with his actual behavior. The SEC staff has noted that account-type recommendations are subject to the full Reg BI framework. While the services were not zero (distinguishing this from classic reverse churning where the account is completely neglected), the cost-benefit analysis weighs against the recommendation. This constitutes a subtle violation - the advisor provided some services, but the economic analysis shows the client was materially disadvantaged by the account-type switch.

Common Wrong Answer

No violation - Carla provided genuine advisory services including quarterly calls, monthly reports, portfolio monitoring, rebalancing, and allocation adjustments in response to client concerns. The account was not neglected, the client was satisfied with the arrangement, and reverse churning requires a near-complete absence of advisory services, which is not the case here.

Why Adversarial

This is a threshold trap because it requires the LLM to perform a specific quantitative cost comparison and weigh it against qualitative services provided. The scenario is deliberately designed to be borderline: the advisor DID provide real advisory services (quarterly calls, monitoring, allocation adjustments, monthly reports), the client was satisfied, and the account was not neglected. A general LLM will likely focus on the fact that services were provided and the client didn't complain, concluding there was no reverse churning. The trap is that reverse churning analysis is fundamentally a cost-benefit comparison of account types, and the 2.5x cost differential is difficult to justify with quarterly phone calls and monthly reports. Additionally, LLMs often don't know that account-type recommendations are specifically covered under Reg BI's Care Obligation, and that client satisfaction does not cure a best-interest violation.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1) - Care Obligation, specifically regarding account-type recommendations; SEC Reg BI Adopting Release (Release No. 34-86031) discussing account-type considerations; FINRA Rule 2111 (Suitability) as applied to account-type recommendations; FINRA Regulatory Notice 13-45 (discussing fee-based accounts and reverse churning); FINRA Rule 3110 (Supervision, relevant to the compliance review that flagged the account)

Adversarial Hypothetical 151*Topic: margin_unsuitable | Type: client_direction_trap | Difficulty: expert*

Fact Pattern

Gerald Whitmore, age 71, retired airline pilot with a \$2.1 million portfolio consisting of blue-chip dividend stocks, municipal bonds, and a money market fund. His risk tolerance was marked 'moderate' on his new account form completed in January 2022. Gerald had 40 years of investing experience, had previously held a Series 7 license early in his career before becoming a pilot, and had used margin accounts at two prior brokerage firms over the past 15 years. In March 2023, Gerald contacted his financial advisor, Patricia Langston, at Meridian Wealth Services and explicitly requested that his account be converted to a margin account. He stated in a recorded phone call: 'I want to lever up on some utility stocks yielding 5%. I've done this dozens of times before. I understand the risks completely. I'll keep my margin usage under 30% of portfolio value.' Patricia reviewed his account, noted his extensive experience with margin, confirmed his net worth of \$3.8 million (including a paid-off home worth \$1.2 million and a pension paying \$96,000 annually), and approved the margin conversion. Over the next four months, Gerald purchased \$580,000 worth of utility stocks on margin, bringing his total margin debit to \$580,000 against a portfolio now valued at approximately \$2.7 million (roughly 21% margin-to-equity ratio). The utility stocks he purchased had an average beta of 0.55 and average dividend yield of 4.8%. In October 2023, rising interest rates caused the utility sector to decline 12%, and Gerald received a margin call of \$45,000, which he met within 24 hours by wiring funds from his bank account. He subsequently reduced his margin balance to \$400,000. Gerald never complained, but his daughter, who held power of attorney, filed a complaint in December 2023 alleging that margin was unsuitable for a 71-year-old retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is likely NOT a violation, though the analysis is nuanced. Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis (general suitability), customer-specific suitability, and quantitative suitability. For customer-specific suitability, the key factors include the customer's age, investment experience, financial situation, risk tolerance, liquidity needs, and investment objectives. While Gerald's age (71) is a factor that warrants heightened scrutiny, age alone is not determinative. Several factors support the suitability of the margin strategy: (1) Gerald had extensive prior experience with margin accounts at multiple firms and even held a Series 7 license, satisfying the investment experience factor; (2) his total net worth of \$3.8 million plus \$96,000 annual pension income provides substantial financial cushion; (3) his margin usage was conservative at 21% of portfolio value, well below the 50% Regulation T initial margin limit; (4) the securities purchased were low-beta utility stocks, not speculative instruments; (5) he demonstrated his ability to meet margin calls promptly. Under FINRA Regulatory Notice 12-25, which provides guidance on suitability, an advisor may rely on a customer's stated investment profile, including risk tolerance and experience. The fact that the customer directed the strategy does not relieve the advisor of suitability obligations (the customer cannot waive suitability), but the customer's sophistication, experience, and financial capacity are legitimate suitability factors. Patricia conducted a review before approving the margin conversion. The moderate risk tolerance is the closest concern, but moderate does not preclude conservative margin usage on low-volatility securities. Under Reg BI (for recommendations

made after June 30, 2020), if applicable, the Care Obligation under Rule 15l-1(a)(2)(ii) requires the advisor to exercise reasonable diligence, care, and skill, but again the totality of circumstances supports this recommendation.

Common Wrong Answer

Yes, this is a violation because margin is unsuitable for a 71-year-old retiree with moderate risk tolerance. The advisor should have refused the client's request regardless of his experience, as margin exposes a retiree to risks of losing more than his principal and potential margin calls that could force liquidation of retirement assets.

Why Adversarial

A general LLM would likely fixate on the customer's age (71, retired) and automatically conclude that margin is unsuitable for elderly retirees. The trap is the client direction element - the client explicitly requested margin and had deep experience - combined with the daughter filing the complaint rather than the client. Models tend to treat 'elderly + margin = violation' as a bright-line rule, but suitability is a facts-and-circumstances analysis. The conservative margin usage (21%), low-beta securities, substantial net worth, pension income, and decades of margin experience all weigh against a finding of unsuitability. The daughter's POA complaint adds emotional weight but doesn't change the substantive analysis.

Applicable Standard

FINRA Rule 2111 (Suitability), including .01-.07 supplementary material; FINRA Regulatory Notice 12-25 (Additional Guidance on FINRA's New Suitability Rule); FINRA Rule 2264 (Margin Disclosure Statement); Regulation T (12 CFR 220); SEC Regulation Best Interest, Rule 15l-1 under the Securities Exchange Act of 1934 (Care Obligation); FINRA Regulatory Notice 11-02 (Know Your Customer and Suitability)

Adversarial Hypothetical 152

Topic: *annuity_unnecessary_switching* | Type: *subtle_violation* | Difficulty: *expert*

Fact Pattern

Helen Drummond, age 62, a recently retired school administrator, held a variable annuity issued by National Guaranty Life with a current account value of \$340,000. She had owned the annuity for 9 years. The surrender charge period had fully expired two years ago, and the annuity carried an annual mortality and expense (M&E) charge of 1.45% plus an administrative fee of 0.15% and average underlying sub-account expenses of 0.82%, for total annual costs of approximately 2.42%. The annuity offered a guaranteed minimum withdrawal benefit (GMWB) rider that Helen had been paying 0.95% annually for since purchase, guaranteeing her 5% annual withdrawals on a benefit base of \$385,000 (higher than account value due to step-ups). Her financial advisor, Marcus Tilley, at Broadstone Financial Group, recommended in August 2023 that Helen exchange her existing annuity into a new variable annuity issued by Pacific Horizon Life. Marcus documented the following justification in his file: the new annuity had a lower M&E charge of 1.10%, lower administrative fees of 0.10%, and similar sub-account options averaging 0.78% in expenses, for total annual costs of approximately 1.98% - a savings of 0.44% annually. The new annuity had no surrender charges due to a promotional period, and offered an 'enhanced' GMWB rider at 1.05% annually guaranteeing 5.5% withdrawals on whatever the account value was at issue (which would

be \$340,000, since the exchange would be at current account value). Marcus's comparison worksheet showed the annual cost savings prominently. Helen signed the exchange paperwork. Marcus received a commission of \$17,000 (5% of the \$340,000 value) on the new annuity, whereas he would have received no compensation for keeping Helen in her existing contract. What Marcus's file did not address: by exchanging, Helen lost her existing GMWB benefit base of \$385,000. Under her old contract, her guaranteed annual withdrawal was \$19,250 (5% × \$385,000). Under the new contract, her guaranteed annual withdrawal would be \$18,700 (5.5% × \$340,000) - actually \$550 less per year. Additionally, the new GMWB rider cost 0.10% more annually (\$340 more per year), and the new annuity imposed a 7-year surrender schedule of 7%, 6%, 5%, 4%, 3%, 2%, 1% that would begin after the promotional period ended in 6 months.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Under FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), when recommending an exchange of a variable annuity, the registered representative must consider whether the customer would be subject to a new surrender period, whether the customer would lose existing benefits (such as death benefits or living benefits), whether the customer would benefit from product enhancements and improvements, and whether the customer has had another exchange within the preceding 36 months. Marcus's recommendation fails on multiple grounds. First, the exchange caused Helen to lose her stepped-up GMWB benefit base of \$385,000, resetting it to \$340,000 - a \$45,000 reduction in the guaranteed withdrawal base. Despite the higher withdrawal percentage (5.5% vs. 5%), the actual guaranteed annual income decreased by \$550 per year. Second, Helen would be subject to a new 7-year surrender charge schedule after the promotional period, restricting her liquidity as a 62-year-old retiree who may need access to funds. Third, the new GMWB rider costs more (1.05% vs. 0.95%), partially offsetting the lower M&E savings. When the rider cost differential is included, the true annual cost savings is only approximately 0.34%, not the 0.44% Marcus highlighted. Fourth, under the Care Obligation of Regulation Best Interest (Rule 15l-1), the advisor must consider reasonably available alternatives and not place his own interest ahead of the customer's. The \$17,000 commission creates a clear conflict that was not adequately addressed. The selective presentation of cost comparisons - highlighting M&E savings while omitting the GMWB benefit base loss and the new surrender charges - constitutes a failure to conduct a fair and balanced analysis as required by FINRA Rule 2330(b), which mandates a principal review the exchange and determine it is suitable. Additionally, FINRA Regulatory Notice 10-05 emphasizes that switches should not be recommended unless there is a substantial, demonstrable net benefit to the customer, and the loss of a living benefit with a higher benefit base is specifically identified as a key consideration.

Common Wrong Answer

No violation, because the advisor documented legitimate cost savings of 0.44% annually, the old annuity's surrender charges had expired making the exchange frictionless, and the new annuity offered a higher guaranteed withdrawal rate of 5.5% compared to 5%. The advisor conducted a cost comparison and the exchange was at the client's benefit.

Why Adversarial

This scenario is designed to appear compliant on the surface because the advisor documented a legitimate

cost comparison showing lower annual expenses in the new annuity, the old surrender period had expired, and the new annuity's withdrawal percentage is nominally higher (5.5% vs. 5%). A general LLM would likely focus on these surface-level improvements and conclude the switch was justified. The hidden deficiency requires the model to perform specific arithmetic: calculate the actual guaranteed dollar withdrawal under both contracts and recognize that the higher percentage applied to a lower base produces less income. The model must also recognize the significance of losing a stepped-up benefit base, the new surrender charges hidden behind a promotional period, the higher rider cost, and the commission motivation. Most LLMs would not spontaneously perform the \$19,250 vs. \$18,700 comparison or recognize the post-promotional surrender schedule trap.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), particularly subsections (a)(1)(A)-(F) and (b)(1); FINRA Regulatory Notice 10-05 (Deferred Variable Annuities); SEC Regulation Best Interest, Rule 15l-1(a)(2)(ii)(A)-(C) (Care Obligation) under the Securities Exchange Act of 1934; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision, regarding principal review of exchanges)

Adversarial Hypothetical 153

Topic: *illiquid_real_estate_investment* | Type: *multi_party* | Difficulty: *expert*

Fact Pattern

Margaret Olsen, age 72, is a retired school librarian with a \$680,000 portfolio split across two brokerage firms. At Firm A, she has \$380,000 managed by advisor Derek Huang, consisting mostly of investment-grade bonds and a balanced mutual fund. At Firm B, she has \$300,000 managed by advisor Priya Ramirez, consisting of dividend-paying equities and a money market fund. Margaret's stated objectives at both firms are income generation and capital preservation, with a moderate risk tolerance. Her annual pension income is \$38,000 and she draws \$18,000 per year from her portfolio for living expenses. In March 2024, Priya Ramirez at Firm B recommended that Margaret invest \$145,000 - roughly 48% of her Firm B account - into a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT had a 7-year lockup period, paid a 6.5% distribution, and carried a minimum investment of \$25,000. Priya conducted a suitability analysis that focused solely on the Firm B account: she noted that after the \$145,000 investment, Margaret would still have \$155,000 in liquid assets at Firm B, which she deemed sufficient. Priya was aware that Margaret had another account at Firm A but did not inquire into its composition or liquidity, reasoning that she had no duty to analyze accounts she did not manage. Margaret signed all disclosure documents, including one noting the illiquid nature of the investment and the lockup period. The REIT's offering documents disclosed that early redemption was only available after 2 years and subject to a 5% penalty, with quarterly redemption windows limited to 5% of outstanding shares. Margaret's total liquid net worth outside of her portfolio is approximately \$45,000 in a savings account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Priya Ramirez violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability) and its supplementary material, specifically FINRA Rule 2111.05(a), a broker must consider a customer's overall financial situation and needs, not just the assets held at the recommending firm. The 'customer-specific suitability' obligation requires analysis of the customer's investment profile as a whole, including age, financial situation, liquidity needs, risk tolerance, and other investments. Priya's decision to silo her analysis to only the Firm B account was a direct violation of this obligation. Additionally, under Regulation Best Interest (Reg BI), specifically the Care Obligation in Rule 15l-1(a)(2)(ii)(B), a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with the recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. The investment profile under Reg BI includes the customer's total financial situation. Even considering Margaret's full portfolio (\$680,000 + \$45,000 savings = \$725,000 total), the \$145,000 illiquid REIT investment represents approximately 20% of her total assets locked up for 7 years for a 72-year-old retiree who depends on portfolio withdrawals. With her age, the lockup period extends to age 79 - a period when liquidity needs typically increase due to healthcare costs. Furthermore, FINRA Regulatory Notice 15-02 specifically addresses due diligence requirements for non-traded REITs and notes that concentration in illiquid products must be evaluated against the customer's complete financial picture. Many states also impose concentration limits of 10% of net worth for non-traded REITs, and even under the most generous calculation, this investment is at or near such thresholds. The fact that Margaret signed disclosure documents does not cure the suitability deficiency - customer consent does not relieve an advisor of suitability obligations under FINRA Rule 2111 or the care obligation under Reg BI.

Common Wrong Answer

No violation - Priya reasonably analyzed the Firm B account, Margaret still had \$155,000 in liquid assets at Firm B plus \$380,000 at Firm A and \$45,000 in savings, and Margaret signed all disclosure documents acknowledging the illiquid nature and lockup period. The advisor had no duty to investigate accounts held at another firm.

Why Adversarial

This scenario creates multiple traps. First, the multi-party structure tempts the model to agree with Priya's reasoning that she only needs to evaluate her own account's suitability - a common misconception. Second, the account-level analysis at Firm B appears facially reasonable (48% of one account is aggressive but Margaret still has \$155,000 liquid there). Third, Margaret signed all disclosures, which many models incorrectly treat as curing suitability issues. Fourth, the overall portfolio-level concentration (~20%) seems more defensible than the account-level concentration (~48%), creating ambiguity about whether this is truly a violation. A general LLM must know that suitability is measured at the customer level, not the account level, and that disclosure/consent does not substitute for suitability analysis.

Applicable Standard

FINRA Rule 2111 (Suitability), FINRA Rule 2111.05(a) (Supplementary Material - Customer-Specific Suitability), Regulation Best Interest (17 CFR § 240.15l-1), Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)), FINRA Regulatory Notice 15-02 (Non-Traded REITs Due Diligence), NASAA Guidelines on Non-Traded REITs (state-level concentration limits)

Adversarial Hypothetical 154*Topic: bond_duration_mismatch | Type: reasonable_basis_trap | Difficulty: expert*

Fact Pattern

Thomas Whitfield, age 63, plans to retire in exactly 2 years and told his financial advisor, Carolyn Meeks, that he needed to reposition \$500,000 from equity holdings into fixed-income investments. Thomas explained that upon retirement he would need to begin drawing \$40,000 per year from this portfolio to supplement his Social Security income, starting in year 3. He described himself as conservative and said he wanted 'safe bonds that pay good income.' Thomas has no other significant liquid assets beyond a \$60,000 emergency fund and his home. In January 2024, Carolyn conducted extensive research on the fixed-income market. She noted that the yield curve was inverted, with 2-year Treasury yields at approximately 4.6% and 30-year Treasury yields at approximately 4.1%. She also reviewed several research reports from her firm's fixed-income desk predicting that the Federal Reserve would begin cutting rates within 12-18 months. Based on this analysis, Carolyn recommended that Thomas invest the entire \$500,000 into a portfolio of long-duration investment-grade corporate bonds with an average duration of 18.5 years and an average yield of 5.4%. Her written rationale stated: (1) the higher yield versus shorter-duration bonds would maximize Thomas's income; (2) when rates declined as predicted, the long-duration bonds would appreciate significantly in price, boosting Thomas's total return; (3) the bonds were all investment-grade rated (BBB+ to A-), satisfying the 'safe' criterion; and (4) if Thomas needed to sell bonds for his \$40,000 annual withdrawal, the anticipated price appreciation would more than offset any transaction costs. Carolyn documented her research thoroughly in the client file, including printouts of 14 analyst reports, yield curve data, and a Monte Carlo simulation showing favorable outcomes under rate-cut scenarios. She did not, however, model scenarios where rates remained elevated or increased further. Thomas approved the strategy after Carolyn presented it.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Carolyn Meeks violated applicable suitability and best interest standards despite her extensive research. Under FINRA Rule 2111, there are three suitability obligations: reasonable-basis, customer-specific, and quantitative. Carolyn arguably satisfied the reasonable-basis obligation in part by conducting substantial research, but she critically failed in two respects. First, her reasonable-basis analysis was fatally one-sided - she modeled only rate-cut scenarios and failed to stress-test against scenarios where rates stayed flat or rose. Under FINRA Rule 2111.05(a) and Regulation Best Interest's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)(B)), the advisor must understand the 'potential risks' of the recommendation, not merely the potential rewards. A duration of 18.5 years means that for every 100 basis point increase in rates, the portfolio would lose approximately 18.5% of its value - roughly \$92,500 - which would be catastrophic for a near-retiree with a 2-year horizon and no other liquid assets. Second, and more fundamentally, she failed the customer-specific suitability prong. Thomas needed to begin systematic withdrawals in 2 years. A portfolio with 18.5-year average duration is wildly mismatched with a 2-year time horizon for initial liquidity needs. If rates did not decline - or worse, increased - Thomas would be forced to sell depreciated bonds to fund his \$40,000 annual withdrawals, locking in losses. Proper liability-driven investing principles and basic suitability analysis require matching bond duration approximately to the

client's time horizon and cash flow needs. A laddered portfolio with durations of 1-7 years would have been appropriate. Under Reg BI's Care Obligation, the recommendation must be in the customer's best interest considering the customer's investment profile, which includes time horizon and liquidity needs. A speculative bet on rate direction with the client's entire retirement income portfolio, where the client has no fallback liquidity, does not meet this standard regardless of how well-documented the rate prediction research was. Client approval does not cure the deficiency under either FINRA Rule 2111 or Reg BI.

Common Wrong Answer

No violation - Carolyn conducted extensive research including 14 analyst reports and Monte Carlo simulations, documented her rationale thoroughly, recommended investment-grade bonds consistent with Thomas's request for 'safe bonds that pay good income,' and Thomas approved the strategy. The recommendation had a reasonable basis supported by market analysis and the firm's research desk predictions.

Why Adversarial

This is a 'reasonable_basis_trap' because the advisor conducted genuinely extensive, well-documented research - 14 analyst reports, yield curve data, Monte Carlo simulations, and a written rationale. Most general-purpose LLMs equate thorough documentation and research with compliance, especially when the client approved. The trap is that reasonable-basis suitability is necessary but not sufficient - customer-specific suitability must also be met, and it clearly is not here. The duration mismatch (18.5 years vs. 2-year liquidity horizon) is a classic violation that requires understanding of bond duration mechanics and liability-driven investing principles. Additionally, the advisor's research was one-sided (only modeled favorable scenarios), which itself undermines the reasonable-basis prong. The inverted yield curve detail is a red herring that makes the long-duration bet seem more intellectually justified, further tempting the model to find no violation.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three obligations (reasonable-basis, customer-specific, quantitative), FINRA Rule 2111.05(a) (Supplementary Material on investment profile components including time horizon and liquidity needs), Regulation Best Interest (17 CFR § 240.15l-1), Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)), FINRA Regulatory Notice 12-25 (Additional Guidance on Suitability), FINRA Regulatory Notice 11-02 (Know Your Customer and Suitability)

Adversarial Hypothetical 155

Topic: lack_of_diversification | Type: client_direction_trap | Difficulty: expert

Fact Pattern

Margaret Yuen, age 71, retired schoolteacher, had a \$1.2 million IRA account with broker-dealer Ridgeline Financial Partners. Her risk tolerance on file was 'moderate,' her investment objective was 'income with capital preservation,' and her annual income from Social Security and a small pension totaled \$38,000. In March 2022, Margaret attended a presentation by her financial advisor, Derek Solis, about the growth potential of semiconductor stocks. Margaret became enthusiastic and over the next three months sent Derek four separate written emails explicitly directing him to purchase shares in five different semiconductor

companies: NVIDIA, AMD, Taiwan Semiconductor, Qualcomm, and Broadcom. Each email stated: 'I understand the risks and want to proceed with this purchase.' By September 2022, 73% of her IRA was concentrated in these five semiconductor stocks. Derek documented each email, noted the unsolicited nature of the requests in his order tickets, and marked every trade as 'unsolicited.' He did not, however, ever send Margaret a written communication explaining that concentrating 73% of her retirement assets in a single sector conflicted with her stated objectives of income and capital preservation, nor did he contact his compliance department or attempt to update her investment profile. He also never recommended she consider any alternatives or discussed the consequences of sector concentration for a retiree dependent on portfolio income. When semiconductor stocks declined 28% in late 2022, Margaret's portfolio lost approximately \$251,000. She filed a complaint alleging the advisor failed to protect her from an unsuitable concentration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek Solis violated applicable suitability requirements despite the trades being unsolicited. Under FINRA Rule 2111 (Suitability), while the rule primarily applies to 'recommended' transactions, FINRA has consistently held that a broker cannot hide behind 'unsolicited' designations when the broker has an ongoing duty to manage or monitor an account, and particularly when the cumulative effect of multiple transactions creates an overall investment strategy that is unsuitable. FINRA Rule 2111.05(c) specifically addresses 'quantitative suitability' and implicit strategies. More critically, FINRA Regulatory Notice 12-25 clarifies that a series of unsolicited trades can constitute a de facto recommended 'investment strategy' subject to suitability obligations. Here, Derek allowed Margaret - a 71-year-old moderate-risk retiree seeking income and capital preservation - to concentrate 73% of her retirement account in a single volatile sector without any meaningful discussion of the risks, without attempting to update her profile, and without escalating to compliance. Under the customer-specific suitability obligation (Rule 2111(a)), even if individual trades were unsolicited, the overall portfolio strategy resulting from these trades was plainly inconsistent with her documented profile. Additionally, under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)(B)), which was in effect by June 2020, broker-dealers must exercise reasonable diligence, care, and skill when making recommendations or in connection with investment strategies involving securities - including not placing the financial interest of the broker ahead of the customer. Derek's failure to provide any cautionary guidance, escalate concerns, or document any analysis of the suitability of the resulting concentrated portfolio constitutes a violation. The 'unsolicited' labels on order tickets do not immunize the broker from the duty to act in the customer's best interest when the cumulative result is a de facto strategy.

Common Wrong Answer

No violation. The advisor properly documented that all trades were unsolicited and client-directed. Margaret was an adult who made her own investment decisions, sent written instructions, and acknowledged the risks. The advisor had no duty to override or refuse a client's explicit instructions for unsolicited trades, and the 'unsolicited' designation means suitability obligations did not apply.

Why Adversarial

This is adversarial because many AI models will focus on the fact that all trades were unsolicited with written client direction, and conclude that the advisor had no obligation because the customer initiated the trades. The trap is that most models don't know that a series of unsolicited trades creating a de facto

investment strategy triggers suitability obligations under FINRA's interpretive guidance, and that the 'unsolicited' defense has significant limits when the overall portfolio becomes grossly inconsistent with documented client objectives. Models also tend to over-weight client autonomy and written consent as a complete defense.

Applicable Standard

FINRA Rule 2111 (Suitability), including supplementary material .05(c) regarding investment strategies; FINRA Regulatory Notice 12-25 (FAQ on Suitability); Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation under Rule 15l-1(a)(2)(ii)(B); FINRA Rule 3110 (Supervision) regarding supervisory obligations to detect patterns of unsuitable concentration.

Adversarial Hypothetical 156

Topic: excessive_load_funds | Type: threshold_trap | Difficulty: expert

Fact Pattern

In January 2023, financial advisor Patricia Reeves at Cornerstone Wealth Services recommended that her client, Terrence Abbot, invest \$245,000 in a diversified portfolio of mutual funds. Terrence was 55 years old, a mid-level corporate manager earning \$140,000 annually, with moderate risk tolerance and a 10-year investment horizon for retirement. Patricia recommended the following allocation across Class A shares: \$80,000 in the Pinnacle Growth Fund (5.25% front-end load), \$65,000 in the Meridian Balanced Fund (4.50% front-end load), \$50,000 in the Crestview International Fund (5.75% front-end load), and \$50,000 in the Oakridge Bond Fund (3.75% front-end load). All four funds were within the same fund family - Pinnacle Investments. The fund family offered breakpoints at \$250,000, where the front-end load across all four funds would have been reduced to 3.50%. Patricia did not inform Terrence of the breakpoint schedule, nor did she mention that investing an additional \$5,000 - for a total of \$250,000 - would have qualified him for the breakpoint discount across the entire investment, saving him approximately \$3,680 in total sales charges. Patricia also did not discuss the availability of Class T shares (with a 2.50% load and higher ongoing expenses), institutional shares available through the firm's advisory platform, or the existence of a rights of accumulation program that could combine Terrence's existing \$12,000 held in another Pinnacle Investments fund at the same firm. If the existing \$12,000 holding had been counted, Terrence would have already exceeded the \$250,000 breakpoint with his \$245,000 investment. Patricia earned a commission of approximately \$11,588 on the trades. Her firm's product shelf included over 300 mutual funds from 40 fund families, including numerous no-load and low-load alternatives with comparable performance histories and Morningstar ratings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Patricia Reeves violated applicable standards on multiple grounds. First, under FINRA Rule 2341 (Investment Company Securities) and NASD Rule 2830, broker-dealers and their associated persons are required to inform customers of the availability of breakpoint discounts. FINRA has issued extensive guidance (including Joint FINRA/SEC/ICI Report on Breakpoint Discounts, 2003, and Regulatory Notice

12-26) emphasizing that failure to apply or disclose breakpoints constitutes a violation. Here, Terrence was \$5,000 short of a \$250,000 breakpoint, and Patricia neither disclosed this nor suggested he invest the additional amount. Worse, Terrence already had \$12,000 in another Pinnacle Investments fund at the same firm, which under rights of accumulation (ROA) provisions - standard in virtually all fund families - would have pushed his total well past the \$250,000 threshold automatically. Patricia's failure to apply ROA and failure to disclose the breakpoint is a clear violation. Second, under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must consider reasonably available alternatives. Patricia did not discuss no-load or low-load alternatives, institutional shares, or different share classes. The fact that her firm had over 300 funds including comparable no-load options with similar performance makes this failure particularly egregious. Third, under Reg BI's Disclosure Obligation, material facts about costs - including the existence of breakpoints and rights of accumulation - must be disclosed. The approximately \$3,680 in excess charges that could have been avoided represents a material cost impact. This is a violation of both the breakpoint disclosure requirements and the broader best interest standard.

Common Wrong Answer

No violation. Patricia recommended a diversified portfolio of Class A mutual fund shares with standard industry loads ranging from 3.75% to 5.75%. These loads are within normal ranges, the funds were all from the same family showing consistency, and the overall portfolio was appropriately diversified for a moderate-risk 55-year-old investor with a 10-year horizon. Class A shares are generally appropriate for longer-term investors because their lower ongoing expenses offset the upfront load over time.

Why Adversarial

This scenario is adversarial because on the surface, Patricia recommended a diversified allocation of Class A shares within a single fund family - which appears reasonable and even prudent. The loads charged (3.75%-5.75%) are within standard industry ranges for Class A shares, and no single load appears 'excessive' in isolation. A general-purpose AI model is likely to focus on whether the load percentages themselves are unreasonable rather than identifying the critical breakpoint and rights of accumulation failures. The threshold trap is particularly subtle: the investment amount (\$245,000) is tantalizingly close to the \$250,000 breakpoint, and the existing \$12,000 holding - which would have automatically triggered the breakpoint through ROA - requires specific knowledge of how rights of accumulation work. Most models won't catch both the near-miss breakpoint AND the ROA issue simultaneously.

Applicable Standard

FINRA Rule 2341 (Investment Company Securities); NASD Rule 2830 (Investment Company Securities); Joint FINRA/SEC/ICI Report on Mutual Fund Breakpoints (2003); FINRA Regulatory Notice 12-26; Regulation Best Interest (17 CFR 240.15l-1), including Care Obligation (Rule 15l-1(a)(2)(ii)(B)) and Disclosure Obligation (Rule 15l-1(a)(2)(i)); FINRA Rule 2111 (Suitability); FINRA Rules 2010 (Standards of Commercial Honor) and 3110 (Supervision).

Adversarial Hypothetical 157

Topic: *reverse_churning* | Type: *threshold_trap* | Difficulty: *expert*

Fact Pattern

Margaret Holloway, age 72, retired schoolteacher with a \$340,000 portfolio consisting entirely of U.S. Treasury bonds and a single blue-chip dividend stock (Johnson & Johnson), approached her longtime broker David Kessler in January 2020. David had serviced Margaret's brokerage account for 11 years. In that time, Margaret made perhaps one or two trades per year - typically reinvesting maturing Treasury bonds into new ones. Margaret's risk tolerance was conservative, her investment objective was income preservation, and she had no interest in active trading. In February 2020, David's firm launched a new fee-based advisory platform and David was given strong internal incentives - a 15% compensation bump - to migrate existing brokerage clients into the advisory program. David called Margaret and explained that the advisory program would give her 'ongoing professional monitoring' and 'comprehensive portfolio oversight.' He enrolled her in the firm's wrap account program at an annual fee of 1.35% of assets under management, which came to approximately \$4,590 per year. Over the next 30 months (through July 2022), David made zero trades in Margaret's account. He conducted two brief annual review phone calls lasting approximately 10 minutes each. The Treasury bonds matured and the proceeds sat in a money market sweep account earning 0.01% for seven months before Margaret herself called to ask about reinvesting. Margaret's prior brokerage commissions had averaged \$185 per year over the preceding five years. During the 30-month period in the wrap account, Margaret paid approximately \$11,475 in advisory fees. David's firm's compliance department had a threshold flag that triggered a review when a fee-based account had fewer than four trades per year AND the annual fee exceeded \$5,000, but Margaret's account was reviewed and marked 'compliant' because the compliance reviewer noted that David had 'access to the firm's research platform on behalf of the client' and 'monitored the portfolio quarterly,' though no documentation of quarterly monitoring existed beyond automated system-generated account statements.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. David Kessler engaged in classic reverse churning by moving a buy-and-hold client into a fee-based advisory account where the ongoing asset-based fees were grossly disproportionate to the services provided. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, as well as Regulation Best Interest (Reg BI) under the Exchange Act Rule 15l-1 (applicable for recommendations after June 30, 2020), the recommendation to switch Margaret from a commission-based brokerage account to a fee-based advisory account must have a reasonable basis and must be in the client's best interest. The Care Obligation under Reg BI (17 CFR 240.15l-1(a)(2)(ii)) requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, including evaluating the costs of the recommendation. Margaret's historical trading pattern (~\$185/year in commissions) versus the new fee structure (~\$4,590/year) represents a roughly 24x increase in cost with no corresponding increase in services. FINRA Regulatory Notice 13-23 specifically warns about reverse churning - placing clients in fee-based accounts that generate substantially more revenue than a commission-based account when the client's trading activity does not justify the fee structure. The recommendation to move to the advisory platform was driven by David's compensation incentive (15% bump), implicating Reg BI's Conflict of Interest Obligation (17 CFR 240.15l-1(a)(2)(iv)). The firm's internal compliance review was deficient - the 'quarterly monitoring' was not documented and automated statements do not constitute advisory services. Additionally, under the Investment Advisers Act of 1940 Section 206, if the wrap account brought Margaret under an advisory relationship, the fiduciary duty owed to her was breached by collecting fees for services not meaningfully rendered. The fact that maturing Treasury proceeds sat uninvested for seven months

while Margaret paid 1.35% on those assets further demonstrates the absence of genuine portfolio management.

Common Wrong Answer

No violation because Margaret voluntarily agreed to move to the advisory account, the firm's compliance department reviewed and approved the arrangement, David conducted annual reviews, and the client had access to ongoing monitoring services through the advisory platform.

Why Adversarial

A general LLM might be tripped up by the firm's internal compliance review marking the account as 'compliant,' the fact that Margaret voluntarily agreed to the switch, and the fact that David technically had 'access' to research and conducted annual reviews. The threshold trap is that the firm's own compliance flag was triggered but overridden with facially plausible but substantively empty justifications. Many LLMs equate internal compliance approval with actual regulatory compliance. Additionally, the temporal element (account opened pre-Reg BI in February 2020 but continuing post-June 2020) could confuse models about which standard applies. The 24x cost increase is the critical quantitative factor, but LLMs often fail to compute and compare the actual cost differential.

Applicable Standard

FINRA Rule 2111 (Suitability, including quantitative suitability); Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation (240.15l-1(a)(2)(ii)) and Conflict of Interest Obligation (240.15l-1(a)(2)(iv)); FINRA Regulatory Notice 13-23 (reverse churning guidance); Investment Advisers Act of 1940 Section 206 (fiduciary duty for advisory relationships)

Adversarial Hypothetical 158

Topic: annuity_unnecessary_switching | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Carlos Medina, age 58, a mid-level corporate manager earning \$125,000 annually, held a variable annuity purchased in 2016 through advisor Rachel Fontaine at Greenleaf Financial Group. The annuity had a current account value of \$210,000, an original investment of \$180,000, a guaranteed minimum death benefit rider equal to the highest anniversary value of \$225,000, and a surrender period that had expired in March 2023 (7-year surrender schedule). The annuity's annual fees totaled 2.85% (1.40% mortality and expense charge, 0.95% underlying fund expenses, 0.50% death benefit rider). In June 2023, Rachel recommended Carlos replace this annuity with a new variable annuity from a different carrier. Rachel documented a thorough comparison: the new annuity had total annual fees of 2.15% (1.00% M&E, 0.80% fund expenses, 0.35% for a guaranteed lifetime withdrawal benefit rider), a new 7-year surrender schedule with a 7% first-year surrender charge declining annually, and a guaranteed lifetime withdrawal benefit providing 5% annual withdrawals beginning at age 65. Rachel's written analysis noted: (1) the 0.70% annual fee reduction would save Carlos approximately \$1,470 per year, (2) the new guaranteed lifetime withdrawal benefit was more valuable for retirement income planning than the death benefit rider on the old annuity since Carlos was single with no dependents, (3) Carlos had expressed concern about retirement income rather than leaving a legacy, and (4) the new annuity offered a broader selection of 85 subaccount

investment options versus 42 in the old annuity. Carlos signed a replacement form acknowledging the new surrender period. Rachel received a 5.5% commission (\$11,550) on the new annuity sale. What Rachel's analysis failed to address: the old annuity's \$225,000 guaranteed death benefit was \$15,000 above the current account value, and while Carlos had no dependents now, he had recently begun dating someone seriously. More critically, the old annuity had a little-known contractual provision that allowed conversion to a lifetime income annuitization at guaranteed rates established in 2016 - rates based on a 3.5% assumed interest rate - which were substantially more favorable than any current guaranteed rates available in the marketplace, including the new annuity's 5% withdrawal benefit. At 2023 interest rate assumptions, the old annuity's guaranteed annuitization rates would have produced approximately \$1,312 per month starting at age 65, whereas the new annuity's 5% GLWB on the same projected value would produce approximately \$1,050 per month. Rachel was unaware of this provision despite it being disclosed on page 47 of the old annuity's contract.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the seemingly thorough analysis. Under Regulation Best Interest (17 CFR 240.15l-1), the Care Obligation requires that a broker-dealer exercise 'reasonable diligence, care, and skill' in understanding the potential risks, rewards, and costs of a recommendation. This includes understanding the material features of both the existing product being replaced and the new product being recommended. FINRA Rule 2330 (Variable Annuity Transactions) specifically governs variable annuity replacements and requires that the registered representative have a reasonable basis to believe the replacement is suitable, considering factors including: whether the customer would lose existing benefits (Rule 2330(b)(1)(A)(ii)), whether the customer would be subject to a new surrender period (Rule 2330(b)(1)(A)(iv)), and whether the customer would benefit from product enhancements and improvements (Rule 2330(b)(1)(A)(i)). Rachel's failure to identify and analyze the guaranteed annuitization rates in the existing contract - a contractual feature disclosed in the policy documentation - constitutes a failure of reasonable diligence. The guaranteed annuitization at a 3.5% assumed interest rate was a material benefit of the old contract that Carlos would permanently lose upon replacement. The income differential is significant: approximately \$262 per month (\$3,144 annually) in favor of the old contract's annuitization provision over the new contract's GLWB. This means the supposed cost savings of \$1,470 per year in lower fees is more than wiped out by the lost income benefit - a net detriment of approximately \$1,674 per year in retirement. Additionally, under FINRA Regulatory Notice 10-05 and applicable state insurance replacement regulations (most states follow the NAIC Model Regulation on annuity replacements), the advisor must conduct a comparison that accounts for all material features, not just the ones the advisor happens to know about. Ignorance of a contractual provision in a product the advisor sold is not a defense - it is evidence of inadequate diligence. The new 7-year surrender period further compounds the harm by locking Carlos into an inferior product.

Common Wrong Answer

No violation because Rachel conducted a thorough documented analysis comparing both annuities, the fee savings were real, the new rider better matched Carlos's stated objectives, the old surrender period had expired so there was no penalty, and Carlos signed an acknowledgment of the replacement. Rachel's research was reasonable even if not perfect.

Why Adversarial

This scenario is designed to fool LLMs because Rachel appears to have done everything right - she prepared a written comparative analysis, documented the client's objectives, identified legitimate advantages of the new product (lower fees, more appropriate rider, more investment options), and the old annuity's surrender period had expired. A general LLM would likely focus on the documented analysis and conclude this was a well-reasoned recommendation. The trap is the buried contractual provision (guaranteed annuitization rates from 2016) that Rachel failed to discover. Most LLMs would not recognize that an advisor's duty of reasonable diligence extends to reading and understanding all material provisions of an existing contract before recommending its replacement, and that producing a facially thorough comparison that misses a critical feature is still a violation. The 'reasonable basis trap' is that Rachel did have research - it was just incomplete in a way that fundamentally changed the analysis.

Applicable Standard

FINRA Rule 2330 (Variable Annuity Transactions), specifically 2330(b)(1)(A) regarding replacement suitability factors; Regulation Best Interest (17 CFR 240.15l-1), Care Obligation (240.15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 10-05 (guidance on variable annuity exchange reviews); NAIC Model Regulation 275 (Suitability in Annuity Transactions)

Adversarial Hypothetical 159

Topic: private_placements_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Liang at Pinnacle Wealth Group was approached by his client, Mariana Sousa, a 44-year-old emergency room physician earning \$410,000 annually with a liquid net worth of \$1.8 million and total net worth of \$3.2 million (including her home and retirement accounts). Mariana told Derek she wanted to diversify beyond publicly traded stocks and bonds and was interested in alternative investments for potentially higher returns. She stated she had a 15-year investment horizon, a moderate-to-aggressive risk tolerance, and could tolerate illiquidity for a portion of her portfolio. Derek conducted extensive due diligence on a private placement offering from GreenBridge Infrastructure Partners, a fund investing in municipal water treatment facility upgrades across the southeastern United States. He reviewed the private placement memorandum, spoke with the fund managers, examined their track record of three prior funds (two of which returned 11-14% annually, one of which returned 3%), analyzed the fee structure (2% management fee, 20% performance fee above an 8% hurdle rate), verified the fund's auditor was a reputable mid-tier firm, and confirmed the fund had a 7-year lockup period with no early redemption provisions. Derek recommended Mariana invest \$540,000 into GreenBridge, representing 30% of her liquid net worth. Derek documented his due diligence thoroughly, noting in his file that the investment was suitable because Mariana had sufficient liquidity remaining (\$1.26 million), a long time horizon, and expressed interest in alternatives. He also recommended the investment to four other clients with similar profiles that same month. What Derek's analysis did not address was the concentration risk in a single illiquid private placement at 30% of liquid assets, nor did he compare GreenBridge's fee structure and lockup terms against three other comparable infrastructure private placement funds that his firm had on its approved alternatives platform, two of which had 5-year lockups and lower fee structures (1.5%/15%).

Derek's firm had an internal guideline suggesting that no single alternative investment should exceed 20% of a client's liquid net worth, though this was framed as a 'guideline' rather than a 'hard limit' and advisors could exceed it with documented justification. Derek did not provide any written justification for exceeding the 20% guideline.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Derek violated applicable suitability and best interest standards on multiple grounds. First, under FINRA Rule 2111 (Suitability), an advisor must satisfy three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. While Derek performed substantial reasonable-basis due diligence on GreenBridge itself, he failed the customer-specific suitability prong by recommending a concentration of 30% of liquid net worth in a single illiquid private placement with a 7-year lockup. Second, and critically, under Regulation Best Interest (Reg BI, 17 CFR § 240.15I-1), which applies to broker-dealer recommendations after June 30, 2020, Derek had a Care Obligation requiring him to exercise reasonable diligence, care, and skill in making recommendations. The Care Obligation specifically requires consideration of reasonably available alternatives. Derek's failure to compare GreenBridge against the three comparable infrastructure funds on his own firm's approved platform - two of which had shorter lockups and lower fees - is a direct violation of the Reg BI Care Obligation's requirement to consider costs and reasonably available alternatives. Third, Derek exceeded his firm's internal 20% concentration guideline without providing the required documented justification, which violates FINRA Rule 3110 (Supervision) obligations and potentially FINRA Rule 2010 (Standards of Commercial Honor) by failing to adhere to his firm's internal compliance framework. Under FINRA Regulatory Notice 12-03 (Complex Products), heightened suitability obligations apply to recommendations of complex products like private placements, requiring firms and advisors to perform a more rigorous analysis. The superficially thorough due diligence on the product itself creates the illusion of compliance, but the failure to address concentration risk, compare alternatives, and follow internal guidelines constitutes a clear violation.

Common Wrong Answer

No violation. Derek conducted thorough due diligence on the investment, the client had sufficient remaining liquidity, expressed interest in alternatives, had an appropriate risk tolerance and time horizon, and the firm's 20% guideline was not a hard requirement. The recommendation was suitable given the client's profile and the advisor's extensive research.

Why Adversarial

This scenario is adversarial because Derek performed genuinely extensive due diligence on the private placement itself - reviewing the PPM, speaking with managers, examining track records, verifying auditors - which makes it appear compliant on the surface. A general LLM would likely focus on the quality of product-level due diligence and conclude it was sufficient. The trap is that reasonable-basis suitability (product-level research) was largely satisfied, but customer-specific suitability failed due to concentration, and the Reg BI Care Obligation failed due to the lack of alternatives comparison. The firm's internal guideline being a 'guideline' rather than a 'hard limit' further muddies the waters, tempting an LLM to dismiss it as non-binding. Most LLMs would not identify all three separate grounds for violation.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative components; Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation including duty to consider reasonably available alternatives and costs; FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 160

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: expert

Fact Pattern

In January 2022, 79-year-old retired postal worker Harold Evanston had investment accounts at two different firms. At Firm A (Baxter Financial), his long-time advisor Carol Mendez managed \$320,000 in a conservative portfolio of government bonds, investment-grade corporates, and a money market fund. Harold had designated his daughter, Patricia, as his trusted contact person on this account. At Firm B (Sterling Capital Advisors), a newer advisor named Troy Whitfield managed \$195,000 that Harold had transferred from a bank CD in September 2021 after Troy cold-called him and promised 'much better returns than CDs with similar safety.' Troy's account documentation listed Harold's risk tolerance as 'moderate growth,' his investment objective as 'growth,' and his time horizon as '10+ years.' Troy did not designate a trusted contact person on the account despite Harold's age. Between January and August 2022, Troy executed 14 trades in Harold's account, moving the portfolio into a mix of high-yield bond funds, leveraged ETFs, and three individual small-cap biotech stocks. The account lost 31% of its value by September 2022. Meanwhile, Carol at Firm A noticed during a routine call in March 2022 that Harold seemed confused about his finances and mentioned 'another advisor making me a lot of money.' Carol documented the call in her notes but took no further action - she did not contact Patricia as the trusted contact, did not escalate concerns to her firm's compliance department, and did not place any temporary hold on Harold's Firm A account. In October 2022, Harold's daughter Patricia discovered the Sterling Capital account when reviewing her father's mail. She found that Harold had been diagnosed with mild cognitive impairment in November 2021 - one month before he transferred the funds to Sterling Capital. Patricia filed complaints against both advisors. Troy Whitfield's firm, Sterling Capital, argued that all trades were made at Harold's direction after phone conversations where Harold verbally approved each transaction, and that Sterling had no knowledge of any cognitive diagnosis. Carol Mendez's firm, Baxter Financial, argued that Carol had no obligation regarding the Sterling Capital account and that Harold showed no signs of diminished capacity during their routine interactions beyond the single March 2022 call.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Both advisors violated applicable standards, though in different ways and to different degrees. TROY WHITFIELD (Firm B - Sterling Capital): Troy committed multiple violations. (1) Under Regulation Best Interest (17 CFR § 240.15l-1), effective June 30, 2020, Troy's recommendation to move Harold from bank CDs into high-yield bonds, leveraged ETFs, and speculative biotech stocks was a clear violation of the Care Obligation. A 79-year-old retired postal worker with \$195,000 transferred from CDs does not have a

'moderate growth' risk tolerance or a '10+ year' time horizon - the account documentation was fabricated or recklessly inaccurate, violating the Disclosure Obligation and Care Obligation. (2) Under FINRA Rule 2111, the recommendations were unsuitable on a customer-specific basis: Harold's actual profile as a conservative, elderly, fixed-income retiree was incompatible with leveraged ETFs and speculative biotech. (3) Under FINRA Rule 4512(a)(1)(F), as amended effective February 5, 2018, firms are required to make reasonable efforts to obtain the name and contact information of a trusted contact person for customer accounts. Troy's failure to designate a trusted contact person is a direct violation. (4) Under FINRA Rule 2010, the cold-call representation of 'much better returns than CDs with similar safety' while intending to invest in leveraged ETFs and biotech stocks constitutes a misleading statement. CAROL MENDEZ (Firm A - Baxter Financial): Carol's situation is more nuanced but still involves violations. Under FINRA Rule 2165 (Financial Exploitation of Specified Adults), effective February 5, 2018, when a firm or advisor reasonably believes financial exploitation of a senior (65+) may be occurring, the firm is authorized - but not required - to place a temporary hold on disbursements. However, Carol's failure to escalate her observations about Harold's confusion to her firm's compliance department arguably violates her firm's supervisory obligations under FINRA Rule 3110 and her general obligations under FINRA Rule 2010. Critically, FINRA Rule 2165 provides a safe harbor for placing holds but does not create an affirmative mandate. However, FINRA Regulatory Notice 07-43 (Senior Investors) establishes that firms should have procedures for escalating concerns about diminished capacity, and Carol's failure to follow what would be standard escalation procedures (contacting the trusted contact, alerting compliance) when she had documented signs of confusion represents a failure of the firm's supervisory system. Carol did not violate suitability requirements for her own account management (which remained conservative and appropriate), but her failure to act on red flags of potential exploitation at another firm may constitute a violation of FINRA Rule 2010's broad ethical standards. The strongest violations are Troy's; Carol's are secondary but real.

Common Wrong Answer

Troy violated suitability requirements, but Carol did not violate any requirements because she had no control over the Sterling Capital account, FINRA rules only permit but do not require temporary holds on accounts of seniors, and Harold's Firm A account was managed conservatively and appropriately. Additionally, Troy's trades were approved by Harold, which mitigates the suitability concerns.

Why Adversarial

This multi-party scenario is adversarial for several reasons. First, it requires analyzing two different advisors at two different firms under potentially different standards simultaneously. Second, Troy's firm's defense that Harold verbally approved each trade creates a client-direction trap - many LLMs would incorrectly conclude that client authorization absolves the advisor. Third, Carol's situation involves the subtle distinction between FINRA Rule 2165's permissive safe harbor (firms 'may' place holds) versus whether her inaction constitutes a separate violation under general ethical obligations. A general LLM would likely either exonerate Carol entirely (because Rule 2165 is permissive, not mandatory) or incorrectly cite a mandatory duty to place holds. Fourth, the temporal element of Harold's cognitive impairment diagnosis predating the account opening is critical but could be missed. Fifth, most LLMs struggle with multi-party analysis and tend to focus on only one advisor.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation, Disclosure Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 4512(a)(1)(F) (Trusted Contact Person requirement, effective Feb. 5, 2018);

FINRA Rule 2165 (Financial Exploitation of Specified Adults, effective Feb. 5, 2018); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Regulatory Notice 07-43 (Senior Investors)

Adversarial Hypothetical 161

Topic: *unsuitable_income_investor* | Type: *reasonable_basis_trap* | Difficulty: *expert*

Fact Pattern

Margaret Dalton, age 71, retired schoolteacher, visited branch office of Pinnacle Securities in March 2020 with \$640,000 in proceeds from the sale of her late husband's home. She told her advisor, Kevin Marsh, that she needed monthly income to supplement her \$1,900/month pension and \$1,400/month Social Security, that she had no other savings besides a small emergency fund of \$15,000, and that she could not afford to lose principal. Her account application listed her risk tolerance as 'conservative,' investment objective as 'income,' time horizon as '5-10 years,' annual income as \$39,600, net worth as \$655,000 (including the \$640,000), and investment experience as 'limited - only held CDs previously.' Kevin Marsh spent three weeks researching options. He prepared a detailed written analysis comparing Treasury bonds, investment-grade corporate bond funds, high-yield bond funds, and preferred stock ETFs. His analysis correctly noted that Treasury yields were near historic lows (10-year at ~0.7% in March 2020) and that investment-grade corporate bond funds were yielding approximately 2.5-3.0%. He calculated that a portfolio of Treasuries and investment-grade bonds would generate only \$1,280-\$1,920 per month, potentially falling short of Margaret's stated need for \$2,500/month in supplemental income. Based on this gap, Marsh recommended allocating 60% (\$384,000) to a portfolio of BB-rated high-yield corporate bond funds with an average yield of 6.8%, 25% (\$160,000) to investment-grade corporate bond funds yielding 2.9%, and 15% (\$96,000) to leveraged preferred stock ETFs yielding 7.2%. The blended portfolio yield was approximately 5.7%, generating roughly \$3,040/month. Marsh documented that the higher-yielding allocation was 'necessary to meet client's income needs' and that 'the income gap leaves no reasonable alternative.' He also noted in his file that he explained to Margaret that high-yield bonds carry more credit risk and that leveraged preferred ETFs can experience significant price volatility. Margaret signed an acknowledgment form stating she understood the risks. Over the next 18 months, the high-yield fund positions lost approximately 8% of principal (\$30,720) during a brief credit spread widening event in late 2020, before recovering. The leveraged preferred ETFs experienced a 14% drawdown (\$13,440) in early 2021 during a rate spike, and had not fully recovered by September 2021 when Margaret filed a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While Kevin Marsh conducted thorough research (satisfying a 'reasonable-basis' component in isolation), he failed the customer-specific suitability obligation under FINRA Rule 2111 and, if acting in an advisory capacity, Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The critical error is that Marsh allowed the client's income target to override her clearly stated risk tolerance ('conservative'), inability to tolerate principal loss, limited investment experience, and the fact that this \$640,000 represented virtually her entire net worth. A 71-year-old retired widow with no other savings,

limited experience, and a conservative risk profile should not have 75% of her life savings in high-yield bonds and leveraged preferred stock ETFs, regardless of the income shortfall. The correct approach would have been to recommend a lower-yielding but safer portfolio and counsel Margaret to adjust her spending expectations downward, or to consider a partial annuitization strategy, or to implement a systematic withdrawal plan from a more conservative allocation. The advisor's documented rationale - that the income gap 'leaves no reasonable alternative' - actually demonstrates the flaw: the advisor subordinated the client's risk profile to her income target. Under FINRA Rule 2111.05(a), a member's reasonable diligence must provide the member with an understanding of the customer's investment profile, and recommendations must be consistent with that profile as a whole, not just one element of it. Under Reg BI, the Care Obligation requires that the recommendation reflect the customer's overall investment profile including risk tolerance, not merely optimize for one stated goal. FINRA Regulatory Notice 12-25 specifically warns that an income need does not justify placing a conservative, elderly investor into high-risk products. The signed acknowledgment form does not cure the suitability deficiency; disclosure of risk does not transform an unsuitable recommendation into a suitable one.

Common Wrong Answer

No violation - the advisor conducted extensive research, documented his rationale, identified a genuine income gap, explained the risks to the client, and obtained her written acknowledgment. The recommendation was a reasonable solution to meet the client's stated income needs, and the advisor fulfilled his obligations through thorough analysis and disclosure.

Why Adversarial

The advisor did significant, well-documented research and identified a genuine mathematical problem - safe investments would not meet the client's income needs. Many LLMs will credit the thorough analysis and documentation, the client's signed acknowledgment, and the 'no alternative' rationale as sufficient to make the recommendation suitable. The trap is that diligent research reaching the wrong conclusion for this specific client is still a violation - reasonable-basis suitability does not override customer-specific suitability. The advisor's obligation was to tell the client her income target was unrealistic given her risk profile, not to chase yield with her life savings.

Applicable Standard

FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2111.05(a) (investment profile factors); FINRA Regulatory Notice 12-25 (FAQ on suitability, specifically guidance that one component of a customer's profile does not override others); Regulation Best Interest Rule 15l-1(a)(2)(ii)(B) (Care Obligation - recommendation must be in retail customer's best interest based on investment profile including risk tolerance); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 162

Topic: margin_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Dr. Samuel Okonkwo, age 45, is a cardiologist earning \$520,000 per year with a net worth of approximately

\$3.2 million, including \$1.8 million in brokerage accounts, \$800,000 in retirement accounts, and \$600,000 in home equity. He has been a client of broker-dealer Sterling & Associates since 2012. His original account documentation from 2012 listed his risk tolerance as 'moderate,' investment objective as 'growth,' and investment experience as 'good - has traded stocks for 10 years.' In January 2019, Dr. Okonkwo's advisor, Lisa Cheng, recommended he open a margin account to leverage his existing \$900,000 position in a diversified portfolio of large-cap equities at Sterling. He agreed, and the margin agreement was executed. Over the following months, Lisa recommended he borrow approximately \$400,000 on margin (approximately 44% margin-to-equity ratio) to purchase additional large-cap stocks. The account performed well through 2019. In June 2020, after the COVID crash and recovery, Dr. Okonkwo's account had grown to \$1.5 million in equity with \$400,000 still in margin debt. On June 30, 2020, Regulation Best Interest became fully effective. Lisa Cheng's firm, Sterling & Associates, was a broker-dealer and she acted in a brokerage capacity making recommendations for commission-based transactions. In August 2020, Lisa recommended Dr. Okonkwo increase his margin borrowing to \$750,000 to concentrate in a basket of five technology stocks that she believed would benefit from the work-from-home trend. This raised his margin-to-equity ratio to approximately 50%. She did not update his customer account profile, which still reflected the 2012 'moderate' risk tolerance. She did not perform or document any comparative analysis of whether the concentrated leveraged tech position was preferable to his existing diversified leveraged position. She told Dr. Okonkwo verbally that 'tech is the place to be right now' and he enthusiastically agreed. The concentrated tech position initially rose 22% but then declined 35% from its peak by March 2021, triggering margin calls. Dr. Okonkwo had to liquidate positions at significant losses, ultimately losing approximately \$410,000 from the August 2020 recommendations forward. He filed a complaint in April 2021.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and the temporal element is critical. The January 2019 margin recommendation was governed by the FINRA Rule 2111 suitability standard, and was likely suitable: Dr. Okonkwo was a high-income, high-net-worth investor with good experience, moderate risk tolerance, and a growth objective. A 44% margin ratio on diversified large-cap stocks was within reasonable bounds for his profile. However, the August 2020 recommendation was governed by Regulation Best Interest (Rule 15l-1), which became effective June 30, 2020. Under Reg BI's Care Obligation, Lisa Cheng was required to exercise reasonable diligence, care, and skill in making the recommendation, consider reasonably available alternatives, and ensure the recommendation was in Dr. Okonkwo's best interest without placing her own interests ahead of his. She failed this standard in multiple ways: (1) She did not update his customer profile, which was 8 years old and still listed 'moderate' risk tolerance - recommending a concentrated, leveraged technology position to a 'moderate' risk investor is inconsistent with his documented profile; (2) She failed to consider or document reasonably available alternatives as required by Reg BI's Care Obligation - she could have maintained the existing diversified margin position, or recommended unleveraged tech exposure, or reduced margin rather than increasing it; (3) Concentrating 50% margin leverage into five technology stocks dramatically changed the risk character of the account from diversified leveraged growth to concentrated leveraged speculation, which was not consistent with 'moderate' risk or 'growth' objectives; (4) Under Reg BI's Compliance Obligation and the firm's obligations under Rule 15l-1(a)(2)(iv), Sterling & Associates should have had policies requiring updated customer profiles before major strategy changes. Even under the pre-Reg BI suitability standard, the August 2020 recommendation would likely have been

unsuitable due to the concentration and increased leverage. But the Reg BI standard heightens the obligation by requiring documented consideration of alternatives, which Lisa entirely failed to perform.

Common Wrong Answer

No violation - Dr. Okonkwo is a sophisticated, high-income investor with \$3.2 million in net worth and 10+ years of trading experience. He enthusiastically agreed to the margin increase and technology concentration. A 50% margin ratio is within standard maintenance margin requirements and the recommendation, while aggressive, was suitable for a wealthy investor with a growth objective. The subsequent losses were the result of market volatility, not an unsuitable recommendation.

Why Adversarial

This scenario creates a temporal trap because two different standards apply to the two margin recommendations. A general LLM may either (a) apply the old suitability standard to both recommendations and potentially find the August 2020 recommendation merely aggressive but arguably suitable given the client's wealth and experience, or (b) apply Reg BI to both and incorrectly find a violation for the 2019 recommendation as well. The key nuance is that Reg BI's requirement to consider reasonably available alternatives - a requirement that did not exist under the suitability rule - is what most clearly makes the August 2020 recommendation a violation. The client's high income, substantial net worth, and experience might cause an LLM to conclude that increased margin for a wealthy, experienced investor is acceptable. The stale profile issue adds another layer that LLMs often overlook.

Applicable Standard

Regulation Best Interest, Rule 15l-1(a)(2)(ii) (Care Obligation - effective June 30, 2020, requiring reasonable diligence, care, and skill; consideration of reasonably available alternatives; and recommendation in customer's best interest); FINRA Rule 2111 (Suitability - applicable to the January 2019 recommendation); FINRA Rule 2111.05(a) (customer investment profile factors); FINRA Rule 4210 (Margin Requirements); Regulation Best Interest Rule 15l-1(a)(2)(i) (Disclosure Obligation); Rule 15l-1(a)(2)(iv) (Compliance Obligation - firm policies and procedures); FINRA Regulatory Notice 20-18 (guidance on Reg BI implementation for member firms)

Adversarial Hypothetical 163

Topic: variable_annuity_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 71, retired schoolteacher with a \$340,000 portfolio consisting of a mix of Treasury bonds and a money market account, visited her longtime financial advisor, Derek Simmons, at Pinnacle Wealth Services in March 2020. Margaret had a conservative risk profile, needed approximately \$2,400/month in income to supplement Social Security, and had no dependents. Her existing variable annuity - a \$180,000 contract she purchased in 2014 through another firm - was underperforming and carried a 1.85% total annual expense ratio with a death benefit rider she no longer valued. Derek recommended she execute a 1035 exchange from the old variable annuity into a new variable annuity offered through Pinnacle. The new annuity had a 1.40% total annual expense ratio, included a guaranteed minimum income benefit rider costing an additional 0.95% annually, carried a 7-year surrender period with

a 7% declining surrender charge, and offered a broader selection of lower-cost subaccounts. Derek documented that the exchange would save Margaret 0.45% in base expenses, provide guaranteed lifetime income she currently lacked, and that the old annuity's surrender period had already expired so there was no cost to exit. The new annuity was funded with the full \$180,000 proceeds. Derek completed a standardized exchange evaluation form comparing the two products and noted the benefits of the new contract. Margaret signed all disclosures, including an acknowledgment of the new surrender period. Six months later, in September 2020, Margaret needed \$30,000 for emergency home repairs. She was unable to access the funds without paying a \$2,100 surrender charge. Derek's firm had adopted enhanced transaction review standards effective June 1, 2020, three months after the transaction, requiring advisors to consider customer liquidity needs over a rolling 10-year period for any annuity recommendation to customers over age 65. At the time of the March 2020 transaction, the firm's existing standard only required a general suitability review comparing the old and new contracts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the analysis is more nuanced than it first appears. Under FINRA Rule 2330 (Variable Annuity Suitability), which was in effect at the time of the March 2020 transaction, a registered representative recommending a variable annuity exchange must have a reasonable basis to believe that the transaction meets several specific criteria: (a) the customer has been informed of the material features of both annuities, (b) the exchange is suitable considering the customer's age, income needs, risk tolerance, and liquidity requirements, and (c) specifically for exchanges, the benefits of the new annuity outweigh the costs including any new surrender charges and loss of existing benefits. While the temporal trap here is that the firm's enhanced internal standards did not take effect until June 2020, FINRA Rule 2330(b) was already in force and independently required the advisor to consider the customer's liquidity needs before recommending the exchange. A 71-year-old retiree with \$340,000 total assets being locked into a 7-year surrender period on \$180,000 (53% of her total portfolio) presents a clear liquidity concern. The effective all-in cost of the new annuity ($1.40\% + 0.95\% = 2.35\%$) actually exceeds the old annuity's 1.85% expense ratio by 50 basis points, meaning the exchange increased total costs despite Derek's documentation emphasizing the lower base expense. Derek's comparison was misleading because it excluded the rider cost from the expense comparison. Additionally, under Regulation Best Interest (effective June 30, 2020), this transaction occurred just before Reg BI's compliance date, so the pre-existing suitability standard under FINRA Rule 2111 and the specific variable annuity rule under FINRA Rule 2330 apply. Under Rule 2330, the advisor failed to demonstrate that the exchange provided a net benefit when total costs are properly accounted for, and failed to adequately consider the customer's liquidity profile given her age and asset concentration. The fact that the firm's internal enhanced standard had not yet taken effect is a red herring - the pre-existing regulatory requirements under Rule 2330 were already sufficient to find this transaction unsuitable.

Common Wrong Answer

No violation. The advisor complied with the standards in effect at the time of the March 2020 transaction. The firm's enhanced liquidity review requirement did not take effect until June 2020, so it cannot be applied retroactively. The advisor completed a comparative exchange evaluation, documented the fee savings, obtained proper disclosures, and the old contract's surrender period had expired. The fact that the client

later needed funds is an unforeseeable event, not an indicator of unsuitability at the time of the recommendation.

Why Adversarial

This scenario creates a temporal trap where a general-purpose LLM is likely to focus on whether the firm's enhanced internal standards applied retroactively (they didn't) and conclude that the advisor was compliant under the standards in effect at the time. The real trap is that FINRA Rule 2330 was already in effect and independently required liquidity analysis for annuity exchanges. Additionally, the expense ratio comparison is subtly misleading - the advisor documented a 0.45% savings on base expenses, but the all-in cost including the rider actually increased by 0.50%. A general LLM would likely accept the advisor's documented rationale at face value and focus on the temporal issue rather than doing the math on total expenses or recognizing that Rule 2330 had its own independent liquidity analysis requirement.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), specifically subsections (b)(1)(A) regarding exchange suitability requirements and the obligation to compare material features including surrender charges, fees, and benefits; FINRA Rule 2111 (Suitability), including customer-specific suitability under Rule 2111(a); FINRA Regulatory Notice 10-05 (Obligations When Recommending Variable Annuity Exchanges). Note: Regulation Best Interest (17 CFR § 240.15l-1) was not yet in effect for the March 2020 transaction date (compliance date June 30, 2020).

Adversarial Hypothetical 164

Topic: illiquid_investments | Type: threshold_trap | Difficulty: expert

Fact Pattern

Victor Reyes, age 58, is a senior software engineer earning \$285,000 annually with a net worth of \$2.1 million excluding his primary residence. His investment portfolio totals \$1.65 million held across three accounts: a \$720,000 brokerage account at Landmark Securities managed by advisor Karen Cho, a \$580,000 traditional IRA at a separate custodian, and a \$350,000 company 401(k). Victor describes himself as a moderate-to-aggressive investor with a 7-to-10-year time horizon before retirement. He has approximately \$95,000 in liquid savings outside his investment accounts and no significant debts beyond his mortgage. In January 2023, Karen recommended Victor invest in a non-traded real estate investment trust (REIT) focused on industrial warehouse properties. Karen conducted thorough due diligence on the offering: the sponsor had a 15-year track record, the portfolio was 94% leased, leverage was moderate at 48% loan-to-value, and independent valuations supported the offering price. She documented all of this research in a detailed memo. Victor agreed and invested \$165,000 from his Landmark brokerage account into the non-traded REIT. At the time of this investment, Victor already held \$72,000 in a different non-traded REIT (a healthcare-focused offering) purchased through Karen in 2021, and \$38,000 in a private placement oil-and-gas partnership also purchased through Karen in 2022. Karen was aware of these existing positions. After the new investment, Victor's illiquid investment holdings through Landmark totaled \$275,000 out of his \$720,000 Landmark account (38.2% of that account). Across his total investable portfolio of \$1.65 million plus \$95,000 liquid savings (\$1.745 million total), illiquid holdings represented approximately 15.8%. Karen's firm, Landmark Securities, maintained an internal policy limiting illiquid

investment concentration to 35% of assets held at the firm for moderate-to-aggressive investors, but the state in which Victor resides imposes a separate suitability standard capping non-traded REIT investments specifically at 10% of a customer's net worth (excluding primary residence) or liquid net worth, with the applicable percentage varying by the specific state statute. Victor's non-traded REIT holdings alone totaled \$237,000 (\$72,000 + \$165,000), representing 11.3% of his \$2.1 million net worth. Karen verified Victor met the offering's minimum income and net worth requirements (\$70,000 income and \$250,000 net worth) and confirmed he satisfied her firm's internal concentration limits.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This turns on the specific state concentration limit, and the answer is likely yes - a violation occurred. Many states that impose concentration limits on non-traded REITs set the threshold at 10% of the investor's net worth (excluding primary residence), not total investable assets. The key states with such limits (including but not limited to Pennsylvania, Ohio, Texas, California, and others following the North American Securities Administrators Association model rule) generally cap non-traded REIT concentration at 10% of net worth. Victor's non-traded REIT holdings total \$237,000 against a \$2.1 million net worth (excluding primary residence), yielding 11.3% - which exceeds the 10% threshold. Under Regulation Best Interest (17 CFR § 240.15l-1), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, which includes ensuring compliance with applicable state suitability standards. Under FINRA Rule 2111, the customer-specific suitability obligation requires considering the customer's entire financial profile, including concentration risk. Additionally, FINRA Regulatory Notice 12-33 specifically addresses non-traded REIT concentration and due diligence obligations. While Karen conducted admirable product-level due diligence and complied with her firm's 35% internal illiquid concentration threshold (measured against the Landmark account), she failed to verify compliance with the applicable state-imposed concentration limit on non-traded REITs specifically. The firm's internal policy was more permissive than the state requirement, and compliance with internal firm policy does not excuse non-compliance with state securities regulations. The fact that Victor's total illiquid holdings as a percentage of total investable assets (15.8%) appears reasonable is a red herring - the state test applies specifically to non-traded REITs against net worth, not all illiquid investments against total assets.

Common Wrong Answer

No violation. Karen conducted extensive due diligence, documented her research, verified Victor met the offering's suitability requirements, and ensured compliance with her firm's 35% illiquid concentration limit. Victor's total illiquid allocation of 15.8% of total investable assets is reasonable for a moderate-to-aggressive investor with a 7-to-10-year time horizon. The non-traded REIT holdings represent only 11.3% of his net worth, which is a modest concentration for an investor of his profile. Karen acted diligently and the recommendation was suitable.

Why Adversarial

This scenario is adversarial because it requires knowledge of state-level non-traded REIT concentration limits, which vary by jurisdiction but commonly follow the NASAA model at 10% of net worth. A general LLM would likely focus on the firm's internal 35% limit (which was not breached), the overall illiquid concentration of 15.8% (which seems reasonable), the thorough due diligence Karen performed, and Victor's moderate-to-aggressive profile. The trap is that state concentration limits for non-traded REITs specifically

are separate from general illiquid concentration policies, and the 11.3% figure just barely crosses the typical 10% state threshold. Most LLMs would not know the specific 10% NASAA threshold and would view 11.3% of net worth as conservative and compliant.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation component; FINRA Rule 2111 (Suitability), including customer-specific suitability under subsection (a); FINRA Regulatory Notice 12-33 (Non-Traded REITs - Due Diligence and Concentration); NASAA Statement of Policy Regarding Real Estate Investment Trusts (setting 10% of net worth concentration limit as a model standard adopted by numerous states); applicable state securities regulations imposing non-traded REIT concentration limits (varies by jurisdiction, commonly 10% of net worth excluding primary residence).

Adversarial Hypothetical 165

Topic: *tax_deferred_unnecessary_annuity* | Type: *knowledge_trap* | Difficulty:

Fact Pattern

Margaret Fielding, age 58, is a public school teacher in Ohio who has been contributing to her 403(b) plan for 22 years. By March 2023, her 403(b) had accumulated \$410,000. She met with financial advisor Derek Hollis, who works for a broker-dealer that also distributes insurance products. Margaret told Derek she was concerned about market volatility and wanted a 'guaranteed' income stream for retirement at age 65. Derek reviewed her financial situation: she had no other retirement accounts, earned \$72,000 annually, had \$35,000 in a savings account, owned her home outright, and had no debt. Derek recommended she take a full distribution from her existing 403(b) plan and use the proceeds to purchase a variable annuity with a guaranteed minimum income benefit rider inside a new traditional IRA via a direct rollover. The variable annuity carried a total annual expense ratio of 3.15% (including the 1.10% rider fee, 1.30% mortality and expense charge, and 0.75% in underlying fund expenses). The annuity also had a 7-year declining surrender charge schedule starting at 7%. Derek documented that the recommendation addressed Margaret's stated desire for guaranteed income and protection from market downturns. He noted that the GMIB rider would guarantee a minimum income base growing at 5% annually regardless of market performance. Derek did not discuss or document any comparison between the guaranteed income rider's benefits and simply keeping the money in the existing 403(b), which already offered several low-cost target-date funds with expense ratios of 0.12% and also offered an annuitization option through the plan's insurance carrier at substantially lower fees. He also did not discuss the tax implications, since both the 403(b) and the IRA are tax-deferred vehicles. Derek earned a 5.5% commission on the annuity sale, totaling approximately \$22,550.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While on the surface Derek addressed Margaret's stated concern about guaranteed income, his recommendation fails on multiple levels under both the legacy suitability standard and the current Regulation Best Interest (Reg BI) framework. Under FINRA Rule 2111 (Suitability), particularly the

reasonable-basis and customer-specific components, and under FINRA Rule 2330 (Variable Annuity Suitability), the advisor must have a reasonable basis for recommending a variable annuity, especially when it replaces an existing tax-advantaged account. FINRA Rule 2330(b) specifically requires that the member or associated person consider whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit, that are not available with the customer's existing investment. Here, Margaret's 403(b) already provided tax-deferred growth - so the annuity added no new tax benefit and instead layered on approximately 3.15% in annual expenses versus 0.12%, a cost differential of over 3% annually on \$410,000 (roughly \$12,400 per year in excess costs). Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation compared to reasonably available alternatives. Derek failed to compare the existing 403(b) annuitization option, which would have provided a guaranteed income stream at far lower cost. The GMIB rider's 5% growth on the income base sounds attractive, but the net return after the 3.15% expense load would likely underperform the low-cost target-date funds in the existing plan, and the 7-year surrender schedule locks Margaret in during her critical pre-retirement years (ages 58-65). The \$22,550 commission also creates a significant conflict that needed to be disclosed and mitigated under Reg BI's Conflict of Interest Obligation. The failure to document any alternatives analysis, particularly the comparison to keeping the existing 403(b), is a clear deficiency under both the Care and Disclosure Obligations of Reg BI.

Common Wrong Answer

No violation - the advisor addressed Margaret's stated concern about guaranteed income, documented the rationale, and the variable annuity with the GMIB rider directly provides the market protection and income guarantee she requested. The rollover from a 403(b) to an IRA is a standard transaction.

Why Adversarial

A general LLM might be tricked because the advisor did technically address the client's stated goal (guaranteed income), documented the recommendation, and used a legitimate product (variable annuity with GMIB rider). The trap requires specific knowledge of FINRA Rule 2330, which imposes heightened suitability requirements for variable annuities and specifically mandates analysis of whether tax-deferred features are duplicative when replacing an existing tax-deferred account. Many LLMs would not know this rule's specific requirements about tax-deferred-to-tax-deferred exchanges and might focus only on whether the product matched the client's stated objectives, concluding no violation occurred.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), particularly subsection (b)(1)(A) requiring consideration of whether the customer would benefit from features of the annuity that are not available in an existing product; FINRA Rule 2111 (Suitability), including reasonable-basis and customer-specific suitability obligations; Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation requiring analysis of reasonably available alternatives and the cost-benefit profile, and the Conflict of Interest Obligation regarding the \$22,550 commission.

Adversarial Hypothetical 166

Topic: *overconcentration_single_stock* | Type: *client_direction_trap* | Difficulty:

Fact Pattern

Raymond Xu, age 44, is a senior software engineer at a publicly traded technology company, earning \$290,000 annually. In January 2024, Raymond opened a brokerage account with advisor Samantha Keyes at a mid-sized broker-dealer. At account opening, Raymond disclosed total liquid assets of approximately \$1.8 million, of which \$1.1 million (about 61%) was already in shares of his employer's stock, acquired through vesting RSUs and ESPP purchases over 12 years. His remaining \$700,000 was split between a money market fund (\$200,000), a diversified index fund (\$300,000), and a bond fund (\$200,000). Raymond's stated investment objective was 'growth' with a 'moderate' risk tolerance and a 15-year time horizon to retirement. Over the course of the next four months, Raymond's employer stock rose 18%, increasing his concentrated position to approximately \$1.3 million out of a now \$2.05 million portfolio (roughly 63%). In May 2024, Raymond contacted Samantha and said he wanted to use \$150,000 from his money market fund to purchase an additional \$150,000 of his employer's stock. He told her, 'I know this company better than any analyst. We're about to announce a new product line that the market doesn't know about yet.' Samantha paused and told Raymond she could not act on what might be material non-public information. Raymond quickly clarified: 'No, no - I don't have any inside information. I'm just reading the same public patents and job postings everyone else can see. I think the stock is undervalued based on public data.' Samantha reviewed his account, noted the existing 63% concentration, and documented in her notes: 'Client insists on additional purchase of employer stock. Discussed concentration risk extensively. Client acknowledges risk of single-stock exposure and states he has deep knowledge of the company from a public-information standpoint. Client has adequate liquidity in remaining diversified holdings (~\$550,000) and no near-term cash needs. Signed concentration risk acknowledgment form.' She then executed the trade, bringing his employer stock position to approximately \$1.45 million out of \$2.05 million (roughly 71% of liquid assets). No additional diversification strategy, hedging approach, or systematic sell plan was discussed or recommended.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the client's unsolicited direction and the documented risk acknowledgment. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), even when a customer initiates a transaction, the broker-dealer and associated person must have a reasonable basis to believe the recommendation - or in this case, the facilitation without any countervailing recommendation - is in the customer's best interest. While the trade was technically client-directed, Samantha's conduct went beyond mere order-taking: she reviewed the account, assessed the situation, and documented her analysis, which transforms this from a pure unsolicited order into something closer to an endorsed transaction. More critically, under FINRA Rule 2111 and its supplementary material (particularly .05(c)), even when a customer directs a trade, the firm has an obligation not to recommend a strategy that is unsuitable. Here, Samantha's violation is not executing the single trade per se, but rather her failure to recommend any corrective diversification strategy. With a 'moderate' risk tolerance and 'growth' objective, a 71% concentration in a single stock is fundamentally inconsistent with the customer's stated profile. FINRA has consistently held that concentration in a single security - particularly employer stock - at levels exceeding 50-60% of a portfolio constitutes a red flag requiring affirmative action beyond mere disclosure. The fact that Raymond signed a concentration acknowledgment form does not cure the deficiency. FINRA Notice to Members 04-89 and subsequent guidance make clear that a customer's written consent to a risky strategy does not relieve the

advisor of the obligation to ensure suitability. Furthermore, Samantha failed to discuss or recommend any hedging strategies (such as protective puts or collars), systematic diversification plans, or even a partial rebalancing - any of which would have demonstrated genuine care for the customer's overall portfolio risk. The initial insider trading concern that Raymond raised and then retracted also warranted additional scrutiny and documentation, though this is a secondary issue. The primary violation is the failure to recommend against further concentration or to propose any risk mitigation, while effectively endorsing a position that is inconsistent with the client's own stated moderate risk tolerance.

Common Wrong Answer

No violation - this was an unsolicited, client-directed trade. Samantha properly warned Raymond about concentration risk, documented the discussion thoroughly, and obtained a signed acknowledgment. The client is a sophisticated investor with deep knowledge of the company, adequate remaining diversification in \$550,000 of other assets, no near-term cash needs, and a long time horizon. The advisor has no obligation to refuse a client's explicit instruction after proper risk disclosure.

Why Adversarial

This scenario is designed to trap LLMs because it contains multiple features that seem to indicate compliance: (1) the trade was client-directed, not advisor-recommended; (2) the advisor discussed concentration risk; (3) the client signed a written acknowledgment; (4) the client has a plausible rationale based on public information; (5) the client has adequate remaining diversified assets (\$550K). Many LLMs would conclude this is a compliant client-directed trade with proper documentation. The trap is that the advisor's extensive engagement with the decision (reviewing the account, documenting analysis, having the form signed) converts this from a pure unsolicited order into a supervised transaction, and that written risk acknowledgments do not cure suitability obligations. Additionally, the moderate risk tolerance is inconsistent with 71% single-stock concentration regardless of client direction.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1), Care Obligation requiring reasonable diligence, care, and skill in understanding the risks and costs and evaluating reasonably available alternatives; FINRA Rule 2111 (Suitability), including Supplementary Material .05 regarding customer-specific suitability even for customer-directed trades where the advisor has engaged substantively; FINRA Regulatory Notice 12-25 (discussing concentrated positions and suitability obligations); FINRA Notice to Members 04-89 (clarifying that customer consent or acknowledgment does not cure an unsuitable recommendation or strategy); FINRA Rule 3110 (Supervision) requiring firms to have procedures to identify and address concentration risk.

Adversarial Hypothetical 167

Topic: complex_products_unsophisticated_investor | Type: temporal_trap | Difficulty: expert

Fact Pattern

Martha Kendrick, age 71, is a retired school cafeteria worker with a \$185,000 IRA rollover from her pension, a high school diploma, no prior investment experience, and a stated annual income of \$24,000 from Social Security. In March 2019, her financial advisor, Derek Paulson at Meridian Wealth Partners, recommended

she invest \$55,000 (approximately 30% of her liquid net worth) into a non-traded Business Development Company (BDC) that invested in mezzanine loans to mid-market companies. The BDC had a 10-year lockup, paid an 8.5% distribution (partially from return of capital), carried front-end loads of 7%, and had limited secondary market liquidity. Paulson completed a product-specific training module on BDCs offered by the issuer, reviewed the offering memorandum, and documented in his notes that Martha wanted 'higher income than CDs' and was 'comfortable with the investment after explanation.' He checked her risk tolerance as 'moderate' on the new account form and noted a 10-year time horizon. Martha signed a customer acknowledgment form that listed the risks of BDCs including illiquidity, loss of principal, and return-of-capital distributions. In June 2020, Paulson's firm transitioned to a new compliance framework for all recommendations going forward. Martha made no additional purchases after March 2019. In January 2023, Martha needed funds for medical expenses and discovered she could not access the \$55,000 without selling on a secondary market at a 30% discount. She filed a complaint alleging the original recommendation was unsuitable.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the critical question is which standard applies. The recommendation was made in March 2019, which is before the June 30, 2020 effective date of Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1. Therefore, the applicable standard is the FINRA suitability framework under FINRA Rule 2111. Under Rule 2111, the advisor must satisfy three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability. While Paulson arguably satisfied reasonable-basis suitability by completing training and reviewing the offering documents, he failed customer-specific suitability. Martha's profile - age 71, \$24,000 fixed income, no investment experience, and a liquid net worth of \$185,000 - makes a 30% allocation to an illiquid, 10-year lockup BDC with a 7% front-end load clearly unsuitable. FINRA Regulatory Notice 13-31 specifically warns about heightened suitability obligations for complex products like non-traded BDCs sold to retail investors, emphasizing that customer acknowledgment forms do not cure an unsuitable recommendation. The 10-year time horizon notation is inconsistent with a 71-year-old retiree dependent on her assets for living expenses, and the moderate risk tolerance designation does not align with the high-risk, illiquid nature of BDCs. Additionally, FINRA Regulatory Notice 12-03 on complex products requires that advisors ensure customers can both understand and bear the risks. The fact that the firm later transitioned to a Reg BI framework in June 2020 is irrelevant to this March 2019 recommendation; Reg BI does not apply retroactively. Under FINRA Rule 2111 alone, this recommendation violated customer-specific suitability obligations.

Common Wrong Answer

A general LLM would likely either (1) analyze the case under Regulation Best Interest and apply its Care Obligation, Component Obligation, and Conflict of Interest Obligation framework - which is the wrong standard for a March 2019 recommendation - or (2) find no violation because the advisor completed product training, documented the customer's stated preferences, and obtained a signed risk acknowledgment, reasoning that these steps satisfied the advisor's obligations. Some models might also incorrectly conclude Reg BI applies retroactively due to the firm's 2020 compliance transition.

Why Adversarial

This scenario creates a temporal trap: many LLMs will analyze the recommendation under Regulation Best Interest (Reg BI), which did not take effect until June 30, 2020, more than a year after the March 2019 recommendation. The mention of the firm's June 2020 compliance transition is a deliberate red herring designed to confuse models into applying Reg BI's Care Obligation and its component analysis instead of FINRA Rule 2111's suitability framework. Additionally, the signed customer acknowledgment form and documented product training may cause models to find compliance, but under FINRA guidance, documentation of customer consent does not cure an objectively unsuitable recommendation. The combination of the temporal issue and the superficially thorough documentation creates a layered trap.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three components: reasonable-basis, customer-specific, and quantitative suitability; FINRA Regulatory Notice 12-03 (Heightened Supervision and Suitability Requirements for Complex Products); FINRA Regulatory Notice 13-31 (Non-Traded REITs and BDCs - suitability concerns); Note: Regulation Best Interest (Exchange Act Rule 15l-1, effective June 30, 2020) does NOT apply to this March 2019 recommendation.

Adversarial Hypothetical 168

Topic: inappropriate_risk_profile | Type: client_direction_trap | Difficulty: hard

Fact Pattern

James and Patricia Okonkwo are a married couple, both age 58, with a combined household income of \$410,000, liquid investable assets of \$2.8 million, a paid-off home valued at \$750,000, and no debt. James is a senior engineering manager and Patricia is a hospital administrator. Both hold graduate degrees and have been self-directed investors for 15 years, maintaining brokerage accounts where they have traded options, individual equities, and leveraged ETFs. In September 2023, they opened a new advisory account with Beacon Capital Advisors and were assigned to advisor Rachel Simmons. During the onboarding process, Rachel administered the firm's standard risk tolerance questionnaire. Based on their responses - which reflected their long experience with volatile investments and high comfort with market swings - the algorithm scored them as 'aggressive growth' investors. Their stated investment objective was capital appreciation with a 15-20 year time horizon. However, during a recorded onboarding call, James mentioned that \$400,000 of their \$2.8 million was earmarked as a 'safety net' in case either of them faced a health crisis or job loss, and he asked Rachel to 'just put it all together in one account to keep things simple - we'll mentally keep track of the safety net portion ourselves.' Rachel noted this comment in her CRM system but did not create a separate allocation strategy for the \$400,000. She invested the entire \$2.8 million in an aggressive growth portfolio: 75% equities (including 20% in small-cap growth and 10% in emerging markets), 15% in alternative investments (a hedge fund-of-funds and a private credit fund with 2-year lockups), and 10% in high-yield bonds. There was no cash or investment-grade bond allocation. Eighteen months later, during a market downturn, the portfolio declined 28%, and the Okonkwos discovered the \$400,000 safety-net portion had no downside protection. Patricia filed a complaint stating the advisor ignored their stated need for a conservative reserve.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Under Regulation Best Interest (Exchange Act Rule 15l-1), which applies to this September 2023 recommendation, the Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires the broker-dealer to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. The investment profile explicitly includes the customer's 'other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose.' The Okonkwos disclosed a specific liquidity need - a \$400,000 safety net for health emergencies or job loss - which Rachel documented. Under Reg BI, once a customer discloses such a need, the advisor has an obligation to consider it when formulating recommendations for the account. Investing the entire \$2.8 million, including the earmarked \$400,000, in an aggressive growth strategy with illiquid alternatives and no conservative allocation fails to address the disclosed liquidity need. The customer's request to 'keep it all in one account' does not relieve the advisor of this obligation; Reg BI does not permit advisors to defer to client instructions that contradict the client's own disclosed financial needs and situation. Under FINRA Rule 2111 (which also applies to FINRA member firms alongside Reg BI), customer-specific suitability requires matching recommendations to the customer's full profile, including disclosed needs. FINRA Regulatory Notice 12-25 clarifies that a customer's request to pursue a particular strategy does not excuse the broker from suitability obligations when the strategy conflicts with the customer's disclosed financial situation. Furthermore, Rachel's failure to account for the \$400,000 safety net in the investment allocation - despite documenting the client's stated need - demonstrates that she did not exercise the required reasonable diligence under Reg BI's Care Obligation. The fact that the clients were sophisticated and had aggressive risk tolerance for the remainder of their portfolio does not excuse the failure to address the explicitly disclosed conservative reserve need.

Common Wrong Answer

A general LLM would likely find no violation, reasoning that the Okonkwos are sophisticated, high-income investors with extensive experience in volatile products, who explicitly asked to consolidate into one aggressive account. The model would likely emphasize client autonomy, the valid aggressive risk score, the long time horizon, and the clients' statement that they would 'mentally track' the safety net themselves. It would conclude the advisor reasonably relied on the clients' direction and risk profile.

Why Adversarial

This is a client-direction trap. The Okonkwos are wealthy, sophisticated, experienced investors who specifically asked the advisor to consolidate everything into one aggressive account. Many LLMs will reason that because the clients (1) scored as aggressive growth, (2) have 15 years of experience with volatile products, (3) have high income and substantial assets, and (4) explicitly directed the advisor to keep things in one account, the advisor was simply following informed client instructions. The trap is that the client simultaneously disclosed a specific financial need (a \$400,000 safety reserve) that contradicts the aggressive-only approach, and under both Reg BI and FINRA suitability rules, the advisor cannot ignore disclosed financial needs merely because the client suggested a consolidation preference. The sophistication of the clients and the apparent reasonableness of the overall aggressive allocation for their profile obscures the targeted failure regarding the safety-net portion.

Applicable Standard

Regulation Best Interest - Exchange Act Rule 15l-1(a)(2)(ii)(B) (Care Obligation); FINRA Rule 2111

(Suitability) - customer-specific suitability component; FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-25 (additional guidance on customer-directed transactions and suitability); Regulation Best Interest Adopting Release (SEC Release No. 34-86031, June 5, 2019) discussing the obligation to consider all disclosed customer information including liquidity needs.

Adversarial Hypothetical 169

Topic: *mutual_fund_switching_churning* | Type: *threshold_trap* | Difficulty: *expert*

Fact Pattern

Margaret Olsen, age 58, is a retired school librarian with a \$320,000 portfolio consisting entirely of mutual funds held through a brokerage account at Pinnacle Financial Services. Her stated investment objective is 'growth and income' with a moderate risk tolerance. Her annual income from her pension is \$42,000, and she has no other liquid assets. Between January 2023 and December 2023, her advisor, Kevin Draper, executed 11 mutual fund switches across her account. Each switch involved selling one equity mutual fund family and purchasing a comparable fund in a different family - for example, selling a large-cap growth fund from American Funds and buying a substantially similar large-cap growth fund from Franklin Templeton, or selling an international equity fund from T. Rowe Price and buying a nearly identical one from MFS. In each case, Draper documented a rationale noting minor differences in expense ratios (ranging from 0.02% to 0.08% lower on the new fund), slightly different sector weightings, or marginally better trailing 3-month performance. Each switch generated a front-end sales load averaging 4.75% on the new purchase. Margaret's total front-end loads paid during the year came to approximately \$15,200 on aggregate purchases of roughly \$320,000 (some positions were switched more than once). The net effect of the expense ratio reductions, if sustained for 10 years, would have saved Margaret approximately \$1,800 in total fees. Margaret's account value at year-end was \$298,400, reflecting the load charges and modest market gains. Draper earned approximately \$9,800 in commissions from the switches. Margaret never complained and signed each transaction confirmation without objection, stating she trusted Kevin's judgment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a clear violation. Under FINRA Rule 2111 (Suitability) and its supplementary materials, as well as Regulation Best Interest (Reg BI) under the Securities Exchange Act Section 15(l), a broker-dealer must have a reasonable basis for recommending a transaction, and the recommendation must be in the customer's best interest at the time it is made. FINRA's specific guidance on mutual fund switching (FINRA Rule 2111.05(a) and FINRA Regulatory Notice 12-25) establishes that a series of recommended switches from one mutual fund to another is presumptively problematic when the customer incurs new sales charges without a corresponding material benefit. The quantitative analysis here is devastating: Margaret paid approximately \$15,200 in front-end loads to achieve projected savings of roughly \$1,800 over 10 years from marginally lower expense ratios. The breakeven period would far exceed any reasonable investment horizon, and the cost-benefit analysis is overwhelmingly negative. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must evaluate reasonably available alternatives and ensure the costs do not

outweigh the benefits. The turnover rate and cost-to-equity ratio further support churning. While churning traditionally requires control and excessive trading, the switching analysis does not require a showing of control - it requires only that the switches lacked reasonable basis. Draper's documentation of trivial expense ratio differences does not constitute a reasonable basis when the switching costs dwarf the savings. Margaret's consent and lack of complaint do not cure the violation; customer acquiescence does not relieve the advisor of the obligation to make suitable recommendations. FINRA has consistently held that even documented rationales are insufficient when the quantitative harm so dramatically exceeds the benefit.

Common Wrong Answer

A general LLM would likely say this is a borderline case or not a violation because the advisor documented specific reasons for each switch (lower expense ratios, different sector weightings, better performance), the client signed all confirmations without complaint, and the expense ratio reductions were real. The LLM might conclude that the advisor exercised reasonable judgment and that the client's consent ratified the transactions.

Why Adversarial

This scenario is adversarial because the advisor documented a seemingly legitimate rationale for each switch (lower expense ratios, better recent performance), which might lead a general LLM to conclude the switches were justified. The trap lies in the quantitative analysis: the LLM must recognize that \$15,200 in loads versus \$1,800 in projected savings over a decade makes the switches per se unreasonable regardless of the documentation. Many LLMs would focus on the fact that rationales were documented and the client consented, rather than performing the cost-benefit math that is central to mutual fund switching analysis. Additionally, the 11 switches in 12 months with some positions switched more than once pushes this well past any defensible threshold, but the individual transactions each look modest.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .05(a) on switching; FINRA Regulatory Notice 12-25 (Suitability and Mutual Fund Switching); Regulation Best Interest (17 CFR 240.15I-1), particularly the Care Obligation (17 CFR 240.15I-1(a)(2)(ii)); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); NASD IM-2310-2 (Fair Dealing with Customers with Regard to Investment Company Shares)

Adversarial Hypothetical 170

Topic: complex_products_unsophisticated_investor | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Roberto Garza, age 34, works as a line cook at a restaurant in San Antonio, Texas. He earns \$36,000 per year and has a total net worth of approximately \$55,000, including a \$28,000 savings account and a \$27,000 brokerage account at Meridian Wealth Advisors. Roberto has a high school diploma and no formal financial education. His account paperwork lists his investment experience as 'limited - stocks only' with a 'speculative' risk tolerance and 'aggressive growth' objective, which Roberto selected himself on the online account application. In March 2024, Roberto contacted his advisor, Danielle Chu, and specifically

requested that she purchase \$20,000 worth of a leveraged inverse ETF (ProShares UltraPro Short QQQ, a 3x leveraged product designed to return three times the inverse of the daily performance of the Nasdaq-100). Roberto explained that his cousin, who works at a hedge fund, told him that technology stocks were about to crash and that this product would triple his money. Roberto sent Danielle three follow-up emails insisting on the purchase, writing in one: 'I understand this is risky, I've done my own research on YouTube, and I want to go all-in on this trade. Please execute immediately.' Danielle responded by sending Roberto the fund's prospectus summary, the leveraged/inverse ETF risk disclosure document required by her firm, and a one-page plain-language explanation she personally wrote describing how daily reset mechanics cause long-term returns to diverge significantly from the expected multiple of the index return. She also called Roberto and spent 15 minutes on a recorded line explaining that the product was designed for single-day holding periods and that holding it for weeks or months could result in substantial losses even if the Nasdaq ultimately declined. Roberto confirmed on the recorded call that he understood and wanted to proceed. Danielle then executed the trade. Roberto held the position for four months. During that period, the Nasdaq-100 declined approximately 5%, but due to the daily reset and volatility drag, Roberto's leveraged inverse ETF position lost 11% of its value instead of gaining the expected 15%. Roberto filed a complaint alleging the product was unsuitable for him.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the extensive disclosures and client direction. Under Regulation Best Interest (17 CFR 240.15l-1) and FINRA Rule 2111, a broker's obligation to act in the customer's best interest is not discharged merely by providing disclosures and obtaining informed consent. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation - or in this case, the acquiescence to a customer-directed trade in a complex product - is in the customer's best interest considering the customer's investment profile. FINRA Regulatory Notice 09-31 specifically addresses leveraged and inverse ETFs, stating that these products are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' While Roberto's risk tolerance was listed as 'speculative' and his objective as 'aggressive growth,' his overall investment profile - limited investment experience, \$36,000 income, \$55,000 total net worth, high school education, and reliance on informal advice from a family member and YouTube - makes a \$20,000 position (representing approximately 36% of his net worth and 74% of his brokerage account) in a 3x leveraged inverse ETF unsuitable regardless of his self-selected risk tolerance. Under FINRA's customer-specific suitability obligation (Rule 2111.05(c)), the advisor must consider the customer's entire financial situation, not merely the customer's stated preferences. The fact that the customer directed the trade does not relieve the advisor of the obligation to refuse to execute an unsuitable transaction. Reg BI's Care Obligation explicitly applies regardless of whether the transaction was solicited or unsolicited. Danielle's disclosures were commendable but legally insufficient to convert an unsuitable transaction into a compliant one. The concentration of 36% of net worth in a single 3x leveraged product, held by someone with no sophisticated investment experience, constitutes a violation even where the client demanded the trade.

Common Wrong Answer

A general LLM would likely say this is NOT a violation because: (1) the trade was unsolicited and directed

by the client, (2) the advisor provided extensive disclosures including the prospectus, risk disclosure, and a personal explanation, (3) the client confirmed understanding on a recorded call, (4) the client's account was marked as speculative/aggressive growth, and (5) the advisor went above and beyond in trying to educate the client. The LLM would likely conclude the advisor had no obligation to override the client's clearly expressed wishes after providing full disclosure.

Why Adversarial

This is extremely adversarial because the advisor appears to have done everything right: she provided the prospectus, the firm's risk disclosure, her own plain-language explanation, conducted a recorded phone call, and the client repeatedly and emphatically directed the trade. A general-purpose LLM would likely conclude that the advisor fulfilled her duties through disclosure and that the client assumed the risk by directing the trade despite warnings. The trap requires knowing that under both Reg BI and FINRA suitability rules, disclosure alone does not cure unsuitability, customer direction does not override the advisor's independent obligation, and self-selected risk tolerance on an account application does not control when the customer's actual financial profile contradicts the stated tolerance. Additionally, many LLMs incorrectly treat unsolicited trades as exempt from suitability requirements - while pre-Reg BI this was partially true for broker-dealers, under Reg BI all recommendations and the broader duty of care apply, and FINRA Regulatory Notice 12-25 and the 2023 Reg BI guidance make clear that facilitating a complex product purchase requires independent analysis.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1), particularly the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)(A)-(B)); FINRA Rule 2111 (Suitability), including customer-specific suitability (Rule 2111.05(c)); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Regulatory Notice 12-03 (Complex Products and the New Suitability Rule); FINRA Rule 2010 (Standards of Commercial Honor); SEC Staff Bulletin on Regulation Best Interest (2022, 2023 updates regarding complex products)

Adversarial Hypothetical 171

Topic: *mutual_fund_switching_churning* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Colwell, age 58, a school librarian earning \$52,000 per year with \$310,000 in retirement savings, had an account at Bridgewater Securities managed by advisor David Kensington from January 2018 through December 2020. In March 2019, Kensington recommended Margaret switch from the American Funds Growth Fund of America (Class A shares, 5.75% front-end load) into the Fidelity Contrafund (Class A shares, 5.75% front-end load). The rationale documented in Kensington's notes was that Fidelity Contrafund had outperformed the American Funds fund by 1.2% annually over the prior three years. The switch involved \$185,000. Margaret paid \$10,637.50 in new front-end sales charges on the Contrafund purchase. Kensington earned a commission of \$7,400 on the transaction. Margaret had only held the American Funds position for 14 months. In June 2020, Kensington recommended another switch - this time from Fidelity Contrafund into JPMorgan Large Cap Growth Fund (Class A shares, 5.25% front-end load), again citing a slight recent performance edge of 0.9% over the trailing 12 months. Margaret paid another \$9,712.50 in loads on this \$185,000 switch. Kensington's total commissions across both switches were

\$14,200. At no point did Kensington document a comparison of the funds' expense ratios, risk profiles, or tax consequences. He did not consider or document whether no-load share classes or advisory fee-based accounts were available. Margaret's account value, after deducting all loads, was approximately \$164,650 by December 2020 - a net loss of \$20,350 from the original \$185,000, despite the underlying funds having positive returns during the period. Kensington's firm transitioned from the prior suitability framework to a new best interest compliance framework effective June 30, 2020, implementing the new standards that took effect that day.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, violations occurred under both the old and new standards, but the analysis differs for each transaction. The March 2019 switch is evaluated under FINRA Rule 2111 (Suitability) and specifically FINRA Rule 2111.05(a), the quantitative suitability component, as well as FINRA Regulatory Notice 12-25, which addresses mutual fund switching. Under the suitability standard, a switch recommendation must have a reasonable basis demonstrating that the new fund offers benefits sufficient to offset the costs of the switch, including new sales charges, potential surrender fees, and tax consequences. Kensington's documented rationale - a 1.2% trailing performance differential - is insufficient because: (1) past performance does not guarantee future results and a 1.2% edge does not overcome a 5.75% front-end load that effectively creates a 5.75% hurdle the new fund must clear; (2) he failed to compare expense ratios, risk characteristics, tax implications, or the availability of breakpoint discounts, rights of accumulation, or letters of intent under FINRA Rules 2341 and NTM 03-54; (3) no consideration was given to no-load share classes. This is a classic unsuitable switch under FINRA Rule 2111 and Regulatory Notice 12-25. The June 2020 switch is evaluated under Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, which took effect June 30, 2020. The recommendation was made in June 2020, coinciding with the effective date. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the costs, risks, and alternatives and ensure the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The second switch fails under the Care Obligation because: (1) a 0.9% trailing 12-month performance differential is even less justification than before, (2) cumulative load costs of over \$20,000 on serial switches plainly placed advisor compensation ahead of customer interest, (3) no cost-benefit analysis or documentation of alternatives was performed. Additionally, the pattern of two switches within 15 months generating \$14,200 in commissions on a \$185,000 position for a moderate-income pre-retiree raises quantitative unsuitability concerns. The cost-to-equity ratio created by the loads alone exceeds reasonable thresholds for a buy-and-hold investor.

Common Wrong Answer

A general LLM would likely say the March 2019 switch is borderline compliant because the advisor documented a performance-based rationale, or it might apply Reg BI retroactively to the 2019 transaction. Some models might also incorrectly conclude that the June 2020 switch is governed by the old suitability standard because the recommendation was discussed before June 30, or they might fail to recognize that a small performance differential cannot justify paying a full front-end load again.

Why Adversarial

This scenario is adversarial because: (1) the temporal trap requires the model to correctly identify that the June 2020 transaction straddles the exact effective date of Regulation Best Interest (June 30, 2020) and

determine which standard applies to each transaction - many LLMs will apply only one standard to both; (2) the surface-level facts show the advisor had a documented rationale (performance differential) for each switch, which might trick a model into finding compliance; (3) the model must know that short-term performance differentials do not justify switches when front-end loads create a cost hurdle, a nuance specific to mutual fund switching analysis; (4) the model must recognize that the absence of cost-benefit documentation is itself a violation under both frameworks, not merely a procedural deficiency.

Applicable Standard

FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Quantitative Suitability); FINRA Regulatory Notice 12-25 (Mutual Fund Switching); FINRA Rules 2341 (Investment Company Securities); FINRA NTM 03-54 (Breakpoints); Regulation Best Interest, 17 CFR § 240.15l-1 (Care Obligation, Cost-Benefit Analysis, Conflict of Interest Obligation); SEC Release No. 34-86031 (Reg BI Adopting Release)

Adversarial Hypothetical 172

Topic: leveraged_etf_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Carlos Medina, age 71, is a retired mechanical engineer with a \$1.4 million portfolio, \$3,200 per month in Social Security income, and a moderate risk tolerance documented on his new account form. Carlos has 40 years of investing experience, holds a Series 7 license from a prior career as a broker in the 1990s (now inactive), and regularly reads financial research. In February 2023, Carlos contacted his advisor, Rachel Pham, at Summit Wealth Advisors and specifically requested that she purchase \$70,000 worth of the Direxion Daily Semiconductor Bull 3X Shares (SOXL), a triple-leveraged ETF that seeks 300% of the daily return of the ICE Semiconductor Index. Carlos told Rachel he had been following the semiconductor sector closely, believed AI-driven demand would push semiconductor stocks significantly higher over the next 6 to 12 months, and wanted leveraged exposure. He stated he understood the daily reset mechanism and the risk of volatility decay. Rachel documented Carlos's request and his stated understanding in her notes. She also prepared a one-page summary of leveraged ETF risks - including daily compounding, volatility drag, and potential for total loss - which Carlos signed and dated. Rachel executed the trade. Carlos intended to hold SOXL for approximately 9 months. By November 2023, the position had appreciated to \$112,000, and Carlos sold at a \$42,000 profit. Rachel earned a standard commission of \$150 on the initial purchase. At no point did Rachel perform or document an independent analysis of whether a triple-leveraged ETF with a 9-month intended holding period was consistent with Carlos's moderate risk profile and retirement status, nor did she consider or present non-leveraged semiconductor ETF alternatives such as SOXX or SMH.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Rachel Pham likely violated applicable standards despite the client's direction, sophistication, and profitable outcome. Under Regulation Best Interest (17 CFR § 240.15l-1), which applies to broker-dealer recommendations as of June 30, 2020, when Rachel executed the client-directed trade but effectively acquiesced to and facilitated a strategy, she had obligations under the Care Obligation. Even though Carlos

initiated the request, Rachel's execution without independent analysis constitutes an implicit recommendation or, at minimum, a failure to exercise reasonable diligence. Under FINRA Regulatory Notice 09-31 (Non-Traditional ETFs), FINRA explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. A 9-month intended holding period for a 3x leveraged ETF is directly contrary to this guidance. Carlos's moderate risk tolerance, retirement status, and age (71) create additional suitability concerns. His sophistication and prior Series 7 license do not relieve Rachel of her independent obligation to evaluate suitability. Under FINRA Rule 2111.05(c), a customer's stated investment experience and knowledge may be factors, but they do not eliminate the advisor's obligation to perform a reasonable-basis and customer-specific suitability analysis. The fact that Carlos signed a risk disclosure is a mitigating factor but does not constitute a safe harbor - FINRA has consistently held that disclosure alone does not cure an unsuitable recommendation. Under Reg BI's Care Obligation, Rachel was required to exercise reasonable diligence, care, and skill to understand the product and evaluate whether it was in Carlos's best interest, considering reasonably available alternatives like non-leveraged semiconductor ETFs (SOXX, SMH). She failed to perform or document any such comparative analysis. The profitable outcome is irrelevant to the suitability and best interest analysis - violations are assessed at the time of the recommendation, not in hindsight. However, it should be noted that if the transaction was purely unsolicited and Rachel provided no recommendation whatsoever, Reg BI's Care Obligation would not apply. The critical factual question is whether Rachel's actions - preparing risk disclosures, executing the trade without pushing back, earning a commission - constituted an implicit recommendation. Under FINRA's broad interpretation of 'recommendation' in Regulatory Notice 11-02, the totality of circumstances including the advisor-client relationship and the advisor's facilitation likely qualifies this as at least an implicit recommendation.

Common Wrong Answer

Most general LLMs would conclude this is not a violation because: (1) the client directed the trade and demonstrated deep knowledge of the product, (2) the client had relevant professional background (inactive Series 7), (3) the advisor obtained signed risk disclosures, (4) the trade was profitable, and (5) the position size (\$70,000 out of \$1.4 million) was only 5% of the portfolio, seemingly reasonable. The model would likely say the advisor acted appropriately by documenting the client's understanding and obtaining acknowledgment.

Why Adversarial

This is a client direction trap combined with a knowledge trap. Multiple factors push toward a finding of no violation: (1) the client explicitly requested the product; (2) the client was highly sophisticated with relevant professional credentials; (3) the client articulated understanding of the specific risks; (4) the advisor obtained a signed risk acknowledgment; (5) the trade was profitable. A general LLM would likely weigh all of these factors and conclude no violation. However, the correct analysis requires knowing that: (a) FINRA RN 09-31 specifically flags holding leveraged ETFs beyond one day; (b) client sophistication does not relieve the advisor's independent suitability obligation under FINRA Rule 2111.05(c); (c) signed risk disclosures are not a safe harbor; (d) the profitable outcome is irrelevant; and (e) the absence of any documented independent analysis or consideration of alternatives is itself a deficiency under Reg BI's Care Obligation.

Applicable Standard

Regulation Best Interest, 17 CFR § 240.15l-1 (Care Obligation, Reasonably Available Alternatives); FINRA

Rule 2111 (Suitability - Reasonable-Basis and Customer-Specific); FINRA Rule 2111.05(c) (Customer Investment Profile factors); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs - suitability concerns for holding periods beyond one trading day); FINRA Regulatory Notice 11-02 (Definition of 'Recommendation'); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision)

Adversarial Hypothetical 173

Topic: *variable_annuity_unsuitable* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Holloway, age 71, retired school principal with a \$620,000 portfolio consisting of municipal bonds and CDs, visited her longtime broker David Kantor at Meridian Wealth Partners on May 15, 2020. Margaret had a moderate risk tolerance, needed \$2,800/month in supplemental income, and had no dependents. David recommended she move \$310,000 into a variable annuity with a Guaranteed Minimum Income Benefit rider issued by Pacific Guardian Life. The annuity carried a 7-year surrender period with charges starting at 8%, a mortality and expense charge of 1.35%, underlying subaccount fees averaging 0.85%, and the GMIB rider cost an additional 0.95% annually. David documented that the GMIB rider would protect Margaret's income floor against market downturns and that the tax-deferred growth would benefit her long-term. He noted that Margaret's existing municipal bond income was already tax-advantaged. David completed the transaction on June 3, 2020. Meridian Wealth Partners had operated as a broker-dealer only through May 31, 2020, but effective June 1, 2020, also became a registered investment adviser and opened fee-based advisory accounts for many existing clients. However, Margaret's variable annuity purchase was processed through the traditional brokerage commission channel, not through the new advisory platform. David earned a 5.5% commission (\$17,050) on the sale. The firm's compliance department approved the transaction on June 2, 2020, noting it was reviewed under the firm's legacy brokerage suitability framework. Margaret discovered 14 months later that surrender charges would consume \$24,800 if she needed to access her principal, and that the total annual cost drag on her \$310,000 was approximately \$9,765 (3.15% all-in), substantially eroding the income she needed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, and the temporal issue makes it worse, not better. The transaction was recommended on May 15, 2020, but executed on June 3, 2020. The critical date is June 30, 2020, when Regulation Best Interest (Reg BI) under the Securities Exchange Act Section 15(l) became fully effective, replacing the former FINRA Rule 2111 suitability standard for broker-dealer recommendations. However, because the transaction was executed on June 3, 2020 - before Reg BI's compliance date - it falls under the legacy FINRA suitability framework. Even under FINRA Rule 2111 (Suitability) and specifically FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), this transaction is a violation. Rule 2330(b) requires that the member or associated person have a reasonable basis to believe that the customer has been informed of the features of deferred variable annuities, that the deferred variable annuity as a whole and the underlying subaccounts are suitable, and specifically that the customer would benefit from certain features such as tax-deferred growth, annuitization, or death benefits. Here,

Margaret already held tax-advantaged municipal bonds, negating the tax-deferral benefit - placing \$310,000 of tax-advantaged money into a tax-deferred wrapper adds cost without tax benefit. The 7-year surrender period is problematic for a 71-year-old who needs income and liquidity. The all-in annual cost of 3.15% (\$9,765/year) on a \$310,000 investment severely undermines the income objective of \$2,800/month. The GMIB rider, while superficially protective, typically requires annuitization to access the guarantee - something rarely beneficial for a 71-year-old with moderate risk tolerance who needs current income and liquidity. Additionally, FINRA Regulatory Notice 12-25 emphasizes that high costs and long surrender periods for elderly customers with income needs are strong indicators of unsuitability. The compliance department's approval does not insulate the advisor; Rule 2330(c) requires principal review but the principal's approval of an unsuitable transaction does not cure the underlying suitability deficiency.

Common Wrong Answer

Many models would either (1) incorrectly apply Reg BI because the execution date is close to the compliance date, then analyze under the Care Obligation framework, or (2) find no violation because the advisor documented his reasoning, the GMIB rider appears to address the client's income protection concern, and the firm's compliance department approved the transaction - concluding that the advisor met the suitability standard because he had a 'reasonable basis' for the recommendation.

Why Adversarial

The temporal trap is designed to confuse AI models about which standard applies. The recommendation date (May 15, 2020), execution date (June 3, 2020), and Reg BI effective date (June 30, 2020) create a narrow window that many models will misanalyze. A general LLM might incorrectly apply Reg BI and its Care Obligation, or might conclude that the pre-Reg BI suitability standard is more lenient and therefore the transaction passes. Additionally, the GMIB rider and compliance department approval create surface-level appearances of legitimacy. The real trap is that even under the older, arguably less rigorous FINRA suitability standard and specifically Rule 2330's heightened requirements for variable annuities, this transaction clearly fails due to the customer's age, income needs, existing tax-advantaged holdings, cost drag, and surrender period.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) - requiring reasonable basis to believe customer benefits from VA features including tax deferral, annuitization, death benefit, and that surrender charges, rider costs, and underlying fees are suitable given customer profile; FINRA Regulatory Notice 12-25 (heightened suitability concerns for complex products sold to seniors); SEC Regulation Best Interest NOT applicable as compliance date was June 30, 2020 and transaction was executed June 3, 2020.

Adversarial Hypothetical 174

Topic: lack_of_diversification | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Robert and Diane Cheng, both age 54, had a combined net worth of \$4.2 million, of which \$1.9 million was

held in a joint brokerage account at Lakeshore Financial Group managed by their advisor, Patricia Navarro. The Chengs had a growth-oriented risk profile, a 10+ year investment horizon, and significant experience investing in technology stocks dating back to 1998. In March 2023, Robert - a senior engineer at a semiconductor firm - became convinced that the artificial intelligence sector would dominate for the next decade. He emailed Patricia on March 12, 2023, writing: 'We want to go heavy into AI. Move 75% of the portfolio into NVIDIA, AMD, Broadcom, Microsoft, Alphabet, and Amazon - equal weight. We've done extremely well timing tech before and we're comfortable with concentration risk. Please execute by end of week.' Patricia responded by email on March 13 noting she understood their enthusiasm but suggested they consider maintaining at least some allocation to other sectors. Robert replied the same day: 'Appreciate the thought but we've made up our minds. This is a once-in-a-generation opportunity. Please proceed.' Patricia executed the trades on March 14, 2023, concentrating approximately \$1,425,000 (75%) of the \$1.9 million account into six technology/AI-related stocks in roughly equal proportions. She documented the client's direction in the account notes, saved all email correspondence, and noted the Chengs' extensive tech investing experience and high risk tolerance. She did not obtain a signed written acknowledgment of the concentration risk. The remaining \$475,000 was kept in a diversified mix of index funds. By December 2023, the concentrated positions had appreciated to approximately \$2.1 million. However, the Chengs later filed a complaint alleging Patricia should have refused to concentrate 75% of their account in a single sector.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Patricia likely did not violate the applicable suitability or best interest requirements, though this is a close call that turns on several factors. Under Regulation Best Interest (applicable as of June 30, 2020, for broker-dealer recommendations), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations. However, when a customer directs specific transactions after the advisor has provided a recommendation against concentration, the analysis shifts significantly. Under FINRA Rule 2111 (Suitability), the customer-specific suitability obligation requires the advisor to have a reasonable basis to believe the recommendation is suitable for the particular customer. Critically, FINRA has distinguished between 'recommended' transactions and 'unsolicited' or client-directed transactions. FINRA Regulatory Notice 12-25 and the Suitability FAQ (FINRA Rule 2111 FAQ, Q7.4) clarify that the suitability rule applies to recommendations, not to unsolicited orders. Here, Patricia initially expressed concern and suggested diversification - this constitutes an implicit recommendation to maintain diversification. The client explicitly overrode that suggestion. The trades were therefore unsolicited/client-directed, not advisor-recommended. Patricia's documentation supports this: the email chain shows client initiation and direction, her pushback, and the client's insistence. The Chengs' profile further supports the reasonableness: combined net worth of \$4.2 million (the \$1.9 million account represents 45% of total net worth), extensive technology investing experience since 1998, growth-oriented risk tolerance, 10+ year horizon, and Robert's professional expertise in semiconductors. The six stocks chosen are large-cap, highly liquid blue-chip technology companies - not speculative small-cap positions. While 75% sector concentration is aggressive, the overall household diversification (remaining assets outside this account) and client sophistication are mitigating. Under Reg BI's Care Obligation, the advisor is not required to refuse a client-directed trade; the obligation attaches to recommendations. Patricia made no affirmative recommendation to concentrate. The lack of a signed written concentration risk acknowledgment

is a best-practice gap but not a regulatory requirement under current rules. FINRA Rule 2330's written acknowledgment requirement applies specifically to deferred variable annuity exchanges, not general equity concentration.

Common Wrong Answer

Most models would find a violation, reasoning that: (1) concentrating 75% of a portfolio in a single sector is inherently unsuitable regardless of who requested it, (2) the advisor had a duty to refuse the client's direction, (3) the lack of a signed written acknowledgment of concentration risk constitutes a documentation failure that creates liability, and (4) the advisor's duty of care requires protecting the client from their own poor decisions. Models would likely cite a general duty to diversify and conclude Patricia should have either refused the trades or obtained formal written consent.

Why Adversarial

This is a client direction trap that exploits the common assumption that an advisor must always refuse to execute concentrated positions. General-purpose AI models tend to default to finding a violation whenever they see 75% concentration in a single sector, regardless of who initiated the strategy. The trap is layered: (1) the high concentration percentage triggers an automatic 'violation' instinct, (2) many models conflate recommendations with client-directed trades, (3) the absence of a signed written acknowledgment appears like a documentation failure but is not actually required, (4) the Chengs' later complaint creates a narrative bias toward finding wrongdoing, and (5) the fact that the positions appreciated makes it seem like a results-oriented analysis is needed. The correct analysis requires understanding the critical distinction between recommended and unsolicited transactions under both FINRA suitability rules and Reg BI.

Applicable Standard

SEC Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation applies to recommendations, not client-directed trades; FINRA Rule 2111 (Suitability) - applies only to recommended transactions per FINRA Rule 2111 FAQ Q7.4 and FINRA Regulatory Notice 12-55; FINRA Rule 2111.05(a) - explicit guidance that customer-specific suitability applies to recommended transactions; FINRA Regulatory Notice 12-25 - guidance on concentration and suitability for specific customer profiles; the distinction between solicited/recommended transactions and unsolicited/client-directed transactions is central to both the legacy suitability framework and Reg BI's Care Obligation.

Adversarial Hypothetical 175

Topic: *lack_of_diversification* | Type: *client_direction_trap* | Difficulty: *expert*

Fact Pattern

Margaret Kowalski, age 71, is a retired schoolteacher with \$620,000 in savings, consisting of a \$400,000 IRA rollover and \$220,000 in a taxable brokerage account, both held at Ridgeline Financial Services. Her stated investment objectives on her account opening documents are 'income and preservation of capital,' her risk tolerance is marked 'moderate,' and her time horizon is listed as '10-15 years.' Her annual pension income is \$38,000 and Social Security is \$22,000 per year. She has no other assets aside from her home, which is paid off. In March 2023, Margaret's financial advisor, Daniel Huang, recommended a diversified portfolio of 60% investment-grade bond funds, 25% dividend-paying blue chip equity funds, and 15% in a

money market fund. Margaret rejected this recommendation in writing, stating: 'My late husband worked at Dominion Energy for 35 years and I want to honor his legacy. Please invest everything in Dominion Energy stock.' Daniel explained the risks of concentrating her entire portfolio in a single utility stock, including sector risk, single-issuer risk, and the potential impact on her retirement income if the stock declined. He documented this conversation in a detailed memo, had Margaret sign an acknowledgment of the risks, and even had his branch manager co-sign the acknowledgment. Margaret insisted, and Daniel executed the trades, purchasing approximately \$620,000 worth of Dominion Energy common stock across both accounts. Over the next 14 months, Dominion Energy shares declined 22%, reducing Margaret's portfolio to approximately \$483,600. Margaret filed a complaint alleging that Daniel should never have allowed her to concentrate her entire retirement savings in a single stock regardless of her wishes.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Daniel Huang violated applicable standards despite the client's written direction and his documentation efforts. Under FINRA Rule 2111 (Suitability), an advisor has three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Even when a customer directs a specific transaction, customer-specific suitability still requires the advisor to have a reasonable basis for believing the recommendation - or in this case, the execution of an unsolicited strategy - is suitable for that particular customer. Critically, FINRA Regulatory Notice 12-25 clarifies that a broker cannot simply rely on customer direction to avoid suitability obligations when the broker 'recommends' a strategy or executes a strategy that the broker knows or should know is unsuitable. While Margaret directed the trades, Daniel had an independent obligation to refuse to execute a strategy he knew was unsuitable. Concentrating 100% of a 71-year-old retiree's liquid retirement assets in a single equity security - when her stated objectives are income and capital preservation with moderate risk tolerance - is a textbook suitability violation. The documentation of warnings does not cure the violation; it merely evidences that the advisor knew the strategy was unsuitable and proceeded anyway. Under Regulation Best Interest (Reg BI), effective since June 30, 2020, the Care Obligation under 17 CFR § 240.15l-1(a)(2)(ii) requires that the broker exercise reasonable diligence, care, and skill to have a reasonable basis to believe the recommendation or resulting investment strategy is in the retail customer's best interest. The fact that Daniel recommended a suitable portfolio and the client rejected it does not relieve him of responsibility - he should have declined to execute the concentrated position or, at minimum, limited execution and escalated the matter through compliance. Under FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), facilitating a clearly unsuitable strategy can also constitute a violation of just and equitable principles of trade. The branch manager's co-signature on the acknowledgment actually worsens the firm's exposure, as it demonstrates supervisory awareness under FINRA Rule 3110.

Common Wrong Answer

No violation. The advisor recommended a suitable diversified portfolio, the client rejected it, the advisor thoroughly documented the risks and obtained written acknowledgment including supervisory sign-off, and the client directed the trades. The advisor fulfilled his obligations by warning the client and cannot override the client's autonomous investment decisions.

Why Adversarial

This is a client direction trap because most general-purpose AI models will focus heavily on the client's

written insistence, the advisor's thorough documentation, the signed risk acknowledgment, and the branch manager's involvement, and conclude that the advisor satisfied his obligations through disclosure and documentation. Many LLMs incorrectly apply a 'buyer beware' framework or conflate unsolicited trades with freedom from suitability obligations. The trap is that documentation of known unsuitability does not cure the violation - it actually strengthens the evidence of a violation by proving the advisor had actual knowledge that the strategy was unsuitable. The multi-layered documentation makes it appear more compliant, not less, which is the core of the adversarial design.

Applicable Standard

FINRA Rule 2111 (Suitability) including customer-specific suitability obligations; FINRA Regulatory Notice 12-25 (FAQ on Suitability, clarifying that customer direction does not automatically relieve suitability obligations); SEC Regulation Best Interest, 17 CFR § 240.15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision)

Adversarial Hypothetical 176

Topic: unsuitable_income_investor | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Harold Pemberton, age 67, retired in January 2024 from his position as a facilities manager. He has \$810,000 in a rollover IRA at Clearwater Wealth Advisors and \$95,000 in a savings account at a local bank. His monthly expenses are \$5,200, and his only guaranteed income is Social Security at \$2,400 per month, leaving a monthly shortfall of \$2,800 that must come from his investment portfolio. Harold's account documents list his investment objective as 'current income,' risk tolerance as 'moderate,' time horizon as '20+ years' (reflecting actuarial life expectancy), and annual income need from the portfolio as '\$33,600.' His advisor, Priya Nair, conducted extensive research into income-generating strategies. She reviewed Morningstar analyses, consulted her firm's fixed-income research desk, and attended a continuing education seminar on retirement income planning. Based on her research, Priya allocated Harold's \$810,000 IRA as follows: 40% (\$324,000) in a diversified portfolio of closed-end bond funds trading at 5-12% discounts to NAV and yielding an average of 7.8%, funded partially through leverage internal to the funds (average leverage ratio of 32%); 30% (\$243,000) in a portfolio of business development companies (BDCs) yielding an average of 10.2%; 20% (\$162,000) in high-yield corporate bond ETFs yielding 6.5%; and 10% (\$81,000) in a Treasury money market fund. The blended portfolio yield was approximately 8.1%, generating roughly \$65,600 annually - nearly double Harold's stated income need. Priya's rationale, documented in her files, stated that the excess income provided a 'cushion' against potential distribution cuts and that the high yield compensated Harold for taking on additional risk. She noted that the portfolio was 'diversified across multiple income-generating asset classes.' For the first eight months, Harold received consistent monthly distributions averaging \$5,400. Then, in September 2024, rising interest rates caused his closed-end funds to drop 18% in value as their leverage amplified losses, several BDCs cut distributions by 30-40%, and his total portfolio value fell to \$641,000. His monthly income from the portfolio dropped to approximately \$3,100.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Priya Nair violated suitability and best interest standards despite her documented research efforts. The violation is rooted in the distinction between reasonable-basis suitability and customer-specific suitability under FINRA Rule 2111. While Priya may have satisfied reasonable-basis suitability by conducting research into the individual product categories (closed-end funds, BDCs, high-yield bonds), she failed customer-specific suitability. Harold is a 67-year-old retiree with a moderate risk tolerance who depends on his portfolio for essential living expenses - the \$2,800 monthly shortfall is not discretionary but covers basic needs. Allocating 70% of a retiree's essential-income portfolio to leveraged closed-end funds and BDCs - which are inherently high-risk, illiquid or semi-liquid, and subject to significant NAV volatility and distribution cuts - is inconsistent with a moderate risk tolerance and a current income objective where the income is needed for necessities. Under Regulation Best Interest (17 CFR § 240.15l-1), the Care Obligation requires that the advisor consider reasonably available alternatives. A portfolio of investment-grade bonds, Treasury securities, and high-quality dividend equities could have met Harold's actual income need of \$33,600 (a 4.15% withdrawal rate on \$810,000) without requiring leveraged or high-risk instruments. The fact that Priya targeted nearly double the required income (8.1% yield vs. the needed 4.15%) is itself evidence that she was over-reaching for yield in a manner inconsistent with Harold's risk profile. The 'cushion' rationale is flawed because it increased the probability of catastrophic loss to the very income stream Harold depended on. FINRA Regulatory Notice 12-03 specifically addresses the complexity and risks of leveraged products and business development companies for retail investors, noting heightened suitability concerns. The portfolio's 'diversification' across multiple high-risk income asset classes does not constitute meaningful diversification when all holdings share correlated risk factors (credit risk, interest rate sensitivity, leverage). Under FINRA Rule 2111.05(a), the advisor's documented research actually works against her because it shows she understood the risk characteristics of these instruments but nonetheless deployed them in a portfolio for a client whose profile did not support such risk exposure.

Common Wrong Answer

No violation. The advisor conducted thorough research, documented her rationale, diversified across multiple income-generating asset classes, and generated income well in excess of the client's needs, providing a protective cushion. The subsequent losses were due to unforeseeable interest rate movements, which constitute normal market risk. The advisor acted diligently and the strategy was reasonable given the client's income objectives.

Why Adversarial

This scenario is designed as a reasonable-basis trap. The advisor performed genuine, documented research - Morningstar analysis, firm research desk consultation, continuing education - and constructed a portfolio that superficially appears diversified across multiple asset classes and initially performed well, generating ample income. A general-purpose LLM is likely to credit the research process and the apparent diversification, concluding that reasonable-basis suitability was met and that the subsequent losses were simply market risk. The trap is that reasonable-basis suitability and customer-specific suitability are distinct obligations; satisfying one does not satisfy the other. The portfolio's risk profile (leverage, BDC exposure, high-yield concentration) is fundamentally mismatched with the client's moderate risk tolerance and essential income needs, regardless of how much research went into selecting the individual components. The initially strong performance further obscures the violation.

Applicable Standard

FINRA Rule 2111 (Suitability), particularly the distinction between reasonable-basis suitability (Rule 2111.05(a)) and customer-specific suitability (Rule 2111.05(b)); SEC Regulation Best Interest, 17 CFR § 240.15l-1(a)(2)(ii) (Care Obligation) including the requirement to consider reasonably available alternatives; FINRA Regulatory Notice 12-03 (heightened supervision of complex products); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 177

Topic: inappropriate_risk_profile | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Chen, age 62, opened a brokerage account with Pinnacle Securities in March 2019. At account opening, she completed a risk questionnaire indicating she was a conservative investor with a primary goal of capital preservation, a 5-year investment horizon, annual income of \$85,000 from her position as a school administrator, liquid net worth of \$420,000, and no tolerance for losses exceeding 10%. Her advisor, David Kowalski, placed her in a portfolio of investment-grade bonds (60%), blue-chip dividend stocks (25%), and money market funds (15%). In January 2020, Margaret called David and mentioned she had attended a seminar about growth investing and was intrigued. David noted the call but did not update her risk profile. In May 2020, Margaret called again during the COVID market dip and said she wanted to 'take advantage of low prices' by moving 40% of her portfolio into a diversified mix of technology ETFs. David discussed the increased volatility and potential for losses exceeding her stated 10% threshold. Margaret insisted, and David sent her a letter summarizing the risks, which she signed and returned. David then executed the trades on June 3, 2020, moving approximately \$168,000 into four technology-focused ETFs. He did not, however, update her formal risk profile or account documentation from 'conservative' to a higher risk category. By December 2020, the tech ETFs had gained 38%, and Margaret's overall portfolio was up 22%. In February 2021, the tech sector corrected and Margaret's portfolio dropped 14% from its peak. Margaret filed a complaint in April 2021 alleging that David had placed her in investments inconsistent with her risk profile. At the time the trades were made in June 2020, Pinnacle Securities was operating under its legacy suitability framework, but the firm had adopted its new best-interest compliance framework effective June 30, 2020 - 27 days after the trades were executed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, David Kowalski violated the applicable suitability standard, even though the trades were executed 27 days before the firm's Regulation Best Interest compliance date. Under the legacy suitability framework (FINRA Rule 2111), the advisor had three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The critical violation here is customer-specific suitability. Margaret's documented risk profile was conservative with a 10% maximum loss tolerance and capital preservation objective. Even though Margaret verbally requested the technology ETF allocation and signed a risk acknowledgment letter, FINRA Rule 2111 requires that the recommendation be suitable based on the customer's documented investment profile. A customer's verbal instruction does not relieve the advisor of the obligation to ensure suitability - per FINRA's Supplementary Material .05(c), a customer's

stated desire to engage in a particular strategy does not automatically make it suitable. Critically, David failed to update Margaret's account documentation and risk profile before executing the trades. Under FINRA Rule 4512 (Customer Account Information) and related obligations, the firm must maintain accurate records. By executing trades that were facially inconsistent with her documented conservative profile without formally updating that profile through the firm's procedures, David created a clear documentary conflict. The signed risk letter is mitigating but not exculpatory - it does not substitute for a proper profile update and suitability determination. Had the trades been executed after June 30, 2020, Regulation Best Interest (17 CFR § 240.15l-1) would have applied, which imposes an even more rigorous Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill, and a Compliance Obligation requiring the firm to have policies reasonably designed to achieve compliance. The result would have been the same or worse for the advisor under Reg BI. The temporal distinction is important but does not save the advisor - the legacy standard was still violated.

Common Wrong Answer

No violation, because Margaret specifically requested the trades, was informed of the risks, signed a written acknowledgment, and the trades were executed before the stricter best-interest standard took effect. Under the legacy suitability framework, client-directed trades were generally exempt from suitability requirements.

Why Adversarial

This scenario creates a temporal trap where the key question appears to be which standard applies (legacy suitability vs. Reg BI), distracting from the core issue that the advisor violated the standard under EITHER framework. A general LLM might focus extensively on the June 3 vs. June 30 date issue and conclude that because Reg BI hadn't yet taken effect, the less stringent suitability standard applied and the client's signed acknowledgment letter was sufficient. The deeper trap is that even under the older suitability standard, a client's direction does not override the advisor's suitability obligation when the documented profile clearly conflicts with the recommendation, especially when the advisor failed to formally update the profile. Many LLMs incorrectly treat client-directed trades as automatically exempt from suitability analysis.

Applicable Standard

FINRA Rule 2111 (Suitability), including Supplementary Material .05(c) regarding customer requests not automatically conferring suitability; FINRA Rule 4512 (Customer Account Information); FINRA Rule 2090 (Know Your Customer); Regulation Best Interest (17 CFR § 240.15l-1) applicable after June 30, 2020, with Care Obligation under paragraph (a)(2)(ii)

Adversarial Hypothetical 178

Topic: overconcentration_single_stock | Type: reasonable_basis_trap | Difficulty: hard

Fact Pattern

Thomas Reeves, age 45, is a senior engineer at Meridian Aerospace Corp, a publicly traded defense contractor with a market capitalization of \$18 billion. Thomas earns \$195,000 annually and has a total investment portfolio of \$1.2 million held across two firms. At Whitfield Wealth Advisors, where his advisor is Lisa Pratt, he holds \$800,000. At Trident Brokerage, where his advisor is James Fong, he holds \$400,000. Thomas's documented investment profile at Whitfield lists him as a 'moderate-aggressive' investor with a

15-year horizon and growth objective. In January 2023, Thomas told Lisa he wanted to consolidate his holdings and increase his position in Meridian Aerospace stock, which he believed would benefit from anticipated government defense spending increases. At the time, Thomas already held \$120,000 in Meridian stock at Whitfield (15% of that account) and told Lisa he held 'some Meridian' at Trident as well, but did not specify the amount. Lisa conducted research on Meridian Aerospace: the company had strong fundamentals, an A- credit rating, consistent dividend growth, a healthy order backlog, and three major analyst firms had 'buy' ratings. Based on her analysis and Thomas's moderate-aggressive profile, Lisa recommended purchasing an additional \$200,000 of Meridian stock at Whitfield, bringing his Meridian position at her firm to \$320,000 (40% of the Whitfield account). Lisa documented her research in a memo, noting the company's strong fundamentals and Thomas's familiarity with the company as an employee. She did not contact James Fong at Trident or ask Thomas for a specific dollar figure of his Meridian holdings there. In reality, Thomas held \$280,000 of Meridian stock at Trident (70% of that account). After Lisa's recommended purchase, Thomas's total Meridian position across both firms was \$600,000 - exactly 50% of his total \$1.2 million portfolio. Additionally, Thomas's employment income was entirely dependent on Meridian Aerospace, meaning his total economic exposure to a single company (salary plus investments) was dominant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Lisa Pratt violated the applicable standard despite conducting seemingly thorough fundamental research on Meridian Aerospace. Under Regulation Best Interest (17 CFR § 240.15l-1), effective since June 30, 2020, Lisa owed Thomas a Care Obligation requiring her to exercise reasonable diligence, care, and skill in making recommendations, considering the investor's complete financial situation. Under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation, a broker must have a reasonable basis for believing a recommendation is suitable for the particular customer based on that customer's investment profile, which includes the customer's other investments, financial situation, and needs. Lisa's critical failure was not making reasonable efforts to ascertain Thomas's total Meridian exposure before recommending a massive increase in concentration. Thomas explicitly told her he held 'some Meridian' at Trident. This was a red flag that triggered a duty of further inquiry. FINRA has consistently held that when an advisor has actual knowledge or reason to know that a customer holds positions at other firms that are relevant to a recommendation, the advisor must make reasonable efforts to understand the customer's full financial picture. Lisa's failure to ask Thomas for the specific amount at Trident, or to request a recent account statement, was a failure of reasonable diligence. The resulting 50% single-stock concentration - in the employer's stock, compounding the concentration risk with employment risk - is a textbook overconcentration scenario. Even at the Whitfield account level alone, a 40% position in a single equity is aggressive for a moderate-aggressive investor, but the total portfolio picture makes this substantially worse. Lisa's fundamental analysis of Meridian, while competent, is insufficient because it addresses only reasonable-basis suitability - whether the security itself is a sound investment. It does not address customer-specific suitability, which requires considering concentration risk, correlation of investment and employment risk, and the customer's total holdings. Her research memo's notation that Thomas was 'familiar with the company as an employee' actually underscores why she should have been more cautious about concentration, not less.

Common Wrong Answer

No violation, because Lisa conducted thorough fundamental research, documented her analysis, the customer had a moderate-aggressive profile suitable for equity concentration, the stock had strong fundamentals with multiple buy ratings, and the advisor cannot be held responsible for holdings at another firm that the client did not fully disclose.

Why Adversarial

This scenario is adversarial because the advisor performed what appears to be diligent, well-documented fundamental analysis. Many LLMs will focus on the quality of the research (strong fundamentals, analyst buy ratings, documented memo) and the client's moderate-aggressive profile and conclude the recommendation was reasonable. The trap is that reasonable-basis suitability (the security is a good investment) is only one component - customer-specific suitability requires understanding the customer's full financial picture, including holdings at other firms when the advisor has reason to know they exist. The advisor's own notes acknowledge the employment connection, which should have heightened concern about concentration rather than served as justification. An LLM may also incorrectly conclude that because the advisor only controlled the Whitfield account, she is only responsible for concentration within that account, missing the obligation to consider the customer's overall financial situation.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), Care Obligation under paragraph (a)(2)(ii)(A)-(C); FINRA Rule 2111 (Suitability) including customer-specific suitability component; FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 12-25 (Additional Guidance on Suitability) discussing concentration and obligation to consider customer's overall financial situation including holdings at other firms

Adversarial Hypothetical 179

Topic: leveraged_etf_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 58, is a retired school principal with a \$620,000 rollover IRA and a moderate risk tolerance. She told her financial advisor, Derek Sims of Ridgeline Wealth Partners, that she wanted 'growth with some protection' and planned to begin withdrawals at age 62 to supplement her pension. In March 2023, Derek attended a wholesaler presentation on a 2x leveraged S&P 500 ETF (ticker: SPXL-equivalent product). The wholesaler's materials included a backtest showing that over rolling 3-year periods from 2010 to 2022, the leveraged ETF outperformed the unleveraged S&P 500 index 78% of the time on a total return basis, with an average annualized return of 31.2% versus 14.8%. Derek reviewed these materials carefully, ran his own Monte Carlo simulation using a third-party tool, and documented his analysis in a memo. His simulation showed that over a 4-year holding period (Margaret's timeline to age 62), there was a 72% probability of the leveraged ETF outperforming a standard S&P 500 index fund. Derek allocated 30% of Margaret's IRA (\$186,000) to the 2x leveraged ETF, with the remaining 70% in investment-grade bond funds and a stable value fund. He disclosed to Margaret that the product resets daily and could lose more than the index in a downturn, and she signed an acknowledgment form. He documented that the 4-year holding period and the 30% allocation limit mitigated the compounding risk. He set calendar reminders to review the position quarterly. By December 2023, the position was up 22%, and Margaret expressed

satisfaction. Derek's quarterly reviews showed he monitored the position and rebalanced once when it grew to 35% of the portfolio.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite Derek's extensive research and documentation. The analysis contains a fundamental reasonable-basis flaw: leveraged ETFs are designed for single-day holding periods, and multi-year backtests showing outperformance are misleading because they obscure the volatility decay (beta slippage) inherent in daily-resetting leveraged products. Under FINRA Rule 2111 (Suitability) and FINRA Regulatory Notice 09-31 (Non-Traditional ETFs), firms and representatives must understand that leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Derek's Monte Carlo simulation, while seemingly sophisticated, relied on total return comparisons that do not properly account for path-dependent compounding losses. Furthermore, under FINRA Rule 2111's three-component suitability obligation - reasonable-basis, customer-specific, and quantitative - Derek fails at both reasonable-basis and customer-specific levels. At the reasonable-basis level, his research reached an objectively flawed conclusion about the product's suitability for multi-year holding. At the customer-specific level, a 58-year-old retiree with moderate risk tolerance and a 4-year withdrawal horizon should not have 30% of her retirement assets in a 2x leveraged product. The fact that the position was profitable does not cure the suitability violation, as suitability is measured at the time of the recommendation, not by subsequent performance. Additionally, under Reg BI's Care Obligation (17 CFR 240.15l-1), the advisor must exercise reasonable diligence, care, and skill, and a recommendation of a daily-resetting leveraged ETF as a multi-year holding for a near-retiree fails this standard regardless of the documentation quality.

Common Wrong Answer

No violation. Derek conducted thorough research including independent Monte Carlo simulations, documented his analysis, disclosed the daily-reset risk, obtained client acknowledgment, limited the allocation to 30%, and conducted regular quarterly reviews with rebalancing. His process was exemplary and the investment performed well.

Why Adversarial

This scenario is designed to fool LLMs because the advisor appears to have done everything right: thorough research, documentation, Monte Carlo analysis, client disclosure, signed acknowledgment, position sizing, and ongoing monitoring with rebalancing. A general LLM would likely focus on the process quality and conclude compliance. However, the trap is that the advisor's analysis itself was fundamentally flawed - leveraged ETFs' daily reset mechanism makes multi-year backtests inherently misleading, and no amount of documentation can cure a recommendation built on a flawed reasonable-basis analysis. The profitable outcome further tempts the model to say no violation occurred.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative components; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Regulatory Notice 12-03 (Complex Products); Regulation Best Interest (17 CFR 240.15l-1) Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 180*Topic: annuity_unnecessary_switching | Type: temporal_trap | Difficulty: expert*

Fact Pattern

William Prescott, age 67, owned a variable annuity issued by Pacific National Life that he had purchased in 2014. The annuity had an account value of \$340,000, a guaranteed minimum death benefit of \$295,000 (below account value), and remaining surrender charges of 2% (\$6,800) expiring in April 2021. The annuity had an annual mortality and expense charge of 1.45% and investment management fees averaging 0.92%, for a total annual cost of approximately 2.37%. On February 10, 2021 - two months before William's surrender charges would expire - his advisor, Tanya Reeves at Coastal Financial Group, recommended he exchange the Pacific National annuity into a new variable annuity issued by Summit Life Insurance Company via a 1035 exchange. The new Summit Life annuity had a 7-year surrender charge schedule starting at 7% in year one, an M&E charge of 1.10%, and average subaccount fees of 0.78%, for a total annual cost of approximately 1.88%. The new annuity also included a guaranteed lifetime withdrawal benefit rider costing an additional 1.05% annually (total all-in cost: 2.93%). William was in good health, had a separate \$500,000 investment portfolio, a \$2,800/month pension, and Social Security of \$2,400/month. His annual living expenses were approximately \$58,000. He had no spouse or dependents. Tanya documented that the lower base M&E fee and a broader selection of 87 subaccounts (versus 42 in the old annuity) justified the switch. She also noted the guaranteed lifetime withdrawal benefit as a valuable addition. The firm's principal reviewed and approved the exchange on February 15, 2021. Tanya received a 5.5% commission (\$18,700) on the new annuity. William did not specifically request the exchange; it was Tanya's recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. The temporal element is critical: this exchange was recommended on February 10, 2021, which falls after June 30, 2020, the compliance date for Regulation Best Interest (17 CFR 240.15l-1). Under Reg BI's Care Obligation, the advisor must have a reasonable basis to believe the transaction is in the customer's best interest and must consider reasonably available alternatives - including the alternative of keeping the existing annuity. Additionally, the exchange is subject to the specific annuity exchange standards. Under the applicable standards, Tanya's recommendation fails on multiple grounds: (1) The all-in cost increased from 2.37% to 2.93% annually - a 0.56% annual cost increase on \$340,000 equals approximately \$1,904 per year in additional fees; (2) William was two months from having zero surrender charges on his existing annuity, and the exchange locked him into a new 7-year surrender schedule starting at 7% (\$23,800), severely impairing his liquidity; (3) The guaranteed lifetime withdrawal benefit rider, while seemingly valuable, was unnecessary for William - his pension (\$33,600/year) plus Social Security (\$28,800/year) totaled \$62,400, which already exceeded his \$58,000 annual expenses without touching his annuity or \$500,000 portfolio; (4) The broader subaccount selection is a weak justification that does not overcome the materially higher costs and new surrender period; (5) The \$18,700 commission creates a significant conflict of interest that must be evaluated under Reg BI's Conflict of Interest Obligation. Under FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), which applies to variable annuity exchanges, the registered principal must determine that the customer would benefit from

the exchange considering factors including surrender charges, new surrender periods, fees and expenses, and product enhancements. Here, the principal's approval was deficient because the exchange objectively increased costs, imposed a new long surrender period just as the old one was expiring, and provided a rider the customer demonstrably did not need.

Common Wrong Answer

No violation, or at most a minor procedural issue. The new annuity has lower base M&E charges (1.10% vs. 1.45%), more investment options (87 vs. 42 subaccounts), and includes a valuable guaranteed lifetime withdrawal benefit for a 67-year-old retiree. The 1035 exchange preserved tax deferral, the firm principal reviewed and approved the transaction, and the advisor documented her rationale. The surrender charge on the old annuity was only 2% and about to expire, so the cost of exiting was minimal.

Why Adversarial

This scenario creates a temporal trap because the recommendation date of February 2021 places it squarely under Reg BI rather than the older suitability-only framework. A general LLM might analyze this solely under traditional suitability standards and miss the heightened Reg BI requirements. Additionally, the scenario is designed to appear partially justified - the base M&E fee is lower, the subaccount selection is broader, and the guaranteed withdrawal benefit sounds protective for a 67-year-old. An LLM might weigh these 'benefits' favorably without doing the math showing the all-in costs actually increased and that the withdrawal benefit rider was unnecessary given William's existing income surplus. The firm principal's documented approval adds another layer of seeming legitimacy.

Applicable Standard

Regulation Best Interest (17 CFR 240.15l-1) - Care Obligation and Conflict of Interest Obligation (effective June 30, 2020); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 10-05 (Annuity Exchanges); FINRA Rule 2010 (Standards of Commercial Honor)

Adversarial Hypothetical 181

Topic: inappropriate_risk_profile | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, broker-dealer representative Daniel Whitfield met with new client Priya Anand, age 41, a software engineer earning \$285,000 per year with \$1.8 million in liquid assets, no debt, and no dependents. Priya told Daniel she wanted 'aggressive growth' and had a 25-year investment horizon targeting early retirement at age 66. Daniel administered his firm's standard risk-tolerance questionnaire, which scored Priya at a 78 out of 100 - placing her in the 'aggressive' category (scores above 70). Daniel documented the questionnaire results, the conversation, and Priya's stated objectives. He then constructed a portfolio consisting of 65% U.S. large-cap growth equities, 15% emerging market equities, 10% high-yield corporate bonds, and 10% leveraged ETFs tracking the S&P 500 (2x daily leverage). Daniel conducted research on the leveraged ETFs, reviewing the fund prospectuses and understanding the daily reset mechanism. He prepared a one-page summary explaining that leveraged ETFs could deviate significantly from the index over periods longer than one day due to compounding effects. He included this summary in Priya's file.

However, Priya's account was designated as a buy-and-hold retirement account, and Daniel's own notes from the meeting stated: 'Client intends to hold positions long-term with minimal trading and rebalancing - perhaps annually.' Daniel did not discuss the specific risks of holding leveraged ETFs in a buy-and-hold strategy over multi-year periods with Priya. He believed that the 10% allocation was small enough relative to the total portfolio to be appropriate for an aggressive investor. Six months later, during a period of heightened volatility, the leveraged ETF position had declined 34% even though the underlying S&P 500 index was down only 12% over the same period. Priya's overall portfolio was down 11.2%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. While Daniel performed some due diligence on leveraged ETFs and the overall portfolio risk level appears consistent with the client's aggressive profile, the recommendation of leveraged ETFs in a buy-and-hold retirement account fails the customer-specific suitability obligation under FINRA Rule 2111 and potentially the care obligation under Regulation Best Interest (Reg BI). FINRA Regulatory Notice 09-31 specifically warns that leveraged ETFs are designed for short-term trading and are generally unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. The daily reset and compounding effect means that returns over periods longer than one day can differ significantly from the stated leverage multiple of the underlying index. Daniel's own notes confirm the client intended a buy-and-hold strategy with annual rebalancing at most. Despite understanding the daily reset mechanism (as evidenced by his one-page summary), Daniel failed to connect this knowledge to Priya's specific stated investment strategy. Having reasonable-basis suitability (understanding the product) is necessary but not sufficient; customer-specific suitability requires that the recommendation be consistent with the particular customer's investment profile, including their intended holding period. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the broker must exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest based on her investment profile. Placing a product designed for daily trading into an explicitly long-term, buy-and-hold account contradicts this standard regardless of the allocation size. The 10% allocation does not cure the fundamental mismatch between product design and customer strategy.

Common Wrong Answer

No violation. The advisor conducted thorough research, documented the risks, kept the leveraged ETF allocation to only 10% of a diversified portfolio, and the client had an aggressive risk tolerance with a long time horizon and substantial assets. The overall portfolio construction was reasonable for an aggressive investor.

Why Adversarial

This is adversarial because the advisor appears to have done substantial due diligence - he reviewed prospectuses, understood the daily reset mechanism, documented everything, and kept the allocation to only 10% of the portfolio. A general LLM might conclude this is compliant because the investor has an aggressive risk profile, the allocation is small, and the advisor did research. The trap is that reasonable-basis suitability (understanding the product) was met, but customer-specific suitability was not, because the product's design is fundamentally incompatible with the client's documented buy-and-hold strategy. Many LLMs would not know the specific regulatory guidance on leveraged ETFs being unsuitable

for long-term holding.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability components; Regulation Best Interest (Reg BI), 17 CFR 240.15l-1, Care Obligation; FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision)

Adversarial Hypothetical 182

Topic: senior_investor_exploitation | Type: multi_party | Difficulty: hard

Fact Pattern

Margaret Henson, age 79, is a retired school principal with \$620,000 in savings, a monthly pension of \$3,400, and Social Security benefits of \$2,100 per month. She lives independently and has no cognitive impairment diagnoses. In January 2024, Margaret's longtime financial advisor, Carl Bergstrom at Pinnacle Wealth Advisors, retired. Margaret's account was transferred to his colleague, Amanda Reeves, also at Pinnacle. Amanda reviewed Margaret's existing portfolio - 40% investment-grade bonds, 30% dividend-paying blue-chip stocks, 20% money market, and 10% in a fixed annuity - and determined it was appropriately conservative. In February 2024, Margaret's grandson, Tyler Henson (age 32), contacted Amanda saying that Margaret wanted to add him as a joint account holder and transfer \$200,000 into a new joint brokerage account to invest in growth stocks for Tyler's benefit. Tyler said Margaret wanted to help him build wealth and that this was her idea. Amanda asked to speak with Margaret directly. Margaret confirmed by phone that she wanted to help Tyler and was willing to accept higher risk on the \$200,000 portion. Amanda asked Margaret if anyone was pressuring her, and Margaret said no. Amanda documented the call. Amanda then opened a joint account, transferred \$200,000 from Margaret's money market and bond holdings, and invested the joint account in a diversified portfolio of growth-oriented mutual funds. Amanda did not contact Margaret's designated trusted contact person (her daughter, Lisa Henson-Park), did not place a temporary hold on the disbursement, and did not notify her firm's compliance department about the transaction. Lisa Henson-Park discovered the transfer three months later and filed a complaint, alleging that Tyler had been financially exploiting Margaret for two years, had recently moved into her home, and had been intercepting her mail. Lisa provided documentation showing Tyler had a prior fraud conviction and had borrowed \$45,000 from Margaret in the previous 18 months that was never repaid.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation on multiple grounds. First, regarding suitability/best interest: transferring \$200,000 (approximately 32% of Margaret's total savings) from conservative holdings into growth stocks for the primary benefit of a 32-year-old grandson fundamentally altered the risk profile of a 79-year-old retiree's portfolio. Even though Margaret verbally confirmed the transaction, the circumstances presented multiple red flags of potential financial exploitation of a senior investor. Under FINRA Rule 2165, when a broker-dealer has a reasonable belief of financial exploitation of a specified adult (age 65+), the firm may

place a temporary hold on disbursements for up to 15 business days (extendable to 25 business days) while investigating. The circumstances here - a third party initiating a large transfer request, a request to add a non-spouse family member to accounts, a significant deviation from the existing conservative investment strategy, and the large dollar amount relative to total assets - all constitute recognized red flags of senior financial exploitation per FINRA Regulatory Notice 07-43. Amanda should have escalated to her firm's compliance department before processing the transaction. Additionally, under Reg BI's Care Obligation and FINRA Rule 2111's customer-specific suitability, the recommendation to invest a senior retiree's assets in growth stocks for another person's benefit fails to serve Margaret's best interest. Even accepting that Margaret gave informed consent, the advisor had an independent obligation to evaluate whether the recommendation was suitable for Margaret's own financial situation, needs, and objectives - not Tyler's. Furthermore, FINRA Rule 4512 requires firms to make reasonable efforts to obtain trusted contact person information specifically so it can be used in situations like this. Amanda had Lisa's information as the designated trusted contact but failed to utilize it when confronted with a transaction bearing classic hallmarks of exploitation. The failure to contact the trusted contact person, the failure to consider a temporary hold, and the failure to escalate to compliance all compound the suitability violation.

Common Wrong Answer

No violation. Amanda acted appropriately by speaking directly with Margaret, confirming her wishes, asking whether she was being pressured, and documenting the conversation. Margaret is a competent adult with no diagnosed cognitive impairment, and she has the right to direct her own investments, including helping her grandson. The advisor cannot override a client's autonomous decision-making simply because the client is elderly.

Why Adversarial

This scenario is adversarial because the advisor took what appears to be a reasonable step - she spoke directly with the client, confirmed the client's wishes, asked about pressure, and documented the conversation. Many LLMs would view this as sufficient client autonomy and consent, concluding the advisor respected the client's wishes. The multi-party element (grandson initiating, advisor processing, trusted contact not informed, compliance not notified) creates complexity. The trap is that an advisor's obligations to senior investors go beyond simply confirming the client's stated wishes - there are specific obligations around red flags, trusted contact persons, and temporary holds that exist precisely because exploited seniors often confirm transactions under the influence of the exploiter. A general LLM may not know the specific mechanics of FINRA Rule 2165 or the red-flag framework for senior exploitation.

Applicable Standard

FINRA Rule 2165 (Financial Exploitation of Specified Adults - temporary holds); FINRA Rule 2111 (Suitability - customer-specific obligation); Regulation Best Interest (Reg BI), 17 CFR 240.15I-1, Care Obligation; FINRA Rule 4512 (Customer Account Information - trusted contact person); FINRA Regulatory Notice 07-43 (Senior Investors); FINRA Regulatory Notice 20-34 (Temporary Holds under Rule 2165)

Adversarial Hypothetical 183

Topic: *illiquid_real_estate_investment* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Kowalski, age 62, is a retired school administrator with a \$1.2 million portfolio split between a brokerage account at Pinnacle Securities and a fee-based advisory account at the same firm. Her stated investment objectives are income and capital preservation, with a moderate risk tolerance and a 10-year time horizon. She has \$85,000 in annual pension income and Social Security, and her liquid net worth outside retirement accounts is approximately \$400,000. In February 2020, her broker-dealer registered representative, Daniel Frisch, recommended she invest \$120,000 (10% of her total portfolio) in the Harborview Real Estate Income Trust, a non-traded REIT with a 7-year lockup period, no secondary market, and a 12% upfront load (including selling commissions and offering expenses). Frisch documented that the product was suitable given Margaret's income needs and moderate risk tolerance, noting the REIT's projected 6.5% annual distribution. The recommendation was made through her brokerage account, not the advisory account. Margaret signed the subscription agreement on February 14, 2020. In June 2020, after COVID-19 disruptions, the REIT suspended distributions and froze redemptions indefinitely. Margaret complained that she was never told the distributions could be suspended and that the investment was inappropriate. Frisch's firm had updated its policies effective June 30, 2020, to apply a heightened standard to all new recommendations, but the recommendation was made and executed months earlier. Frisch's notes from February 2020 show he evaluated the product's general features, the projected yield, and Margaret's income needs, but did not document any analysis of reasonably available alternatives such as traded REITs, bond funds, or dividend equity funds that could have met her income objective with greater liquidity and lower costs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Although the recommendation was made in February 2020 through a brokerage account, the critical date is June 30, 2020 - the compliance date for Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1). However, since the recommendation was made AND executed before June 30, 2020, Reg BI does not apply retroactively. The applicable standard is FINRA Rule 2111 (Suitability). Under Rule 2111, there are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The advisor appears to satisfy customer-specific suitability on the surface - 10% allocation to an income-producing product for a moderate-risk investor seeking income. However, the violation lies in reasonable-basis suitability. FINRA Rule 2111.05(a) requires that a broker perform reasonable diligence to understand the product and its risks. FINRA Regulatory Notice 12-03 specifically addresses complex products like non-traded REITs and requires heightened scrutiny including understanding liquidity constraints, fee structures, and distribution sustainability. A 12% upfront load on a non-traded REIT with a 7-year lockup and no secondary market, sold to a 62-year-old retiree whose liquid assets outside retirement are only \$400,000, is problematic. The \$120,000 investment represents 30% of her liquid non-retirement assets, severely impairing her liquidity. Additionally, FINRA Regulatory Notice 15-02 specifically addresses non-traded REITs and requires that firms ensure customers understand distribution suspension risks. Frisch's failure to document consideration of reasonably available alternatives (traded REITs, bond funds) - while not formally required under the pre-Reg BI suitability framework - is evidence that he failed to perform adequate reasonable-basis diligence on whether this specific complex product was understood well enough to recommend. The combination of the extreme illiquidity, high costs, concentration of liquid assets, and failure to adequately disclose distribution suspension risk constitutes a

suitability violation under FINRA Rule 2111 and FINRA's guidance on complex products.

Common Wrong Answer

Many LLMs would say: 'No violation. The recommendation was made before Reg BI took effect, so the older suitability standard applies. Under that standard, a 10% allocation to an income-producing REIT for a moderate-risk investor seeking income is suitable. The subsequent distribution suspension was an unforeseeable market event caused by COVID-19.' This answer incorrectly treats the percentage of total portfolio as the only relevant metric and ignores the reasonable-basis suitability obligation and FINRA's specific non-traded REIT guidance.

Why Adversarial

The temporal trap is designed to make an LLM focus on whether Reg BI applies (it doesn't - the recommendation predates the June 30, 2020 compliance date). A general LLM might either (1) incorrectly apply Reg BI's care obligation and its explicit requirement to consider reasonably available alternatives, or (2) correctly identify that Reg BI doesn't apply but then conclude no violation occurred under the older suitability standard because 10% concentration seems reasonable. The real violation is under FINRA Rule 2111 reasonable-basis suitability and FINRA's specific guidance on non-traded REITs, which required heightened scrutiny even before Reg BI. The 30% of liquid non-retirement assets metric is the hidden trap - the 10% of total portfolio figure looks fine, but the liquidity impairment is severe.

Applicable Standard

FINRA Rule 2111 (Suitability) - all three obligations (reasonable-basis, customer-specific, quantitative); FINRA Rule 2111.05(a) (reasonable diligence for complex products); FINRA Regulatory Notice 12-03 (heightened supervision of complex products); FINRA Regulatory Notice 15-02 (non-traded REIT-specific guidance); Note: Regulation Best Interest (17 CFR § 240.15l-1) does NOT apply as the recommendation predated the June 30, 2020 compliance date.

Adversarial Hypothetical 184

Topic: *overconcentration_single_stock* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Trevor Nakamura, age 44, is a senior software engineer at Meridian Technologies, a publicly traded company with a market capitalization of \$18 billion. Trevor earns \$310,000 annually and has a total net worth of approximately \$3.8 million. Of that, \$2.6 million consists of vested Meridian Technologies stock accumulated through equity compensation over 12 years. He has \$600,000 in a diversified 401(k), \$200,000 in cash savings, and \$400,000 in home equity. In March 2023, Trevor opened a new advisory account at Whitfield Wealth Partners, a dually registered broker-dealer and investment adviser. His new advisor, Christine Delgado, is acting in her capacity as an investment adviser representative for this fee-based account. During onboarding, Christine conducted a thorough financial plan and prepared a written recommendation that Trevor should begin a systematic diversification program, selling approximately \$150,000 of Meridian stock per quarter over four to five years to reduce his single-stock concentration from 68% of net worth to approximately 25%. Trevor reviewed the plan and responded in a signed letter: 'I understand your recommendation. However, I have deep conviction in Meridian's long-term

growth and I do not wish to sell any shares at this time. I want to hold my full Meridian position. Please invest the \$200,000 cash in a diversified equity portfolio and manage that portion only. Do not sell or recommend selling my Meridian shares.' Christine documented Trevor's instructions, noted her disagreement, placed the written diversification recommendation and Trevor's rejection letter in the file, and proceeded to manage only the \$200,000 cash portion in a diversified equity portfolio. She did not sell any Meridian shares. She scheduled a six-month review but did not raise the diversification topic again at the review meeting in September 2023, simply noting the account was 'on track per client direction.' By December 2023, Meridian stock had declined 40% following an earnings miss and a DOJ investigation. Trevor's Meridian position dropped to approximately \$1.56 million, and his total net worth fell to roughly \$2.76 million. Trevor filed a complaint alleging Christine failed in her duty by allowing him to maintain a dangerously concentrated position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a technical violation despite the strong documentation. Christine Delgado was acting as an investment adviser representative in a fee-based advisory account, meaning she owed a fiduciary duty under the Investment Advisers Act of 1940. Under the fiduciary standard, an adviser has an ongoing duty of care and loyalty. The initial recommendation to diversify was sound, and the documentation of the client's rejection was appropriate. However, the violation is subtle and lies in the ongoing duty component. Under the SEC's interpretive guidance on the fiduciary duty (SEC Release IA-5248, June 2019), an investment adviser's duty does not terminate when a client rejects advice. The adviser has a continuing obligation to monitor and provide updated advice, particularly when the risk profile of the account materially changes or when circumstances warrant revisiting the recommendation. Christine's failure at the September 2023 review is the critical deficiency: she did not re-raise the diversification recommendation, did not update her analysis, and simply noted the account was 'on track per client direction.' A 68% single-stock concentration is an extreme risk that an adviser with an ongoing fiduciary duty must continue to address - not merely document once and abandon. Additionally, under Reg BI (which would apply if any component involved broker-dealer capacity), the care obligation under 17 CFR § 240.15l-1(a)(2)(ii)(B) requires consideration of reasonably available alternatives and the risks of the recommended course of action. Even under the advisory standard alone, the SEC has stated that advisers cannot simply defer to client wishes when doing so would be inconsistent with the client's overall best interest without ongoing, documented efforts to educate and advise. The violation is not in respecting Trevor's initial decision, but in failing to fulfill the ongoing monitoring and advisory obligation - particularly at the scheduled review - to re-present the diversification recommendation with updated analysis. A compliant approach would have been to formally re-recommend diversification at every review, document the ongoing risk, update the analysis with current data, and obtain fresh acknowledgment of the client's decision to reject the advice each time.

Common Wrong Answer

A general LLM would likely say: 'No violation. Christine provided a thorough diversification recommendation, documented it properly, received the client's informed written rejection, noted her disagreement, and respected the client's autonomous decision. An advisor cannot force a client to sell. The subsequent stock decline does not retroactively create a violation. Christine acted appropriately by managing the portion of assets the client directed her to manage.' This answer fails to recognize the

ongoing fiduciary monitoring obligation and the specific failure at the September 2023 review.

Why Adversarial

This is a classic client direction trap. Most LLMs will focus on the strong initial documentation - the written recommendation, the client's signed rejection letter, the file notes - and conclude that Christine did everything right by respecting client autonomy. The trap is that in an advisory (fiduciary) account, the duty is ongoing and cannot be discharged by a single documented recommendation. The September 2023 review where she failed to re-raise the issue is the hidden violation. Many LLMs conflate the broker-dealer standard (where unsolicited client-directed trades may absolve the broker) with the advisory fiduciary standard (where ongoing monitoring is mandatory). The fact that the stock later declined makes it look like hindsight bias, which further tempts LLMs to side with the advisor.

Applicable Standard

Investment Advisers Act of 1940 §§ 206(1) and 206(2) (fiduciary duty - duty of care and duty of loyalty); SEC Interpretive Release IA-5248 (June 5, 2019) ('Commission Interpretation Regarding Standard of Conduct for Investment Advisers') - specifically the ongoing duty to monitor and provide advice; SEC Staff Bulletin on Standards of Conduct (2022) regarding ongoing obligations in advisory relationships; if any broker-dealer capacity involved: Regulation Best Interest 17 CFR § 240.15l-1(a)(2)(ii) - Care Obligation including ongoing duty for accounts with agreed-upon monitoring.

Adversarial Hypothetical 185

Topic: *annuity_unnecessary_switching* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Margaret Donnelly, age 62, a retired school administrator with \$480,000 in retirement savings and a modest pension of \$3,200/month, purchased a variable annuity in March 2019 through her advisor, Ryan Chao, at Lakewood Financial Services. The annuity was a product from National Pacific Life, carried a 7-year surrender period, had annual fees of 2.35%, and included a guaranteed minimum income benefit rider costing an additional 0.95% annually. In January 2020, Ryan Chao left Lakewood Financial Services and joined Meridian Wealth Advisors. He contacted Margaret in February 2020 and recommended she surrender the National Pacific Life annuity and purchase a new variable annuity from Continental Assurance Group through Meridian. The new annuity had a 6-year surrender period, annual fees of 2.10%, and a guaranteed minimum income benefit rider at 0.85% annually. Margaret would incur a surrender charge of 6% (\$28,800) on the existing annuity. Ryan told Margaret the new product had lower fees overall, a shorter surrender period, and better subaccount fund options including several ESG-focused funds she had expressed interest in. He documented Margaret's interest in ESG investing in his notes. He also ran a comparison illustration showing that after 8 years, the new annuity's lower fees would offset the surrender charge. However, Ryan did not document or analyze whether the guaranteed minimum income benefit under the existing annuity - which had been accumulating at a 5.5% rollup rate for 11 months - was materially more favorable than the new product's rollup rate of 4.75%. The existing annuity's benefit base had already grown to approximately \$502,000 due to the rollup, while the new annuity would restart at the net amount transferred (approximately \$422,400 after surrender charges). Margaret agreed to the switch, and it was processed on March 3, 2020 - just weeks before a major market downturn. By April 2020, the

new annuity's account value had dropped to \$341,000, and the guaranteed benefit base was only \$422,400 (the initial deposit), compared to what would have been approximately \$509,000 under the old annuity's benefit base had she stayed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. The transaction occurred on March 3, 2020, which falls under the regime where FINRA Rule 2330 (Variable Annuity Transactions) applied, and depending on the firm's compliance date, potentially also Regulation Best Interest (compliance date June 30, 2020). Under FINRA Rule 2330(b), a registered representative recommending a variable annuity exchange must have a reasonable basis to believe, among other things, that the customer would benefit from certain features of the new annuity, that the customer was informed of the potential surrender charges and new surrender period, and critically, that the exchange is suitable after considering the totality of circumstances including whether the customer would lose existing benefits. The advisor failed to conduct a meaningful analysis of the guaranteed minimum income benefit (GMIB) rollup rate differential - 5.5% vs. 4.75% - and the loss of 11 months of benefit base accumulation. The \$502,000 benefit base was reset to approximately \$422,400, an immediate loss of roughly \$79,600 in guaranteed income base value, on top of the \$28,800 surrender charge. The 8-year breakeven illustration only compared fee savings and did not account for the compounding effect of the higher rollup rate on the income benefit base, which is a material omission. Under FINRA Rule 2330(b)(1)(A)(ii), the representative must consider whether the customer would benefit from features and riders in the new contract that justify the costs of replacement. The advisor's documentation focused on ESG fund availability and fee reduction but omitted the most financially significant variable - the guaranteed income benefit comparison. This constitutes an unsuitable recommendation for an annuity exchange. Additionally, Ryan Chao's motivation to move client assets to his new firm creates a conflict of interest that required heightened scrutiny under both FINRA Rule 2330 and the firm's supervisory obligations under FINRA Rule 3110.

Common Wrong Answer

No violation - the advisor documented the client's preferences, the new product had objectively lower fees and a shorter surrender period, and the client agreed to the transaction after being informed of the surrender charges. The advisor performed a reasonable comparison analysis.

Why Adversarial

This is adversarial because on the surface the advisor appears diligent: he documented client preferences, ran comparison illustrations, and the new product objectively has lower fees and a shorter surrender period. A general LLM might focus on these positive factors and conclude the switch was reasonable. The trap is that the advisor failed to analyze the single most important financial variable - the guaranteed income benefit base and rollup rate differential - which represents a far larger economic impact than the fee savings. Additionally, the temporal element is tricky: the transaction date (March 2020) sits right before Reg BI's compliance date, meaning FINRA Rule 2330 and the suitability standard apply rather than Reg BI, which would impose a different analytical framework. Many LLMs would incorrectly apply Reg BI to this pre-June 2020 transaction.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), specifically subsections (b)(1)(A)(i)-(ii) regarding reasonable basis for exchange recommendations; FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 3110 (Supervision) regarding principal review of variable annuity exchanges; FINRA Regulatory Notice 10-05 (Guidance on FINRA's Adjudication of Variable Annuity Exchange Cases)

Adversarial Hypothetical 186

Topic: *annuity_unnecessary_switching* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Dennis Kowalski, age 58, is a semi-retired engineering consultant earning approximately \$95,000 per year with a net worth of \$1.8 million, including \$620,000 in a fixed indexed annuity purchased in September 2021 through his advisor, Patricia Simms, at Northstar Advisory Group. The annuity from Heartland Mutual had a 10-year surrender period, a 3.25% guaranteed minimum interest rate, and participation in the S&P 500 index with a 9% annual cap rate. In November 2023, Dennis read several financial blogs and watched YouTube videos about a newer generation of fixed indexed annuities offering uncapped index strategies tied to proprietary volatility-controlled indices. He became convinced his current product was outdated and contacted Patricia, insisting she replace his Heartland Mutual annuity with a new fixed indexed annuity from Pinnacle National that offered an uncapped volatility-controlled index strategy, a 1.5% guaranteed minimum rate, a 7-year surrender period, and a premium bonus of 8% on the transferred amount. Dennis would face a 7% surrender charge (\$43,400) on the existing annuity. Patricia spent two meetings - documented with detailed notes and signed client acknowledgments - explaining the trade-offs: the loss of the higher 3.25% guaranteed minimum rate, the nature of volatility-controlled indices (which include built-in drag from the volatility management mechanism and typically deliver lower realized returns than their marketing suggests), the \$43,400 surrender charge, and the fact that after applying the surrender charge, the premium bonus would only partially offset the penalty (8% of \$576,600 = \$46,128 bonus vs. \$43,400 surrender charge). She presented a side-by-side comparison showing that under most reasonable market scenarios, the existing annuity would outperform the proposed replacement over a 10-year horizon. She documented Dennis's stated reasons for wanting to switch, his acknowledgment of all disclosed risks, and her explicit recommendation against making the exchange. Dennis insisted, stating he had done his own research and wanted the uncapped potential. Patricia ultimately refused to process the transaction. Dennis then went to another advisor at a different firm, Bradley Nash at Summit Financial Partners, who processed the exchange in December 2023 after a single 45-minute meeting with no documented comparison analysis of the two products, no discussion of the volatility-controlled index mechanics, and a brief notation that the client 'requested the exchange after thorough personal research.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Patricia Simms at Northstar Advisory Group did NOT violate any suitability or best interest requirements - in fact, she acted as a model of compliance. She conducted thorough due diligence, documented the trade-offs extensively, provided a comparative analysis, obtained signed client acknowledgments, and

ultimately refused to process a transaction she reasonably believed was not in the client's best interest. Under Regulation Best Interest (17 CFR § 240.15l-1), which was fully effective at the time, a broker-dealer and its associated persons must act in the best interest of the retail customer at the time a recommendation is made, with the Care Obligation requiring reasonable diligence, care, and skill in evaluating alternatives and ensuring the transaction is in the customer's best interest. Patricia's refusal to process the unsuitable exchange, even at the client's insistence, is precisely what the regulation requires. A client's direction to execute a transaction does not relieve the advisor of the obligation to ensure any recommendation meets the best interest standard, and importantly, Patricia made no recommendation - she recommended against the exchange.

Bradley Nash at Summit Financial Partners DID violate both Regulation Best Interest and FINRA Rule 2330. By processing the annuity exchange after only a single 45-minute meeting with no comparative product analysis, no documentation of the suitability basis for the exchange, and no meaningful discussion of the volatility-controlled index mechanics, Nash failed the Care Obligation under Reg BI. Under FINRA Rule 2330, Nash was required to have a reasonable basis to believe the exchange was suitable, considering factors including surrender charges, differences in guaranteed benefits, and the features of both the existing and proposed products. Simply noting that a client 'requested' the exchange after 'personal research' does not satisfy these requirements. The customer's self-directed research does not substitute for the advisor's independent obligation to form a reasonable basis for the recommendation. Furthermore, Nash's firm had supervisory obligations under FINRA Rule 3110 to review the exchange before execution, and the sparse documentation suggests a supervisory failure as well.

Common Wrong Answer

Both advisors acted appropriately - Patricia by thoroughly documenting the risks, and Bradley by honoring the client's informed decision to switch after the client had already been educated about the trade-offs by his prior advisor. Since the client was aware of the risks and directed the transaction, Bradley had no additional obligation.

Why Adversarial

This scenario is adversarial because it involves two advisors and creates a trap around client-directed transactions. A general LLM might (1) incorrectly find that Patricia violated requirements by refusing the client's wishes, confusing client autonomy with advisor obligations, or (2) conclude that Bradley Nash was compliant because the client explicitly directed the transaction and claimed to have done his own research. The key nuance is that client direction does not override the advisor's independent obligation to ensure suitability/best interest, and that documenting a client's request is not the same as documenting a reasonable basis for a recommendation. Many LLMs struggle with multi-party scenarios where one advisor is compliant and another is not, and tend to apply the same conclusion to both.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation under paragraph (a)(2)(ii)(B); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), subsections (b)(1)(A)(i)-(ii) regarding exchange recommendations; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-25 (Additional Guidance on FINRA's New Suitability Rule - clarifying that client direction does not relieve the member of suitability obligations when a recommendation has been made)

Adversarial Hypothetical 187*Topic: options_unsuitable | Type: client_direction_trap | Difficulty: expert*

Fact Pattern

Margaret Holloway, age 71, is a retired school principal with a \$620,000 portfolio at Bridgewater Securities, managed by advisor Derek Fenton. Her account application from January 2022 lists her investment objective as 'income with capital preservation,' her risk tolerance as 'moderate,' her annual income as \$48,000 from pension and Social Security, and her liquid net worth as \$680,000. She has no prior options trading experience. In March 2023, Margaret attended a free investing seminar at her local library hosted by a third-party educator unaffiliated with Bridgewater. After the seminar, she called Derek and told him she wanted to begin selling covered calls on her existing stock positions - specifically, her 1,200 shares of Consolidated Edison (ConEd), 800 shares of Procter & Gamble, and 500 shares of Johnson & Johnson. She explained she had learned at the seminar that covered calls were 'the most conservative options strategy' and would generate additional monthly income on stocks she already owned and intended to hold long-term. Derek reviewed Margaret's account and agreed that covered calls on her existing blue-chip holdings could indeed generate supplemental income consistent with her objectives. He upgraded her options approval to Level 2 (covered calls and cash-secured puts). Over the next 14 months, Derek executed 47 covered call transactions on Margaret's behalf, all on her three blue-chip holdings, all slightly out-of-the-money with 30-45 day expirations. The calls generated approximately \$18,400 in premium income. However, during that period, 11 of the calls were exercised when the underlying stocks rallied, forcing Margaret to sell shares at below-market prices. The opportunity cost of the called-away shares was approximately \$31,500 - meaning she missed \$31,500 in gains she would have captured had she simply held the shares. Margaret's total portfolio return for the period was 4.2%, compared to 9.8% she would have earned holding the same positions without the covered call overlay. Margaret never complained and expressed satisfaction with the premium income. Derek earned \$6,100 in commissions from the 47 options transactions. Margaret's account was a traditional commission-based brokerage account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a likely violation despite the seemingly conservative nature of covered calls. While covered calls are often described as the most conservative options strategy, and while the client specifically requested them, the advisor had independent obligations that were not met. First, under FINRA Rule 2360(b)(19), the advisor and firm had an obligation to ensure the customer met reasonable criteria for options approval, including investment experience and knowledge. Margaret had zero prior options experience, and the fact that she attended a single library seminar does not constitute adequate options knowledge for approval. Second, under FINRA Rule 2111 (Suitability), which applied to this commission-based account, the advisor bore three obligations: reasonable-basis suitability (understanding covered calls generally), customer-specific suitability (ensuring the strategy was appropriate for THIS client), and quantitative suitability (ensuring the frequency of trading was not excessive). The customer-specific analysis is where the violation becomes clear. Margaret's stated objective was 'income with capital preservation.' Covered calls do generate income, but they cap upside appreciation - they are inherently a strategy that sacrifices capital growth potential for current income. When 11 calls were exercised, Margaret was forced to sell

long-term holdings at below-market prices, undermining capital preservation by reducing her equity positions in high-quality stocks she intended to hold. The advisor should have recognized and disclosed that the opportunity cost risk was material for a 71-year-old whose portfolio needed to sustain her through retirement. Third, the frequency of 47 transactions in 14 months, generating \$6,100 in commissions against \$18,400 in premiums, means commissions consumed approximately 33% of the gross premium income - raising quantitative suitability concerns. The client's unsolicited request does not absolve the advisor. Under FINRA Notice to Members 01-23 and longstanding FINRA guidance, even when a customer requests a strategy, the advisor must still ensure the recommendation (approving the account for options and executing the strategy constitutes an implicit recommendation) is suitable. The options approval upgrade itself was an implicit recommendation to engage in options trading.

Common Wrong Answer

No violation. Covered calls are the most conservative options strategy and are appropriate for income-seeking investors. The client specifically requested the strategy after educating herself, the advisor only wrote calls on existing blue-chip holdings, and the client was satisfied with the results. The advisor acted reasonably by implementing a client-directed, conservative income strategy on positions the client already owned.

Why Adversarial

This scenario is adversarial for multiple reasons: (1) covered calls are widely considered the most conservative options strategy, making it seem inherently suitable; (2) the client specifically requested the strategy, creating the illusion that the advisor was merely following instructions; (3) the client expressed satisfaction and never complained, which many LLMs interpret as evidence of no harm; (4) the strategy did generate income consistent with her stated objective; (5) the concept of opportunity cost as a form of customer harm is subtle - she didn't 'lose' money in the traditional sense. Most LLMs focus on whether the client lost principal rather than whether the overall strategy was suitable given all circumstances. The hidden deficiency is that the advisor approved a client with zero options experience and failed to account for the capital preservation objective being undermined by forced share liquidation through call exercises.

Applicable Standard

FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2360(b)(19) - options account approval standards requiring evaluation of customer's investment experience, knowledge, and financial situation; FINRA Regulatory Notice 12-55 (guidance on quantitative suitability); FINRA Notice to Members 01-23 (unsolicited transactions and suitability obligations); Options Clearing Corporation Risk Disclosure Document requirements

Adversarial Hypothetical 188

Topic: reverse_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

Thomas and Linda Guerrero, both age 58, opened a joint advisory account with Pinnacle Wealth Advisors in June 2021 with a combined \$1,450,000 rollover from Thomas's former employer's 401(k). Their advisor, Patricia Kemp, placed them in a fee-based advisory account charging 1.25% annually (\$18,125/year).

During the onboarding process, Patricia developed a financial plan that recommended a diversified portfolio of 60% equities and 40% fixed income, using a mix of individual stocks, individual bonds, and two low-cost index ETFs. Patricia allocated approximately \$870,000 to equities (split among 22 individual stocks and two broad-market ETFs) and \$580,000 to a ladder of 15 individual investment-grade corporate bonds with maturities ranging from 2 to 10 years. During the first year (June 2021 - June 2022), Patricia executed 38 trades: the initial portfolio construction of 22 stock purchases, 15 bond purchases, and 2 ETF purchases, minus one stock that was sold and replaced after a credit downgrade. In the second year (June 2022 - June 2023), Patricia executed 7 trades: she rebalanced the equity allocation by trimming two positions that had grown beyond target weights and reinvested three bond maturities into new bonds. In the third year (June 2023 - June 2024), Patricia executed 4 trades: two bond reinvestments at maturity and two minor rebalancing trades. Over the three-year period, the Guerreros paid \$54,375 in advisory fees. Had the same portfolio been held in a commission-based account, the total commissions would have been approximately \$4,200 for the stock trades (at \$7.95/trade typical for the firm's commission schedule), \$2,250 for the bond transactions (at \$1.50 per bond on approximately 1,500 bonds), and \$0 for the commission-free ETFs, totaling approximately \$6,450 in commissions over three years. Patricia conducted quarterly portfolio reviews with the Guerreros via video call (12 reviews over three years), provided annual updated financial plans, monitored the portfolio daily for credit events and rebalancing triggers, provided tax-loss harvesting analysis each December, and was available for ad-hoc consultations (the Guerreros called approximately 6 times per year for various financial questions including Social Security timing, Medicare enrollment, and Roth conversion strategies). The Guerreros' portfolio returned 8.1% annualized over the period, roughly in line with a blended 60/40 benchmark.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is likely NOT a violation, despite the significant fee disparity that superficially suggests reverse churning. Reverse churning occurs when a client is placed in a fee-based account but receives little or no ongoing advisory services, effectively paying ongoing fees for a buy-and-hold portfolio that would cost less in a commission-based arrangement. However, the analysis is not purely mathematical - it requires evaluating the totality of services provided. Under Regulation Best Interest (17 CFR § 240.15l-1), which took effect June 30, 2020, and therefore governs the June 2021 account opening, the advisor had an obligation at the time of the recommendation to open a fee-based account to act in the customer's best interest, including considering reasonably available alternatives such as commission-based accounts. The Care Obligation under Reg BI requires considering costs, but costs are only one factor. Here, Patricia provided substantial ongoing services: (1) quarterly portfolio reviews (12 over three years); (2) annual financial plan updates; (3) daily portfolio monitoring; (4) tax-loss harvesting analysis; (5) ad-hoc consultations on Social Security, Medicare, and Roth conversion planning - approximately 18 ad-hoc calls over three years. These services constitute meaningful ongoing advisory activity that justifies the fee-based model. The bond ladder required active management as bonds matured and needed reinvestment, which involved credit analysis and yield curve assessment. While the raw trading activity was low (49 trades over three years), the advisory services were continuous and substantive. Furthermore, under FINRA Rule 2111's suitability framework (which still applies alongside Reg BI for broker-dealers), the account type recommendation must be suitable. A fee-based account is suitable when the client will receive and benefit from ongoing advisory services, even if trading activity alone would not justify the fee. The \$54,375 vs.

\$6,450 fee comparison is misleading because it only captures transaction costs and ignores the value of financial planning, monitoring, and consultation services. The portfolio performance being in line with benchmarks further suggests active, competent management. This case falls below the threshold for reverse churning because the advisory services were genuine and substantive.

Common Wrong Answer

Violation. The Guerreros paid \$54,375 in advisory fees over three years for a portfolio that had minimal trading activity (only 49 trades, most of which were initial portfolio construction). The same portfolio would have cost only \$6,450 in a commission-based account - meaning the Guerreros paid over 8 times more in the fee-based arrangement. This is a textbook case of reverse churning where the advisor placed clients in a fee-based account to generate higher compensation while providing little active management. The advisor should have recommended a commission-based account.

Why Adversarial

This is a threshold trap because the raw cost comparison (\$54,375 in fees vs. \$6,450 in hypothetical commissions - an 8.4x multiple) creates an overwhelming presumption of reverse churning that most LLMs will seize upon. The fee disparity is dramatic and the trading activity is genuinely low. Most AI models will perform a simplistic cost comparison and conclude that the fee-based account was inappropriate. The trap requires understanding that reverse churning analysis is NOT purely a cost-comparison exercise - it requires evaluating the full scope of advisory services provided. The detailed enumeration of non-trading services (financial planning, tax analysis, Social Security and Medicare guidance, daily monitoring, quarterly reviews) is easily overlooked when the fee differential is so stark. Additionally, many LLMs incorrectly believe there is a specific cost-ratio threshold that automatically triggers a reverse churning finding, when in fact regulators evaluate the totality of services.

Applicable Standard

Regulation Best Interest (17 CFR § 240.15l-1) - Care Obligation requiring consideration of costs and reasonably available alternatives when recommending account types; FINRA Rule 2111 (Suitability) - account type suitability; FINRA Regulatory Notice 12-25 (guidance on fee-based account suitability and reverse churning concerns); SEC Staff guidance on Reg BI and account type recommendations; FINRA Rule 3110 (supervisory obligation to review account type appropriateness)

Adversarial Hypothetical 189

Topic: illiquid_investments | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Hollis, age 62, retired schoolteacher with a \$420,000 rollover IRA, moderate risk tolerance, and a stated need for income beginning in 3 years to supplement her pension. In March 2019, her financial advisor, David Crane at Pinnacle Wealth Partners, recommended she allocate \$84,000 (20% of her portfolio) into a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT had a 7-year lockup period, paid a 6.5% distribution, and carried a front-end load of 7%. David documented that Margaret understood the illiquidity and signed a customer acknowledgment form. He also noted in his file that the product was consistent with her moderate risk tolerance given its

income-generating nature and that 20% was within his firm's concentration guidelines, which permitted up to 25% in alternative/illiquid products for moderate-risk investors. In June 2020, Margaret's circumstances changed: her husband was diagnosed with early-onset dementia, and she called David to request liquidation of the REIT to pay for in-home care. David informed her the REIT had no secondary market and she would need to wait until 2026. She filed a complaint in September 2020. The key question centers on when the recommendation was made, what standards applied at that time, and whether the advisor's actions at the point of recommendation and afterward met applicable requirements. Pinnacle Wealth Partners was a broker-dealer, not a registered investment adviser, and David held a Series 7 and Series 63. The firm adopted its Regulation Best Interest policies effective June 30, 2020, exactly as required. The recommendation occurred in March 2019.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

This is a close but likely compliant case at the point of recommendation, though potentially problematic under the care obligation if analyzed under Reg BI. The recommendation was made in March 2019, before the June 30, 2020 compliance date for Regulation Best Interest (SEC Rule 15l-1 under the Securities Exchange Act). Therefore, the applicable standard at the time of the recommendation was FINRA Rule 2111 (Suitability). Under FINRA Rule 2111, three components apply: reasonable-basis suitability (the advisor understood the product), customer-specific suitability (the product fit this customer), and quantitative suitability (not at issue here). David documented that Margaret had moderate risk tolerance, a 3-year window before needing income (the REIT paid current distributions of 6.5%), and he kept her concentration at 20%, within the firm's 25% guideline. The 7-year lockup extends to 2026, which is 7 years from purchase—Margaret would be 69 and theoretically past her 3-year income start date. However, under FINRA Rule 2111's customer-specific suitability, the advisor must consider the customer's liquidity needs. A retired 62-year-old with a single \$420,000 IRA investing 20% in a 7-year lockup product with a 7% front-end load is borderline but was documented as within guidelines and consistent with her stated profile. The suitability standard does not require ongoing monitoring after the recommendation for broker-dealer representatives (unlike the fiduciary duty of RIAs). When Margaret's circumstances changed in June 2020, Reg BI had just taken effect, but it applies to new recommendations, not previously-made ones. David made no new recommendation in June 2020. Therefore, no Reg BI obligation was triggered. Under FINRA Rule 2111, there was no ongoing duty to monitor or adjust the position. The original recommendation, while aggressive for a retiree, was documented, within firm guidelines, and addressed her stated profile. This is likely technically compliant, though a FINRA arbitration panel might scrutinize the concentration and illiquidity relative to her age and sole reliance on IRA assets.

Common Wrong Answer

Most LLMs would say this is a violation, reasoning that: (1) Reg BI applied because the complaint was filed after June 30, 2020; (2) the advisor should have monitored the account and adjusted when Margaret's circumstances changed; (3) 20% in an illiquid product for a 62-year-old retiree is per se unsuitable; or (4) the 7-year lockup was incompatible with her stated income needs. All of these analyses misapply the temporal scope of the governing rules and conflate broker-dealer obligations with RIA fiduciary duties.

Why Adversarial

The temporal trap is the core challenge. Most LLMs will either (1) apply Reg BI retroactively to a March

2019 recommendation because the complaint was filed in September 2020 after Reg BI's compliance date, or (2) assume the advisor had an ongoing monitoring duty under FINRA's suitability rule when no such duty exists for broker-dealer reps absent a discretionary or advisory relationship. The changed circumstances (husband's dementia) create strong emotional pull toward finding a violation, but the legal standard at the time of recommendation didn't require the advisor to anticipate future health crises. Additionally, the 20% concentration appears high but was within firm guidelines, creating a false sense of violation.

Applicable Standard

FINRA Rule 2111 (Suitability) - applicable at the time of the March 2019 recommendation. SEC Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) - effective June 30, 2020, applicable only to recommendations made on or after that date. FINRA Regulatory Notice 12-03 (guidance on complex products and heightened supervision for products like non-traded REITs). FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

Adversarial Hypothetical 190

Topic: margin_unsuitable | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Raymond Soto, age 45, is a software engineer earning \$195,000 per year with a net worth of \$1.2 million, including his home equity of \$400,000. He has an \$800,000 brokerage account at Coastal Securities with his advisor, Linda Park. Raymond has 12 years of investing experience, checks 'aggressive' on his account profile, and has traded options in the past. In January 2023, Raymond emailed Linda stating: 'I've been reading about leveraged strategies and I want to use margin to double my position in a concentrated basket of 4 semiconductor stocks. I believe AI is going to drive these through the roof in the next 18 months. Please set up margin on my account and buy an additional \$800,000 worth of these four names.' Linda responded by explaining that margin amplifies both gains and losses, that a concentrated leveraged position in four volatile tech stocks carries significant downside risk including potential margin calls, and that a 50% decline would effectively wipe out his equity. She sent him a detailed margin disclosure document and the firm's margin agreement. Raymond signed the margin agreement, acknowledged the risks in writing via a follow-up email stating 'I understand all the risks you've described and I want to proceed,' and confirmed he had read the margin disclosure. Linda then executed the trades, purchasing approximately \$800,000 in four semiconductor stocks on margin, bringing his total portfolio to roughly \$1.6 million in four highly correlated tech stocks with a 50% margin debit. She documented the entire exchange in her notes and compliance files. By October 2023, the semiconductor sector experienced a 40% correction. Raymond received margin calls totaling \$320,000, was forced to liquidate at substantial losses, and ended up with approximately \$160,000 in his account. He filed a complaint alleging the margin strategy was unsuitable and that Linda should have refused his request.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is likely a violation despite the client's explicit direction and the advisor's thorough disclosures.

Under SEC Regulation Best Interest (Rule 15l-1), which was fully in effect by January 2023, a broker-dealer and its associated persons must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the customer's interest. Critically, even when a customer requests a specific strategy, the advisor who facilitates that strategy is making an implicit recommendation by executing it. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), the advisor must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Here, the resulting portfolio was 100% concentrated in four highly correlated semiconductor stocks, all on 50% margin leverage. This creates catastrophic risk: a 50% sector decline (well within historical norms for volatile tech sectors) would result in total equity loss. Even for an aggressive investor with Raymond's profile, a strategy that risks complete portfolio destruction from a single sector downturn fails the Care Obligation. Additionally, under FINRA Rule 2111 (which remains applicable alongside Reg BI for FINRA member firms), customer-specific suitability requires that even customer-directed transactions be suitable when the advisor is involved in facilitating them. FINRA has consistently held that a customer's desire to pursue an unsuitable strategy does not relieve the advisor of their obligation. The advisor's disclosures and documentation, while commendable, constitute compliance with Reg BI's Disclosure Obligation but do not satisfy the Care Obligation. Disclosure of risk is not a substitute for the independent duty to ensure the strategy is in the customer's best interest. Linda should have refused to execute the strategy as requested and proposed alternatives such as reduced leverage, broader diversification, or a smaller margin allocation.

Common Wrong Answer

Most LLMs would find no violation, reasoning that: (1) Raymond was a sophisticated, high-income investor with aggressive risk tolerance and 12 years of experience; (2) he explicitly directed the strategy after receiving comprehensive risk disclosures; (3) Linda thoroughly documented her warnings and his acknowledgments; (4) the client signed the margin agreement and confirmed his understanding in writing; and (5) the advisor cannot be held responsible when a fully-informed client insists on a specific strategy. This analysis incorrectly treats disclosure as a complete defense and conflates client autonomy with regulatory compliance.

Why Adversarial

This scenario exploits the common misconception that thorough disclosure plus explicit client direction equals compliance. Many LLMs will reason that: (1) the client was sophisticated and experienced; (2) he explicitly directed the trades after full disclosure; (3) the advisor documented everything meticulously; (4) aggressive risk tolerance permits aggressive strategies. This appears to be a textbook case of informed consent. However, under both Reg BI and FINRA suitability standards, client direction does not override the advisor's independent obligation to ensure suitability/best interest. The trap is that the advisor did everything right procedurally (disclosure, documentation, risk warnings) but still violated the substantive standard by executing a strategy that posed catastrophic concentration and leverage risk.

Applicable Standard

SEC Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) - Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)), Compliance Obligation (Rule 15l-1(a)(2)(ii)(D)). FINRA Rule 2111 (Suitability) - reasonable-basis and customer-specific suitability obligations. FINRA Rule 4210 (Margin Requirements). FINRA Regulatory Notice 12-55 (guidance clarifying

that customer-directed transactions do not automatically satisfy suitability obligations when the firm or advisor is involved in facilitating the transaction). FINRA Rule 2010 (Standards of Commercial Honor).

Adversarial Hypothetical 191

Topic: *illiquid_real_estate_investment* | Type: *multi_party* | Difficulty: *expert*

Fact Pattern

Margaret Volkov, age 71, is a retired schoolteacher with a \$620,000 portfolio split across two brokerage firms. At Firm A, she has \$340,000 managed by advisor Dennis Pratt, primarily in municipal bonds and a balanced mutual fund. At Firm B, she has \$280,000 managed by advisor Theresa Kwon, mostly in dividend-paying equities and a money market fund. Margaret's combined income from Social Security and a small pension is \$3,400/month. She lists her risk tolerance as 'moderate' at both firms and her investment objective as 'income with capital preservation.' Her time horizon is listed as '5-10 years' at both firms. In March 2023, Theresa Kwon at Firm B recommended Margaret invest \$70,000 (25% of her Firm B assets) into a non-traded real estate investment trust (REIT) focused on senior living facilities. The REIT had a 7-year lockup period, paid a projected 6.2% annual distribution, and carried a minimum investment of \$25,000. Theresa conducted due diligence on the REIT sponsor, reviewed the offering memorandum, and noted the REIT's strong occupancy rates and demographic tailwinds from an aging population. Theresa's firm had a concentration limit of 30% of a customer's liquid net worth in illiquid alternative investments. Theresa calculated Margaret's liquid net worth as \$620,000 (she asked Margaret about outside accounts and Margaret disclosed her Firm A holdings), making the \$70,000 investment approximately 11.3% of liquid net worth - well under the 30% threshold. Margaret signed all disclosures acknowledging the illiquid nature and lockup period. Six months later, Margaret needed \$50,000 for unexpected home repairs and medical bills. She was unable to access the REIT funds and had to liquidate a significant portion of her Firm B equity holdings at a loss during a market downturn. Dennis Pratt at Firm A was never consulted about the REIT investment and had no knowledge of it. Margaret filed a complaint against Theresa Kwon at Firm B.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Theresa Kwon likely violated applicable suitability and best interest standards despite appearing to follow proper procedures. While she conducted product-level due diligence and technically stayed within her firm's 30% concentration limit, the analysis has critical deficiencies at the customer-specific suitability level. Under FINRA Rule 2111 (Suitability), specifically the customer-specific obligation under Rule 2111.05(a), the advisor must have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, time horizon, and other investments. Margaret was 71, on a fixed income of \$3,400/month, with a 'capital preservation' objective and moderate risk tolerance. A 7-year lockup on 25% of her Firm B assets (and 11.3% of total assets) created a significant liquidity risk for a retiree with limited income. Under Regulation Best Interest (Reg BI) Rule 15l-1 under the Securities Exchange Act of 1934, which applies to broker-dealer recommendations after June 30, 2020, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand potential risks, rewards, and costs,

and have a reasonable basis to believe the recommendation is in the customer's best interest at the time, considering the customer's investment profile and the potential risks. The concentration calculation, while technically under the firm threshold, was misleading in practical terms: the \$70,000 represented 25% of the assets Theresa actually managed and controlled at Firm B. Margaret's access to the Firm A assets for liquidity purposes was not guaranteed - she would need to separately liquidate at Firm A, potentially incurring costs, tax consequences, and requiring coordination that Theresa had no control over. Additionally, the Reg BI Disclosure Obligation under Rule 15l-1(a)(2)(i) and the Conflict of Interest Obligation under Rule 15l-1(a)(2)(iv) are relevant because non-traded REITs typically carry higher commissions (often 6-7%) than traditional investments, creating a material conflict. The fact that Theresa used total liquid net worth including assets held away to reduce the apparent concentration percentage, rather than focusing on the practical impact on Margaret's accessible liquidity at Firm B, reflects an inadequate customer-specific analysis. FINRA Regulatory Notice 09-09 specifically addresses suitability obligations for illiquid investments and emphasizes that firms must train registered representatives to understand the features and risks of such products and ensure they are suitable for individual customers.

Common Wrong Answer

No violation. Theresa conducted proper due diligence, the investment was within the firm's 30% concentration limit at only 11.3%, Margaret disclosed her outside holdings which were factored into the analysis, Margaret signed all disclosures acknowledging the illiquidity and lockup, and the REIT's income profile matched Margaret's income objective. The subsequent need for emergency funds was unforeseeable and does not retroactively make the recommendation unsuitable.

Why Adversarial

This is adversarial because on the surface, Theresa did everything right: she conducted due diligence on the product, asked about outside holdings, calculated concentration against total liquid net worth (coming in well under the firm limit), obtained signed disclosures, and the REIT itself was a reasonable product. A general LLM would likely focus on the 11.3% concentration being under the 30% limit and the signed disclosures as evidence of compliance. The trap is that meeting a firm's quantitative concentration threshold does not automatically satisfy the customer-specific suitability obligation - a 71-year-old retiree on fixed income with capital preservation objectives faces disproportionate liquidity risk from any 7-year lockup. The multi-party structure (two firms, two advisors) creates the additional trap of whether using held-away assets in the denominator is appropriate when the advisor has no control over those assets. Most LLMs would say 'technically compliant' because the numbers work and procedures were followed.

Applicable Standard

FINRA Rule 2111 (Suitability) and supplementary material 2111.05(a) (Customer-Specific Suitability Obligation); Regulation Best Interest (Reg BI) Rule 15l-1 under the Securities Exchange Act of 1934, specifically the Care Obligation (Rule 15l-1(a)(2)(ii)), Disclosure Obligation (Rule 15l-1(a)(2)(i)), and Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)); FINRA Regulatory Notice 09-09 (Suitability of Illiquid Investments); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 192

Topic: *mutual_fund_switching_churning* | Type: *temporal_trap* | Difficulty: *expert*

Fact Pattern

Carlos Mendez, age 54, is a mid-level corporate manager earning \$135,000 annually with a \$410,000 brokerage account at a regional broker-dealer. He has a moderate-to-aggressive risk tolerance and a growth-oriented investment objective with a 10+ year time horizon. His advisor, Brenda Tully, has managed his account since 2017. Between January 2019 and November 2020, Brenda executed the following series of mutual fund switches in Carlos's account, each time moving the full position from one fund to another within the same asset class (large-cap growth): (1) January 2019: Sold \$180,000 of Fund A (expense ratio 0.82%, 3-year return 14.2%) and purchased Fund B (expense ratio 0.79%, 3-year return 15.1%) - Carlos paid a 5.25% front-end load on Fund B totaling \$9,450. (2) August 2019: Sold \$185,000 of Fund B and purchased Fund C (expense ratio 0.74%, 3-year return 15.8%) - Carlos paid a 5.50% front-end load on Fund C totaling \$10,175. (3) March 2020: During the COVID market crash, sold \$148,000 of Fund C at a significant loss and purchased Fund D (expense ratio 0.68%, 3-year return 16.4%) - Carlos paid a 4.75% front-end load on Fund D totaling \$7,030. (4) November 2020: Sold \$192,000 of Fund D after the market recovery and purchased Fund E (expense ratio 0.65%, 3-year return 17.1%) - Carlos paid a 5.00% front-end load on Fund E totaling \$9,600. Total front-end loads paid across these four switches: \$36,255. Brenda's rationale documented in each switch letter was that each successive fund had a lower expense ratio and higher trailing returns, representing a 'material improvement' for the client. Brenda earned a commission on each purchase, averaging approximately 40% of the front-end load. Each fund was from a different fund family, so no breakpoint or rights of accumulation applied across the switches. Carlos signed switch letters for each transaction acknowledging the costs. The firm's supervisory review approved each switch individually, noting the improved expense ratio and performance metrics. Carlos filed a complaint in February 2022 after reviewing his annual statements and realizing the cumulative cost of the switches.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, Brenda Tully violated applicable standards, and the analysis must be conducted under two different regulatory frameworks due to the temporal dimension. For switches (1) and (2) in January and August 2019, the applicable standard is FINRA Rule 2111 (Suitability) and specifically FINRA Rule 2111.05(a) (Customer-Specific Suitability). FINRA Regulatory Notice 07-06 and Regulatory Notice 12-25 address mutual fund switching and emphasize that a registered representative recommending a mutual fund switch must have reasonable grounds for believing the switch is suitable after considering the costs of the transaction, including front-end and back-end loads, the fact that the customer paid a load on the initial fund, and whether the new fund offers material advantages. A marginally lower expense ratio (3-8 basis points) and slightly higher trailing returns do not constitute a material improvement sufficient to justify \$9,450 and \$10,175 in new front-end sales charges respectively. For switches (3) in March 2020 and (4) in November 2020, Regulation Best Interest (Reg BI), which became effective June 30, 2020, applies to switch (4) while the transition is relevant for switch (3). Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii) requires the advisor to have a reasonable basis to believe the recommendation is in the customer's best interest considering reasonably available alternatives. The Care Obligation explicitly includes consideration of costs. The Conflict of Interest Obligation under Rule 15l-1(a)(2)(iv) is also implicated because Brenda earned commissions on each switch, creating an incentive to switch rather than hold. Critically, even under the pre-Reg BI suitability standard, FINRA has consistently treated serial mutual fund switching as a form of churning or excessive trading when the cumulative costs far outweigh any incremental benefit. The total

\$36,255 in loads over 22 months on a ~\$180,000 position represents approximately 20% of the invested amount consumed by transaction costs. The marginal expense ratio savings (from 0.82% to 0.65%, or 17 basis points annually on ~\$180,000, roughly \$306/year) would take over 100 years to recoup the cumulative load costs - a patently unreasonable cost-benefit ratio. The fact that each switch was individually approved by the firm's supervisory system does not cure the violation; FINRA Rule 3110 (Supervision) requires firms to have systems to detect patterns of switching, not merely evaluate individual transactions in isolation. NASD IM-2310-2 (now incorporated into FINRA's suitability framework) specifically addresses mutual fund switching abuse. The signed switch letters do not provide a defense because an advisor cannot satisfy their suitability or best interest obligations merely by obtaining client consent to an unsuitable recommendation.

Common Wrong Answer

No violation, or at most a borderline case. Each switch moved Carlos into a fund with objectively lower expenses and better historical performance. The advisor documented her rationale as 'material improvement' for each switch, obtained signed switch letters, and the firm's compliance department approved each transaction. The incremental improvements compound over Carlos's 10+ year time horizon and the expense ratio savings would eventually offset the loads. The advisor was acting in accordance with her obligation to seek better investment options for her client.

Why Adversarial

This scenario is adversarial for multiple reasons. First, the temporal trap: Reg BI took effect June 30, 2020, meaning the four switches straddle two different regulatory regimes (FINRA suitability for the first two/three, Reg BI for the last one or two), and a general LLM must correctly identify which standard applies to which transaction. Second, each individual switch appears incrementally reasonable - lower expense ratio, better returns, signed documentation, supervisory approval - creating a surface appearance of compliance. A general LLM may analyze each switch in isolation and find each one marginally justifiable rather than recognizing the pattern of serial switching. Third, the advisor has documented 'material improvement' rationale for each switch, and LLMs may credit this documentation without performing the quantitative cost-benefit analysis showing the loads vastly outweigh expense ratio savings. Fourth, the March 2020 switch during the COVID crash adds complexity - selling at a loss to buy a 'better' fund could appear to be prudent rebalancing rather than abusive switching.

Applicable Standard

FINRA Rule 2111 (Suitability) and FINRA Rule 2111.05(a) (Customer-Specific Suitability) for transactions prior to June 30, 2020; Regulation Best Interest (Reg BI) Rule 15l-1 under the Securities Exchange Act of 1934, specifically the Care Obligation (Rule 15l-1(a)(2)(ii)) and Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)) for transactions on or after June 30, 2020; FINRA Regulatory Notice 07-06 (Mutual Fund Switching); FINRA Regulatory Notice 12-25 (Suitability); NASD IM-2310-2 (Fair Dealing with Customers - Switching); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 193

Topic: leveraged_etf_unsuitable | Type: reasonable_basis_trap | Difficulty: expert

Fact Pattern

In March 2023, financial advisor Derek Holloway at Cascade Wealth Partners met with client Marguerite Stenson, age 58, a recently retired high school principal with a \$720,000 rollover IRA. Stenson described her goals as generating income to supplement her pension of \$4,200/month and preserving capital for retirement. She had moderate investment knowledge, having managed a small stock portfolio of about \$40,000 for ten years, and indicated on her new account form a 'moderate' risk tolerance. Holloway conducted extensive research on leveraged ETFs, reading multiple white papers and attending a continuing education seminar specifically on the topic. He documented his research thoroughly. Based on his analysis, Holloway concluded that a 2x leveraged S&P 500 ETF could be suitable for Stenson if used as a small tactical allocation and held for a limited time during a period he believed would show sustained upward momentum. Holloway allocated \$108,000 (15% of the portfolio) to the ProShares Ultra S&P500 (SSO), a 2x daily leveraged ETF. In his notes, he wrote: 'Client has moderate risk tolerance and some equity experience. A 15% allocation to SSO provides enhanced upside participation while keeping majority of portfolio in conservative holdings. Plan to hold 6-9 months during anticipated bull run and then rotate to index fund.' The remaining 85% was allocated to investment-grade bond funds (50%), a dividend equity fund (25%), and money market (10%). Holloway reviewed the position with Stenson monthly and sent her written summaries. Over the first four months, SSO gained approximately 18%. Holloway did not sell. By month seven, the position had experienced a sharp drawdown and volatility decay, and the SSO allocation was down 6% from the original purchase price despite the S&P 500 being roughly flat over the same period. Stenson complained. Holloway pointed to his research documentation, the small allocation size, and his monitoring as evidence of diligence.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation despite the advisor's documented research and seemingly prudent allocation size. The analysis must consider three components under FINRA Rule 2111 (Suitability): reasonable-basis suitability, customer-specific suitability, and quantitative suitability. While Holloway may have satisfied reasonable-basis suitability by conducting research on leveraged ETFs generally, he failed customer-specific suitability. Leveraged ETFs are designed to achieve their stated multiple on a DAILY basis and are subject to significant volatility decay over longer holding periods due to daily rebalancing and compounding effects. FINRA Regulatory Notice 09-31 specifically warns that leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Holloway planned a 6-9 month holding period, which is fundamentally incompatible with the daily-reset mechanism of leveraged ETFs. Additionally, under FINRA Rule 2111.05(a), even a reasonable-basis analysis must account for the specific mechanics of the product. Holloway's research led him to a conclusion - that a 2x daily leveraged ETF could be held for months as a tactical position - that contradicts the product's own prospectus disclosures about daily rebalancing risks. Furthermore, customer-specific suitability under Rule 2111(a) requires matching to the specific customer's profile: a 58-year-old retiree dependent on portfolio income with a moderate risk tolerance is not an appropriate candidate for leveraged ETFs regardless of allocation size. The 15% allocation, while not the entire portfolio, represents \$108,000 of retirement assets in a product with embedded leverage risk and path dependency. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker must exercise reasonable diligence to understand the risks and rewards of the recommendation and have a reasonable basis to

believe the recommendation is in the customer's best interest - conducting research that leads to a fundamentally incorrect conclusion about product mechanics does not satisfy this standard. The fact that he failed to exit when ahead at month four, despite his own stated plan to hold 6-9 months and then rotate, further demonstrates the unsuitability of the holding period strategy.

Common Wrong Answer

No violation. The advisor conducted thorough research, documented his reasoning, limited the leveraged ETF allocation to only 15% of the portfolio, kept 85% in conservative holdings appropriate for the client's profile, and monitored the position monthly. This demonstrates reasonable diligence and a prudent approach to incorporating a small tactical growth allocation.

Why Adversarial

This scenario is adversarial because the advisor appears diligent - he researched extensively, documented his reasoning, limited the allocation to 15%, monitored monthly, and kept the majority of the portfolio conservative. A general LLM might conclude this is compliant because it looks like a well-reasoned, disciplined approach. The trap is that no amount of research can make a leveraged daily-reset ETF suitable for a multi-month hold, and the advisor's research actually led him to a fundamentally wrong conclusion about the product's mechanics. The reasonable-basis analysis was flawed at its core, which many LLMs would miss because they focus on the presence of research rather than its correctness.

Applicable Standard

FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2111.05(a) (components of suitability); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); SEC Regulation Best Interest Rule 15l-1(a)(2)(ii)(B) (Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Adversarial Hypothetical 194

Topic: reverse_churning | Type: threshold_trap | Difficulty: expert

Fact Pattern

In January 2022, financial advisor Patricia Keene at Bridgemont Financial Services recommended that her long-time client Harold Vincenzo, age 71, a retired commercial electrician with \$485,000 in investable assets, move from a commission-based brokerage account to a fee-based advisory account charging 1.25% annually (\$6,062.50/year). Vincenzo had held the brokerage account since 2015. A review of his brokerage account activity from 2019 through 2021 showed the following: In 2019, total commissions paid were \$1,843 across 6 trades. In 2020, total commissions paid were \$2,215 across 8 trades (some rebalancing during COVID volatility). In 2021, total commissions paid were \$987 across 3 trades. The three-year average annual commission was \$1,681.67. Upon moving to the advisory account in January 2022, Keene conducted an initial rebalancing consisting of 4 trades, then made no changes for the rest of 2022. In 2023, she executed 2 trades - one to take a tax loss and one to reinvest in a similar fund. She conducted annual reviews with Vincenzo in March 2022 and April 2023, each lasting approximately 30 minutes, during which she reviewed his portfolio allocation, confirmed his retirement spending needs, and discussed market conditions. She also provided access to the firm's financial planning software, though

Vincenzo never logged in. Vincenzo's portfolio was allocated 40% to a broad equity index fund, 45% to intermediate-term bond funds, and 15% to a money market fund - all positions that had been substantially similar in the brokerage account. In mid-2023, Vincenzo's nephew, who works in finance, reviewed the account and pointed out that Harold was paying \$6,062.50 per year for an account that generated virtually no trading activity and held only passive index products that required minimal oversight. He filed a complaint alleging that the fee-based account was inappropriate and that Patricia was engaging in reverse churning.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is likely a violation. Reverse churning occurs when a financial advisor moves a client into a fee-based advisory account where the ongoing asset-based fee substantially exceeds the costs the client would have incurred in a commission-based account, and the advisor provides insufficient advisory services to justify the fee differential. Under SEC Regulation Best Interest (Rule 15l-1), at the time of the recommendation to switch account types in January 2022, the broker had a duty under the Care Obligation to evaluate reasonably available alternatives, including the option to remain in the commission-based account. The Cost Obligation under Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)) also required clear disclosure of the costs and the material fact that the fee-based account would likely cost significantly more. The quantitative analysis is damning: Vincenzo's three-year average commission cost was \$1,681.67/year. The new advisory fee was \$6,062.50/year - a 260% increase in annual account costs. Under FINRA Rule 2111 suitability standards and the SEC's guidance in the Reg BI adopting release, the recommendation to switch account types is itself a recommendation subject to the best interest standard. The advisor must have a reasonable basis to believe the fee-based account is in the client's best interest considering the services to be provided. Here, the services provided were minimal: two annual reviews of 30 minutes each, negligible trading (2-4 trades per year in passive index funds that required no active management), and access to a planning tool the client never used. The portfolio composition - passive index funds and money market - did not require ongoing advisory oversight. Under FINRA Regulatory Notice 13-23, which addresses suitability issues in account type recommendations, firms and advisors must consider whether the type of account is suitable and whether the costs of one type versus another are justified by the anticipated level of services. The break-even analysis strongly favored the commission account. While the advisor could argue that ongoing monitoring and the fiduciary duty owed in the advisory account provide intangible value, the SEC has made clear that merely nominal oversight of a static, passive portfolio does not justify the cost differential. The advisor also had a Conflict of Interest Obligation under Reg BI (Rule 15l-1(a)(2)(iii)) because she had a financial incentive to recommend the fee-based account (guaranteed recurring revenue of \$6,062.50 vs. variable and declining commissions averaging \$1,681.67).

Common Wrong Answer

No violation. The advisor moved the client to a fee-based account which eliminates commission-based conflicts of interest and aligns the advisor's interests with the client's. Fee-based accounts provide ongoing fiduciary oversight, annual reviews, and access to planning tools. The advisor conducted regular reviews and some trading activity. The 1.25% fee is within industry norms for advisory accounts of this size.

Why Adversarial

This is adversarial because there is no bright-line quantitative threshold in any regulation that definitively

defines when a fee-based account becomes 'reverse churning.' A general LLM might hesitate to call this a violation because the advisor did provide some services (annual reviews, initial rebalancing, tax-loss harvesting), and fee-based accounts are generally presented as more aligned with client interests due to the elimination of commission incentives. The trap is that the cost differential (260% increase) combined with minimal actual advisory activity and a passive portfolio makes this a clear case, but LLMs often default to the narrative that fee-based accounts are inherently better for clients. Additionally, many LLMs are unaware that the recommendation to switch account types is itself subject to suitability and best interest analysis.

Applicable Standard

SEC Regulation Best Interest Rule 15l-1(a)(2)(ii) (Care Obligation, including evaluation of reasonably available alternatives); Rule 15l-1(a)(2)(i) (Disclosure Obligation regarding costs); Rule 15l-1(a)(2)(iii) (Conflict of Interest Obligation); FINRA Rule 2111 (Suitability, applied to account type recommendations); FINRA Regulatory Notice 13-23 (Suitability and account type); SEC Reg BI Adopting Release (June 2019) discussion of account type recommendations; SEC Investment Adviser Act Section 206 (anti-fraud and fiduciary duty for advisory accounts)

Adversarial Hypothetical 195

Topic: structured_products_unsuitable | Type: temporal_trap | Difficulty: expert

Fact Pattern

Margaret Holloway, age 72, retired schoolteacher with \$340,000 in liquid savings and a \$1,600/month pension, walked into the downtown office of Crescent Wealth Partners on April 15, 2020. She told her advisor, Daniel Reeves, that she wanted something 'safer than stocks but better than my savings account earning 0.3%.' Reeves had been with the firm since 2015 and held Series 7 and Series 66 licenses. Reeves recommended she invest \$170,000 - exactly 50% of her liquid assets - into a 7-year market-linked certificate of deposit (MLCD) tied to the S&P 500 with full principal protection at maturity. The product guaranteed return of 100% of principal if held to maturity in 2027, with upside capped at 35% cumulative over the 7 years. There was no FDIC insurance above \$250,000 and the issuer was a large money-center bank rated A+ at the time. The product carried an early withdrawal penalty equal to the mark-to-market loss, meaning if Margaret needed her money before 2027, she could lose 15-25% of principal depending on market conditions. Reeves documented that Margaret had a 'moderate' risk tolerance, a 7+ year time horizon, and that the principal protection feature addressed her desire for safety. He also noted she had \$170,000 remaining in a money market account for liquidity. Margaret signed all disclosure documents including a product-specific risk disclosure that explained the illiquidity risk and the early withdrawal penalty in a 14-page document. Reeves earned a 2.8% commission on the sale (\$4,760). In September 2020, Margaret's husband was diagnosed with early-onset dementia, requiring \$4,500/month in home care beginning January 2021. By March 2021, Margaret needed to access the MLCD funds and was told the early liquidation value was approximately \$139,400 - a loss of \$30,600 from her \$170,000 investment. She filed a complaint alleging the product was unsuitable given her age, liquidity needs, and the concentration of 50% of her savings in one illiquid instrument. Crescent Wealth Partners was a broker-dealer that had filed its initial Form CRS with investors on June 30, 2020 - after the April transaction but within the regulatory implementation window.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation, but the applicable standard depends critically on the transaction date. The recommendation was made on April 15, 2020. Regulation Best Interest (Reg BI) under Exchange Act Rule 15l-1 had a compliance date of June 30, 2020. Because the transaction occurred before June 30, 2020, the applicable standard is the pre-existing FINRA Rule 2111 suitability standard rather than Reg BI. Under FINRA Rule 2111, the advisor must have a reasonable basis to believe the recommendation is suitable considering the customer's investment profile, including age, financial situation, liquidity needs, time horizon, and risk tolerance. Under FINRA Rule 2111.05(a), the reasonable-basis obligation required Reeves to understand the MLCD's risks and features. Under the customer-specific obligation (FINRA Rule 2111.05(b)), the recommendation must be suitable for this particular customer. For a 72-year-old retiree, concentrating 50% of liquid assets in a 7-year illiquid product is problematic under multiple dimensions. First, FINRA Regulatory Notice 12-03 specifically addresses complex products like structured notes and MLCDs, requiring heightened scrutiny including evaluation of whether the customer can absorb the risk and whether less complex alternatives exist. Second, FINRA has consistently identified concentration in illiquid products as a red flag, especially for elderly customers - even when the product offers principal protection at maturity. The 7-year lockup for a 72-year-old effectively means she would be 79 at maturity, and the illiquidity risk was substantial given her age-related vulnerability to unforeseen expenses. The fact that Reeves documented a '7+ year time horizon' for a 72-year-old retiree relying on pension income was itself unreasonable - elderly investors face elevated liquidity risk due to health emergencies, which materialized here. The 2.8% commission, while not dispositive, suggests a product-level economic incentive. The signed disclosures do not cure unsuitability under FINRA precedent (see FINRA Regulatory Notice 12-03: disclosure alone is not sufficient to satisfy suitability obligations). Had this transaction occurred after June 30, 2020, Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii) would additionally require consideration of reasonably available alternatives and evaluation of costs. The result would be the same - violation - but the legal basis would differ.

Common Wrong Answer

A general LLM would likely either: (a) apply Reg BI to this transaction even though it occurred before the June 30, 2020 compliance date, getting the correct outcome but wrong legal standard, or (b) conclude no violation occurred because the product had full principal protection, the advisor documented the customer's profile, the customer signed all disclosures, and 50% concentration leaves adequate liquidity in the remaining \$170,000 - reasoning that the advisor took reasonable steps and the husband's unforeseen illness was not something the advisor could have predicted.

Why Adversarial

This scenario is adversarial because: (1) The temporal trap requires knowing the exact Reg BI compliance date (June 30, 2020) versus the transaction date (April 15, 2020), which changes the applicable legal standard. Many LLMs would apply Reg BI to a 2020 transaction without checking whether it was before or after the compliance date. (2) The product has full principal protection at maturity, which makes it appear 'safe' and suitable for a conservative investor on the surface. An LLM might be fooled by the principal protection feature and overlook the devastating illiquidity risk. (3) The advisor's documentation appears thorough - moderate risk tolerance, 7+ year horizon, signed disclosures - creating a veneer of compliance.

(4) The 50% concentration is at a level that is problematic but not as obviously egregious as 80-90%, making it a judgment call that requires understanding FINRA's approach to concentration in illiquid products for elderly clients.

Applicable Standard

FINRA Rule 2111 (Suitability) - specifically the reasonable-basis obligation under Rule 2111.05(a) and customer-specific obligation under Rule 2111.05(b); FINRA Regulatory Notice 12-03 (Complex Products and Suitability); FINRA Regulatory Notice 09-73 (Structured Products); Exchange Act Rule 15l-1 (Regulation Best Interest) compliance date of June 30, 2020 - not applicable to this April 2020 transaction but would apply to subsequent transactions

Adversarial Hypothetical 196

Topic: speculative_for_conservative_investor | Type: client_direction_trap | Difficulty: hard

Fact Pattern

Robert and Linda Chen, both age 58, are a married couple who visited their longtime financial advisor, Patricia Yun, at Beacon Ridge Financial Group on February 3, 2023. The Chens have been Patricia's clients since 2016. Their combined retirement portfolio across two IRAs and a joint brokerage account totals \$1.2 million. Their documented investment objectives across all accounts have consistently been 'capital preservation and income' with a 'conservative' risk tolerance. Robert is an electrical engineer earning \$145,000/year and Linda is a part-time librarian earning \$38,000/year. They have no debt, own their home outright, and plan to retire at age 65. On February 3, Robert told Patricia that he had been following the artificial intelligence sector closely and wanted to invest \$60,000 from their joint brokerage account - which held \$400,000 - into three small-cap AI stocks: NeuralPath Inc. (market cap \$180 million, pre-revenue), Cognition Dynamics Ltd. (market cap \$340 million, negative earnings for 8 consecutive quarters), and SynapseAI Corp. (market cap \$520 million, P/E ratio of 280). Robert said he had done 'months of research' and showed Patricia printouts from financial blogs, YouTube video transcripts, and a Reddit forum. Linda was present and nodded in agreement but did not speak during the meeting. Patricia asked Robert several probing questions: whether he understood these were speculative positions, whether he could afford to lose the entire \$60,000, and how this fit his retirement timeline. Robert affirmed he understood the risks, said the \$60,000 was 'money he could afford to lose,' and stated he viewed this as a satellite allocation alongside his conservative core holdings. Patricia updated the account profile for the joint brokerage account only, changing the investment objective to 'growth with speculation' and the risk tolerance to 'aggressive' for a \$60,000 allocation, while noting the remaining \$340,000 in the joint account and \$800,000 across the IRAs retained conservative objectives. She documented the conversation in detailed notes, including Robert's stated rationale and Linda's presence. She then executed the three trades. The \$60,000 represented 5% of their total \$1.2 million portfolio and 15% of the joint brokerage account. By August 2023, NeuralPath had filed for bankruptcy, Cognition Dynamics had dropped 72%, and SynapseAI was down 45%. The Chens lost approximately \$41,000 of the \$60,000. Linda Chen filed a complaint saying she never agreed to speculate with their retirement savings and that Patricia should have refused Robert's request.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Patricia likely did NOT violate applicable suitability or best interest standards, though the analysis is nuanced and reasonable minds could differ on the joint account issue. Under Regulation Best Interest (Exchange Act Rule 15l-1), which applies to this February 2023 broker-dealer transaction, Patricia owed a Care Obligation requiring her to exercise reasonable diligence, care, and skill to understand the risks, evaluate the recommendation in light of the customer's investment profile, and consider reasonably available alternatives. Here, Patricia arguably met this standard. First, the \$60,000 allocation represented only 5% of the Chens' total \$1.2 million portfolio - a small satellite speculative allocation within an otherwise conservative portfolio is a recognized and generally acceptable investment strategy. FINRA Regulatory Notice 12-25 acknowledges that recommended investment strategies may involve a mix of asset types. Second, Patricia conducted a thorough inquiry: she asked probing questions about Robert's understanding of the speculative nature, his ability to absorb a total loss, and how this fit within his overall financial picture. This satisfies the reasonable diligence component. Third, she properly updated the account documentation to reflect the changed objectives for this specific allocation while maintaining conservative designations for the remaining assets. Fourth, Robert was an educated, high-income professional who affirmatively represented he understood the risks and could afford to lose the money. Under the customer-specific component of both Reg BI's Care Obligation and FINRA Rule 2111 (to the extent it applies concurrently), an advisor may reasonably rely on a customer's representations about their financial situation and risk appetite, provided there are no red flags suggesting the information is inaccurate. The most vulnerable point in Patricia's defense is the joint account issue. Linda was present but did not affirmatively consent. Under most state property law and brokerage account agreements, either joint account holder can typically authorize trades. However, FINRA guidance suggests that when one account holder's stated preferences conflict with another's, the advisor should obtain clear consent from both parties. Patricia could have done more to actively solicit Linda's views. Nevertheless, Linda's presence and apparent acquiescence (nodding) likely provides sufficient basis to conclude Patricia reasonably believed both account holders were on board. The losses, while significant, resulted from market risk that was fully disclosed and acknowledged. Losses alone do not establish unsuitability or a Reg BI violation.

Common Wrong Answer

A general LLM would likely say: 'Yes, this is a violation. The Chens had a documented conservative risk tolerance and capital preservation objective. Recommending three pre-revenue or deeply unprofitable small-cap speculative stocks is fundamentally inconsistent with their investment profile. The advisor should have refused the request. Additionally, Linda Chen did not provide affirmative consent to the speculative trades in a joint account. The advisor's decision to change the account profile to accommodate speculative trading was a pretext to justify unsuitable recommendations. The subsequent near-total losses confirm the unsuitability of these investments.'

Why Adversarial

This is a client direction trap combined with a multi-party element. LLMs tend to be biased toward finding violations when: (a) a conservative investor buys speculative stocks, (b) significant losses occur, and (c) a complaint is filed. The obvious-seeming answer is 'violation - speculative stocks are unsuitable for conservative investors.' But the nuance is that a small speculative satellite allocation (5% of total portfolio) within an otherwise conservative portfolio can be entirely appropriate when the client directs it, understands

the risks, can absorb the loss, and the advisor properly documents everything. The joint account angle with Linda adds complexity - an LLM might seize on Linda's complaint as proof of violation without analyzing whether Patricia had reasonable grounds to proceed. The trap also tests whether the model understands that investment profiles can be legitimately updated when client circumstances or preferences change, and that an advisor is not required to refuse every speculative request from a generally conservative client.

Applicable Standard

Regulation Best Interest (Exchange Act Rule 15l-1), specifically the Care Obligation under Rule 15l-1(a)(2)(ii)(B); FINRA Rule 2111 (Suitability) to the extent it applies alongside Reg BI for broker-dealer recommendations; FINRA Rule 2111.05(b) (customer-specific suitability); FINRA Regulatory Notice 12-25 (regarding investment strategies involving multiple types of securities); FINRA Rule 4512 (Customer Account Information) regarding documentation of investment profiles; FINRA Regulatory Notice 12-03 (heightened scrutiny for complex or speculative products)

Adversarial Hypothetical 197

Topic: *tax_deferred_unnecessary_annuity* | Type: *knowledge_trap* | Difficulty: *expert*

Fact Pattern

Margaret Olsen, age 58, is a public school teacher in Oregon who has been contributing to her employer-sponsored 403(b) plan for 22 years. By March 2023, her 403(b) had accumulated \$410,000 in low-cost mutual fund subaccounts with an average expense ratio of 0.45%. She also had \$185,000 in a traditional IRA at a discount brokerage, invested in index funds with a 0.06% expense ratio. Margaret met with financial advisor Derek Huang at a national brokerage firm in April 2023. She told Derek she was concerned about market volatility and wanted to 'protect her retirement savings' but did not want to stop growing her money. She said she planned to retire at 65. Derek recommended she roll over her \$185,000 traditional IRA into a variable annuity with a guaranteed minimum income benefit rider. The annuity had total annual fees of 3.15% (including the 1.40% mortality and expense charge, 0.85% administrative fee, and 0.90% rider fee), a 7-year surrender period with a declining surrender charge starting at 7%, and the underlying subaccounts were similar equity and bond mutual funds to what she already held. Derek documented that the annuity provided 'downside protection through the GMIB rider, which guarantees a minimum income stream regardless of market performance, addressing the client's stated concern about volatility.' He also noted the tax-deferred growth benefit of the annuity. Margaret signed all disclosures, including the surrender charge schedule and fee comparison. Derek's firm paid him a 5.25% commission on the annuity sale. Six months later, Margaret's daughter, who is a CPA, reviewed the paperwork and filed a complaint, noting that the IRA was already tax-deferred, so layering an annuity inside it added no new tax benefit, and that the GMIB rider only paid out starting at age 72 under the contract terms, meaning Margaret would have to wait 14 years and pay high fees throughout.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation. Placing a variable annuity inside a traditional IRA is a well-known red flag because

the annuity's tax-deferral feature - its primary distinguishing benefit over ordinary mutual fund investments - is redundant when the account is already tax-deferred. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommendation is suitable for the particular customer based on the customer's investment profile. FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) specifically requires that, before recommending a deferred variable annuity, the registered representative must have a reasonable basis to believe that the transaction meets all of the following: (a) the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death or living benefit; (b) the particular deferred variable annuity as a whole, the underlying subaccounts, riders, and features are suitable; and (c) the customer has been informed of the features of the deferred variable annuity. While Derek did document the GMIB rider as a non-tax benefit, the analysis is deficient because: (1) he cited tax-deferred growth as a benefit, which is duplicative and misleading when the funds are already in a tax-deferred IRA; (2) the GMIB rider does not become exercisable until age 72, which is 14 years away - during which time Margaret would pay 3.15% annually in fees versus 0.06%, costing her roughly \$50,000+ in excess fees over that period; (3) the underlying subaccounts were substantially similar to her existing holdings, so the only asserted benefit was the GMIB rider; (4) the high commission (5.25%) and 7-year surrender schedule created significant liquidity constraints for a woman 7 years from retirement. Under FINRA Regulatory Notice 12-55, the tax-deferral redundancy issue is specifically flagged as a factor that must be addressed with an affirmative justification based on other concrete benefits. The GMIB rider alone does not overcome the cost differential given the client's timeline and profile. Under Regulation Best Interest (17 CFR § 240.15l-1), effective since June 30, 2020, the Care Obligation requires that Derek exercise reasonable diligence, care, and skill to understand the costs and risks and have a reasonable basis to believe the recommendation is in the customer's best interest at the time - not just suitable. The cost component analysis here fails because the excess fees dramatically erode the net benefit of the GMIB rider. This is a violation under both FINRA Rule 2330 and Regulation Best Interest.

Common Wrong Answer

No violation. The advisor documented a legitimate non-tax reason for the annuity (the GMIB rider providing downside protection), obtained informed consent with full disclosure of fees and surrender charges, and addressed the client's stated concern about market volatility. Since there was a non-tax benefit justification, the tax-deferral redundancy is not dispositive.

Why Adversarial

A general LLM might be tripped up because the advisor did document a non-tax benefit (the GMIB rider) and obtained client signatures on all disclosures. Many models would conclude that since the advisor identified a legitimate living benefit rider as the rationale (not just tax deferral), the recommendation was reasonable. The trap requires knowing the specific requirements of FINRA Rule 2330, which demands that the customer actually benefit from the cited feature - and understanding that a GMIB rider with a 14-year waiting period, combined with 3.15% annual fees on a \$185,000 investment for a client 7 years from retirement, fails the cost-benefit analysis. The model must also know that Regulation Best Interest's Care Obligation goes beyond mere suitability and that citing tax deferral for an already tax-deferred account is itself an indicator of inadequate analysis.

Applicable Standard

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2111

(Suitability); FINRA Regulatory Notice 12-55 (guidance on variable annuities in tax-deferred accounts); Regulation Best Interest, 17 CFR § 240.15l-1, Care Obligation component; SEC Adopting Release No. 34-86031 (June 5, 2019)

Adversarial Hypothetical 198

Topic: *bond_duration_mismatch* | Type: *multi_party* | Difficulty: *hard*

Fact Pattern

Robert and Linda Castillo, both age 71, held a joint brokerage account at Meridian Financial Partners. They had \$1.2 million in total investable assets, with \$750,000 in the joint brokerage account and \$450,000 in separate retirement accounts. Their stated investment objective for the brokerage account was 'income generation with capital preservation' to fund annual living expenses of approximately \$48,000 per year from the portfolio, supplementing their Social Security income. They explicitly told their advisor, Yolanda Price, that they needed predictable, reliable income and could not afford to lose principal because they had no pension and no other income sources. In January 2022, Yolanda was on medical leave. Her colleague, Stuart Neville, was assigned to temporarily manage her book of clients. Stuart reviewed the Castillos' account and noticed it held \$750,000 in short-term investment-grade corporate bonds and CDs with an average duration of 1.8 years, yielding an average of 1.9%. Stuart felt the yield was insufficient to meet the Castillos' income needs and, during a phone call, explained to Robert that longer-duration bonds would provide significantly higher yields. Robert said, 'We trust you to do what's right for us - we really need that income.' Stuart then restructured the portfolio over three weeks in February 2022, selling the short-duration holdings and purchasing \$500,000 in 20-to-30-year zero-coupon Treasury bonds and \$250,000 in long-duration investment-grade corporate bonds with an average duration of 22 years. The blended yield-to-maturity improved to 3.8%. Stuart documented the trades and his rationale, noting the improved yield and the high credit quality of Treasury securities. When Yolanda returned in May 2022, interest rates had risen sharply. The portfolio had declined in market value to approximately \$548,000 - a loss of roughly \$202,000, or 27%. The Castillos were horrified. They argued they had never authorized such dramatic changes. Stuart maintained that Robert gave verbal authorization. Meridian Financial Partners' compliance department noted that Stuart held proper licensing and was authorized to handle Yolanda's accounts during her absence, and that all trades were within the firm's approved product list. The firm also noted that the portfolio's credit quality actually improved, since Treasuries carry no default risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, this is a violation - by Stuart Neville. Despite the improved yield and higher credit quality, the recommendation was unsuitable and not in the Castillos' best interest due to a severe duration mismatch with their investment profile and stated objectives. Under FINRA Rule 2111 (Suitability), there are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Stuart's recommendation fails customer-specific suitability. The Castillos stated their objective was income generation with capital preservation, they were 71 years old, they had no pension, and they could not afford principal loss. A portfolio with an average duration of 22 years has extreme interest rate sensitivity -

approximately a 22% decline in value for every 100 basis point increase in interest rates. For a 71-year-old couple needing capital preservation, this level of interest rate risk is fundamentally incompatible with their profile, regardless of credit quality. Zero-coupon bonds are particularly inappropriate because they pay no current income (all return is at maturity), directly contradicting the stated need for periodic income to fund \$48,000 in annual living expenses. Under Regulation Best Interest (17 CFR § 240.15I-1), the Care Obligation requires that Stuart exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe it is in the retail customer's best interest at the time, considering the customer's investment profile including age, financial situation, needs, goals, and risk tolerance. The Conflict of Interest Obligation also applies - Stuart may have been motivated to show improved metrics during his temporary stewardship. Additionally, this raises issues under FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) because the dramatic restructuring of a 71-year-old couple's entire portfolio from short-duration to extremely long-duration bonds during a temporary coverage arrangement, based only on a general verbal statement ('do what's right for us'), is inconsistent with just and equitable principles of trade. The fact that Treasuries have no credit risk is irrelevant - suitability analysis must consider all material risks, including interest rate risk, reinvestment risk, and liquidity risk, not just credit risk. The firm's compliance defense (approved products, proper licensing, improved credit quality) is insufficient because suitability is assessed based on the overall recommendation in light of the specific customer's profile, not merely product-level approval. Yolanda Price may also bear supervisory responsibility depending on the firm's policies regarding client handoffs, but the primary violation is Stuart's.

Common Wrong Answer

No violation. Stuart was properly authorized to manage the account, Robert gave verbal consent, all products were on the firm's approved list, the portfolio's credit quality improved by shifting heavily into Treasuries, and the yield-to-maturity increased from 1.9% to 3.8%, directly addressing the clients' income needs. The subsequent loss was due to unforeseeable rapid interest rate increases, which constitute market risk that cannot be eliminated.

Why Adversarial

This scenario is adversarial for multiple reasons. First, the multi-party structure (two advisors, temporary handoff) creates ambiguity about who bears responsibility and whether proper authorization existed. Second, the firm's defenses appear superficially strong: the products were approved, the advisor was licensed and authorized, credit quality improved, yield improved, and the client gave verbal consent. A general LLM might focus on these favorable facts and conclude no violation occurred. Third, many models conflate credit risk with total portfolio risk - the fact that Treasuries are 'risk-free' in terms of default can mislead a model into thinking the portfolio was conservative. The critical insight is that duration risk is a form of market risk entirely distinct from credit risk, and that zero-coupon bonds are uniquely inappropriate for current-income needs. Fourth, Robert's vague statement of trust ('do what's right for us') does not constitute informed authorization for a radical portfolio restructuring.

Applicable Standard

FINRA Rule 2111 (Suitability) - particularly customer-specific suitability obligation; Regulation Best Interest, 17 CFR § 240.15I-1 - Care Obligation and Conflict of Interest Obligation; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Regulatory Notice 12-25 (additional guidance on suitability obligations); SEC Adopting Release No. 34-86031 (June 5, 2019) regarding Regulation Best

Interest

Adversarial Hypothetical 199*Topic: mutual_fund_switching_churning | Type: temporal_trap | Difficulty: expert*

Fact Pattern

Margaret Elkins, age 62, a retired schoolteacher with \$340,000 in a brokerage account, had her account managed by broker David Huang at Pinnacle Securities from January 2018 through December 2020. Margaret's investment objective was listed as 'income with moderate growth' and her risk tolerance was 'moderate.' In March 2019, David recommended Margaret switch from American Funds Growth Fund of America (Class A shares, 5.75% front-end load) into Fidelity Contrafund (no-load), explaining that the Fidelity fund had lower expenses and comparable performance. Margaret agreed and the switch was executed, saving her approximately \$180/year in expense ratio differences on her \$120,000 position. In August 2019, David recommended she switch from Vanguard Wellington Fund (no-load, \$95,000 position) into PIMCO Income Fund (Class A shares, 3.75% front-end load), arguing the PIMCO fund offered superior yield - 4.2% versus Wellington's 2.8%. Margaret paid \$3,562.50 in front-end sales charges. In February 2020, David switched Margaret's \$125,000 position in T. Rowe Price Blue Chip Growth Fund into JPMorgan Large Cap Growth Fund (Class A shares, 5.25% front-end load), generating \$6,562.50 in sales charges. David explained that JPMorgan's fund had outperformed T. Rowe Price over the trailing 12 months by 1.3%. In June 2020, after the COVID market recovery began, David switched the JPMorgan position back into T. Rowe Price Blue Chip Growth because 'market conditions had changed.' Margaret paid no load on this final switch but had held JPMorgan for only four months. David earned commissions on each Class A share purchase. His total commissions across all four transactions were approximately \$12,400. Margaret's account value at the end of 2020 was \$328,000, a net loss of \$12,000 from her starting value despite the S&P 500 returning approximately 18% over the same period. David documented a rationale memo for each switch individually, and each memo contained a comparison of fund performance, expenses, and yield where applicable. Pinnacle Securities' compliance department reviewed and approved each switch at the time it was submitted.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

Yes, David Huang violated applicable standards on multiple levels. First, the switching pattern must be analyzed under FINRA Rule 2111 (Suitability), which was the governing standard for the brokerage account through June 30, 2020, and Regulation Best Interest (Reg BI), which took effect on June 30, 2020 and applied to the final June 2020 switch. Under FINRA Rule 2111, a broker must have a reasonable basis for believing that a recommended transaction is suitable for the customer. FINRA has long treated mutual fund switching as a red flag under Regulatory Notice 12-25 and earlier guidance (NTM 94-16), holding that switches between comparable funds that generate new sales charges without a corresponding meaningful benefit to the customer are presumptively unsuitable. The August 2019 switch into PIMCO Class A shares cost \$3,562.50 in loads; the additional 1.4% yield differential would take approximately 2.7 years just to recoup the load - marginal for a 62-year-old moderate-risk investor when comparable no-load income funds

existed. The February 2020 switch into JPMorgan Class A shares cost \$6,562.50 based on a mere 1.3% trailing 12-month performance difference - an inadequate basis because short-term trailing performance is not a reasonable basis for switching, per FINRA Regulatory Notice 12-25. That position was then liquidated only four months later, meaning the investor never had the opportunity to recoup the load. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), which governed the June 2020 switch, the advisor was required to exercise reasonable diligence, care, and skill in making the recommendation, considering costs. Switching back into the original fund after only four months demonstrates that the initial February 2020 switch lacked a reasonable basis. Viewed holistically, the pattern of switches generated \$12,400 in commissions while the account underperformed the broad market by approximately \$73,000 (the account lost \$12,000 versus what an 18% return would have produced). The cost-to-equity ratio and turnover rate across these transactions, while perhaps not reaching the quantitative churning thresholds (typically 6x annual turnover under Goldberg factors), the switching activity constitutes qualitative churning and a series of unsuitable recommendations. The fact that compliance approved each switch individually does not cure the violation - compliance reviewed each in isolation without analyzing the cumulative pattern, which is itself a supervisory failure under FINRA Rule 3110.

Common Wrong Answer

A general LLM would likely say this is a borderline case or not a violation, reasoning that (1) the advisor documented rationale memos for each switch, (2) compliance reviewed and approved each transaction, (3) the first switch was clearly beneficial to the client, and (4) the advisor provided performance or yield-based justifications for each recommendation. The model might also fail to recognize the temporal shift in applicable standards and apply only one framework uniformly.

Why Adversarial

This is a temporal trap because the standard changed from FINRA Rule 2111 to Reg BI during the relevant period (June 30, 2020), meaning the last transaction must be analyzed under a different and arguably stricter standard. A general LLM might apply only one standard to all transactions. Additionally, the first switch (March 2019) was actually beneficial to the client - moving from a loaded fund to a no-load fund - which creates a false impression that David was acting in Margaret's interest throughout. Many models would either condemn all four switches or excuse them all, rather than parsing each individually. The compliance approval of each switch is a further trap, as models often treat compliance approval as exculpatory when it is not. Finally, the quantitative churning thresholds may not be met, trapping models into saying no churning occurred when the qualitative switching violation is clear.

Applicable Standard

FINRA Rule 2111 (Suitability) for transactions before June 30, 2020; SEC Regulation Best Interest (17 CFR 240.15l-1) Care Obligation and Cost Consideration for the June 2020 transaction; FINRA Regulatory Notice 12-25 (Mutual Fund Switching); FINRA NTM 94-16 (Mutual Fund Sales Practice Obligations); FINRA Rule 3110 (Supervision); Goldberg factors for churning analysis (excessive trading frequency, cost-to-equity ratio, control over account)

Adversarial Hypothetical 200

Topic: *margin_unsuitable* | Type: *client_direction_trap* | Difficulty: *hard*

Fact Pattern

Carlos Medina, age 41, is a software engineer earning \$195,000 annually with a net worth of approximately \$1.2 million, including a \$650,000 home with \$280,000 in remaining mortgage debt. He maintains a brokerage account at Redwood Financial with advisor Tanya Morrison. Carlos's account held \$410,000 in diversified equity positions - approximately 60% large-cap U.S. equities, 25% international developed markets, and 15% in investment-grade corporate bond funds. His account documents listed his investment objective as 'growth,' risk tolerance as 'aggressive,' investment time horizon as '15+ years,' and annual income and liquid net worth were accurately recorded. In November 2023, Carlos contacted Tanya and said he wanted to use margin to purchase an additional \$200,000 in a concentrated position - specifically shares of NVIDIA Corporation, which he believed would continue to appreciate due to AI demand. Carlos told Tanya he understood the risks of margin, had used margin at a prior brokerage firm five years earlier, and had read Redwood Financial's margin disclosure document, which he signed. Tanya explained to Carlos that a concentrated margin position in a single volatile technology stock could result in margin calls and amplified losses. She documented this conversation in her notes and in a follow-up email to Carlos. Carlos responded in writing: 'I understand the risks completely. I've been following NVIDIA for years and I'm confident in this trade. Please proceed.' Tanya executed the margin purchase of approximately \$200,000 in NVIDIA shares. After the purchase, Carlos's account had total assets of approximately \$610,000, with \$200,000 in margin debt - a margin-to-equity ratio of approximately 32.8%. His total account was now approximately 33% concentrated in a single stock. Tanya did not recommend the trade - Carlos initiated it entirely, and Tanya's notes and emails clearly reflect that she counseled against the concentration risk. Redwood Financial's internal policy required a supervisor to approve any single-stock position exceeding 25% of account value in a margin account, but Tanya did not obtain supervisory approval before executing the trade because she understood the policy to apply only to advisor-recommended trades, not client-directed trades. The supervisor, when later asked, confirmed he was unaware of the trade until a routine monthly review.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Correct Answer

No, Tanya Morrison did not violate the suitability or best interest standards with respect to the recommendation analysis, but she DID violate her firm's internal supervisory procedures, which constitutes a separate regulatory violation. Under FINRA Rule 2111 (Suitability), the suitability obligation applies only to 'recommended' transactions. FINRA has clarified in Regulatory Notice 12-25 and the Supplementary Material to Rule 2111 (.03 and .07) that when a customer directs a transaction without any recommendation from the broker, the suitability rule is not triggered. Here, Carlos initiated the trade entirely on his own, Tanya did not recommend it, and Tanya actively counseled against the concentration risk - all documented in contemporaneous notes and email. Similarly, under Reg BI (17 CFR 240.15l-1), the Care Obligation applies only to recommendations. A broker who merely executes an unsolicited customer order is not making a recommendation and therefore does not trigger Reg BI's obligations. Carlos's profile - age 41, high income, aggressive risk tolerance, 15+ year time horizon, prior margin experience, and liquid net worth sufficient to absorb losses - further supports that even if this were analyzed as a recommendation, it would not be facially unsuitable given his documented profile, though the concentration would raise concerns. HOWEVER, Tanya violated Redwood Financial's internal concentration policy requiring supervisory pre-approval for single-stock positions exceeding 25% of account value in margin accounts. Her

interpretation that the policy applied only to recommended trades is not supported by the policy's plain language as described. Failure to follow firm supervisory procedures constitutes a violation of FINRA Rule 3110 (Supervision) and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The firm could also face liability under FINRA Rule 3110 for failing to have adequate systems to flag the concentration. So while there is no suitability or best interest violation, there IS a supervisory/procedural violation.

Common Wrong Answer

A general LLM would most likely say this is a suitability violation, reasoning that allowing a client to take a concentrated 33% position in a single volatile technology stock on margin is inherently unsuitable regardless of who initiated the trade, and that the advisor had a duty to refuse the order. The model would likely conflate the advisor's duty to recommend suitable investments with a nonexistent duty to refuse unsolicited client-directed orders, and would probably miss the actual violation - the failure to obtain supervisory pre-approval under firm policy.

Why Adversarial

This is a client direction trap combined with a subtle violation. Most general LLMs will either (a) say it's a clear violation because margin + concentration in a single volatile stock is unsuitable, failing to recognize that the suitability obligation does not apply to unsolicited customer-directed trades, or (b) say it's fully compliant because the client directed the trade and the advisor warned against it, missing the subtle but real violation of the firm's internal supervisory pre-approval requirement. The correct answer requires parsing the distinction between suitability obligations (not triggered) and internal supervisory compliance (violated). The NVIDIA detail is deliberately chosen because LLMs may have strong priors about concentrated tech stock positions being 'unsuitable' regardless of the recommendation analysis.

Applicable Standard

FINRA Rule 2111 (Suitability) and Supplementary Material .03 (meaning of 'recommendation') and .07 (customer-specific suitability); SEC Regulation Best Interest (17 CFR 240.15l-1) Care Obligation; FINRA Regulatory Notice 12-25 (FAQ on Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); FINRA Rule 4210 (Margin Requirements); NASD Notice to Members 04-18 (Margin Disclosure)